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federal register

Thursday
August 19, 1982

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Administrative Practice and Procedure
Social Security Administration

Aviation Safety
Federal Aviation Administration

Bridges
Coast Guard

Cable Television
Federal Communications Commission

Coal Mining
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Questions and requests for specific information may be directed to the telephone numbers listed under INFORMATION AND ASSISTANCE in the READER AIDS section of this issue.

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Agricultural Marketing Service

Meat Inspection
Food Safety and Inspection Service

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Presidential Documents

Title 3—

The President

Executive Order 12379 of August 17, 1982

Termination of Boards, Committees, and Commissions

By the authority vested in me as President by the Constitution and statutes of the United States of America, and to terminate the establishing authorities for committees that are inactive or no longer necessary, it is hereby ordered as follows:

Section 1. Executive Order No. 12071, as amended, establishing the President's Commission on Pension Policy, is revoked.

Sec. 2. Executive Order No. 12042, creating a Board of Inquiry to Report on Labor Disputes Affecting the Bituminous Coal Industry in the United States, is revoked.

Sec. 3. Executive Order No. 12085, creating an Emergency Board to Investigate a Dispute Between the Norfolk and Western Railway Company and Certain of Its Employees, is revoked.

Sec. 4. Executive Order No. 12132, creating an Emergency Board to Investigate a Dispute Between the National Railway Labor Conference and Certain of Its Employees, is revoked.

Sec. 5. Executive Order No. 12095, creating an Emergency Board to Investigate a Dispute Between Wien Air Alaska, Inc., and Certain Individuals, is revoked.

Sec. 6. Executive Order No. 12159, creating an Emergency Board to Investigate Disputes Between the Chicago, Rock Island, Pacific Railroad and Peoria Terminal Company and Brotherhood of Railway, Airline and Steamship Clerks, Freight Handlers, Express and Station Employees; and the United Transportation Union, is revoked.

Sec. 7. Executive Order No. 12182, creating an Emergency Board to Investigate a Dispute Between the Long Island Rail Road and Certain of Its Employees, is revoked.

Sec. 8. Executive Order No. 12207, creating an Emergency Board to Investigate a Dispute Between the Port Authority Trans-Hudson Corporation and Certain of Its Employees, is revoked.

Sec. 9. Executive Order No. 12262, establishing an Interagency Employee Benefit Council, is revoked.

Sec. 10. Executive Order No. 12275, establishing the Design Liaison Council, is revoked.

Sec. 11. Executive Order No. 11829, as amended, establishing the Hopi-Navajo Land Settlement Interagency Committee, is revoked.

Sec. 12. Executive Order No. 11022, as amended, establishing the President's Council on Aging, is revoked.

Sec. 13. Executive Order No. 12192, establishing the State Planing Council on Radioactive Waste Management, is revoked.

Sec. 14. Executive Order No. 12075, as amended, establishing the Interagency Coordinating Council, is revoked.

Sec. 15. Executive Order No. 11782, establishing the Federal Financing Bank Advisory Council, is revoked.

Sec. 16. Executive Order No. 12089, as amended, establishing the National Productivity Council, is revoked.

Sec. 17. Executive Order No. 11330, as amended, establishing the President's Council on Youth Opportunity, is revoked.

Sec. 18. Executive Order No. 11256, establishing the President's Committee on Food and Fiber and establishing the National Advisory Commission on Food and Fiber, is revoked.

Sec. 19. Executive Order No. 11654, continuing the Federal Fire Council, is revoked.

Sec. 20. Executive Order No. 12083, as amended, establishing the Energy Coordinating Committee, is revoked.

Sec. 21. Executive Order No. 12285, as amended and ratified, establishing the President's Commission on Hostage Compensation, is revoked.

Sec. 22. Executive Order No. 12202, as amended, establishing the Nuclear Safety Oversight Committee, is revoked.

Sec. 23. Executive Order No. 12194, establishing the Radiation Policy Council, is revoked.

Sec. 24. The Veterans' Federal Coordinating Committee (Weekly Compilation of Presidential Documents, volume 14, number 41, page 1743) is terminated.

Sec. 25. The President's Council on Energy Efficiency (Weekly Compilation of Presidential Documents, volume 16, numbers 18 and 30, pages 790 and 1404) is terminated.

Ronald Reagan

THE WHITE HOUSE,
August 17, 1982.

[FR Doc. 82-22863
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Rules and Regulations

Federal Register
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This section of the FEDERAL REGISTER contains regulatory documents having general applicability and legal effect, most of which are keyed to and codified in the Code of Federal Regulations, which is published under 50 titles pursuant to 44 U.S.C. 1510.
The Code of Federal Regulations is sold by the Superintendent of Documents. Prices of new books are listed in the first FEDERAL REGISTER issue of each month.

DEPARTMENT OF AGRICULTURE

Animal and Plant Health Inspection Service

7 CFR Parts 301 and 330

[Docket No. 82-323]

Imported Fire Ant; Soil

AGENCY: Animal and Plant Health Inspection Service, USDA.

ACTION: Interim rule and notice of public hearing.

SUMMARY: This document, on an emergency basis under the Federal Plant Pest Act, amends the "Imported Fire Ant" quarantine and regulations by quarantining Puerto Rico because of the imported fire ant and by adding all of Puerto Rico to the list of generally infested areas, and adds footnotes to the "Imported Fire Ant" regulations and the "Movement of Soil, Stone and Quarry Products" regulations to explain that both sets of regulations restrict certain movements of soil from Puerto Rico. The quarantine and regulations, among other things, impose restrictions on the interstate movement of certain regulated articles from generally infested areas. This action is necessary as an emergency measure to prevent the artificial spread of the imported fire ant and to avoid confusion between the provisions in the "Imported Fire Ant" quarantine and regulations and the "Movement of Soil, Stone, and Quarry Products" regulations. A companion document published in the proposed rule section of this issue of the **Federal Register** proposes, pursuant to authority in the Plant Quarantine Act and the Federal Plant Pest Act, to establish the provisions of this interim rule as a final rule.

Also, a public hearing will be held concerning the establishment of the provisions of the interim rule as a final rule.

DATES: Effective date of interim rule August 19, 1982. Written comments must be received on or before October 18, 1982. A public hearing concerning a final rule will be held on September 21, 1982.

ADDRESSES: Written comments should be submitted to Thomas J. Lanier, Assistant Director, Regulatory Services Staff, Plant Protection and Quarantine, Animal and Plant Health Inspection Service, U.S. Department of Agriculture, Room 643 Federal Building, 6505 Belcrest Road, Hyattsville, MD 20782. Written comments received may be inspected at Room 641 of the Federal Building between 8 a.m. and 4:30 p.m., Monday through Friday, except holidays. The public hearing concerning a final rule will be held in Room 401 of the Federal Office Building, C. Chardon Avenue, Hato Rey, Puerto Rico.

FOR FURTHER INFORMATION CONTACT: John Franklin, Staff Officer, Field Operations Support Staff, Plant Protection and Quarantine, Animal and Plant Health Inspection Service, U.S. Department of Agriculture, Room 663 Federal Building, 6505 Belcrest Road, Hyattsville, MD 20782, 301-436-7474.

SUPPLEMENTARY INFORMATION:

Executive Order 12291

This rule is issued in conformance with Executive Order 12291 and Secretary's Memorandum No. 1512-1, and has been determined to be not a "major rule." Based on information compiled by the Department, it has been determined that this rule will not have a significant effect on the economy; will not cause a major increase in costs or prices for consumers, individual industries, Federal, State, or local government agencies, or geographic regions; and will not have a significant adverse effect on competition, employment, investment, productivity, innovation, or on the ability of United States-based enterprises to compete with foreign-based enterprises in domestic or export markets.

The rule establishes restrictions on the interstate movement from Puerto Rico of certain regulated articles. Based on information compiled by the Department, it appears that there is little, if any, interstate movement of such regulated articles from Puerto Rico.

Alternatives were considered in connection with the rule. Consideration was given concerning whether: (1) To allow the unrestricted interstate movement from Puerto Rico of such regulated articles, or (2) to establish a Federal quarantine for Puerto Rico and impose restrictions on the interstate movement from Puerto Rico of such articles. Alternative (2) is chosen because it appears that without a Federal quarantine and implementing regulations the unrestricted interstate movement of such articles could cause the spread of the imported fire ant. Further, it appears that there is no feasible alternative to consider regarding the requirement that agencies choose the alternative that maximizes net benefits to society at the lowest net cost.

Regulatory Flexibility Act

Dr. H. C. Mussman, Administrator of the Animal and Plant Health Inspection Service, has determined that this action will not have a significant economic impact on a substantial number of small entities. This action affects the interstate movement of certain regulated articles from Puerto Rico. There are thousands of small entities that move such articles interstate from other States. However, based on information compiled by the Department, it has been determined that there is little, if any, movement of such articles interstate from Puerto Rico. Further, it has been determined that the interim rule will not have a significant effect on the economy.

Emergency Action

Harvey L. Ford, Deputy Administrator of the Animal and Plant Health Inspection Service for Plant Protection and Quarantine, has determined that an emergency situation exists which warrants publication without opportunity for a public comment period on this interim rule. Because of the possibility that the imported fire ant could be spread artificially to noninfested areas of the United States, a situation exists requiring immediate action to better control the spread of this pest. Also, it is necessary to add footnotes to the "Imported Fire Ant" quarantine and regulations ad the "Movement of Soil, Stone, and Quarry Products" regulations to avoid confusion between these sets of regulations concerning the movement of soil from Puerto Rico.

Further, pursuant to the administrative procedure provisions of 5 U.S.C. 553, it is found upon good cause that notice and other public procedure with respect to this interim rule are impracticable and contrary to the public interest; and good cause is found for making this interim rule effective less than 30 days after publication of this document in the **Federal Register**. A public hearing has been scheduled concerning a final rule, and comments have been solicited for 60 days after publication of this document. A final document discussing comments received and any amendments required will be published in the **Federal Register** as soon as possible.

Public Hearing

The public hearing to consider this rule will be held on September 21, 1982 in Room 401 of the Federal Office Building, C. Chardon Avenue, Hato Rey, Puerto Rico.

A representative of the Animal and Plant Health Inspection Service will preside at the hearing. Any interested person may appear and be heard in person, by attorney, or by other representative.

The hearing will begin at 10 a.m. and is scheduled to end at 5 p.m., local time. However, the hearing may be terminated at any time after it begins if all of those persons desiring an opportunity to speak have been heard. Persons who wish to speak are requested to register with the presiding officer prior to the hearing. The prehearing registration will be conducted at the location of the hearing from 9 a.m. to 10 a.m. Those registered persons will be heard in the order of their registration. However, any other person who wishes to speak at the hearing will be afforded such opportunity after the registered persons have been heard. It is requested that duplicate copies of any written statements that are presented be provided to the presiding officer at the hearing.

If the number of preregistered persons and other participants in attendance at the hearing warrants it, the presiding officer may limit the time for each presentation in order to allow everyone wishing to speak the opportunity to be heard.

Background

The imported fire ant (*Solenopsis* spp.) is an insect that interferes with farming operations and causes damage to certain crops, and is a pest of livestock and pets, as well as of people, in rural and urban areas.

The "Imported Fire Ant" quarantine and regulations (7 CFR 301.81 through 301.81–10) quarantine Alabama, Arkansas, Florida, Georgia, Louisiana, Mississippi, North Carolina, South Carolina, and Texas because of the imported fire ant; and restrict the interstate movement of certain regulated articles from regulated areas in these States in order to prevent the artificial spread of the imported fire ant.

Based on recent surveys conducted by the Department, it has been determined that Puerto Rico is infested with the imported fire ant. Therefore, as an emergency measure, the quarantine and regulations are amended by quarantining Puerto Rico and imposing restrictions on the interstate movement of certain regulated articles from Puerto Rico in order to prevent the artificial spread of the imported fire ant. Also, certain nonsubstantive changes are made to improve clarity.

Sections 8 and 9 of the Plant Quarantine Act (7 U.S.C. 161, 162) contain authority to quarantine any State, Territory, or District of the United States, or any portion thereof, and to prohibit or restrict the interstate movement of articles from areas within such quarantined areas when the Secretary of Agriculture or his delegate determines, after a public hearing, that it is necessary to prevent the spread of a dangerous plant disease or insect infestation, new to or not theretofore widely prevalent or distributed within and throughout the United States. Under sections 105 and 106 of the Federal Plant Pest Act (7 U.S.C. 150dd and 150ee) there is authority to take similar action for plant pests without a public hearing on an emergency basis until a quarantine can be established under the Plant Quarantine Act after a public hearing. Accordingly, the quarantine and regulations are established on an emergency basis under the Federal Plant Pest Act. Also, in a companion document published in this issue of the **Federal Register**, it is proposed to establish the provisions of the interim rule as a final rule. Further, a public hearing is scheduled in accordance with the provisions of the Plant Quarantine Act. The proposal cites the Federal Plant Pest Act as authority in addition to the Plant Quarantine Act since the quarantine and regulations contain certain emergency provisions based on authority in the Federal Plant Pest Act, e.g. emergency designation of articles as regulated articles under § 301.81(b)(6) of the quarantine and regulations.

Those articles that have been found to present a significant risk of spreading the imported fire ant are subject to restrictions under the quarantine and regulations. The articles subject to restrictions are those articles designated as regulated articles in § 301.81(b) of the quarantine and regulations, but not including those articles exempted from the restrictions under § 301.81–2b of the quarantine and regulations.

Under § 301.81(b) of the quarantine and regulations, the following articles are designated as regulated articles:

(1) Soil, separately or with other things;

(2) Plants with roots with soil attached, except houseplants grown in the home and not for sale;

(3) Grass sod;

(4) Hay and straw;

(5) Used mechanized soil-moving equipment; and

(6) Any other products, articles, or means of conveyance of any character whatsoever not covered by items (b) (1) through (5) when it is determined by an inspector that they present a hazard of spread of the imported fire ant, and the person in possession thereof has been so notified.

Section 301.81–2b of the quarantine and regulations exempts certain regulated articles from the requirements of the quarantine and regulations. In this connection § 301.81–2b provides that:

"The following articles are exempt from the certification, permit, or other requirements of this subpart if they meet the applicable conditions prescribed in paragraphs (a) through (d) of this section and have not been exposed to infestation after cleaning or other handling as prescribed in said paragraphs:

(a) Potting soil, if commercially prepared, packaged, and shipped in original containers.

(b) Hay and straw, if being used for packing or bedding.

(c) Used mechanized soil-moving equipment, if it has only compacted soil or is cleaned of all noncompacted soil.

(d) Transplants, if substantially free of soil."

Under the quarantine and regulations an area may be designated as a regulated area if it is an area in which the imported fire ant has been found, or in which there is reason to believe that the imported fire ant is present, or which it is deemed necessary to regulate because of its proximity to infestation or its inseparability for quarantine enforcement purposes from infested localities. Regulated areas are divided into suppressive areas and generally infested areas. Suppressive areas are regulated areas in which eradication of the imported fire ant is undertaken as an objective. Generally infested areas are

regulated areas not designated as suppressive areas.

It appears that infestations of the imported fire ant occur throughout Puerto Rico. Further, eradication of the imported fire ant is not currently undertaken as an objective. Accordingly, under the specified criteria, all of Puerto Rico is designated as a generally infested area.

As specified above, soil is listed as a regulated article. In this connection, it should also be noted that § 330.300 of "Subpart—Movement of Soil, Sand, and Quarry Products" (7 CFR 330.300), among other things, prohibits the movement of soil (moved as such or incidentally adhering to means of conveyance or other articles) from Puerto Rico into or through any other Territory or possession or the Continental United States except under certain conditions specified in § 330.300 or incorporated by reference in § 330.300. Accordingly, in the "Imported Fire Ant" quarantine and regulations a footnote is added to explain that the movement of soil from Puerto Rico is also subject to the provisions in § 330.300. Further, a footnote is added to § 330.300 to explain that the movement of soil from Puerto Rico into or through any other State, Territory, or District of the United States is also subject to the provisions in the "Imported Fire Ant" quarantine and regulations. It is necessary to add the footnotes on an emergency basis in order to avoid confusion between the provisions in the two subparts.

List of Subjects

7 CFR Part 301

Agricultural commodities, Plant pests, Plants (agriculture), Quarantine, Transportation, Imported fire ant.

7 CFR Part 330

Customs duties and inspection, Imports, Plant diseases, Plant pests, Plants (agriculture), Quarantine, Transportation, Garbage, Soil, Stone and quarry products.

Accordingly, "Subpart—Imported Fire Ant" (7 CFR 301.81 through 301.81–10) and "Subpart—Movement of Soil, Stone, Quarry Products" (7 CFR 330.300 through 330.302) are amended as follows:

PART 301—DOMESTIC QUARANTINE NOTICES

1. In § 301.81, paragraph (a) is revised to read as follows:

§ 301.81 Quarantine and regulations; restrictions on interstate movement of regulated articles.

(a) *Quarantine and regulations.* The Secretary of Agriculture hereby quarantines Alabama, Arkansas, Florida, Georgia, Louisiana, Mississippi, North Carolina, Puerto Rico, South Carolina, and Texas in order to prevent the spread of the imported fire ant (*Solenopsis* spp.), a dangerous insect pest not theretofore widely prevalent or distributed within and throughout the United States; and hereby establishes regulations governing the interstate movement of regulated articles specified in paragraph (b) of this section.

* * * * *

§ 301.81–2a [Amended]

2. In § 301.81–2a, the following is added after the list of regulated areas for North Carolina:

* * * * *

Puerto Rico

(1) *Generally infested areas.* All of Puerto Rico.

(2) *Suppressive areas.* None.

§ 301.81 [Amended]

3. In § 301.81(b), "(1) Soil, separately or with other things;" is revised to read "(1) Soil, separately or with other things; [1]" and a corresponding footnote is added in the appropriate place to read as follows: "[1] The movement of soil from Puerto Rico is also subject to additional provisions in 7 CFR Chapter III. It is provided in 7 CFR 330.300 that the movement of soil (moved as such or incidentally adhering to means of conveyance, plants, or other articles) from Puerto Rico into or through any other Territory or possession or the Continental United States is prohibited except under certain conditions specified in said § 330.300 or incorporated by reference in said § 330.300."

§§ 301.81–2b and 301.81–3 [Amended]

4. In §§ 301.81–2b and 301.81–3, footnotes 1a, 2, 3, and 4 and the references thereto are renumbered as 3, 4, 5, and 6 respectively; and § 301.81–2b is further amended by changing "paragraphs:" to "paragraphs: [2]" and adding a corresponding footnote in the appropriate place to read as follows: "[2] The interstate movement of soil from Puerto Rico is also subject to additional provisions in 7 CFR Chapter III. It is provided in 7 CFR 330.300 that the movement of soil (moved as such or incidentally adhering to means of conveyance, plants, or other articles) from Puerto Rico into or through any other Territory or possession or the Continental United States is prohibited except under certain conditions specified in said § 330.300 or incorporated by reference in said § 330.300."

PART 330—FEDERAL PLANT PEST REGULATIONS; GENERAL; PLANT PESTS; SOIL, STONE, AND QUARRY PRODUCTS; GARBAGE

§ 330.300 [Amended]

5. The section heading for § 330.300 is amended by adding a [1] in footnote form at the end of the heading and a corresponding footnote is added in the appropriate place as follows: "[1] The movement of soil from Puerto Rico into or through any other State, Territory, or District of the United States is also subject to the provisions of the imported fire ant quarantine and regulations contained in 7 CFR 301.81 *et seq.*"

(Secs. 105, 106, 71 Stat. 32, 33 (7 U.S.C. 150dd, 150ee); 7 CFR 2.17, 2.51, 371.2)

Done at Washington, D.C., this 16th day of August 1982.

Murray T. Pender,

Acting Deputy Administrator, Plant Protection and Quarantine, Animal and Plant Health Inspection Service.

[FR Doc. 82–22700 Filed 8–18–82; 8:45 am]

BILLING CODE 3410–34–M

Agricultural Marketing Service

7 CFR Part 908

[Valencia Orange Reg. 304]

Valencia Oranges Grown in Arizona and Designated Part of California; Limitation of Handling

AGENCY: Agricultural Marketing Service, USDA.

ACTION: Final rule.

SUMMARY: This regulation establishes the quantity of fresh California-Arizona Valencia oranges that may be shipped to market during the period August 20–August 26, 1982. Such action is needed to provide for orderly marketing of fresh Valencia oranges for this period due to the marketing situation confronting the orange industry.

EFFECTIVE DATE: August 20, 1982.

FOR FURTHER INFORMATION CONTACT: William J. Doyle, 202–447–5975.

SUPPLEMENTARY INFORMATION:

Findings

This rule has been reviewed under Secretary's Memorandum 1512–1 and Executive Order 12291 and has been

designated a "non-major" rule. William T. Manley, Deputy Administrator, Agricultural Marketing Service, has determined that this action will not have a significant economic impact on a substantial number of small entities. This action is designed to promote orderly marketing of the California-Arizona Valencia orange crop for the benefit of producers and will not substantially affect costs for the directly regulated handlers.

This regulation is issued under the marketing agreement, as amended, and Order No. 908, as amended (7 CFR Part 908), regulating the handling of Valencia oranges grown in Arizona and designated part of California. The agreement and order are effective under the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601–674). The action is based upon the recommendation and information submitted by the Valencia Orange Administrative Committee and upon other available information. It is hereby found that this action will tend to effectuate the declared policy of the Act by establishing and maintaining, in the interests of producers and consumers, an orderly flow of oranges to market, and avoiding unreasonable fluctuations in supplies and prices. This action is not for the purpose of maintaining prices to farmers above the level which is declared to be the policy of Congress under the Act.

This action is consistent with the marketing policy for 1981–82 which was recommended by the committee following discussion at a public meeting on February 5, 1982. The committee met again publicly on August 17, 1982 at Los Angeles, California, to consider the current and prospective conditions of supply and demand and recommended a quantity of Valencias deemed advisable to be handled during the specified week. The committee reports the demand for Valencia oranges is good.

It is further found that it is impracticable and contrary to the public interest to give preliminary notice, engage in public rulemaking, and postpone the effective date until 30 days after publication in the **Federal Register** (5 U.S.C. 553), because of insufficient time between the date when information became available upon which this regulation is based and the effective date necessary to effectuate the declared policy of the Act. Interested persons were given an opportunity to submit information and views on the regulation at an open meeting. It is necessary to effectuate the declared policy of the Act to make this regulatory provision effective as specified, and handlers have been apprised of such provision and the effective time.

List of Subjects in 7 CFR Part 908

Marketing agreements and orders, California, Arizona, Oranges (Valencia).

1. Section 908.604 is added as follows:

§ 908.604 Valencia orange regulation 304.

The quantities of Valencia oranges grown in Arizona and California which may be handled during the period August 20, 1982, through August 26, 1982, are established as follows:

(1) District 1: 259,000 cartons;
(2) District 2: 291,000 cartons;
(3) District 3: Unlimited cartons.

(Secs. 1–19, 48 Stat. 31, as amended; 7 U.S.C. 601–674)

Dated: August 18, 1982.

D. S. Kuryloski,

Deputy Director, Fruit and Vegetable Division, Agricultural Marketing Service.

[FR Doc. 82-22907 Filed 8-18-82; 11:48 am]

BILLING CODE 3410-02-M

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7 CFR Parts 915 and 944

[Florida Avocado Regulation 26; Avocado Import Regulation 32]

Avocados Grown in South Florida and Imported Avocados; Grade and Maturity Requirements

AGENCY: Agricultural Marketing Service, USDA.

ACTION: Final rule.

SUMMARY: These regulations specify minimum grade and maturity requirements for shipments of fresh avocados grown in south Florida, and for avocados imported into the United States. Such action is necessary to assure the shipment of ample supplies of mature avocados of acceptable quality in the interests of producers and consumers.

DATES: Effective August 23, 1982, through April 30, 1983.

FOR FURTHER INFORMATION CONTACT: William J. Doyle, Acting Chief, Fruit Branch, F&V, AMS, USDA, Washington, D.C. 20250, telephone 202–447–5975.

SUPPLEMENTARY INFORMATION: This rule has been reviewed under Secretary's Memorandum 1512–1 and Executive Order 12291, and has been designated a "non-major" rule. William T. Manley, Deputy Administrator, Agricultural Marketing Service, has determined that this action will not have a significant economic impact on a substantial number of small entities. The action is designed to promote orderly marketing of the Florida avocado crop and of imported avocados for the benefit of producers, and will not substantially affect costs for persons directly regulated.

An interim rule was published in the **Federal Register** on May 21, 1982, (47 FR 22075) which specified grade and maturity requirements applicable to shipments of Florida avocados and imported avocados through August 22, 1982. That rule provided an opportunity to file comments through June 21, 1982. No comments were received. This final rule contains the same requirements as specified in the interim rule.

The Florida avocado regulation is issued under the marketing agreement, as amended, and Order No. 915, as amended (7 CFR Part 915), regulating the handling of avocados grown in south Florida. The agreement and order are effective under the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601–674). The avocado import regulation is issued under § 8e (7 U.S.C. 608e–1) of this act. The grade and maturity requirements applicable to Florida avocado shipments were recommended by the Avocado Administrative Committee, which locally administers this marketing order program.

The regulations establish U.S. No. 3 as the minimum grade, and prescribe minimum weights or diameters by specified dates as the maturity requirements for the various varieties of avocados. Minimum weights or diameters and picking dates are used as indicators during harvest to determine which avocados are sufficiently mature to complete the ripening process. Skin color is also authorized as a method of determining maturity, for those varieties which turn red or purple when mature. The requirements are designed to assure that the various varieties of avocados will be of suitable quality and maturity so they provide consumer satisfaction, which is essential for the successful marketing of the crop. They are also designed to provide the trade and consumers with an adequate supply of mature avocados of acceptable quality, in the interest of producers and consumers pursuant to the declared policy of the act.

The import requirements are issued under section 8e of the act, which requires that when specified commodities, including avocados, are regulated under a Federal marketing order, imports of that commodity must meet the same or comparable grade, size, quality, or maturity requirements as those in effect for the domestically produced commodity.

To minimize disruption as much as possible and still bring this marketing order into compliance with the Secretary's guidelines for fruit, vegetable, and specialty crop marketing orders, issued January 25, 1982, this regulation is being issued with the understanding that the Avocado Administrative Committee will initiate certain actions during 1982. These actions are necessary so that operations under the program will conform with the guidelines. The guidelines state that orders containing quality provisions, like the Florida avocado order, should not be used as a form of supply control. In evaluating quality control programs, emphasis is placed on (1) whether quality controls have varied significantly from season to season or within seasons, (2) whether the percentage of product meeting minimum quality standards has been declining, or (3) whether the standards have been tightened over the years. In addition, to conform with the guidelines, marketing orders should contain limitation on committee tenure and provide for periodic referenda.

For the 1982–83 season, the Avocado Administrative Committee estimates fresh shipments at a record 1,300,00 bushels (55 pounds), 33 percent more than the estimated 976,872 bushels shipped fresh in 1981–82, and 17 percent more than the 1,113,951 bushels shipped fresh in 1980–81. Shipments of fresh avocados from California are expected to reach 6,100,000 bushels during the California season ending October 31, 1982. Relatively small amounts of avocados are imported into the United States, mostly from the Dominican Republic. Florida avocado shipments began with light movement in June, while heavy movement is expected during the July–January period.

It is found that it is impracticable and contrary to the public interest to postpone the effective date of these regulations until 30 days after publication in the **Federal Register** (5 U.S.C. 553), and good cause exists for making these regulatory provisions effective as specified in that: (1) No comments were received during the 30 days provided in the interim rule published in the **Federal Register**; (2) the grade and maturity requirements in this final rule are the same as those in the interim rule; and (3) the avocado import requirements are mandatory under section 8e of the act, and 30 days notice is provided as required.

List of Subjects in 7 CFR Part 915

Marketing Agreements and Orders, Avocados, Florida.

List of Subjects in 7 CFR Part 944

Food Grades and Standards, Imports, Avocados.

Therefore, new §§ 915.326 and 944.24 are added to read as follows: (§§ 915.326 and 944.24 expire April 30, 1983, and will not be published in the annual Code of Federal Regulations).

PART 915—AVOCADOS GROWN IN SOUTH FLORIDA

Section 915.326 is added to read as follows:

§ 915.326 Florida Avocado Regulation 26.

(a) During the period August 23, 1982, through April 30, 1983, no handler shall handle any variety of avocados grown in the production area unless:

(1) Such avocados grade at least U.S. No. 3, except for avocados handled within the production area in containers other than those authorized in § 915.305.

(2) Such avocados have any portion of the skin of the individual fruit changed to the color normal for that fruit when mature for those varieties which normally change color to any shade of red or purple when mature, except for the Linda variety.

(3) Such avocados, except as provided in paragraph (a)(2) of this section, meet the minimum weight and diameter requirements for the specified effective periods for each variety listed in the following Table I: *Provided,* That avocados may not be handled prior to the earliest date specified in column 2 of such table for the respective variety: *Provided further,* That up to a total of 10 percent, by count, of the individual fruit in each lot may weigh less than the minimum specified or be less than the specified diameter, except that no such avocados shall be over 2 ounces lighter than the minimum weight specified for the variety: *Provided further,* That up to double such tolerance shall be permitted for fruit in an individual container in a lot.

TABLE 1

Avocado variety	Effective period		Minimum size	
	From	Through	Weight ounces	Diameter inches
West Indian Seedling [1]	7-26-82	8-29-82	16	
	8-30-82	9-26-82	14	
Cash	7-12-82	9-26-82	16	
B & B	7-26-82	8-29-82	16	3 5/16
Miguel (P)	8-23-82	9-05-82	18	3 13/16
Nesbitt	8-16-82	8-29-82	14	3 5/16
Beta	8-16-82	9-05-82	16	3 5/16
Mille-D	8-09-82	9-05-82	18	
K-9	8-09-82	8-29-82	16	
Gorham	8-23-82	9-05-82	27	4 3/16
Shula	8-09-82	8-29-82	22	
Tower-2	8-23-82	9-12-82	12	3 5/16
Christina	8-09-82	8-29-82	11	2 15/16
Tonnage	8-23-82	8-29-82	14	3 5/16

TABLE 1—Continued

Avocado variety	Effective period		Minimum size	
	From	Through	Weight ounces	Diameter inches
	8-30-82	9-05-82	12	3
Waldin	8-23-82	9-05-82	14	3 5/16
	9-06-82	9-19-82	12	3 5/16
The Franves	8-16-82	9-12-82	23	
Lisa (P)	8-23-82	8-29-82	11	3
Catalina	8-23-82	9-05-82	24	
	9-06-82	9-26-82	22	
Fairchild	8-23-82	9-05-82	16	3 15/16
	9-06-82	9-19-82	14	3 7/16
	9-20-82	9-26-82	12	3 5/16
Nirody	8-23-82	9-05-82	18	3 15/16
	9-06-82	9-19-82	16	3 13/16
Loretta	8-23-82	10-03-82	28	4 5/16
Blair	9-06-82	9-19-82	16	3 5/16
	9-20-82	10-10-82	14	3 5/16
Black Prince	9-06-82	9-19-82	23	3 15/16
	9-20-82	10-10-82	16	3 5/16
Booth 8	9-06-82	9-26-82	16	3 5/16
	9-27-82	10-10-82	14	3 5/16
	10-11-82	10-24-82	10	3 5/16
Booth 7	9-06-82	9-19-82	18	3 13/16
	9-20-82	10-03-82	16	3 13/16
	10-04-82	10-17-82	14	3 5/16
Booth 5	9-13-82	9-26-82	14	3 5/16
	9-27-82	10-10-82	12	3 5/16
Csonka	9-13-82	10-10-82	22	
Guatemalan Seedling [2]	9-13-82	10-10-82	15	
	10-11-82	12-12-82	13	
Marcus	9-13-82	9-26-82	32	4 13/16
	9-27-82	11-07-82	24	4 5/16
Brooks 1978	9-13-82	9-19-82	12	3 5/16
	9-20-82	9-26-82	10	3 5/16
	9-27-82	10-17-82	8	2 15/16
Chica	9-20-82	10-03-82	12	3 7/16
	10-04-82	10-17-82	10	3 5/16
Collinson	9-20-82	10-17-82	16	3 15/16
Rue	9-20-82	9-26-82	30	4 5/16
	9-27-82	10-10-82	24	3 15/16
	10-11-82	10-24-82	18	3 5/16
Hickson	9-20-82	10-03-82	12	3 5/16
	10-04-82	10-17-82	10	3
Vaca	9-27-82	10-17-82	16	3 5/16
Sherman	9-27-82	10-10-82	16	
	10-11-82	10-24-82	14	
	10-25-82	11-14-82	10	
Simpson	9-27-82	10-17-82	16	3 5/16
Choquette	9-27-82	10-10-82	24	4 5/16
	10-11-82	10-24-82	20	3 15/16
	10-25-82	11-07-82	16	3 5/16
Winslowson	10-04-82	10-24-82	18	3 15/16
Booth 10	10-04-82	10-31-82	16	3 15/16
Avon	10-04-82	10-24-82	15	3 13/16
Booth 11	10-04-82	10-24-82	16	3 13/16
Leona	10-04-82	10-17-82	18	3 15/16
Nelson	10-04-82	10-17-82	14	3 5/16
	10-18-82	10-31-82	12	3 5/16
	11-01-82	11-21-82	10	3 5/16
Hall	10-04-82	10-17-82	26	3 15/16
	10-18-82	10-31-82	20	3 5/16
	11-01-82	11-14-82	18	3 5/16
Herman	10-11-82	10-24-82	16	3 5/16
	10-25-82	11-07-82	14	3 5/16
Murphy	10-11-82	10-24-82	16	
	10-25-82	11-07-82	14	
	11-08-82	11-28-82	11	
Lula	10-11-82	10-24-82	18	3 15/16
	10-25-82	11-07-82	14	3 5/16
	11-08-82	11-21-82	12	3 5/16
Ajax (B-7)	10-18-82	11-07-82	18	3 15/16
Taylor	10-18-82	10-31-82	14	3 5/16
	11-01-82	11-14-82	12	3 5/16
Booth 3	10-18-82	10-24-82	16	3 5/16
	10-25-82	11-07-82	14	3 5/16
Dunedin	11-01-82	11-14-82	16	3 15/16
	11-15-82	11-28-82	14	3 5/16
	11-29-82	12-19-82	10	3 5/16
Byars	11-08-82	11-28-82	16	3 15/16
Linda	11-08-82	11-28-82	18	3 13/16
Nabal	11-08-82	11-28-82	14	3 5/16
Monroe	11-08-82	11-21-82	24	4 5/16
	11-22-82	12-05-82	20	3 15/16
	12-06-82	12-19-82	16	3 5/16
Booth 1	11-15-82	11-28-82	16	3 13/16
	11-29-82	12-12-82	12	3 5/16
Marclin	11-22-82	12-19-82	28	4 5/16
Zio (P)	11-22-82	12-05-82	12	3 5/16
	12-06-82	12-19-82	10	2 15/16

TABLE 1—Continued

Avocado variety	Effective period		Minimum size	
	From	Through	Weight ounces	Diameter inches
Wagner	11-29-82	12-12-82	12	3 3/16
	12-13-82	12-26-82	10	3 3/16
Schmidt	11-29-82	12-26-82	16	
Brookslate	12-13-82	12-26-82	18	3 13/16
	12-27-82	1-16-83	14	3 1/16
	1-17-83	1-30-83	12	3 1/16
	1-31-83	2-13-85	10	
Meya (P)	12-20-82	1-02-83	13	3 1/16
	1-03-83	1-16-83	11	3
Itzamna	2-07-83	2-13-83	12	

[1]Avocados of the West Indian type varieties and the West Indian type seedlings not listed elsewhere in Table 1.
[2]Avocados of the Guatemalan type varieties, hybrid varieties, and unidentified seedings not listed elsewhere in Table 1.

(b) The term "diameter" shall mean the greatest dimension measured at a right angle to a straight line from the stem to the blossom end of the fruit, and the term "U.S. No. 3" shall mean the same as in the U.S. Standards for Grades of Florida Avocados (7 CFR 51.3050–3069).

PART 944—FRUITS; IMPORT REGULATIONS

Section 944.24 is added to read as follows:

§ 944.24 Avocado Import Regulation 32.

(a) *Applicability to imports.* Pursuant to section 8e of the act and Part 944—Fruits; Import Regulations, the importation into the United States of any avocados is prohibited during the period August 23, 1982, through April 30, 1983, unless:

(1) Such avocados grade at least U.S. No. 3, as defined in § 915.326.

(2) Such avocados of the Pollack, Trapp, and Catalina varieties meet the maturity requirements specified in paragraph (a)(2), or in paragraph (a)(3) and Table 1 of § 915.326, for these varieties.

(3) Such avocados of the West Indian type varieties and West Indian type seedlings, except for the Pollack and Trapp varieties, meet the maturity requirements specified in paragraph (a)(2), or in paragraph (a)(3) and Table 1 of § 915.326, for West Indian Seedlings.

(4) Such avocados of the Guatemalan type varieties, hybrid varieties, and unidentified seedlings, except for the Catalina variety, meet the maturity requirements specified in paragraph (a)(2), or in paragraph (a)(3) and Table 1 of § 915.326, for Guatemalan Seedlings.

(b) It is hereby found that avocados imported into the United States shall meet the same grade and maturity requirements specified in § 915.326 for avocados grown in South Florida under M.O. 915 (7 CFR Part 915), except that all varieties of avocados, other than the Pollack, Catalina, and Trapp varieties, shall meet comparable weight and diameter maturity requirements, because it is not practicable to apply the same requirements due to the variations in characteristics between avocados grown in Florida and avocados imported into the United States.

(c) The Federal or Federal-State Inspection Service, Fruit and Vegetable Division, Agricultural Marketing Service, United States Department of Agriculture, is designated as the governmental inspection service for certifying the grade, size, quality, and maturity of avocados that are imported into the United States. Inspection by the Federal or Federal-State Inspection Service with evidence thereof in the form of an official inspection certificate, issued by the respective service, applicable to the particular shipment of avocados, is required on all imports. The inspection and certification services will be available upon application in accordance with the rules and regulations governing inspection and certification of fresh fruits, vegetables, and other products (7 CFR Part 51) and in accordance with the procedure for Requesting Inspection and Designating the Agencies to Perform Required Inspection and Certification (7 CFR Part 400).

(d) The term "importation" means the release from custody of the United States Customs Service.

(e) *Minimum quantity exemption.* Any person may import up to 55 pounds of avocados exempt from the requirements specified in this section, except for avocados which have been inspected and found not to meet such requirements.

(f) Any lot or portion thereof which fails to meet the import requirements prior to or after reconditioning may be exported or disposed of under the supervision of the Federal or Federal-State Inspection Service with the costs of certifying the disposal of said lot borne by the importer.

(Secs. 1–19, 48 Stat. 31, as amended; 7 U.S.C. 601–674)

Dated: August 16, 1982, to become effective August 23, 1982.

D. S. Kuryloski,

Deputy Director, Fruit and Vegetable Division, Agricultural Marketing Service.

[FR Doc. 82-22590 Filed 8-18-82; 8:45 am]

BILLING CODE 3410-02-M

Food Safety and Inspection Service

9 CFR Part 319

[Docket No. 79-768F]

Definitions and Standards of Identity or Composition Braunschweiger, Liver Sausage, Liverwurst

AGENCY: Food Safety and Inspection Service, USDA.

ACTION: Final rule.

SUMMARY: This final rule amends the Federal meat inspection regulations to allow greater ingredient flexibility in the standards for "Braunschweiger" and "Liver Sausage". It permits the use of fresh, frozen and/or cured beef, veal and/or pork, individually or in combination, in the formulation of Braunschweiger and Liver Sausage. Further, it specifically allows the use of beef fat in Braunschweiger since beef fat has been traditionally used in Liver Sausage as a beef byproduct. Alternative names for these products such as "Liverwurst" and "Braunschweiger—A Liver Sausage" have previously been permitted under approved labeling guidelines and are now specifically authorized by this rule. The proposed requirements for a smoked taste characteristic in Braunschweiger and for species labeling in Braunschweiger and Liver Sausage, when formlated from a single species, have been made optional.

EFFECTIVE DATE: September 20, 1982.

FOR FURTHER INFORMATION CONTACT: Dr. Daniel D. Jones, Chief, Standards Branch, Standards and Labeling Division, Meat and Poultry Inspection Technical Services, Food Safety and Inspection Service, U.S. Department of Agriculture, Washington, D.C. 20250 (202) 447–7503.

SUPPLEMENTARY INFORMATION: .

Executive Order 12291

The Agency has made a determination that this final rule is not a "major rule" under Executive Order 12291. It will not result in an annual effect on the economy of $100 million or more; a major increase in costs or prices for consumers, individual industries, Federal, State, or local government agencies, or geographic regions; or significant adverse effects on competition, employment, investment, productivity, innovation, or on the ability of United States-based enterprises to compete with foreign-based enterprises in domestic or export markets. Implementation of this final rule will allow processors more

flexibility in meeting the product standards, as well as provide consumers with a wider choice of products.

Effect on Small Entities

The Administrator has determined that this final rule will not have a significant impact upon a substantial number of small entities as defined by the Regulatory Flexibility Act, Pub. L. 96-354 (5 U.S.C. 601). It is anticipated that the economic impact upon small entities would be minimal as the final rule allows processors more ingredient flexibility in meeting the Braunschweiger and Liver Sausage standards. The only new costs identified would be those of ordering new labels should a processor change the ingredient formulation of the product. The cost of new labeling would be minimal.

Background

The Secretary of Agriculture is authorized under section 7(c) of the Federal Meat Inspection Act (21 U.S.C. 607(c)) to prescirbe definitions and standards of identity or composition for meat food products. Section 319.182 of the Federal meat inspection regulations (9 CFR 319.182) currently requires the use of fresh and/or frozen pork and pork livers and/or beef livers in the production of Braunschweiger and Liver Sausage, while the use of cured pork, beef and veal, and pork fat is optional. Liver sausage may also contain pork and beef byproducts pork skins, sheep livers and/or goat livers.

The Agency was petitioned by Fred Usinger, Inc., to amend the standards to allow the addition of beef fat in Braunschweiger. The petition states that a small amount of beef fat imparts the firmness and texture that the petitioner's customers have come to expect and that the use of beef fat in Braunschweiger is part of traditional formulations that predate the regulatory standard.

The Proposal

As a result of the Usinger petition, on July 10, 1981, the Agency published a proposal in the **Federal Register** (46 FR 35660-35662) to amend the standards for Braunschweiger and Liver Sausage. The comment period ended on September 8, 1981.

The proposal in general would have amended the standards as follows:

1. Permit the use of fresh, cured and/or frozen beef, veal and/or pork;
2. Permit specifically the use of pork and/or beef fat;
3. Permit specifically the use of veal livers;
4. Require species labeling for Braunschweiger and Liver Sausage formulated from a single species;
5. Establish "Liverwurst" as a synonym for "Liver Sausage"; and
6. Require that Braunschweiger possess a smoked taste characteristic.

The proposal discussed the inconsistency of the current standards in specifically permitting pork fat but not beef fat in Braunschweiger, though Liver Sausage may contain beef byproducts, which may include beef fat, and both Braunschweiger and Liver Sausage may contain beef, which may include varying amounts of beef fat. It also noted that both Liver Sausage and Braunschweiger must contain some pork with no minimum amount being specified. However, it appears this requirement may prevent some consumers from purchasing the product who for religious or dietary reasons do not eat pork.

Comments

The Agency received 17 comments in response to the proposed rule—11 from meat processors, 3 from meat associations, 2 from State universities, and 1 from a retired sausagemaker. In general, the comments supported the added ingredient flexibility in producing these products, but were against the other proposed changes to the current regulations. Only one comment fully supported the proposal.

Most of the commenters voiced their opposition to two major issues—the proposed mandatory species labeling of Liver Sausage and Braunschweiger when formulated from components of a single species and the smoked taste characteristic in Braunschweiger. The issues raised by the commenters are summarized and addressed as follows:

1. Eleven commenters opposed the proposed requirement of species labeling. Eight of these expressed the opinion that species labeling for either Braunschweiger or Liver Sausage made from either pork or beef should be made optional. Three comments opposed species labeling for products prepared from pork ingredients but not for products prepared only with beef ingredients. The commenters stated that both Braunschweiger and Liver Sausage have historically been made from pork and are traditionally known to consumers as pork products. They maintained that mandatory species labeling for "Braunschweiger" or "Liver Sausage" formulated from pork only may suggest a different product to consumers. The result could be a loss of current marketing position to manufacturers of these products. The new labeling requirement would, according to these comments, also result in the discarding of current label supplies and cause new expenditures to change labeling devices, shipping containers, and promotional materials. It would also necessitate the maintenance of additional label inventories—one for an "all pork" product and one for products containing beef or veal. The commenters believed that mandatory species labeling would provide no new additional information that consumers could not obtain from reading the ingredients statement.

The Agency strongly believes that it is important to avoid consumer confusion and disruption of the products' marketing, but anticipates that many processors who formulate liver sausages from beef ingredients only may choose to identify their products as such. However, as pointed out by the commenters, in the case of product made from pork only, no additional information would be provided to consumers by requiring species labeling for Braunschweiger and Liver Sausage. Therefore, the Agency has decided to make species labeling an optional feature for these products and has amended the final rule to reflect this change.

2. Nine comments opposed the proposed requirement of a smoked taste characteristic for Braunschweiger. Some commenters contended that Braunschweiger has always had a smoked taste characteristic while others stated that the Agency failed to consider those processers who have never used smoked meats or a smoking process in making their product. Several commenters believe the adoption of this proposed requirement would decrease a producer's ability to meet consumer preferences and add needless cost to the production of Braunschweiger.

The Agency acknowledges that the comments indicate some processors use a smoked taste characteristic for Braunschweiger and some do not. An optional smoked taste characteristic would allow processors to continue to meet the various consumer preferences which have developed in response to these products. Therefore, the Agency has decided to make the smoked taste characteristic optional for Braunschweiger.

3. A meat processor requested that the use of less than 30 percent liver in Braunschweiger be permissible. The commenter stated that the minimum level of 30 percent liver gives Braunschweiger and Liver Sausage a bitter taste.

The Agency notes that the commenter did not submit any taste panel data or other data to support his claim. The

Agency further notes that the minimum level of 30 percent liver in Braunschweiger and Liver Sausage has been an acceptable level to processors and expected by consumers for many years. Product that does not contain 30 percent liver does not meet the standard and should not bear the name of the standardized product. Such product may be called "Imitation Braunschweiger" or some other suitable descriptive name. Therefore, the Agency concludes that it is not appropriate to change the minimum liver requirement for Braunschweiger at this time.

4. This same meat processor requested a change in the current regulations to allow formulation of Braunschweiger and Liver Sausage from partially cooked meat and liver. The commenter stated that a desirable spreadability is obtained by partially cooking the meat and liver portions and then adding broth to return the meat and liver to their precooked weight, before chopping for final cooking.

The Agency acknowledges that the procedure of scalding, or partially cooking, livers in the process of making Braunschweiger and Liver Sausage is a commonly accepted practice, provided that the scalding is part of a continuous operation, and the meat and liver are not fully cooked prior to the final cooking of the sausage. Since 10 percent added water is allowed in cooked sausages the addition of broth to the scalded meat and liver poses no compliance problems.

5. One comment from a State university requested the inclusion of poultry livers in Braunschweiger and Liver Sausage. The commenter stated that current research was being conducted to utilize poultry livers alone or in combination with beef and/or pork livers in Braunschweiger and Liver Sausage. Poultry livers are currently being discarded because of their unacceptability in their original form. The commenter suggested that species labeling such as "Poultry Braunschweiger" be required when liver sausages are formulated solely from poultry livers.

The Agency can find no evidence that poult ry liver is an expected ingredient of Braunschweiger. However, the Agency would be willing to consider such a change if the resulting product is labeled in such a manner as to distinguish it from the traditional product. Since the addition of poultry liver to Braunschweiger was not included in the original proposal, it should be the subject of separate rulemaking. Therefore, the Agency denies the request at this time.

6. A comment submitted from another State university discussed the correct use of the word "Braunschweiger". The comment stated that "Braunschweiger" is used as a prefix to sausage names and that the word refers to a finely cut or spreadable type of sausage, and is not a product name.

The Agency realizes that the word "Braunschweiger" has the form of an adjective in German and that the word is actually used as a prefix to sausage product names in Germany. However, the word has taken on a different usage in the United States. Because of longstanding use, based on Federal regulation, the word has come to be used as the name of a standardized product in the United States. This usage of the word "Braunschweiger" is documented in many U.S. English dictionaries and in meat technology reference works such as *Principal Characteristics of Sausages of the World Listed by Country of Origin* by Donald M. Kinsman (1981). The Agency concludes that it would be confusing to producers and consumers to try to change the usage of the word "Braunschweiger" at this time.

7. Another meat processor requested that the labeling options currently allowed under guidelines developed by the Agency be incorporated into the final rule. Those options are:

(1) Braunschweiger—A Liver Sausage (or Liverwurst); or

(2) Braunschweiger—(Liver Sausage (or Liverwurst))

The Agency agrees and so amends the final rule.

8. The comment from a retired sausage maker raised certain technical issues concernign the relationship between the composition and the properties of sausage emulsions. The comment also indicated that there is no difference between liver sausage and liverwurst.

The Agency believes the decision on the specific product formulation to use is appropriately left to individual sausagemarkers who will most often decide this question on the basis of market supply and demand considerations. The Agency neither affirms nor denies the existence of a difference between liver sausage and liverwurst. However, for purposes of clarity the Agency will retain both names in the title of the standard.

Final Rule

After thorough consideration of the comments received, the Agency has determined to adopt the final rule as amended. This final rule permits the use of fresh, cured, and/or frozen pork, beef and/or veal, individually or in combination in Braunschweiger and Liver Sausage. The use of veal livers is also specifically allowed. The final rule expressly permits the use of beef fat in Braunschweiger, which has traditionally been permissible in Liver Sausage. The final rule will continue to require 30 percent liver in the product, and will retain the provision regarding the optional use of Mechanically Separated (Species) (9 CFR 319.6). Binders and extenders are permissible only as provided in § 319.140 of the Federal meat inspection regulations (9 CFR 319.140).

Indexing Terms. As required by 1 CFR 18.20 (46 FR 7162, January 22, 1981), the following is the indexing term for this regulation:

List of Subjects in 9 CFR Part 319

Standards of identity.

PART 319—DEFINITIONS AND STANDARDS OF IDENTITY OR COMPOSITION

Accordingly, Part 319 of the Federal meat inspection regulations (9 CFR 319.182) is revised to read as follows:

1. The authority citation for Part 319 reads as follows:

Authority: 34 Stat. 1260, 79 Stat. 903, as amended, 81 Stat. 584, 84 Stat. 91, 438; 21 U.S.C. 71 *et seq.*, 601 *et seq.*, 33 U.S.C. 1254.

2. Section 319.182 (9 CFR 319.182) is revised to read as follows:

§ 319.182 Braunschweiger and liver sausage or liverwurst.

(a) "Braunschweiger" is a cooked sausage made from fresh, cured, and/or frozen pork, beef, and/or veal and at least 30 percent pork, beef, and/or veal livers computed on the weight of the fresh livers. It may also contian pork and/or beef fat. Mechanically Separated (Species) may be used in accordance with § 319.6. Binders and extenders may be used as permitted in § 319.140. The product may have a smoked taste characteristic, which may be imparted by use of smoked meats, smoke flavoring or smoking. If prepared from components of a single species, the product name may reflect the species, e.g., "Beef Braunschweiger." Braunschweiger may also be labeled as any of the following: "Braunschweiger—A Liver Sausage," "Braunschweiger—A Liverwurst," or "Braunschweiger (Liver Sausage)" or "Braunschweiger (Liverwurst)."

(b) "Liver Sausage" or "Liverwurst" is a cooked sausage made from fresh, cured, and/or frozen pork, beef, and/or veal and at least 30 percent pork, beef, veal, sheep, and/or goat livers computed

on the weight of the fresh livers. It may also contain pork and/or beef byproducts. Mechanically Separated (Species) may be used in accordance with § 319.6. Binders and extenders maybe used as permitted in § 319.140. If prepared from components of a single species, the product name may reflect that species, e.g., "Pork Liver Sausage."

Done at Washington, D.C., on August 3, 1982.

Donald L. Houston,

Administrator, Food Safety and Inspection Service.

[FR. Doc 82-22894 Filed 8-18-82; 8:45 am]

BILLING CODE 3410-DM-M

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9 CFR Parts 327 and 381

[Docket No. 82-009I]

Importation of Meat and Poultry Products

AGENCY: Food Safety and Inspection Service. USDA.

ACTION: Interim rule with request for comments.

SUMMARY: As the result of investigations and information revealing that imported meat and poultry product "refused entry" at United States' ports is remaining in the country, the Food Safety and Inspection Service (FSIS) is undertaking emergency rulemaking to decrease the likelihood that adulterated or misbranded meat and poultry products will enter into U.S. commerce. Among the actions being taken in this rulemaking are prohibitions on:

(1) The application of the "U.S. Inspected and Passed" markings on meat and poultry products prior to final import inspection;

(2) The subdivision of lots of "refused entry" products into smaller lots for separate disposition;

(3) The movement of "refused entry" product between ports without the provision of specific data to program officers;

(4) The movement of any "refused entry product" within the United States except under seal; and

(5) The sale of "refused entry" product, except to a foreign consignee for direct and immediate exportation.

This rulemaking would also increase the time limit that owners or consignees have to dispose of "refused entry" product from 30 days to 45 days, while restricting the circumstances for which extension of the time can be granted.

DATES: Interim rule effective August 19, 1982; comments must be received on or before October 18, 1982.

ADDRESS: Written comments to: Regulations Office, Attn: Annie Johnson, FSIS Hearing Clerk, Room 2637, South Agriculture Building, Food Safety and Inspection Service, U.S. Department of Agriculture, Washington, DC 20250. Oral comments on amendments to the poultry products inspection regulations to: Dr. Grace Clark, (202) 447-7610. (See also "Comments" under Supplementary Information.)

FOR FURTHER INFORMATION CONTACT:

Dr. Grace Clark, Director, Foreign Programs Division, International Programs, Food Safety and Inspection Service, U.S. Department of Agriculture, Washington, DC 20250, (202) 447-7610.

SUPPLEMENTARY INFORMATION:

Executive Order 12291 and Effects on Small Entities

The Administrator of the Food Safety and Inspection Service has determined that immediate implementation of this rule, on an interim basis, is necessary in order to further protect the consuming public from imported product refused entry into the U.S.

Analysis of the procedures set forth in this rule under Executive Order 12291 and the Regulatory Flexibility Act is not practicable at this time since investigations and information reveal that some imported meat and poultry product "refused entry" at U.S. ports has remained in the country and was not destroyed for human food purposes or exported. Pursuant to the provisions for emergency rules in section 8 of the Executive Order and 5 U.S.C. 608, there is an urgent need to prohibit the entry of such products into U.S. commerce. The required analyses will be made prior to publication of the final rule.

Comments

Interested persons are invited to submit comments concerning this action. Written comments must be sent in duplicate to the Regulations Office and should bear reference to the docket number located in the heading of this document. Any person desiring opportunity for oral presentation of views concerning the proposed amendments to the poultry products inspection regulations must make such request to Dr. Grace Clark so that arrangements may be made for such views to be presented. A transcript shall be made of all views orally presented. All comments submitted pursuant to this action will be made available for public inspection in the Regulations Office between 9:00 a.m. and 4:00 p.m., Monday through Friday.

Background

Recently, the Agency has received information from the Department of Agriculture's Office of the Inspector General revealing that product that had been "refused entry" at U.S. ports because it was adulterated or misbranded, in some cases, entered into U.S. domestic commerce for human food purposes. This information, arising from investigatory activities both in the U.S. and in foreign countries, has emphasized the need for strict controls over "refused entry" product and has raised serious concerns about the adequacy of current measures to control "refused entry" product in the U.S.

Based on these recent events, FSIS has also identified certain current procedures which provide less than adequate control over product offered for import which is found to be adulterated or misbranded and is refused entry. The Agency believes that such current practices unnecessarily provide opportunities for such product to enter into domestic commerce and be consumed as human food. As a result, the Agency is taking emergency steps to limit, as much as is reasonably possible, the opportunity for product which has been refused entry into the U.S. to enter domestic commerce through illegitimate means.

The following paragraphs discuss (1) the relationship between FSIS and the U.S. Customs Service, (2) present procedures and the problems that have been identified in those procedures, and (3) the steps that are being taken in this rulemaking.

1. *The relationship of FSIS with U.S. Customs Service.* It is the general responsibility of the Treasury Department and in particular the U.S. Customs Service to enforce the Tariff Act of 1930, as amended. Thus, it is the primary responsibility of Customs to assess and collect custom duties and excise taxes on imported merchandise, to intradict or seize contraband which is attempted to be imported into the U.S., and finally to assess, mitigate, or collect penalties for failure to meet the conditions of any bond posted by importers and individuals with the Customs Service. In addition to this activity related to the Tariff Act, Customs also assists in the enforcement of the laws and regulations governing the admissibility of imports for over 40 Federal agencies, including FSIS. The size of the burdens placed upon Customs officials is immense, for during FY 1980, Customs inspected merchandise valued at $211.5 billion and

collected $8.2 billion in duties, taxes, and fees.

Federal statutes that impose admissibility requirements on imported products, such as those imposed by FSIS, often specify that the Secretary of Treasury (Customs) shall assist in the enforcement of the statute. Generally, these laws permit Customs to release goods to importers under performance bonds before all admissibility requirements have been met. In the event importers fail to meet the conditions of their bonds, the matter is resolved according to Customs penalty regulations.

There is, however, a need to impose stricter controls on imported food items because of the potential harm such products which are adulterated or misbranded could cause by getting into the mainstream of commerce. Customs procedures may penalize importers if adulterated food products are introduced into commerce, but that does not protect the unaware purchaser and consumer of those products.

Therefore, additional restrictions on the handling of "refused entry" products are warranted. Section 20 of the Federal Meat Inspection Act (21 U.S.C. 620) and section 17 of the Poultry Products Inspection Act (21 U.S.C. 466) authorize the Secretary of Agriculture to prescribe terms and conditions for the destruction of meat and poultry products found to be adulterated or misbranded or otherwise in violation of those Acts, unless they are exported by the owner or consignee of the property within the time designated by the Secretary.

Although the applicable statutory provisions require FSIS to take certain actions with regard to imported products that might be refused entry, such action is accomplished only with the help of the Customs Service. A close working relationship with the Customs Service is absolutely necessary for the performance of FSIS' statutory duties to inspect imported meat and poultry product and dispose of that which does not meet the requirements of the Acts.

2. *Present procedures.* FSIS is responsible for inspecting meat and meat food and poultry products prior to their approval for importation into the U.S. by Customs. Procedures are currently in place so that prior to a product actually reaching U.S. ports, the broker, owner, or consignee importing the product will fill out a form, MP–410–Import Inspection Application and Report, and submit it to the Meat and Poultry Inspection (MPI) office at or for the port where the product will enter. The product enters the country under a Customs bond. This is a performance bond requiring the importer, owner, or consignee to meet the requirements for importation within a stated period of time. If the requirements are not met within the stated period, the importer must either redeliver, destroy, or export the product or be forced to forfeit the bond.

Upon entry of a meat or poultry product, Customs authorizes delivery of the product to an FSIS inspection site. This site may be either at or near the port of entry or at an inland authorized inspection site. If shipped inland, the product is placed under USDA seal to be removed only by a program employee or Customs official. At the inspection site, the product is inspected to determine if there is an indication of adulteration or misbranding. Samples, as appropriate, are taken and sent to FSIS laboratories for analysis for various purposes, including identification of residue levels and species verification. Subsequent to inspection, the inspector will sign the MP–410, verifying completion of FSIS inspection and inspection outcome. If the product is in compliance, it is then released into commerce.

Where, however, there is a finding that the product is adulterated, misbranded, or otherwise fails to meet the requirements of the Acts, the product is returned to Customs at the port of entry and an MPI form 63, a Refused Entry Notification, is filled out and placards placed upon the product, indicating that the product has been refused entry. Copies of the MPI form 63 are then delivered to the broker, the Regional Office of FSIS, and to the Customs Service advising Customs that the product does not meet U.S. standards. At that point, Customs and FSIS must be assured that the product is disposed of in at least one of three ways: the product may be destroyed; the product may be exported; or finally, with the approval of the Food and Drug Administration, the product may be destroyed for human food purposes and converted into animal food. If the product is to be exported, a Customs form, form 7512—Transportation Entry and Manifest of Goods Subject to Customs Inspection and Permit, is filled out. It indicates where the refused entry product will be sent and from which port. The product must be exported within the time specified in the regulations unless an extension is granted.

For the most part, the aforementioned inspection procedures have worked well to protect the public from adulterated or misbranded product reaching the marketplace in the U.S. However, there are opportunities, under current procedures, for product which has been "refused entry" to enter into the marketplace. Some importers have taken advantage of such opportunities and the Department believes that there is a present danger that, unless immediate action is taken to modify these procedures, additional product which should have been exported or destroyed may enter U.S. commerce. For example, the Agency recognizes that under current regulations product which has been refused entry at one port may be transported to a second port for shipment out of the country. At this second port, it is presently permissible for lots of product to be subdivided—some for export, some for destruction, and some to be destroyed for human food purposes and made available for pet food purposes. However, given the paperwork procedures previously discussed, it is difficult for Customs or FSIS to track the final disposition of the product. Thus, lots can be subdivided at separate times to various consignees and the Agency is unable to identify whether the lot has been fully shipped outside the country or otherwise been properly disposed of.

Exacerbating the problem is the fact that, although present regulations require disposition of the product within 30 days, extensions are freely granted. Customs has control of products which have been refused entry and await appropriate disposition. It must rely on forms that are transmitted to it by the various brokers, owners, and consignees of the product. Refused product has been known to remain in the U.S. for 2 or 3 years before being shipped to another country, during which time Customs' records may not indicate the location of the product.

Additionally, the Department has in the past permitted, under certain conditions, the "U.S. Inspected and Passed" shield to be placed upon product prior to its receiving full inspection which must be obliterated if the product does not ultimately pass inspection. However, the placing of the "U.S. Inspected and Passed" shield on product, prior to completion of FSIS inspection, offers additional opportunity for product which is found to be adulterated or misbranded to enter the U.S. marketplace.

3. *Regulatory Actions.* The Administrator concludes that it is appropriate to identify this situation as an emergency requiring the imposition of immediately effective interim regulations to limit the possibility of refused entry product from entering the U.S. commerce.

As a result of these interim regulations, the Agency would prohibit the application of the U.S. "Inspected

and Passed" markings on any product until after completion of FSIS inspections. These regulations would also prohibit any lot of product which has been "refused entry" from being subdivided for export or destruction in order to assure continual tracking of the product. Additionally, the owner of the product which has been refused entry would be prohibited from selling such product except as specified in the regulations. Product that is intended for export could be sold to a foreign consignee for the purpose of direct and immediate exportation. Product which is intended to be destroyed for human food purposes may only be sold to the end user, e.g., a pet food manufacturer or a renderer, for such purposes.

These interim regulations would restrict the granting of extensions for the disposition of product denied entry. Under present law, the owner or consignee of a product has 30 days with which to take action to either export or destroy the product for uses in human food. With these interim regulations, the owner or consignee shall have 45 days to take such action. The present practice of granting two 30-day extensions by Agency officials will be discontinued. Henceforth, only under extreme situations, such as dock workers' strikes or vessel delays, will extensions of the 45-day period be granted by the Administrator. The Department will take appropriate actions to have the product destroyed if the 45-day requirement is not met.

Because of the problems of tracking shipments of "refused entry" product to a port other than that which it entered, the interim regulations will restrict such movement. Only when the Agency is provided full information relating to the product's disposition, including the name of the vessel and the date of the export, may the product be shipped to a different U.S. port for export.

And finally, these regulations will require that all shipments of imported meat and poultry products which have been refused entry be transported in the U.S. only under seal. Under the present Federal meat inspection regulations, Agency officials moving refused entry product within the U.S. to and from ports may decide on their own initiative to not require a seal to be placed on the shipping container, if other adequate controls are met. However, under the new regulations, refused entry product will not be allowed to travel in interstate commerce, except under seal.

Indexing Terms. As required by 1 CFR 18.20 (46 FR 7162, January 22, 1981), the following are the index terms for this regulation:

List of Subjects

9 CFR Part 327

Meat inspection, Imported products.

9 CFR Part 381

Poultry products inspection, Imported products.

Accordingly, Part 327 of the Federal meat inspection regulations (9 CFR Part 327) and Part 381 of the poultry products inspection regulations (9 CFR Part 381) are amended as follows:

PART 327—IMPORTED PRODUCTS

1. The authority citation for Part 327 reads as follows:

Authority: 34 Stat. 1260, 79 Stat. 903, as amended, 81 Stat. 584, 84 Stat. 91, 438; 21 U.S.C. 71 *et seq.*, 601 *et seq.*, 33 U.S.C. 1254.

2. Section 327.10 (9 CFR 327.10) is amended by adding a new sentence after the first sentence of paragraph (b) and by revising the last sentence of paragraph (c) to read as follows:

§ 327.10 Samples; inspection of consignments; refusal of entry; marking.

* * * * *

(b) * * * Such inspection legend shall be placed upon the containers only after completion of official import inspection and product acceptance.* * *

(c) * * * The consignments refused entry shall be marked "U.S. Refused Entry."

3. Section 327.13 (9 CFR 327.13) is amended by revising paragraph (a) and the last sentence of paragraph (b) to read as follows:

§ 327.13 Foreign products offered for importation; reporting of findings to Customs; handling of articles refused entry.

(a)(1) Program inspectors shall report their findings as to any product which has been inspected in accordance with this part, to the Director of Customs at the original port of entry where the same is offered for clearance through Customs inspection.

(2) When product has been identified as "U.S. refused entry," the inspector shall request the Director of Customs to refuse admission to such product and to direct that the same be exported by the owner or consignee within the time specified in this section, unless the owner or consignee, within such specified time, shall cause the destruction thereof under the supervision of a Program employee so that the product can no longer be used as human food or shall cause the conversion to animal food uses, if permitted by the Food and Drug Administration. The owner or consignee of the refused entry product shall not transfer legal title to such product. If such title is illegally transferred, a subsequent purchaser will still be required to export the product or have it destroyed as specified in the notice provided the owner or consignee under paragraph (a)(5) of this section. However, the title to product intended for export may be transferred to a foreign consignee for direct and immediate exportation. Title to product intended for destruction for human food purposes may only be transferred to an end user, e.g. an animal food manufacturer or a renderer, for such purposes.

(3) No lot of product which has been refused entry may be subdivided during disposition pursuant to paragraph (a)(2) of this section. Additionally, such refused entry lot may not be shipped for export purposes to a port of entry, other than that through which the product came into the United States, without the expressed consent of an authorized representative of the Administrator based on full information concerning the product's disposition, including the name of the vessel and the date of export. For the purposes of this paragraph, the term "lot" shall refer to that portion of product identified on MP 410 in the original request for inspection of products for importation pursuant to § 327.5.

(4) Product which has been refused entry solely because of misbranding, in lieu of exportation or destruction pursuant to paragraph (a)(2) of this section, may be brought into compliance with the requirements of this Part, under supervision of an authorized representative of the Administrator.

(5) The owner or consignee shall have 45 days after notice is given by FSIS to the Director of Customs at the original port of entry to take the action required in paragraph (a)(2) of this section for refused entry product. Extension beyond the 45-day period may be granted within the discretion of the Administrator upon a showing of an extreme situation, such as a dock workers' strike or vessel delays.

(6) If the owner or consignee fails to take the required action within the time specified under paragraph (a)(5) of this section, the Department will take such action as may be necessary to effectuate its order to have the product destroyed for human food purposes. The Department shall seek court costs and fees, storage and proper expense in the appropriate legal forum.

(b) * * * All such product shall be returned in cars, trucks, or other means of conveyance, or in corded containers

sealed with the official import meat seal of the Department.

* * * * *

PART 381—POULTRY PRODUCTS INSPECTION REGULATIONS

4. The authority citation for Part 381 reads as follows:

Authority: Section 14 of the Poultry Products Inspection Act, as amended by the Wholesome Poultry Products Act (21 U.S.C. 451 *et seq.*); the Talmadge-Aiken Act of September 28, 1962 (7 U.S.C. 450); and subsection 21(b) of the Federal Water Pollution Control Act, as amended by Pub. L. 91–224 and by other laws (33 U.S.C. 1254).

5. Section 381.202 (9 CFR 381.202) is amended by revising paragraph (a) to read as follows:

§ 381.202 Poultry products offered for entry; reporting of findings to Customs; handling of articles refused entry.

(a)(1) Program inspectors shall report their findings as to any product which has been inspected in accordance with this part, to the Director of Customs at the original port of entry.

(2) When product has been identified as "U.S. refused entry," the inspector shall request the Director of Customs to refuse admission to such product and to direct that the same be exported by the owner or consignee within the time specified in this section, unless the owner or consignee, within such specified time, shall cause the destruction thereof under the supervision of a Program employee so that the product can no longer be used as human food or shall cause the conversion to pet food uses, if permitted by the Food and Drug Administration. The owner or consignee of the refused entry product shall not transfer legal title to such product. If such title is illegally transferred, a subsequent purchaser will still be required to export the product or have it destroyed as specified in the notice provided the owner or consignee under paragraph (a)(4) of this section. However, the title to product intended for export may be transferred to a foreign consignee for direct and immediate exportation. Title to product intended for destruction for human food purposes may only be transferred to an end user, e.g., a pet food manufacturer or a renderer, for such purposes.

(3) No lot of product which has been refused entry may be subdivided during disposition pursuant to paragraph (a)(2) of this section. Additionally, such refused entry lot may not be shipped for export purposes to a port of entry other than that through which the product came into the United States without the expressed consent of an authorized representative of the Administrator, based on full information concerning the product's disposition, including the name of the vessel and the date of export. For the purposes of this paragraph, the term "lot" shall refer to that portion of product identified on MP 410 in the original request for inspection of products for importation pursuant to § 381.198.

(4) The owner or consignee shall have 45 days after notice is given by FSIS to the Director of Customs at the original port of entry to take the action required in paragraph (a)(2) of this section for refused entry product. Extension beyond the 45-day period may be granted within the discretion of the Administrator upon a showing of an extreme situation, such as a dock workers' strike or a vessel delay.

(5) If the owner or consignee fails to take the required action within the time specified under paragraph (a)(4) of this section, the Department will take such actions as may be necessary to effectuate its order to have the product destroyed for human food purposes. The Department shall seek court costs and fees, storage and proper expenses in the appropriate forum.

6. Section 381.204 (9 CFR 381.204) is amended by adding a new sentence after the first sentence to read as follows:

§ 381.204 Marking of poultry products offered for entry.

* * * Such inspection legend shall be placed upon such products only after completion of official import inspection and product acceptance. * * *

* * * * *

Pursuant to the authority in 5 U.S.C. 553, it is found upon good cause that notice and other public procedures with respect to this amendment at this time are impracticable and contrary to public interest, and good cause is found for making this amendment effective less than 30 days after publication in the **Federal Register**. Comments have been solicited for 60 days after publication of this document, and a final document discussing comments received and any amendments required will be published in the **Federal Register** as soon as possible.

Done at Washington, DC, on August 2, 1982.

Donald L. Houston,

Administrator, Food Safety and Inspection Service.

[FR Doc. 82–22695 Filed 8–18–82; 8:45 am]

BILLING CODE 3410–DM–M

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

14 CFR Part 71

[Airspace Docket No. 82–ANE–11]

Designation of Federal Airways, Area Low Routes, Controlled Airspace and Reporting Points; Establishment of Gager Field, Bozrah, Connecticut, 700-Foot Transition Area

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Final rule.

SUMMARY: This amendment establishes a 700-foot transition area to provide controlled airspace protection for aircraft executing new RNAV Runway 02 or RNAV Runway 20 Standard Instrument Approach Procedures (SIAP's) at Gager Field, Bozrah, Connecticut.

EFFECTIVE DATE: September 18, 1982.

FOR FURTHER INFORMATION CONTACT: David Hurley, Operations, Procedures and Airspace Branch, ANE–530, New England Region, Federal Aviation Administration, 12 New England Executive Park, Burlington, Massachusetts 01803; telephone (617) 273–7285.

SUPPLEMENTARY INFORMATION:

History

On Thursday, June 3, 1982, a Notice of Proposed Rulemaking was published in the **Federal Register** (47 FR 34139) stating that the FAA was considering an amendment to Subpart G of Part 71 of the Federal Aviation Regulations (14 CFR Part 71) to establish a 700-foot transition area at Gager Field, Bozrah, Connecticut. This action will provide controlled airspace protection for aircraft executing either RNAV Runway 02 or RNAV Runway 20 Standard Instrument Approaches Procedure. Interested persons were invited to participate in this rulemaking process by submitting written comments on the proposal to the FAA. No objections were received.

List of Subjects in 14 CFR Part 71

Aviation safety, Transition areas.

Adoption of the Amendment

Accordingly, pursuant to the authority delegated to me, the Federal Aviation Administration amends § 71.181 of the Federal Aviation Regulations (14 CFR Part 71) by adding a new 700-foot transition area at Bozrah, Connecticut, to read as follows:

Bozrah, Connecticut

That airspace extending upward from 700 feet above the surface within a 5 mile radius of the center, 41°33'52" N 72°11'52" W, of Gager Field, Bozrah, CT; within 2.5 miles each side of the Runway 02 centerline extended, 190°38'40" T, from the 5 mile radius area to 9.5 miles south of the end of the runway; and within 2.5 miles each side of the Runway 20 centerline extended, 10°38'40" T, from the 5 mile radius area to 9 miles north of the end of the runway excluding the Willimantic, Connecticut Transition Area.

(Sec. 307(a) of the Federal Aviation Act of 1958 [49 U.S.C. 1348(a); section 6(c) of the Department of Transportation Act (49 U.S.C. 1655(c); § 11.61 of the Federal Aviation Regulations (14 CFR 11.61))

Note.—The FAA has determined that this regulation only involves an established body of technical regulations for which frequent and routine amendments are necessary to keep them operationally current. It is certified that this (1) Is not a "major rule" under Executive Order 12291; (2) is not a "significant rule" under DOT Regulatory Policies and Procedures (44 FR 11034; February 26, 1979); (3) does not warrant preparation of a regulatory evaluation as the anticipated impact is so minimal. It is certified that the rule will not have a significant economic impact on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

Issued in Burlington, Massachusetts, on August 6, 1982.

Robert E. Whittington,

Director, New England Region.

[FR Doc. 82-22331 Filed 8-16-82; 8:45 am]

BILLING CODE 4910-13-M

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14 CFR Part 71

[Airspace Docket No. 82-ASO-35]

Designation of Federal Airways, Area Low Routes, Controlled Airspace, and Reporting Points; Alteration of Certain Transition Areas in Florida and North Carolina

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Final rule; request for comments.

SUMMARY: This amendment alters certain transition areas in Florida and North Carolina by correcting the names of airports upon which airspace designations are predicated. No change in airspace designation is intended by this action.

DATES: Effective date: 0901 G.m.t., October 28, 1982.

Comments must be received on or before September 28, 1982.

ADDRESSES:

Send comments on the rule in triplicate to: Federal Aviation Administration, ATTN: Chief, Airspace and Procedures Branch, ASO-530, Air Traffic Division, P.O. Box 20636, Atlanta, Georgia 30320.

The official docket may be examined in the Office of the Regional Counsel, Room 652, 3400 Norman Berry Drive, East Point, Georgia 30344, telephone: (404) 763-7646.

FOR FURTHER INFORMATION CONTACT: Donald Ross, Airspace and Procedures Branch, Air Traffic Division, Federal Aviation Administration, P.O. Box 20636, Atlanta, Georgia 30320; telephone: (404) 763-7646.

SUPPLEMENTARY INFORMATION:

Request for Comments on the Rule

Although this action is in the form of a final rule, which involves editorial corrections to certain transition areas, and, thus, was not preceded by notice and public procedure, comments are invited on the rule. When the comment period ends, the FAA will use the comments submitted, together with other available information, to review the regulation. After the review, if the FAA finds that changes are appropriate, it will initiate rulemaking proceedings to amend the regulation. Comments that provide the factual basis supporting the views and suggestions presented are particularly helpful in evaluating the effects of the rule and determining whether additional rulemaking is needed. Comments are specifically invited on the overall regulatory, aeronautical, economic, environmental, and energy aspects of the rule that might suggest the need to modify the rule.

The Rule

The purpose of this amendment to § 71.181 of Part 71 of the Federal Aviation Regulations (14 CFR Part 71) is to correctly list the names of airports specified in certain airspace designations. Various political bodies have officially changed the names of certain airports and it is necessary to alter the transition area descriptions to reflect these name changes. Section 71.181 of Part 71 of the Federal Aviation Regulations was republished in Advisory Circular AC 70-3 dated January 29, 1982. Under the circumstances presented, the FAA concludes that there is a need for a regulation to alter the various transition areas to reflect recent airport name changes. Therefore, I find that notice or public procedure under 5 U.S.C. 553(b) is unnecessary and that good cause exists for making this amendment effective October 28, 1982.

List of Subjects in 14 CFR Part 71

Aviation safety, Airspace, Transition area.

Adoption of the Amendment

Accordingly, pursuant to the authority delegated to me, § 71.181 of Part 71 of the Federal Aviation Regulations (14 CFR Part 71) (as amended) is further amended, effective 0901 G.m.t., October 28, 1982, as follows:

Daytona Beach, FL [Revised]

By deleting the words "* * * Municipal Airport, Ormond Beach * * *" and substituting for them the words "* * * Ormond Beach Municipal Airport * * *"

Orlando, FL [Revised]

By deleting the words "* * * Herndon Airport * * *" and substituting for them the words "* * * Orlando Executive Airport * * *"

Charlotte, NC [Revised]

By deleting the words "* * * Douglas Municipal Airport * * *" and substituting for them the words "* * * Charlotte/Douglas International Airport * * *"

Manteo, NC [Revised]

By deleting the words "* * * Manteo Airport * * *" and substituting for them the words "* * * Dare County Regional Airport * * *"

(Secs. 307(a) and 313(a), Federal Aviation Act of 1958 (49 U.S.C. 1348(a) and 1354(a)); Sec. 6(c), Department of Transportation Act (49 U.S.C. 1655(c)); and 14 CFR 11.69)

Note.—The FAA has determined that this regulation only involves an established body of technical regulations for which frequent and routine amendments are necessary to keep them operationally current. It, therefore, (1) Is not a "major rule" under Executive Order 12291; (2) is not a "significant rule" under DOT Regulatory Policies and Procedures (44 FR 11034; February 26, 1979); and (3) does not warrant preparation of a regulatory evaluation as the anticipated impact is so minimal. Since this is a routine matter that will only affect air traffic procedures and air navigation, it is certified that this rule will not have a significant economic impact on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

Issued in East Point, Georgia, on August 5, 1982.

Jonathan Howe,

Director, Southern Region.

[FR Doc. 82-22332 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-13-M

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14 CFR Part 71

[Airspace Docket No. 82-ASO-38]

Alteration of Certain Control Zones in Florida and North Carolina

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Final rule; request for comments.

SUMMARY: This amendment alters certain control zones in Florida and North Carolina by correcting the names of airports upon which the airspace designations are predicated. No change in airspace designation is intended by this action.

EFFECTIVE DATE: 0901 G.m.t. October 28, 1982. Comments must be received on or before September 28, 1982.

ADDRESSES: Send comments on the rule in triplicate to: Federal Aviation Administration, Chief, Airspace and Procedures Branch, ASO-530, Air Traffic Division, P.O. Box 20636, Atlanta, Georgia 30320.

The official docket may be examined in the Office of the Regional Counsel, Room 652, 3400 Norman Berry Drive, East Point, Georgia 30344, telephone: (404) 763-7646.

FOR FURTHER INFORMATION CONTACT: Donald Ross, Airspace and Procedures Branch, Air Traffic Division, Federal Aviation Administration, P.O. Box 20636, Atlanta, Georgia 30320; telephone: (404) 763-7646.

SUPPLEMENTARY INFORMATION:

Request For Comments On the Rule

Although this action is in the form of a final rule, which involves editorial corrections to certain control zones and, thus, was not preceded by notice and public procedure, comments are invited on the rule. When the comment period ends, the FAA will use the comments submitted, together with other available information to review the regulation. After the review, if the FAA finds that changes are appropriate, it will initiate rulemaking proceedings to amend the regulation. Comments that provide the factual basis supporting the views and suggestions presented are particularly helpful in evaluating the effects of the rule and determining whether additional rulemaking is needed. Comments are specifically invited on the overall regulatory, aeronautical, economic, environmental, and energy aspects of the rule that might suggest the need to modify the rule.

The Rule

The purpose of this amendment to § 71.171 of Part 71 of the Federal Aviation Regulations (14 CFR Part 71) is to correctly list the names of airports specified in certain airspace designations. Various political bodies have officially changed the names of certain airports and it is necessary to alter the control zone descriptions to reflect these name changes. Section 71.171 of Part 71 of the Federal Aviation Regulation was republished in Advisory Circular AC 70-3 dated January 29, 1982. Under the circumstances presented, the FAA concludes that there is a need for a regulation to alter the various control zones to reflect recent airport name changes. Therefore, I find that notice or public procedure under 5 U.S.C. 553(b) is unnecessary and that good cause exists for making this amendment effective in less than 60 days after its publication in the Federal Register.

List of Subjects in 14 CFR Part 71

Aviation safety, Airspace, Control zones.

Adoption Of The Amendment

Accordingly, pursuant to the authority delegated to me, § 71.171 of Part 71 of the Federal Aviation Regulations (14 CFR Part 71) (as amended) is further amended, effective 0901 G.m.t., October 28, 1982, as follows:

Orlando, FL (Herndon Airport) [Revised]

By deleting the above title and substituting for it "* * * Orlando, FL * * *" and by deleting from the description the words "* * * Herndon Airport * * *" and substituting for them the words "* * * Orlando Executive Airport * * *"

Orlando, FL (Orlando International Airport) [Revised]

By deleting the above title and substituting for it "* * * Orlando, FL (International Airport) * * *" and by deleting from the description the words "* * * Herndon Airport * * *" and substituting for them the words "* * * Orlando Executive Airport * * *"

Daytona Beach, FL [Revised]

By deleting the words "* * * Municipal Airport, Ormond Beach * * *" and substituting for them the words "* * * Ormond Beach Municipal Airport * * *"

Charlotte, NC [Revised]

By deleting the words "* * * Douglas Municipal Airport * * *" and substituting for them the words "* * * Charlotte/Douglas International Airport * * *"

(Secs. 307(a) and 313(a), Federal Aviation Act of 1958 (49 U.S.C. 1348(a) and 1354(a)); Sec. 6(c), Department of Transportation Act (49 U.S.C. 1655(c)); and 14 CFR 11.69)

Note.—The FAA has determined that this regulation only involves an established body of technical regulations for which frequent and routine amendments are necessary to keep them operationally current. It, therefore, (1) Is not a "major rule" under Executive Order 12291; (2) is not a "significant rule" under DOT Regulatory Policies and Procedures (44 FR 11034; February 26, 1979); and (3) does not warrant preparation of a regulatory evaluation as the anticipated impact is so minimal. Since this is a routine matter that will only affect air traffic procedures and air navigation, it is certified that this rule will not have a significant economic impact on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

Issued in East Point, Georgia, on August 10, 1982.

George R. LaCaille,

Acting Director, Southern Region.

FR Doc. 82-22771 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-13-M

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14 CFR Part 71

[Airspace Docket No. 82-ASO-21]

Alteration of Transition Area, Elizabethtown, Kentucky

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Final rule.

SUMMARY: This amendment alters the Elizabethtown, Kentucky, Transition Area by deleting reference to the former Elizabethtown-Hardin County Airport (Ben Floyd Field) which has been closed and by redesignating the Transition Area based on the new Elizabethtown-Hardin County Airport which recently opened. The alteration will also provide controlled airspace for containment of aircraft executing instrument approach procedures to the airport.

EFFECTIVE DATE: 0901 G.m.t., September 2, 1982.

FOR FURTHER INFORMATION CONTACT: Donald Ross, Airspace and Procedures Branch, Air Traffic Division, Federal Aviation Administration, P.O. Box 20636, Atlanta, Georgia 30320; telephone: (404) 763-7646.

SUPPLEMENTARY INFORMATION: .

History

On Thursday, May 27, 1982, the FAA proposed to amend Part 71 of the Federal Aviation Regulations (14 CFR Part 71) by redesignating the Elizabethtown, Kentucky, Transition Area to provide controlled airspace for instrument flight operations in the vicinity of the new Elizabethtown-Hardin County Airport. The present airspace designation is predicated upon an airport that has been closed (47 FR 23180). Interested parties were invited to participate in this rulemaking proceeding by submitting written comments on the proposal to the FAA. No objections to the proposal were received in response to publication. However, our review of the proposal disclosed a requirement for a 7-mile radius area rather than a 6.5-mile radius area. This additional half-mile is required for containment of departing aircraft until they reach an altitude

which is 1,200 feet above the surface. Except for this minor increase in the size of the basic radius area, this amendment is the same as that proposed in the notice. Section 71.181 of Part 71 of the Federal Aviation Regulations was republished in Advisory Circular AC 70-3 dated January 29, 1982.

The Rule

This amendment to Part 71 of the Federal Aviation Regulations alters the Elizabethtown, Kentucky, Transition Area by providing controlled airspace for containment of instrument flight operations in the vicinity of the new Elizabethtown-Hardin County Airport.

List of Subjects in 14 CFR Part 71

Aviation safety, Airspace, Transition area.

Adoption of the Amendment

Accordingly, pursuant to the authority delegated to me, § 71.181 of Part 71 of the Federal Aviation Regulations (14 CFR Part 71) (as amended) is further amended, effective 0901 GMT, September 2, 1982, as follows:

Elizabethtown, KY [Revised]

That airspace extending upward from 700 feet above the surface within a 7-mile radius of Elizabethtown-Hardin County Airport (Lat. 37°41'14" N., Long. 85°55'25" W.); excluding the portion within Louisville, Kentucky, Transition Area.

(Secs. 307(a) and 313(a), Federal Aviation Act of 1958 (49 U.S.C. 1348(a) and 1354(a)); Sec. 6(c), Department of Transportation Act (49 U.S.C. 1655(c)); and 14 CFR 11.69)

Note.—The FAA has determined that this regulation only involves an established body of technical regulations for which frequent and routine amendments are necessary to keep them operationally current. It, therefore, (1) Is not a "major rule" under Executive Order 12291; (2) is not a "significant rule" under DOT Regulatory Policies and Procedures (44 FR 11034; February 26, 1979); and (3) does not warrant preparation of a regulatory evaluation as the anticipated impact is so minimal. Since this is a routine matter that will only affect air traffic procedures and air navigation, it is certified that this rule will not have a significant economic impact on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

Issued in East Point, Georgia, on August 11, 1982.

George R. LaCaille,

Acting Director, Southern Region.

[FR Doc. 82-22769 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-13-M

14 CFR Part 97

[Docket No. 23258; Amdt. No. 1223]

Standard Instrument Approach Procedures; Miscellaneous Amendments

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Final rule.

SUMMARY: This amendment establishes, amends, suspends, or revokes Standard Instrument Approach Procedures (SIAPs) for operations at certain airports. These regulatory actions are needed because of the adoption of new or revised criteria, or because of changes occurring in the National Airspace System, such as the commissioning of new navigational facilities, addition of new obstacles, or changes in air traffic requirements. These changes are designed to provide safe and efficient use of the navigable airspace and to promote safe flight operations under instrument flight rules at the affected airports.

DATES: An effective date for each SIAP is specified in the amendatory provisions.

ADDRESSES: Availability of matters incorporated by reference in the amendment is as follows:

For Examination—

(1) FAA Rules Docket, FAA Headquarters Building, 800 Independence Avenue, SW., Washington, D.C. 20591;

(2) The FAA Regional Office of the region in which the affected airport is located; or

(3) The Flight Inspection Field Office which originated the SIAP.

For Purchase—Individual SIAP copies may be obtained from:

(1) FAA Public Information Center (APA-430), FAA Headquarters Building, 800 Independence Avenue, SW., Washington, D.C. 20591; or

(2) The FAA Regional Office of the region in which the affected airport is located.

By Subscription—Copies of all SIAPs, mailed once every 2 weeks, are for sale by the Superintendent of Documents, U.S. Government Printing Office, Washington, D.C. 20402.

FOR FURTHER INFORMATION CONTACT: Donald K. Funai, Flight Procedures and Airspace Branch (AFO-730), Aircraft Programs Division, Office of Flight Operations, Federal Aviation Administration, 800 Independence Avenue, SW., Washington, D.C. 20591; telephone (202) 426-8277.

SUPPLEMENTARY INFORMATION: This amendment to Part 97 of the Federal Aviation Regulations (14 CFR Part 97) prescribes new, amended, suspended, or revoked Standard Instrument Approach Procedures (SIAPs). The complete regulatory description of each SIAP is contained in official FAA form documents which are incorporated by reference in this amendment under 5 U.S.C. 552(a), 1 CFR Part 51, and § 97.20 of the Federal Aviation Regulations (FARs). The applicable FAA Forms are identified as FAA Forms 8260-3, 8260-4 and 8260-5. Materials incorporated by reference are available for examination or purchase as stated above.

The large number of SIAPs, their complex nature, and the need for a special format make their verbatim publication in the **Federal Register** expensive and impractical. Further, airmen do not use the regulatory text of the SIAPs, but refer to their graphic depiction on charts printed by publishers of aeronautical materials. Thus, the advantages of incorporation by reference are realized and publication of the complete description of each SIAP contained in FAA form document is unnecessary. The provisions of this amendment state the affected CFR (and FAR) sections, with the types and effective dates of the SIAPs. This amendment also identifies the airport, its location, the procedure identification and the amendment number.

This amendment to Part 97 is effective on the date of publication and contains separate SIAPs which have compliance dates stated as effective dates based on related changes in the National Airspace System or the application of new or revised criteria. Some SIAP amendments may have been previously issued by the FAA in a National Flight Data Center (FDC) Notice to Airmen (NOTAM) as an emergency action of immediate flight safety relating directly to published aeronautical charts. The circumstances which created the need for some SIAP amendments may require making them effective in less than 30 days. For the remaining SIAPs, an effective date at least 30 days after publication is provided.

Further, the SIAPs contained in this amendment are based on the criteria contained in the U.S. Standard for Terminal Instrument Approach Procedures (TERPs). In developing these SIAPs, the TERPs criteria were applied to the conditions existing or anticipated at the affected airports. Because of the close and immediate relationship between these SIAPs and safety in air commerce, I find that notice and public

procedure before adopting these SIAPs is unnecessary, impracticable, or contrary to the public interest and, where applicable, that good cause exists for making some SIAPs effective in less than 30 days.

List of Subjects in 14 CFR Part 97

Aviation safety, Approaches, Standard instrument.

Adoption of the Amendment

Accordingly, pursuant to the authority delegated to me, Part 97 of the Federal Aviation Regulations (14 CFR Part 97) is amended by establishing, amending, suspending, or revoking Standard Instrument Approach Procedures, effective at 0901 G.m.t. on the dates specified, as follows:

1. By amending § 97.23 VOR-VOR/DME SIAPs identified as follows:

** * * Effective September 30, 1982*

Dothan, AL—Wheelless, VOR-B, Amdt. 6
Jasper, AL—Walker County, VOR/DME Rwy 29, Amdt. 2
Decatur, AR—Crystal Lake, VOR/DME Rwy 13, Amdt. 7
El Dorado, AR—Goodwin Field, VOR Rwy 22, Amdt. 10
El Dorado, AR—Goodwin Field, VOR/DME Rwy 4, Amdt. 6
Mena, AR—Intermountain Regional, VOR/DME-A, Amdt. 5
Chico, CA—Chico Muni, VOR Rwy 13L, Amdt. 6
Chico, CA—Chico Muni, VOR/DME Rwy 13L, Amdt. 3
Chico, CA—Chico Muni, VOR Rwy 31R, Amdt. 5
Imperial, CA—Imperial County, VOR Rwy 32, Original, cancelled
Imperial, CA—Imperial County, VOR-A, Amdt. 2
Crestview, FL—Bob Sikes, VOR-A, Amdt. 8
Winchester, IN—Randolph County, VOR-A, Amdt. 4
Farmington, MO—Farmington Regional, VOR-A, Amdt. 3
Hannibal, MO—Hannibal Muni, VOR/DME-A, Amdt. 1
St. Charles, MO—St. Charles, VOR Rwy 9, Amdt. 1
St. Charles, MO—St. Charles County, VOR-A, Amdt. 2
Superior, NE—Superior Muni, VOR/DME Rwy 18, Amdt. 1
Superior, NE—Superior Muni, VOR/DME Rwy 36, Amdt. 1
Old Bridge, NJ—Old Bridge, VOR Rwy 24, Amdt. 1
Sodus, NY—Williamson-Sodus, VOR/DME Rwy 10, Original, cancelled
Williamson-Sodus, NY—Williamson-Sodus, VOR/DME Rwy 10, Original
Sanford, NC—Sanford-Lee County Brick Field, VOR/DME-A, Amdt. 5
Allendale, SC—Allendale County, VOR-A, Amdt. 2
Greenwood, SC—Greenwood County, VOR Rwy 9, Amdt. 12
Greenwood, SC—Greenwood County, VOR Rwy 27, Amdt. 11
Huron, SD—Huron Regional, VOR Rwy 12, Amdt. 18

** * * Effective August 4, 1982*

Presque Isle, ME—Northern Maine Regional Arpt at Presque Isle, VOR Rwy 19, Amdt. 7
Presque Isle, ME—Northern Maine Regional Arpt at Presque Isle, VOR/DME Rwy 1, Amdt. 9

2. By amending § 97.25 SDF-LOC-LDA SIAPs identified as follows:

** * * Effective September 30, 1982*

El Dorado, AR—Goodwin Field, LOC Rwy 22, Amdt. 1
Jacksonville, FL—Jacksonville Intl, LOC Rwy 25, Amdt. 3
Wilmington, NC—New Hanover County, LOC BC Rwy 16, Amdt. 5
Huron, SD—Huron Regional, LOC/DME BC Rwy 30, Amdt. 7

3. By amending § 97.27 NDB/ADF SIAPs identified as follows:

** * * Effective October 28, 1982*

Chandler, OK—Chandler Muni, NDB Rwy 17, Amdt. 1

** * * Effective September 30, 1982*

Forrest City, AR—Forrest City Muni, NDB Rwy 35, Amdt. 3
Mena, AR—Intermountain Regional, NDB-B, Amdt. 3
Texarkana, AR—Texarkana Muni-Webb Field, NDB Rwy 22, Amdt. 9
Chico, CA—Chico Muni, NDB Rwy 13L, Amdt. 2
Monterey, CA—Monterey Peninsula, NDB Rwy 10, Amdt. 9
Miami, FL—Miami Intl, NDB Rwy 27L, Amdt. 16
Winchester, IN—Randolph County, NDB Rwy 25, Amdt. 1
Meade, KS—Meade Muni, NDB Rwy 17, Amdt. 1
Farmington, MO—Farmington Regional, NDB Rwy 2, Amdt. 1
Farmington, MO—Farmington Regional, NDB Rwy 20, Amdt. 1
Hannibal, MO—Hannibal Muni, NDB Rwy 35, Amdt. 2
Wilmington, NC—New Hanover County, NDB Rwy 34, Amdt. 13
Huron, SD—Huron Regional, NDB Rwy 12, Amdt. 17
Edna, TX—Jackson County, NDB-A, Amdt. 1

** * * Effective September 2, 1982*

Miami, FL—Miami Intl, NDB Rwy 9L, Amdt. 15, cancelled

4. By amending § 97.29 ILS-MLS SIAPs identified as follows:

** * * Effective September 30, 1982*

Chico, CA—Chico Muni, ILS Rwy 13L, Amdt. 4
Monterey, CA—Monterey Peninsula, ILS Rwy 10, Amdt. 22
Miami, FL—Miami Intl, ILS Rwy 9L, Amdt. 25
Miami, FL—Miami Intl, ILS Rwy 27R, Amdt. 10
Fayetteville, NC—Fayetteville Muni (Grannis Field), ILS Rwy 4, Amdt. 12
Wilmington, NC—New Hanover County, ILS Rwy 34, Amdt. 17
Pittsburgh, PA—Greater Pittsburgh Intl, ILS Rwy 10R, Original
Huron, SD—Huron Regional, ILS Rwy 12, Amdt. 4
Charleston, WV—Kanawha, ILS Rwy 23, Amdt. 25

** * * Effective September 2, 1982*

Lakeland, FL—Lakeland Muni, ILS Rwy 5, Amdt. 2
Lincoln, NE—Lincoln Muni, ILS Rwy 35L, Amdt. 8

** * * Effective August 5, 1982*

Boston, MA—General Edward Lawrence Logan Intl, ILS Rwy 4R, Amdt. 3
Boston, MA—General Edward Lawrence Logan Intl, ILS Rwy 33L, Amdt. 18

5. By amending Part 97.31 RADAR SIAPs identified as follows:

** * * Effective September 30, 1982*

Wilmington, NC—New Hanover County, RADAR-1, Amdt. 2
Bismarck, ND—Bismarck Muni, RADAR-1, Original
Charleston, WV—Kanawha, RADAR-1, Amdt. 11

6. By amending Part 97.33 RNAV SIAPs identified as follows:

** * * Effective September 30, 1982*

Charleston, WV—Kanswha, RNAV Rwy 15, Amdt. 1
Charleston, WV—Kanswha, RNAV Rwy 33, Amdt. 1

(Secs. 307, 313(a), 601, and 1110, Federal Aviation Act of 1958 (49 U.S.C. 1348, 1354(a), 1421, and 1510; sec. 6(c), Department of Transportation Act (49 U.S.C. 1655(c)); and 14 CFR 11.49(b)(3))

Note.—The FAA has determined that this regulation only involves an established body of technical regulations for which frequent and routine amendments are necessary to keep them operationally current. It, therefore—(1) is not a "major rule" under Executive Order 12291; (2) is not a "significant rule" under DOT Regulatory Policies and Procedures (44 FR 11034; February 26, 1979); and (3) does not warrant preparation of a regulatory evaluation as the anticipated impact is so minimal. The FAA certifies that this amendment will not have a significant economic impact on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

Issued in Washington, D.C. on August 13, 1982.

Note.—The incorporation by reference in the preceding document was approved by the Director of the Federal Register on December 31, 1981.

John M. Howard,

Acting Manager, Aircraft Programs Division.

[FR Doc. 82-22786 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-13-M

DEPARTMENT OF HEALTH AND HUMAN SERVICES

Social Security Administration

20 CFR Parts 404 and 416

[Regulations Nos. 4 and 16]

Federal Old Age, Survivors and Disability Insurance and Supplemental Security Income for the Aged, Blind, and Disabled; Project To Improve the Hearing Process Through the Involvement of SSA Representatives

AGENCY: Social Security Administration, HHS.

ACTION: Final rule.

SUMMARY: These regulations provide for a modified process for hearings involving the issue of disability under title II and title XVI of the Social Security Act. Specifically, the regulations will permit the Social Security Administration (SSA) to use special personnel known as "SSA Representatives" who will review disability case records before hearings and, if necessary, initiate the development of further evidence. In addition, when the claimant elects to have a representative at the hearing, the SSA representative will appear at the hearing to present SSA's views on the case. These procedures will be used only in certain hearing offices selected to participate in the project.

These regulations were initially proposed on January 11, 1980 (45 FR 2345). That proposal was withdrawn in a notice published on July 14, 1980 (45 FR 47162). On February 18, 1982 (47 FR 7261) we published a notice reinstating the proposed rules. After considering the comments received since the February 18 notice as well as the comments received in response to the 1980 proposed rules, we are promulgating these regulations to implement the project.

The purpose of the project is to determine whether the participation of SSA representatives in disability cases at the administrative hearing level can contribute towards improving the quality and timeliness of hearing dispositions. We believe that the participation of SSA representatives will sharpen factual issues and remove an appreciable part of the burden of case record development from the administrative law judges and will thereby result in a more expeditious and higher quality process.

This project in no way diminishes procedural protections for claimants which ensure a full, fair and impartial hearing. The administrative law judges will in all cases continue to have responsibility for conducting the hearing, for assuring that a full record of the case is developed, and for the final disposition. Claimants will retain the right to appeal adverse decisions to the Appeals Council and the U.S. district courts.

EFFECTIVE DATE: August 19, 1982.

FOR FURTHER INFORMATION CONTACT: Joy Loving, Director, SSA Representative Project, Office of Hearings and Appeals, Room 405G Braedon Building, 3833 N. Fairfax Drive, Arlington, Virginia 22203; (703) 235–3524.

SUPPLEMENTARY INFORMATION:

Rulemaking

As noted above, a notice of proposed rulemaking (NPRM) for this project was published in January 1980. Following publication, we conducted public hearings on the proposal at four sites: Phoenix, Arizona; Roanoke, Virginia; Columbia, South Carolina; and Boston, Massachusetts. We then reached a decision not to proceed with the experiment. On July 14, 1980, (45 FR 47162), we published a notice in the **Federal Register** withdrawing the proposed rules. The withdrawal, we noted at that time, did not preclude us from reconsidering our plans at some later time.

On February 18, 1982 (47 FR 7261), we published a notice reinstating the proposed rules, and permitting additional public comments for a 30-day period. The purpose of reinstating the NPRM was to enable SSA to reexamine the proposal and to give consideration to any new concerns or issues raised by the public. We received 41 public comments on the February 18 notice, including: 16 from legal service agencies; 11 from private attorneys; 6 from claimant advocacy groups; 3 from administrative law judges and other SSA employees; and 5 from various individuals.

In 1980 we received over 200 public comments on the proposed rules, from a similar range of interested groups and individuals. We have given careful consideration to these comments as well as the comments received since the February 18 notice. Most of the comments were in opposition to the proposal on the general grounds that it would not improve the hearing process. Others supported the proposal in its entirety. Still others offered specific suggestions for change. The comments and our responses are discussed below.

One commenter on the February 18 notice reinstating the NPRM questioned whether the notice was sufficent to conform with the rulemaking requirements of the Administrative Procedure Act. This commenter suggested that we instead publish a new NPRM and conduct a new series of public hearings.

The Administrative Procedure Act does not require the publication of a new NPRM under these circumstances. The January 1980 NPRM is a document of public record which received a great deal of public scrutiny and comment. It was incorporated by reference in the notice of reinstatement, and an additional 30-day comment period was provided. The publication of a new NPRM for essentially the same project could only create confusion and uncertainty as to the status of comments offered on the original NPRM.

By simply reinstating the January 1980 NPRM, we were able to give full consideration to all the comments received in 1980 as well as those received in response to the notice of reinstatement. We believe this resulted in a maximum of public participation without causing uncertainty among the public as to whether we would consider the 1980 comments.

An additional reason for publishing the notice of reinstatement rather than a new NPRM, is the very limited scope of these regulations. They merely enable us to undertake a small project to test the effects of SSA representation in the hearing process. The regulations thus effect only a temporary modification in hearing procedures in a small number of hearing offices. Given this limited impact, we believe that publishing a new NPRM would not be justified.

We also have not accepted this commenter's suggestion to conduct new public hearings on the project. Public hearings are not required under the informal rulemaking provisions of the Administrative Procedure Act, but may be conducted at the agency's discretion to supplement written comments received since the February notice and the public comments received on a proposed rule. We believe that the time and expense involved in conducting a new series of public hearings would not be justified, given the thorough and comprehensive testimony offered at the 1980 hearings. The close similarity between the written comments, both oral and written, received in 1980, suggest that new public hearings would not raise significant new issues and therefore would be unnecessary and would only further delay a test of this proposal.

Having reviewed all of the public comments and examined the potential advantages and disadvantages of SSA representation at hearing, we are

convinced that this project is an important and necessary undertaking in the context of our overall mission to improve the hearing process. We stress, however, that these regulations apply only to this small project and that any changes in hearing procedures on a large scale or permanent basis would be initiated only after a completely new rulemaking process with opportunity for public comment.

Background

Claimants for benefits under titles II and XVI of the Social Security Act are entitled under sections 205 and 1631 of the Act, respectively, to hearings before administative law judges when they disagree with a determination made by SSA (or a State agency which makes determinations for SSA) which affects their eligibility for, or amount of, benefits. Most hearings concern the issue of determining disability for purposes of eligibility for benefits based on disability under title II and title XVI.

The SSA hearing process has been criticized in recent years by members of Congress, the courts and other interested observers for the lack of decisional consistency both within SSA's several levels of disability adjudication and among SSA's administrative law judges. In addition, unprecedented increases in the volume of hearing requests have caused problems of backlogs and delays for claimants awaiting hearings.

As a consequence of these related problems of decisional inconsistency and case backlogs, SSA has decided to undertake a limited test using special SSA representatives in connection with disability hearings in selected hearing offices. We wish to determine whether the participation of SSA representatives will sharpen factual issues, improve case record development and contribute to improved quality, consistency and timeliness of case dispositions at the hearing level.

How the Project Will Work

This project will be undertaken in selected hearing offices around the country. The SSA representatives will not be supervised by or otherwise aligned with the administrative law judges. Instead, these individuals will exercise considerable discretion in directing case record development and the formulation of a position on the merits of cases. However, the administrative law judge will retain final responsibility for assuring complete development of the record and for conducting the hearing and issuing a decision.

An initial group of five hearing offices will be selected to participate in the project. Others may be added as necessary. We estimate that the project will have a duration of at least one year.

When a claimant in the service area of one of the participating hearing offices requests a hearing, he or she will be provided a brief explanation of the project. We will also continue to provide information about the availability of claimant representation. Thus, the claimant will have the opportunity to consider obtaining representation at the earliest possible date.

When the case file is received at the hearing office, the SSA representative will examine it to determne whether it is read for a hearing. If necessary the SSA representative will initiate further case record development. After the case is fully prepared for a hearing it will be assigned to an administrative law judge who will review the record and conduct the hearing.

During the prehearing stage, the SSA representative may contact the claimant's representative to clarify the issues in dispute. In addition, the SSA representative may meet with witnesses who will appear at the hearing. The SSA representative may recommend to the administrative law judge that the issues in dispute, as agreed to by the SSA repesentatie and the claimant's representative, be considered as the issues at the hearing. The SSA representative may also petition the ALJ to include new issues, or to dismiss the case for jurisdictional reasons or may ask that the administrative law judge disqualify himself or herself when appropriate under the regulations. On the other hand, where the evidence clearly establishes the claimant's entitlement, the SSA representative may recommend that the administrative law judge issue a favorable decision without the need for a hearing.

If the claimant is represented at the hearing, the SSA representative will also appear at the hearing. The SSA representative will be able to carry out all of the functions of a party to the hearing, which are set forth at the new §§ 404.965(d)(3) and 416.1465(d)(3) of the regulations. After the hearing, the SSA representative will not participate in any proceedings before the Appeals Council, although the Appeals Council may exercise its authority to review any case on its own motion. The SSA representative may be involved in cases which are remanded by the Appeals Council if the SSA representative participated in the prior proceedings which are the basis for the Appeals Council remand order.

How These Final Rules Differ From the Proposed Rules

These final rules implement the SSA representative project in essentially the same manner set forth in our proposed rules. However, we have made several important changes based on public comments and on our own assessment. These changes are highlighted below.

1. The SSA representative will participate in the hearing whenever the claimant has an appointed representative at the hearing, whether an attorney or a nonattorney.

One provision of our proposed regulations that generated many comments was the limitation on the participation of the SSA representative to only those hearings where the claimant was represented by an attorney. Several problems with this approach were noted in the comments.

First, according to one commenter, "since only claimants represented by an *attorney* triggers [sic] representation of the SSA at the hearing, a claimant with a skilled lay advocate will have an advantage over unrepresented and attorney-represented claimants" (emphasis in original). Yet, a second criticism voiced was that "non-attorney advocates for claimants will suffer a specific disability not suffered by claimants' attorneys: presumably they will not be able to negotiate with the SSA representative about settlement of claims, or about the propriety of claims."

A third concern expressed by several commenters was that, since many claimants are represented by nonattorneys, we would severely limit the number of cases involved by not using SSA representatives at the hearings of these nonattorney-represented claimants. As a solution to this problem, several commenters proposed that the SSA representatives participate in all cases, whether or not the claimant is represented.

Fourth, there were numerous concerns about the effect of our proposal on the selection of attorney representation by claimants. One attorney commented that "[t]he use of a government representative only when the claimant is represented by an attorney discriminates against claimants who hire attorneys," and hence discourages the use of attorney representation. A related concern expressed by a legal services agency was that our proposal "also might result in an erratic distribution of resources in legal

services programs, since apparently the government representative would only appear in cases where an attorney is present, not a paralegal."

An additional problem pointed out by several commenters was that the proposed rules were not sufficiently clear as to the role of the SSA representative when the claimant was represented by, for example, a paralegal or law student under the supervision of an attorney. One commenter indicated that "[a] real problem I see in the future will be where the claimant is represented by someone who is not an attorney. In this situation, does the social security [representative] * * * come in on the other side or not?"

Finally, a State agency made the following comment:

"We believe, as is demonstrated by our own internal hearing process, that the clients should have the same rights under the hearing process regardless of whether or not they are represented by legal counsel. Therefore, we believe that final regulations should require an SSA representative to be present at and participate in any SSI/SSA hearing, regardless of whether or not the client is represented by legal counsel."

We believe that the most reasonable way to accommodate these divergent criticisms of the proposed rules is to amend our final rules to provide that the SSA representative will appear at any hearing where a claimant has a representative at the hearing appointed under §§ 404.1707 and 416.1507, "Appointing a representative." Thus, under these final regulations the SSA representative will be a party to the hearing whenever a claimant has an appointed representative at the hearing, whether an attorney or a nonattorney. These final rules require that the SSA representative not appear at the hearings of unrepresented claimants.

This change will benefit the project in several ways. It will avoid the potential effect of possibly discouraging attorney representation. It will also expand the number of cases in which the SSA representatives will participate, thus contributing to the quality and reliability of the information gathered. Finally, it will make it clear to claimants and their representatives when to expect the participation of an SSA representative at the hearings.

2. The SSA representative's role will not be limited to the issue of disability.

Our proposed rules would have required that the SSA representative not undertake further development of issues not related to disability, nor pursue such issues at the hearing. Because there are relatively few disability cases where non-disability issues, such as the existence of an insured status, are adjudicated at the hearing level, and in response to several commenters who felt that this limitation was unnecessary, we have decided not to limit the SSA representative's involvement in disability cases solely to the issue of disability. For example, if an otherwise complete case record lacks information about a title II disability claimant's number of quarters of covered employment, the SSA representative will initiate the development of this information. Although some commenters indicated that they would oppose removing this limitation, we do not anticipate any adverse impact on the project or on those claimants whose cases are handled by the SSA representatives.

3. The SSA representative will be directly employed by SSA's Office of Hearings and Appeals (OHA).

Under the proposed rules, the SSA representatives would have been organizationally separate from the hearing offices, and would have been located in Social Security offices apart from the hearing offices. We received many comments related to the organizational placement of the SSA representatives and have decided that, on balance, it would be preferable for purposes of this project to use employees of the Office of Hearings and Appeals as SSA representatives, and to locate the SSA representatives in or near the hearing offices.

The chief concern of many of these commenters was that the physical location of the SSA representatives away from the hearing offices and the resulting need for transferring case records back and forth between the hearing office and the SSA representative's office would cause inconvenience to claimants and claimant representatives. A number of these commenters also noted that the proposed procedures could result in lost or misplaced records and consequent delays. Alternately, there were several commenters who stressed the need for both physical and organizational separation of the SSA representatives from the administrative law judges because of the potential for *ex parte* contact between the two. Some of these commenters urged that the final regulations provide even greater independence for the SSA representative.

In weighing these divergent comments, we were especially concerned about the logistical and administrative problems potentially created by the proposed organizational arrangement. We agree with the commenters who felt that more emphasis should be placed on minimizing delays and other inconveniences to claimants involved in the project. It is primarily for this reason that we have decided that under these final rules, the SSA representatives will be located in or near the hearing offices and employed directly by the Office of Hearings and Appeals.

The procedures for the project are designed to minimize the possibility of *ex parte* contact between the SSA representatives and the administrative law judges. These procedures require that any communication between the two concerning a particular case must be written and part of the record. Moreover, the SSA representative's prehearing case activities will be carried out by the SSA representative and other hearing office staff outside the purview of the administrative law judge, who will not be assigned to the case until the SSA representative has completed his or her preparation for the hearing. The opportunity for *ex parte* discussion about a case will thus be minimized by the administrative law judge's non-involvement in this prehearing stage. In addition, we are convinced that the professionalism and integrity of our administrative law judges make this an extremely unlikely problem in any event. Our selection and training of the SSA representatives will be designed to ensure a similar level of professionalism on their part. So long as the SSA representatives are not supervised either directly or indirectly by the administrative law judges and the opportunities for *ex parte* contact are kept to a minimum, we perceive no danger of impropriety in co-locating the two in the same hearing offices, as some commenters suggested.

4. All disability cases in the participating hearing offices will be subject to the provisions of these regulations.

Our proposed rules would have established an "experimental" group and a "control" group among the cases in each of the offices selected for study. Several commenters questioned whether this would unduly restrict the number of cases in the project. Others pointed out the potential problem of uncertainty on the part of claimants and their representatives as to whether a given case would be processed by the SSA representative or under the normal hearing office procedures.

In response to these concerns, we have decided not to use "experimental" and "control" groups as originally proposed. Instead, we will simply

compare case processing and outcomes in the participating hearing offices with data from these same offices for the period preceding the project, as well as with data from hearing offices not participating in the project. This will increase the number of cases involved in the participating hearing offices and will also simplify the selection of cases for the project.

5. The SSA representative will not be prohibited from meeting with the claimant's witnesses, subject to the consent of the claimant and his or her representative.

The proposed regulations would have prohibited the SSA representative from meeting with the claimant's witnesses prior to the hearing. As several commenters pointed out, this restriction would be unnecessary so long as the claimant and his or her representative would have the right to approve and participate in any such meeting. Moreover, the regulations impose no such restriction on the claimant or his or her representative with respect to meeting with witnesses called by the SSA representative. For these reasons, we have deleted from the final regulations the clause prohibiting meetings between the SSA representative and the claimant's witnesses. However, we have clarified at the new §§ 404.965(d)(3)(ii) and 416.1465(d)(3)(ii) that meetings with the claimant's witnesses must be approved by the claimant and his or her representative.

6. The SSA representatives will be permitted to refer cases to the Appeals Council for possible own-motion review.

The proposed regulations specified that the SSA representatives would not have the right of a party to request Appeals Council review of cases involved in the project. A request for Appeals Council review under §§ 404.967 and 416.1467 is in essence an appeal which the Appeals Council must either deny, dismiss or grant to the requesting party. A party requesting review can submit arguments and submit and comment upon new evidence in Appeals Council proceedings. Because we intended this project to focus on the quality and timeliness of the hearing process, we believed it would go beyond the scope of the project to involve the SSA representatives in Appeals Council proceedings.

Several commenters suggested that we remove this restriction from the final regulations and make the SSA representative a full party in the sense of having appeal rights to the Appeals Council. While we have not adopted this suggestion in its entirety, we have amended the final regulations at §§ 404.965(f) and 416.1465(f) to allow the SSA representatives to bring cases to the attention of the Appeals Council for possible review on its own motion.

Existing SSA regulations at §§ 404.969 and 416.1469 set forth the Appeals Council's own motion review authority. Under those regulations, the Appeals Council can, within 60 days of an administrative law judge's decision, review the decision on its own motion and affirm, reverse or modify the decision or remand the case to an administrative law judge for further proceedings. For purposes of the project, the SSA representatives will be permitted to refer cases to the Appeals Council for possible own motion review, with appropriate administrative safeguards to prevent frivolous or unnecessary referrals. The SSA representative's recommendation will be in writing and a copy will be provided to the claimant and his or her representative. Unlike a request for Appeals Council review made by a party, a referral by the SSA representative need not be acted on by the Appeals Council, nor will the SSA representative submit arguments, comment on new evidence or otherwise participate as a party in Appeals Council proceedings.

How We Will Evaluate the Project

As discussed above under the heading "Background", the two major factors which the project will address are the quality and timeliness of hearing dispositions. These new regulations at §§ 404.965(c) and 416.1465(c) set forth the goals for the project, particularly the improvement of the quality and timeliness of dispositions. Many commenters argued neither will improve, but rather that both the quality and timeliness of the hearing process will suffer. Others asked that we clarify these criteria, especially the term "quality" with regard to hearing decisions.

The primary concern related to the quality of the hearing process is the accuracy of decisions under the law and regulations. The ongoing review of hearing decisions recently implemented by the Appeals Council under its own-motion authority, as required by Section 304(g) of Pub. L. 96–265, has documented a number of problems both in decisional outcomes and in the supporting rationales for decisions. For this reason, we intend to monitor the rates at which claimants request Appeals Council review and at which the Appeals Council grants review or reviews cases on its own motion, to determine whether cases involved in the project show a greater or lesser degree of accuracy in the application of law and regulations, as compared with other cases.

We are, of course, very concerned about the effects of the project on the timeliness of hearings and case dispositions. Many commenters on our proposed rules doubted whether the participation of the SSA representative would have a favorable impact on the timeliness of hearings. They reasoned that the participation of this extra party could not help but lengthen and complicate the hearing process. We expect, however, that the SSA representative might contribute to the reduction of case backlogs and delays. For example, where the SSA representative believes the evidence clearly indicates entitlement to benefits based on disability, he or she will have the authority to recommend a favorable decision by the administrative law judge without the need for a hearing, thus expediting final disposition of the case if the administrative law judge agrees with the recommendation. Moreover, the SSA representative will engage in discussions with the claimant's representative prior to the hearing to narrow the issues to be decided by the ALJ. These efforts should result in shorter hearings and expedited decisions.

Additional Public Comments

1. *Comment.* We have noted above that much of the criticism of our proposal was directed at the general concept of SSA representation. For example, many commenters challenged our expectation that SSA representation will improve the quality of adjudication and also save time and money in the adjudication process. Others argued that it would be unfair to claimaints. Still others speculated that case record development at the hearing level would be tainted or biased by the participation of the SSA representatives in this process. A number of commenters suggested that there was no need for reform of the hearing process itself, but rather that the problems were attributable to an insufficient number of administrative law judges and support staff in the hearing offices.

Response. We believe that much of the opposition to the SSA representative project grew out of unsupported conclusions as to its likely effects. We also believe that many of the adverse comments do not account for the unchanged role of the administrative law judge in the project. The

administrative law judge will continue to examine records for completeness and preside over the hearings, so that all the substantive rights of claimants will be preserved. Moreover, the SSA representatives will be selected and trained not just as advocates but on the basis of a thorough professional background in Social Security disability requirements. We do not believe that these individuals will cause any hardship or unfairness to claimants.

In summary, although it is not practical to attempt a point by point rebuttal of all the arguments against SSA representation, our general position is that no conclusions can be supported until the procedure is utilized in the context of actual hearings. Since claimants will continue to enjoy the same rights and the administrative law judges will continue to exercise the same authority under the procedures, we are not persuaded that the project presents any risk of unfair or harsh treatment. As to its potential for enhancing the quality and timeliness of the hearing process, we intend to closely monitor these effects in our evaluation of the project.

2. *Comment.* Many commenters expressed concern about the perceived adversarial role of the SSA representative. A number of commenters questioned whether the SSA representative would advocate the denial of claims even in the face of evidence clearly indicating entitlement to benefits.

Response. It was never our intention that the SSA representative would categorically advocate affirmation of State agency decisions denying benefits. On the contrary, as representatives of SSA, these individuals will not advocate the denial of claims when the evidence presents a clear case for entitlement. To emphasize this, we have clarified the language of the regulations at §§ 404.965(d)(3)(xv) and 416.1465(d)(3)(xv) to provide that the SSA representative may, when appropriate, request that the administrative law judge allow the payment of benefits. We believe that this change will resolve any uncertainty about whether the role of the SSA representative is adversarial.

3. *Comment.* Many of the comments received were critical of the project's focus on the hearing level. In the opinion of these commenters, we should emphasize reform of other areas of the decisionmaking process, particularly the State agency level where initial disability determinations and reconsiderations are made.

Response. SSA recognizes its responsibility to enhance the quality and consistency of disability determinations at all levels of the administrative process. We are continually working with the State agencies to improve the initial disability determination and reconsideration processes. Towards this end, on May 29, 1981 we published regulations (46 FR 29190) to govern the activities administered by the State agencies, as required by Section 304(a)(2) of Pub. L. 96–265.

We believe, however, that notwithstanding the initiatives now being implemented at the initial and reconsideration levels, there are significant problems specifically attributable to the hearing level. We believe we would be remiss in our obligation to claimants, taxpayers and contributors to the Trust Funds if we did not seek improvements at all levels of the administrative process.

As noted, we believe that SSA representation is one possible means of improving the hearing process, and we are committed to studying its effects. This should not be interpreted to imply any disinterest within SSA with respect to the other levels of claims adjudication.

4. *Comment.* In response to our recent notice reinstating the proposed rules, several commenters raised the question of whether the Equal Access to Justice (EAJ) Act would have an impact on the cost of undertaking this project.

Response. The Equal Access to Justice Act, Pub. L. 96–481, in pertinent part, permits prevailing parties to obtain awards of attorney fees and other expenses against the United States in certain administrative proceedings and judicial actions.

Under this new provision, a federal agency or department that conducts an "adversary adjudication" is authorized (upon application) to award to a party prevailing against the United States attorney fees and other expenses the party incurred. The statute requires that fees be awarded unless the adjudicative officer conducting the proceeding finds (a) that the agency's position as a party to the proceeding was substantially justified or (b) that special circumstances make an award unjust.

There are several reasons why we do not believe the EAJ Act will appreciably affect SSA proceedings under this project. First, it remains to be determined whether the circumstances of the SSA representative project render the adjudication adversarial for purposes of the EAJ Act. Second, there is some question as to whether the existing attorney fee provisions of the Social Seurity Act prempt the provisions of the EAJ Act. Finally, there will presumably be few cases in which the position taken by the SSA representative will not be "substantially justified", since the SSA representative will have the authority to propose allowance of those claims which present a clear case for entitlement or eligibility for benefits.

5. *Comment.* A number of commenters urged that we impose more specific requirements regarding notice to the claimant or the claimant's representative, both when the case is included in the project and when various actions are taken by the SSA representative. Among the actions for which more explicit notice requirements were advocated are the following: the SSA representative petitions for dismissal, remand or approval of the claim on the record; the SSA representative petitions for inclusion of a new issue; and the SSA representative petitions for continuance of the hearing.

Response. We agree that it is important to notify claimants at the initial stage of the hearing process whether their cases will be included in the project, so that they can consider seeking representation and reach a decision at the earliest possible date. We will therefore instruct the Social Security offices where claimants file requests for hearings to provide an explanation of the project to any claimant whose case will be included in one of the participating hearing offices. The Social Security offices will also continue to provide information to the claimant about representation, including the names and addresses of organizations which can assist the claimant in obtaining representation.

As noted above, our procedures will provide that communication between the SSA representatives and the administrative law judges about particular cases will be in writing and will be a part of the case record, so that the claimant and his or her representative will be fully informed of any such communication. With regard to recommendations made by the SSA representative, the claimant and his or her representative will be given an opportunity to respond to these recommendations. Any actions by the administrative law judge, such as dismissal or the rendering of a decision, are automatically accompanied by notices to the claimant under existing regulations. We believe that these procedures will satisfy most of the suggestions regarding notice to claimants involved in the project.

6. *Comment.* Several representatives of bar associations and other lawyers' groups, as well as other commenters,

objected to the use of nonattorneys as SSA representatives. It was the position of some of these commenters that a nonattorney is insufficiently trained in the law to properly be a party at a hearing. Others warned of the potential for competition between attorney and nonattorney SSA representatives to "win" the most cases, to the disadvantage of claimants.

Response. The function of claimant representation in the context of disability claims adjudication has never been performed exclusively by attorneys, nor, in our opinion, is it mandatory that SSA representatives be attorneys. One of our objectives is to determine whether there are differences between attorney and nonattorney SSA representatives, since this would be an important consideration in any future planning involving SSA representation. For this reason, we have not changed these final rules as these commenters urged, but instead will carry out the project as planned, using both attorneys and nonattorneys as SSA representatives.

7. *Comment.* One commenter suggested that the doctrine of *res judicata* should not apply to decisions in cases in the project. Similarly, another commenter urged that cases in the project not be subject to automatic agency remand under section 205(g) of the Act.

Response. The doctrine *res judicata* is intended to preclude the repeated hearing of cases based on the same facts, and is a well-established principle of law. *Res judicata* is applicable to any case in which there has been a prior determination or decision on the same issues and facts and involving the same party or parties.

We cannot accept the suggestion that *res judicata* should not apply to cases in the project. To do so could create an incorrect impression that the outcomes of the hearings conducted under the project will somehow be less fair or less deserving of finality than those of other hearings. Because all the existing safeguards and substantive rights of claimants will continue to apply, we perceive no persuasive reason for suspending *res judicata* in this project.

The comment with regard to automatic agency remand is no longer relevant because of new statutory provisions. Specifically, section 307 of Pub. L. 96-265 now requires the agency to show good cause for remand, so that there is no longer an automatic agency remand.

8. *Comment.* Several commenters felt that claimants should participate only upon their signed consent under the Department's regulations regarding the use of human subjects in experiments.

Response. The regulations referred to are at 45 CFR Part 46, "Protection of Human Subjects." These regulations are not applicable to the SSA representative project, for several reasons. First, this project is not an "experiment" as that term is used in Part 46. Second, Subpart D of Part 46, "Activities conducted by Department employees," specificially exempts from the regulatory requirements "such non-substantive procedural modifications as may be appropriate from an administrative standpoint." The participation of SSA representatives at the hearing level is entirely procedural in nature and does not affect the substantive rights of individual claimants. It is thus not within the scope of the regulations requiring consent by human subjects participating in experiments.

9. *Comment.* Several commenters questioned whether SSA would release the results of the project for public review and comment.

Response. We intend these regulations to apply only to the small project described herein. If, on the basis of information gathered in the course of this project, we think it might be advisable to modify the hearing process on a significant scale or on a permanent basis to include SSA representation, this would be readdressed in the regulatory process. In the context of this process, we would of course offer an extensive discussion and analysis of the results of the project for public comment.

10. *Comment.* A number of commenters felt that the proposed regulations, by listing the various responsibilities of the SSA representative, implied an imbalance of rights in favor of the SSA representative over the claimant's representative.

Response. The purpose of these regulations is to enable SSA to be represented in the hearing process in the participating hearing offices, and thus to have the same rights of a party in the process as claimants and their representatives have under existing regulations. Thus, the regulations do not create an imbalance in favor of SSA in the hearing process, but rather by including SSA as a party, are intended to restore a balance in the hearing process which should improve the overall quality and timeliness of adjudication at the hearing level. The new regulations at §§ 404.965(a) and 416.1465(a) specifically provide that all the rights of claimants are retained in the project. This includes the right of the claimant's representative to carry out all of his or her responsibilities as the representative of a party in the hearing process. We do not believe that it is necessary to further clarify the rights of claimants and their representatives under these regulations, nor that the regulations give greater powers to the SSA representative than to the claimant's representative.

Authority

These amendments are being issued under the authority contained in sections 205(a), 1102 and 1631 of the Social Security Act, as amended (53 Stat. 1368, 49 Stat. 647, as amended, 86 Stat. 1475, 42 U.S.C. 405(a), 1302 and 1383).

Regulatory Procedures

Executive Order 12291—The Department has determined that these regulations do not meet any of the criteria for a major regulation under Executive Order 12291.

Regulatory Flexibility Act—The Department has determined that these regulations will not have a significant economic impact on a substantial number of small entities under the Regulatory Flexibility Act because the rules affect only individuals.

Paperwork Reduction Act—The Department has determined that these regulations impose no reporting/recordkeeping requirements requiring OMB clearance under the Paperwork Reduction Act.

(Catalog of Federal Domestic Assistance Program Nos. 13.802 Social Security—Disability Insurance; 13.803 Social Security Retirement Insurance; 13.805 Social Security—Suvivors' Insurance; 13.807 Supplemental Security Income)

List of Subjects

20 CFR Part 404

Administrative practice and procedure, Disabled, Old age, survivors and disability insurance, Social Security.

20 CFR Part 416

Administrative practice and procedure, Aged, Blind, Disabled, Public assistance programs, Social Security, Supplemental Security Income (SSI).

Dated: July 2, 1982.

John A. Svahn,

Commissioner of Social Security.

Approved: July 30, 1982.

Richard S. Schweiker,

Secretary of Health and Human Services.

For the reasons stated above, 20 CFR Parts 404 and 416 are amended as follows:

PART 404—FEDERAL OLD-AGE, SURVIVORS AND DISABILITY INSURANCE (1950–)

1. In 20 CFR Part 404, Subpart J, a new § 404.965 is added after §404.961 to read as follows:

§404.965 SSA Representation Project.

(a) *Applicability and scope.* Notwithstanding any other provision in this Part, SSA is establishing the procedures set out in this section for a project involving certain title II disability hearings. In a small number of hearing offices selected to participate in the project, cases involving the issue of disability will be processed under the procedures in this section. Cases not included in the project will be processed under current hearing procedures. The claimant will retain all the rights provided in this Part.

Under this section, an SSA representative will review the case to ensure that it is adequately prepared for a hearing. The SSA representative will address any area of the record, including both the issue of disability and any other issue in dispute regarding the claimant's entitlement to benefits. If the claimant does not have an appointed representative at the hearing, the SSA representative's function will be limited to preparing the case for the hearing. If the claimant has a representative appointed for the hearing under § 404.1707 of this Part, the SSA representative will appear at the hearing to present evidence and state the Social Security Administration's position in the case.

This section applies to hearings—

(1) Under title II of the Act, involving the issue of disability; and

(2) Within the jurisdiction of selected hearing offices.

(b) *Authority.* The project will be conducted under the broad authority given the Secretary by sections 1102 and 205(a) of the Social Security Act to promulgate reasonable and proper rules and regulations and to establish appropriate procedures for administering the Social Security program.

(c) *Purpose.* (1) The purpose of the project is to determine whether the participation of SSA representatives in the hearing process will—

(i) Help to improve the overall disability adjudicatory process;

(ii) Reduce delays in conducting hearings and issuing hearing decisions;

(iii) Improve the quality of hearing decisions;

(iv) Increase the productivity of administrative law judges;

(v) Achieve more uniformity and consistency in hearing decisions; and

(vi) Reduce hearing costs.

(2) The results of the project will be evaluated to determine whether to propose the implementation of SSA representation on a larger scale.

(d) *Procedures for cases included in the project.* (1) *Whether or not the claimant has an appointed representative.* When a case is within the jurisdiction of one of the selected hearing offices, it will be referred initially to the SSA representative for prehearing screening and, if necessary, initiation of further development. The SSA representative will examine the record for completeness and will determine the need for additional evidence. If additional evidence related to the claim is needed, the SSA representative will initiate action for getting this evidence, including medical consultative examinations and vocational evidence where necessary. The SSA representative will analyze the prior determination and the reasons it was made. In cases where the SSA representative believes the evidence justifies either dismissal or action favorable to the claimant without a hearing, he or she will make this recommendation to the administrative law judge.

(2) *When the claimant does not have an appointed representative at the hearing.* In any case in which the claimant does not have a representative at the hearing appointed under § 404.1707 of this Part, the SSA representative will not appear at the hearing. In these cases, the function of the SSA representative will be limited to the activities described in paragraph (d)(1) of this section.

(3) *When the claimant has an appointed representative at the hearing.* In addition to the functions referred to in paragraph (d)(1) of this section, when the claimant has a representative at the hearing appointed under § 404.1707 of this Part, the SSA representative will participate at the hearing. The SSA representative will have the full rights of a party to the hearing except the right to request that the Appeals Council review the administrative law judge's decision or dismissal. The SSA representative may:

(i) Contact the claimant's representative prior to the hearing to discuss the evidence or the matters to be decided;

(ii) Meet with the witnesses prior to the hearing, subject to the approval of the claimant and his or her representative if the witness is to be called by the claimant;

(iii) Enter into an agreement with the claimant's representative as to facts which are not in dispute and issues remaining to be resolved. The agreement must be submitted to and approved by the administrative law judge;

(iv) Request that the administrative law judge include new issues (§ 404.946(b));

(v) Request the administrative law judge to disqualify himself or herself when appropriate (§ 404.940);

(vi) Ask the administrative law judge to issue subpoenas in appropriate cases (§ 404.950(d));

(vii) Present a statement at the hearing summarizing the evidence and procedural history of the case and setting out the reasons for affirming that part of the determination that was unfavorable to the claimant;

(viii) Present proposed exhibits;

(ix) Comment on proposed exhibits and, when appropriate, object to the admission of proposed exhibits;

(x) Present, examine and cross examine witnesses;

(xi) Make oral argument and submit written materials setting forth SSA's position;

(xii) Request, when appropriate, that the hearing be kept open for the admission of additional evidence after the oral hearing is held;

(xiii) Receive copies of all evidence submitted after the hearing and comment on it;

(xiv) Propose findings of fact and conclusions of law;

(xv) When appropriate, recommend to the administrative law judge that the claim be allowed without conducting a hearing; and

(xvi) When appropriate, recommend to the administrative law judge that the request for hearing be dismissed as provided under this Subpart. Reasons for dismissal include the following:

(A) Res judicata applies (§ 404.957(c)(1));

(B) The request for hearing was not timely filed, with no good cause (§ 404.957(c)(3));

(C) The party who filed the request for hearing died (§ 404.957(c)(4));

(D) The individual is not a proper party (§ 404.932);

(E) There has not been a reconsidered determination (§ 404.930(a)(1)), or a revised determination of an initial or reconsideration determination (§ 404.930(a)(2)), or an initial determination that disability or blindness has ceased for medical reasons where there is also pending a hearing or right to hearing under title XVI with respect to the same party and the same issue (§ 404.930(a)(3)), or a

revised decision based on evidence not included in the record on which the prior decision was based (§ 404.930(a)(4));

(F) The individual has not filed a written request for hearing (§ 404.930b)); or

(G) The party who filed the request for hearing did not appear (§ 404.957(b)).

(e) *Responsibility of administrative law judge.* The administrative law judge will continue to exercise the various responsibilities set out in §§ 404.929–404.961.

(f) *Right to request Appeals Council review.* The SSA representative will not have the right of a party to request Appeals Council review of an administrative law judge's decision or dismissal under § 404.967. The SSA representative will not participate in any proceedings before the Appeals Council. However, the SSA representative may refer cases to the Appeals Council for possible review on its own motion under § 404.969. When the Appeals Council remands a case to the administrative law judge for further proceedings, and an SSA representative participated in the proceedings which were the basis for the Appeals Council's remand order, the SSA representative may participate in any further proceedings before the administrative law judge.

PART 416—SUPPLEMENTAL SECURITY INCOME FOR THE AGED, BLIND, AND DISABLED

2. In 20 CFR Part 416, Subpart N, a new § 416.1465 is added after § 416.1461 to read as follows:

§ 416.1465 SSA Representation Project.

(a) *Applicability and scope.* Notwithstanding any other provisions of this part, SSA is establishing the procedures set out in this section for a project involving certain title XVI disability hearings. In a small number of hearing offices selected to participate in the project, cases involving the issue of disability will be processed under the procedures in this section. Cases not included in the project will be processed under current hearing procedures. The claimant will retain all the rights provided in this Part.

Under this section, an SSA representative will review the case to ensure that it is adequately prepared for a hearing. The SSA representative will address any area of the record, including both the issue of disability and any other issue in dispute regarding the claimant's entitlement to benefits. If the claimant does not have an appointed representative at the hearing, the SSA representative's function will be limited to preparing the case for the hearing. If the claimant has a representative appointed for the hearing under § 416.1507 of this Part, the SSA representative will appear at the hearing to present evidence and state the Social Security Administration's position in the case. This section applies to hearings—

(1) Under title XVI of the Act, involving the issue of disability; and

(2) Within the jurisdiction of selected hearing offices.

(b) *Authority.* The project will be conducted under the broad authority given the Secretary by sections 1102 and 1631(d)(1) of the Social Security Act to promulgate reasonable and proper rules and regulations and to establish appropriate procedures for administering the SSI program.

(c) *Purpose.* (1) The purpose of the project is to determine whether the participation of SSA representatives in the hearing process will—

(i) Help to improve the overall disability adjudicatory process;

(ii) Reduce delays in conducting hearings and issuing hearing decisions;

(iii) Improve the quality of hearing decisions;

(iv) Increase the productivity of administrative law judges;

(v) Achieve more uniformity and consistency in hearing decisions; and

(vi) Reduce hearing costs.

(2) The results of the project will be evaluated to determine whether to propose the implementation of SSA representation on a larger scale.

(d) *Procedures for cases included in the project.* (1) *Whether or not the claimant has an appointed representative.* When a case is within the jurisdiction of one of the selected hearing offices, it will be referred initially to the SSA representative for prehearing screening and, if necessary, initiation of further development. The SSA representative will examine the record for completeness and will determine the need for additional evidence. If additional evidence related to the claim is needed, the SSA representative will initiate action for getting this evidence, including medical consultative examinations and vocational evidence where necessary. The SSA representative will analyze the prior determination and the reasons it was made. In cases where the SSA representative believes the evidence justifies either dismissal or action favorable to the claimant without a hearing, he or she will make this recommendation to the administrative law judge.

(2) *When the claimant does not have an appointed representative at the hearing.* In any case in which the claimant does not have a representative at the hearing appointed under § 416.1507 of this Part, the SSA representative will not appear at the hearing. In these cases, the function of the SSA representative will be limited to the activities described in paragraph (d)(1) of this section.

(3) *When the claimant has an appointed representative at the hearing.* In addition to the functions referred to in paragraph (d)(1) of this section, when the claimant has a representative at the hearing appointed under § 416.1507 of this Part, the SSA representative will participate at the hearing. The SSA representative will have the full rights of a party to the hearing, except the right to request that the Appeals Council review the administrative law judge's decision or dismissal. The SSA representative may:

(i) Contact the claimant's representative prior to the hearing to discuss the evidence or the matters to be decided;

(ii) Meet with witnesses prior to the hearing, subject to the approval of the claimant and his or her representative if the witness is to be called by the claimant;

(iii) Enter into an agreement with the claimant's representative as to facts which are not in dispute and issues remaining to be resolved. The agreement must be submitted to and approved by the administrative law judge;

(iv) Request that the administrative law judge include new issues (§ 416.1446(b));

(v) Request the administrative law judge to disqualify himself or herself when appropriate (§ 416.1440);

(vi) Ask the administrative law judge to issue subpoenas in appropriate cases (§ 416.1450(d));

(vii) Present a statement at the hearing summarizing the evidence and procedural history of the case and setting out the reasons for affirming that part of the determination that was unfavorable to the claimant;

(viii) Present proposed exhibits;

(ix) Comment on proposed exhibits and, when appropriate, object to the admission of proposed exhibits;

(x) Present, examine and cross examine witnesses;

(xi) Make oral argument and submit written materials setting forth SSA's position;

(xii) Request, when appropriate, that the hearing be kept open for the admission of additional evidence after the oral hearing is held;

(xiii) Receive copies of all evidence submitted after the hearing and comment on it;

(xiv) Proposed findings of fact and conclusions of law;

(xv) When appropriate, recommend to the administrative law judge that the claim be allowed without conducting a hearing; and

(xvi) When appropriate, recommend to the administrative law judge that the request for hearing be dismissed as provided under this Subpart. Reasons for dismissal include the following:

(A) Res judicata applies (§ 416.1457(c)(1));

(B) The request for hearing was not timely filed, with no good cause (§ 416.1457(c)(3));

(C) The party who filed the request to a hearing died (§ 416.1457(c)(4));

(D) The individual is not a proper party (§ 416.1432);

(E) There has not been a reconsidered determination (§ 416.1430(a)(1)), or an initial or revised initial determination that blindness or disability has ceased for medical reasons (§ 416.1430(a)(2)), or a reconsideration of a revised determination of an initial or reconsidered determination that involves a suspension, reduction or termination of benefits (§ 416.1430(a)(3)), or a revised initial determination or revised reconsidered determination that does not involve a suspension, reduction or termination of benefits (§ 416.1430(a)(4)), or a revised decision based on evidence not included in the record on which the prior decision was based (§ 416.1430(a)(5));

(F) The individual has not filed a written request for hearing (§ 416.1433(a)); or

(G) The party who filed the request for hearing did not appear (§ 416.1457(b)).

(e) *Responsibility of administrative law judge.* The administrative law judge will continue to exercise the various responsibilities as set out in §§ 416.1429–416.1461.

(f) *Right to request Appeals Council review.* The SAA representative will not have the right of a party to request Appeals Council review of an administrative law judge's decision or dismissal under § 416.1467. The SSA representative will not participate in any proceedings before the Appeals Council. However, the SSA representative may refer cases to the Appeals Council for possible review on its own motion under § 416.1469. When the Appeals Council remands a case to the administrative law judge for further proceedings, and an SSA representative participated in the proceedings which were the basis for the Appeals Council's remand order, the SSA representative may participate in any further proceedings before the administrative law judge.

[FR Doc. 82-22606 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-11-M

DEPARTMENT OF THE TREASURY

Bureau of Alcohol, Tobacco and Firearms

27 CFR Part 9

[T.D. ATF-109; Ref: Notice No. 376]

Cienega Valley Viticultural Area

AGENCY: Bureau of Alcohol, Tobacco and Firearms, Treasury.

ACTION: Final rule, Treasury decision.

SUMMARY: This final rule establishes a viticultural area in San Benito County, California, to be known as "Cienega Valley." The Bureau of Alcohol, Tobacco and Firearms (ATF) believes the establishment of Cienega Valley as a viticultural area and its subsequent use as an appellation of origin on wine labels and in wine advertisements will allow wineries in the area to better designate where their wines come from and will enable consumers to better identify the wines from this area.

EFFECTIVE DATE: September 20, 1982.

FOR FURTHER INFORMATION CONTACT: Robert L. White, Research and Regulations Branch, Bureau of Alcohol, Tobacco and Firearms, Washington, DC 20226 (202–566–7626).

SUPPLEMENTARY INFORMATION:

Background

On August 23, 1978, ATF published Treasury Decision ATF–53 (43 FR 37672, 54624) revising regulations in 27 CFR Part 4. These regulations allow the establishment of definite viticultural areas. The regulations also allow the name of an approved viticultural area to be used as an appellation of origin on wine labels and in wine advertisements.

On October 2, 1979, ATF published Treasury Decision ATF–60 (44 FR 56692) which added a new Part 9 to 27 CFR, providing for the listing of approved American viticultural areas, the names of which may be used as appellations of origin.

Section 4.25a(e)(1), Title 27, CFR, defines an American viticultural area as a delimited grape-growing region distinguishable by geographical features. Section 4.25a(e)(2) outlines the procedure for proposing an American viticultural area. Any interested person may petition ATF to establish a grape-growing region as a viticultural area.

Almaden Vineyards petitioned ATF to establish a viticultural area in San Benito County, California, to be named "Cienega Valley."

In response to this petition, ATF published a notice of proposed rulemaking, Notice No. 376, in the **Federal Register** on July 28, 1981 (46 FR 38536), proposing the establishment of the Cienega Valley viticultural area.

Historical and Current Evidence of the Name

The name of the area, Cienega Valley, was well documented by the petitioner. After evaluating the petition, ATF believes that the Cienega Valley viticultural area has a unique historical identity and that the name "Cienega Valley" is the most appropriate name for the area.

Geographical Evidence

In accordance with 27 CFR 4.25a(e)(2), a viticultural area should possess geographical features which distinguish the viticultural features of the area from surrounding areas.

Cienega Valley is located at the base of the Gabilan Mountain Range which rises to 3,274 feet and forms a boundary line between San Benito and Monterey Counties. The Pescadero Creek runs through the vineyards and the San Andreas earthquake fault line borders the northeast edge. Cienega Valley lies approximately 5 miles south, overland, from the town of Hollister. On the east is the Paicines Vineyards. The Cienega Valley area is planted with hundreds of acres of vineyards consisting of numerous varieties of grapes.

Cienega Valley lies northeast of the Salinas Valley which is known as a cooler area and is often blanketed with fog. Salinas Valley strongly influences the micro-climate of the Cienega Valley by sending cooler air and fog into the Cienega grape-growing region. The terrain is extremely hilly to mountainous and the elevation ranges from approximately 930 feet to well over 1,500 feet. The average elevation in the Cienega Valley area is higher than much of the surrounding area including Paicines.

Due to the closeness of the Cienega Valley area to the Gabilan Mountain Range, Cienega Valley often has more rain than the surrounding area, thus creating different micro-climatic conditions. Rainfall averages 15.29 inches per year based on 53 years of records. There is some dry farming around the winery. However, water coming down out of the Gabilan Mountains into the Pescadero Creek is

used for irrigation of a portion of the vineyards.

The Cienega Valley area is in a wind tunnel of cool ocean air flowing to the San Joaquin Valley. Trees growing adjacent to the vineyard area help protect the area from the wind. Also, Cienega Valley is protected from the wind due to the location of its eastwest canyons. Cienega Valley gets more evening fog than much of the surrounding area because of its location at the foot of the Gabilan Mountains. This fog usually burns off by early morning. Over the last four years, the temperature in Cienega Valley has averaged 2,861 degree-days as classified by the University of California at Davis system of heat summation by degree-days.

The soil in Cienega Valley is loamy, generally well drained, and often underlain by weathered granite. The main soil associations of the flood plains and alluvial fans are Sorrento-Yolo-Mocho and Clear Lake-Pacheco-Williams. The soil associations on the uplands are the San Benito-Gazos-Linne association and the Sheridan-Cineba-Auberry association. In general there is good water holding capacity and the root depth ranges from medium to quite deep.

Boundaries

The boundaries proposed by the petitioner would partially overlap with a smaller viticultural area named Lime Kiln Valley. After careful evaluation of both the Cienega Valley and Lime Kiln Valley petitions, ATF believes that both viticultural areas have enough similar characteristics to justify expanding the boundaries of Cienega Valley to include all of Lime Kiln Valley. However, due to slight differences in rainfall and temperature, ATF believes that Lime Kiln Valley exhibits distinct micro-climatic characteristics which make it distinguishable as a separate valley from the larger, more generally defined, Cienega Valley. Therefore, ATF has decided to recognize Cienega Valley as a distinct viticultural area which has the smaller Lime Kiln Valley viticultural area located totally within its boundaries. Accordingly, the boundaries of the Cienega Valley viticultural area have been expanded in the southeastern portion of the area to include all of Lime Kiln Valley.

Comments

No comments were received during the comment period. ATF has received no information from any source indicating opposition to the petition.

Miscellaneous

ATF does not wish to give the impression by approving the Cienega Valley viticultural area that it is approving or endorsing the quality of the wine from this area. ATF is approving this area as being viticulturally distinct from surrounding areas, not better than other areas. By approving the area, wine producers are allowed to claim a distinction on labels and advertisements as to origin of the grapes. Any commercial advantage gained can only come from consumer acceptance of Cienega Valley wines.

Regulatory Flexibility Act

The provisions of the Regulatory Flexibility Act relating to an initial and final regulatory flexibility analysis (5 U.S.C. 603, 604) are not applicable to this final rule because this final rule will not have a significant economic impact on a substantial number of small entities. This final rule is not expected to: have significant secondary or incidental effects on a substantial number of small entities; or impose, or otherwise cause, a significant increase in the reporting, recordkeeping, or other compliance burdens on a substantial number of small entities.

Accordingly, it is hereby certified under the provisions of section 3 of the Regulatory Flexibility Act (5 U.S.C. 605(b)), that this final rule will not have a significant economic impact on a substantial number of small entities.

Executive Order 12291

It has been determined that this final regulation is not a "major rule" within the meaning of Executive Order 12291, 46 FR 13193 (1981), because it will not have an annual effect on the economy of $100 million or more; it will not result in a major increase in costs or prices for consumers, individual industries, Federal, State, or local government agencies, or geographic regions; and it will not have significant adverse effects on competition, employment, investment, productivity, innovation, or on the ability of United States-based enterprises to compete with foreign-based enterprises in domestic or export markets.

Disclosure

A copy of the petition and appropriate maps with boundaries marked are available for inspection during normal business hours at the following location: ATF Reading Room, Room 4405, Office of Public Affairs and Disclosure, 12th and Pennsylvania Avenue, NW., Washington, D.C.

Drafting Information

The principal author of this document is Robert L. White, Research and Regulations Branch, Bureau of Alcohol, Tobacco and Firearms. However, personnel in other offices of the Bureau have participated in the preparation of this document, both in matters of substance and style.

List of Subjects in 27 CFR Part 9

Administrative practice and procedure, Consumer protection, Viticultural areas, and Wine.

Authority and Issuance

Accordingly, under the authority contained in section 5 of the Federal Alcohol Administration Act (49 Stat. 981, as amended; 27 U.S.C. 205), 27 CFR Part 9 is amended as follows:

PART 9—AMERICAN VITICULTURAL AREAS

1. The table of sections in 27 CFR Part 9, Subpart C, is amended to add the title of § 9.38. As amended, the table of sections reads as follows:

Subpart C—Approved American Viticultural Areas

Sec.

* * * * *

§ 9.38 Cienega Valley.

* * * * *

2. Subpart C is amended by adding § 9.38. As amended, Subpart C reads as follows:

Subpart C—Approved American Viticultural Areas

* * * * *

§ 9.38 Cienega Valley.

(a) *Name.* The name of the viticultural area described in this section is "Cienega Valley."

(b) *Approved maps.* The appropriate maps for determining the boundaries of the Cienega Valley viticultural area are four U.S.G.S. maps. They are titled:

(1) "Hollister Quadrangle, California," 7.5 minute series (1971);

(2) "Tres Pinos Quadrangle, California," 7.5 minute series (1971);

(3) "Mt. Harlan Quadrangle, California," 7.5 minute series (1968); and

(4) "Paicines Quadrangle, California," 7.5 minute series (1968).

(c) *Boundaries.* The Cienega Valley viticultural area is located in San Benito County, California. The beginning point is the Gaging Station, located on U.S.G.S. map "Paicines Quadrangle" in the southeast portion of Section 21, Township 14 South, Range 6 East.

(1) From the beginning point, the boundary follows the Pescadero Creek Bed in a southeasterly direction about 100 feet to the unimproved road and continues southwesterly on the unimproved road .5 mile to where it intersects with the south border of Township 14 South, Range 6 East, Section 21;

(2) Thence in a straight line to the southwest portion of Section 28, Township 14 South, Range 6 East, where the 1400-foot contour line intersects the south border of Section 28;

(3) Thence following the 1400-foot contour line through the following sections; Sections 28, 29, and 30, Township 14 South, Range 6 East; Section 25, Township 14 South, Range 5 East; Sections 30, 19, 20, and returning to 19, Township 14 South, Range 6 East, to a point where the 1400-foot contour line intersects with the section line between Sections 19 and 18, Township 14 South, Range 6 East;

(4) Thence in a straight line due north to the intersection with the 1200-foot contour line in Section 18, Township 14 South, Range 6 East;

(5) Thence following the 1200-foot contour line in a generally northwesterly direction to where it intersects with the north boundary of Township 14 South, Range 5 East, Section 10; then following this boundary line in a northwesterly direction to where this boundary intersects with the 1600-foot contour line; thence following the 1600-foot contour line in a generally northerly direction to where it intersects with the unimproved road;

(6) Thence looping southward along the unimproved road and continuing on in an easterly direction past the designated "Spring" and then in a northeasterly direction parallel with the Gulch to the Vineyard School on Cienega Road; thence in a southeasterly direction on Cienega Road .4 mile to where the unimproved road intersects; thence traveling north and following the unimproved road in a northwesterly direction about 5. mile; then looping in an easterly direction .75 mile to the intersection of the unimproved road and branching in a southeasterly direction;

(7) Thence crossing Township 13 South to Township 14 South and following the unimproved road to the intersection of the western border of Township 14 South, Range 6 East, Section 6; thence south to the northwest corner of Section 7;

(8) Thence continuing in a straight diagonal line to the southeast corner of Township 14 South, Range 6 East, Section 7; thence from the southeast corner of Section 7 .25 mile west to where it intersects with an unimproved road;

(9) Thence following this unimproved road in a southeasterly direction to the Gaging Station, the point of beginning.

Signed: July 2, 1982.

W. T. Drake,

Acting Director.

Approved: July 30, 1982.

J. M. Walker, Jr.,

Assistant Secretary, Enforcement and Operations.

[FR Doc. 82-22756 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-31-M

DEPARTMENT OF THE INTERIOR

Office of Surface Mining Reclamation and Enforcement

30 CFR Part 946

Approval of Permanent Program Amendment From the Commonwealth of Virginia Under the Surface Mining Control and Reclamation Act of 1977

AGENCY: Office of Surface Mining Reclamation and Enforcement (OSM), Interior.

ACTION: Final rule.

SUMMARY: This document amends 30 CFR Part 946 by adding the permanent program amendments submitted by Virginia under the provisions of the Surface Mining Control and Reclamation Act of 1977 (SMCRA).

After providing opportunity for public comment and conducting a thorough review of the program amendments, the Director, OSM, has determined that the modifications of the Virginia program meet the requirements of SMCRA. Accordingly, the Director has approved the Virginia program amendments.

Part 946 of 30 CFR Chapter VII is being amended to implement this decision.

EFFECTIVE DATE: August 19, 1982.

FOR FURTHER INFORMATION CONTACT: Arthur W. Abbs, Chief, Division of State Program Assistance, Office of Surface Mining Reclamation and Enforcement, U.S. Department of the Interior, South Building, 1951 Constitution Avenue, NW., Washington, D.C. 20240; Telephone (202) 343-5351.

SUPPLEMENTARY INFORMATION:

Background

On March 3, 1980, the Secretary of the Interior received a proposed regulatory program from the Commonwealth of Virginia. On October 22, 1980, following a review of the proposed program as outlined in 30 CFR Part 732, the Secretary approved in part and disapproved in part the proposed program (45 FR 69977–70000). Virginia resubmitted its proposed regulatory program on August 13, 1981, and after a subsequent review, the Secretary approved the program subject to the correction of nineteen minor deficiencies. The approval was effective upon publication of the notice of conditional approval in the December 15, 1981 **Federal Register** (46 FR 61088–61115).

Information pertinent to the general background, revisions, modifications, and amendments to the proposed permanent program submission, as well as the Secretary's findings, the disposition of comments and a detailed explanation of the conditions of approval of the Virginia program can be found in the December 15, 1981 **Federal Register** (46 FR 61088–61115).

One of the minor conditions of approval imposed by the Secretary was condition "r" which required Virginia to submit a revised policy statement or otherwise amend its program to make its coal haul roads policy consistent with the Federal requirements.

On March 31, 1982, Virginia submitted material to satisfy condition "r" (Administrative Record No. VA 383). OSM published a notice in the **Federal Register** on April 26, 1982, announcing receipt of the modifications and inviting public comment on whether the proposed program amendment corrected the deficiency (47 FR 17827–17829). The public comment period ended May 26, 1982. A public hearing schedued for May 12, 1982, was not held because no one expressed a desire to present testimony. On May 11, 1982, OSM published a notice in the **Federal Register** to cancel the public hearing (47 FR 20152–20153).

On July 9, 1982, Virginia submitted the following: (1) Enacted regulations relating to performance standards for coal haul roads; (2) enacted legislation which repeals § 33.1–246.1 of the Virginia Code allowing deeding of haul roads to counties once the Secretary of the Interior has approved the Commonwealth's regulations to establish performance standards for haul roads; and (3) enacted legislation (Chapter 23, Title 45.1) restoring reclamation requirements for operations of two acres or less (Administrative Record No. VA 400). Also in the July 9, 1982 submission, Virginia included proposed regulations to implement Chapter 23, Title 45.1, which would control surface coal mining operations disturbing two acres or less. A **Federal Register** notice published July 23, 1982 (47 FR 31897–31898) reopening the public

comment period for the above material stated that while these proposed regulations were not being formally reviewed for approval or disapproval, they were closely interwoven with the provisions to satisfy condition "r" and should be considered within the context of Virginia's provisions formally submitted to satisfy condition "r." The public comment period announced July 23, 1982, closed on August 9, 1982.

Public disclosure of comments by Federal agencies was made on August 17, 1982, in the **Federal Register.**

Director's Findings

This document does not address the overall adequacy of the modifications to satisfy condition "r" submitted by Virginia on March 31, 1982, and July 9, 1982. Due to the fact that Virginia has elected to attempt to satisfy the condition by amending its program through statutory and regulatory amendments, the Director has determined that the proposed modifications should be processed as individual program amendments. Further, the Director has determined that until the Federal regulations relating to two-acre exemption are effective and final amendments to the Federal definitions of "affected area" and "road" are promulgated (See 47 FR 33424–33432, August 2, 1982), a decision on the adequacy of the proposed program modifications submitted by Virginia consisting of enacted legislation (Chapter 23, Title 45.1) establishing reclamation requirements for operations of two acres or less should be postponed. Also, the regulations to implement Chapter 23, Title 45.1 were submitted in proposed draft form on July 9, 1982. Therefore, no decision is being made on either of the above proposed program modifications or on the overall adequacy of all modifications submitted by Virginia on March 31, 1982, and July 9, 1982, to satisfy condition "r."

The Director, finds, in accordance with SMCRA and 30 CFR 732.17 and 732.15, that the program amendments consisting of enacted legislation which repeals section 33.1–246.1 of the Virginia Code allowing deeding of haul roads to counties and the enacted regulations (sections V816.150 and V817.150) relating to performance standards for coal haul roads submitted by Virginia on July 9, 1982, meet the requirements of SMCRA. It should be noted that although OSM has worked closely with Virginia pertaining to the State's regulations for haul road performance standards, Federal regulations relating to haul road performance standards have not been promulgated at this time. See 47 FR 16592–16603, April 16, 1982. Pursuant to § 732.17 (d) and (e), the Director, OSM, will notify Virginia if any changes are necessary to the State's permanent program regulations when OSM issues final rules on this subject.

Public Comments

One commenter stated that OSM should delay a decision on the adequacy of Virginia's provisions to satisfy the condition and set a new due date by which Virginia would be required to comply with the new standards of the Federal rules relating to two-acre exemption published in the **Federal Register** on August 2, 1982.

The Director basically agrees with the comment for the reasons set forth in his findings.

Additional Determinations

The Secretary has determined that, pursuant to section 702(d) of SMCRA, 30 U.S.C. 1292(d), no environmental impact statement need by prepared on this action.

On August 28, 1981, the Office of Management and Budget (OMB) granted OSM an exemption from Sections 3, 4, 6, and 8 of Executive Order 12291 for all actions taken to approve or conditionally approve State regulatory programs, actions or amendments. Therefore, this action is exempt from preparation of a Regulatory Impact Analysis and regulatory review by OMB.

Pursuant to the Regulatory Flexibility Act, Pub. L. 96–354, I have certified that this rule will not have a significant economic impact on a substantial number of small entities.

On December 8, 1981, the Administrator of the Environmental Protection Agency transmitted her written concurrence on the Virginia permanent program. The amended regulatory provisions approved in this document are not aspects of the Virginia permanent program which relate to air or water quality standards promulgated under the authority of the Federal Clean Water Act, as amended (33 U.S.C. 1151–1175), and the Clean Air Act, as amended (42 U.S.C. 1857 *et seq.*).

Indexing Requirements

List of Subjects in 30 CFR Part 946

Coal mining, Intergovernmental relations, Surface mining, Underground mining.

Therefore, Part 946 of 30 CFR Chapter VII is amended as set forth herein.

Dated: August 16, 1982.

J. R. Harris,

Director, Office of Surface Mining Reclamation and Enforcement.

PART 946—VIRGINIA

Section 946.10 of Title 30 is revised to read as follows:

§ 946.10 State regulatory program approval.

The Virginia State Program, as submitted on March 3, 1980, as amended and clarified on June 16, 1980, as resubmitted on August 13, 1981, and clarified in a meeting with OSM on September 21 and 22, 1981, and in a letter to the Director of the Office of Surface Mining on October 15, 1981, was conditionally approved, effective December 15, 1981. Beginning on that date, the Department of Conservation and Economic Development, Division of Mined Land Reclamation was deemed the regulatory authority in Virginia for all surface coal mining and reclamation operations and all exploration operations on non-Federal and non-Indian lands. Beginning on July 21, 1982, the program also included a program amendment submitted on January 28, 1982. Further, beginning on August 19, 1982, the program includes two program modifications submitted on July 9, 1982.

Copies of the conditionally approved program, as amended, are available for review at:

Virginia Division of Mined Land Reclamation, Drawer U, 630 Powell Avenue, Big Stone Gap, Virginia 24219;

Virginia Department of Conservation and Economic Development, 1100 State Office Building, Richmond, Virginia 23219;

Office of Surface Mining Reclamation and Enforcement, Flannagan and Carroll Streets, Lebanon, Virginia 24266;

Office of Surface Mining Reclamation and Enforcement, Room 5315, 1100 "L" Street, N.W., Washington, D.C.

(Pub. L. 95–87; 30 U.S.C. 1201 et seq.)

[FR Doc. 82–22758 Filed 8–18–82; 8:45 am]

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DEPARTMENT OF DEFENSE

Department of the Navy

32 CFR 728

Medical and Dental Care for Eligible Persons at Navy Medical Department Facilities

AGENCY: Department of the Navy, DoD.

ACTION: Final rule.

SUMMARY: This rule sets forth amended regulations governing medical and dental care for eligible persons at Navy medical department facilities. This rule reflects changes in the Bureau of Medicine and Surgery Instruction 6320.31 series from which it is derived.

EFFECTIVE DATE: August 19, 1982.

FOR FURTHER INFORMATION CONTACT: Commander M. D. Hannas, JAGC, USN, Bureau of Medicine and Surgery, Department of the Navy, Washington, DC 20372. Telephone Number: (202) 254–4388.

SUPPLEMENTARY INFORMATION: Pursuant to the authority cited below, the Department of the Navy amends 32 CFR Part 728, which is derived from the Bureau of Medicine and Surgery Instruction 6320.31 series, to reflect recent changes in that regulation. The revision relates to internal naval management and personnel practices, and is being published by the Department of the Navy solely for the guidance and interest of the public in accordance with 5 U.S.C. 552(a)(1). It has also been determined that invitation of public comment on these changes prior to adoption would be impracticable, and is therefore not required under the public rulemaking provisions of 32 CFR Parts 296 and 701. Interested persons, however, are invited to comment in writing on this amendment. All written comments received will be considered in making subsequent amendments or revisions to 32 CFR Part 728 or the regulation upon which it is based. Changes may be initiated on the basis of comments received. Written comments should be addressed to the Director, Health Benefits Division, Bureau of Medicine and Surgery, Department of the Navy, Washington, DC 20372. It has been determined that this FINAL RULE is not a "major rule" within the criteria specified in section 1(b) of Executive Order 12291 and does not have substantial impact on the public.

List of Subjects in 32 CFR Part 728

Government employees, Health care, Military personnel.

Accordingly, 32 CFR Part 728 is hereby revised to read as follows:

PART 728—MEDICAL AND DENTAL CARE FOR ELIGIBLE PERSONS AT NAVY MEDICAL DEPARTMENT FACILITIES

Subpart A—General

Sec.
728.1 Mission of Navy Medical Department facilities.
728.2 Definitions.
728.3 General restrictions and priorities.
728.4 Policies.

Subpart B—Members of the Uniformed Services on Active Duty

728.11 Eligible beneficiaries.
728.12 Extent of care.
728.13 Application for care.

Subpart C—Members of Reserve Components, Reserve Officers' Training Corps, and Navy and Marine Corps Officer Candidate Programs

728.21 Navy and Marine Corps Reservists.
728.22 Members of other Reserve Components of the Uniformed Services.
728.23 Reserve Officers' Training Corps (ROTC).
728.24 Navy and Marine Corps Officer Candidate Programs.

Subpart D—Retired Members and Dependents of the Uniformed Services

728.31 Eligible beneficiaries.
728.32 Health benefits authorized.
728.33 Application for care.
728.34 Nonavailability statement (DD Form 1251).
728.35 Care beyond the capabilities of a Naval MTF.

Subpart E—Members of Foreign Military Services and Their Dependents

728.41 General provisions.
728.42 NATO.
728.43 Members of other Foreign Military Services and their dependents.
728.44 Members of security assistance training programs, Foreign Military Sales, and their ITO authorized dependents.
728.45 Civilian components (Employees of Foreign Military Services) and their dependents.

Subpart F—Beneficiaries of Other Federal Agencies

728.51 General provisions—the "Economy Act".
728.52 Veterans Administration beneficiaries (VAB).
728.53 Department of Labor, Office of Workers' Compensation Programs (OWCP) beneficiaries.
728.54 U.S. Public Health Service (USPHS), other than members of the Uniformed Services.
728.55 Department of Justice beneficiaries.
728.56 Treasury Department beneficiaries.
728.57 Department of State and associated agencies.
728.58 Federal Aviation Agency (FAA) beneficiaries.
728.59 Peace Corps beneficiaries.
728.60 Job Corps and Volunteers in Service to America (VISTA).
728.61 Medicare beneficiaries.

Subpart G—Other Persons

728.71 Ex-service maternity care/former female members of the Armed Forces—care incident to pregnancy and care of the newborn.
728.72 Applicant for enrollment in the Senior Reserve Officers' Training Program.
728.73 Applicants for enlistment or reenlistment in the Armed Forces, and applicants for enlistment in the Reserve Components.
728.74 Applicants for appointment in the Regular Navy or Marine Corps and Reserve Components, including members of the Reserve Components who apply for active duty.
728.75 Applicants for Cadetship at Service Academies.
728.76 Naval Home residents.
728.77 Secretarial designees.
728.78 American Red Cross Representatives and their dependents.
728.79 Officially recognized welfare workers, other than Red Cross, and their dependents.
728.80 U.S. Navy Technicians and their dependents.
728.81 Civilians.
728.82 Individuals whose military records are being considered for correction.
728.83 Persons in Military custody and nonmilitary Federal prisoners.

Subpart H—Adjuncts to Medical Care

728.91 General.
728.92 Policy.
728.93 Chart of adjuncts.

Authority: 10 U.S.C. 5031, 6011, 70A Stat. 278, 375, as amended, sec. 301, 80 Stat. 379; 5 U.S.C. 301, 10 U.S.C. 5031, 6011. Interpret or apply R.S. 4807, sec. 4, 57 Stat. 81, secs. 5537, 6148, 6201–6203, 70A Stat. 319, 383, 387, secs. 1071–1085, 72 Stat. 1445–1450, as amended; 10 U.S.C. 1071–1085, 2104, 2107, 2109, 2110, 5537, 6148, 6201–6203; 22 U.S.C. 1158, 2357, 2504, 2505, 2507, 2522; 5 U.S.C. 8101; 24 U.S.C. 15, 34, 35; 42 U.S.C. 249, 253.

Subpart A—General

§ 728.1 Mission of Navy Medical Department facilities.

The primary mission of Navy Medical Department facilities is to provide adequate medical and dental care for members of the Navy and Marine Corps and for members of the other uniformed services, who may be sick, injured, or disabled. In addition, Navy Medical Department facilities may provide medical and dental care to dependents of military personnel, to members not on active duty, and to such other persons as authorized by law, U.S. Navy regulations, and Department of Defense directives. These authorizations also provide that Navy Medical Department

facilities may sometimes be called upon to furnish medical and dental care to civilians and to other persons not otherwise entitled to medical and dental care pursuant to the laws of humanity or principles of international courtesy.

§ 728.2 Definitions.

Unless otherwise qualified herein, the following terms when used throughout this part are defined as follows:

(a) *Active duty.* Full-time duty in the active military service of the United States. This includes duty on the active list; full-time training duty; annual training duty; and attendance, while in the active military service, at a school designated as a service school by law or by the Secretary of the military department concerned.

(b) *Active duty for training.* Active duty performed in the active military service by a member of the Reserve Components under orders by competent authority for a specified period which provides for automatic reversion to inactive duty when the specified period of active duty is completed. Includes not only the period of time from reporting to the time of release but also the time of travel to and from the duty station, not in excess of the allowable constructive travel time. (*See* SECNAVINST 1770.3 or DOD Military Pay and Allowances Manual (DODPM), paragraphs 10242 and 10243.)

(c) *CHAMPUS.* Civilian Health and Medical Program of the Uniformed Services.

(d) *Chronic condition.* Any medical or surgical condition marked by long duration or frequent recurrence—or likely to be so marked—which, in light of medical information available, will ordinarily resist efforts to eradicate it completely, but a condition which needs health benefits to achieve or maintain stability that can be provided safely only by or under the supervision of physicians, nurses, or persons authorized by physicians.

(e) *Civilian employee.* A person employed by the Federal Government and paid from appropriated or nonappropriated funds.

(f) *Convalescent leave.* A period of authorized absence granted to members under medical care for sickness or wounds and not yet fit for duty, which is part of the treatment prescribed for recuperation and convalescence.

(g) *Cooperative care.* Those medical services and supplies for which CHAMPUS will share in the cost for beneficiaries under circumstances specified in this Subpart A, § 728.4(z), even though the patient remains under the primary control of a USMTF.

(h) *Cooperative care coordinator.* Designated individual in a CHAMPUS Contractor's office who serves as the point of contact for Health Benefits Advisors on all matters related to supplemental/cooperative medical care or services provided or ordered for CHAMPUS-eligible beneficiaries by USMTF providers.

(i) *Cosmetic surgery.* That surgery which is done to revise or change the texture, configuration, or relationship of contiguous structures of any feature of the human body which would be considered by the average prudent observer to be within the broad range of "normal" and acceptable variation for age and ethnic origin, and in addition, is performed for a condition which is judged by competent medical opinion to be without potential for jeopardy to physical or mental health.

(j) *Dental care.* Treatment which will prevent or remedy diseases, disabilities, and injuries of the teeth, jaws, and related structures and thereby contribute to maintenance or restoration of the dental health of an individual.

(k) *Dependent.* (1) A person who bears any of the relationships enumerated in paragraph (k) (2), (3), and (4) of this section to:

(i) An active duty or retired member of a uniformed service.

(ii) A deceased individual who, at the time of his or her death, was an active duty or retired member of a uniformed service.

(iii) A member or former member who:

(A) Is, or was at the time of his or her death, entitled to retired or retainer pay or equivalent pay; or

(B) Died before attaining age 60 and at the time of his or her death:

(*1*) Would have been eligible for retired pay under 10 U.S.C. 1331–1337 but for the fact that he or she was under 60 years of age, and

(*2*) Had elected to participate in the Survivor Benefit Plan established under 10 U.S.C. 1447–1455, except that

(*3*) Such dependents as enumerated in paragraphs (k)(2), (3), and (4) of this section may not be rendered care derived from the sponsor's entitlement under 10 U.S.C. 1331–1337 until the date on which such members or former members would have attained age 60.

(2) *Spouse.* (i) Wife or husband regardless of whether actually dependent on the active duty or retired member.

(ii) Unremarried widow or widower, regardless of whether actually dependent on the active or retired member at the time of his or her death.

(3) *Child.* (i) A legitimate child, an illegitimate child of a male member whose paternity has been judicially determined, an illegitimate child of record of a female member, an adopted child, or a legitimate stepchild who is unmarried and—

(A) Under 21 years of age regardless of whether dependent on the active duty or retired member; or

(B) Twenty-one years of age or older but incapable of self-support because of a mental or physical incapacity that existed before his or her 21st birthday and is, or was at the time of death of the active duty or retired sponsor, dependent on the sponor for over one-half of his or her support; or

(C) Twenty-one or 22 years of age and pursuing a full-time course of education that is approved by the Secretary of Defense or Secretary of Health and Human Services (formerly HEW), as applicable, or that is approved by a State agency pursuant to chapter 32 (Post-Vietnam Era Veterans' Educational Assistance), chapter 34 (Veterans' Educational Assistance) or chapter 35 (Survivors' and Dependents' Educational Assistance) of 38 U.S.C., for the purposes of those chapters, and is, or was at the time of death of the active duty or retired member, dependent on such member for over one-half of his or her support.

(ii) An unmarried illegitimate child (not covered in paragraph (k)(3)(i) of this section) or illegitimate stepchild who is, or was at the time of death of the active duty or retired member, dependent on the member or retired member for more than one-half of his or her support; residing with or in a home provided by the member parent or the parent who is the spouse of the member or retired member, and is—

(A) Under 21 years of age; or

(B) Twenty-one years of age or older but incapable of self-support because of a mental or physical incapacity that existed prior to the individual's 21st birthday; or

(C) Twenty-one or 22 years of age and pursuing a full-time course of education that is approved in accordance with paragraph (k)(3)(i)(C) of this section.

(4) *Parent.* Natural parent, bona fide adoptive parent, parent-in-law, step-parent, or step-parent-in-law who is, or was at the time of death of the active duty or retired member, dependent on the member or retired member for over one-half of such parent's support and residing in a dwelling place provided or maintained by the member. (Does not include a person who stood in loco parentis.)

(l) *Disability separation.* Temporary or permanent retirement and discharge for physical disability, with or without entitlement to receive severance pay.

(m) *Disengagement.* Discontinuance of medical management by naval medical facilities for only a specific episode of care. (Patient or sponsor should be advised to return to the naval MTF for any care required subsequent to receiving the care for which disengagement is made.) Considered accomplished only after alternative sources of care and attendant costs, if applicable, have been fully explained to patient or sponsor. *See* this Subpart A, § 728.4(i).

(n) *Domiciliary/custodial care.* The type of care designed essentially to assist the individual in meeting the normal activities of daily living, i.e., services which constitute personal care such as help in walking and getting in or out of bed, assistance in bathing, dressing, feeding, preparation of special diets, and supervision over medications which can usually be self-administered and which does not entail or require the continuing attention of trained medical or paramedical personnel. The essential characteristic that is to be considered is the level of care and medical supervision that the patient requires, rather than such factors as the diagnosis, the type of condition, or the degree of functional limitation.

(o) *Elective care.* Medical, surgical, or dental care desired or requested by the individual or recommended by the physician or dentist which, in the opinion of other cognizant professional authority, can be performed at another place or time without jeopardizing life, limb, health, or well-being of the patient, e.g., surgery for cosmetic purposes and nonessential dental prosthetic appliances.

(p) *Emergency care.* Medical treatment of patients with severe, life-threatening, or potentially disabling conditions that require immediate intervention to prevent undue suffering or loss of life or limb and dental treatment of painful or acute conditions.

(q) *Health Benefits Advisor (HBA) (formerly Health Benefits Counselor (HBC)).* Designated individuals at naval facilities who are responsible for advising and assisting beneficiaries covered herein concerning medical and dental benefits in uniformed services facilities and under CHAMPUS. They also provide information regarding Veterans Administration, Medicare, MEDICAID, and such other local health programs as are known to be available to beneficiaries. *See* this Subpart A, § 728.4(o).

(r) *Hospitalization.* Inpatient care in a medical treatment facility as defined in SECNAVINST 6320.19A.

(s) *Inactive duty training (drill).* A period of training for Reserve personnel on inactive duty which includes only that time between muster and dismissal. Does not include travel to or from such drills.

(t) *Indigent.* A person who has insufficient funds or income to meet the cost of necessary medical care and services is considered to be indigent (medically).

(u) *Legitimate care.* Those medical and dental services legally performed and not contrary to governing statutes.

(v) *Maximum hospital benefit.* That point during inpatient treatment when the patient's progress appears to have stabilized and it can be anticipated that additional hospitalization will not directly contribute to any further substantial recovery. A patient who will continue to improve slowly over a long period of time without specific therapy or medical supervision, or with only a moderate amount of treatment on an outpatient basis, may be considered as having attained maximum hospital benefit.

(w) *Medical care.* Treatment required to maintain or restore the health of an individual. Medical care may include, but is not limited to, the furnishing of inpatient treatment, outpatient treatment, nursing service, medical examinations, immunizations, drugs, subsistence, transportation, and other adjuncts such as prosthetic devices, spectacles, hearing aids, orthopedic footwear, and other medically indicated appliances or services.

(x) *Medical treatment facility (MTF).* Any duly authorized medical department center, hospital, clinic, or other facility that provides medical, surgical, or dental care.

(y) *Medically necessary.* The level of services and supplies (i.e., frequency, extent, and kinds) adequate for the diagnosis and treatment of illness, or injury, including maternity care. Medically necessary includes concept of appropriate medical care.

(z) *Member of a uniformed service.* A person appointed or enlisted in, or conscripted into a uniformed service.

(aa) *Military patient.* A member of a United States uniformed service on active duty, active duty for training, or inactive duty training (drill), or an active duty member of the armed forces of a foreign government who is receiving inpatient or outpatient care.

(bb) *Occupational health services.* Includes medical examinations and tests related to preemployment, preplacement, periodic, and pretermination; tests required for protecting the health and safety of naval personnel; job-related immunizations and chemoprophylaxis; education and training related to occupational health; and other services provided to avoid lost time or to improve effectiveness of employees. The latter shall include the furnishing of emergency treatment of illnesses or injuries occurring at work. Such health services shall be furnished both active duty military personnel and naval civilian employees in accordance with current directives.

(cc) *Outside the United States.* All areas except the 50 States and the District of Columbia.

(dd) *Retired Member of a Uniformed Service.* A member or former member of a uniformed service who is entitled to retired or retainer pay, or equivalent pay, as a result of service in a uniformed service. This includes a retired member of a Reserve Component of the uniformed services who is entitled to retired pay from a uniformed service on attaining age 60 and who has completed 20 or more years of creditable service in accordance with 10 U.S.C. 1331–1337.

(ee) *Routine care.* Medical and dental care necessary to maintain health or dental functions other than care of an emergency or elective nature.

(ff) *Supplemental care or services.* When medical or dental management of a patient is retained by a naval MTF and required care is not available at that facility, any additional material, professional diagnostic or consultative services, or other personal services ordered by qualified uniformed service providers, and obtained for the care of that patient are supplemental. Responsibility for payment for such care or services depends upon the category of beneficiary being treated. *See* this Subpart A, § 728.4(z).

(gg) *Uniformed services.* The Navy, Marine Corps, Army, Air Force, Coast Guard, Commissioned Corps of the Public Health Service, and the Commissioned Corps of the National Oceanic and Atmospheric Administration.

(hh) *United States.* The 50 States and the District of Columbia.

(ii) *USMTF.* Uniformed services medical treatment facility.

§ 728.3 General restrictions and priorities.

Naval MTF's shall provide care to all eligible beneficiaries subject to the capabilities of the professional staff, and the availability of space and facilities. In those instances when care cannot be rendered to all eligible beneficiaries, the following priorities shall prevail. No distinction as to the sponsoring uniformed service will be made when providing care or deciding priorities.

PRIORITIES FOR THE VARIOUS CATEGORIES OF PERSONNEL ELIGIBLE FOR CARE IN NAVY MEDICAL DEPARTMENT FACILITIES

Priority	Category	Degree of entitlement
1 A.	Members of the uniformed services on active duty (including active duty for training and inactive duty training (drill)) and comparable personnel of the NATO nations who meet the conditions prescribed within this part.	See Subpart B.
1 B.	Members of a Reserve Component of the Armed Forces not on active duty.	See Subpart C.
2	Dependents of active duty members of the uniformed services, dependents of persons who died while in such a status, and the dependents of active duty members of NATO nations who meet the conditions prescribed in Subpart E.	See Subparts D and E.
3	Members of the Senior Reserve Officers' Training Corps of the Armed Forces.	See Subpart C, § 728.23.
4	Retired members of the uniformed services and their dependents and the dependents of deceased retired members.	See Subpart D.
5	Civilian employees of the Federal Government under the limited circumstances covered by the Federal Employees' Health Service Program.	See Subpart G, § 728.81.
6	All others, including former female members of the uniformed services and their newborn infants.	See Subparts F and G.

§ 728.4 Policies.

(a) *Admissions to closed psychiatric wards.* Patients will be admitted to closed psychiatric wards only when they have a psychiatric or emotional disorder which renders them dangerous to themselves or others, or when a period of careful closed psychiatric observation is necessary to determine whether such a condition exists. When a patient is admitted to a closed psychiatric ward, the reason for admission must be clearly stated in the patient's clinical record by the physician admitting the patient to the ward. These same policies apply equally in those instances when it is necessary to place a patient on an open ward under constant surveillance.

(b) *Absence from the sick list. See* paragraphs (e) and (x) of this section.

(c) *Charges and collection. See* NAVMED P–5020, Financial Management Handbook.

(d) *Consent by nonmilitary patients to medical care.* (1) Nonmilitary individuals may not be furnished medical care in any naval MTF without either their consent or the consent of a person authorized to consent on their behalf in accordance with the provisions of applicable local laws or the order of a court having jurisdiction over the individual. Consent may be either expressed or implied. This rule applies even though an individual may be entitled by law to medical care in naval MTF's; it applies worldwide, except as it may be modified by local laws or international agreements.

(2) Implied consent is one that may be derived from actions of the patient or other circumstances, even though specific words of consent are not used. For example, a patient's application for admission to an MTF is an implied consent for hospitalization; if a patient is a minor incapable of giving consent, an implied consent of the parent may be found in actions of the parent in requesting or not objecting to medical care for the minor. Moreover, consent to treatment is implied in certain emergency situations wherein a patient is incapable of giving or denying consent, and the patient's condition represents a serious or imminent threat to life, health, or well-being.

(3) Expressed consent involves an interchange of language by which the patient, or person authorized to act on the patient's behalf, specifically states that consent is given to proposed medical care. An expressed consent may be valid whether oral or in writing, but a written consent is required (except in emergency situations as defined in paragraph (d)(2) of this section) and must be recorded on Standard Form 522 (Request for Administration of Anesthesia and for Performance of Operations and Other Procedures) in connection with the following when nonmilitary patients (both inpatients and outpatients) are involved:

(i) Any major or minor surgery which involves an entry into the body, either through an incision or through one of the natural body openings.

(ii) Any procedure or course of treatment in which anesthesia is used, whether or not an entry into the body is involved.

(iii) Any nonoperative procedure which involves more than a slight risk of harm to the patient, or which involves the risk of a change in the patient's body structure.

(iv) Any procedure where roentgen ray, radium, or other radioactive substance is used in the treatment of the patient.

(v) All procedures which involve electroshock or insulin coma therapy.

(vi) Admission of patients with psychotic disorders.

(vii) Admission of patients to closed wards.

(viii) All other procedures which, in the opinion of the attending physician or dentist, chief of service, commanding officer, or officer in charge, require a written consent. Any question as to the necessity or advisability of obtaining a written consent from or on behalf of the patient should be resolved in favor of procuring such a consent.

(4) For a consent to be legally sufficient, whether expressed or implied, it must be given a person legally capable to give consent.

(i) The sufficiency of a consent by a nonmember minor to any medical examination or treatment will be determined by the statutory and judicial laws of the United States and the State in which the medical facility is located (e.g., many States allow the treatment of venereal disease with the consent of the minor alone and the parents need neither be informed nor their consent obtained). In instances where the consent of the minor alone is legally sufficient, the minor's decision authorizing or rejecting the proposed treatment is binding. In the absence of any law on the subject, it should be determined from the maturity of the minor involved whether he or she may give a legally sufficient consent. In these instances, particular attention should be paid to the minor's age and level of intelligence and to his or her understanding of the complicacy and seriousness of the proposed treatment. If there is a question as to the sufficiency of the minor's consent, the advice of a judge advocate or other government attorney should be sought. The consent of the parents will be required only when it is determined that the consent of the minor alone is not legally sufficient. Even in those circumstances where the consent of the minor is not legally sufficient, the consent of the minor patient will, nevertheless, be obtained in addition to the consent of the parents in all instances in which the minor is able to understand and fully comprehend the significance of the procedure contemplated. Further, when a situation arises in which the interest of the facility and the interest of a patient, his or her parent, or guardian are adverse, the facility may have to seek a court order empowering the facility to render the necessary care (e.g., where a parent refuses, on religious grounds, to give consent to a blood transfusion for the benefit of a minor child). Application for such a court order must be made to a Federal court pursuant to 28 U.S.C. 1345, and such court must also have jurisdiction over the patient. Some

States require that a patient's parent or guardian obtain court approval for procedures such as organ transplants, even though the interest of the facility and that of the patient, parent, or guardian are not adverse. Under these circumstances, it is the responsibility of the parent or guardian to obtain such an order and the court need not have jurisdiction over the facility.

(ii) If valid under the laws of the State in which the MTF is located, parents may grant powers of attorney to:

(A) Their mature minor children authorizing them to consent to medical care for themselves and other minor children of the family.

(B) Individuals standing in a temporary loco parentis status authorizing them to consent to medical care for minor children of the family.

(iii) Except in an emergency, when a patient for some reason other that mental incompetency is unable to respond, the consent of the spouse or next of kin must be obtained. If the spouse or next of kin cannot be reached, the question of authority or need to consent will be referred to the appropriate judge advocate or other government attorney for advice.

(iv) When a judicial interpretation of mental incompetency has been made, consent must be obtained from the individual appointed by the court to act for the incompetent patient.

(v) When the question of mental incompetency arises and a judicial determination of mental incompetency has not been made, the question of authority to consent or render treatment will be referred to the appropriate judge advocate or other government attorney for advice.

(vi) Without appropriate court order or the consent of the patient or a person authorized to act on the patient's behalf, the commanding officer may temporarily detain a nonmilitary individual with a psychiatric disorder which makes the person dangerous to him or herself or to others, when such individual is found on the military reservation where the MTF is located. When the individual, not otherwise eligible for naval MTF services, is located off the military reservation, such temporary detention should be avoided, unless medically dictated in emergency situations (as defined in paragraph (d)(2) of this section) where civilian services are clearly unavailable. In such an instance, if proper consent to, or authorization for admission to the facility cannot be obtained, the local civilian authorities should be notified immediately, and the individual should be transferred to those authorities. *The temporary involuntary detention of a nonmilitary individual should conform with local laws and statutes governing involuntary detention, particularly where the United States does not possess exclusive jurisdiction.* To provide for situations herein discussed, arrangements should be made in advance with local civilian authorities to accept forthwith those nonmilitary psychotic individuals who may not be admitted to or retained in naval MTF's because of lack of consent or appropriate court order. In making these arrangements, the point should be made, if necessary, that such individuals who are not residents of the locality are entitled to the same care and treatment by local civilian authorities as would be transients or tourists not connected with the Federal Government.

(vii) Movement to or from a naval MTF of nonmilitary psychotic individuals without proper consent or court order normally will not be performed under the auspices of a naval MTF.

(viii) The validity of a court order directing involuntary confinement or treatment of a patient in any naval MTF is a matter for review, in each instance, by the appropriate judge advocate or other government attorney.

(ix) When a written consent is required, it will be personnally signed by the patient, or the person authorized to act on his or her behalf.

(x) Consent for dental procedures which come under the provisions of paragraphs (d)(3)(i) and (ii) of this section may be obtained at the time a course of treatment is started. One SF 522 may be used for a complete course of treatment.

(5) *Consent validity.* One of the elements affecting the validity of a consent, whether implied or expressed, is whether the person giving consent understands that to which consent is being given and, to a sufficient degree, the possible consequences of the procedures for which consent is given. The physician or dentist who is to perform or supervise the performance of a procedure will counsel the patient or the consenting individual in a medically sound fashion as to the nature or expected results of the proposed procedure, and all known material risks peculiar to the proposed procedure, which in fact is attested to by the patient or person authorized to give consent and by the counseling physician or dentist on SF 522. There are two generally recognized exceptions to this duty of the physician or dentist:

(i) Where the patient requires emergency treatment and time does not permit a discussion of the risks involved; and

(ii) Where, in the physician's or dentist's sound medical judgement (as concurred in by the commanding officer or chief of service), the risk of harm to the patient from such disclosure would far outweigh the benefits of a full informed consent.

(e) *Convalescent leave.* Convalescent leave may be granted to members on active duty by a member's commanding officer or the hospital's commanding officer for a period of up to 30 days per period of hospitalization. For further amplification, see MILPERSMAN 3020160 or MCO P1050.3E, paragraph 316, as applicable.

(f) *Cosmetic surgery.* (1) Commanding officers will monitor, control, and assure compliance with the policy concerning cosmetic surgery as defined in this Subpart A, § 782.2(i).

(2) Certain cosmetic procedures are a necessary part of training and retention of skills to meet the requirements of certification and recertification. In so far as they meet minimum requirements and serve to improve the skills and techniques needed for reconstructive surgery, the following cosmetic procedures may be done as low priority surgery when time and space are available.

(i) Cosmetic facial rhytidectomies (face lifts) shall be a part of all training programs required by certifying boards.

(ii) Cosmetic augmentation mammaplasties will be done only by properly credentialed surgeons and residents within surgical training programs to meet the requirements of certifying boards.

(g) *Cross-utilization of Uniformed Services facilities.* To provide effective cross-utilization of medical and dental facilities of the uniformed services, eligible persons, regardless of service affiliation, will be given equal opportunity for health benefits. In areas where facilities of two or more uniformed services are available, the appropriate officials of each service will participate jointly in determining capabilities and establishing areas of responsibility for care. Delineation of such areas will include:

(1) Zone boundaries and the facility serving each zone.

(2) Provisions that dependents who reside in a zone served by a facility not of the sponsor's own service may obtain care at that facility or at a facility of the sponsor's service located in another zone.

(3) Provisions that if the facility to which the dependent applies cannot furnish the needed care, the other facility or facilities in the area will be

contacted to determine whether care can be provided at another area facility.

(h) *Domiciliary/Custodial care.* Except under unusual circumstances, such care will not be provided in naval MTF's except when required for active duty members of the uniformed services.

(i) *Disengagement.* Patients referred to civilian sources for total care (disengaged) under CHAMPUS will be issued a Nonavailability Statement (DD Form 1251) in accordance with Subpart D, § 728.34, when appropriate. CHAMPUS-eligible patients who are referred for total care, who do not otherwise require a DD Form 1251 (referred for outpatient care or those referred whose residence is beyond 40 travel miles of the facility), will be given a properly completed DD Form 2161, Referral For Civilian Medical Care, which clearly indicates that the patient is disengaged for total care under CHAMPUS. CHAMPUS beneficiaries will be disengaged for medical services under the terms of CHAMPUS when:

(1) Required medical services are beyond the capability of the naval MTF and such services cannot be appropriately provided through one of the alternate means listed in paragraph (z) of this section, or

(2) The naval MTF cannot effectively provide the required service or manage the overall course of care even if augmented by services procured from other Government or civilian sources utilizing naval MTF operation and maintenance funds as authorized in paragraph (z) of this section.

(j) *Emergency care.* Patients authorized only emergency care and those admitted as civilian emergencies will be treated only during the period of the emergency. Action will be initiated to effect appropriate disposition of such patients as soon as the emergency ends.

(k) *Evaluation after admission.* Each patient will be evaluated as soon as possible after admission and reevaluation will continue until disposition is made. The patient's probable type and date of disposition will be anticipated and necessary processing by the various medical and administrative agencies will take place concurrently with the treatment of the patient. It is especially important that the medical disposition decision be made as early as possible for U.S. military patients (*see* BUMEDINST 6320.11D concerning rapid processing) and for military personnel of NATO nations whose disposition shall be in conformance with Subpart E, § 728.42(d).

(l) *Extent of care.* Eligible persons will be provided medical and dental care to the extent it is authorized, required, and available. When a person is accepted for care, all care and adjuncts thereto, such as nonstandard supplies, as determined by the commanding officer of the naval MTF concerned to be necessary will be provided from resources available to the commanding officer, unless specifically prohibited elsewhere in this part. EXCEPTION: Hospitalization and outpatient services may be provided outside the continental limits of the United States and in Alaska to the officers and employees of any department or agency of the Federal Government, to employees of a contractor with the United States or the contractor's subcontractor, to the dependents of such persons, and in emergencies to such other persons as the Secretary of the Navy may prescribe: *Provided,* That such services shall be permitted only where facilities are not otherwise available in reasonably accessible and appropriate non-Federal facilities. When a patient has been accepted for care and care required is beyond the capabilities of that naval MTF, the commanding officer thereof will arrange for the required care by one of the means shown below. The method of choice will be based upon professional considerations and travel economy.

(1) Transfer the patient in accordance with paragraph (bb) of this section.

(2) Procure from civilian sources the necessary material or professional and personal services required for the proper care and treatment of the patient. Payment for the cost of such care or services depends upon the category of beneficiary being treated. *See* paragraph (z) of this section.

(3) The care authorized in paragraph (l)(2) of this section will normally be accomplished in the naval MTF. However, when such action is not feasible, supplementation may be obtained elsewhere. Patients may be sent to other Federal or civilian facilities for specific treatment or services under paragraph (1) of this section *Provided* they remain under the medical management of the commanding officer of the sending facility during the entire period of care.

(m) *Family planning services.* Family planning services shall be provided in accordance with the provision of SECNAVINST 6300.2A.

(n) *Grouping of patients.* Hospitalized patients will be grouped according to their requirements for housing and medical care, including nursing care, and will be furnished quarters, facilities, and professional supervision on that basis. Patients who must be retained under medical supervision (medical hold) solely for administrative reasons or for medical conditions which can be treated on a clinic basis will be provided quarters and messing facilities, where practicable, separately from other hospitalized patients. Medical care for such patients will be furnished on a periodic clinic appointment basis. *See* paragraph (q) of this section for handling enlisted convalescent patients. Maximum use will be made of administrative personnel in the supervision of such patients.

(o) *Health Benefits Advising.*—(1) *General.* A Health Benefits Advising Program if not established must be implemented at all commands having one or more medical officers. The number of Health Benefits Advisors (HBA) of a command shall be commensurate with counseling and assistance requirements. The purpose of the program is to provide health benefits information and counseling to beneficiaries of the Uniformed Services Health Benefits Program and to others who may or may not qualify for care in USMTF's. Office location of Health Benefits Advisors, their names, and telephone number(s) shall be widely publicized locally. HBA's at shore establishment activities shall report workload and any changes in HBA personnel and telephone numbers on form NAVMED 6320/23, Health Benefits Advisor Workload. The report (report symbol MED 6320–25) shall be submitted to BUMED (MED—3132) quarterly with the information for each month of the quarter in its proper column. If assistance is required, contact MED–3132 on Autovon 294–4136 or commercial (202) 254–4136. In addition to the duties described in paragraph (o)(2) of this section, HBA's shall:

(i) Maintain a depository of up-to-date officially supplied information which shall be made available to all beneficiaries.

(ii) Provide information and guidance to beneficiaries and generally support the medical and dental staff by providing assistance to eligible beneficiaries seeking or obtaining services from USMTF's, civilian facilities, VA facilities, Medicare, MEDICAID, and other health programs.

(iii) Assure that all patients are fully informed that when a referral or disengagement is required, it is made to provide for that patient's immediate medical or dental requirements and has no bearing on whether care may be available in the naval MTF for other aspects of current or other future medical conditions.

(iv) Assure that services and counseling outlined in paragraph (o)(2)

of this section are given to CHAMPUS-eligible patients *prior* to leaving the facility when such beneficiaries are being referred or disengaged because care required is beyond the naval MTF's capability. In an emergency, or when the patient or sponsor cannot be seen by the HBA prior to leaving, these services and counseling will be accomplished as soon thereafter as possible.

(2) *Counseling and assisting CHAMPUS-eligible patients.* The HBA, as a minimum, will:

(i) Explain alternatives available to the patient.

(ii) If appropriate, explain CHAMPUS as it relates to his or her particular circumstance, including the CHAMPUS cost-sharing provisions applicable to the patient, allowable charges, provider participation, and claim filing procedures. The patient or sponsor must also be fully informed that when a patient is disengaged for care under CHAMPUS or when cooperative care is to be considered for payment under the provisions of paragraph (z) (5) and (6) of this section, the naval MTF is not responsible for amounts above the CHAMPUS-determined allowable charge or for charges CHAMPUS does not allow.

(iii) Explain why the naval MTF is paying for the supplemental care, if appropriate. *See* paragraphs (z) (3) and (4) of this section. Complete the DD Form 2161, Referral For Civilian Medical Care, marking the appropriate source of payment with the concurrence of the naval MTF commanding officer or CO's designee. Explain to the patient or sponsor how the bill will be handled.

(iv) Brief patient or sponsor on the use of the DD Form 2161 in USMTF payment procedures and CHAMPUS claim processing, as appropriate. Provide sufficient copies of DD Form 2161 and explain that CHAMPUS contractors will return claims submitted without required DD Form 2161. Obtain signature of patient or sponsor on the form.

(v) Advise patient or sponsor on arrangements for a completed copy of the DD Form 2161 to be returned to the naval MTF for inclusion in patient's medical record.

(vi) Arrange for counseling from appropriate sources when the patient is eligible for VA, Medicare, or MEDICAID benefits.

(vii) Serve as liaison between civilian providers and naval MTF on administrative matters related to the referral and disengagement process.

(viii) Serve as liaison between Cooperative Care Coordinators and naval MTF on any matters relating to care provided or recommended by naval MTF providers, as appropriate.

(ix) Explain why the patient is being disengaged and, in accordance with paragraph (i) of this section, provide a DD Form 1251, Nonavailability Statement, or DD Form 2161, Referral For Civilian Medical Care, as appropriate.

(p) *Immunizations.* Immunizations shall be administered in accordance with the provisions of BUMEDINST 6230.1H unless otherwise stipulated.

(q) *Medical holding companies.* Medical holding companies have been established at designated activities to facilitate handling of enlisted convalescent patients whose medical conditions are such that, although they cannot be returned to full duty, they can perform light duty ashore commensurate with their condition while completing their medical care on an outpatient basis. Accordingly, where feasible, such patients will be transferred in accordance with the provisions of BUPERS/BUMEDINST 1306.72C.

(r) *Outpatient care.* Whenever possible, surgical care, diagnostic procedures, preoperative and post operative care, convalescence, and follow-up observations and treatment will be accomplished on an outpatient basis.

(s) *Performance of duties while in an inpatient status.* U.S. military patients may be assigned duties in and about naval MTF's when such duties will be, in the judgment of the attending physician, of a therapeutic value. Physical condition, past training, and other acquired skills must all be considered before assigning any patient a given task. Patients will not be assigned duties which are not within their capabilities or which require more than a very brief period of orientation.

(t) *Prolonged definitive medical care.* Prolonged definitive medical care will not be provided for U.S. military patients who are unlikely to return to duty. The time at which a patient should be processed for disability separation must be determined on an individual basis, taking into consideration the interests of the patient as well as those of the Government. A long-term patient roster will be maintained and updated at least once monthly to enable commanding officers and other appropriate staff members to monitor the progress of all patients with 30 or more continuous days of hospitalization. The roster will include basic patient identification data (name, grade or rate, register number, ward or absent status, clinic service, and whether assigned to a medical holding company), projected disposition (date, type, and profile), diagnosis, and cumulative hospital days (this facility and total).

(u) *Remediable physical defects of active duty members.* (1) When a medical evaluation reveals that a Navy or Marine Corps patient on active duty has developed a remediable defect while on active duty, the patient will be offered the opportunity of operative repair or other appropriate remediable treatment, if it is medically indicated. If the individual refuses such treatment, the member will be referred to a medical board in accordance with article 18–15, Manual of the Medical Departmemt.

(2) When a patient of another service is found to have a remediable physical defect developed in the military service, the matter will be referred to the nearest headquarters of the service concerned.

(v) *Responsibilities of the Commanding Officer.* The commanding officer of each naval MTF shall:

(1) Determine which persons within the various categories authorized care in a facility will receive treatment in, be admitted to, and be discharged from that specific facility.

(2) Supervise care and treatment, including the employment of recognized professional procedures.

(3) Provide each patient with the best possible care in keeping with accepted professional standards and the assigned primary mission of the facility.

(4) Provide for counseling naval MTF providers and patients when care required is beyond the naval MTF's capability. This shall include:

(i) Establishing training programs to acquaint naval MTF providers and HBA's with the uniformed services' referral for supplemental/cooperative care or services policy outlined in paragraph (z) of this section.

(ii) Implementing control measures to ensure that:

(A) Providers requesting care under the provisions of paragraph (z) of this section are qualified to maintain physician case management when required.

(B) Care requested under the supplemental/cooperative care criteria is medically necessary, legitimate, and otherwise permissible under the terms of that part of the USHBP under which it will be considered for payment.

(C) Providers explain to patients the reason for the referral and the type of referral being made.

(D) Attending physicians properly refer patients to the HBA for counseling and services in accordance with paragraph (o) of this section.

(E) Uniform criteria is applied in determining cooperative care situations

without consideration of rate, grade, or uniformed service affiliation.

(F) All DD Form 2161's are properly completed and approved by the commanding officer or CO's designee.

(G) A copy of completed DD Form 2161 is returned to the naval MTF for inclusion in the medical record of the patient.

(w) *Sick call.* Sick call is a regularly scheduled assembly of sick and injured military personnel which is established to provide routine medical care. Subsequent to examination, personnel medically unfit for duty will be admitted to an MTF or placed sick in quarters; personnel not admitted or placed sick in quarters will be given such treatment as is deemed necessary. When excused from duty for medical reasons which do not require hospitalization, military personnel may be authorized to occupy a bed in a clinic or remain in quarters, not to exceed 72 hours.

(x) *Sicklist—authorized absence from.* Commanding officers of naval MTF's may authorize absences of up to 72 hours for dependents and retired personnel without formal discharge from the sicklist. When absences are authorized in excess of 24 hours, subsistence charges or dependent's rate, as applicable, for that period shall not be collected and the number of reportable occupied bed days shall be appropriately reduced. Prior to authorizing such absences, the attending physician shall advise patients of their physical limitations and any necessary safety precautions, and shall note in the clinical record that the patients have been so advised. For treatment under the Medical Care Recovery Act, reporting shall be consistent with Chapter 24, *JAG Manual.*

(y) *Subsisting out.* Subsisting out is a category in which officer or enlisted patients on the sicklist may be placed when their daily presence is not required for treatment or examination, but who are not yet ready for return to duty. As a general rule, patients placed in this category should reside in the area of the facility and should be examined by the attending physician at least weekly. Enlisted personnel in a subsisting out status should be granted commuted rations.

(1) Granting of subsisting out privileges is one of many disposition alternatives, however, it is recommended that other avenues (medical holding company, convalescent leave, limited duty, etc.) be considered before granting subsisting out privileges.

(2) Patients in a subsisting out status should not be confused with those enlisted personnel in a rehabilitation program who are granted liberty and are drawing commuted rations, but are required to be present at the treating facility during normal working hours. These personnel are not subsisting out and must have a bed assigned at the naval MTF.

(3) Patients who are required to report for examinations or treatment more often than every 48 hours should not be placed in a subsisting out status.

(z) *Supplemental/Cooperative care or services.*—(1) *General.* When such services as defined in this Subpart A, § 728.2(ff) are rendered to other than CHAMPUS-eligible individuals, the cost thereof is chargeable to the operation and maintenance funds available for the operation of the facility requesting the care or services. Cooperative care, as defined in this Subpart A, § 728.2(g), applies to CHAMPUS-eligible patients receiving inpatient or outpatient care in a USMTF who require care or services beyond the capability of that USMTF. The following general principles apply to such CHAMPUS-eligible patients:

(i) *Cooperation of Uniformed Services physicians.* Unformed services physicians will be required to cooperate in providing CHAMPUS contractors and OCHAMPUS additional medical information, consonant with SECNAVINST 5211.5C.

(ii) *Physician case management.* Where required by the CHAMPUS regulation, BUMEDINST 6320.58, uniformed services physicians are required to provide physician case management (oversight) as would an attending or supervising civilian physician.

(iii) *CHAMPUS-authorized providers.* CHAMPUS contractors are responsible for determining whether a civilian provider is CHAMPUS-authorized and for providing such information, upon request, to USMTF's.

(iv) *Psychiatric/Psychotherapeutic services.* If psychiatric care is being rendered by a psychiatric or clinical social worker, a psychiatric nurse or a marriage and family counselor, and the uniformed services facility has made a determination that it does not have the professional staff competent to provide required physician case management, the patient may be (partially) disengaged for the psychiatric or psychotherapeutic service, yet have the remainder of his or her medical care provided by the naval MTF.

(v) *Forms and documentation.* A special form (DD Form 2161, Referral For Civilian Medical Care), will be provided to each patient who is to receive supplemental or cooperative care or services. When supplemental care is required under the provisions of paragraphs (z)(3) and (4) of this section, the provisions of paragraph (z)(3)(iii) of this section shall apply. When cooperative care or services are required under the provisions of paragraphs (z)(5) and (6) of this section, the provisions of paragraph (z)(5)(iv) of this section shall apply.

(vi) *Clarification of unusual circumstances.* Commanding officers of naval MTF's shall submit requests for clarification of unusual circumstances to OCHAMPUS or CHAMPUS contractors via BUMED (MED–313) for consideration.

(2) *Care beyond a Naval MTF's capability.* When, either during initial evaluation or during the course of treatment of CHAMPUS-eligible beneficiaries, it is determined that required services are beyond the capability of the naval MTF, the commanding officer will arrange for the services from an alternate source in the following order, subject to restrictions specified. The provisions of paragraphs (z)(2)(i), (ii), and (iii) of this section must be followed before either supplemental care authorized in paragraph (z)(4) of this section, or cooperative care authorized in paragraph (z)(6) of this section is authorized to be paid from local operation and maintenance funds or be considered for payment under the terms of CHAMPUS.

(i) Obtain from another USMTF or other Federal MTF the authorized care necessary for continued treatment of the patient within the naval MTF, when such action is medically feasible and economically advantageous to the Government.

(ii) When the patient is a retired member or a dependent, transfer in accordance with paragraphs (bb)(3)(i), (ii), (iii), or (iv) of this section, in that order. When the patient is a dependent of a member of a NATO nation, transfer in accordance with paragraphs (bb)(4)(i), (ii), or (iii) of this section, in that order.

(iii) With the patient's permission, the naval MTF may contact State programs, local health agencies, or health foundations to determine if benefits are available.

(iv) Obtain such supplemental care or services as delineated in paragraph (z)(4) of this section from a civilian source using local operation and maintenance funds, or

(v) Obtain such cooperative care or services as delineated in paragraph (z)(6) of this section from a civilian source under the terms of CHAMPUS.

(3) *Operation and maintenance funds.* When local operation and maintenance funds are to be used to obtain

supplemental care or services, the following guidelines are applicable:

(i) Care or services must be legitimate, medically necessary, and ordered by a qualified USMTF provider.

(ii) The naval MTF must make the necessary arrangements for obtaining the required care or services from a specific source of care.

(iii) Upon approval of the naval MTF commanding officer or CO's designee, the patient or sponsor will be provided a properly completed DD Form 2161, Referral For Civilian Medical Care. The DD Form 2161 will be marked by the Health Benefits Advisor or other designated individual to show the naval MTF as the source of payment.

(iv) Care on an inpatient or outpatient basis will be authorized for the minimum period necessary for the civilian provider to perform the specific test, procedure, treatment, or consultation requested. Patients receiving inpatient services in civilian medical facilities will not be counted as an occupied bed in the naval MTF, but will be continued on the naval MTF's inpatient census and pay patients will continue to be charged the USMTF inpatient rate appropriate to their patient category.

(v) Naval MTF physicians will maintain professional contact with civlian providers.

(4) *Care and services authorized.* Referral to civilian sources for supplemental care or services, using local operation and maintenance funds, can be made for the following types of care or services:

(i) All specialty consultations for the purpose of establishing or confirming diagnoses or recommending a course of treatment.

(ii) All diagnostic tests, diagnostic examinations, and diagnostic procedures (including genetic tests and CAT scans), ordered by qualified USMTF providers.

(iii) Prescription drugs and medical supplies.

(iv) Civilian ambulance service ordered by USMTF personnel.

(5) CHAMPUS funds. When payment is to be considered under the terms of CHAMPUS for cooperative care, even though the beneficiary remains under naval MTF control, the following guidelines are applicable:

(i) Charges for care will be processed under the terms of CHAMPUS.

(A) If the charge for the covered service or supply is above the CHAMPUS-determined reasonable charge, the direct care system will not assume any liability on behalf of the patient where a civilian provider is concerned, although a USMTF physician recommended or prescribed the service or supply.

(B) Payment consideration for all care or services meeting cooperative care criteria will be under the terms of CHAMPUS and payment for such care or services will not be made from naval MTF funds. Conversely, any care or services meeting naval MTF supplemental care or services payment criteria will not be considered under the terms of CHAMPUS.

(ii) Care must be legitimate and otherwise permissible under the terms of CHAMPUS and must be ordered by a qualified USMTF provider.

(iii) USMTF personnel will provide assistance to beneficiaries referred or disengaged under CHAMPUS. Although USMTF personnel are not authorized to refer beneficiaries to a specific civilian provider for care under CHAMPUS, the Health Benefits Advisor is authorized to contact the Cooperative Care Coordinator of the appropriate CHAMPUS contractor for assistance in determining authorized providers with the capability of providing the required services. Such information may be provided to the beneficiary. Beneficiaries will also be encouraged to obtain required medical services only from providers willing to participate in the CHAMPUS. Subject to the availability of space, facilities, and capabilities of the staff, USMTF's will provide consultative and such other ancillary assistance as required by the civilian provider selected by the beneficiary.

(iv) Such patients who are referred (versus disengaged) to civilian sources under the terms of CHAMPUS for cooperative care will be provided a properly completed DD Form 2161, Referral For Civilian Medical Care. The DD Form 2161 will be marked by the Health Benefits Advisor, or other designated individual, to show CHAMPUS as the source of payment consideration. All such DD Form 2161's must be approved by the commanding officer or CO's designee. The patient will be given sufficient copies to ensure a copy of the DD Form 2161 accompanies each CHAMPUS claim submitted for this treatment. Patients will be advised that CHAMPUS contractors will return claims received without the DD Form 2161. Patients will also be advised to arrange for a completed copy of the DD Form 2161 to be returned to the naval MTF for inclusion in their medical record.

(v) Such patients receiving inpatient or outpatient care or services will pay the patient's share of the costs as specified under the terms of CHAMPUS for their beneficiary category. Patients receiving inpatient services will not be continued on the naval MTF's census and will not be charged the USMTF inpatient rate.

(vi) Certain ancillary services authorized under CHAMPUS require physician case management during the course of treatment. USMTF physicians will manage the provision of ancillary services by civilian providers when such services are obtained under the terms of CHAMPUS. Examples include physical therapy, private duty (special) nursing, rental or lease/purchase of durable medical equipment, and services under the CHAMPUS Program for the Handicapped. USMTF providers exercising physician case management responsibility for ancillary services under CHAMPUS will be subject to the same benefit limitations and certification of need requirements applicable to civilian providers under the terms of CHAMPUS for the same types of medical care. USMTF physicians exercising physician case management responsibility will maintain professional contact with civilian providers of care.

(6) *Care and services authorized.* Referral to civilian sources for cooperative care or services can be made for the following under the terms of CHAMPUS:

(i) Authorized nondiagnostic medical services such as physical therapy, speech therapy, radiation therapy, and private duty (special) nursing.

(ii) Preauthorized (by OCHAMPUS) adjunctive dental care, including orthodontia related to surgical correction of cleft palate.

(iii) Durable medical equipment. (CHAMPUS payment will be considered only if the equipment is not available on a loan basis from the naval MTF.)

(iv) Prosthetic devices (limited benefit), orthopedic braces and appliances.

(v) Optical devices (limited benefit).

(vi) Civilian ambulance service to a uniformed service facility when service is ordered by other than direct care personnel.

(vii) All care under the CHAMPUS Program for the Handicapped.

(viii) Psychotherapeutic or psychiatric care.

(ix) Except for those types of care or services delineated in paragraph (z)(4) of this section, all other CHAMPUS authorized medical services not available in the naval MTF (for example, neonatal intensive care).

(aa) *Third party liability.* In accordance with Chapter 24, paragraph 2403, *JAG Manual* and BUMEDINST 5890.1, a NAVJAG Form 5890/12

(Hospital and Medical Care, 3rd Party Liability Case) shall be utilized by all naval MTF's to report the value of medical and dental care furnished to any patient under circumstances indicating that a third party may be liable for the injury or disease being treated, or when a Government claim is possible under workmen's compensation, or under medical payments insurance (e.g., all automobile accidents). This form shall be completed as soon as practicable upon admission or treatment of a patient if it appears that inpatient care will exceed 2 days, or more than 10 outpatient treatments will be furnished. The initial report need not be based on extensive investigation of the cause of the injury or disease; any facts obtained, including a statement of the patient or police accident report, should be included in or appended to the form. Interim and final submissions of the NAVJAG Form 5890/12 shall be made in accordance with paragraph 2403, *JAG Manual*.

(bb) *Transfer of patients.*—(1) *General.* All patients will be treated at the lowest echelon equipped and staffed to provide necessary care; however, when transfer to another MTF is considered necessary, Government transportation will be used when available. Medical regulating will be accomplished in accordance with the provisions of OPNAVINST 4630.25B and BUMEDINST 6320.1D.

(2) *U.S. military patients.* U.S. military patients will not be retained in acute care MTF's longer than the minimum time necessary to attain the mental or physical state required for return to duty or separation from the service. When required care is not available at the facility providing area inpatient care, such patients will be transferred to the most readily accessible USMTF possessing the required capability. Transportation of the patient and an attendant or attendants, if required, is authorized at Government expense. The administrative procedures outlined in BUMEDINST 6320.11D shall be followed when:

(i) A patient has received the maximum benefit of hospitalization in a naval MTF but requires a protracted period of nursing home type care. The Veterans Administration can provide nursing home type care or arrange for it from a civilian source.

(ii) It is determined that there is or may be spinal cord injury necessitating immediate medical and psychological attention. The VA is staffed and equipped to provide all necessary care in the most expeditious manner.

(iii) A determination has been made by the Secretary concerned that a member on active duty has a drug dependency or drug abuse disability.

(3) *Retired members and dependents.* When a retired member or a dependent requires care beyond the capabilities of a facility and a transfer is necessary, the commanding officer of that facility may:

(i) Arrange for transfer to another USMTF having the required capability if it is located not more than 40 travel miles from the patient's residence.

(ii) If the patient or sponsor agrees, arrange for transfer to the nearest USMTF having the required capability, regardless of distance.

(iii) Arrange for transfer to the Verterans Administration MTF nearest the patient's residence, if the patient is a retired member.

(iv) Provide assistance in releasing the patient to a civilian provider of the patient's choice under the terms of Medicare, if the patient is entitled. Beneficiaries entitled to Medicare, Part A, because they are 65 years of age or older or because of a disability or chronic renal disease, lose CHAMPUS eligibility but remain eligible for case in USMTF's.

(v) If the patient is authorized benefits under CHAMPUS, disengage from medical management and issue a Nonavailability Statement (DD Form 1251), in accordance with the provisions of Subpart D, § 728.34, for care under CHAMPUS. This step should only be taken after due consideration is made of the supplemental/cooperative care policy addressed in paragraph (z) of this section.

(4) *Dependents of members of NATO nations.* When a dependent, as defined in Subpart E, § 728.41, of a member of a NATO nation requires care beyond the capabilities of the facility and a transfer is necessary, the commanding officer of the facility may:

(i) Arrange for transfer to another USMTF having the required capability if it is located not more than 40 travel miles from the patient's residence.

(ii) If the patient or sponsor agrees, arrange for transfer to the nearest USMTF having the required capability, regardless of distance.

(iii) Effect disposition in accordance with Subpart E, § 728.42(d).

(5) *Others.* 24 U.S.C. 34 provides that hospitalization and outpatient services may be provided outside the continental limits of the United States and in Alaska to the officers and employees of any department or agency of the Federal Government, to employees of a contractor with the United States or the contractor's subcontractor, to the dependents of such persons, and in emergencies to such other persons as the Secretary of the Navy may prescribe: *Provided*, That such services shall be permitted only where facilities are not otherwise available in reasonably accessible and appropriate non-Federal facilities. The transfer and subsequent treatment of such patients shall be in accordance with the aforementioned provisions of law.

(cc) *Verification of patient eligibility.*—(1) *General.* All individuals, including members of the uniformed services in uniform, must provide valid identification when requesting health benefits, except as indicated in paragraphs (cc)(2), (3), (4), and (5) of this section. Although a DD Form 1173 (Uniformed Services Identification and Privilege Card) may be issued to children under 10 years of age, under normal circumstances they are not required. Accordingly, certification and identification of children under 10 years of age are the responsibility of the member or retired member, accompanying parent, legal guardian, or acting guardian. Either the DD Form 1173 issued the spouse of a member or former member or the identification card of the member or former member (DD Form 2, DD Form 2 (Ret), Form PHS–1866–1, or Form PHS–1866–3 (Ret)) is acceptable identification for the purpose of establishing the eligibility of a child under 10 years of age.

(i) The fact that the word "indefinite" may appear in the space for the expiration date on a *member's* card does not lessen its acceptability for identification of a child.

(ii) A dependent's DD Form 1173 *must* have an expiration date to be valid. Should a DD Form 1173 be presented with an expiration date of "indefinite", it is invalid and *shall not* be honored. Furthermore, such a card shall be confiscated and forwarded to the Commander, Naval Military Personnel Command, (NMPC (641D)/Pers 7312), Department of the Navy, Washington, DC 20370 for investigation and final disposition. If emergency treatment is necessary for such a person, it shall be rendered with action and follow-up action initiated in accordance with NAVMED P–5020, Financial Management Handbook, paragraphs 24403–2a(2) and (3).

(2) *Identification procedures.* Although the most widely recognized and acceptable forms of identification are DD Form 1173, DD Form 2, Form PHS–1866–1, Form PHS–1866–3 (Ret), or the identification outlined in this part for other classes of beneficiaries, under the circumstances enumerated, the following identification procedures shall be allowed:

(i) *Emergency situations.* Admission or treatment shall be initiated and satisfactory collateral identification, i.e., official orders, letters, or other documentation may be accepted in lieu of an identification card. For dependents, collateral documentation must clearly show the relationship of the dependent to an eligible sponsor. If an emergency admission is accomplished for a beneficiary whose proof of eligibility is in question, follow-up action shall be initiated in accordance with NAVMED P–5020, Financial Management Handbook, paragraphs 24403–2a(2) and (3).

(ii) *Nonemergency situations.* When a prospective patient cannot present the required identification and no emergency exists, the facility may, in accordance with NAVMED P–5020, Financial Management Handbook, paragraph 24403–2a, accept a signed statement from the member, patient, patient's parent, legal guardian, or acting guardian attesting to the fact that eligibility has been established in accordance with appropriate directives and giving the reason why the appropriate identification is not in his or her possession. Further, the aforementioned responsible individual shall be informed that proper proof of eligibility must be presented to the facility before the end of the second working day after the rendering of care. If proof of eligibility is not received, follow-up action shall be initiated in accordance with NAVMED P–5020, Financial Management Handbook, paragraphs 24403–2a(2) and (3). Persons refusing to sign the aforementioned certification will be denied treatment or admission in nonemergency situations.

(3) *Dependents of active duty National Guard or Reserve personnel.* When personnel are called to active duty for a period of 30 days or more with National Guard or Reserve units and their dependents do not yet have DD Form 1173's, satisfactory collateral identification may be accepted in lieu thereof, i.e., official documents which establish the individual's status as a dependent of a member of a unit called to duty for a period which is not specified as 30 days or less. For a child, the accompanying documentation shall include satisfactory evidence that the dependent is within the age limiting criteria outlined in this Subpart A, § 728.2(k)(3). A dependent's eligibility, under the provisions of this subpart, commences on the first day of the sponsor's active service and ceases as of midnight on the last day of active service.

(4) *Parents or parents-in-law.* When parents or parents-in-law request care in naval MTF's with invalid (expired) DD Form 1173, care shall be rendered if they or their sponsor sign a statement that an application has been submitted for a new DD Form 1173, that the beneficiary is dependent upon the service member for over one-half of his or her support, and that there has been no material change in the beneficiary's circumstances since the previous determination of dependency and issuance of the expired card. This statement shall be placed in the beneficiary's medical record. The patient or sponsor should be informed that if eligibility is not reinstated, the facility will initiate action to recoup the cost of care. Follow-up action shall be initiated in accordance with NAVMED P–5020, Financial Management Handbook, paragraphs 24403–2a(2) and (3) whenever care is rendered under circumstances herein described.

(5) *Others.* When it becomes necessary to make a determination of eligibility on other categories of individuals, patient affairs personnel shall be requested to obtain a determination from the sponsoring agency, if appropriate. When it is necessary to treat or admit a person thought to be ineligible for care at the expense of the Government or claiming eligibility at the expense of another agency of the Government, the procedures outlined in NAVMED P–5020, Financial Management Handbook, paragraph 24403 shall be followed.

Subpart B—Members of the Uniformed Services on Active Duty

§ 728.11 Eligible beneficiaries

(a) A member of a uniformed service, as defined in Subpart A of this part, who is on active duty is entitled to and shall be provided medical and dental care and adjuncts thereto. For the purposes of 32 CFR Part 728, the following are also considered on active duty:

(1) Members of the National Guard in active Federal service pursuant to a "call" under 10 U.S.C. 3500 or 8500.

(2) Midshipmen of the United States Naval Academy.

(3) Cadets of the United States Military Academy.

(4) Cadets of the Air Force Academy.

(5) Cadets of the Coast Guard Academy.

(b) The following categories of personnel who are on active duty (except reservists when on active duty for training (ACDUTRA) as delineated in Subpart C, § 728.21) are entitled to and shall be provided medical and dental care and adjuncts thereto to the same extent as is provided for active duty members of the Regular service.

(1) Members of the Reserve components.

(2) Members of the Fleet Reserve.

(3) Members of the Fleet Marine Corps Reserve.

(4) Members of the Reserve Officers' Training Corps.

(5) Members of all officer candidate programs.

(6) Retired members of the uniformed services.

§ 728.12 Extent of care.

Under ordinary circumstances, eligible beneficiaries herein will receive medical and dental care at the MTF of the uniformed service which serves the organization to which the member is attached. Members who are away from their duty stations or are on duty where there is no MTF of their own service may receive care at the nearest available Federal MTF having the capability to provide the required care. Care will be provided without regard to whether the condition for which treatment is required was incurred or contracted in line of duty.

(a) *All active duty members.* All eligible beneficiaries covered herein are entitled to and shall be rendered the following treatment and services upon application to a naval MTF. This entitlement provides that when required care and services are beyond the capabilities of the facility to which the member applies, the commanding officer of that facility shall arrange for care from another Federal source or may authorize and arrange for direct utilization of supplemental services and supplies from civilian non-Federal sources. The cost, if any, shall be borne by the facility's operation and maintenance funds.

(1) Necessary hospitalization and other medical care.

(2) Occupational health services as defined in Subpart A, § 728.2(bb).

(3) Necessary prosthetic devices, prosthetic dental appliances, hearing aids, spectacles, orthopedic footwear, and other orthopedic appliances. *See* Subpart H. When these items need repair or replacement and it is determined that the items were not damaged or lost through negligence, repair or replacement is authorized at Government expense.

(4) Routine dental care.

(b) *Maternity episode for active duty female members.* A pregnant active duty member who lives 30 or more travel miles (most direct route) from a uniformed services hospital is permitted to choose whether she wishes to deliver

in a closer civilian hospital (*see* Part 732 of this title) or travel the 30 or more miles to the uniformed services hospital for delivery. If such a member chooses to deliver in a naval MTF, makes application, and presents at that facility at the time for delivery, the provisions of paragraph (a) of this section apply with respect to the furnishing of needed care, including routine newborn care (i.e., nursery, newborn examination, PKU test, etc.); arrangements for care beyond the facility's capabilities; or the expenditure of funds for supplemental care or services. Expenses incurred for the infant in USMTF's or civilian facilities (once the mother is admitted to the USMTF) shall be paid from funds available for the care of the mother, *unless* the infant becomes a patient in his or her own right—either through an extension of the birthing hospital stay because of complications, transfer to another facility, or subsequent admission. If the Government is to assume financial responsibility for the care of pregnant members residing less than 30 travel miles from a uniformed services hospital, such members are required to:

(i) Make application to that facility for care, or

(ii) Obtain prior authorization, in accordance with Part 732 of this title, for delivery in a civilian facility.

(c) *Reserve and National Guard personnel.* In addition to those services covered in paragraphs (a) and (b) of this section, Reserve and National Guard personnel are authorized the following under conditions set forth:

(1) Personnel whose units have an active Army mission of manning missile sites are authorized spectacle inserts for protective field masks.

(2) Personnel assigned to units designated for control of civil disturbances are authorized spectacle inserts for protective field masks M17.

§ 728.13 Application for care.

Upon request and presentation of a green colored DD Form 2 (with letter suffix denoting branch of service), Armed Forces Identification Card; the green colored PHS 1866–1, Identification Card; or the red colored DD Form 2 Res (Reservists on active duty for training), as appropriate, care shall be rendered to the extent authorized.

Subpart C—Members of Reserve Components, Reserve Officers' Training Corps, and Navy and Marine Corps Officer Candidate Programs

§ 728.21 Navy and Marine reservists.

(a) *Scope.* This subpart applies to reservists ordered to active duty for training or inactive-duty training (drill) as those terms are defined in Subpart A of this part. Reservists on extended active duty will be treated as members of the Regular service in accordance with Subpart B of this part.

(b) *Entitlement.*—(1) *Reservists on Active Duty for Training (ACDUTRA).*

(i) Pursuant to 10 U.S.C. 1074(a), reservists who, while on active duty for training, sustain injury, contract disease, or otherwise become ill are entitled to medical and dental care to the same extent as members of the Regular service during the training period (*see* Subpart B of this part) subject to the provisions of paragraph (d) of this section.

(ii) Pursuant to 10 U.S.C. 6148(a), reservists who are disabled from an injury incurred in line of duty while on active duty for training for any period of time are entitled to medical and dental care beyond the period of training to the same extent as members of the Regular service (*see* Subpart B of this part) subject to the provisions of paragraph (d) of this section.

(iii) Pursuant to 10 U.S.C. 6148(d), reservists ordered to active duty for training and reservists ordered to involuntary active duty for training for any period of time who become disabled as a result of illness or disease contracted in line of duty while so employed are entitled to medical and dental care beyond the period of training subject to the provisions of paragraph (d) of this section. Such care, however, shall not extend beyond 10 weeks without either authorization from BUMED, or upon approval of a medical board. For reservists who require care for an extended period of time, not in excess of 6 months, reference should be made to the provisions of SECNAVINST 1770.3, paragraph 10.

(2) *Reservists performing inactive-duty training (drill).*

(i) Pursuant to 10 U.S.C. 6148(a), reservists ordered to perform inactive-duty training (drill) for any period of time who are disabled in line of duty from injury sustained while so employed are entitled to medical and dental care during and beyond the training period to the same extent as members of the Regular service (*see* Subpart B of this part) subject to the provisions of paragraph (d) of this section.

(ii) Pursuant to 10 U.S.C. 6148(d), reservists ordered to perform inactive-duty training (drill) for any period of time who become ill or contract disease in line of duty while so employed are entitled to medical and dental care during the period of training. Beyond the training period, medical and dental care shall be provided in accordance with paragraph (b)(1)(iii) of this section.

(3) *Questionable circumstances.* In situations involving questionable circumstances, referral to the appropriate activity responsible for approval or disapproval of requests for care as delineated in Part 732 of this title is apppropriate, or if necessary, referral to BUMED (MED–313) for medical or BUMED (MED–41) for dental determinations as to entitlement.

(c) *Line of duty.* For the purpose of Subpart C of this part, an injury, illness, or disease which is incurred or becomes manifest while the reservist is employed in the performance of active duty for training (including authorized leave or liberty), or inactive-duty training (drill), will be considered to have been incurred in line of duty unless the condition was incurred as the result of the reservist's own misconduct or under other circumstances enumerated in *JAG Manual,* chapter VIII. In addition, while reservists are authorized care for a condition which is incurred or becomes manifest while en route to or from active duty for training (during that time not in excess of the allowable constructive travel time prescribed in DOD Military Pay and Allowances Entitlement Manual), they are not entitled to care for a condition incurred or which becomes manifest while en route to or from inactive-duty training (drill).

(d) *Treatment and services authorized.* Reservists covered by this section may be provided medical and dental care subject to the following:

(1) The following treatment or services are not authorized routinely and therefore must be approved by the appropriate activity responsible for approval or disapproval delineated in Part 732 of this title, or BUMED (MED–313) for medical care or BUMED (MED–41) for dental care, prior to initiation of services.

(i) Conditions that existed prior to a reservist's period of training duty.

(A) Remediable physical defects.

(B) Remediable treatment for other conditions.

(C) Elective surgery.

(ii) All dental care other than emergency treatment and that treatment necessary to correct an injury incurred in the line of duty.

(2) Prosthetic devices, including dental appliances, hearing aids, spectacles, and orthopedic appliances that have become damaged or lost during training duty, not through the negligence of the individual, may be repaired or replaced as necessary at Government expenses.

(e) *Authorization for care.* (1) Reservists covered by this subpart may

be provided inpatient or outpatient care during a period of training duty without written authorization.

(2) Except in emergencies or when inpatient care initiated during a period of training duty extends beyond such period, reservists will be required to furnish written official authorization from their unit commanding officer, or higher authority, incident to receiving inpatient or outpatient care beyond the period of training duty. The letter of authorization will include the name, grade or rate, social security number and organization of the reservists; type of training duty being performed; and diagnosis (if known); and a statement that the condition was incurred in line of duty and that the reservist is entitled to care. If, however, the reservist has been issued a Notice of Eligibility (NOE) for disability benefits in accordance with SECNAVINST 1770.3, the NOE may then be accepted as authorization for care. In those situations where authorization has not been obtained beforehand, care may be provided on a civilian humanitarian basis (*see* Subpart G of this part) pending final determination of eligibility.

§ 728.22 Members of other Reserve Components of the Uniformed Services.

(a) Members of reserve components of the Coast Guard may be provided care the same as Navy and Marine Corps reservists.

(b) Members of reserve components of the Army and Air Force may be provided care in naval MTF's to the same extent that they are eligible for such care in MTF's of their respective services. Consult current Army Regulation 40–3, Medical, Dental, and Veterinary Care, or Air Force Regulation 168–6, Persons Authorized Medical Care, as appropriate, for particular eligibility requirements.

(c) In those situations where written authorization for care is required, such authorization shall be obtained from the reservist's unit commanding officer or other appropriate authority.

(d) Naval MTF's in the United States are authorized to conduct physical examinations of and administer immunizations to Inactive Reserve Public Health Service commissioned officers upon presentation of a written request from the Commissioned Personnel Operations Division, OPM/OAM, 5600 Fishers Lane, Rockville, MD 20852.

§ 728.23 Reserve Officers' Training Corps (ROTC).

(a) *Eligible beneficiaries.* (1) Members of the Senior Reserve Officers' Training Corps of the Armed Forces including students enrolled in the 4 year Senior ROTC Program or the 2-year Advanced Training Senior ROTC Program.

(2) Designated applicants for membership in the Navy, Army, and Air Force Senior ROTC Programs during their initial 6-weeks training period (practice cruises or field training).

(3) Medical, dental, pharmacy, veterinary or science allied to medicine students who are commissioned officers of a reserve component of an Armed Force who have been admitted to and training in a unit of a Senior Reserve Officer's Training Corps.

(b) *Extent of care.* (1) While attending or en route to or from field training or practice cruises:

(i) Medical care for a condition incurred without reference to line of duty.

(ii) Routine dental care.

(iii) Prosthetic devices, including dental appliances, hearing aids, spectacles, and orthopedic appliances that have become damaged or lost during training duty, not through the negligence of the individual, may be repaired or replaced as necessary at Government expense.

(iv) Care of remediable physical defects, elective surgery or other remediable treatment for conditions that existed prior to a period of training duty are not authorized without approval from the appropriate activity responsible for approval or disapproval delineated in Part 732 of this title, or BUMED (MED–313) for medical care or BUMED (MED–41) for dental care.

(v) Medical examinations and immunizations.

(vi) ROTC members are authorized continued medical care, including hospitalization upon expiration of their field training or practice cruise period, in accordance with the provisions of this Subpart C, § 728.21(b)(1)(ii) and (iii) and § 728.22.

(2) While attending a civilian educational institution:

(i) Medical care, including hospitalization, for a condition incurred in line of duty while at or traveling to or from a military installation for the purpose of undergoing medical or other examinations or for the purposes of making visits of observation, including participation in service sponsored sports, recreational, and training activities.

(ii) Medical examinations, including hospitalization necessary for the proper conduct thereof.

(iii) Required immuniations, including hospitalization for severe reactions therefrom.

(c) *Authorization.* A letter of authorization for treatment will be prepared by the individual's commanding officer and addressed to the commanding officer of the MTF concerned.

(d) ROTC Members as Beneficiaries of the Office of Workers' Compensation Programs (OWCP). Under circumstances described therein, members of the ROTC shall be rendered care as outlined in Subpart F, § 728.53 as beneficiaries of OWCP.

§ 728.24 Navy and Marine Corps Officer Candidate Programs.

Members of the Reserve Officers Candidate Program and members of the Platoon Leaders Class are entitled to the same medical and dental benefits as are provided members of the Navy and Marine Corps Reserve Components. Accordingly, the provisions of this Subpart C, § 728.21 are applicable for such members. Additionally, candidates for, or individuals enrolled in such programs, including members of the Women Officer's Training Class, are authorized admission to naval MTF's for the purpose of conducting special physical examination procedures which have been requested by BUMED to determine their physical fitness for appointment to, or continuation in, such a program. Upon a request from the individual's commanding officer, the officer in charge of cognizant Navy and Marine Corps recruiting stations, or officer selection officer, naval MTF's are authorized to admit such persons when, in the opinion of the cognizant officer, hospitalization is deemed necessary for the proper conduct of the special physical examination. Hospitalization should be kept to a minimum and treatment other than for humanitarian reasons, except as provided herein, is not authorized.

Subpart D—Retired Members and Dependents of the Uniformed Services

§ 728.31 Eligible beneficiaries.

(a) *Retired Members of the Uniformed Services.* Those:

(1) Retired for length of service.

(2) Permanently or temporarily retired for physical disability.

(3) On the emergency officers' retired list who are entitled to retired pay for physical disability.

(4) Retired and former members who are in receipt of retired pay under 10 U.S.C. 1331–1337.

(b) Dependents of:

(1) Members of the uniformed services ordered to active duty for more than 30 days.

(2) Retired members of the uniformed services, including retired and former

members who are in receipt of retired pay under 10 U.S.C. 1331–1337.

(3) Members or former members who:

(i) Are, or were at the time of their deaths, entitled to retired or retainer pay or equivalent pay; or

(ii) Died before attaining age 60 and at the time of their deaths:

(A) Would have been eligible for retired pay under title 10 U.S.C. 1331–1337 but for the fact they were under 60 years of age, and

(B) Had elected to participate in the Survivor Benefit Plan established under title 10 U.S.C. 1447–1455, except that

(C) Dependents who are otherwise eligible may not be rendered care derived from their sponsor's entitlement under title 10 U.S.C. 1331–1337 until the date on which such members or former members would have attained age 60.

(4) Members of a uniformed service ordered to active duty for more than 30 days who died while on that duty.

(5) Deceased retired members.

§ 728.32 Health benefits authorized.

(a) *Retired members.* Retired members, enumerated in this Subpart D, § 728.31(a), are authorized the same medical and dental care as active duty members, subject to the availability of space and facilities and the capabilities of the professional staff and the priorities listed in Subpart A, § 728.3. Periodic medical examinations for members on the Temporary Disability Retired List, including hospitalization in connection with the conduct of the examination, will be furnished on the same priority basis as active duty members. EXCEPTION: Retired members who require vision correction are only authorized the limited care as outlined in BUMEDINST 6810.4G.

(b) *Dependents.* Subject to the availability of space and facilities and the capabilities of the professional staff and to the priorities listed in Subpart A, § 728.3, dependents are authorized the following care in naval MTF's:

(1) Inpatient care, including services and supplies normally furnished by the MTF.

(2) Outpatient care and services.

(3) Drugs. *See* chapter 21, MANMED.

(i) Prescriptions written by officers of the Medical and Dental Corps, civilian physicians and dentists employed by the Navy, designated officers of the Medical Service Corps and Nurse Corps, independent duty hospital corpsmen and other designated to write prescriptions will be filled subject to the availability of pharmaceuticals, and consistent with control procedures and applicable laws.

(ii) Prescriptions written by civilian physicians and dentists (non-Navy employed) for eligible beneficiaries may be filled if:

(A) The commanding officer or CO's designee determines that pharmacy personnel and funds are available, and

(B) The items requested are routinely stocked, and

(C) The prescribed quantity is within limitations established by the command, and

(D) The prescriber is in the local area (limits designated by the commanding officer), and

(E) The provisions of BUMEDINST 6710.57 are followed when such services include the dispensing of controlled substances.

(4) Treatment on an inpatient or outpatient basis of:

(i) Medical and surgical conditions.

(ii) Contagious diseases.

(iii) The following when acute care is required:

(A) Nervous, mental, and emotional disorders.

(B) Chronic conditions and diseases.

(5) Physical examinations, including eye examinations and hearing evaluations, and all other tests and procedures necessary for a complete physical examination.

(6) Immunizations.

(7) Maternity (obstetrical) and infant care, routine care and examination of the newborn infant and well-baby care for those mothers and infants meeting the eligibility requirements of this Subpart D, § 728.31(b). Inasmuch as the newborn infant of an unmarried dependent minor daughter is *not* a dependent of the active duty or retired service member as defined in this Subpart D, § 728.31(b), the minor daughter's sponsor (parent) should be counseled concerning the possibility of Secretarial designee status for the infant. *See* Subpart G, § 728.77.

(8) Diagnostic tests and services, including laboratory and X-ray examinations. Laboratory, X-ray, physical therapy, and other ambulatory diagnostic or therapeutic measures that have been requested by non-Navy employed physicians may be provided upon approval of the commanding officer or designated department heads, consonant with SECNAVINST 5211.5C. The rendering of such services shall be subordinate to and shall not unduly interfere with providing adequate inpatient and outpatient care to active duty personnel and others whose priority to receive care is equal to or greater than such dependents.

(9) Family planning services as outlined in SECNAVINST 6300.2A.

(10) Dental care may be provided to beneficiaries residing outside the United States. Within the United States, routine dental care may be provided only at installations which have been authorized, on an individual basis, to provide such care. At such designated installations, routine dental care may be provided only to those dependents who reside in the dentally underserved area as determined by the Secretary of the Navy. At installations within the United States not authorized to provide routine dental care, dental care is limited to:

(i) Emergency dental or oral care.

(ii) Dental care, including restorative dentistry and dental prosthetic devices, deemed necessary as an adjunct to medical or surgical treatment of a disease, condition, or injury.

(iii) Preventive measures including the fluoridation of water and the preventive dentistry programs.

(iv) Consultation, examination, and diagnosis when an integral part of the dental care authorized.

(11) Government ambulance services, surface or air, to transport dependents to, from, or between medical facilities when determined by the medical officer in charge to be medically necessary.

(12) Home calls when determined by the medical officer in charge to be medically necessary.

(13) Artificial limbs and artificial eyes, including initial issue, fitting, repair, replacement, and adjustment.

(14) Durable equipment, such as wheelchairs, hospital beds, and resuscitators may be issued on a loan basis.

(15) Orthopedic aids, braces, crutches, walking irons, elastic stockings, and similar aids.

(16) Prosthetic devices (other than artificial limbs and eyes), hearing aids, orthopedic footwear, and spectacles or contact lenses for the correction of ordinary refractive error may not be provided dependents. These items, however, may be sold to dependents at cost to the Government outside the United States and at specific installations within the United States which have been designated by the Secretary of the Navy as remote.

(17) Special lenses or contact lenses for those eye conditions which require these items for complete medical or surgical management of the condition.

(18) Visa examinations are to be provided alien dependents of Armed Forces personnel at overseas locations having one or more medical officers. Normally such examinations will consist of a superficial history and an interview to exclude present mental illness, drug addiction, psychopathic personality, or chronic alcoholism; a rather limited physical examination for overt evidence of venereal disease or leprosy; and a

chest X-ray, and serology. Guidelines for examinations and procedures beyond those which are normally required may be found in the Manual for Medical Examinations of Aliens. This manual may be acquired from U.S. officials at American Embassies, Consular Posts, or other U.S. visa issuing offices.

§ 728.33 Application for care.

Upon request, and presentation of a valid DD Form 2 (Retired), PHS–1866–3 (Retired), or DD Form 1173 (Uniformed Services Identification and Privilege Card), as appropriate, authorized medical and dental care may be rendered. When inpatient or outpatient care is required which is beyond the capabilities of the naval MTF, the provisions of this Subpart D, § 728.35, shall apply. When required inpatient care cannot be rendered and the decision is made to disengage a CHAMPUS-eligible beneficiary, the provisions of this Subpart D, § 728.34, shall apply.

§ 728.34 Nonavailability statement (DD Form 1251).

(a) *General.*—(1) *Forty mile radius.* To assure maximum economic utilization of uniformed services medical facilities, a limitation has been placed on the use of Civilian Health and Medical Program of the Uniformed Services (CHAMPUS) funds for nonemergency inpatient care for all CHAMPUS-eligible beneficiaries who reside within a 40-mile radius of a USMTF with inpatient capability. Accordingly, CHAMPUS fiscal intermediaries may not expend funds for nonemergency inpatient care of such beneficiaries *unless* the claim for such services is accompanied by a Nonavailability Statement (DD Form 1251).

(2) *Forty travel miles.* When a CHAMPUS-eligible beneficiary as delineated in paragraph (a)(1) of this section has to travel more than 40 miles distance to reach a USMTF, treatment is considered not reasonably available and a DD Form 1251 shall be issued.

(3) *Thirty travel miles—maternity patients.* To protect the health and safety of maternity patients, it has been established that care is not reasonably available at a USMTF if such beneficiaries have to travel more than 30 travel miles to reach a USMTF. Accordingly, a DD Form 1251 shall be issued, upon request, when a determination is made by the issuing authority that the requesting maternity patient has to travel more than 30 miles distance for care (unless the patient specifically requests such care in a uniformed services facility that is located more than 30 miles travel distance from her residence).

(b) *Issuing authority.* Under the direction of the Surgeon General, commanding officers (or designees) of uniformed services facilities with inpatient capability are authorized to issue Nonavailability Statements; however, they may authorize satellite MTF's to issue them on their behalf. When it is established that required care is not available or not reasonably available because of distance, it is incumbent upon the commanding officer to ascertain whether capability exists at another USMTF within the prescribed distance of the beneficiary's residence before a DD Form 1251 can be issued (*see* Subpart A, § 728.4(g), on cross-utilization of uniformed services facilities). Once established that a DD Form 1251 is authorized and will be issued, the following shall apply:

(1) The issuing officer will prepare and sign the DD Form 1251 (four-part set). Three copies will be furnished the patient: one to be given to the participating civilian provider, or submitted with the claim of a nonparticipating provider; one to the inpatient civilian facility; and one for retention by the patient or sponsor. The remaining copy will be retained by the issuing facility for reporting in accordance with BUMEDINST 6322.12B.

(2) The issuing officer will explain to the patient or other responsible family member that the DD Form 1251 is for immediate use and must be presented to the civilian providers of care. The issuing officer will also explain that, except in unusual circumstances, payment will not be made by the Government for care provided in and billed by a civilian facility which has been identified by the Department of Defense as practicing discrimination in the admission or treatment of patients, and will not reimburse a patient who pays for care in such an ineligible facility and subsequently submits a claim for reimbursement. Each DD Form 1251 issued will be annotated under "Remarks" as follows: "Any medical care obtained through the use of this statement must be in hospitals which do not discriminate in their admission and treatment practices on the basis of race, color, or national origin."

(3) Patients will not be referred to a specific source of care.

(4) Each DD Form 1251 issued will be annotated in the "Remarks" section, indicating the specialty service required and not available.

(5) An issuing authority may issue a DD Form 1251 on a retroactive basis to cover civilian care already commenced or completed when it is determined that a Nonavailability Statement could have been issued before the care was commenced if application had been made. Nonavailability Statements issued under these circumstances will bear a statement in the "Remarks" section stating it was issued on a retroactive basis and will show the effective date.

(6) Nonavailability Statements issued at commands outside the United States will not be valid for care received in facilities located within the United States. Statements issued within the United States are not valid for care received outside the United States.

(7) A new DD Form 1251 is not required for repeated or successive admissions within a 60 day period for the same diagnosis, complication, or sequela. A DD Form 1251 issued for a diagnosis of a chronic condition that may require repeated admissions and continuity of care for long periods (e.g., cancer, kidney dialysis) should contain a notation in the "Remarks" section that will authorize repeated admissions related to that diagnosis for a period of 12 months. A new DD Form 1251 must be obtained for each succeeding 12 month period. For repeated admissions, beneficiaries should be advised to obtain photocopies of the DD Form 1251 for subsequent use since the fiscal administrator will require a copy for claims submitted for each episode of care.

(8) It is the responsibility of the beneficiary to present evidence which will permit an individual determination that the beneficiary resides more than 40 travel miles (30 travel miles for maternity patients) from a uniformed services facility. Once that fact has been established, a DD Form 1251 is authorized for that specific hospital admission. A DD Form 1251 may then be issued upon a telephonic or written request for subsequent care since the original determination will be on file in the patient's record. Further, a telephonic or written request for a DD Form 1251 for bedridden patients, those confined to bed at home on a physician's order (e.g., maternity patients), or patients requiring repeated admissions for chronic conditions should be honored if such request is substantiated by a written statement of the attending physician attesting to the patient's condition.

(c) *Guidelines for issuing.* It is incumbent upon the commanding officer to ensure that beneficiaries are clearly advised of the cost-sharing provisions of CHAMPUS, and of the fact that the issuance of a Nonavailability Statement

does not imply that CHAMPUS will allow any and all costs incurred through the use of the DD Form 1251. *The issuance of a DD Form 1251 indicates only that the care requested is not available in the USMTF.* Further, the commanding officer shall issue a DD Form 1251 for nonemergency inpatient care to beneficiaries defined in paragraph (a) of this section when:

(1) The facility's capabilities are fully utilized to the point that additional workload would degrade care for others.

(2) There is a conflict of professional opinion between military and civilian physicians either as to the diagnosis or as to the proper course of treatment and the patient elects to utilize the civilian source of care.

(3) A beneficiary requests sterilization and the uniformed services facility commanding officer determines that such procedure(s) is not medically indicated, but that other competent medical authority might reasonably reach a contrary conclusion.

(4) In the issuing authority's opinion, conditions are such that travel would be unreasonably difficult or costly. Each circumstance is to be considered individually with first consideration given to the physical condition of the patient. Factors to be considered are the time normally required to complete a one-way trip and unusual geographical and transportation factors, such as availability of private and public transportation and the presence of toll bridges or ferries which would increase unreasonably the time and expense of travel. If the circumstances are borderline, the controversy shall be resolved in favor of the beneficiary.

(5) For continuity of care when a patient has been receiving outpatient care from a civilian physician, hospitalization is now required and continued care from the same physician is medically indicated, i.e., changing physicians is medically contraindicated.

(6) The patient requests delivery by natural childbirth but either the specific technique requested is not offered or facilities and equipment required for accomplishing the technique are not available at the naval MTF or at any other USMTF within 30 travel miles distance of the patient's residence.

(7) A clinical determination has been made by the issuing authority that the waiting time for admission is excessive. Since no two patients' conditions and circumstances are alike, excessive waiting time will vary with each patient.

(8) The patient requests maternity care, but the sponsor's discharge date is prior to the expected delivery and the sponsor certifies that he intends to reside within the 40 mile radius after discharge. (Benefits accruing from the use of the DD Form 1251 issued under such circumstances will cease on the date the sponsor is discharged from military active duty. That discharge date shall be inserted in the "Remarks" section of the DD Form 1251.)

(9) A maternity patient resides more than 30 miles travel distance (most direct route), unless that patient elects to receive such care in a uniformed services facility located more than 30 travel miles distant. It is incumbent upon the patient to provide the issuing authority information regarding travel distance in order that a correct determination may be made.

(10) A dependent is seeking medically necessary hospitalization for nonadjunctive dental care in the United States and there is a uniformed services facility authorized to provide such dental care (which also has a hospital) located within 40 travel miles of the beneficiary's residence, the beneficiary must apply at that facility for care. If care is not available, a DD Form 1251 will be issued. Such hospitalization for all dependents residing in the United States does not require a DD Form 1251 when there is no uniformed services facility within 40 travel miles of the beneficiary's residence with authority to provide such dental care. This waiver does not apply to retirees themselves or for any CHAMPUS beneficiary residing overseas. In these two situations, the regular rules and guidelines for obtaining a DD Form 1251 shall apply even though the purpose of the hospital admission is to render nonadjunctive dental care.

(11) Requested by other than maternity patients who substantiate that they must travel more than 40 travel miles (most direct route) from their residence to reach a USMTF.

(d) *DD Form 1251 not required.* Beneficiaries defined in paragraph (a) of this section are not required to submit a DD Form 1251 with claims for care received under the following circumstances:

(1) When a dependent who has been issued a Nonavailability Statement for maternity care delivers in a civilian hospital and the newborn infant is required to remain after discharge of the mother. The other's DD Form 1251 shall be utilized for the continued care of the infant either in the same hospital or when transferred to another hospital.

(2) For nonemergency admission to a skilled nursing facility or a college infirmary.

(3) When the status of a sponsor changes to active duty while a dependent is hospitalized or when such a dependent is receiving maternity care but does not desire to change physicians.

(4) For repeated or successive admissions within a 60-day period for the same diagnosis, complication, or sequela.

(5) When care is not available for dependent parents, parents-in-law, step-parents, step-parents-in-law, or dependents of NATO foreign military inasmuch as they are not CHAMPUS-eligible.

(6) When a newborn infant of an active duty female member is required to remain in an uninterrupted continuation of care in a civilian facility after discharge of the mother. *See* Part 732 of this title.

(7) When a patient is rendered cooperative care under the terms of CHAMPUS while under the medical management of a USMTF physician. *See* Subpart A, § 728.4(z).

(e) *Traveling beneficiaries.* When beneficiaries defined in paragraph (a) of this section are in a travel status, it is incumbent upon the beneficiary to obtain a DD Form 1251 from any uniformed services inpatient facility within 40 travel miles of where any nonemergency inpatient care is to be rendered.

(f) *Appeals procedures.* Beneficiaries may appeal the denial of their request for a DD Form 1251. This procedure will ordinarily consist of three levels:

(1) The first level is the chief of service, or director of clinical services if the chief of service is the cognizant authority denying the beneficiary's request.

(2) The second level is the commanding officer of the naval MTF denying the issuance of a DD Form 1251. Where the appeal is denied and denial is upheld at the commanding officer's level, beneficiaries shall be informed that their appeal may be forwarded to the Bureau of Medicine and Surgery (MED–313) via the commanding officer who upheld the denial.

(3) The Bureau of Medicine and Surgery, the third level of appeal, will evaluate all documentation and arrive at a decision. The beneficiary will be notified in writing of this decision and the reasons therefor.

(g) *Reporting.* The number of DD Form 1251's issued shall be reported in accordance with BUMEDINST 6322.12B.

§ 728.35 Care beyond the capabilities of a Naval MTF.

When, either during initial evaluation or during the course of treatment, it is determined that required care or services are beyond the capability of the

naval MTF, the provisions of Subpart A, § 728.4(z), shall apply.

Subpart E—Members of Foreign Military Services and Their Dependents

§ 728.41 General provisions.

(a) *Dependent.* As used in this Subpart E, the term "dependent" denotes a person who bears one of the following relationships to his or her sponsor:

(1) A wife.

(2) A husband if dependent on his sponsor for more than one-half of his support.

(3) An unmarried legitimate child, including an adopted or stepchild who is dependent on the sponsor for over one-half of his or her support and who either:

(i) Has not passed his or her 21st birthday; or

(ii) Is incapable of self-support due to a physical or mental incapacity that existed prior to his or her reaching the age of 21; or

(iii) Has not passed his or her 23rd birthday and is enrolled in a full-time course of study in an accredited institution of higher learning.

(b) Transfer to Naval MTF's in the United States. Personnel covered in this subpart E shall not be transferred to the United States solely for the purpose of obtaining medical care at naval MTF's. Consideration may be given however, in special circumstances pursuant to the laws of humanity or principles of international courtesy. Transfer to naval MTF's in the United States of such persons located outside the United States requires the approval of the Secretary of the Navy. Naval commands, therefore, shall not commit the Navy by a promise of treatment in the United States. Approval generally will not be granted for treatment of those who suffer from incurable afflictions, who require excessive nursing or custodial care, or those who have adequate facilities in their own country. When a request is received concerning transfer for treatment at a naval MTF in the United States, the following procedures shall apply:

(1) The request shall be forwarded to the Chief of Naval Operations (Op–61), with a copy to BUMED, for administrative processing and shall include:

(i) Patient's full name and grade or rate (if dependent, the sponsor's name and grade or rate also).

(ii) Country of which a citizen.

(iii) Results of coordination with the chief of the diplomatic mission of the country involved.

(iv) Medical report giving the history, diagnosis, clinical findings, results of diagnostic tests and procedures, and all other pertinent medical information.

(v) Availability or lack thereof of professional skills and adequacy of facilities for treatment in the member's own country.

(vi) Who will assume financial responsibility for costs of hospitalization and travel.

(2) The Chief of Naval Operations (Op–61) will, if appropriate, obtain State Department clearance and guidance, and advise the Secretary of the Navy accordingly. The Chief, Bureau of Medicine and Surgery will furnish the Chief of Naval Operations information and recommendations relative to the medical aspects and the name of the naval MTF having the capability to provide the required care. If approved, the Chief of Naval Operations will furnish the commanding officer of the designated naval MTF written authorization for admission of the beneficiary for treatment.

(c) *Reimbursement.* Public Law 96–527 contains a provision, effective 1 October 1980, prohibiting the expenditure of appropriated funds "* * * to provide medical care in the United States on an inpatient basis to foreign military and diplomatic personnel or their dependents unless the Department of Defense is reimbursed for the costs of providing such care: *Provided,* That reimbursements * * * shall be credited to the appropriations against which charges have been made for providing such care." Accordingly, pending revision of NAVMED P–5020, Financial Management Handbook, naval MTF's in the 50 United States shall collect full costs for inpatient care provided to all foreign military personnel, diplomatic personnel, and the dependents of both whether they are in the United States on official duty or for other reasons.

§ 728.42 NATO.

(a) *NATO SOFA Nations.* Belgium, Canada, Denmark, Federal Republic of Germany, France, Greece, Iceland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Turkey, the United Kingdom, and the United States.

(b) *Beneficiaries.* The following personnel are beneficiaries under the conditions set forth, subject to reimbursement for inpatient care by the NATO nation concerned.

(1) *Members of NATO military services and their dependents.* Military personnel of NATO nations who, in connection with their official duties, are stationed in or passing through the United States, and their dependents residing in the United States with the sponsor may be provided care in naval MTF's to the same extent and under the same conditions as comparable U.S. uniformed services personnel and their dependents. Accordingly, the provisions of Subpart B, § 728.12, are applicable to military personnel and Subpart D, § 728.32(b), to accompanying dependents.

(2) Crew and passengers of visiting military aircraft of NATO nations which land at NATO or U.S. military airfields within NATO countries.

(3) In overseas areas, liaison officers from NATO Army Forces or members of a liaison detachment from such a Force.

(c) *Application of care.* Military personnel of NATO nations and their dependents who are stationed in the United States shall present a valid DD Form 1173 (Uniformed Services Identification and Privilege Card) when applying for care. For other eligible persons passing through the United States on official business and those enumerated in paragraphs (b) (2) and (3) of this section, orders or other official identification may be accepted in lieu of the DD Form 1173.

(d) *Disposition.* When it is found necessary to return individuals to their home country for medical reasons, immediate notification shall be made to the NATO unit sponsoring the member or dependent's sponsor. This notification shall include all pertinent information regarding the physical and mental condition of the individual concerned. Below are details of agreements among the Armed Forces of NATO, CENTO, and SEATO Nations on procedures for disposition of allied country patients by DOD medical installations.

(1) *Transfer of patients.* (i) The medical welfare of the patient must be the paramount consideration. When deciding upon the transfer of a patient, due consideration should be given to any increased medical hazard which the transfer might involve.

(ii) Arrangements for disposition of the patients should be capable of being implemented by existing organizations. Consequently, no new establishment should be required specially for dealing with the transferring of allied casualties.

(iii) Patients will be transferred to their own national organization at the earliest practicable opportunity consistent with the observance of principles established in paragraphs (d)(1) (i) and (ii) of this section and under any of the following conditions:

(A) When a medical facility of their own nation is within reasonable proximity of the facility of the holding nation.

(B) When the patient is determined to require hospitalization in excess of 30 days.

(C) Where there is any question as to the ability of the patient to perform duty upon release from the MTF.

(iv) The decision as to whether a patient, other than one requiring transfer under paragraph (d)(1)(iii) of this section, is fit for release from the medical treatment facility is the responsibility of the facility's commanding officer.

(v) All clinical documents, to include X-rays, relating to the patient will accompany such patients on transfer to their own national organization.

(vi) The decision of suitability for transfer and the arrangements for transfer will be the responsibility of the holding nation.

(vii) Final transfer channels should be arranged by local liaison before actual movement.

(viii) Patients not suitable for transfer to their own national organization must be dealt with for treatment and disposition purposes as patients of the holding nation until they are transferred, i.e., they will be dealt with in military hospitals, military medical installations, or in civilian hospitals that are part of the military medical evacuation system of the holding nation.

(2) *Classification of patients.* Different channels for dispositon will be required for the following two types of patients:

(i) *Patients not requiring admission.* Patients not requiring admission to an MTF will be returned to their nearest national unit under arrangements to be made locally.

(ii) *Patients who have been admitted to a medical installation.* All such patients will be dealt with in accordance with paragraph (d)(1) of this section.

(e) *Care authorized outside the 48 contiguous United States.* Major overseas commanders may authorize care in naval MTF's subject to the availability of space, facilities, and the capabilities of the professional staff in emergency situations only, *Provided,* the required care cannot reasonably be obtained in medical facilities of the host country or in facilities of the patient's own country, or if such facilities are inadequate. Hospitalizaton shall be furnished only for acute medical and surgical conditions, exclusive of nervous, mental, or contagious diseases or those requiring domiciliary care. Dental treatment shall be administered only as an adjunct to authorized inpatient care and shall not include dental prostheses or orthodontia.

§ 728.43 Member of other foreign military services and their dependents.

(a) *Foreign military service members.* For the purpose of this section, members of foreign military services include only:

(1) Military personnel who are carried on the current Diplomatic List (Blue) or on the List of Employees of Diplomatic Missions (White) published by the Department of State.

(2) Military personnel assigned or attached to United States military units for duty; military personnel on foreign military supply missions accredited to and recognized by one of the military departments; and military personnel on duty in the United States at the invitation of the Secretary of Defense or one of the military departments. For the purpose of this section, members of foreign Security Assistance Training Programs (SATP) and Foreign Military Sales (FMS) are not included. *See* Subpart E, § 728.44.

(3) Foreign military personnel accredited to joint United States defense boards or commissions when stationed in the United States.

(4) Foreign military personnel covered in agreements entered into by the Secretary of State, Secretary of Defense, or one of the military departments to include, but not limited to, United Nations forces personnel of foreign governments exclusive of NATO nations.

(b) *Care authorized in the United States.* Subject to reimbursement for inpatient care as outlined in this Subpart E, § 728.41(c), military personnel of other foreign nations, not covered in this Subpart E, § 728.42, and their dependents residing in the United States with the sponsor may be provided medical care in naval MTF's to the same extent and under the same conditions as comparable personnel of the U.S. uniformed services and their dependents, *Provided,* the sponsor is in the United States in a status officially recognized by an agency of the Department of Defense. Hospitalization generally will not be granted to members or dependents who require prolonged treatment for chronic conditions, nervous or mental disorders, or domiciliary care, except in an emergency to preserve life or prevent suffering. Dental care is limited to emergencies only.

(c) *Application for care.* All personnel covered by this section shall present orders or other official U.S. identification verifying their status when applying for care.

(d) *Disposition.* When it is found necessary to return individuals covered by this section to their home country for medical reasons, immediate notification shall be made to the sponsoring unit of the patient or patient's sponsor with a copy of the Chief of Naval Operations (Op–61). Such notification shall include all pertinent information regarding the physical and mental condition of the individual concerned and full identification, diagnosis, prognosis, estimated period of hospitalization, and recommended disposition. Additionally, the provisions of Subpart E, § 728.42(d) (1) and (2), apply.

(e) *Care authorized outside the 48 contiguous United States.* Major overseas commanders may authorize care in naval MTF's subject to the availability of space, facilities, and the capabilities of the professional staff in emergency situations only, *Provided,* the required care cannot reasonably be obtained in medical facilities of the host country or in facilities of the patient's own country, or if such facilities are inadequate. Hospitalization shall be furnished only for acute medical and surgical conditions, exclusive of nervous, mental, or contagious diseases or those requiring domiciliary care. Dental treatment shall be administered only as an adjunct to authorized inpatient care and shall not include dental prostheses or orthodontia.

§ 728.44 Members of security assistance training programs, foreign military sales, and their ITO authorized dependents.

(a) *Policies.*—(1) *Invitational travel orders screening.* Prior to determining the levels of care authorized or the government or person responsible for payment of care rendered, ITO's should be carefully screened to detect variations applicable to certain foreign countries. For example, Kuwait has a civilian health plan to cover medical expenses of their trainees; trainees from the Federal Republic of Germany are personally responsible for reimbursing for inpatient care provided to their dependents; and all inpatient medical services for trainees from France and their dependents are to be borne by the individual trainee.

(2) *Elective and Definitive surgery.* The overall policy with respect to elective and definitive surgery for Security Assistance Training Program (SATP), Foreign Military Sales (FMS) personnel and their dependents is that conservatism shall at all times prevail, except bona fide emergency situations which might threaten the life or health of an individual. Generally, elective care is not authorized nor should be commenced. However, when a commanding officer of a naval MTF considers such care necessary to the early resumption and completion of

training, the complete facts shall be submitted to the Chief of Naval Operations (Op–63) for approval. Such a submission shall include the patient's name (sponsor's also if patient is an ITO (Invitational Travel Orders) authorized dependent), grade or rate, country of origin, diagnosis, type of elective care being sought, and prognosis.

(3) *Prior to entering training.* Upon arrival of an SATP or FMS trainee in the United States or at an overseas training site, it is discovered that the trainee cannot qualify for training by reason of a physical or mental condition which will require a significant amount of treatment before entering or completing training, such a trainee shall be returned to his or her home country immediately or as soon thereafter as travel permits.

(4) *After entering training.* When trainees require hospitalization or are disabled after entering a course of training, they shall be returned to their home country as soon as practicable when, in the opinion of the commanding officer of the medical facility, hospitalization or disability will prevent training for a period in excess of 30 days. A copy of the patient's clinical records shall be forwarded with the patient. When a trainee is accepted for treatment that is not expected to exceed 30 days, the commanding officer of the training activity will be so notified. Further, when a trainee is scheduled for consecutive training sessions convening prior to the expected date of release from a naval MTF, the next scheduled training activity shall be made an information addressee. Upon release from the medical treatment facility, the trainee shall be directed to resume his or her training.

(b) *Care authorized.* Generally, all SATP and FMS personnel and their ITO authorized dependents are entitled to care to the same extent. However, certain agreements require that they be charged differently and that certain exclusions apply.

(1) *NATO and Spanish members and ITO authorized dependents.*—(i) *Foreign Military Sales* (FMS). Subject to reimbursement in accordance with Subpart E, § 728.41(c), FMS personnel of NATO nations and of Spain who are in the United States or at U.S. Armed Forces installations outside the United States and their accompanying ITO authorized dependents shall be provided medical and dental care in naval MTF's to the same extent and under the same conditions as comparable United States military personnel and their dependents except that:

(A) Dependent dental care is not authorized.

(B) Dependents are not authorized cooperative care under CHAMPUS.

(ii) *International Military Education and Training (IMET).* Subject to reimbursement for inpatient care at the appropriate IMET rate for members or at the full reimbursement rate for dependents, IMET personnel of NATO nations and of Spain who are in the United States or at U.S. Armed Forces installations outside the United States and accompanying dependents shall be provided medical and dental care in naval MTF's to the same extent and under the same conditions as comparable United States military personnel and their dependents except that:

(A) Dependent dental care is not authorized.

(B) Dependents are not authorized cooperative care under CHAMPUS.

(2) *Other Foreign Members and ITO authorized dependents.*—(i) *Foreign Military Sales.* Subject to reimbursement for both inpatient and outpatient care at the full reimbursable rate, FMS personnel of non-NATO nations (excluding Spain) and ITO authorized accompanying dependents may be provided medical and dental care on a space available basis when facilities and staffing permit except that:

(A) Prosthetic devices, hearing aids, orthopedic footwear, and similar adjuncts are not authorized.

(B) Spectacles may be furnished when required to enable trainees to perform their assigned duties, *Provided* the required spectacles are not available through civilian sources.

(C) Dental care is limited to emergency situations for the military member and is not authorized for dependents.

(D) Outpatient care is chargeable on a full reimbursable basis from either foreign military trainees or from their government.

(E) Dependents are not authorized cooperative care under CHAMPUS.

(ii) International Military Education and Training. Subject to reimbursement for both inpatient and outpatient care at the appropriate IMET rates for members or at the full reimbursement rate for dependents, IMET personnel of non-NATO nations (excluding Spain) may be provided medical and dental care on a space available basis when facilities and staffing permit except that:

(A) Prosthetic devices, hearing aids, orthopedic footwear, and similar adjuncts are not authorized.

(B) Spectacles may be furnished when required to enable trainees to perform their assigned duties, *Provided* the required spectacles are not available through civilian sources.

(C) Dental care is limited to emergency situations for the military member and is not authorized for dependents.

(D) Dependents are not authorized cooperative care under CHAMPUS.

(c) *Application for care.* Trainees and accompanying dependents shall present official U.S. identification or orders verifying their status when applying for care. If any doubt exists as to the extent of care authorized, ITO's should be screened. *See* paragraph (a)(1) of this section.

(d) *Notification.* When trainees require hospitalization as a result of illness or injury prior to or after entering training, the training activity (the hospital if patient has been admitted) shall make a message report to the Chief of Naval Operations (Op–63) with information copies to MAAG, BUMED, Navy International Logistics Control Office (NAVILCO), Unified Commander, the bureau or office concerned, and the foreign naval attache concerned. The report shall include details of the incident, estimated period of hospitalization, physical or mental condition of the patient, and diagnosis. For further amplification, see OPNAVINST 4950.1G and NAVCOMPTMAN 032103. (Symbol OPNAV 3100–11 applies.)

§ 728.45 Civilian components (Employees of Foreign Military Services) and their dependents.

(a) *Care authorized.* Beneficiaries covered herein are only authorized care in the United States and then only emergency care rendered at installations which have been designated as remote by the Secretary of the Navy. Arrangements will be made to transfer such beneficiaries to a civilian facility as soon as the patient's condition permits.

(b) *Potential beneficiaries.*—(1) *NATO.* Civilian personnel (and their dependents residing with them) who are accompanying military personnel enumerated in Subpart E, § 728.42(b)(1), as employees of an armed service of the NATO nations concerned, *Provided,* such personnel are not stateless persons nor nationals of any State which is not a Party to the North Atlantic Treaty, nor nationals of, nor ordinarily residents in the United States.

(2) *Others.* Civilian personnel (and their dependents residing with them) accompanying personnel of foreign nations on duty in the United States at the invitation of the Department of Defense or one of the military departments.

(c) *Application for Care.* Personnel covered by the provisions of this Subpart E, § 728.45, shall present orders or other official U.S. identification verifying their status when applying for care.

Subpart F—Beneficiaries of Other Federal Agencies

§ 728.51 General provisions—the "Economy Act."

Under the provisions of 31 U.S.C. 686, any executive department or independent establishment of the Government, or any bureau thereof, if funds are available therefor and if it is determined by the head of such executive department, establishment, bureau, or office to be in the best interest of the Government so to do, may place orders with any other such department, establishment, bureau, or office for services of any kind that such requisitioned Federal agency may be in a position to supply or equipped to render. This is commonly known as the "Economy Act." Unless otherwise stipulated in this Subpart F, the provisions of this section shall apply when other Federal agencies request medical or dental care for beneficiaries for whom they are responsible, including occupational health services as defined in Subpart A, § 728.2(bb).

§ 728.52 Veterans Administration Beneficiaries (VAB).

(a) *Eligible beneficiaries.* Those who have served in the Armed Forces, who have been separated under conditions other than dishonorable, and have been determined by the Veterans Administration (VA) to be eligible for care at VA expense.

(b) *Inpatient control.* Each VAB admitted shall be required to conform to regulations governing the internal administration of the naval facility. Restrictive or punitive measures, including disciplinary action or denial of privileges, shall conform as nearly as possible to VA instructions.

(c) *Resolution of problems.* All problems pertaining to VAB's including admission, medical or other records, and all correspondence shall be matters of resolution between the commanding officer of the naval facility and the VA office of jurisdiction authorizing admission. Questions of policy and administration which cannot be so resolved shall be forwarded to the Administrator of Veterans Affairs via BUMED for resolution.

(d) *Care in the United States.*—(1) *Inpatient care.* An eligible VAB may be admitted to a naval MTF having beds allocated for VA patients on the presentation of a written authorization for admission signed by an official of the VA office of jurisdiction. (Only in a bona fide emergency will an admission be made to a naval MTF not having beds allocated for VA patients.) Neurological, and certain neuropsychiatric patients without obvious evidence of psychosis and not requiring restraints, and instances of suspected tuberculosis may be admitted for diagnosis. When diagnosed, instances of psychosis, psychoneurosis, and tuberculosis of present clinical significance shall be reported promptly to the VA office of jurisdiction with a request for transfer to a VA facility.

(i) *Extent of care.* Eligible VAB's shall be furnished medical and surgical care, including prostheses such as eyes and limbs, and appliances such as hearing aids, spectacles, or orthopedic appliances when required for the proper treatment of the patient.

(ii) *Disposition of emergency admissions.* The commanding officer of the naval MTF shall notify the appropriate VA office of jurisdiction by message or other expeditious means within 72 hours after the date and hour of an emergency admission. This notification shall contain a request for an authorization for admission and emergency treatment. Once admitted in an emergency situation, a VAB shall be discharged promptly upon termination of the emergency, unless arrangements have been made with the VA office of jurisdiction:

(A) For transfer to a VA treatment facility if further treatment is required.

(B) To retain the patient as a VAB chargeable against a bed allocated to the VA.

If VA denies VAB status to such a person admitted in an emergency, the provisions of Subpart G, § 728.81(a), are applicable.

(2) *Outpatient care.* Outpatient care, including post hospitalization outpatient care, may be provided upon authorization by the VA office of jurisdiction. When outpatient care is requested, commanding officers are responsible for determining whether capabilities and workload permit providing such follow-up care. In an emergency, necessary care shall be provided.

(3) *Physical examinations.* Naval MTF's so designated by BUMED may provide physical examinations when requested by the VA for the purpose of adjudicating claims for VA physical disability compensation. Patients may be admitted to such MTF's when the examination requires more than one day.

(4) *Dental care.* Dental treatment shall be limited to inpatients who require services adjunctive to medical or surgical conditions for which hospitalized.

(e) *Care outside the United States.*—(1) *Eligible beneficiaries.* Beneficiaries described in paragraph (a) of this section, who are residing or sojourning aborad may, within the capabilities of the facility as determined by the commanding officer, be provided inpatient and outpatient care upon presentation of an authorization from the appropriate VA office of jurisdiction listed in paragraph (e)(3) of this section.

(2) *Emergency care.* Any overseas naval MTF furnishing emergency care to potential VAB's will promptly notify the appropriate VA office of jurisdiction and request authorization for treatment and instructions for disposition of the patient.

(3) *Offices of jurisdiction.* The following activities are vested with the responsibility for issuing authorizations for care and furnishing disposition instructions for VAB's in overseas naval MTF's:

(i) In the Trust Territory of the Pacific (Micronesia)—The VA Office, Honolulu, Hawaii.

(ii) In the Philippines—The VA Regional Office, Manila, Philippines.

(iii) In Canada—The Canadian Department of Veterans Affairs, Ottawa, Canada.

(iv) In all other foreign countries—The U.S. Consular Office of the U.S. Embassy.

(f) *Forms required.* (1) VA Form 10–10 (Application for Medical Benefits) will be completed for those potential VAB's admitted for emergency care without prior authorization.

(2) VA Form 10–10m (Medical Certificate and History) will be prepared whenever care is rendered. All information required in the medical certificate theron will be furnished whether the admission is subsequently approved or disapproved by the VA office of jurisdiction.

(3) Since the completion of the medical certificate requires an examination of the patient, those admissions which are disapproved shall be reported as medical examinations on DD Form 7A (Report of Treatment Furnished Pay Patients, Outpatient Treatment Furnished (Part B)).

(4) DD Form 7, Report of Treatment Furnished Pay Patients, Hospitalization Furnished (Part A) will be prepared and submitted on all VAB's and potential VAB's who are admitted.

(5) Standard Form 502 (Narrative Summary) or Standard Form 539

(Abbreviated Clinical Record), as appropriate, will be completed when a VAB or potential VAB is discharged or otherwise released. When an interim report of hospitalization is requested by the VA office of jurisdiction, it may be prepared on Standard Form 502.

§ 728.53 Department of Labor, Office of Workers' Compensation Programs (OWCP) Beneficiaries.

(a) *Potential beneficiaries.* The following may be beneficiaries of one of the programs sponsored by the Office of Workers' Compensation Programs (OWCP)) formerly Bureau of Employees Compensation (BEC)) under the conditions set forth. They are not beneficiaries of OWCP until authorized as such by the appropriate district office of OWCP listed in paragraph (g) of this section. However, they may be carried as potential beneficiaries pending OWCP determination of eligibility. Department of Defense civilian employees provided medical services under a Defense or service health program are not included under this authority. *See* Subpart G of this part.

(1) Members and applicants for membership in the Reserve Officers' Training Corps of the Navy, Army, and Air Force, provided the condition necessitating treatment was incurred in line of duty and the care rendered is solely after termination of duty for an injury (a disease or illness which is the proximate result of performance of training is considered an injury) incurred while engaged in:

(i) Training.

(ii) Flight instructions.

(iii) Travel to or from training or flight instructions.

(2) The following employees of the Government of the United States, regardless of nationality or place of work, are entitled to receive care as outlined in paragraph (e) of this section in naval MTF's for work incurred injuries at the expense of OWCP. In addition to injury by accident, a disease or illness which is the proximate result of performance of employment duties is considered an injury. This category includes but is not limited to:

(i) Civilian student employees in training at Navy and Marine Corps facilities.

(ii) Civilian seamen in the service of vessels operated by the Department of the Army. *See* this Subpart F, § 728.53(a)(11), and Subpart G, § 728.81(b)(6)(i), for civilian Military Sealift Command (MSC) personnel.

(iii) Employees and Noncommissioned officers in the Field Service of the Public Health Service when injured or taken sick in line of duty.

(iv) Volunteer workers of the American Red Cross and other officially recognized welfare organization volunteers are considered to be employees of the United States only for the purpose of receiving medical care.

(v) All civilian employees of the Government except nonappropriated-fund-activity employees.

(3) Employees of the Government of the District of Columbia (except members of the Police and Fire Departments) for injury or disease which is the proximate result of their employment.

(4) Temporary members of the Coast Guard Reserve for physical injuries incurred incident to service while performing active Coast Guard duty or engaged in authorized travel to or from such duty.

(5) Volunteer civilian members of the Civil Air Patrol (except Civil Air Patrol Cadets) for injury or disease which is the proximate result of active service or travel to or from such service, rendered in performance or support of operational missions of the Civil Air Patrol under the direction and written authority of the Air Force.

(6) Former Peace Corps enrollees for injury or disease which is the proximate result of their former employment with the Peace Corps or which was sustained or contracted while located with the Peace Corps outside the United States and its territories.

(7) Former Job Corps enrollees for injury or disease which is the proximate result of employment with the Job Corps.

(8) Former VISTA (Volunteers in Service to America) enrollees for injury or disease which is the proximate result of employment with VISTA.

(9) Civilian employees of the Navy and other participating agencies may receive medical examinations and preventive occupational health services at overseas naval MTF's, including hospitalization for the necessary performance thereof.

(10) Civilian nonappropriated-fund-activity employees may receive emergency care for work incurred injuries, illnesses, and dental conditions.

(11) Military Sealift Command (MSC) civilian marine personnel (CIVMARPERS or CIVMARS) (including temporary employees, intermittent employees, and employees with less than 1 year's service) are entitled to occupationally related care at the expense of OWCP. CIVMARS are in a crew status only after reporting to their assigned ship. They are in a travel status from crewing point to ship and return. While in a travel status, they are entitled to the same health care benefits as other Federal civil service employees in a travel status (5 U.S.C. 8101). CIVMARS presenting for treatment with a properly completed CA–16, Request for Examination and/or Treatment, shall:

(i) Enter the naval MTF's system through the occupational medicine service.

(ii) Be treated for any injury or disease proximately caused by their employment. Although the actual determination of whether an illness or injury is occupationally related is a function of OWCP, determinations are based on the injury report required in each instance along with the treatment record from the attending physician. Therefore, when doubt exists as to the relationship of the condition to the potential patient's employment, the decision should weigh in favor of the CIVMAR and lean toward occupationally related. As a general guide, the following may be initially considered as occupationally related:

(A) Any injury or illness occurring as a direct result of employment. May occur on a ship, at a Government installation ashore, or in an aircraft while performing a requirement of employment.

(B) Any injury or illness which becomes manifest while away from work (on leave or liberty) while in a crew status or travel status as long as the condition may be directly related to job activities or to exposures incident to travel to ship assignment.

(C) Required immunizations.

(D) Required physical examinations.

(E) Periodic medical surveillance screening examinations for DOD occupational and industrial health programs, i.e., asbestos medical surveillance and hearing conservation, etc.

(iii) Be referred to a non-Federal source of care where back-to-work care may be provided at the CIVMAR's expense after, if necessary, the immediate emergency is alleviated when a reasonable determination can be made that the injury or illness is not occupationally related.

(A) In accordance with 5 U.S.C. 7901(c)(3), the health service program for Federal civilian employees is limited to referral of employees, upon their request, to private sources of care.

(B) Long term extended care of chronic illness such as hypertension, diabetes, etc., is not authorized in naval MTF's at the expense of OWCP nor at the CIVMAR's personal expense.

(C) Patients who cannot be referred, because of medical reasons or because non-Federal sources are not available or

available but inadequate, may be retained in naval MTF's at the expense of the CIVMAR or of his or her private insurance until able to be transferred. Although the means of access to the naval MTF may have been through the occupational medicine service, retention in the naval MTF is on a civilian humanitarian basis. This is also applicable when OWCP disallows a CIVMAR's claim. *See* paragraph (c) of this section.

(b) *Authorization required.* Personnel listed in paragraphs (a)(1) through (10) of this section may be rendered inpatient and outpatient care as outlined in paragraph (e) of this section, unless otherwise stipulated herein, upon presentation of a properly prepared and signed Authorization Form CA–16 (Request for Examination and/or Treatment). If the condition for which treatment is requested appears related to employment, treatment of beneficiaries in paragraphs (a)(1) through (11) of this section may be rendered without said authorization. Patients provided treatment without Form CA–16 may be carried as OWCP beneficiaries from the time of initial treatment, provided the appropriate district office of OWCP is notified and requested to submit Form CA–16 within 48 hours showing authorization as of the date of actual treatment. Post hospitalization care following authorized inpatient care does not require an additional authorization. First aid treatment rendered civilian employees does not require an authorization form.

(c) *Disallowance by OWCP.* When OWCP determines that any claim should be disallowed, OWCP will advise the naval facility rendering care that no further treatment shall be rendered at OWCP expense. The patient ceases to be an OWCP beneficiary as of the date of receipt of the notice of disallowance by the naval MTF and the patient shall be so notified. Any treatment subsequent to the date of receipt of the notice of disallowance shall be at the personal expense of the patient. *See* Subpart G, § 728.81(a).

(d) *Authorization for transfer.* Prior approval of OWCP is required before a transfer can be effected, except in an emergency or when immediate treatment is deemed more appropriate in another Federal facility. When transfer is effected without approval, the transferring facility shall immediately request such authorization from the appropriate district office of OWCP. When authorized by OWCP, evacuation to the United States shall be effected in accordance with OPNAVINST 4630.25B. Medical records and Form CA–16 will accompany such patients.

(e) *Care authorized.*—(1) *Inpatient care.* Medical and surgical care necessary for the proper treatment of the condition upon which the eligibility is based. Specific OWCP authorization is required before major surgical procedures can be performed unless the urgency of the situation is such that time does not permit obtaining said authorization. All necessary prostheses, hearing aids, spectacles or orthopedic appliances will be furnished when required for proper treatment of the condition upon which the eligibility is based. Damaged or destroyed medical braces, artificial limbs, and other prosthetic devices shall be replaced or repaired, except that eyeglasses and hearing aids shall not be replaced or repaired unless the damage or destruction is incidental to a personal injury requiring medical services.

(2) *Outpatient care.* Complete medical and surgical care not requiring hospitalization, and post-hospitalization services following authorized inpatient care in a naval MTF for the proper treatment of the condition upon which eligibility is based.

(3) *Dental care.* Dental treatment shall be limited to emergencies and dental care as an adjunct to inpatient hospital care. Such care shall not include dental prostheses or orthodontic treatment.

(f) *Report and records.* (1) Medical records will accompany OWCP patients being transferred from one medical facility to another. Records accompanying OWCP patients to a debarkation hospital will be the same as for military personnel and will clearly identify the patient as an OWCP beneficiary.

(2) Form CA–20 (Attending Physician's Report) shall be forwarded to the appropriate district office of OWCP on discharge of the patient unless hospitalization exceeds one month. In such instances, a report shall be submitted every 30 days. When extensive hospitalization is required, use SF 502 in lieu of CA–20 and show history, physical findings, laboratory findings, abstract of hospital records, diagnosis for conditions due to injury and not due to injury, and conditions on discharge with opinion as to degree of impairment due to injury, if any.

(g) *District Offices of OWCP.* Following is a list of the OWCP offices of jurisdiction that are responsible for furnishing authorizations and notices of disallowance and to whom the Form CA–20 or SF 502 shall be sent.

District and Area of Jurisdiction

1. Deputy Commissioner, Office of Workers' Compensation, Rm. 1800, John F. Kennedy Bldg., Government Center, Boston, MA 02203—Connecticut, Maine, Massachusetts, New Hampshire, Rhode Island, and Vermont
2. Deputy Commissioner, Office of Workers' Compensation, Room 324, 1515 Broadway (at West 44th), New York, NY 10036—New Jersey, New York, Puerto Rico, and the Virgin Islands
3. Deputy Commissioner, Office of Workers' Compensation, Rm. 15100, Gateway Building, 3535 Market Street, Philadelphia, PA 19104—Delaware, Pennsylvania, and West Virginia
6. Assistant Deputy Commissioner, Office of Workers' Compensation, 400 West Bay Street, P.O. Box 35049, Jacksonville, FL 32002—Alabama, Florida, Georgia, Kentucky, Mississippi, North Carolina, South Carolina, and Tennessee
7. Assistant Deputy Commissioner, Office of Workers' Compensation, Hale Boggs Federal Building, Room 840, 500 Camp Street, New Orleans, LA 70130—Arkansas and Lousiana
9. Deputy Commissioner, Office of Workers' Compensation, Room 867, 1240 East Ninth Street, Cleveland, OH 44199—Indiana, Michigan, and Ohio
10. Deputy Commissioner, Office of Workers' Compensation, 230 South Dearborn Street, 8th Floor, Chicago, IL 60604—Illinois, Minnesota, and Wisconsin
11. Deputy Commissioner, Office of Workers' Compensation, 1910 Federal Office Building, 911 Walnut Street, Kansas City, MO 64106—Iowa, Kansas, Missouri, and Nebraska
12. Deputy Commissioner, Office of Workers' Compensation, Drawer 3558, Federal Building, 1961 Stout Street, Denver, CO 80294—Colorado, Montana, North Dakota, South Dakota, Utah, and Wyoming
13. Deputy Commissioner, Office of Workers' Compensation, 450 Golden Gate Avenue, P.O. Box 36066, San Francisco, CA 94102—Arizona, California, and Nevada
14. Deputy Commissioner, Office of Workers' Compensation, 4010 Federal Office Building, 909 First Avenue, Seattle, WA 98174—Alaska, Idaho, Oregon, and Washington
15. Deputy Commissioner, Office of Workers' Compensation, 300 Ala Moana Boulevard, Room 5108, P.O. Box 50209, Honolulu, HI 96815—All land and water areas west of the continents of North and South

America to 60 degrees east longitude (excluding Iran)

16. Assistant Deputy Commissioner, Office of Workers' Compensation, 555 Griffin Square Building, Rm. 100, Griffin and Young Streets, Dallas, TX 75202—New Mexico, Oklahoma, and Texas
25. Assistant Deputy Commissioner, Office of Workers' Compensation, Room 405, McLachlen Building, 666 11th Street, NW., Washington, D.C. 20211—District of Columbia, Maryland, and Virginia
50. Chief, Branch of Special Claims, Office of Workers' Compensation, P.O. Box 28608, Washington, D.C. 20005—Canada, Mexico, Central and South America, and all land and water areas east of the continents of North and South America to 60 degrees east longitude (including Iran but excluding Puerto Rico and the Virgin Islands)

§ 728.54 U.S. Public Health Service, other than members of the Uniformed Services.

(a) *Potential beneficiaries.* The following may be beneficiaries of the U.S. Public Health Service (USPHS) for care in naval MTF's upon submission of the necessary form from appropriate officials as outlined in paragraph (b) of this section.

(1) *Within and outside the United States.* (i) Persons detained in accordance with quarantine laws.

(ii) When requested by the Office of Personnel Management (formerly Civil Service Commission):

(A) Civilian employees of all Federal agencies may be provided physical examinations, including hospitalization for the proper conduct thereof, in connection with retirement.

(B) Employees of the Federal classified service, and applicants for appointment, may be rendered medical examinations for the purpose of promoting health and efficiency.

(iii) Any other individuals that the USPHS may determine to be eligible for care on a reimbursable basis.

(2) Within the 48 contiguous United States and the District of Columbia.

(i) American Indians.

(ii) Dependents of civilian employees of the Government.

(3) In Alaska. American Indians, Eskimos, and Aleuts.

(b) *Authorization required.* Under normal circumstances, personnel enumerated in paragraph (a) of this section may be rendered inpatient and outpatient care upon presentation of HSA Form 159 (Treatment Authorization) signed by an appropriate USPHS official, or for an American Indian, Eskimo, or Aleut, HSA Form 43 (Authorization for Contract or Non-Contract Hospitalization—Indian Health Activities) signed by an appropriate Indian Health Service or Alaska Native Health Service area medical officer. In an emergency, care may also be rendered upon written request of patient's commanding officer or superior officer, or the patient if neither of the above is available. When emergency care is rendered without prior authorization, the facility rendering care should obtain the necessary authorization form as soon as possible from the appropriate official.

(c) *Care authorized.* Unless limited by the provisions stipulated in paragraph (a) of this section and subject to the provisions of Subpart A, § 728.3, the following care may be rendered, when requested, to all beneficiaries enumerated in paragraph (a) of this section.

(1) *Inpatient care.* Necessary medical and surgical care.

(2) *Outpatient care.* Emergency care only.

(3) *Dental care.*

(i) Dental care in the United States, its territories, possessions and the Commonwealth of Puerto Rico will be limited to emergency care for the relief of pain or acute conditions and dental care as an adjunct to inpatient hospital care. Prosthetic dental appliances and permanent restorations are not authorized.

(ii) In overseas areas, dental care is authorized to the extent necessary pending the patient's return to the United States, its territories, possessions, or the Commonwealth of Puerto Rico.

§ 728.55 Department of Justice beneficiaries.

(a) *Potential beneficiaries.* Upon presentation of a proper letter of authorization that includes disposition of SF 88 (Report of Medical Examination) and SF 93 (Report of Medical History), the following personnel may be furnished requested care as beneficiaries of the Department of Justice.

(1) *Federal Bureau of Investigation (FBI).* Investigative employees of the FBI and applicants for employment as special agents with the FBI may be provided:

(i) Immunizations.

(ii) Physical examinations and hospitalization when required to determine physical fitness. This period of hospitalization shall be used for diagnostic purposes only, and not to correct disqualifying defects.

(2) *U.S. Marshals.* U.S. Marshals may receive physical examinations and hospitalization when required to determine physical fitness. This period of hospitalization shall be used for diagnostic purposes only, and not to correct disqualifying defects.

(3) *Claimants against the United States.* Claimants whose suits or claims against the United States are being defended by the Department of Justice may be furnished physical examinations to determine the extent and nature of the injuries or disabilities being claimed. Hospitalization is authorized for proper conduct of the examination. Upon completion of the examination, the report of the examination shall be furnished promptly to the U.S. Attorney involved.

§ 728.56 Treasury Department beneficiaries.

(a) *Potential beneficiaries.* The following may be beneficiaries of the Treasury Department and shall be rendered care as set forth below.

(1) Secret Service Special Agents.

(2) Secret Service Agents providing protection to certain individuals.

(3) Persons being provided protection by the Secret Service.

(4) Agents of the U.S. Customs Service.

(5) Prisoners of the U.S. Customs Service.

(b) *Care authorized.* (1) Secret Service Special Agents may be provided routine annual physical examinations upon request and presentation of a written letter of authorization. Such examinations shall be conducted and recorded in the same manner as routine examinations rendered naval officers except that they shall be conducted on an outpatient basis only. If hospitalization is considered desirable in connection with the examination, a statement to that effect will be entered in item 73 or 75 of the SF 88, as appropriate, before forwarding to the Chief, United States Secret Service.

(2) Secret Service Agents providing protection to certain individuals and those persons being provided such protection shall be rendered all required medical services including hospitalization subject to the provisions of Subpart A, § 728.3.

(3) Agents of the U.S. Customs Service and their prisoners may be provided emergency medical treatment and evacuation services to the nearest medical facility (military or civilian) in those remote areas of the United States where no other such services are available. Evacuation will be limited to the continental United States and borders will not be crossed. The guarding of prisoners, while they or their

captors are receiving treatment at naval MTF's, remains the responsibility of the U.S. Customs Service or other appropriate Federal civilian law enforcement agencies. The Navy's responsibility for medical care of such prisoners terminates once the medical emergency has been resolved.

(c) *Reports and records.* When examinations are rendered to Secret Service Special Agents, one copy of the SF 88 and one copy of the SF 93 will be forwarded to the Chief, United States Secret Service, Treasury Department, Washington, DC 20220 or as otherwise directed by the letter of authorization with an information copy to the Deputy Comptroller of the Navy.

§ 728.57 Department of State and associated agencies.

(a) *Beneficiaries.* Officers and employees of the following agencies, their dependents, and applicants for appointment to such agencies are authorized inpatient and outpatient medical care as set forth below in addition to that care that may be authorized elsewhere within this part (i.e., Subpart F, §§ 728.53, 728.55, 728.56, and 728.58). Dental care shall be limited to that delineated in paragraph (b)(6) of this section. Eligibility for care under the provisions of this section shall be determined by the Department of State, Office of Medical Services.

(1) Department of State—U.S. Arms Control and Disarmament Agency and the Office of International Conferences.

(2) U.S. Agency for International Development.

(3) International Communications Agency.

(4) ACTION—Peace Corps Staff.

(5) Department of Agriculture—Foreign Agriculture Service.

(6) Department of Commerce—Bureau of Public Roads.

(7) Department of the Interior—Bureau of Reclamation and the U.S. Geological Survey.

(8) Department of Transportation—Federal Aviation Administration and the Federal Highway Administration.

(9) Department of Justice—Drug Enforcement Administration.

(10) Department of Treasury—U.S. Customs, U.S. Secret Service, Office of International Affairs (OIA), U.S.-Saudi Arabian Joint Commission for Economic Cooperation (JECOR), and the Internal Revenue Service.

(11) National Aeronautics and Space Administration.

(12) Library of Congress.

(13) Beneficiaries of such other agencies as may be included in the Department of State Medical Program.

(b) *Care authorized.*—(1) *General.* Care delineated below is authorized by the Foreign Service Act of 1946, as amended and, subject to the general restrictions and priorities of Subpart A, § 728.3, and the restrictions of this section, may be rendered at naval MTF's at the expense of the Department of State or one of the agencies listed in paragraph (a) of this section. The law allows for payment when care is furnished for an illness or injury which results in hospitalization or equal treatment. Outpatient care is only authorized as an adjunct to hospitalization.

(2) *Overseas.* (i) When, in the opinion of the principal or administrative officer of an overseas post of the Department of State, a beneficiary suffers an injury or illness which meets the conditions of eligibility, the post will furnish authorization to the naval MTF for care at the expense of the Department of State or one of the agencies listed above.

(ii) Should the Department of State official determine that the illness or injury does not meet the conditions of eligibility for care at the expense of one of the agencies listed above, all care provided shall be at the expense of the patient or patient's sponsor.

(3) *In the United States.* (i) Care is not authorized for an illness or injury incurred in the United States. All authorizations and other arrangements for care in the United States for eligible individuals incurring injury or illness outside the United States will be provided by the Deputy Assistant Secretary for Medical Services, Department of State, utilizing appropriate authorization form(s). When personnel are admitted in an emergency without prior authorization, the commanding officer of the admitting naval MTF shall immediately request authorization from the Deputy Assistant Secretary for Medical Services.

(ii) The extent of care furnished in the United States to those officers, employees and their dependents listed above, who are evacuated to the United States for medical reasons, will be comparable in all respects to that which is authorized or prescribed outside the United States. Officers and employees and their accompanying dependents who have returned to the United States for nonmedical reasons may be furnished medical care at the expense of one of the above agencies for treatment of an illness or injury which was incurred while outside the United States.

(4) *Physical examinations.* The Secretary of State is authorized to provide for comprehensive physical examinations, including dental examinations and other specific testing, of applicants for employment and for officers and employees of the Foreign Service who are U.S. citizens and for their dependents, including examinations necessary to establish disability or incapacity for retirement purposes. An authorization will be executed by an appropriate Department of State official and furnished in duplicate to the naval MTF, listing the type of examination required and stating that the individual is entitled to services at the expense of the Department of State. Reports will be furnished in accordance with the letter of authorization.

(5) *Immunizations.* Inoculations and vaccinations are authorized for officers, employees and their dependents upon written authorization from an appropriate Department of State official. This authorization, in duplicate, will include the type of inoculation or vaccination required and state that the individual is entitled to services at the expense of the Department of State. Reports shall be furnished in accordance with the letter of authorization.

(6) *Dental care.* Dental care at the expense of the Department of State shall be limited to emergency care for the relief of pain or acute conditions, or for dental conditions as an adjunct to inpatient hospital care. Such care will not include the provision of prosthetic dental appliances.

(c) *Evacuation to the United States.* Should a beneficiary in an overseas naval MTF require prolonged hospitalization, the commanding officer of the overseas facility shall report the requirement to the nearest Department of State principal or administrative officer and request authority to return the patient to the United States. Dependents in such instances who decline evacuation shall be released to the custody of their sponsor. Aeromedical evacuation may be utilized in accordance with OPNAVINST 4630.25B. Travel of attendant(s) is authorized at Department of State expense when the patient is too ill or too young to travel unattended.

§ 728.58 Federal Aviation Agency (FAA) beneficiaries.

(a) *Beneficiaries.* Air Traffic Control Specialists (ATCS) of the FAA when appropriate authorization has been furnished by the FAA regional representative.

(b) *Authorization.* Written authorization from an FAA Regional Flight Surgeon is required and it shall include instructions for forwarding the results of services rendered.

(c) *Care authorized.* Subject to the provisions of Subpart A, § 728.3, authorized personnel shall be rendered chest X-rays, electrocardiograms, basic blood chemistries, and audiograms, without interpretation in support of the medical surveillance program for ATCS personnel established by the FAA.

§ 728.59 Peace Corps beneficiaries.

(a) *Potential beneficiaries.*

(1) Applicants for the Peace Corps.

(2) Peace Corps Volunteers.

(3) Peace Corps Volunteer Leaders.

(4) Dependents: (i) Minor children of a Peace Corps volunteer living with the volunteer.

(ii) Spouses and minor children of Peace Corps Volunteer Leaders accompanying them.

(b) *Care authorized in the United States.* Upon written request of a Peace Corps official, stating care to be provided and disposition of reports, the following may be provided subject to the provisions of Subpart A, § 728.3.

(1) *Physical examinations.* In accordance with BUMEDINST 6120.17B, physical examinations are authorized; however, hospitalization in connection with such examinations is not authorized. Except as outlined in BUMEDINST 6120.17B, no assessment will be made of the physical qualifications of examinees.

(i) Preselection physical examinations may be provided applicants (Volunteers and Volunteer Leaders) for the Peace Corps.

(ii) Separation or other special physical examinations may be provided Volunteers, Volunteer Leaders, and their dependents as listed in paragraph (a)(4) of this section.

(2) *Immunizations.* Immunizations, as requested, may be provided all beneficiaries listed in paragraph (a) of this section.

(3) *Medical care.* Both inpatient and outpatient care may be provided Volunteers and Volunteer Leaders for illnesses or injuries occurring during their period of service which includes all periods of training. The dependents of Volunteers and Volunteer Leaders specified in paragraph (a)(4) of this section are authorized care to the same extent as their sponsor.

(4) *Dental care.* Dental care is limited to emergencies. Only that care essential to relieve pain or prevent imminent loss of teeth shall be rendered. All beneficiaries seeking dental care shall be requested, whenever possible, to furnish advanced authorization for such care.

(c) *Care authorized outside the United States.*—(1) *Physical examinations.* Termination physical examinations may be provided Volunteers, Volunteer Leaders, and eligible dependents of Volunteers and Volunteer Leaders. In most instances, these examinations will be provided by Peace Corps staff physicians; however, assistance may be required of naval MTF's for ancillary services. *See* BUMEDINST 6120.17B.

(2) *Immunizations.* When requested, immunizations may be provided all beneficiaries listed in paragraph (a) of this section.

(3) *Medical care.* When requested in writing by a representative or physician of a Peace Corps foreign service post, Volunteers, Volunteer Leaders, eligible dependents of Volunteer Leaders, and trainees of the Peace Corps may be provided necessary medical care at Peace Corps expense. When emergency treatment is rendered without prior approval, a request will be forwarded to the Peace Corps foreign service post as soon as possible.

(4) *Dental care.* Dental care is limited to emergencies. Only that care essential to relieve pain or prevent imminent loss of teeth shall be rendered. Beneficiaries seeking dental care shall be requested, whenever possible, to furnish advanced authorization for such care.

(5) *Evacuation to the United States.* When a beneficiary in an overseas naval MTF requires prolonged hospitalization, the commanding officer of the overseas facility shall report the requirement to the nearest Peace Corps foreign service post and request authorization to return the patient to the United States. Dependents in such instances who decline evacuation shall be released to the custody of their sponsor. Aeromedical evacuation may be utilized in accordance with OPNAVINST 4630.25B. Travel of attendant(s) is authorized when the patient is too ill or too young to travel unattended. (Symbol OPNAV 4630–1 applies.)

§ 728.60 Job Corps and Volunteers in Service to America (VISTA).

(a) *Beneficiaries.* Job Corps enrollees and applicants and Volunteers in Service to America (VISTA) enrollees and applicants may be provided services as set forth. For former members, see this Subpart F, § 728.53.

(b) Authorization required.—(1) *Job Corps enrollees.* Presentation of Job Corps Identification Card after appointment has been made by the corpsmember's Job Corps center.

(2) *Job Corps applicants.* Presentation of a letter from a screening agency (e.g., State Employment Service) after an appointment has been made by that agency.

(3) *VISTA volunteers and VISTA trainees.* A valid "Blue-Cross and Blue Shield Identification Card" is issued to such personnel as personal identification. Each card has a VISTA identification number which will be used on all records and correspondence.

(4) *VISTA applicants.* Letter of authorization stating services to be provided.

(c) *Care authorized.* Normally, medical services will be provided only when civilian, U.S. Public Health Service, or VA facilities are not available, or if available, are incapable of providing needed services. However, upon presentation of an appropriately signed authorization, the following services may be rendered subject to the provisions of Subpart A, § 728.3.

(1) Job Corps enrollees are authorized emergency medical care upon presentation of their Job Corps Identification Card, however, the corpsmember's Job Corps center should be notified immediately.

(2) Job Corps and VISTA applicants may be provided preenrollment physical examinations and immunizations. Hospitalization in connection with such examinations is not authorized.

(3) Job Corps enrollees, VISTA trainees, and VISTA Volunteers are authorized:

(i) Outpatient medical examinations, outpatient treatment and immunizations.

(ii) Inpatient care for medical and surgical conditions which, in the opinion of the medical officer concerned, will benefit from definitive care within a reasonable period of time. When it is found probable that a patient will require hospitalization in excess of 45 days, BUMED (MED–313) will be notified by the most expeditious means.

(iii) Dental care shall be limited to emergencies. Only that care essential to relieve pain or prevent imminent loss of teeth shall be rendered. Beneficiaries seeking dental care shall be requested, whenever possible, to furnish advanced authorization for such care.

§ 728.61 Medicare beneficiaries.

(a) *Care authorized.* Hospitalization is authorized in the United States, Guam, and Puerto Rico for emergency services that are necessary to prevent death or serious impairment to the health of the individual, and which, because of the threat to life or health, necessitates the use of the most accessible hospital that is equipped to furnish such services. Such care is authorized beneficiaries of the Social Security Health Insurance Program for the Aged and Disabled (Medicare).

(b) General provisions.—(1) *Limitations.* Benefit payments for emergency services under Medicare can be made for only that period of time during which the emergency exists. Therefore, when the emergency is terminated and it is permissible from a medical standpoint, the patient should be discharged or transferred to a facility that participates in Medicare.

(2) *Notification.* The nearest office of the Social Security Administration will be notified as soon as possible when a Medicare beneficiary is rendered treatment.

Subpart G—Other Persons

§ 728.71 Ex-service maternity care/former female members of the Armed Forces—care incident to pregnancy and care of the newborn.

(a) *Eligible beneficiaries.* Former women members of the Armed Forces who have been separated from active duty under honorable conditions because of pregnancy, or separated from the service under honorable conditions for reasons other than pregnancy who are found to have been pregnant at the time of separation and their newborn infant(s) may be provided care as set forth below, subject to the provisions of Subpart A, § 728.3. When certified by medical authorities that the pregnancy existed prior to entry into service (EPTE), maternity benefits are not authorized.

(b) *Care authorized.* (1) Former female members shall be rendered medical and surgical care in naval MTF's incident to that pregnancy, prenatal care, hospitalization, postnatal care, and, when the requirements of current applicaable regulations are met, abortions. Postnatal care shall be limited to 6 weeks following delivery. Under no circumstances will care from civilian sources be promised for either the mother or the infant.

(2) Treatment of the newborn infant in USMTF's includes care, both inpatient and outpatient, only during the first 6 weeks (42 days) following delivery. If the newborn infant requires care beyond the 6-weeks postnatal period, arrangements shall be made by the mother, or other responsible family member, for disposition to private, State, welfare, or other Federal facility.

(c) *Application for care.* In making application for care authorized by this section, former female members of the Armed Forces should apply either in person or in writing to the Armed Forces MTF nearest their home and present either their DD Form 214 (Armed Forces of the United States Report of Transfer or Discharge) or DD Form 256A (Honorable Discharge Certificate) as proof of eligibility for requested care. In an area where there is more than one Armed Forces MTF available and capable of providing required care, application should be made to the MTF of the service from which separated. Referral to other services MTF's may be made only when space is not available in the MTF of the service from which the individual was separated.

§ 728.72 Applicants for enrollment in the Senior Reserve Officers' Training Program.

When properly authorized, designated applicants (including applicants for enrollment in the 2-year program and Military Science II enrollees applying for Military Science III) may be furnished medical examinations at naval MTF's including hospitalization necessary for the proper conduct of the examinations. Medical care, including hospitalization, is authorized for injuries incurred or disease contracted in line of duty while at or traveling to or from a military installation for the purpose of undergoing medical or other examinations or for visits of observation.

§ 728.73 Applicants for enlistment or reenlistment in the Armed Forces, and applicants for enlistment in the Reserve Components.

(a) Upon referral by the commander of an Armed Forces Examining and Entrance Station (AFEES), applicants shall be furnished necessary medical examinations, including hospitalization when qualifications for service cannot otherwise be determined. Such a period of hospitalization shall be used only for diagnostic purposes, and not to correct disqualifying defects.

(b) Applicants who suffer injury or acute illness while awaiting or undergoing processing at Navy and Marine Corps facilities or AFEES may be furnished emergency medical and dental care, including emergency hospitalization, for that injury or illness.

§ 728.74 Applicants for appointment in the regular Navy or Marine Corps and Reserve Components, including members of the Reserve Components who apply for active duty.

(a) Necessary medical examinations shall be furnished and include hospitalization when qualifications for service cannot otherwise be determined. Such a period of hospitalization shall be used only for diagnostic purposes, and not to correct disqualifying defects.

(b) Applicants who suffer injury or acute illness while awaiting or undergoing processing at Navy and Marine Corps facilities or AFEES may be furnished emergency medical and dental care, including emergency hospitalization, for that injury or illness.

§ 728.75 Applicants for cadetship at Service Academies.

(a) Upon presentation of a letter of authorization from the Department of Defense Medical Review Board (DOD MRB), applicants for cadetship at Service Academies (Navy, Army, Air Force, Coast Guard and Merchant Marine) shall be furnished medical examinations at facilities approved by the DOD MRB. Hospitalization is authorized when qualifications for service cannot otherwise be determined. Such a period of hospitalization shall be used for diagnostic purposes only, and not to correct disqualifying defects. Examinations shall be performed in accordance with BUMEDINST 6120.3L.

(b) Applicants who suffer injury or acute illness while awaiting or undergoing processing at Navy and Marine Corps facilities or Armed Forces Examining and Entrance Stations (AFEES) may be furnished emergency medical and dental care, including emergency hospitalization, for that injury or illness.

§ 728.76 Naval Home residents.

Necessary medical and dental care, both inpatient and outpatient, shall be furnished residents of the Naval Home when requested by the Governor of the Home. In an emergency, care may be rendered without prior approval of the Governor; however, the Governor of the Home should be contacted immediately and requested to furnish authorization.

§ 728.77 Secretarial designees.

(a) Upon a showing of sufficient cause, the Secretary of the Navy may authorize individuals, not otherwise authorized by law, to receive such care as is available in naval MTF's in the United States. Civilian health care cannot be authorized. This discretionary authority is exercised most conservatively, on an individual basis. Favorable action is usually taken on requests involving the following situations:

(1) Preadoption proceedings wherein an active duty member or a retired member has taken affirmative action to adopt a child.

(2) Custodianships and guardianships authorized by a court order, and wherein the child is fully dependent upon the active duty or retired member sponsor, and wherein the member is designated by the court as the custodian or guardian.

(3) Evaluation and selection of nonbeneficiaries who are donor

candidates for an organ or tissue transplant procedure in behalf of a military service beneficiary.

(4) Nonbeneficiary participants in officially approved clinical research studies.

(5) Designation of designees of other military departments.

(6) In other instances where the circumstances clearly merit the providing of treatment in naval MTF's, and in which the best interest of the patient, the Navy, *and* the Government will be served, favorable Secretarial action may result. The mere need of medical care by a former beneficiary or other person, alone, will not support approval of such a request.

(b) Requests for consideration are to be submitted to the Bureau of Medicine and Surgery (MED–313) by the applicants via their command, when applicable, or by the Medical Department command concerned. The request should include any pertinent information which will support consideration:

(1) Requests involving preadoption must include a legible reproducible copy of the court order which names the sponsor and identifies the other participating parties.

(2) Requests involving custodianships and guardianships must include a legible reproducible copy of the court order, identification of the parties, and also identify any amounts of income to which the ward is entitled.

(3) Requests in behalf of participants in clinical research studies must include: Sufficient clinical information concerning the nature of the study; benefits which may accrue to the individual; the extent, if any, to which access by other authorized beneficiaries will be impaired; benefits which will accrue to the command, such as enhancement of training, maximum utilization of specialized facilities, etc.; recommended duration of designation; and whether the consenting individual has been informed concernng the nature of the study, its personal implications, and freely consents.

(c) Secretarial designee status has been granted by the Secretary of Defense for full-time Schedule "A" faculty members of the Uniformed Services University who have been provided documentation substantiating their eligibility and, where necessary, an eligibility termination date. These personnel are authorized routine care at the National Naval Medical Center. Only emergency treatment is authorized these personnel at other naval treatment facilities while they are traveling on official university business. The letter of authorization excludes routine dental care, prosthetic appliances, and spectacles.

§ 728.78 American Red Cross representatives and their dependents.

(a) *Potential beneficiaries.* (1) Uniformed and nonuniformed full-time paid professional field and headquarters staff.

(2) Uniformed full-time paid secretarial and clerical workers.

(3) Nonuniformed full-time paid secretarial and clerical workers and volunteer workers, nonuniformed and uniformed.

(4) Dependents of personnel enumerated in this section (a) when accompanying their sponsor overseas or in Alaska.

(b) *Care authorized.* (1) Emergency medical and dental care may be rendered to beneficiaries enumerated in paragraphs (a)(1), (2), and (3) of this section when local civilian facilities are not resonably available or are inadequate. Hospitalization, however, is authorized only for acute medical and surgical conditions, exclusive of nervous, mental, or contagious diseases or those requiring domiciliary care. *See* Subpart F, § 728.53(a)(2)(iv), regarding volunteer workers entitled to care under the Office of Workers' Compensation Programs (OWCP) for injuries or diseases sustained in the performance of their duties both within and outside the United States.

(2) While outside the United States, nonemergency medical and dental care may be provided pursuant to 22 U.S.C. 2357(a) to beneficiaries enumerated in paragraphs (a)(1), (2), and (3) of this section on a reimbursable basis.

(3) Dependents enumerated in paragraph (a)(4) of this section may receive medical and dental care in naval MTF's for emergencies only. Hospitalization, however, is authorized only for acute medical and surgical conditions, exclusive of nervous, mental, or contagious diseases or those requiring domiciliary care.

(c) *Records disposal.* Upon completion of treatment of an accredited representative of the American Red Cross or their dependents, the medical records, including all clinical records and X-ray films, shall be forwarded to the Medical Director, National Headquarters, American Red Cross, 17th and D Streets, NW., Washington, DC 20006 in accordance with SECNAVINST 5212.5B, Disposal of Navy and Marine Corps Records.

§ 728.79 Officially recognized welfare workers, other than Red Cross, and their dependents.

(a) *Welfare workers.* Emergency medical and dental care may be rendered officially recognized welfare workers when local civilian facilities are not reasonably available or are inadequate.

(b) *Dependents.* Dependents of officially recognized welfare workers, who are accompanying their sponsor overseas or in Alaska, are eligible to receive care in naval MTF's for emergencies only, provided care from civilian sources is unavailable or inadequate.

§ 728.80 U.S. Navy Technicians and their dependents.

(a) *Medical care.* U.S. citizen contractor engineering and technical service personnel, who also hold the additional designation of U.S. Navy Technicians, and their accompanying dependents may be rendered care while serving with the Navy in a locality outside of the 48 contiguous United States and the District of Columbia and in Alaska where civilian medical care is not obtainable or is inadequate. Except while aboard naval vessels, such persons, while serving outside the 48 contiguous United States and the District of Columbia and in Alaska, may only be hospitalized for acute medical and surgical conditions, exclusive of nervous, mental, or contagious diseases or those requiring domiciliary care.

(b) *Dental care.* Dental treatment shall be administered only as an adjunct to inpatient hospital care and shall not include dental prostheses or orthodontia.

§ 728.81 Civilians.

(a) *General.* In an emergency, any person may be rendered care in naval MTF's to prevent undue suffering or loss of life or limb. Care shall be limited to that necessary only during the period of the emergency, and if further medical treatment is indicated, action will be initiated to transfer the patient to a private physician or civilian facility as soon as possible. Further, subject to the provisions of Subpart A, § 728.3, the following personnel are authorized care as set forth.

(b) *Beneficiaries and extent of care.* (1) Civilian employees paid from nonappropriated funds, including Navy exchange employees and service club employees, shall be provided all occupational health services. Treatment of occupational illnesses and injuries other than emergency care shall be in accordance with rules and regulations of

the Office of Workers' Compensation Programs. *See* Subpart F, § 728.53.

(2) Employees of organizations operating under Federal contract (Contractor Personnel) shall be provided emergency treatment of illnesses and injuries occurring at work. While serving with the Navy in a locality outside of the 48 contiguous United States and the District of Columbia and in Alaska, where civilian medical care is not obtainable or is inadequate, such persons may only be hospitalized for acute medical and surgical conditions, exclusive of nervous, mental, or contagious diseases or those requiring domiciliary care. Dental treatment shall be administered only as an adjunct to inpatient hospital care and shall not include dental prostheses or orthodontia.

(3) Civilians attending the Federal Bureau of Investigation (FBI) Academy, Marine Corps Development and Education Command, Quantico, VA may be rendered care at the Naval Regional Medical Clinic, Quantico, VA for emergencies. Such persons who are in need of hospitalization for injuries or disease may be hospitalized and classed as civilian humanitarian nonindigent with the approval of the cognizant hospital's commanding officer. EXCEPTION: Certain individuals, such as employees of the Federal Bureau of Investigation who are injured in line of duty, may be entitled to care at the expense of the Office of Workers' Compensation Programs (OWCP). *See* Subpart F, § 728.53.

(4) The following civilians who are injured or become ill while participating in Navy or Marine Corps sponsored sports, recreational or training activities may be rendered care on a temporary (emergency) basis until such time as appropriate disposition can be effected.

(i) Members of the Naval Sea Cadet Corps.

(ii) Junior ROTC/NDCC (National Defense Cadet Corps) cadets.

(iii) Civilian athletes training or competing as part of the U.S. Olympic effort.

(iv) Civilians competing in Navy or Marine Corps sponsored competitive meets.

(v) Members of Little League teams and Youth Conservation groups.

(vi) Boy Scouts and Girl Scouts of America.

(5) Civilian employees of all Federal agencies and their dependents, including school teachers employed in Armed Forces schools operated by U.S. military departments, may be provided hospitalization for acute medical and surgical conditions, exclusive of nervous, mental, or contagious diseases or those requiring domiciliary care at installations outside the United States and at installations in the United States which have been designated as remote by the Secretary of the Navy for the purpose of providing medical care. Dental treatment may only be administered as an adjunct to inpatient hospital care and may not include dental prostheses or orthodontia.

(6) Emergency treatment for civil service employees to relieve minor ailments or injuries, with the idea of keeping the employee on the job, is the major objective of the following programs. The Department of Labor, Office of Workers' Compensation Programs (OWCP) governs the overall medical care program for employees of the Government who sustain injuries while in the performance of duty, including diseases proximately caused by conditions of employment. *See* Subpart F, § 728.53. In addition to that care authorized under OWCP, the following services are authorized.

(i) Federal civil service employees and applicants for such employment are authorized services as outlined in chapter 22, Manual of the Medical Department. Included are Military Sealift Command (MSC) civilian marine personnel (CIVMARPERS or CIVMARS) who are authorized additional care and services as outlined in BUMEDINST 6320.52, and members of the National Oceanic and Atmospheric Administration (NOAA) serving with the Navy.

(ii) The Department of Defense Civilian Employees' Health Service, which is under the technical control of the Surgeon General of the Army, is responsible in the District of Columbia area for administering the health program for all Federal civil service employees in the area.

(7) The following personnel, and accompanying dependents, while serving outside the 48 contiguous United States and the District of Columbia and in Alaska where civilian medical care is not obtainable or is inadequate, may be rendered care on a reimbursable basis. Except while aboard naval vessels, such persons, while serving outside the 48 contiguous United States and the District Columbia and in Alaska may only be hospitalized for acute medical and surgical conditions, exclusive of nervous, mental, or contagious diseases or those requiring domiciliary care. Dental treatment shall be administered only as an adjunct to inpatient hospital care and shall not include prostheses or orthodontia.

(i) Civilian employees of contractors.

(ii) Civilians who contribute to accomplishment of a major overseas commander's mission.

(iii) When confined in foreign penal institutions, American nationals who are serving with, employed by, or accompanying the Armed Forces outside the United States and its possessions are also authorized the above care.

(8) Other civilian personnel included below are not normally eligible for care in naval MTF's; however, under the conditions set forth, care may be rendered.

(i) *Potential beneficiaries.* (A) Civilian representatives of religious groups.

(B) Educational institutions representatives.

(C) Athletic clinic instructors.

(D) USO representatives.

(E) Celebrities and entertainers.

(F) Social agencies representatives.

(G) Others in a similar status to those in paragraphs (b)(8)(i)(A) through (F) of this section.

(H) News correspondents.

(I) Commercial airline pilots and employees.

(J) Volunteer workers.

(ii) Care Authorized.

(A) Persons enumerated in paragraphs (b)(8)(i)(A) through (G) of this section, who are contracted to provide direct services to the Armed Forces and who are acting under orders issued by the Department of Defense or one of the military departments to visit military commands overseas, and their accompanying dependents, may be provided medical care in naval MTF's outside the 48 contiguous United States and the District of Columbia provided local civilian facilities are not reasonably available or are inadequate. Inpatient care shall be limited to acute medical and surgical conditions excluding nervous, mental, or contagious diseases, or those requiring domiciliary care. Dental treatment shall be administered only as an adjunct to inpatient hospital care and shall not include dental prostheses or orthodontia.

(B) Persons enumerated in paragraphs (b)(8)(i)(H) and (I) of this section are authorized emergency medical and dental care in naval MTF's outside the 48 contiguous United States and the District of Columbia provided local civilian facilities are not reasonably available or are inadequate.

(C) Persons enumerated in paragraph (b)(8)(i)(J) of this section, both within and outside the 48 contiguous United States and the District of Columbia, may receive care in naval MTF's for injuries or diseases incurred in the performance of duty as beneficiaries of OWCP. *See*

Subpart F, § 728.53. Additionally, if such volunteers are sponsored by an international organization (e.g., the United Nations) or a voluntary nonprofit-relief agency registered with and approved by the Advisory Committee on Voluntary Foreign Aid (e.g., CARE), they may receive other necessary nonemergency medical care and occupational health services on a reimbursable basis while serving outside the 48 continguous United States and the District of Columbia.

§ 728.82 Individuals whose military records are being considered for correction.

Individuals who require medical evaluation in connection with consideration of their individual circumstances by the Navy, Army, and Air Force Board for Correction Of Military Records are authorized evaluation, including hospitalization when necessary for the proper conduct thereof.

§ 728.83 Persons in military custody and nonmilitary Federal prisoners.

(a) *Potential beneficiaries.* (1) Enemy prisoners of war and other detained personnel.

(2) Military prisoners.

(3) Nonmilitary Federal prisoners.

(b) *Care authorized.* (1) Enemy prisoners of war and other detained personnel are entitled to all necessary medical and dental care subject to the provisions of Subpart A, § 728.3.

(2) Military prisoners whose punitive discharges have been executed but whose sentences have not expired are authorized all necessary medical and dental care.

(3) Military prisoners whose punitive discharges have been executed and who require hospitalization beyond expiration of sentences are not eligible for care but may be hospitalized as civilian humanitarian nonindigents until disposition can be made to some other facility.

(4) Military prisoners on parole pending completion of appellate review or whose parole changes to an excess leave status following completion of sentence to confinement while on parole are members of the military service and as such are authorized care as outlined in Subpart B. An individual on parole whose punitive discharge has been executed is not a member of the military service and is therefore not eligible for care authorized by this subpart. If the circumstances are exceptional, individuals herein who are not authorized care may request Secretarial designee status under the provisions of this Subpart G, § 728.77.

(5) Nonmilitary Federal prisoners are authorized only emergency medical care. When such care is being rendered, the institution to which the prisoner is sentenced must furnish the necessary guards to effectively maintain custody of the prisoner and assure the safety of other patients, staff members, and residents of the local area. Under no circumstances will military personnel be utilized to guard or control such prisoners. Upon completion of the emergency care, arrangements will be made immediately to transfer the prisoners to a nonmilitary MTF or to return the prisoners to the facility to which sentenced.

Subpart H—Adjuncts to Medical Care

§ 728.91 General.

Adjuncts to medical care include but are not limited to prosthetic devices such as artificial limbs, artificial eyes, hearing aids, orthopedic footwear, spectacles, wheel chairs, hospital beds, and similar medical support items or aids which are required for the proper care and management of the medical condition being treated. Generally, the expenses incurred for procurement of such items, either from civilian sources as supplemental care or from stocks maintained by the facility, are payable from operation and maintenance funds available for the support of the naval MTF. However, certain adjuncts may be cost-shared under CHAMPUS for CHAMPUS-eligible individuals under the circumstances enumerated in the cooperative care or services criteria of Subpart A, § 728.4(z).

§ 728.92 Policy.

(a) Adjuncts to medical care shall be provided at naval MTF's to eligible beneficiaries receiving inpatient or outpatient care when, in the opinion of the attending physician, the adjunct will offer substantial assistance in overcoming the handicap or condition and thereby contribute to the well-being of the beneficary.

(b) Unless necessary for humanitarian reasons, orthopedic and prosthetic appliances are not to be furnished on an elective basis to members of the naval service with short periods of service remaining when the defect requiring the appliance existed prior to entry into service and when these members are to be separated from the service because of these defects.

(c) For active duty members, the initial allowance of orthopedic footwear and orthopedic alterations to standard footwear shall be in the same quantity as provided in the initial clothing allowance.

(d) The number of orthopedic and prosthetic appliances issued or replaced for other authorized recipients shall be based upon the individual's requirements as determined by the attending physician and shall be consistent with the highest standards of modern medicine.

(e) Former members of the uniformed service should be advised that they may obtain durable medical equipment, medical care, and adjuncts from Veterans Administration facilities.

(f) Dependents are authorized certain adjuncts in accordance with the provisions of Subpart D, § 728.32, and in instances where items are not normally authorized at the expense of the Government, they may be provided at invoice cost if available from Government stocks under the following conditions:

(1) Outside the United States.

(2) At specific stations within the United States which have been authorized by the Secretary of the Navy to sell these items.

§ 728.93 Chart of adjuncts.

The following chart and footnotes provide information relative to adjuncts which may be furnished the several categories of beneficiaries eligible for medical care at naval MTF's.

Dated: August 11, 1982.

F. N. Ottie,

Lieutenant Commander, JAGC, U.S. Navy, Alternate Federal Register Liaison Officer.

Adjuncts	Active duty and retired members of the uniformed services	Others authorized the same benefits as active duty or retired members [5]	Dependents authorized the same benefits	Other beneficiaries [8]
Ambulance Service	Yes	Yes	Yes [1]	No.
Artificial Eyes	Yes	Yes	Yes	Maybe [3].
Artificial Limbs	Yes	Yes	Yes	Maybe [3].
Contact/Special Lenses	Yes [4]	Yes [4]	Maybe [2 4 6]	No.
Crutches [7]	Yes	Yes	Yes	Yes.
Dental Prostheses	Yes	Yes	Maybe [9]	Maybe [9].
Elastic Stockings	Yes	Yes	Yes	Yes.

Adjuncts	Active duty and retired members of the uniformed services	Others authorized the same benefits as active duty or retired members [4]	Dependents authorized the same benefits	Other beneficiaries [4]
Hearing Aids [10]	Yes [5]	Yes [5]	Maybe [2]	Maybe [3].
Hearing Aid Parts/Batteries	Yes [10]	Yes [10]	Maybe [2 10]	No.
Hospital Beds [7]	Yes	Yes	Yes	Yes.
Joint Braces	Yes	Yes	Yes	Yes.
Orthopedic Footwear	Yes	Yes	Maybe [2]	Maybe [3].
Pros. Devices, Other [7]	Yes	Yes	Maybe [2]	No.
Respirators-Inhalators [7]	Yes	Yes	Yes	Yes [1].
Resuscitators [7]	Yes	Yes	Yes	Yes [1].
Spectacles	Yes	Yes	Maybe [2 6]	No.
Walking Irons [7]	Yes	Yes	Yes	Yes.
Wheel Chairs [7]	Yes	Yes	Yes	Yes.

[1] When considered medically appropriate by the attending physician.
[2] See this Subpart H, §728.92(f).
[3] Outside the United States and at designated remote stations when considered medically appropriate by the attending physician.
[4] Not to be issued solely for cosmetic reasons. Further guidelines may be found in BUMEDINST 6810.4G.
[5] Initial issue will include, in addition to the hearing aid, one spare receiver cord, approximately 1 month's supply of batteries, and a statement indicating make, model, type of reciever, serial number, code, part numbers, "B" battery voltage, and type of "A" and "B" batteries as appropriate. Replacement of hearing aids shall be upon the same basis as the initial issue and except in unusual circumstances shall not be effected within 2 years of the initial furnishing or the last replacement of the appliance.
[6] Spectacles or contact lenses may be provided those dependents with eye conditions which require these items for complete medical or surgical management of a condition other than ordinary refractive error. For further information, refer to BUMEDINST 6810.4G.
[7] May be loaned on a custody basis at the discretion of the attending physician.
[8] See subpart of this part relating to specific beneficiary.
[9] When considered by the attending physician and dentist to be an adjunct to a medical or surgical condition other than dental and when in consonance with existing legislation and directives.
[10] For further guidelines, see BUMEDINST 6320.41B.

[FR Doc. 82-22365 Filed 8-18-82; 8:45 am]
BILLING CODE 3810-AE-M

DEPARTMENT OF TRANSPORTATION

Coast Guard

33 CFR Part 100

[CGD 09-82-24]

Lscora Southshore Classic, Special Local Regulations

AGENCY: Coast Guard, DOT.

ACTION: Final rule.

SUMMARY: The Coast Guard is establishing a regulated area in the Detroit River on August 21, 1982. This action is required to permit the conducting of an approved marine event. It is intended to restrict vessel navigation in the Detroit River area for the safety of the spectators and participants in the event.

EFFECTIVE DATE: This amendment is effective August 21, 1982.

FOR FURTHER INFORMATION CONTACT: MSTC BRUCE GRAHAM, Office of Search and Rescue, Ninth Coast Guard District, 1240 E 9th St., Cleveland, OH 44199, (216) 522-4420.

SUPPLEMENTARY INFORMATION: The details concerning this year's event were not known in time to publish a proposed rule before the event. Therefore, this regulation is published as a final rule and will become effective in less than 30 days.

Drafting information: The principal persons involved in drafting this rule are MSTC BRUCE GRAHAM, Project Officer, Office of Search and Rescue, and LCDR MICHAEL GENTILE, Project Attorney, Legal Office Ninth Coast Guard District.

Discussion: The Lake St. Clair Offshore Racing Association's 2nd Annual Southshore Classic will be conducted on the Detroit River on August 21, 1982, with August 22 being the raindate. This event will have an estimated 20-30 high performance ocean racers which could pose hazards to navigation in the area. Vessels desiring to transit the regulated area may do so only with prior approval of the Patrol Commander (Officer-in-Charge, U.S. Coast Guard Station, Belle Isle, MI).

Evaluation: These regulations have been reviewed under the provisions of Executive Order 12291 and have been determined not to be a major rule. This conclusion follows from the fact that the regulated area will be open for the passage of commercial vessels and can be opened periodically to recreational vessels. Also, the regulated area will be in effect for a limited time. In addition, these regulations are considered to be nonsignificant in accordance with guidelines set out in the Policies and Procedures for Simplification, Analysis, and Reivew of Regulations (DOT Order 2100.5 of 5-22-80). An economic evaluation has not been conducted since, for the reasons discussed above, its impact is expected to be minimal. In accordance with the Regulatory Flexibility Act (5 USC 605 (b)), it is certified that these rules will not have a significant economic impact on a substantial number of small entities. This rule is necessary to insure the protection of life in the area during the event.

List of Subjects in 33 CFR Part 100

PART 100—SAFETY OF LIFE ON NAVIGABLE WATERS

Marine safety, Navigation (water).

Final regulations: In consideration of the foregoing, Part 100 of Title 33 Code of Federal Regulations, is amended by adding the following section:

§ 100.35-0924 Detroit River, Detroit, MI.

(a) The following area will be closed to recreational vessel navigation or anchorage from 10:30 a.m. (local time) until 2:00 p.m., or until the completion of the race, on 21 August 1982.

(1) That portion of the Detroit River in U.S. waters north of a line from Hickory Island to Celeron Island to Horse Island up to a line extending from Pt. Hennepin to Grassy Island to Mud Island, then along the north side of the Ecorse Channel to Mud Island Junction Lighted Buoy (LLNR 974) thence due west to shore. Also, the Fighting Island Channel from the Mud Island Junction Lighted Buoy (LLNR 974) south to where the course leaves the channel at approximately 44 degrees 11.2 minutes North, thence on a bearing of 206 degrees true and 200 yards wide to a point at 42 degrees 10.65 minutes North, thence on a bearing of 160 degrees true to the International Boundary. The Livingstone Channel from 42 degrees 08 minutes North to 42 degrees 06.5 minutes North. Also, from the International Boundary at 42 degrees 04 minutes North northwest on a bearing of 312 degrees true 200 yards wide to the previously mentioned line from Hickory Island to Celeron Island to Horse Island.

(b) No vessel shall anchor in or around the main shipping channel of the Detroit River, Trenton Channel, nor shall any spectator craft interfere with the free passage of commercial traffic in the main fairways of the Detroit River.

(c) Recreational vessels desiring to transit the restricted area may do so only with prior approval of the Patrol

Commander and when so directed by that officer. Vessels will be operated at a no wake speed to reduce the wake to a minimum and in a manner which will not endanger participants in the event or any other craft. These rules shall not apply to participants in the event or vessels of the patrol, in the performance of their assigned duties.

(d) A succession of sharp, short signals by whistle or horn from vessels patrolling the areas under the direction of the U.S. Coast Guard Patrol Commander shall serve as a signal to stop. Vessels signaled shall stop and shall comply with the orders of the Patrol Vessel; failure to do so may result in expulsion from the area, citation for failure to comply, or both.

(e) This section is effective from 10:30 a.m. (local time) on August 21, 1982 until 2:00 p.m. on August 21, 1982, with August 22, 1982 being a makeup date in case of inclement weather.

(Sec. 1, 35 Stat. 69 as amended, Sec. 6(b)(1), 80 Stat. 937; 46 U.S.C. 454; 49 U.S.C. 1655(b)(1); 33 CFR 100.35; 49 CFR 1.46(b))

Dated: August 5, 1982.

Henry H. Bell,

Rear Admiral, U.S. Coast Guard, Commander, Ninth Coast Guard District.

[FR Doc. 82-22774 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-14-M

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33 CFR Part 117

[CCGD7 82-03]

Drawbridge Operation Regulations; Atlantic Intracoastal Waterway, (AIWW), Mile 1013.7, North Palm Beach County, Florida

AGENCY: Coast Guard, DOT.

ACTION: Final rule.

SUMMARY: At the request of the Village of North Palm Beach, the Coast Guard is changing the regulations governing the Parker Bridge across the Atlantic Intracoastal Waterway, (AIWW), mile 1013.7, North Palm Beach County, Florida, by permitting the number of openings to be limited during certain periods. This change is being made to accommodate periods of peak vehicular traffic. This action will accommodate the needs of vehicular traffic and still provide for the reasonable needs of navigation.

EFFECTIVE DATE: This amendment is effective on September 20, 1982.

FOR FURTHER INFORMATION CONTACT: James R. Kretschmer, Bridge Administrator, Seventh Coast Guard District (oan), Room 1006, Federal Building, 51 SW. First Avenue, Miami, Florida 33130, Telephone (305) 350-4108.

SUPPLEMENTARY INFORMATION: On March 1, 1982, the Coast Guard published a proposed rule (47 FR 8597) concerning this amendment. The Commander, Seventh Coast Guard District, also published this proposal as a Public Notice dated 19 March 1982. Interested persons were given until 15 April 1982 to submit comments.

Drafting Information: The principal persons involved in drafting this rule are: James R. Kretschmer, Bridge Administrator, Bridge Section, Aids to Navigation Branch, and Lieutenant Michael T. Harris, Seventh Coast Guard District, Assistant Legal Officer.

Discussion of Comments

In response to publication in the **Federal Register**, one comment recommended that the bridge open on the hour and half-hour from 10 a.m. to 6 p.m., 1 November to 31 May. Bridge openings are presently restricted to two per hour from 7 a.m. to 7 p.m. from November 15 through April 15. Since this comment provided no additional justification and since this rule will restrict the openings of the bridge to three per hour commencing April 16th, this comment is considered to have been met. Thirteen comments were received in response to the Coast Guard Public Notice. One comment stated no objection; another objected to the proposed regulations and recommended the present rule (to open on signal), be retained; another opposed the restriction and recommended openings every fifteen minutes; another stated that the proposed rule does not constitute an equitable assignment of delay for both land and water commerce; another expressed hope that tugs with tows will be able to pass through the bridge on arrival, which this rule will provide for; and nine form letters were received objecting to the proposed rule indicating that it was unnecessary and restrictive. Since the bridge immediately to the north, PGA Boulevard, AIWW, mile 1012.6, opens on signal and there is unrestricted access from the ocean through Lake Worth Inlet from the south, vessels may time their approach to the bridge. On weekends during April through November, statistics show that the bridge opens an average of slightly more than 3 times per hour maximum. Since this rule will provide for a maximum of three openings per hour, this rule merely ratifies the existing situation and does not unduly restrict navigation. Therefore, these are not considered valid.

An economic evaluation of the regulation has not been prepared because economic impacts are expected to be minimal since commercial vessels constitute a small percentage of waterway traffic and since the regulation will continue to exempt some commercial vessels from the restriction of this rule. The requirement for the posting of signs has been included in this rule since it was inadvertently left out of the proposed rule. Also, the four blast opening signal for exempt vessels is changed to five short blasts to conform to the present inland rules. Paragraphs (b) and (c) of the proposed rule are being designated as paragraphs (a) and (b) of the final rule and provide for the passage of all accumulated vessels. The inclusion of signs and changing of signal to five short blasts, for exempt vessels, requires no further comment due to its non-substantive nature.

These final regulations have been reviewed under provisions of Executive Order 12291 and have been determined not to be a major rule. They are considered to be nonsignificant in accordance with guidelines set out in the Policies and Procedures for Simplification, Analysis, and Review of Regulations (DOT Order 2100.5 of 5-22-80). As explained above, an economic evaluation has not been conducted. In accordance with § 605(d) of the Regulatory Flexibility Act (94 Stat. 1164), it is also certified that these rules will not have a significant economic impact on a substantial number of small entities.

List of Subjects in 33 CFR Part 117

Bridges.

PART 117—DRAWBRIDGE OPERATION REGULATIONS

In consideration of the foregoing, Part 117 of Title 33 of the Code of Federal Regulations is amended by revising § 117.438c to read as follows:

§ 117.438c AIWW, Mile 1013.7, Parker Bridge, U.S. 1, North Palm Beach, Florida.

(a) The draw shall open on signal, except that from November 15 through April 15, from 7 a.m. to 7 p.m., the draw need open only on the hour and half-hour, to pass accumulated vessels. From April 16 through November 14 from 9 a.m. to 5 p.m. the draw need open only on the hour, 20 minutes after the hour, and 40 minutes after the hour on Saturdays, Sundays, and legal holidays, to pass accumulated vessels.

(b) The draw shall open at any time for the passage of public vessels of the United States, tugs with tows, cruise boats operated on a regular schedule, or vessels in distress. The opening signal from these vessels is five short blasts of

a whistle, horn, other sound producing device, or by shouting.

(c) The owner of or agency controlling the bridge shall post notices containing the substance of these regulations both upstream and downstream, on the bridges or elsewhere, in such a manner that they can easily be read at all times from an approaching vessel.

(33 U.S.C. 499, 49 U.S.C. 1655(g)(2); 49 CFR 1.46(c)(5), 33 CFR 1.05–1(g)(3))

Dated: August 6, 1982.

D. C. Thompson,

Rear Admiral, U.S. Coast Guard, Commander, Seventh Coast Guard District.

[FR Doc. 82–22775 Filed 8–18–82; 8:45 am]

BILLING CODE 4910–14–M

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33 CFR Part 117

[CGD5 81–08R]

Drawbridge Operation Regulations; Middle Sound, (AIWW), Wrightsville Beach, North Carolina

AGENCY: Coast Guard, DOT.

ACTION: Final rule.

SUMMARY: At the request of the Town of Wrightsville Beach, North Carolina, the Coast Guard is establishing new regulations to govern the operation of the drawbridge across the Atlantic Intracoastal Waterway, mile 283.1 at Wrightsville Beach, North Carolina, to permit the draw to remain closed to pleasure craft during certain periods. This action will reduce the number of draw openings, improve the flow of vehicular traffic across the bridge and still provide for the reasonable needs of navigation.

EFFECTIVE DATE: This amendment becomes effective on September 20, 1982.

FOR FURTHER INFORMATION CONTACT: Wayne J. Creed, Bridge Administrator, Aids to Navigation Branch, Fifth Coast Guard District, Federal Building, 431 Crawford Street, Portsmouth, Virginia 23705, (804) 398–6222.

SUPPLEMENTARY INFORMATION: On October 1, 1981, the Coast Guard published a proposed rule (46 FR 48239) concerning this amendment. The Commander, Fifth Coast Guard District, also published this proposal in Public Notice (5–495) dated October 13, 1981, which was included in Local Notice to Mariners No. 42 dated October 20, 1981. Interested persons were requested to submit comments on the proposal by 16 November 1981. Sixteen written responses were received.

Discussion of Rule

The regulations will restrict the bridge to one opening an hour for the passage of pleasure craft from 7 a.m. to 7 p.m. every day from May 1 through October 30. At all other times the bridge will open on signal for the passage of pleasure craft. Commercial vessels traffic will not be affected by the regulations. The regulations will be in effect only during the tourist season and the restrictions will be in effect during daylight hours for the most part. It is during daylight hours from May 1 through October 30 that vehicular traffic across the bridge is the heaviest according to data provided by the bridge owner.

The public notice generated sixteen responses from those who have an interest in the operation of the drawbridge. Ten recommended that the bridge open every half-hour, one recommended that the bridge open every two hours, one recommended that the bridge open on the hour all year, one recommended that the bridge open on the hour until September 30, and three recommended approval of the proposed schedule as announced in the public notice.

After carefully considering all the recommendations received, it is concluded that approval of the schedule announced is in the overall best interest of the public. This decision is based on the fact that test data clearly shows that vehicular traffic benefits greatly from this schedule, and that the schedule meets the reasonable needs of navigation. Since the regulations only affect pleasure craft, the only costs will be those of minor time delays and fuel used by these entities. This cost is considered insignificant because the time delays will be less than one hour.

Evaluation

This regulation has been reviewed under the provisions of Executive Order 12291 and has been determined not to be a major rule. In addition, this regulation is considered to be nonsignificant in accordance with guidelines set out in the Policies and Procedures for Simplification, Analysis, and Review of Regulations (DOT Order 2100.5 of 5–22–80). An economic evaluation has not been conducted since, for the reasons discussed above, its impact will be minimal. In accordance with Section 605(b) of the Regulatory Flexibility Act (94 Stat. 1164), it is certified that this rule will not have a significant economic impact on a substantial number of small entities.

List of Subjects in 33 CFR Part 117

Bridges.

PART 117—DRAWBRIDGE OPERATION REGULATIONS

Final Regulation: In consideration of the foregoing, Part 117 of Title 33 of the Code of Federal Regulations is amended by adding § 117.359 to read as follows.

§ 117.359 AICWW, Mile 283.1, Wrightsville Beach, NC: bridge.

(a) From November 1 through April 30 the drawbridge shall open on signal for the passage of pleasure craft.

(b) From May 1 through October 31: (1) The drawbridge shall open for the passage of pleasure craft on the hour from 7 a.m. to 7 p.m. every day.

(2) The drawbridge shall open on signal for the passage of pleasure craft from 7 p.m. to 7 a.m. every day.

(3) If a pleasure boat is approaching the drawbridge and cannot reach the draw exactly on the hour, the drawtender may delay the hourly opening up to 10 minutes past the hour for the passage of the approaching pleasure boat and any other pleasure boats that are waiting to pass.

(c) The drawbridge shall open on signal at any time for public vessesls of the United States, commercial vessels and any vessel in an emergency involving danger to life or property. The signal to request an emergency opening is five or more short blasts of a whistle or horn.

(d) A copy of the regulations in this section shall be posted on both sides of the bridge.

(Sec. 5, 28 Stat. 362, as amended (33 U.S.C. 499); Sec. 6(g)(2), Pub. L. 89–670, 80 Stat. 937, as amended (49 U.S.C. 1655(g)(2)); 49 CFR 1.46(c)(5), 33 CFR 1.05–1(g)(3))

Dated: August 3, 1982.

John D. Costello,

Rear Admiral, Coast Guard, Commander, Fifth Coast Guard District

[FR Doc. 82–22776 Filed 8–18–82; 8:45 am]

BILLING CODE 4910–14–M

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33 CFR Part 117

[CCGD7 82–11]

Drawbridge Operation Regulations; Moser Channel, Seven Mile Bridge, U.S. 1 Near Marathon, Monroe County, Florida; and Hudson Bayou, Orange Avenue Bridge, Sarasota, Sarasota County, Florida

AGENCY: Coast Guard, DOT.

ACTION: Final rule; revocation.

SUMMARY: This amendment revokes the regulations for the Moser Channel, Seven Mile Bridge, mile 0.0, U.S. 1 near Marathon, Monroe County, Florida; and

Hudson Bayou, Orange Avenue Bridge, mile 0.2, Sarasota, Sarasota County, Florida, because the bridges have been replaced by fixed bridges. Notice and public procedure have been omitted from this action due to the removal of the bridges concerned.

EFFECTIVE DATE: This amendment is effective on August 19, 1982.

FOR FURTHER INFORMATION CONTACT: J. R. Kretschmer, Bridge Administrator, Seventh Coast Guard District (oan), Room 1006, Federal Building, 51 S.W. First Avenue, Miami, Florida 33130, Telephone (305) 350–4108.

Drafting Information: The principal persons involved in drafting this revocation of regulations are: J. R. Kretschmer, Bridge Administrator, Bridge Section, Aids to Navigation Branch, and Lieutenant Michael T. Harris, Seventh Coast Guard District, Assistant Legal Officer.

SUPPLEMENTARY INFORMATION: This action has no economic consequences. It merely revokes regulations that are now meaningless because they pertain to drawbridges that no longer exist. Consequently, this action cannot be considered a major rule under Executive Order 12291. Furthermore, it has been found nonsignificant under the Policies and Procedures for Simplification, Analysis, and Review of Regulations (DOT Order 2100.5 of 5–2–80), and does not warrant preparation of an economic evaluation. Because no notice of proposed rulemaking is required under 5 U.S.C. 553, this action is exempt from the Regulatory Flexibility Act (94 Stat. 1164). However, this action will not have a significant effect on a substantial number of small entities.

List of Subjects in 33 CFR Part 117

Bridges.

PART 117—DRAWBRIDGE OPERATION REGULATIONS

§ 117.245 [Amended]

In consideration of the foregoing, Part 117 of Title 33 of the Code of Federal Regulations is amended by removing § 117.245(h)(30) and § 117.245(i)(3b).

(33 U.S.C. 499, 49 U.S.C. 1655(g)(2); 49 CFR 1.46(c)(5), 33 CFR 1.05–1(g)(3))

Dated: August 2, 1982.

D. C. Thompson,

Rear Admiral, U.S. Coast Guard, Commander, Seventh Coast Guard District.

[FR Doc. 82–22777 Filed 8–18–82; 8:45 am]

BILLING CODE 4910–14–M

33 CFR Part 117

[CGD12–82–01]

Drawbridge Operation Regulations; San Joaquin River, Calif.

AGENCY: Coast Guard, DOT.

ACTION: Final rule.

SUMMARY: At the request of the California Department of Transportation, the U. S. Navy, and the Atchison, Topeka and Santa Fe Railway Company, the Coast Guard is changing the regulation governing the Navy Drive, Highway 4, and Santa Fe bridges over the San Joaquin River near Stockton, California, to exempt the bridges from the requirement to open for vessels. This change is being made because no requests have been made to open the draws since 1978. As a precaution to avoid foreclosing future navigational access, a part of the regulation requires the bridges to be restored to service upon six months notice from the Coast Guard. This action will relieve the bridge owners of the burden of maintaining the machinery and of having a person available to open the draw and still provide for the reasonable needs of navigation.

EFFECTIVE DATE: This amendment becomes effective on September 20, 1982.

FOR FURTHER INFORMATION CONTACT: Rose E. Guerra, Bridge Administrator, at the office of the Commander (oan), Twelfth Coast Guard District, 630 Sansome Street, Room 936, San Francisco, California 94126, (415) 556–8668.

SUPPLEMENTARY INFORMATION: On May 20, 1982, the Coast Guard published a proposed rule (47 FR 21858) concerning this amendment. The Commander, Twelfth Coast Guard District, also published this proposal as a Public Notice 12–148 dated June 7, 1982. Interested persons were given until July 6, 1982 to submit comments.

Drafting Information: The principal persons involved in drafting this rule are: Rose E. Guerra, Bridge Administrator, and Lieutenant Commander W. A. Cassels, Project Attorney, District Legal Office, Twelfth Coast Guard District.

Discussion of Comments

Three comments were received. They all either agreed with the proposal or offered no objection.

Regulatory Evaluations: This regulation has been reviewed under the provisions of Executive Order 12291 and has been determined not to be a major rule.

In addition, the regulation is considered to be nonsignificant in accordance with guidelines set out in the Policies and Procedures for Simplification, Analysis, and Review of Regulations (DOT Order 2100.5 of 5–22–80). An economic evaluation has not been conducted since, for the reasons discussed above, the impact of this regulation is expected to be minimal. In accordance with section 605(b) of the Regulatory Flexibility Act (94 Stat. 1164), it is also certified that this rule will not have a significant economic impact on a substantial number of small entities.

List of Subjects in 33 CFR Part 117

Bridges.

PART 117—DRAWBRIDGE OPERATION REGULATIONS

In consideration of the foregoing, Part 117 of Title 33, Code of Federal Regulations is amended by revising § 117.714(a) immediately after § 117.714 to read as follows:

§ 117.714 San Joaquin River and its tributaries, California.

(a) San Joaquin River. (1) Port of Stockton railway bridge at Stockton. The draw shall open on signal if at least twelve hours notice is given to the Port Director.

(2) U. S. Navy, Navy Drive bridge, Atchison, Topeka and Santa Fe railroad bridge, and California Highway 4 bridge (Garwood Bridge). The draws need not be opened for the passage of vessels. The owners or agencies controlling the bridges shall restore the draws to full operation within six months of notification to take such action from the Commander, Twelfth Coast Guard District.

(3) Drawbridges above the Old River junction need not open for the passage of vessels.

* * * * *

(33 U.S.C. 499; 49 U.S.C. 1655(g)(2); 49 CFR 1.46(c)(5); 33 CFR 1.05–1(g)(3))

Dated: July 23, 1982.

C. E. Larkin,

Vice Admiral, Coast Guard, Commander, Twelfth Coast Guard District.

[FR Doc. 82–22778 Filed 8–18–82; 8:45 am]

BILLING CODE 4910–14–M

ENVIRONMENTAL PROTECTION AGENCY

40 CFR Part 260

[SWH-FRL 2190-8]

Hazardous Waste Management System: Summary of Rulemaking Petitions

AGENCY: Environmental Protection Agency.

ACTION: Public notice of rulemaking petitions filed with EPA concerning the Resource Conservation and Recovery Act.

SUMMARY: This notice sets forth a list of petitions received in response to the regulations implementing the hazardous waste management system established by the Resource Conservation and Recovery Act (RCRA). Petitions cover both requests to make general changes to the regulations and specific requests to exclude, on a site-specific basis, wastes from regulation as hazardous. This notice updates the **Federal Register** of Wednesday, March 3, 1982 (47 FR 9007) and provides a list of all petitions received by the Agency subsequent to that publication as of June 30, 1982. This notice informs the regulated community of the receipt and purpose of each petition and thereby allows interested parties to comment or respond on appropriate petitions.

FOR FURTHER INFORMATION CONTACT: For further information on any of these petitions, the reader should contact Matthew Straus at (202) 755-9187.

SUPPLEMENTARY INFORMATION: On May 19, 1980, EPA promulgated the first phase of regulations implementing the hazardous waste management system established by Subtitle C of the Resource Conservation and Recovery Act of 1976, as amended ("RCRA") by publishing 40 CFR Parts 260 and 265 and 122 to 124. Among other things, these regulations set forth informal rulemaking procedures whereby persons may (1) petition the Administrator to modify or revoke any provisions in 40 CFR Parts 260 through 265 (see 40 CFR 260.20); (2) petition the Administrator to add new testing or analytical methods to Parts 261, 264, or 265 if the person demonstrates that the proposed method is equal to or superior to the corresponding method prescribed in Parts 261, 264, or 265 (see 40 CFR 260.21); or (3) petition the Administrator to obtain, on a site-specific basis, an exclusion of his listed waste from regulation as hazardous (see 40 CFR 260.22).

Some commenters have indicated that they are prejudiced because the Agency does not publish any notice of receipt of a RCRA rulemaking petition (although the petitions are immediately available in the docket). EPA agrees that publication in the **Federal Register** noticing receipt of petitions could better serve the legitimate interests of potential commenters and of the Agency. Accordingly, the Agency began publishing in the **Federal Register** on December 7, 1981 a list of all petitions filed with the Agency under either 40 CFR 260.20, 260.21, or 260.22. A second list covering petitions received from November 1, 1981 to January 31, 1982, was then published in the **Federal Register** on March 3, 1982. This notice is the third and updates the March 3, 1982 **Federal Register** notice by providing a list of all petitions received by the Agency subsequent to that publication as of June 30, 1982 and provides a brief summary of the substance of the petitions.

Dated: August 9, 1982.

Rita M. Lavelle,

Assistant Administrator, Solid Waste & Emergency Response.

I. Petitions Filed Under 40 CFR 260.20 and 40 CFR 260.21

[General rulemaking and petitions for equivalent testing or analytical methods]

Log No.	Company	Address	Brief summary of petition
R025	Amoco Oil Co	P.O. Box 710, Whiting, IN 46394	Requests that EPA amend § 261.24 to allow use of inductively coupled plasma spectroscopy (ICAP) for the determination of toxic metals in refinery wastes.
R026	State of Michigan	Governor Milliken, State of Michigan, Office of the Governor, Lansing, MI 48909.	Requests that EPA add 56 compounds to § 261.33(e) and 118 compounds to § 261.33(f).
R027	National Solid Waste Management Association	1120 Connecticut Ave., NW., Suite 930, Washington, DC 20036.	Requests that EPA amend §§ 265.312 and 265.314 and promulgate on a temporary, interim final basis the regulation proposed by EPA on February 25, 1982 (46 FR 8307) concerning the disposal of containerized liquid wastes.

II. Petitions Filed Under 40 CFR 260.22

[Petitions to amend Part 261 to exclude waste produced at a particular facility]

Log No.	Company	Address	Waste listings to be excluded
0289	American Cyanamid Company, Fibers Div	Santa Rosa Plant, Milton, FL 32570	Filter cakes.
0290	Caribbean Refrescos, Inc	P.O. Box CC, Cidra, PR 00639	U202.
0291	Tropicair Manufacturing Co	G.P.O. Box 3588, Hato Rey, PR 00936	F011, F012, U220, U239.
0292	Cadillac Uniform and Linen Supply	P.O. Box 1893, Bayamon, PR 00619	Petitioned to exclude non-listed corrosive waste
0293	Clear Ambient Services, Co	P.O. Box 1675, San Juan, PR 00936	Petitioned to exlude non-listed waste..
0294	Quality Electroplating Corp	P.O. Box 6530, Caguas, PR 00625	F006, F007, F008, F009.
0295	Platt Saco Lowell Corp	Easley, South Carolina	F006.
0296	Union Steel Products	1101 West Park Road, Elizabethtown, KY 42701	F006.
0297	ACR Electronics, Inc	3400 North 29th Ave., Hollywood, FL 33020	F006.
0298	A. Johnson and Co., Inc., Ingersoll Johnson Steel Div.	P.O. Box 370, New Castle, IN 47362	K062.
0299	Root Corp., Rams Head Wire Div	829 Loucks Mill Road, York, PA 17403	Petitioned to exclude non-listed waste.
0300	Chem-Security Systems, Inc	P.O. Box 1866, Bellevue, WA 98009	F006, K002, K006, K052, P098, P106, P121.
0301	General Motors Corp., AC Spark Plug Div	Flint, MI 48556	F006.
0302	American Chrome and Chemicals, Inc	Buddy Lawrence Drive, P.O. Box 9912, Corpus Christi, TX 78408.	K006.
0303	Robertson, Inc	14 North Lowry Avenue, Springfield, OH 45501	K062.
0304	Western Industries, Inc., Northern Metal Specialty Div.	805 Seminole Ave., Osceola, WI 54020	F006.
0305	Universal Oil Products Co., Wolverine Div	P.O. Box 2202, Decatur, AL 35602	F006.
0306	Hercules, Inc	P.O. Box 271, Hopewell, VA 23860	F002, F003, F005, K018.
0307	Gould, Inc., Foil Div	5045 N. St., Route 60, NW., McConnelsville, OH 43756.	F006.
0308	Esso Standard Oil Co. (Puerto Rico)	G.P.O. Box 4269, San Juan, PR 00936	K052.

II. Petitions Filed Under 40 CFR 260.22—Continued

[Petitions to amend Part 261 to exclude waste produced at a particular facility]

Log No.	Company	Address	Waste listings to be excluded
0309	Hanover Wire Cloth Div	East Middle Street, Hanover, PA 17331	F019.
0310	Galvan Industries, Inc	P.O. Box 295, Harrisburg, NC 28075	K062.
0311	Gulf Oil Co.—U.S., Cincinnati Refinery	P.O. Box 7, Cleves, OH 45002	K051.
0312	E.I. duPont de Nemours and Company, Inc	Beaumont Works, P.O. Box 3269, Beaumont, TX 77704.	K104.
0313	General Motors Corp., Chevrolet Motors Div	Flint Engine Plant, G 3248 Van Slyke Rd., Flint, MI 48552.	F006.
0314	Ohio Steel Tube Co., Copperweld Tubing Group	Shelby, OH 44875	K062, D002.
0315	Digital Equipment Corp. de, Puerto Rico	P.O. Box 106, Road 362, EL Convento, San German, PR 00753.	F006.
0316	General Electric Co., Lighting Systems Department	P.O. Box 2710, Spartansburg Highway, Hendersonville, NC 28793.	F006.
0317	Lindau Chemicals, Inc	P.O. Box 641, Columbia, SC 29202	F003.
0318	Sperry Corp., Sperry Univac Division	Univac Road, Bristol, TN 37620	F006.
0319	Kennametal, Inc	P.O. Box 510, Johnson, TN 37605	F006, F007, F008, F009, D002
0320	International Minerals and Chemical Corp	P.O. Box 149, Orrington, ME 04774	K071
0321	International Minerals and Chemical Corp	P.O. Box 149, Orrington, ME 04774	K106
0322	J.T. Baker Chemical Co	222 Red School Lane, Phillipsburg, NJ 08865	Petitioned to exclude non-listed waste.
0323	Environmental Dynamics, Liquid Dynamics Div	655 E. 114th Street, Chicago, IL 60628	K062.
0324	National Standards Co., Woven Products Div	Highway 25E, Dept. C-M, Corbin, KY 40701	K062.
0325	General Motors Corp., Harrison Radiator Div	Moraine Plant, P.O. Box 824, Dayton, OH 45401	F006
0326	CRA, Inc., Phillipsburg Refinery	Rural Route #2, Box 608, Phillipsburg, KS 67661	K051.
0327	Atlantic Richfield Co., Anaconda Aluminum Div	Sugarcreek Plant, P.O. Box 592, Sugarcreek, OH 44681.	F019.
0328	Atlantic Richfield Co., Anaconda Aluminum Div	Opa Locka Paint Plant, P.O. Box 877, Miami, FL 33148.	F019.
0329	Mobay Chemical Corp	New Martinsville Plant, Route 2, New Martinsville, WV 26155.	K027.
0330	Nichols-Homeshield, Inc	1970 North Farnsworth Ave., P.O. Box 1617, Aurora, IL 60507.	F019.
0331	Columbia Manufacturing Co	1 Cycle Street, Westfield, MA 01085	F006.
0332	Thomas Steel Strip Corp	Delaware Ave., NW., Warren, OH 44485	F006.
0333	Olin Corp	P.O. Box 1234, Augusta, GA 30913	K071.
0334	General Motors Corp., Fisher Body Div	Flint Coldwater Road Plant, Coldwater Road, Flint, MI 48559.	F006.
0335	CRA, Inc., Coffeyville Refinery	P.O. Box 570, Coffeyville, KS 67337	K051.
0336	General Motors Corp., Fisher Body Div	Cleveland Coit Road Plant, E. 140th and Coit Road, Cleveland, OH 44110.	F006.
0337	General Motors Corp., Fisher Body Div	Trenton Plant-Parkway Ave., P.O. Box 910, Trenton, NJ 08605.	F006.
0338	Westinghouse	3050 Westinghouse Road, Winston-Salem, NC 27105.	K063.
0339	Olin Corp	2400 Buffalo Ave., P.O. Box 748, Niagara Falls, NY 14302.	K071.
0340	Stauffer Chemical Co., Chlor-Alkali Production Div	P.O. Box 23, St. Gabriel, LA 70776	K071.
0341	Gulf & Western Manufacturing, Taylor Forge Div	Plant 2, P.O. Box R, Ackerman, MS 39735	Petitioned to exclude non-listed waste.
0342	ARCO Petroleum Products Co., Houston Refinery	12000 Lawndale, Box 2451, Houston, TX 77001	Landfarm residue.
0343	Iowa Industries, Inc	Kirkwood Ave., P.O. Box 768, Burlington, IA 52601	F006.
0344	Remington Arms Co	Lake City Army Ammunition Plant, Independence, MO 64052.	K046.
0345	Combustion Engineering, Inc	4224 Shackleford Road, Norcross, GA 30093	K062.
0346	Woodward Govenor Co	1000 East Drake Road, P.O. Box 1519, Fort Collins, CO 80522.	F006.
0347	General Electric Corp	Appliance Park, Louisville, KY 40225	F006, F019, K062.
0348	Bethlehem Steel Corp	Burns Harbor Plant, P.O. Box 248, Chesterton, IN 46304.	K062.
0349	Hess Oil Virgin Islands Corp	Kingshill, P.O. Box 127 St. Croix, VI 00850	K048, K049, K050, K051.
0350	General Motors Corp., Electro-Motive Div	9301 W. 55th St., McCook, IL 60525	F006.
0351	Plateau, Inc., Bloomfield Refinery	P.O. Box 159, Sullivan Road, Bloomfield, NM 87413.	K049, K050, K051.
0352	BF Goodrich Co., Chemical Group	P.O. Box 32950, Bells Lane, Louisville, KY 40232	U028.
0353	Dow Chemical Co., Consumer Products Div	P.O. Box 68511, 5859 W 96th St. Indianapolis, IN 46268.	Petitioned EPA to exclude incinerator ash from laboratory wastes and spent solvents.
0354	General Motors Corp., GM Assembly Div	Willow Run Plant, 2625 Tyler Road, Ypsilanti, MI 48197.	F006.
0355	Exxon Company, U.S.A	P.O. Box 1163, Billings, MT 59103	K051.
0356	National Rejectors Industries	P.O. Box 1550, Hot Springs, AR 71901	F006.
0357	Whirlpool Corp., St. Joseph Div	Upton Drive, St. Joseph, MI 49085	F006.
0358	Western Electric Co., Inc	Omaha Works, P.O. Box 37000, Omaha, NE 68137	F006.
0359	Placid Refining Co	1940 La. Highway, 1 North, Port Allen, LA 70767	K051.

[FR Doc. 82-22594 Filed 8-18-82; 8:45 am]

BILLING CODE 6560-50-M

GENERAL SERVICES ADMINISTRATION

41 CFR Parts 1-2, 1-3, and 1-16

[FPR Amendment 223]

Prompt Payment Discounts

AGENCY: General Services Administration.

ACTION: Final rule.

SUMMARY: This amendment discontinues the consideration of prompt payment discounts in the evaluation of offers. The bases for the amendment are the problems which have been encountered which indicate that the best interests of the Government would be served by the change. However, discounts offered either as a part of the bid or on individual invoices will be taken by the Government if earned and economically advantageous. The intended effect is to simplify the contracting process, and to reduce contract costs.

EFFECTIVE DATE: September 20, 1982, but may be observed earlier.

FOR FURTHER INFORMATION CONTACT: Mr. Philip G. Read, Director, Office of Federal Procurement Regulations, Office of Acquisition Policy, (202) 523-4755.

SUPPLEMENTARY INFORMATION: The practice of considering prompt payment discounts in the evaluation of offers has been employed for many years for the purpose of reducing the cost of Government procurement. In more recent times, the practice has generated problems and there are reasons to believe that costs are not being reduced. Continued consideration of prompt payment discounts in the evaluation of offers would require the adoption of procedures which it would be desirable to avoid.

For example, it would be necessary to apply time-value-of-money principles in the evaluation of offers by adding to discounted prices a factor representing the cost to the Government of earning the discount. It also would be necessary to assume the burden of informing agencies, quarterly or oftener, of the appropriate cost factor (based on prevailing interest rates) to be applied in the evaluation of offers.

Offerors frequently offer inflated prices which are offset by excessive discounts. The objective is a windfall profit if the Government fails to take the discount. To provide needed protection, it is necessary for the Government to limit the amount of the discount which may be applied in the evaluation process. This unduly encumbers the contracting process and tends to defeat the reason for considering prompt payment discounts.

List of Subjects

41 CFR Part 1-2

Government procurement, Procurement by formal advertising.

41 CFR Part 1-3

Accounting, Government contracts, Government procurement, Procurement by negotiation, Wage and price controls.

41 CFR Part 1-16

Government procurement, Procurement forms.

PART 1-2—PROCUREMENT BY FORMAL ADVERTISING

1. The table of contents for Part 1-2 is amended by revising the title of § 1-2.407-3 as follows:

* * * * *

1-2.407-3 Discounts for early payment.

* * * * *

2. Section 1-2.407-3 is revised as follows:

§ 1-2.407-3 Discounts for early payment.

(a) Discounts for early payment (commonly referred to as "prompt payment discounts") shall not be considered in the evaluation of offers. However, discounts offered as compensation for early payment may be included as a part of the original offer, or, after award of a contract, may be offered by the contractor on individual invoices submitted under the contract.

(b) Discounts included with an offer shall be made a part of the award, and will be binding on the contractor with respect to all invoices submitted under the contract.

(c) Discounts offered only on invoices (i.e., not submitted with the original offer) are binding on the contractor only with respect to the particular invoice on which the discount is offered.

(d) Any discount offered will be taken by the payment center if payment is made within the discount period specified by the offeror/contractor.

(e) Payments, for the purpose of earning a discount, will be deemed to have been made on the date which appears on the payment check.

(e) A provision shall be included in solicitations which may involve the offer of a discount, as follows:

Discounts for Early Payment

(a) Discounts for early payment will not be considered in the evaluation of offers.

(b) Discounts for early payment may be offered either in the original offer or on individual invoices submitted under the resulting contract, and discounts offered will be taken by the Government if payment is made within the discount period specified.

(c) Discounts that are included in offers become a part of the resulting contracts and are binding on the Contractor for all orders placed under the contract. Discounts offered only on individual invoices will be binding on the Contractor only for the particular invoice on which the discount is offered.

(d) *Time will be computed, for discount computation purposes, from the

(1) date of delivery of the supplies to carrier when delivery and acceptance are at the point of origin,

(2) date of delivery at destination or port of embarkation, when delivery and acceptance are at either of those points, or

(3) date a proper invoice or voucher is received in the office specified by the Government, if the latter date is later than the date of delivery.

(e) Payment will be deemed to have been made on the date which appears on payment checks.

(End of Provisions)

*Modify paragraph (d), as appropriate, for other than supply contracts.

PART 1-3—PROCUREMENT BY NEGOTIATION

3. The table of contents for Part 1-3 is amended by adding the following new entry under Subpart 1-3.1:

* * * * *

1-3.106 Discounts for early payment.

* * * * *

4. Section 1-3.106 is added as follows:

§ 1-3.106 Discounts for early payment.

The provisions of § 1-2.407-3 are applicable with respect to the evaluation of competitive offers.

PART 1-16—PROCUREMENT FORMS

5. Section 1-16.101(b) is revised as follows:

§ 1-16.101 Contract forms.

* * * * *

(b) Solicitation Instructions and Conditions (Standard Form 33-A, January 1978 edition). Pending the publication of a new edition of the form, the Discounts for Early Payment provision prescribed in § 1-2.407-3(d) shall be substituted for paragraph 9, Discounts provision, of the form.

* * * * *

(Sec. 205(c), 63 Stat. 390; 40 U.S.C. 486(c))

Dated: August 7, 1982.

Ray Kline,

Acting Administrator of General Services.

[FR Doc. 82-22804 Filed 8-18-82; 8:45 am]

BILLING CODE 6820-61-M

FEDERAL EMERGENCY MANAGEMENT AGENCY

44 CFR Part 64

[Docket No. FEMA 0389]

List of Communities Eligible for the Sale of Insurance Under the National Flood Insurance Program

AGENCY: Federal Emergency Management Agency.

ACTION: Final rule.

SUMMARY: This rule lists communities participating in the National Flood Insurance Program (NFIP). These communities have applied to the program and have agreed to enact certain flood plain management measures. The communities' participation in the program authorizes the sale of flood insurance to owners of property located in the communities listed.

EFFECTIVE DATES: The date listed in the fourth column of the table.

ADDRESSES: Flood insurance policies for property located in the communities listed can be obtained from any licensed property insurance agent or broker serving the eligible community, or from the National Flood Insurance Program (NFIP) at: P.O. Box 3429, Bethesda, Maryland 20034, Phone: (800) 638–6620.

FOR FURTHER INFORMATION CONTACT:

Mr. Richard E. Sanderson, Chief, Natural Hazards Division, (200) 287–0270, 500 C Street Southwest, Donohoe Building, Room 505, Washington, DC 20472.

SUPPLEMENTARY INFORMATION: The National Flood Insurance Program (NFIP), enables property owners to purchase flood insurance at rates made reasonable through a Federal subsidy. In return, communities agree to adopt and administer local flood plain management measures aimed at protecting lives and new construction from future flooding. Since the communities on the attached list have recently entered the NFIP, subsidized flood insurance is now available for property in the community.

In addition, the Director of the Federal Energy Management Agency has identified the special flood hazard areas in some of these communities by publishing a Flood Hazard Boundary Map. The date of the flood map, if one has been published, is indicated in the fifth column of the table. In the communities listed where a flood map has been published, Section 102 of the Flood Disaster Protection Act of 1973, as amended, requires the purchase of flood insurance as a condition of Federal or federally related financial assistance for acquisition or construction of buildings in the special flood hazard area shown on the map.

The Director finds that delayed effective dates would be contrary to the public interest. The Director also finds that notice and public procedure under 5 U.S.C. 553 (b) are impracticable and unnecessary.

The Catalog Domestic Assistance Number for this program is 83.100 "Flood Insurance." This program is subject to procedures set out in OMB Circular A–95.

Pursuant to the provisions of 5 USC 605(b), the Associate Director, State and Local Programs and Support, to whom authority has been delegated by the Director, Federal Emergency Management Agency, hereby certifies that this rule, if promulgated will not have a significant economic impact on a substantial number of small entities. This rule provides routine legal notice stating the community's status in the NFIP and imposes no new requirements or regulations on participating communities.

List of Subjects in 44 CFR Part 64.

Flood insurance, Flood plains.

Section 64.6 is amended by adding in alphabetical sequence new entries to the table.

In each entry, a complete chronology of effective dates appear for each listed community. The entry reads as follows:

§ 64.6 List of eligible communities.

State and county	Location	Community No.	Effective dates of authorization/cancellation of sale of flood insurance in community	Special flood hazard area identified
California:				
Humboldt	Unincorporated areas	060060B	July 19, 1982, suspension withdrawn	Sept. 13, 1977.
Mendocino	Ukiah, city of	060186D	do	Jan. 3, 1978, June 6, 1978, Aug. 9, 1974, Sept. 17, 1976.
Idaho: Bonneville	Ammon, city of	160028B	do	June 30, 1976.
Illinois: Kendall	Unincorporated areas	170341C	do	Feb. 21, 1975, Jan. 13, 1978, Aug. 17, 1979.
Indiana: Bartholomew	Columbus, city of	180007B	do	Dec. 7, 1973, July 23, 1976.
Massachusetts:				
Bristol	Acushnet, town of	250048B	do	Sept. 6, 1974, Oct. 15, 1976.
Middlesex	Ayer, town of	250180B	do	Mar. 22, 1974, Sept. 3, 1976.
Worcester	Charlton, town of	250299B	do	July 26, 1974, Nov. 19, 1976.
Berkshire	Cheshire, town of	250019B	do	Sept. 13, 1974, Jan. 14, 1977.
Berkshire	Great Barrington, town of	250024B	do	Oct. 18, 1974, Nov. 12, 1976.
Worcester	Hopedale, town of	250310B	do	July 26, 1974, Oct. 15, 1976.
Do	Mendon, town of	250316B	do	Sept. 6, 1974, Nov. 19, 1976.
Do	Millville, town of	250319B	do	June 28, 1974, Oct. 15, 1976.
Michigan:				
Lenawee	Adrian, city of	260115B	do	May 31, 1974, Aug. 22, 1975.
Charlevoix	Boyne City, city of	260056B	do	Mar. 29, 1974, June 11, 1976.
Monroe	Dundee, village of	260313	do	Feb. 1, 1974, June 11, 1976.
Charlevoix	East Jordan, city of	260372A	do	July 11, 1975.
Minnesota:				
Winona	Minnesota City, city of	270529B	do	Aug. 2, 1974, Oct. 24, 1975.
Do	Rollingstone, city of	270530C	do	Oct. 31, 1975, Sept. 15, 1978, Aug. 2, 1974.
New Mexico: Chaves	Roswell, city of	350006B	do	June 14, 1974, Dec. 10, 1976.
North Carolina: Wilson	Wilson, city of	370270B	do	Nov. 29, 1974, Dec. 10, 1976.
North Dakota:				
Barnes	Kathryn, city of	380001A	do	Nov. 22, 1974.
Traill	Portland, city of	380134B	do	May 10, 1974, Dec. 19, 1975.
South Carolina:				
Pickens	Easley, city of	450167C	do	June 28, 1974, Apr. 30, 1976, Mar. 24, 1978.
Fairfield	Unincorporated areas	450075B	do	Nov. 25, 1977.
Tennessee: Sullivan	Bristol, city of	470182B	do	Mar. 8, 1974, July 8, 1977.
Washington:				
Benton	Unincorporated areas	530237B	do	Apr. 11, 1974, Aug. 9, 1977.
Jefferson	Unincorporated areas	530069B	do	June 21, 1977.
Skagit	Lyman, town of	530157B	do	Nov. 15, 1974, Dec. 19, 1975.
Wisconsin: Waukesha	Elm Grove, village of	550578B	do	Dec. 23, 1977.
Texas: Brazoria	Hillcrest Village, city of	475478C	do	Mar. 18, 1972, July 1, 1974.
Michigan: Bay	Monitor, charter township of	260358A	July 21, 1982, emergency	July 25, 1975, Aug. 12, 1977.

State and county	Location	Community No.	Effective dates of authorization/cancellation of sale of flood insurance in community	Special flood hazard area identified
Ohio: Fulton	Metamora, village of	390840A	do	Sept. 29, 1978.
Oklahoma: Bryan	Unincorporated areas	400482A	do	Dec. 6, 1977.
Pennsylvania:				
Clinton	Gallagher, township of	421537A	do	Feb. 21, 1975, June 13, 1980.
Huntingdon	Union, township of	421704A	do	Dec. 6, 1974, Aug. 17, 1979.
Oregon: Linn	Millersburg, city of	410284B	July 21, 1982, emergency, July 21, 1982, regular.	Jan. 24, 1978, June 15, 1982.
Connecticut: New London	Salem, town of	090156A	July 16, 1982, regular	Feb. 21, 1975, Feb. 3, 1982.
Indiana:				
Jasper	Unincorporated areas	180439A	July 21, 1982, emergency	May 12, 1978.
Huntington	Andrews, town of	180097B	July 28, 1982, emergency	June 7, 1974, Mar. 11, 1977.
Do	Roanoke, town of	180096A	do	Dec. 28, 1973, July 23, 1976.
Michigan: Jackson	Norvell, township of	260424	do	Nov. 5, 1976.
Nebraska: Boone	Unincorporated areas	310008	do	Do.
South Carolina: Pickens	do	450166B, 540064B	Apr. 2, 1974, emergency, July 19, 1982, regular, July 19, 1982, suspended, Aug. 2, 1982, reinstated.	Feb. 14, 1975, Dec. 23, 1977.
West Virginia: Jackson	Ripley, city of	540064B	Feb. 11, 1974, emergency, Sept. 1, 1977, regular, Feb. 3, 1982, suspended, Aug. 2, 1982, reinstated.	May 17, 1974, May 28, 1976, Sept. 1, 1977.
Wisconsin: Fond du Lac	Unincorporated areas	550131A	Apr. 12, 1974, emergency, July 19, 1982, regular, July 19, 1982, suspended, Aug. 2, 1982, reinstated..	Dec. 13, 1974.
Georgia: Pierce	Blackshear, city of	130491A	Aug. 9, 1982, emergency	Feb. 1, 1980.
North Dakota:				
Richland	Dwight, township of	380657-New	do	Do.
Do	Lamars, township of	380658-New	do	Do.
Pennsylvania:				
Huntingdon	Morris, township of	421696A	do	Nov. 22, 1974, June 8, 1979.
Do	Dudley, borough of	421681	do	Do.
Bedford	Woodbury, township of	421355B	do	Jan. 31, 1975, May 21, 1976, Dec. 5, 1980.
Kentucky: Greenup	Greenup, city of	210088B	Dec. 15, 1975, emergency, July 5, 1982, regular, July 5, 1982, suspended, Aug. 5, 1982, reinstated..	Jan. 23, 1974, June 4, 1976.
Arizona: Pinal	Superior, town of	040119B	Aug. 11, 1982, emergency, Aug. 11, 1982, regular.	July 31, 1979, Nov. 4, 1981.
California:				
Santa Clara	San Jose, city of	060349D	Aug. 2, 1982, suspension withdrawn	Jan. 24, 1975, Apr. 9, 1976, Apr. 4, 1978, Nov. 20, 1979.
Do	Unincorporated areas	060337D	do	Oct. 30, 1979, Sept. 9, 1980, June 20, 1978.
Solano	Unincorporated areas	060631B	do	Feb. 14, 1978.
Georgia: Coweta	Unincorporated areas	130298A	do	Apr. 30, 1976.
Illinois:				
Cook	Mt. Prospect, village of	170129B	do	Nov. 16, 1973, June 11, 1976.
Rock Island	Unincorporated areas	170582B	do	Apr. 14, 1978.
Massachusetts:				
Suffolk	Chelsea, city of	250287B	do	June 7, 1974, Dec. 27, 1974.
Essex	Lawrence, city of	250087B	do	Feb. 8, 1974, Aug. 13, 1976.
Middlesex	Townsend, town of	250219B	do	Sept. 20, 1974, Aug. 13, 1976.
Michigan:				
Kalamazoo	Charleston, township of	260426A	do	Apr. 15, 1982.
Monroe and Washtenaw	Milan, city of	260151B	do	Jan. 23, 1974, June 18, 1976.
Clinton	Ovid, village of	260318B	do	Apr. 5, 1974, June 18, 1976.
Washtenaw	Pittsfield, charter township of	260623A	do	June 17, 1977.
Monroe	Raisinville, township of	260155B	do	Feb. 15, 1974, July 30, 1976.
Minnesota: Winona	Stockton, city of	270532C	do	Aug. 23, 1974, Oct. 24, 1975.
Mississippi: Forest and Lamar	Hattiesburg, city of	280053B	do	Apr. 30, 1970, Nov. 12, 1976.
Missouri:				
Howard and Chariton	Glasgow, city of	290164C	do	Apr. 12, 1974, Nov. 7, 1975, Mar. 18, 1977.
Boone and Howard	Rocheport, city of	290038B	do	Oct. 25, 1974, Jan. 2, 1976.
New Jersey:				
Atlantic	Egg Harbor, city of	340006B	do	July 26, 1974, June 25, 1976
Salem	Elsinboro, township of	340415B	do	July 19, 1974, Sept. 26, 1975.
Do	Salem, city of	340423B	do	Sept. 20, 1974, Apr. 9, 1976.
New York:				
Orange	Cornwall-on-the-Hudson, village of	360610B	do	Mar. 8, 1974, Dec. 12, 1975.
Monroe	Gates, town of	360416A	do	Nov. 5, 1976.
Rockland	Orangetown, town of	360686C	do	May 10, 1974, Nov. 28, 1975, Oct. 5, 1979.
Oswego	Schroeppel, town of	360662B	do	May 10, 1974, Aug. 13, 1976.
Ohio:				
Greene	Beavercreek, city of	390876B	do	Sept. 4, 1981.
Wood	Cygnet, village of	390584B	do	May 10, 1974, May 21, 1976.
Knox	Mt. Vernon, city of	390311B	do	May 3, 1974, May 28, 1976.
Wood	Pemberville, village of	390624B	do	Oct. 18, 1974, June 4, 1976.
Pennsylvania:				
Snyder	Franklin, township of	422035A	do	Nov. 15, 1974.
Northumberland	Lower Mahanoy, township of	421941B	do	Sept. 20, 1974, July 16, 1976.
Snyder	Middleburg, borough of	420807B	do	Feb. 20, 1973, Nov. 12, 1976.
Lycoming	Plunketts Creek, township of	420655B	do	May 3, 1974, Mar. 4, 1977.
Berks	Wernersville, borough of	421374A	do	Dec. 6, 1974.
Rhode Island: Providence	Lincoln, town of	445400B	do	July 1, 1974, Oct. 10, 1975.
Washington:				
Skagit	Concrete, town of	530154B	do	May 17, 1974, Feb. 20, 1976.
Whatcom	Everson, city of	530200C	do	May 24, 1974, Jan. 9, 1976, Feb. 17, 1981.
Wisconsin:				
Milwaukee	Greendale, village of	550276B	do	Dec. 28, 1973, Nov.. 14, 1975.
Washington	West Bend, city of	550475B	do	Dec. 28, 1973, Apr. 30, 1976.
Michigan: Kalamazoo	Ross, township of	260624A	do	Mar. 15, 1982.

(National Flood Insurance Act of 1968 (Title XIII of the Housing and Urban Development Act of 1968); effective Jan. 28, 1969 (33 FR 17804, Nov. 28, 1968), as amended, 42 U.S.C. 4001–4128; Executive Order 12127, 44 FR 19367; and delegation of authority to the Associate Director, State and Local Programs and Support)

Issued: August 11, 1982.

Lee M. Thomas,

Associate Director, State and Local Programs and Support.

[FR Doc. 82-22466 Filed 8-18-82; 8:45 am]

BILLING CODE 6718-03-M

44 CFR Part 65

Identification and Mapping of Special Flood Hazard Areas; Changes in Special Flood Hazard Areas Under the National Flood Insurance Program

AGENCY: Federal Emergency Management Agency.

ACTION: Final rule.

SUMMARY: The Associate Director, State and Local Programs and Support, after consultation with the Chief Executive Officer of each community listed, finds that modification of the proposed Special Flood Hazard Areas (SFHAs) for those communities is appropriate as a result of requests for changes in the interim and/or Proposed Rule.

DATES: These modified SFHAs are in effect as of the dates listed in the sixth column of the attached list and amend the Flood Insurance Rate Map(s) (FIRM) in effect for each listed community prior to this date.

ADDRESSES: The modified SFHA determinations for each community are available for inspection at the office of the Chief Executive Officer of the community, listed in the fourth column of the table.

FOR FURTHER INFORMATION CONTACT: Mr. Robert G. Chappell, P.E., Chief, Engineering Branch, Office of State and Local Programs and Support, Federal Emergency Management Agency, Washington, D.C. 20472, (202) 287-0230.

SUPPLEMENTARY INFORMATION: The Associate Director, State and Local Programs and Support has published a notification of the SFHAs in prominent local newspapers for the communities listed below. Ninety (90) days have elapsed since that publication, and the Associate Director has received appeals from the communities requesting changes in the proposed SFHA determinations.

The numerous changes made in the SFHAs on the Flood Insurance Rate Map for each community make it administratively infeasible to publish in this notice all of the SFHA changes contained on the maps. However, this notice includes the address of the Chief Executive Officer where the modified SFHA determinations are available for inspection.

The modifications are pursuant to Section 206 of the Flood Disaster Protection Act of 1973 (Pub. L. 93-234) and are in accordance with the National Flood Insurance Act of 1968, as amended (Title XIII of the Housing and Urban Development Act of 1968, (Pub. L. 90-448), 42 U.S.C. 4001-4128, and 44 CFR Part 65.

For rating purposes, the revised community number is listed and must be used for all new policies and renewals.

These SFHAs are basis for the flood plain management measures that the community is required to either adopt or show evidence of being already in effect in order to qualify or remain qualified for participation in the National Flood Insurance Program (NFIP).

These SFHAs together with the flood plain management measures required by § 60.3 of the program regulations are the minimum that are required. They should not be construed to mean the community must change any existing ordinances that are more stringent in their flood plain management requirements. The community may at any time enact stricter requirements of its own, or pursuant to policies established by other Federal, State, or regional entities.

These modified SFHAs shall be used to calculate the appropriate flood insurance premium rates for new buildings and their contents.

The changes in the SFHAs listed below are in acccordance with 44 CFR 65.4.

State and county	Location	Date and name of newspaper where notice was published	Chief executive officer of community	Effective date of modified flood insurance rate map	New community No.
Arkansas:					
Benton	City of Bentonville (Docket No. FEMA 6257).	*Daily Democrat, Jan. 18, 1982, Jan. 19, 1982.*	Hon. Richard Hoback, Mayor, City of Bentonville, 115 West Central Ave., Bentonville, AR 72712.	Jan. 19, 1982	050012C.
Pulaski	City of Sherwood (Docket No. FEMA 6257).	*Arkansas Gazette, Jan. 18, 1982, Jan. 19, 1982.*	Hon. Bill Henson, Mayor, City of Sherwood, 201 Country Club Road, Sherwood, AR 72116.	Jan. 19, 1982	050235D.
California:					
Orange	City of Brea (Docket No. FEMA 6257)	*Daily Star Progress, Jan. 18, 1982, Jan. 19, 1982.*	Hon. Melvin LeBaron, Mayor, City of Brea, 401 South Brea Boulevard, Brea, CA 92621.	Jan. 19, 1982	060214C.
San Joaquin	City of Lodi (Docket No. FEMA 6257)	*Sentinel, Jan. 18, 1982, Jan. 19, 1982.*	Hon. James McCarty, Mayor, City of Lodi, 221 West Pine St., Lodi, CA 95254.	Jan. 19, 1982	060300D.
Santa Barbara	City of Carpinteria (Docket No. FEMA 6257).	*Carpinteria Herald, Jan. 15, 1982, Jan. 19, 1982.*	Hon. John K. Fukasawa, Mayor, City of Carpinteria, 5775 Carpinteria Ave., Carpinteria, CA 93013.	Jan. 19, 1982	060332D.
Colorado:					
Adams	City of Commerce City (Docket No. FEMA 6257).	*Commerce City Sentinel, Jan. 14, 1982, Jan. 21, 1982.*	Hon. Harold Kite, Mayor, City of Commerce City, P.O. Box 40, Commerce City, CO 80037.	Jan. 19, 1982	080006D.
Do	City of Thornton (Docket No. FEMA 6257).	*Northglenn-Thornton Sentinel Jan. 14, 1982, Jan. 21, 1982.*	Hon. Margaret Carpenter, Mayor, City of Thornton, 8992 North Washington St., Thornton, CO 80229.	Jan. 19, 1982	080007C.
Boulder	City of Louisville (Docket No. FEMA 6257).	*The Louisville Times Dec. 30, 1981, Jan. 6, 1982.*	Hon. Norbert Meier, Mayor, City of Louisville, 749 Main St., Louisville, CO 80027.	Jan. 5, 1982	085076E.
Delaware: Kent	Town of Smyrna (Docket No. FEMA 6257).	*Smyrna Times, Jan. 7, 1982, Jan. 14, 1982.*	Hon. George E. Wright, Town of Smyrna, P.O. Box 307, Smyrna, DE 19977.	Jan. 5, 1982	100017E.

State and county	Location	Date and name of newspaper where notice was published	Chief executive officer of community	Effective date of modified flood insurance rate map	New community No.
Florida: Bay	City of Panama City (Docket No. FEMA 6257).	*Panama City News Herald, Jan. 15, 1982, Jan. 22, 1982.*	The Honorable Jerry Clemons, Mayor, City of Panama City, P.O. Box 1880, Panama City, FL 32401.	Jan. 22, 1982	120012C.
Broward	Town of Pembroke Park (Docket No. FEMA 6257).	*The Hollywood Sun Tower, Jan. 15, 1982, Jan. 22, 1982.*	The Honorable Gerald J. Yourman, Mayor, Town of Pembroke Park, 3150 S.W. 52nd Avenue, Pembroke Park, FL 33023.	Jan. 22, 1982	120052C.
Seminole	City of Winter Springs (Docket No. FEMA 6257).	*The Sentinel Star, Jan. 5, 1982, Jan. 12, 1982.*	The Honorable Troy J. Piland, Mayor, City of Winter Springs, 400 North Edgemon Avenue, Winter Springs, Florida 32708.	Jan. 15, 1982	120295C.
Georgia: Troup	City of LaGrange (Docket No. FEMA 6257).	*The LaGrange Daily News, Jan. 8, 1982, Jan. 15, 1982.*	The Honorable J. Gardner Newman, Mayor, City of LaGrange, P.O. Box 430, LaGrange, GA 30241.	Jan. 15, 1982	130177B.
Idaho: Power	City of American Falls (Docket No. FEMA 6257).	*Power County Press, Jan. 13, 1982, Jan. 14, 1982.*	Hon. Kenneth Morgan, Mayor, City of American Falls, 239 Idaho Street, American Falls, ID 83211.	Jan. 19, 1982	160109C.
Illinois: DuPage	Village of Glen Ellyn (Docket No. FEMA 6257).	*Glen Ellyn News, Jan. 13, 1982, Jan. 20, 1982.*	Michael Formento, President, Village Board, Village of Glen Ellyn, Village Hall, 535 Duane St., Glen Ellyn, IL 60137.	Jan. 22, 1982	170207C.
Do	Village of Glendale Heights (Docket No. FEMA 6257).	*Daily Journal, Dec. 24, 1981, Dec. 31, 1981.*	John J. Grotto, Village Administrator, Village of Glendale Heights, 1161 Bloomingdale Road, Glendale Heights, IL 60137.	Jan. 1, 1982	170206C.
Indiana: Floyd	City of New Albany (Docket No. FEMA 6257).	*New Albany Tribune, Jan. 22, 1982, Jan. 29, 1982.*	Hon. Robert L. Real, Mayor, City of New Albany, Room 316, City County Building, New Albany, Indiana 47150.	Jan. 29, 1982	180062C.
Iowa: Johnson	City of Iowa City (Docket No. FEMA 6257).	*Iowa City Press-Citizen, Jan. 18, 1982, Jan. 19, 1982.*	Hon. John R. Balmer, Mayor, City of Iowa city, Civic Center, 410 East Washington, Iowa City, IA 52240.	Jan. 19, 1982	190171B.
Kansas: Reno	City of Hutchinson (Docket No. FEMA 6257).	*The Hutchinson News, Jan. 18, 1982, Jan. 19, 1982.*	Hon. John L. Corey, Mayor, City of Hutchinson, P.O. Box 1567, Hutchinson, KS 67501.	Jan. 19, 1982	200283C.
Kentucky: Kenton	City of Covington (Docket No. FEMA 6257).	*The Kentucky Post, Jan. 15, 1982, Jan. 22, 1982.*	The Honorable B. J. Moorman, Mayor, City of Covington, City and County Municipal Bldg., 9th Floor, 303 Court Street, Covington, KY 41011.	Jan. 22, 1982	210129C.
Louisiana: West Baton Rouge Parish.	City of Port Allen (Docket No. FEMA 6257).	*Port Allen West Side Journal, Jan. 7, 1982, Jan. 14, 1982.*	Hon. William C. LeBlanc, Mayor, City of Port Allen, P.O. Box 468, Port Allen, LA 70767.	Dec. 16, 1981 (66-B).	220242B.
Maryland: Allegany	Town of Luke (Docket No. FEMA 6257).	*The Cumberland Times News, Jan. 22, 1982, Jan. 29, 1982.*	Hon. Overton B. Walker, Mayor, Town of Luke, Grant Street, P.O. Box 9, Luke, Maryland 21540.	Jan. 29, 1982	240114C.
Michigan: Iosco	Township of Oscoda (Docket No. FEMA 6257).	*Oscoda Press, Dec. 23, 1981, Dec. 30, 1981.*	Robert K. Foster, Township Supervisor, Township of Oscoda, 110 South State Street, Oscoda, Michigan 48750.	Jan. 1, 1982	260101C.
St. Clair	Township of Clay (Docket No. FEMA 6257).	*Courier Journal, Jan. 13, 1982, Jan. 20, 1982.*	Ms. Jacquelyn Downing, Township Supervisor, Township of Clay, 4710 Pointe Tremble Road, Algonac, MI 48001.	Jan. 22, 1982	260194B.
Mississippi: Sunflower	Town of Inverness (Docket No. FEMA 6257).	*The Enterprise Tocsin, Jan. 7, 1982, Jan. 14, 1982.*	The Honorable J. W. Lang, Sr., Mayor, Town of Inverness, P.O. Box 166, Inverness, MS 38753.	Jan. 15, 1982	280165C.
New Mexico: Dona Ana	City of Las Cruces (Docket No. FEMA 6257).	*Las Cruces Sun-News, Jan. 11, 1982, Jan. 12, 1982.*	Hon. J. A. Camunez, Mayor, City of Las Cruces, P.O. Drawer CLC, Las Cruces, NM 88001.	Jan. 12, 1982	355332C.
North Carolina: Craven	City of New Bern (Docket No. FEMA 6257).	*The Sun Journal, Jan. 15, 1982, Jan. 22, 1982.*	The Honorable Leander R. Morgan, Mayor, City of New Bern, City Hall, Box 1129, New Bern, North Carolina 28560.	Jan. 22, 1982	370074D.
Durham	City of Durham (Docket No. FEMA 6257).	*Durham Morning Herald, Jan. 8, 1982, Jan. 15, 1982.*	Mr. Barry Del Castilho, City Manager, 101 City Hall Plaza, Durham, NC 27701.	Jan. 15, 1982	370086E.
Gaston	City of Gastonia (Docket No. FEMA 6257).	*The Gastonia Gazette, Jan. 8, 1982, Jan. 15, 1982.*	The Honorable Thebaud Jeffers, Mayor, City of Gastonia, Box 1748, Gastonia, NC 28052.	Jan. 15, 1982	370100C.
Haywood	Town of Canton (Docket No. FEMA 6257).	*The Canton Enterprise, Jan. 14, 1982, Jan. 21, 1982.*	The Honorable H. W. Ramsey, Mayor, Town of Canton, Box 987, Canton, NC 28716.	Jan. 22, 1982	370121C.
Pasquotank & Camden	Town of Elizabeth City (Docket No. FEMA 6257).	*The Daily Advance, Jan. 8, 1982, Jan. 15, 1982.*	Mr. Tommy M. Combs, City Manager, Cit of Elizabeth City, P.O. Box 347, Elizabeth City, NC 27909.	Jan. 15, 1982	370185C.
North Dakota: Cass	City of Fargo (Docket No. FEMA 6257).	*The Forum, Jan. 26, 1982, Jan. 27, 1982.*	Hon. Jon G. Lindgren, Mayor, City of Fargo, City Hall, Fargo, ND 58102.	Jan. 19, 1982	385364C.
Oklahoma: Alfalfa	City of Cherokee (Docket No. FEMA 6257).	*The Cherokee Messenger, Jan. 12, 1982, Jan. 19, 1982.*	Hon. Gordon McDowell, Mayor, City of Cherokee, 121 North Grand, Cherokee, OK 73728.	Jan. 19, 1982	400006C.
Rogers	City of Claremore (Docket No. FEMA 6257).	*The Claremore Progress, Jan. 19, 1982, Jan. 20, 1982.*	Hon. Elizabeth Gordon, Mayor, City of Claremore, P.O. Box 249, Claremore, OK 74107.	Jan. 19, 1982	405375D.
Stephens	City of Duncan (Docket No. FEMA 6257).	*The Duncan Banner, Jan. 11, 1982, Jan. 12, 1982.*	Hon. Bobby Pollock, Mayor, City of Duncan, P.O. Box 969, Duncan, OK 73533.	Jan. 12, 1982	400202C.

State and county	Location	Date and name of newspaper where notice was published	Chief executive officer of community	Effective date of modified flood insurance rate map	New community No.
Oregon:					
Douglas	City of Roseburg (Docket No. FEMA 6257).	*The News Review, Jan. 4, 1982, Jan. 5, 1982.*	Hon. John Dunn, Mayor, City of Roseburg, 900 S.E. Douglas St., Roseburg, OR 97470.	Jan. 5, 1982	410067C.
Jackson	City of Central Point (Docket No. FEMA 6257).	*Medford Mail Tribune, Jan. 27, 1982, Jan. 28, 1982.*	Hon. Don Jones, Mayor, City of Central Point, P.O. Box 3576, Central Point, OR 97502.	Jan. 19, 1982	410092C.
Do	City of Talent (Docket No. FEMA 6257).	*The Daily Tidings, Jan. 28, 1982, Jan. 29, 1982.*	Hon. Robert F. Underhill, Mayor, City of Talent, P.O. Box 445, Talent, OR 97540.	Jan. 19, 1982	410100C.
Tillamook	City of Manzanita (Docket No. FEMA 6257).	*Fishrapper, Jan. 7, 1982, Jan. 14, 1982.*	Hon. Irving Carr, Mayor, City of Manzanita, P.O. Box C, Manzanita, OR 97130.	Jan. 12, 1982	410199B.
Pennsylvania:					
Lancaster	Township of Manheim (Docket No. FEMA 6257).	*Lancaster New Era, Dec. 25, 1981, Jan. 1, 1982.*	Jay Gregg, Township Manager, Township of Manheim, 1821 Municipal Drive, Lancaster, Pennsylvania 17601.	Jan. 1, 1982	420556C.
Allegheny	Borough of McKees Rocks (Docket No. FEMA 6257).	*Suburban Gazette, Dec. 23, 1981, Dec. 30, 1981.*	George Traupman, Borough Secretary, Borough of McKees Rocks, Municipal Building, Linden and Bell Avenues, McKees Rocks, PA 15136.	Jan. 1, 1982	420052C.
South Dakota:					
Butte	City of Belle Fourche (Docket No. FEMA 6257).	*The Post, Jan. 26, 1982, Jan. 27, 1982.*	Hon. Robert L. Helmer, Mayor, City of Bell Fourche, 606 Sixth Street, Belle Fourche, SD 57717.	Jan. 19, 1982	460012C.
Meade	City of Sturgis (Docket No. FEMA 6257).	*Meade County Times-Tribune, Jan. 26, 1982, Feb. 2, 1982.*	Hon. Robert Voorhees, Mayor, City of Sturgis, Engineering and Inspection Department, 1029 First Street, Sturgis, SD 57785.	Jan. 19, 1982	460055D.
Tennessee:					
Anderson	City of Oak Ridge (Docket No. FEMA 6257).	*The Oak Ridger, Jan. 15, 1982, Jan. 22, 1982.*	Mr. Lucien Faust, City Planner, City of Oak Ridge, City Hall, P.O. Box 1, Oak Ridge, Tennessee 37830.	Jan. 22, 1982	475441C.
Bradley	City of Cleveland (Docket No. FEMA 6257).	*The Cleveland Daily, Jan. 8, 1982, Jan. 15, 1982.*	The Honorable Harry L. Dethero, Mayor, City of Cleveland, 190 Church Street, N.E., Cleveland, TN 37311.	Jan. 15, 1982	470015B.
Carter	City of Elizabethton (Docket No. FEMA 6257).	*The Elizabethton Star, Jan. 15, 1982, Jan. 22, 1982.*	The Honorable J. B. Sheperd, Mayor, City of Elizabethton, P.O. Box 189, Elizabethton, TN 37643.	Jan. 22, 1982	475425B.
Maury	City of Columbia (Docket No. FEMA 6257).	*The Daily Herald, Jan. 15, 1982, Jan. 22, 1982.*	The Honorable J. A. Morgan, Mayor, City of Columbia, City Hall, 707 N. Main Street, Columbia, TN 38401.	Jan. 22, 1982	475423C.
Texas:					
Dallas	City of Irving (Docket No. FEMA 6257).	*Irving Daily News, Feb. 9, 1982, Feb 10, 1982.*	Hon. Bobby Joe Raper, Mayor, City of Irving, 825 West Irving Boulevard, Irving, TX 75060.	Jan. 25, 1982 (66-B)	480180A.
Kerr	City of Kerrville (Docket No. FEMA 6257).	*Kerrville Daily Times, Jan. 26, 1982, Jan. 27, 1982.*	Hon. H. Lee Jennings, Mayor, City of Kerrville, 600 Main St., Kerrville, TX 78028.	Jan. 19, 1982	480420D.
Utah: Sevier	Town of Aurora (Docket No. FEMA 6257).	*Salina Sun, Jan. 7, 1982, Jan. 14, 1982.*	Hon. Marvin Mason, Mayor, Town of Aurora, P.O. Box 1054, Aurora, UT 84620.	Jan. 12, 1982	490123C.
Washington:					
Cowlitz	City of Castle Rock (Docket No. FEMA 6257).	*Cowlitz County Advocate, Jan. 14, 1982, Jan. 21, 1982.*	Hon. Michael D. Huson, Mayor, City of Castle Rock, P.O. Box 396, Castle Rock, WA 98611.	Jan. 19, 1982	530277C.
Island	City of Oak Harbor (Docket No. FEMA 6257).	*Whidbey News-Times, Jan. 6, 1982, Jan. 13, 1982.*	Hon. Al Koetje, Mayor, City of Oak Harbor, 3075—300 Avenue West, Oak Harbor, WA 98277.	Jan. 12, 1982	530068C.
King	City of Redmond (Docket No. FEMA 6257).	*Sammamish Valley News, Jan. 27, 1982, Feb. 3, 1982.*	Hon. Christine T. Himes, Mayor, City of Redmond, 15670 N.E. 85th St., Redmond, WA 98052.	Jan. 19, 1982	530087C.
Okanogan	Town of Riverside (Docket No. FEMA 6257).	*Omak-Okanogan County Chronicle, Dec. 31, 1981, Jan. 7, 1982.*	Hon. Phillip Stokes, Mayor, Town of Riverside, P.O. Box 188, Riverside, WA 98849.	Jan. 5, 1982	530122B.
Wisconsin:					
Racine	City of Burlington (Docket No. FEMA 6257).	*Burlington Standard Press, Jan. 6, 1982, Jan.-13, 1982.*	Hon. Leonard Kitkowski, City of Burlington, 300 N. Pine Street, Burlington, WI 53105.	Jan. 15, 1982	550348C.
Vernon	Village of Stoddard (Docket No. FEMA 6257).	*Chipmunk Press, Dec. 23, 1981, Dec. 30, 1981.*	Lester Helgeson, Village President, Village of Stoddard, 180 North Main Street, Stoddard, WI 54658.	Jan. 1, 1982	555582C.
Washburn	City of Spooner (Docket No. FEMA 6257).	*Spooner Advocate, Dec. 24, 1981, Dec. 31, 1981.*	Hon. Rodney Ripley, City of Spooner, 322 Walnut Street, Spooner, WI 54801-1388.	Jan. 1, 1982	550470C.
Wyoming:					
Fremont	City of Lander (Docket No. FEMA 6257).	*Wyoming State Journal, Jan. 18, 1982, Jan. 21, 1982.*	Hon. Delbert McOmie, Mayor, City of Lander, 183 South 4th Street, Lander, WY 82520.	Jan. 19, 1982	560020D.
Washakie	City of Worland (Docket No. FEMA 6257).	*Northern Wyoming Daily News, Jan. 19, 1982, Jan. 20, 1982.*	Hon. Timothy E. McHenry, Mayor, City of Worland, P.O. Box 226, Worland, WY 82401.	Jan. 19, 1982	560056C.
Minnesota: Dodge	Unincorporated Areas (Docket No. FEMA 6234).	*Dodge Center Star Record, Jan. 29, 1982, Feb. 5, 1982.*	Cec Samuelson, Administrator, Office of County Zoning Administration, County of Dodge, Court House, Mantorville, Minnesota 55955.	Sept. 24, 1982	270548B.
Illinois: DuPage	City of West Chicago (Docket No. FEMA 6238).	*West Chicago Press, Jan. 28, 1982, Feb. 4, 1982.*	Hon. A. Eugene Rennels, Mayor, City of West Chicago, 475 Main Street, West Chicago, Illinois 60185.	Sept. 24, 1982	170219C.

State and county	Location	Date and name of newspaper where notice was published	Chief executive officer of community	Effective date of modified flood insurance rate map	New community No.
Indiana: Hamilton	City of Noblesville (Docket No. FEMA 6239).	*Noblesville Daily Ledger, Jan. 29, 1982, Feb. 5, 1982.*	Hon. Patricia A. Logan, Mayor, City of Noblesville, City Hall, 50 South Eighth Street, Noblesville, Indiana 46060.	Sept. 24, 1982	180082E.

Pursuant to the provisions of 5 U.S.C. 605(b), the Associate Director, State and Local Programs and Support, to whom authority has been delegated by the Director, Federal Emergency Management Agency, hereby certifies that this rule if promulgated will not have a significant economic impact on a substantial number of small entities. This rule provides routine legal notice of technical amendments made to designated special flood hazard areas on the basis of updated information and imposes no new requirements or regulations on participating communities.

List of Subjects in 44 CFR Part 65

Flood insurance—flood plains.

(National Flood Insurance Act of 1968 (Title XIII of Housing and Urban Development Act of 1968), effective January 28, 1969 (33 FR 17804, November 28, 1968), as amended; 42 U.S.C. 4001–4128; Executive Order 12127, 44 FR 19367; delegation of authority to Associate Director, State and Local Programs and Support).

Issued: July 28, 1982.

Lee M. Thomas,

Associate Director, State and Local Programs and Support.

[FR Doc. 82-22468 Filed 8-18-82; 8:45 am]

BILLING CODE 6718-03-M

FEDERAL COMMUNICATIONS COMMISSION

47 CFR Part 13

Amendment of the Commission's Rules To Remove Redundant and Outdated Portions

AGENCY: Federal Communications Commission.

ACTION: Final rule.

SUMMARY: Two paragraphs are removed from § 13.11 of the Commission's Rules because they are redundant and outdated.

DATES: Effective date August 18, 1982.

ADDRESSES: Federal Communications Commission, Washington, D.C. 20554.

FOR FURTHER INFORMATION CONTACT: B. C. "Jay" Jackson, Jr. (202) 632–7240.

SUPPLEMENTARY INFORMATION:

List of Subjects in 47 CFR Part 13

Commercial radio operators.

Adopted: August 3, 1982.

Released: August 4, 1982.

In the matter of amendment of Part 13 of the Commission's rules to remove redundant and outdated portions of § 13.11

1. We are amending Part 13 of the Commission's rules to delete § 13.11 (c) and (d) consistent with the major Commission goal of eliminating unnecessary rules and regulations. Paragraph (c) of § 13.11 is totally redundant with paragraph (g) of § 13.22. Paragraph (d) of § 13.11 provides an exemption from renewal examination requirements for persons holding commercial operator licenses issued for a term of less than five years. However, the Commission has not required renewal examinations for any commercial operator license since 1940. Therefore, this paragraph is an anachronism, unnecessary, and can be deleted.

2. Authority for this action is contained in Sections 4(i) and 303(r) of the Communications Act of 1934, as amended, and Section 0.231(d) of the Commission's Rules. Since the amendments are editorial in nature, the public notice, procedure and effective date provisions of 5 U.S.C. 553 do not apply.

3. In view of the above, it is ordered, that paragraphs (c) and (d) of § 13.11 are amended in accordance with the attached appendix, effective August 18, 1982.

4. Regarding questions on matters covered in this document, contact B. C. "Jay" Jackson, Jr., (202) 632–7240.

(Secs. 4, 303, 48 stat., as amended, 1066, 1082; 47 U.S.C. 154, 303.)

Federal Communications Commission.

Edward J. Minkel,

Managing Director.

PART 13—COMMERCIAL RADIO OPERATOR

Part 13 of Chapter I of Title 47 of the Code of Federal Regulations is amended as follows:

§ 13.11 [Amended]

A. Paragraph (c) of § 13.11 is removed.

B. Paragraph (d) of § 13.11 is removed.

[FR Doc. 82-22642 Filed 8-18-82; 8:45 am]

BILLING CODE 6712-01-M

47 CFR Part 73

[BC Docket No. 82-63, RM-3953, RM-3992]

FM Broadcast Station in Fort Myers Villas and Sanibel, Florida; Changes Made in Table of Assignments

AGENCY: Federal Communications Commission.

ACTION: Final rule.

SUMMARY: Action taken herein assigns Channel 285A to Sanibel, Florida, in response to a petition filed by Fred Arthur and John Smith. The assignment could provide a first FM service to Sanibel. In addition, a conflicting petition to assign Channel 285A to Ft. Myers Villas, Florida, at the request of Keith L. Reising, has been denied.

EFFECTIVE DATE: October 8, 1982.

ADDRESS: Federal Communications Commission, Washington, D.C. 20554.

FOR FURTHER INFORMATION CONTACT: Montrose H. Tyree, Broadcast Bureau, (202) 632–7792.

SUPPLEMENTARY INFORMATION:

List of Subjects in 47 CFR Part 73

Radio broadcasting.

Adopted: August 3, 1982.

Released: August 9, 1982.

By the Chief, Policy and Rules Division:

In the matter of amendment of § 73.202(b), Table of Assignments, FM

Broadcast Stations. (Fort Myers Villas and Sanibel, Florida, BC Docket No. 82–63, RM–3953, RM–3992.

1. The Commission has before it the notice of proposed rule making, 47 FR 6901, published February 17, 1982, proposing a first FM assignment to either Fort Myers Villas or Sanibel, Florida. The proceeding was instituted in response to petitions filed by Keith L. Reising ("petitioner") for Fort Myers Villas and by Fred Arthur and John Smith ("Arthur and Smith") for Sanibel. Both petitioners filed supporting comments indicating their intention to apply for the channel, if assigned to the community requested.

2. As stated in the notice, each petitioner requested the assignment of Channel 285A. Since these proposals were mutually exculsive (the communities are 19.2 kilometers (12 miles) apart instead of the required 104 kilometers (65 miles)) they are being considered jointly. We agreed that both proposals merited consideration and requested the petitioner for Fort Myers Villas to submit additional information to demonstrate that Fort Myers Villas is a separate and identifiable community.

3. In response to the request for additional demographic and economic information, Reising submits that the population of Fort Myers Villas is 3,500 persons.[1] The community has a fire department/ambulance service and civic center. It also has a variety of shopping centers, restaurants, banks and other community services. As for the comparative analysis of the conflicting proposals, Reising contends that the petitioner for the Sanibel assignment did not submit factual information. Reising claims that Sanibel's isolation is self-imposed and adds that 43% of the land mass of Sanibel is perpetually dedicated to wildlife sanctuary. Reising asserts that the Sanibel/Captiva Chamber of Commerce lists the year-round population of Sanibel as only 2,000 persons instead of the 3,362 figure reported in the notice. Additionally, Reising alleges that a transmitter at Sanibel would have a majority of its signal wasted over open Gulf seawater, whereas a transmitter at Fort Myers Villas could cover a greater land population.

4. In his comments to the proposal, Arthur incorporates by reference the information in the notice which demonstrated the need for a first FM assignment to Sanibel. He refers to paragraph 6 of the notice which states the distance between Sanibel and Cape Coral to be 8.0 miles and claims that the distance between the two cities is actually in excess of 12 miles.[2] Thus, as we discussed in footnote 2, the Cape Coral assignment (Channel 292A) is available for application at Sanibel as well as Fort Myers Villas.

5. We have determined that both communities appear to deserve a first FM assignment if one were available to each community. Since that is not the case, we shall use our standard comparative criteria to guide our decision with due regard to the recent action in BC Docket No. 80–130, *Second Report and Order*, 47 FR 26624, published June 11, 1982. With regard to population, both cities are fairly comparable in size and no choice could be made on that basis.[3] At present, 9 FM stations place a 60 dBu or better signal over Fort Myers Villas, whereas Sanibel receives 7 signals. Thus both communities are well served. However, Sanibel is geographically more isolated from larger cities than is Fort Myers Villas. Although Reising claims that the isolation is self-imposed, we find that the cause is irrelevant. The fact remains that Sanibel is in greater need of local service as a result of its relative isolation. We believe that this factor sufficiently distinguishes the two communities in terms of need for local service to provide a basis for the assignment. Thus, in view of Sanibel's location we are assigning Channel 285A to Sanibel. Finally, anyone wishing to apply for a Fort Myers Villas station could do so by using the Cape Coral assignment under the 10-mile rule, § 73.203(b) of the Commission's rules.[4]

6. Accordingly, pursuant to the authority contained in Sections 4(i), 5(d)(1), 303 (g) and (r) and 307(b) of the Communications Act of 1934, as amended, and §§ 0.281 and 0.204(b) of the Commission's rules, it is ordered, that effective October 8, 1982, § 73.202(b) of the Commission's rules is amended with respect to the community listed below:

City	Channel No.
Sanibel, Fla	285A

7. It is further ordered, that this proceeding is terminated.

8. For further information on this proceeding, contact Montrose H. Tyree, Broadcast Bureau, (202) 632–7792.

(Secs. 4, 303, 48 Stat., as amended, 1066, 1082; 47 U.S.C. 154, 303)

Federal Communications Commission.

Roderick K. Porter,

Chief, Policy and Rules Division, Broadcast Bureau.

[FR Doc. 82–22641 Filed 8–18–82; 8:45 am]

BILLING CODE 6712–01–M

[1] Data supplied by the Fort Myers Chamber of Commerce and Fort Myers Villas Civic Association.

[2] The petitioners' conclusion is based on the distance from the Sanibel Post Office, 650 Tarpon Bay Road (coordinates 26–26–26, 82–04–52) to the Cape Coral Post Office, 4722 17th Place (coordinates 26–33–50, 81–56–34). Section 73.208(a)(3) of the Commission's rules states that where there is no authorized transmitter site available for use as reference points in either community the distance shall be determined by the: (1) Coordinates indexed in the National Atlas of the U.S.; or (2) by the Air Line Distance between the cities; or (3) by the coordinates of the main post office of said community. Coordinates are available to us for Sanibel from the first source. Based on the coordinates provided by petitioners for Cape Coral, the distance between the cities should be corrected to read 9.3 miles instead of 8 miles as indicated in the notice.

[3] The population for Sanibel as indicated in the notice is based on the 1980 U.S. Census.

[4] Presently there are two applications for this channel with a cut-off date of August 25, 1982, for other applicants.

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47 CFR Part 73

[BC Docket No. 21136; FCC 82–327]

Commission Policy Concerning the Noncommercial Nature of Educational Broadcast Stations

AGENCY: Federal Communications Commission.

ACTION: Final rule.

SUMMARY: The Commission's Second Report and Order in Docket No. 21136 liberalized prior restrictions upon public broadcasters, providing them with greater flexibility in their programming determinations and greater opportunities to attract and generate non-Federal financial support. In this Order, the Commission is modifying the Second Report and Order to conform its rules to subsequently enacted legislation.

DATE: Effective September 3, 1982.

ADDRESS: Federal Communications Commission, Washington, D.C. 20554.

FOR FURTHER INFORMATION CONTACT: Ava H. Berland, Broadcast Bureau, (202) 632–7792.

SUPPLEMENTARY INFORMATION:

List of Subjects in 47 CFR Part 73

Television and Radio broadcast.

Adopted: July 15, 1982.

Released: July 30, 1982.

By the Commission: Commissioner Washburn issuing an additional statement.

In the matter of Commission policy concerning the noncommercial nature of educational broadcast stations, BC Docket No. 21136.

1. The *Second Report and Order* in Docket No. 21136 (May 22, 1981; 46 FR 27944) evaluated the financial needs of public broadcasters as well as their obligation to provide a noncommercial service.[1] The Commission relaxed certain restrictions on public broadcasters' fundraising activities. Petitions for reconsideration and clarification, and various comments in response thereto, were filed with the Commission concerning the *Second Report.* Additionally, a petition for declaratory ruling was filed regarding the impact of the Public Broadcasting Amendments Act of 1981 (with particular reference to Sections 399A and 399B of the Communications Act) upon the Second Report.[2] The *Second Report* and Sections 399A and 399B serve a similar underlying purpose and achieve similar ends, by providing public broadcasters the opportunity to attract additional financial support while focusing upon the noncommercial nature of public broadcasting in general. In light of the basic thrust of both the *Second Report,* and Sections 399A and 399B, and in the interest of expediting consideration of the issues raised by the various pleadings, we will address the request for declaratory ruling together with the petitions for reconsideration and clarification.[3]

Background

2. Essentially, the *Second Report* liberalized prior restrictions upon noncommercial broadcasters by amending 47 CFR 73.503 and 47 CFR 73.621 to: (1) allow public broadcasters to air promotional announcements when deemed in the public interest and no consideration for such announcements is received;[4] (2) eliminate the name only requirement for donor acknowledgements and permit the broadcast of informational, but not promotional, messages (*i.e.,* the messages may include such information as the donor's logo, location and product lines or services); and (3) delete any limitations on the timing and frequency of donor acknowledgements. The amendments were designed to further the important governmental interest in preserving the essentially noncommercial nature of public broadcasting *with in a minimal regulatory framework* by insulating public broadcasters from commercial marketplace pressures and decisions.[5] The Commission believes that the rules satisfy constitutional objections since they are narrowly fashioned to achieve an important governmental interest (*i.e.,* the rules prohibit the broadcast of promotional announcements *for consideration*—no more, no less),[6] and that the rules satisfy the statutory mandate of 47 U.S.C. 317 (47 CFR 73.1212) since the donor acknowledgements, as allowed, better inform the public as to the identity of the sponsoring entites.[7] Moreover, it was hoped that §§ 73.503 and 73.621, as amended, would enable noncommercial broadcasters to attract additional revenue and broaden their economic base. Stated another way, it was our hope that the liberalization of restrictions on donor acknowledgements would encourage more contributors.

3. The *Second Report* reflected the Commission's desire to strike "a reasonable balance between the financial needs of [public broadcast] stations and their obligation to provide an essentially noncommercial broadcast service" and eliminate those proscriptive regulations deemed unnecessary to preserve the media's noncommercial nature. The recent amendments to the Communications Act relating to public broadcasting reflect Congress' desire to ensure that the public telecommunications media remains financially viable in view of substantial Federal funding reductions, by encouraging and facilitating the ability of public broadcasters to generate additional private financial support which is necessary for their continued survival.[8] In this vein, Congress: (1) created the Temporary Commission on Alternative Financing for Public Telecommunications (Temporary Commission) to undertake a study and aggressively explore alternative sources of funding, and (2) authorized public broadcasters to provide services, facilities and products in exchange for remuneration, so long as such services, facilities or products would not interfere with the delivery of public broadcasting service.[9] Moreover, like the *Second Report,* Section 399A permits the inclusion of non-promotional identifying information (*i.e.,* the donor's aural or visual logograms, slogans and location) in donor acknowledgements,[10] and Section 399B prohibits the broadcast of promotional announcements for consideration.[11]

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[1] *Second Report and Order,* 86 F.C.C. 2d 141 (1981). Hereinafter referred to as *"Second Report."*

[2] Section 1231 of the Omnibus Budget Reconciliation Act of 1981, Pub. L. 97–35, 97th Cong., 1st Session (1981), amended the Communications Act by adding Sections 399A and 399B.

[3] By *Order* of April 23, 1981, the Commission consolidated the petitions for reconsideration and clarification.

[4] Consideration is broadly defined "to denote anything of value given in exchange for something else of value." *Second Report, supra* at 142.

[5] *Second Report, supra,* at 142–143.

[6] A regulation which infringes upon First Amendment rights is valid if it furthers a substantial government interest and is narrowly tailored to serve that interest. *U.S.* v. *O'Brien,* 391 U.S. 367, 377 (1968); *Community Service Broadcasting of MidAmerica, Inc.* v. *FCC* 593 F. 2d 1102, 1111, 1114 (D.C. Cir. 1978).

[7] Section 317 basically requires a station to make an announcement that the programming material was broadcast for consideration, unless the consideration consists of goods or services provided at little or no cost for noncommercial, nonpromotional purposes. The basic premise of the sponsorship identification requirement is that the public is entitled to know by whom they are being persuaded. *Applicability of Sponsorship Identification Rules,* 40 F.C.C. 141, 141 (1963).

[8] According to the *House Report,* one of the primary purposes of the legislation was "to facilitate and encourage the efforts of public broadcasting licensees to seek and develop new sources of non-Federal revenue, which will be necessary for the long term support of the system as Federal funding is reduced." Public Broadcasting Amendments Act of 1981, H.R. Rep. No. 97–82, 97th Cong., 1st Sess., p. 7 (1981) (*House Report* 97–82).

[9] The *House Report* 97–82 stated that Section 399B prohibits public broadcast stations from using their "facilities for the broadcast of any advertisement" but "explicitly authorize[s] [them] * * * to engage in the offering of services, facilities, or products in exchange for remuneration." For instance, such offerings may include the provision of "instructional, educational and cultural material, for remuneration, to public school systems and other non-profit institutions * * *" *Id.* at 25. It should be noted that 26 U.S.C. 513 requires public broadcast stations to report and pay taxes on unrelated business income. Thus for tax purposes, Section 399B provides that public broadcast stations establish a separate accounting system for the above noted activities. Public broadcast stations should be cautioned that their tax-exempt status may be jeopardized if the Internal Revenue Service determines that profit making has become their *primary activity. See e.g., Carle Foundation* v. *United States,* 611 F. 2d 1192 (7th Cir. 1979); *Iowa State University of Science and Technology,* 500 F. 2d 508 (Ct. Cl. 1974). *See also, American College of Physicians* v. *United States,* 530 F. 2d 930 (Ct. Cl 1976) (profits received by a tax exempt organization generated through advertising in its trade journal did not constitute taxable income of an unrelated trade or business).

[10] Section 399A provides:

(a) For purposes of this section, the term "business or institutional logogram" means any aural or visual letters or words, or any symbol or sign, which is used for the exclusive purpose of identifying any corporation, company, or other organization, which is not used for the purpose of promoting the products, services, or facilities of such corporation, company, or other organization.

(b) Each public television station and each public radio station shall be authorized to broadcast announcements which include the use of any business or institutional logogram and which includes a reference to the location of the corporation, company, or other organization involved, except that such announcements may not interrupt regular programming.

(c) The provisions of this section shall not be construed to limit the authority of the Commission to prescribe regulations relating to the manner in which logograms may be used to identify corporations, companies or other organizations.

[11] Section 399B provides, in pertinent part:

(a) For purposes of this section, the term "advertisement" means any message or other programming material which is broadcast or

4. Although Sections 399A and 399B parallel the *Second Report* in most important respects, there are three notable differences. First, Section 399A imposed a restriction upon the scheduling of donor acknowledgements, whereas the *Second Report* eliminated all timing and frequency restrictions. Second, although Section 399A retains the *Second Report's* "promotion vs. identification" distinction regarding donor acknowledgements, the statute appears to be more restrictive as to the information which may be included in such acknowledgements. Third, while both the *Second Report* and Section 399B disallow the broadcast of promotional announcements for consideration, the proscription in the *Second Report* is unquestionably broader than that found in Section 399B. These differences will be dealt with, in greater detail, in connection with the petition for declaratory ruling.

Discussion

5. Having generally discussed the *Second Report* and Sections 399A and 399B, we will proceed to consider the: (1) Petition for declaratory ruling; (2) petition for clarification; and (3) petitions for reconsideration.

(1) Petition for Declaratory Ruling

6. The petition urged the Commission to issue a ruling, declaring that Section 399B is mandatory and self-executing and, in effect, that it supersedes the *Second Report's* more restrictive consideration received rule.[12] Specifically, the petitioner declared that Section 399B is broader in that it:

(a) Permits public broadcasters to broadcast nonpromotional material even when consideration is received; and

(b) Even permits the broadcast of promotional announcements as long as the person offering the services, facilities or products is not engaged in the offering of those products, services or facilities for a profit.

According to the parties, a declaratory ruling is necessary to dispel the uncertainty public broadcasters face regarding their potential for fundraising and encourage them to take full "advantage of their new flexibility to seek out the additional, non-Federal sources of revenue they vitally need."

7. In its discretion, the Commission may issue a declaratory ruling to terminate a controversy or remove an uncertainty. 5 U.S.C 554(e); 47 CFR 1.2. In recognition of the importance to public broadcasters in developing non-Federal revenue sources which will ensure continued high quality programming, we believe a declaratory ruling is warranted to resolve the uncertainty that exists as to the impact of Section 399B, as well as Section 399A, upon the *Second Report*.

8. As we previously stated, the *Second Report's* prohibition against the broadcast of promotional announcements is broader than that found in Section 399B. The *Second Report* prohibits all promotional announcements for consideration (*i.e.*, the "consideration received rule") irrespective of the nature of the sponsoring entity—be it a profit or a non-profit organization. Section 399B's preclusion, however, is unambiguously and clearly limited to the broadcast of promotional announcements ("advertisements") [13] sponsored by *profit entities.*[14] We recognize that Section 399B is part of the legislative scheme to increase non-Federal support for the public telecommunications media, and as such the allowance of promotional announcements sponsored by non-profit organizations may prove to be an additional revenue source. We are also cognizant of Congress' intent to preserve the essentially noncommercial nature of the public broadcasting service—a service that is responsive to the overall public as opposed to the sway of particular political, economic, social or religious interests. In this regard, we note that the Temporary Commission (*supra* at para. 3), assigned to the task of exploring alternative means of financing for the public telecommunications media, was directed to consider and satisfy the following criteria:

(a) Continued growth in audience coverage and programming excellence; and

(b) Insulation of program control and content from the influence of special interests—be they commercial, political or religious.[15]

9. We believe that the *Second Report's* blanket prohibition against all *sponsored* promotional announcements served to retain a substantial distinction between commercial and noncommercial stations, by ensuring that public broadcasters' judgments are made in the public interest, and insulated from the commercial pressures of an open marketplace—whether those pressures are exerted by profit or non-profit entities.[16] The consideration received rule thus preserved a reasonable distinction between commercial and noncommercial services without casting undue financial constraints upon public broadcasters. However, our rule undeniably restricts public broadcasters in their fundraising activities to a greater degree than Section 399B, and thus is inconsistent with the statute. A regulation that is inconsistent, or more restrictive, or not in harmony with the governing statute is invalid. *U.S.* v. *Larionoff,* 431 U.S. 864, 873 (1977); *Miller* v. *U.S.,* 294 U.S. 435, 440, *rehearing denied,* 294 U.S. 734, (1935); *Ellis* v. *United States,* 610 F. 2d 760, 764–765 (Ct. Cl. 1979); *Scofield* v. *Lewis,* 251 F. 2d 128, 132 (5th Cir. 1958).

10. To reconcile this apparent inconsistency and thus conform to the legislative mandate of Section 399B, we are revising the *Second Report's* consideration received rule to the extent that it prohibits the broadcast of promotional announcements sponsored by non-profit organizations. This action

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otherwise transmitted in exchange for any remuneration, and which is intended—

(1) to promote any service, facility, or product offered by any person who is engaged in such offering for profit;

(2) to express the views of any person with respect to any matter of public importance or interest; or

(3) to support or oppose any candidate for public office.

(b)(1) Except as provided in paragraph (2), each public broadcast station shall be authorized to engage in the offering of services, facilities or products in exchange for remuneration.

(b)(2) No public broadcast station may make its facilities available to any person for the broadcasting of any advertisement.

[12] The petition for declaratory ruling was jointly filed by the National Association of Public Television Stations (NAPTS) and the Public Broadcasting Service (PBS). The law firm of Dow, Lohnes and Albertson filed comments in support of the petition.

[13] Section 399B also prohibits sponsored announcements which "express the views of any person with respect to any matter of public importance or interest" or which "support or oppose any candidate for political office," by defining all such announcements as "advertisements."

[14] The plain language of the statute restricts the definition of advertisements to promotional announcements sponsored by profit entities and excludes from that definition, by way of omission, similiar announcements sponsored by non-profit entities. Given the fact that the amendment was enacted subsequent to the issuance of the *Second Report* and that the *Second Report's* prohibition against sponsored promotional announcements extended to non-profit, as well as profit entities, we can only conclude that Congress was cognizant of our broader proscription and excluded from its definition of advertisements that which it intended to exclude. *See e.g., Patrolmens Benevolent Association of the City of New York* v. *City of New York,* 41 N.Y. 2d 205, 391 N.Y. S. 2d 544, 359 N.E. 2d 1338, 1341 (1976).

[15] *House Report* 97–82, *supra* at 16.

[16] In this context, it should be noted "non-profit" entities encompass a multitude of organizations with varied purposes and functions. For example, according to the Internal Revenue Service, the following organizations, among others, may be designated non-profit: athletic, labor and agricultural associations or organizations; mutual insurance companies or associations; benevolent life insurance associations; mutual or cooperative telephone companies; and state chartered credit unions. *The Exempt Organization Handbook,* Internal Revenue Service, p. 12–13 (March 15, 1982).

is taken pursuant to 47 U.S.C. 303 (a) and (b) which authorizes the Commission to classify and regulate classes of service, and 47 U.S.C. 303(r) which authorizes the Commission to promulgate rules and regulations to implement applicable laws in a consistent fashion.[17] In so limiting the consideration received rule, we should emphasize that the *Second Report*, as well as Sections 399A and 399B, represent an interim step to afford public broadcasters more freedom in their programming determinations and in their ability to procure necessary financial support. Studies designed to assess the goals and purposes of public broadcasting and alternative means of financing are currently in progress by the Commission and the Congress. However, the pendency of these studies does not prevent the Commission from according public broadcasters the full freedom contemplated by the statute. Specifically, public broadcasters are authorized to air promotional announcements sponsored by non-profit organizations.

11. Additionally, we should point out that public broadcasters are, in fact, required under 47 U.S.C. 317 (47 CFR 73.1212) to acknowledge donors. Contrary to petitioners' assertions, the *Second Report*, as well as Section 399A, provide that such acknowledgements may contain identifying, but nonpromotional, information.[18] As previously noted, however, Section 399A differs from the *Second Report's* treatment of donor acknowledgements in two respects: (1) The scheduling; and (2) the information that may be included in such acknowledgments. We will address these differences below.

12. First, the *Second Report* removed all timing and frequency restrictions for the broadcast of donor acknowledgements, whereas Section 399A contains a caveat: the scheduling of donor acknowledgements shall not interrupt regular programming. In other words, it is permissible to air such acknowledgements at "the beginning and end of programs . . . between identifiable segments of a longer program" or, in the absence of identifiable segments, in programming during "station breaks," such that the flow of programming is not "unduly disrupted."[19] The *Second Report* relied upon the reasonable, good faith judgments of public broadcast licensees to avoid commercial clutter and further considered audience resistance a sufficient deterrent to abuse. However, Section 399A does impose a limited restriction upon the timing and frequency of donor acknowledgements. Accordingly, we are changing our rules, pursuant to 47 U.S.C. 303(r) and 47 U.S.C. 399A(c), to conform to the "scheduling" restriction required by Section 399A. (*See* Appendix A).

13. Second, Section 399A also appears to differ from the *Second Report* with respect to the information that may be included in the donor acknowledgements, although Section 399A retains the *Second Report's* "promotion vs. identification" distinction. The *Second Report* provides that the acknowledgements may state, among other things, the donor's product lines or services. In delineating that information which may be incorporated in such acknowledgements, Section 399A explicitly authorizes the non-promotional use of the donor's *aural* or *visual logograms* and *location*, but is silent as to product lines or services. Despite this omission, we believe that by broadly defining the term "logogram," Congress, in fact, authorized that which was intended by the *Second Report*. Although the *House Report* declared that "products or services [should not be] included as part of such announcements at this time," it proceeded to state:

> Accordingly, it is the Committee's intent that a logogram could contain the broadcast of a corporate symbol, accompanied by the identification: "XYZ Oil Corporation, of New York, refiners of petroleum products," but could not contain: "XYZ Oil Corporation of New York, manufacturers of Super 94 unleaded gasoline;" or that a logogram could contain: "ABC, the telephone company of Maryland," but could not contain "ABC, the telephone company of Maryland, with a variety of telephones to serve you." The Committee intends that logograms be *value neutral*, and solely for the purpose of *generic identification*.
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> In allowing the use of logograms, the Committee reemphasizes the clear distinction made by the Commission in its decision, that they will be allowed to the extent they help identify a contributor without promoting him. No comparisons are allowed. No qualitative objectives are allowed.
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> * * * * *
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> In allowing the use of slogans, the Committee sought to provide to radio the non-visual equivalent that is allowed for television through logograms. Allowable slogans must meet the "identification without promotion" test. Again, the entire announcement should be brief.

According to the *House Report*, Section 399A further limits the *Second Report* which allegedly allowed for the "listings of products and services" in donor acknowledgements. *Id.* In this connection, it is noted that the *Second Report* did not contemplate or authorize the listing of products or services per se. Rather, the *Second Report*, at 155, emphasized that the mention of products or services should be "strictly" for identification purposes, and that any comparative, qualitative information was impermissible. It appears that Congress defined the term "logogram" in such a way as to embrace the *Second Report's* intended use of a donor's product lines or services for purposes of "generic identification," if such use is "value-neutral" (*i.e.*, non-comparative, non-qualitative).[20] It is thus our interpretation that under Section 399A, and the *Second Report*, the logogram

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[17] As petitioner pointed out, the Commission may amend its rules and regulations to conform to and comply with subsequent legislation without engaging in a rule making proceeding. *See, e.g., Amendment of Part 73 (Radio Broadcast Services) and Part 76 (Cable Television Service) of the Rules (State Conducted Lotteries)*, 51 F.C.C. 2d 173 (1975).

[18] In a related context, the Broadcast Bureau received a request for a waiver of the Commission's sponsorship identification rules from Southern Educational Communications Association (SECA), the production agency for the television series, "Firing Line." SECA states that "Firing Line" is aired weekly on PBS, and is funded by PBS and through the contributions from corporations and individuals. SECA represented that there are currently 45 contributors ("41 have contributed $5,000 or less; the other four are major underwriters with grants of $20,000 to $100,000"). According to SECA, PBS policy only allots twenty seconds to identify such contributors. It is thus difficult to identify all the contributors in the alloted time frame, which in turn inhibits their efforts to broaden their financial base of support. SECA proposes to give credit to the major underwriters and identify all minor contributors as "Friends of Firing Line." SECA stated that it would maintain an updated list of all underwriters at PBS or the Commission. We find that SECA's proposal is reasonable and does not violate the spirit of 47 CFR 73.1212: that the public knows by whom they are being persuaded. (*See* footnote 6, *supra*). As a general proposition, we believe that if programs, such as "Firing Line," for the most part receive a few major contributions and numerous minor contributions, it would be sufficient to identify the substantial underwriters and generally acknowledge the other underwriters. The substantiality or insubstantiality of contributions should relate to and be determined by the actual programming costs. However, the general reference to the minor contributors should also include a statement advising the public that a complete donor list is maintained and accessible through PBS or the individual public broadcast station, whichever is appropriate.

[19] *House Report* 97–82 *supra*, at 24. We should point out that the *House Report* is very instructive since the Senate did not have a comparable provision, and Section 399A as proposed in H.R. 3238, *supra*, was fully adopted by the Conference Report with the amendment contained in 399A(c) empowering the Commission to further regulate in this area.

[20] In fact, the example of "XYZ Oil Corporation of New York, refiners of petroleum products" is similar to that found in the *Second Report*, wherein the Commission stated: "[w]hile an announcement identifying Exxon Corporation, producer of petroleum products would be permissible, announcements identifying Exxon as the producer of 'fine' or the 'best' petroleum products would be prohibited." [*Second Report, supra* at 155.]

may include a description of the donor's general product line or services, but may not include the specific listing or promoting of such. For example, it would be permissible for an acknowledgement to state, "General Motors, maker of automobiles and automobile accessories;" but it would be impermissible for it to state, "General Motors, maker of Oldsmobile Cutlass, Pontiac Firebird, Buick Century, and Cadillac Eldorado" or "General Motors, maker of fine automobiles and automobile accessories."

14. To recapitulate, public broadcasters may broadcast: (1) Donor acknowledgements which inform but do not promote (*i.e.*, the donor's logogram, may include a general description of product lines or services, as well as the donor's location); (2) announcements which promote the goods, services or activities of profit entities deemed in the public interest for which no consideration is received; and (3) announcements which promote the goods, services or activities of non-profit organizations, whether or not consideration is received. However, public broadcasters may not schedule announcements so as to interrupt regular programming.

Petition for Clarification

15. The petition urges the Commission to clarify the *Second Report* by assuring public broadcasters that it is permissible to air brief promotional-fundraising announcements on behalf of non-profit performing arts organizations during the intermission features of broadcasts furnished by such organizations.[21] The petition is specifically tailored to the intermission features, and the announcements contained therein, of Metropolitan Opera's performance broadcasts. Metropolitan Opera described its intermission features as an integral part of its broadcasts. According to Metropolitan Opera, its intermission features include discussion "on the history of opera, the works of particular composers, the theory and styles of operatic music, or the Metropolitan Opera itself, such as a backstage look at the opera, an interview with performers, the history of the Metropolitan Opera, or an account of its current program." In addition to this informational format, the intermission feature may contain brief fundraising announcements (three to four minutes of a twenty minute intermission) which may include direct solicitation of contributions or indirect requests for support through the offering of premiums or membership in the Opera Guild, an auxiliary organization which supports the Metropolitan Opera.

16. Relying upon language of the *Second Report*, concerning fundraising on behalf of third parties,[22] the petitioner contends that the broadcast of fundraising activities (*i.e.*, auctions, marathons) on behalf of organizations other than the licensee which would significantly alter or suspend regular programming is prohibited,[23] but that the broadcast of promotional fundraising announcements which do not interrupt regular programming is permissible. Since the announcements on behalf of non-profit performing arts organizations occur during intermission periods and do not significantly alter regular programming, the petition states that the announcements are allowable under the *Second Report*. Moreover, it is stated that the *Second Report* affords public broadcasters greater discretion and specifically authorizes them, on their own, to air announcements promoting or urging support of performing arts organizations if the licensee determines that it would be in the public interest to do so. Specifically, the petition states:

> The exercise of a licensee's discretion with regard to announcements publicizing the Metropolitan Opera's fund raising activities is the same whether the licensee itself originates the announcement or whether the licensee chooses to air a broadcast performance which incorporates these announcements during the intermission feature.

In a related context, the petition states, "Certainly, a request for donations or the offering of memberships or publications which support or promote nonprofit performing arts organizations such as the Metropolitan Opera should raise fewer concerns about commercial like programming than the explicit promotions of goods and services [for which no consideration has been received] which the Commission has expressly approved." Therefore, it is argued that a public broadcaster should be able to exercise discretion in determinig whether such announcements are in the public interest, and if so, be able to air them. Finally, it is contended that the *Second Report's* prohibition against announcements promoting the sale of program-related materials by or on behalf of program suppliers was intended to ensure that such offerings are motivated by public interest considerations rather than the economic interest of the offerer. The petition concedes that non-profit performing arts organizations that provide live program offerings over public broadcast stations are program suppliers, but argues that the solicitation of contributions for such non-profit organizations could hardly be considered to be motivated by a commercial gain. Rather, such contributions are necessary to ensure continued quality programming particularly in light of the prospective reductions in appropriations to the National Endowment of the Arts, which will adversely affect such organizations.

17. In comments opposing the petition, it is argued that the flexibility afforded to public broadcasters in the *Second Report* is limited to the "on-air promotion of off-air fundraising activities."[24] The *Second Report* is thus interpreted as prohibiting the broadcast of any direct fundraising activity, in the form of brief announcements as well as suspended programming, which inures to the benefit of any individual, organization or entity other than the licensee. To hold otherwise would place public broadcasters in the position of a general charitable fundraiser. Moreover, it is argued that if direct fundraising activity is allowed, the distinction between commercial and noncommercial stations will be weakened.

18. A reply comment was filed in which the petitioner essentially reiterates its position that the *Second Report's* prohibition against on-the-air fundraising activities for third parties applies only to those activities which substantially alter regular programming. According to the petitioner, to accept the position presented in the opposing comments would mean that a "public station receiving no consideration could freely promote sales of goods and services by profit-making organizations, but could not broadcast any announcement requesting donations to a non-profit organization." Moreover, petitioner states that such a position will constrain public broadcasters in their exercise of the wide discretion afforded them under the *Second Report*. Finally, petitioner argues that the *Second Report*

[21] The petition for clarification was filed by the Metropolitan Opera Association, Inc. (Metropolitan Opera). A formal opposition to the petition was filed by NPR and an informal opposition was filed by Minnesota Public Radio. Metropolitan Opera filed reply comments.

[22] *Second Report, supra*, at 157–158.

[23] "Suspended programming" denotes broadcast material which goes beyond a mere announcement, and as such disrupts normal programming.

[24] "Off-air fundraising activities" refers to transitory, nonbroadcast events for which an admission charge is required, or goods or services are offered for sale. Prior to the *Second Report*, public broadcasters were not permitted to promote such events, or even mention the admission fee, on the air. However, the *Second Report* permits the public broadcasters to promote such community events "in any manner they choose," in the absence of consideration.

is content-neutral, and does not distinguish between direct and indirect promotional announcements and certainly is not limited to "on-air promotion of off-air fundraising activities."

19. In view of the conflicting interpretations of the *Second Report*[25] as it relates to announcements which directly or indirectly solicit funds for non-profit performing arts organizations during programming furnished by such organizations, we believe that it is necessary to clarify public broadcasters' responsibilities in this area. Under the consideration received rule, the public broadcaster may air announcements that promote goods, services or activities of any individual or entity, for which no consideration is received. The rule was not limited by the nature or content of the particular broadcast—*i.e.*, the rule was not limited to on-the-air promotion of off-the-air fundraising events. The rule is limited by the public broadcasters' determination that such promotion is in the public interest, and in this area, the *Second Report* accords public broadcasters great latitude. The furnishing of live or taped performances by organizations such as the Metropolitan Opera to public broadcasters for airing would constitute consideration.[26] As such, the consideration received rule would have barred any brief announcements which directly solicited contributions or support for such organizations. However, given the non-profit status of such organizations, the receipt of consideration would no longer prevent the broadcast of the announcements under the *Second Report,* as revised to reflect the Congressional mandate of Section 399B. Therefore, the broadcast of such announcements are permissible.

20. The *Second Report* also prohibited broadcasts that promote the sale of program-related goods or services by program producers and suppliers (1) where the cost was more than nominal; or (2) where consideration had been received; and (3) where the offering was designed to further the economic interest of the offerer, as opposed to the general interest of the public.[27] This principle was based upon the Commission's belief that such announcements are "overtly commercial" and was an extension of prior case law that prohibits promotional broadcasts of the licensee's or the licensee's agents' outside business or financial interests.[28] However, since direct promotional fundraising announcements sponsored by non-profit organizations are now permissible, we believe that this aspect of the *Second Report* should also reflect that change. Accordingly, public broadcasters may now air announcements that promote program related materials sold by non-profit organizations, including the station itself. To allow announcements that promote the goods, services and/or activities of non-profit organization, but prohibit the offering of program related material by a non-profit program supplier, would indeed be inconsistent and arbitrary. In addition to the foregoing, a public broadcaster may in its discretion broadcast brief announcements: (1) which directly or indirectly raise funds for the non-profit performing arts organizations in connection with programming furnished by such organizations; and (2) which would not interrupt regular programming. By so ruling, we must emphasize that public broadcasters are *not* required or obligated to air these or any other fundraising announcements. Public broadcasters may in the exercise of their good faith judgment do so if they determine that such announcements ultimately serve the public interest. Although we are relaxing our policies regarding promotional announcements to an even greater extent than permitted under the *Second Report,* we should also emphasize that we will continue to follow *Ohio State University,* 38 RR 2d 22 (1976), to the extent that public broadcasters are generally prohibited from engaging in fundraising activities on behalf of any entity other than the licensee where such activities substantially alter or suspend regular programming.[29]

Petitions for Reconsideration

21. The petitioners requested that the Commission reconsider the policies set forth in the *Second Report* on substantive and procedural grounds.[30] They stated that the *Second Report* established new rules that "radically depart" from the Commission's previous policies, which prohibited public broadcasters from operating in substantially the same manner as commercial stations by proscribing the broadcast of commerical or commercial-like matter on noncommercial stations.[31] It is argued that this radical departure was procedurally deficient since it was made: (1) Without a complete understanding of the nature and goals of public brodcasting; (2) without a clearly articulated, well "demonstrated factual or policy basis;" and (3) without affording the public sufficient notice and opportunity to respond to the action taken, in violation of the Administrative Procedure Act, 5 U.S.C. 553(b).

22. Substantively, the new rules are said to suffer from the lack of adequate standards to guide public broadcasters in carrying out their responsibilities and to protect against abusive practices. The following matters were specifically referred to as generating confusion or inviting abuse:

(1) What is meant by consideration and when must consideration be received so as to preclude the broadcast of promotional announcements?[32]

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[25] Metropolitan Opera, as well as PBS, view the broadcast of these fundraising announcements, made in connection with the programming, as a matter for licensee discretion. The law firm of Schwartz, Woods and Miller believes that a waiver is appropriate. NPR and Minnesota Public Radio considers such announcements to be inappropriate and precluded by the *Second Report.*

[26] The contribution of programming material or funds for programming constitutes consideration, and as such the contributor must be acknowledged. *See* 47 CFR 73.1212.

[27] For purposes of discussion, we are assuming that the cost of program-related materials which are promoted during the intermission features of performance broadcasts by program suppliers, such as Metropolitan Opera, is not nominal.

[28] *See Fordham University,* 18, F.C.C. 2d 209, 210–211 (1969); *compare WFLI, Inc.,* 13 F.C.C. 2d 846, 847 (1968); *Crowell-Collier Broadcasting Co.,* 14 F.C.C. 2d 358 (1966).

[29] It should be noted that the Commission recently granted a waiver of 47 CFR 73.621 to Greater Washington Educational Telecommunications Association, Inc. (GWETA), licensee of noncommercial educational television station WETA–TV, Washington, D.C. FCC 82–198 (April 22, 1982). The waiver allowed GWETA to broadcast a three hour fundraising program for the Wolf Trap Foundation to assist in its restoration efforts after a fire destroyed its facilities. The Commission determined that a waiver was warranted under the unique circumstances presented there.

[30] Petitions for reconsideration were filed by: the National Association of Broadcasters (NAB); and were jointly filed by the Committee to Save KQED, the Association of Independent Video and Filmmakers Inc., the Citizens Committee on the Media (Chicago), the Chicago Citizens Cable Coalition, Public Media Center and the Committee to Make Public Television Public (referred to collectively as the Committee to Save KQED). Oppositions to the petitions were filed by the PBS, the Corporation for Public Broadcasting (CPB), the law firm of Dow, Lohnes and Albertson on behalf of various noncommercial licensees, the law firm of Schwartz, Woods & Miller on behalf of various noncommercial licensees, WGBH Educational Foundation (licensee of WGBH–TV, WGBX–TV, WGBH(FM) Boston, and WBGY–TV, Springfield, Massachusetts), NAPTS and NPR. NAB and the Committee to Save KQED filed replies. Responsive comments were filed by the law firm of Schwartz, Woods and Miller, NPR and NAPTS.

[31] *First Report and Notice of Proposed Rule Making,* 69 F.C.C. 2d 200, 204–207 (1978); *Noncommercial Educational Stations,* 26 F.C.C. 2d 339, 341 (1970); *Sixth Report and Order,* 41 F.C.C. 148, 166 (1952).

[32] The Commission noted that if promotional announcements on behalf of a commercial entity are broadcast and preceded or followed by a donation from that entity, questions would be raised under the consideration received rule. The Commission stated that the "proximity" between the announcement and the donation would be viewed as a "significant factor" in evaluating public

(2) At what point does an acknowledgement promote, as opposed to identify, the donor?

(3) When does mention of the origination point, in a remote broadcasting context, promote an establishment?[33]

(4) How will commercial clutter be avoided without any time limitations on suspended fundraising activities?

It is feared that the authorization of promotional announcements (even in the absence of consideration), and more importantly, the failure to establish defined guidelines in the above noted areas, will ultimately erase the distinction between commerical and noncommercial stations. The comments opposing the petitions generally supported the *Second Report* on both procedural and substantive grounds. The parties, mostly public broadcasters or those associated with the public broadcasting media, perceive the Commission's liberalized policies as providing opportunities to enable them to survive the imminent Federal funding reductions. They do not anticipate abusive practices or a trend toward the commercialization of the media, given the fact that public broadcasting licensees (comprised of governmental, educational and community bodies) are committed to serving the public interest and will face audience resistance if that commitment falters.

23. The *Second Report* undeniably marked a departure from the Commission's prior regulatory posture concerning public broadcasting in general and its fundraising activities in particular. The fact that the *Second Report* altered established regulatory policy or that the rules adopted differed from those proposed, does not mean that the promulgation of the new rules was arbitrary or in violation of the notice requirements of 5 U.S.C. 553(b). Our *Second Report*, which was premised upon our current understanding of the nature of public broadcasting, established a minimum regulatory framework within which public broadcasters were accorded wider discretion and greater flexibility in their programming determinations, and in their ability to plan for and develop increased non-Federal financial support. The *Second Report* eliminated prior restrictions and an array of highly proscriptive rules that were deemed unnecessary to preserve an essentially noncommercial service and that were constitutionally suspect (*see* para. 2 *supra*). We should point out that Congress not only ratified our action, but further relaxed our policies [34] by: (1) Permitting the use of visual as well as aural logograms; and (2) limiting the prohibition against sponsored announcements promoting goods or services to those paid for by profit entities. (*See*, paras. 7 and 10, *supra*.) Moreover, in compliance with the Administrative Procedure Act, the public was afforded sufficient notice and opportunity to comment. The *Second Report* terminated a two year proceeding in which we published a *Notice of Inquiry* [35] and a *First Report and Notice of Proposed Rule Making*.[36] In our *Notices* We proposed specific rules, apprised the public of the areas under consideration, and solicited comments. The comments received were made public and generally alluded to in the *First Report, supra*. The inherent nature and purpose of a rule making proceeding is open-ended, to allow the agency to analyze and assess the viability and the impact of the proposed rules. We carefully assessed the rules, as proposed, in light of the comments received and our own expertise, and determined that the rules were unduly proscriptive in nature, particularly in the absence of any significant pattern of abuse. We thus abandoned the proposed rules in favor of the more moderate policies set forth in the *Second Report*. An agency is not obligated to continue longstanding policies, with or without a change in circumstances, and may refrain from ultimately adopting rules, as proposed,[37] but is required to rationally and explicitly explain its changed course.[38] In announcing our new policies, we clearly articulated our reasons for not adopting the proposed rules and for altering our policies with respect to public broadcasting.[39] Moreover, the policies enunciated in the *Second Report* came directly within the scope of the entire rule making proceeding (as it concerned the nature of public broadcasting and its fundraising activities), were specifically raised in some of the comments and were directly related to, albeit different from, the rules as proposed.

24. In the *Second Report and Order*, we noted that we had undertaken a comprehensive study of the nature and goals of the public broadcasting system. However, that study was not completed at the time the *Second Report* was adopted. Nevertheless, we believed that we had an adequate record on the rules and policies proposed and an adequate understanding on the nature of the public broadcasting system to go forward with the *Second Report*. Since that action, Congress has made its own statement on the nature and goals of the public broadcasting system, has taken steps to remove restraints on the ability of public stations to raise funds, and has authorized additional studies on the funding problems of public stations by formation of the Temporary Commission on Alternative Funding for Public Telecommunications. Admittedly, at this point, questions still remain as to the nature and goals of the public broadcasting system. However, on the basis of our experience, information gained in various rule making proceedings, pronouncements by Congress, and information gained through the Temporary Commission, we believe we have an adequate understanding of the system to justify the action taken herein.[40]

25. After examining all the information before it, the Commission expressed great confidence in public broadcasters and determined that they will continue to serve the public by providing alternative quality programming, without cumbersome, unnecessary restrictions which will hinder their ability to remain financially viable. Certainly, it would serve no useful purpose to adopt rigid regulations to ensure the noncommercial nature of public broadcasting, if those regulations prevent public broadcasters from obtaining the funds needed to present quality programming or even to survive. The Commission will continue to review complaints, however, and in the event of abuse will revisit this area.

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broadcasters' good faith judgments, but declined to prescribe "minimal time periods" to gauge their conduct. *Second Report, supra* n. 18 at 155–156.

[33] Remote broadcasting refers to those situations where programming originates from a place other than the licensee's studio in the licensee's community—*e.g.*, live broadcasts from nightclubs, theatres and athletic stadiums. The Commission determined that on-the-air promotion of the broadcasting event, if "reasonably related" to the production of the program, would not constitute consideration.

[34] But for the restriction upon the scheduling of donor acknowledgements, Sections 399A and 399B are more liberal than the *Second Report*.

[35] *Notice of Inquiry*, FCC 77–162 (March 15, 1977), 42 FR 15927 (March 24, 1977).

[36] 69 F.C.C. 2d 200 (1978).

[37] *Spartan Radiocasting Co.* v. *FCC*, 619 F. 2d 314, 322 (4th Cir. 1980); *Office of Communications of United Church of Christ* v. *FCC*, 560 F. 2d 529, 532 (D.C. Cir. 1977); *Home Box Office* v. *FCC*, 567 F. 2d 9, 32 (D.C. Cir. 1977); *Greater Boston Television Corp.* v. *FCC*, 444 F. 2d 841 (D.C. Cir. 1970).

[38] *Spartan Radiocasting Co.* v. *FCC*, *supra* at 322 (4th Cir. 1980).

[39] The fact that the rules promulgated differ from those proposed does not require an additional notice, nor does it entitle parties to submit additional comments. *Spartan Radiocasting Co.* v. *FCC*, *supra* at 321; *Consolidated Coal* v. *Costle*, *supra* at 248; *Ethyl Corp.* v. *EPA*, 541 F. 2d 1, 48 (D.C. Cir.) *cert. denied*, 426 U.S. 941 (1976).

[40] *FCC* v. *National Citizens Committee for Broadcasting*, 436 U.S. 775, 814 (1978).

26. For purposes of clarification, we believe that a brief statement concerning (1) the definition of the term "consideration;" and (2) the public broadcasters' responsibilities regarding donor acknowledgements, may be in order. As stated in the *Second Report*, consideration is a broad term that denotes anything of value provided to the public broadcaster, licensee, its principals or its employees. Consideration, thus, encompasses the contribution of programming material and funds, goods and/or services used for programming, as well as in kind contributions (*e.g.* studio equipment) which frees station funds for programming purposes. A public broadcaster is precluded from promoting an individual's or entity's goods, services or activities, where the broadcaster receives or reasonably anticipates the receipt of consideration from such individual or entity (other than a non-profit organization). Thus, a public broadcaster's decision to promote third parties must be based on public-spirited determinations rather than economic considerations. Where consideration, in the form of specific or in-kind contribution is provided, the public broadcaster is, however, required to acknowledge the donor under 47 CFR 73.1212. The donor acknowledgement may include such identifying information as the donor's logogram, and location, but may not promote the donor's goods, services or activities, unless the donor is a non-profit entity. It should be noted that some of the commenting parties believed that logograms are, by definition, informational and thus always permissible. However, logograms are not necessarily limited to identifying the donor, but may contain comparative or qualitative language and be construed as being promotional. Therefore, public broadcasters should review donor acknowledgements, and make a reasonable, good faith determination as to whether they identify, rather than promote. We recognize that it may be difficult to distinguish at times between announcements that promote and those that identify. We only expect our public broadcast licensees to exercise their reasonable, good faith judgements in this regard.

27. The petitioners cited several areas in the *Second Report* as particularly confusing and in need of specific guidelines. Those include (1) the scheduling of licensees' own suspended fundraising activities; (2) the determination of the appropriateness of promotional announcement; and (3) the identification of the origination point of a remote broadcast. The *Second Report* provided public broadcasters with basic standards, and reposed in them the responsibility for its specific implementation. The *Second Report* relied upon public broadcasters' good faith judgements and primary interest in serving the public. We thus do not believe that it is desirable to fashion narrow rules which will circumscribe a licensee's descretion and flexibility in the above-cited areas.

28. Concern has been expressed before Congress and the Commission that this new flexibility afforded public broadcasters in their identification of contributors and in their public-spirited promotion of certain activities (as well as goods or services) marks a trend toward the commercialization of the media and a substantial departure from previous standards. We appreciate the concern, but at this time consider predictions of over-commercialism as speculative and conjectural. We also do not believe that the new standards denigrate the basic distinction between non commercial and commercial stations. The broadcast of promotional announcements on behalf of profit entities will be based upon public interest determinations, not motivated by profit, since public broadcasters are still prohibited from airing such announcements for consideration. Several comments have also expressed fear that the public broadcasting media will succumb to the influence of major corporations with a resultant loss in the public broadcasting service. If anything, we believe that such influence is minimized by the rules concerning donor acknowledgements. By eliminating the "name only" requirement and providing for the inclusion of identifying information, public broadcasters hopefully will be able to attract additional sources of revenue and diversify their pool of underwriters. Thus, we believe that under the new standards, the basic noncommercial nature of public broadcasting is maintained and the opportunites for a broadened financial base of support are increased.[41]

[41] It should be noted that the Congressionally authorized Temporary Commission recommended, among other things, that "FCC rules and policies governing on-air fund-raising activities and promotional identification" be reviewed "in order to adjust rules that inhibit revenue production, consistent with the desire to maintain the noncommercial character of public telecommunications services." *Alternative Financing Options for Public Broadcasting, the Temporary Commission on Alternative Financing for Public Telecommunications*, Vol. I pp. 69–70 (July 1982). We believe that this *Order* implements the Temporary Commission's recommendation in a manner consistent with the Congressional mandate as set forth in Section 399A and Section 399B of the Communications Act.

Conclusion

29. In the following manner, the *Second Report* is revised to conform to Sections 399A and 399B:

1. Donor acknowledgements may include the donor's visual or aural logogram (which may identify the donor's products or services, in a value-neutral, generic sense) as well as the donor's location.

2. The scheduling of donor acknowledgements may not interrupt regular programming.

3. Announcements for which consideration is received and which promote the goods, services or activities of *not-profit* entities are permissible.

30. For the reasons set forth herein, the petition for declaratory ruling is granted; the petition for clarification is granted; the Southern Educational Communications Association's sponsorship identification waiver request (*see* n. 17, *infra*) is granted; and the petitions for reconsideration are denied. The Commission's rules are amended as set forth in the Appendix, effective September 3, 1982.

(Secs. 4, 303, 48 stat., as amended, 1066, 1082; 47 U.S.C. 154, 303)

Federal Communications Commission.

William J. Tricarico,

Secretary.

PART 73—RADIO BROADCAST SERVICES

47 CFR Part 73 is amended as follows:

I. In § 73.503 of the Commission's Rules, paragraph (d) and the **"Note"** immediately following paragraph (d), are revised to read as follows:

§ 73.503 Licensing requirements and service.

* * * * *

(d) Each station shall furnish a nonprofit and noncommercial broadcast service. Noncommercial educational FM broadcast stations are subject to the provisions of § 73.1212 to the extent they are applicable to the broadcast of programs produced by, or at the expense of, or furnished by others. No *promotional* announcement *on behalf of for profit entities* shall be broadcast at any time in exchange for the receipt, in whole or in part, of consideration to the licensee, its principals, or employees. However, acknowledgements of contributions can be made. *The scheduling of any announcements and acknowledgements may not interrupt regular programming.*

Note.—Commission interpretation of this rule, including the acceptable form of acknowledgements, may be found in the *Second Report and Order, (Commission Policy Concerning the Noncommercial Nature of Educational Broadcast Stations),* 86 F.C.C. 2d 141 (1982), and the subsequent Commission's *Order,* Docket No. 21136 (July 15, 1982).

II. In § 73.621 of the Commission's Rules, paragraph (e) and the **"Note"** immediately following paragraph (e), are revised to read as follows:

§ 73.621 Noncommercial educational stations.

* * * * *

(e) Each station shall furnish a nonprofit and noncommercial broadcast service. Noncommercial educational television stations shall be subject to the provisions of § 73.1212 to the extent that they are applicable to the broadcast of programs produced by, or at the expense of, or furnished by others. No *promotional* announcements *on behalf of for profit entities* shall be broadcast at any time in exchange for the receipt, in whole or in part, of consideration to the licensee, its principals, or employees. However, acknowledgements of contributions can be made. *The scheduling of any announcements and acknowledgements may not interrupt regular programming.*

Note.—Commission interpretation of this rule, including the acceptable form of acknowledgements may be found in the *Second Report and Order, (Commission Policy Concerning the Noncommercial Nature of Educational Broadcast Stations),* 86 F.C.C. 2d 141 (1982), and the subsequent Commission *Order,* Docket No. 21136 (July 15, 1982).

Additional Statement of Commissioner Abbott Washburn

July 15, 1982.

Re: Commission Policy Concerning the Noncommercial Nature of Educational Stations.

Once again the Commission brings a fresh, creative approach to fund-raising issues of great concern to public broadcasters. In these days of constricting federal, state and local appropriations and grants to noncommercial licensees, such an approach is particularly useful. The Temporary Commission on Alternative Financing, ably chaired by Commissioner Quello, set a splendid example. Our action today responds affirmatively to one of the Temporary Commission's recommendations to the FCC, specifically, to "review FCC rules and policies governing on-air fund-raising activities and promotional identification in order to adjust rules that inhibit revenue production, consistent with the desire to maintain the noncommercial character of public telecommunications services."*

The item cites the Commission's traditional encouragement of public broadcasting and herein, again, we express our confidence in public broadcasters and add our encouragement to their efforts to maintain financial viability while, at the same time, providing a unique noncommercial service to the public.

[FR Doc. 82-22576 Filed 8-18-82; 8:45 am]

BILLING CODE 6712-01-M

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47 CFR Part 87

Aviation Services; Editorial Amendment of the Commission's Rules To Delete Obsolete Address and Provision

AGENCY: Federal Communications Commission.

ACTION: Final rule.

SUMMARY: This order amends the rules to provide a current address for the Federal Aviation Administration (FAA) and to permit a longer inspection interval for unattended radiobeacon stations. This action was requested by the FAA in order that the rules would reflect the FAA's current address and an inspection interval for unattended radiobeacon stations which is consistent with FAA policy. The intended effect is to provide current information and provisions consistent with FAA policy in the rules.

EFFECTIVE DATE: August 20, 1982.

ADDRESS: Federal Communications Commission, Washington, D.C. 20554.

FOR FURTHER INFORMATION CONTACT: Robert E. Mickley, Private Radio Bureau, (202) 632-7175.

SUPPLEMENTARY INFORMATION:

List of Subjects in 47 CFR Part 87

Aeronautical stations, Communications equipment, General aviation, Radio.

Adopted: August 5, 1982.

Released: August 6, 1982.

In the matter of editorial amendment to delete obsolete address and provision in Part 87 of the Commission's rules and regulations.

1. Section 87.79 of our rules contains an obsolete address for the Federal Aviation Administration (FAA).

2. Section 87.606(a)(5) contains a provision which is at variance with current FAA policy concerning the maximum number of days for inspection of unattended radiobeacon stations. In view of increased equipment reliability, the FAA now recommends that this section be revised to permit inspection intervals of up to 180 days for unattended radiobeacon stations.

3. We are amending the rules to provide a current address for the FAA and to permit inspection intervals for unattended radiobeacon stations which are consistent with FAA policy. Therefore, under the authority of Sections 4(i) and 303(r) of the Communications Act of 1934, as amended, and Section 0.231(d) of the Commission's rules, we are amending §§ 37.79(d) and 87.605(a)(6) as shown in the attached Appendix. Since this amendment is editorial in nature, the public notice, procedure and effective date provisions of the Administrative Procedure Act, 5 U.S.C. 553 do not apply.

4. Regarding questions on matters covered in this document contact Robert E. Mickley, (202) 632-7197.

5. In view of the above, IT IS ORDERED, That the rule amendments set forth in the attached appendix ARE ADOPTED effective August 20, 1982.

(Secs. 4, 303, 48 Stat., as amended, 1066, 1082; 47 U.S.C. 154, 303)

Federal Communications Commission.

Edward J. Minkel,

Managing Director.

PART 87—AVIATION SERVICES

Part 87 of Chapter I of Title 47 of the Code of Federal Regulations is amended as follows:

§ 87.79 [Amended]

1. Section 87.79, paragraph (d) is amended by removing the address "Federal Aviation Administration, Systems Research and Development Service Spectrum Management Branch, ARD-450, 400 7th St., S.W., Washington, D.C. 20590" and inserting in its place, the address "Federal Aviation Administration, Systems Research and Development Service Spectrum Management Branch, ARD-450, 800 Independent Avenue, S.W., Washington, D.C. 20591".

§ 87.505 [Amended]

2. Section 87.505, paragraph (a)(5) is amended by removing the words "60 days" and inserting, in their place the words "180 days".

[FR Doc. 82-22640 Filed 8-18-82; 8:45 am]

BILLING CODE 6712-01-M

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*Temporary Commission on Alternative Financing for Public Telecommunications, *Alternative Financing Options for Public Broadcasting,* Vol. I, 69-70 (1982).

DEPARTMENT OF TRANSPORTATION

National Highway Traffic Safety Administration

49 CFR Part 571

[Docket No. 80-14; Notice 5]

Federal Motor Vehicle Safety Standards; New Pneumatic Tires for Passenger Cars

AGENCY: National Highway Traffic Safety Administration (NHTSA), DOT.

ACTION: Response to petitions for reconsideration; final rule.

SUMMARY: This agency received five petitions for reconsideration of its final rule deleting Table I from Federal Motor Vehicle Safety Standard No. 109. Subsequently, one of the petitioners filed another petition "renewing" its petition for reconsideration. In response to these petitions, the agency is making the following editorial changes to the final rule previously published:

(1) The maximum load for a tire size need not be published in a standardization organization publication, but can be submitted by an individual manufacturer to this agency and to the manufacturer's tire dealers along with the other required technical information related to that new tire size.

(2) The maximum load labeled on the tire sidewall will be used to determine test conditions for the tire in the bead unseating test for temporary spare tires and determining the maximum permissible vehicle load on the tires for purposes of Standard No. 110. The final rule specified that the maximum loads published in a standardization organization yearbook or submitted to this agency by an individual manufacturer would be used as a reference.

(3) The name of the Japanese standardization organization is corrected.

This notice defers action on the requests to change the loading for the high speed test. Recent amendments to the Uniform Tire Quality Grading Standards (UTQGS) have resulted in different tests being specified for the temperature resistance test in UTQGS and the high speed test in Standard No. 109. NHTSA has requested comments on possible means of specifying the same test procedures for these tests. No final action will be taken until these comments have been analyzed.

This notice also denies several requests for amendments. Specifically, it denies requests (1) to maintain a requirement for a minimum size factor, because the agency does not believe that any tire manufacturer will undersize its tires; (2) to alter the testing references for the endurance test, because no data or analyses were presented to suggest that these changes from the old endurance test procedures would pose any testing difficulties or significant changes from the procedures followed with Table I; and (3) to continue advance public notice of the introduction of new tire sizes or tire/rim concepts, because no safety purpose would be served by such advance notice.

EFFECTIVE DATE: The slight editorial changes made herein become effective August 19, 1982.

FOR FURTHER INFORMATION CONTACT: Arturo Casanova, Office of Vehicle Safety Standards, National Highway Traffic Safety Administration, 400 Seventh Street, S.W., Washington, D.C. 20590 (202-426-1714).

SUPPLEMENTARY INFORMATION: NHTSA has published a final rule deleting Table I from Federal Motor Vehicle Safety Standard No. 109 (49 CFR 571.109) at 46 FR 61473; December 17, 1981. Table I was a listing of dimensional and loading information for all passenger car tire sizes. This information has been used by this agency for testing tires for compliance with Standard No. 109 and for determining the appropriateness of the tires for use on particular vehicles in accordance with Standard No. 110. In so acting, NHTSA determined that Table I was not necessary to obtain these testing specifications, since they could be determined from the information labeled on the sidewall of the tires. No other safety-related justifications for retaining the listing were found to exist. Additionally, the agency's experience with administering this listing suggested that the process caused delays in the introduction of new tires and tire concepts and allowed competitors a chance to develop their own versions of the new tires. Based on these considerations, NHTSA dropped the Table I from Standard No. 109, effective June 15, 1982.[1]

Five petitions for reconsideration of that final rule were submitted to the agency. The agency has carefully considered those petitions and granted them to the extent set forth below.

Source of load rating for a tire size. One petitioner, Michelin, generally supported the final rule, but objected to the requirement in section S4.2.1 of Standard No. 109 that the load rating for a tire size be listed in a publication of a standardization organization.[2] According to Michelin, the requirement would allow the standardization organizations to block the listing of a new tire size for reasons unrelated to safety, thereby preventing the introduction of the tire.

NHTSA has no information indicating that any standardization organization would behave in this fashion, and Michelin did not metion any standardization organization with which it had such an experience. In addition, however, in the final rule the agency had inadvertently omitted an alternative to this requirement. The dimensional specifications, test rim widths, and inflation pressure information for a new tire size are permitted by the December final rule either to be published in a standardization organization yearbook or to be submitted directly to the agency by an individual manufacturer. NHTSA intended to treat the maximum load information in the same manner as this other information, and the rule is amended now to do so. This change requires a conforming amendment to Section S4.3.1(c) of Standard No. 110, which also specified that the loading information be published by a standardization organization publication.

The agency also received a petition for reconsideration from Japan Automobile Tire Manufacturers' Association, Inc. (JATMA), the Japanese standardization organization. This organization generally supported the final rule, but requested three editorial changes.

Japanese tire standardization organizations. First, JATMA asked that their organization be listed as the Japanese standardization organization. The standardization organization currently listed, Japanese Industrial Standards, is an organization for all Japanese industry, not just tires, and does not publish yearbooks showing tire load ratings and inflation pressures. Accordingly, this rule is amended to list JATMA as the Japanese standardization organization.

Source of maximum load rating used to determine test conditions. Second, JATMA asked that Section S4.2.2.3(c) of Standard No. 109 (the bead unseating test for temporary spare tire sizes) and Section S4.2.1. of Standard No. 110 (the vehicle maximum load on the tires) be revised to specify that the maximum

[1] Persons interested in obtaining a copy of Table I as it existed on June 14, 1982, may do so by writing to the Docket Section or calling it at (202) 426-2768.

[2] Standardization organizations are voluntary associations composed of representatives of each of the member tire companies. The purpose of these standardization organizations is to establish and promulgate sound engineering standards for tires, rims, and their allied parts.)

load ratings marked on the tire's sidewall be the reference used by the agency to determine the testing conditions. The final rule specified the use of the maximum load published in a standardization organization publication or submitted by an individual manufacturer. That rule already uses the maximum load marked on the sidewall to determine the test conditions for the high speed and endurance tests for Standard No. 109. Such a change would simplify the determination of test conditions for these latter tests and make them consistent with the other tests in Standard No. 109. Accordingly, JATMA's second requested change to the final rule previously published is adopted.

Clarification of references to maximum load ratings. Third, JATMA suggested a revision of section S4.2.1 of Standard No. 109 to clarify the references to maximum load ratings at the end of that section. As already noted, this section has been revised so as to permit manufacturers to individually submit maximum load ratings. In the course of that revision, the agency has clarified the references JATMA addressed in this comment.

The other three petitions for reconsideration indicated that there were more serious problems with the previously published final rule. The three petitioners were the Rubber Manufacturers Association (RMA), a trade association composed of domestic tire manufacturers, Goodyear Tire & Rubber Co. (Goodyear), and the Cooper Tire Company (Cooper).

Minimum tire size factor. All three of these petitioners objected to the requirement in the rule deleting the requirement for a minimum size factor. The essence of these objections was that, absent a minimum size factor, it would be possible for manufacturers to undersize their tires, and that this undersizing could lead to increased incidents of tire failure.

NHTSA still does not believe that a requirement for a minimum size factor is necessary. The size factor of a tire cannot change after the mold is set up to begin producing that size of tire. With all of the engineering and quality control effort involved in designing and producing new tire sizes, it is simply implausible that a tire manufacturer would either intentionally or inadvertently undersize the molds. The undersized tires that would be produced might save the manufacturers a few dollars per tire, but the savings would be more than offset by product liability awards and negative publicity generated. Since automobile manufacturers design cars to a tire's rated load, undersized tires would be overloaded on those cars, and would predictably exhibit higher failure rates than properly sized tires made by other manufacturers. This appears to be a very compelling disincentive to undersizing tires. Hence, the agency concludes that the minimum size factor is not needed in Standard No. 109.

Loading for endurance test. In addition, all three of these petitioners urged the agency to reconsider the changes in the loading of the tires for the endurance tests of Standard No. 109. For that test, Standard No. 109 formerly specified that tires be run for designated periods of time with the loads shown in various inflation columns in Table I. These loads averaged 85 percent of the maximum load of the tire for 4 hours, 93 percent of the maximum load for 6 hours, and 100 percent of the maximum load for 24 hours. Under the new rule published last December, the loads are now 85 percent for 4 hours, 90 percent for 6 hours, and 100 percent for 24 hours. In other words, there is a slight decrease in loading of three percent during the 6 hour phase of this test, while the loading for the other two phases remain constant.

NHTSA does not believe that this slight change will effect the results of the endurance test or its validity as a check of a tire's endurance. The commenter who addressed this issue noted only that there was a change in the 6 hour phase of the test and did not provide any explanation of why they thought that the impact of the change was significant. Accordingly, the loading for the endurance test set forth in the December rule is retained as previously published.

Loading for high speed test. The same three petitioners requested reconsideration of the changes in the loading for the high speed test. The standard requires that a tire must not exhibit any visible damage at the end of the test. Prior to the high speed test, the tire must be conditioned by being run at 50 miles per hour (mph) for two hours. Following this conditioning period, the tire is run for ½ hour at 75 mph, ½ hour at 80 mph, and ½ hour at 85 mph, for a total of 220 miles. The load used during the testing was shown in a particular inflation pressure column in Table I. The load averaged 85 percent of maximum load for alphanumeric tires, between 85 and 86 percent of maximum load for European radial tires, and 87 percent for the domestic P-metric radial tires. The new loading schedule for the high speed test specifies that the tires be loaded with 88 percent of the tire's maximum load. Hence, the new schedule would increase the load on the tire during this test by anywhere from one to three percent of the maximum load, depending on the type of tire.

The notice of proposed rulemaking to delete Table I (45 FR 57466; August 28, 1980) proposed that the load for the high speed test be 85 percent of the maximum load labeled on the sidewall of the tire. However, Chrysler, Ford, and General Motors all urged that this be increased to 88 percent in the final rule (the same level used in Standard No. 119 for tires other than passenger car tires) since the 85 percent figure would require them to use larger tires on a few of their models. The change to the 88 percent figure was made in the final rule.

RMA stated in its petition for reconsideration that the increase to 88 percent of maximum load was "significant and apparently inadvertent." RMA went on to say that while the agency had amended the proposal so as not to force unnecessary increases in tire sizes currently used, it might now be permitting unnecessary decreases in the tire sizes used. Goodyear and Cooper both also argued that this increase in loading could result in the downsizing of tires.

The agency believes that its adoption of 88 percent of a tire's maximum load as the test condition for the high speed test was appropriate and did not make a significant change to Standard No. 109. Eighty-eight percent is the same level which has been used as the load for the high speed test for all tires for use on motor vehicles other than passenger cars since Standard No. 119 became effective. The experience with the testing under that Standard has not shown this loading to be high.

Aside from the fact that this is the same level of loading used for the high speed test for all other tires, it is appropriate that a tire be able to carry a high percentage of its maximum load. Indeed, a properly inflated tire should be able to carry 100 percent of its maximum load on the road. The very definition of the term "maximum load" implies such a capability.

However, for the high speed test, it is necessary to use a figure of less than 100 percent in order to account for the differences between actual on-road conditions and the laboratory test conditions and for the extreme stress to which the tire is subjected. Accordingly, a correction factor of 12 percent of the maximum load was included in the December final rule, which specified that the tire would be tested at 88 percent of its maximum load. This correction factor is admittedly less than the previously specified 13 to 15 percent. But the 12 percent correction factor has

been used for testing tires under Standard 119 for seven years, and all experience shows that correction factor is sufficient to achieve its intended purpose. Absent data demonstrating the contrary, NHTSA can see no reason why this correction factor would not be adequate in Standard No. 109.

As to the significance of the load change, Cooper was the only one of the three petitioners which offered any data on that issue. In an attempt to support its argument, Cooper selected four of its largest alphanumeric tire sizes, and subjected them to an extended version of the high speed test until the tires failed. To run an extended test on a tire, the tester does not stop testing the tire after the 85 mph phase. Instead, he increases the test speed to 90 mph and continues to increase the test speed by 5 mph every ½ hour until the tire fails. Cooper's tests were done first at 85 percent of maximum load (the level formerly specified for these tires) for one set of tires of all four sizes and then at 88 percent of maximum load for another set of tires. Cooper's tests showed that, on average, its tires loaded at 85 percent failed at 367 miles shortly after beginning the 105 mph phase of the extended test. Its tires loaded at 88 percent failed at 332 miles, after completing slightly over half of the 100 mph phase. Thus, the increased load caused a decrease of 35 miles or 9.5 percent. Cooper asserted that these results showed that the increase would shorten tire life on the road and therefore was a significant change to Standard No. 109.

NHTSA does not believe that Cooper's tests support either of its assertions. The high speed test is designed only to measure the ability of the cord body of the tire to retain the tread during sustained high speeds and the resulting high temperatures. NHTSA is unaware of any data even suggesting a positive correlation between miles accumulated before failure on an extended high speed test and predicted service life of a tire. The extended high speed test would be useful in determining the suitability of tires for use on a police pursuit car or a racing car, but, even for those vehicles, the mileage accumulated before failure would not be a valid predictor of service life in miles of the tires.

Moreover, NHTSA believes that Cooper's data actually supports the agency's belief that the change in the loading conditions for the high speed test was insignificant. These data show that the tires passed the high speed test under both test loads by wide margins. In the extended high speed tests, Cooper's tires ran on average slightly over half of the 100 mph phase of the test under the 88 percent load before failing, while those under an 85 percent load failed shortly after entering the 105 mph phase of the test. In either case, the tires not only successfully completed the 85 mph phase, but also exceeded the high speed requirement of Standard 109 by a wide margin. Further, none of the tires were the sort that would be chosen for occasional high speed operations. These data reinforce the agency's expressed belief that the slight increase in stringency for the high speed test is an insignificant increase which will not alter the results of any tests under the standard or require any redesign by tire manufacturers.

Goodyear and Cooper further asserted that the increase in the high speed test loading would allow the car manufacturers to substitute smaller tire sizes than those currently used on new cars. Such substitution could theoretically occur because section S4.2 of Standard No. 110 requires that the normal vehicle load on the tires not exceed the loading used for the high speed test in Standard No. 109. If, for example, the test load of a particular tire type was previously 86 percent of the maximum load rating and is now increased to 88 percent, the 2 percent increase in permissible normal vehicle load might permit the use of the next smallest size of that type of tire on a vehicle. However, none of the petitioners identified which models they believed could be shifted to smaller tires.

To test the petitioners' assertion, NHTSA checked the tires used on automobiles produced by U.S. manufacturers for the 1982 model year. All of these cars offered P-metric tires as standard equipment. As noted above, P-metric tires were formerly tested at an average 87 percent of their maximum load. The one percent increase in load allowed by the December rule will not allow any substitution of a smaller tire size on any of these cars.

All of the 1982 passenger cars offered by the Japanese and European manufacturers use European metric radials as standard equipment. These tires previously were tested at an average of between 85 and 86 percent of maximum load, so it is theoretically possible in isolated cases that the increase would permit the use of smaller tires. However, a survey by the agency of all 1982 models did not reveal any instances in which smaller tire size could in fact be substituted on the cars.

The type of tire for which substitution would most likely be feasible is the alphanumeric tires, formerly tested at 85 percent of their maximum load. This type of tire is no longer offered as standard equipment on any new passenger car. Based on the trend towards the use of radial tires, the alphanumeric tire is very unlikely to be offered as standard equipment on any future new cars. The agency's examination of the possibility of substitutions involving these three types of tires did not reveal any instances where the substitution of smaller tires would be an actual possibility.

Even if there were one or two foreign vehicles on which smaller tire sizes could be and are used, the agency does not believe that that fact would be significant. All new cars must comply with the requirements of section S4.2 of Standard No. 110. This section states that the maximum vehicle load on a tire must not exceed the tire's maximum load, as labeled on its sidewall, and that the normal vehicle load must not exceed 88 percent of that maximum load. Tires and vehicles complying with these requirements would not, in this agency's judgment, present any increased safety hazards over vehicles and tires where the vehicle normal load did not exceed 85 percent of the maximum load. It would be inappropriate for this agency to prohibit the use of smaller tire sizes in situations where the smaller sizes can be used without compromising the safety of the finished automobile.

After considering the above arguments, NHTSA has determined that none of the arguments show that 88 percent figure adopted in the December rule was inappropriate to use for high speed testing or that the increase in loading was a significant change to the standard. Accordingly, the agency is retaining the 88 percent figure.

However, NHTSA is in the process of issuing a proposal which may result in changing the load for high speed testing. The proposal seeks comments on alternative ways of changing the loads used for high speed testing under Standard No. 109 and for the temperature resistance tests used under the Uniform Tire Quality Grading Standards (UTQGS) so that they are the same. Prior to the deletion of Table I from Standard No. 109, the loads used for the two regulations were identical. As a result of changes to Standard No. 109 and UTQGS necessitated by the deletion of Table I, that is no longer true. (See the December 1981 final rule and the interim final rule issued at 47 FR 25930; June 15, 1982.)

Public notice of new tire sizes or tire/rim concepts. RMA argued that it was essential that there be advance public

notice of new tire sizes or new tire/rim concepts. Cooper agreed with RMA on this point. It stated that a smaller tire manufacturer such as itself would not learn in advance of new tire size designations since it does not belong to any foreign standardization organizations and does not have day-to-day contact with the vehicle manufacturers. Additionally, Cooper argued that advance notice would preclude dangerous intermix situations.

The agency does not believe that such formalized advance notice of the introduction of new tire sizes or new tire/rim concepts is necessary for any safety-related reason, as explained in the final rule on this subject. NHTSA does note that advance notice would be useful for competitive reasons. It would aid some manufacturers in learning about the introduction of new sizes and concepts and in producing similar tires of their own. If more manufacturers make a particular tire size, a consumer can expect the competition to produce lower retail prices for the tire size.

On the other hand, the tire tables themselves introduced anti-competitive elements to the market, and may have served as an impediment to market entry.

The NHTSA does not believe publishing notices about new tire sizes and concepts is a necessary or proper function for a safety agency, or that such a mechanism is appropriate for requirement in a safety standard. It appears to be a fairly simple matter for any manufacturer to keep abreast of the activities of foreign standardization organizations either through membership in a standardization organization or on their own. Nevertheless, the agency will consider publishing notice of new tire concepts and sizes when information about them is received from individual manufacturers if those concepts and sizes have not already been publicized as a result of being coordinated with a standardization body. The process of providing such notice would simply inform all interested persons about the introduction. It would not provide any opportunity for those persons to file submissions which would have the effect of delaying the introduction of the new sizes or concepts.

Effective date. The changes made by this notice simply correct an oversight by the agency and change the reference to be used in certain tire tests from maximum load data furnished by a maufacturer or a standardization organization to the maximum load labeled on the tire sidewall. None of these changes specify different test procedures or additional requirements, nor do they require any leadtime for preparation by tire or vehicle manufacturers. Failure to make these changes effective on the date of publication could give rise to a situation described by Michelin, where a tire size which meets all existing safety requirements could not legally be sold until a maximum load rating for that size was published by a standardization organization. Since no additional leadtime is needed to adjust to these changes and since failure to make these changes effective at publication could result in needless delays in the introduction of new tire sizes, NHTSA has determined that good cause exists for making these changes effective upon publication.

Analyses or regulatory impacts. NHTSA has analyzed the impacts of this action and determined that it is neither "major" within the meaning of Executive Order 12291 nor "significant" within the meaning of the Department of Transportation regulatory policies and procedures. These revisions will avert a situation where new tire sizes meeting all existing safety requirements could have their introduction delayed, and simplify the determination of appropriate test conditions. If these revisions have any effect on costs, that effect should be a minimal cost savings. The agency does not believe that these amendments would have any effect on the price of new tires. Innovative tire manufacturers and consumers might benefit from a slightly earlier introduction of new tire technology. Again, this impact would be very minimal. Accordingly, a full regulatory evaluation has not been conducted.

The agency has considered the environmental implications of this rule in accordance with the National Environmental Policy Act of 1969 and determined that this rule will not significantly affect the human environment. Further, for the reasons stated above the agency certifies that this rule will not have a significant economic impact on a substantial number of small entities, and that regulatory flexiblity analysis is, therefore, not required.

List of Subjects in 49 CFR Part 571

Imports, Motor vehicle safety, Motor vehicles, Rubber and rubber products, Tires.

PART 571—FEDERAL MOTOR VEHICLE SAFETY STANDARDS

In consideration of the foregoing, 49 CFR Part 571 is amended as follows:

§ 571.109 Standard No. 109; New pneumatic tires. [Amended]

1. Section S4.2.1(c) is revised to read as follows:

* * * * *

S4.2 *Performance Requirements.*

S4.2.1 *General.* * * *

* * * * *

(c) Its load rating shall be that specified in a submission made by an individual manufacturer, pursuant to S4.4.1(a), or in one of the publications described in S4.4.1(b) for its size designation, type and each appropriate inflation pressure. If the maximum load rating for a particular tire size is shown in more than one of the publications described in S4.4.1(b), each tire of that size designation shall have a maximum load rating that is not less than the published maximum load rating, or if there are differing maximum load ratings for the same tire size designation, not less than the lowest published maximum load rating.

* * * * *

2. Section S4.2.2.3.2(c) is revised to read as follows:

* * * * *

S4.2.2.3 *Tubeless tire resistance to bead unseating.*

* * * * *

S4.2.2.3.2 * * *

* * * * *

(c) 2,500 pounds for tires with a maximum load rating of 1,400 pounds or more, using the maximum load rating marked on the sidewall of the tire.

* * * * *

3. Section 4.4.1(b) is revised to read as follows:

* * * * *

S4.4 *Tire and rim matching information.*

* * * * *

(b) Contained in publications, current at the date of manufacture or any later date, of at least one of the following organizations:

The Tire and Rim Association
The European Tyre and Rim Technical Organisation
Japan Automobile Tire Manufacturers' Association, Inc.
Deutsches Institut fur Normung
The Society of Motor Manufacturers & Traders, Ltd.
British Standards Institution
Scandavanian Tire and Rim Organization

* * * * *

§ 571.110 Standard No. 110; Tire selection and rims. [Amended]

4. Section S4.2.1 is revised to read as follows:

* * * * *

S4.2 *Tire load limits.*

S4.2.1 The vehicle maximum load on the tire shall not be greater than the applicable maximum load rating as marked on the sidewall of the tire.

* * * * *

5. Section S4.3.1(c) is revised to read as follows:

* * * * *

S4.3.1 * * *

(c) The tire load rating specified in a submission by an individual manufacturer, pursuant to S4.4.1(a) of Motor Vehicle Safety Standard No. 109, or contained in one of the publications described in S4.4.1(b) of Motor Vehicle Safety Standard No. 109 for the tire size at that inflation pressure is not less than the vehicle load on the tire for that vehicle loading condition.

The program official and attorney principally responsible for the development of this agency response to the petitions for reconsideration are Arturo Casanova and Stephen Kratzke, respectively.

(Secs. 102, 119, and 202, Pub. L. 89-563, 80 Stat. 718 (15 U.S.C. 1392, 1407, and 1422); delegation of authority at 49 CFR 1.50.)

Issued on August 12, 1982.

Raymond A. Peck, Jr.,

Administrator.

[FR Doc. 82-22303 Filed 8-12-82; 2:56 pm]

BILLING CODE 4910-59-M

INTERSTATE COMMERCE COMMISSION

49 CFR Part 1104A

[Ex Parte No. MC-129 [1]]

1977-1978 Platform Study of Class I and Class II Motor Common Carriers of General Freight Subject to Accounting Instruction 27

AGENCY: Interstate Commerce Commission.

ACTION: Final rule and notice of decision.

SUMMARY: The Commission adopts the national weight formula, as outlined in the Commission's 1977-78 Motor Carrier Platform Study (Statement No. 2S1-79), for developing platform handling times for motor carrier shipments. The time factors will be used in connection with the Commission's regional cost studies. These factors will provide a more reasonable and accurate assignment of motor carrier platform expense than the current methodology.

The use of these results by motor common carriers of general freight is permitted in proceedings where the allocation of platform handling costs is required for accounting purposes. This permission is made explicit by the creation of a new Part 1104A of Title 49, Chapter X, of the Code of Federal Regulations.

EFFECTIVE DATE: September 20, 1982.

ADDRESS: To purchase copies of the complete decision contact: TS Infosystems, Inc., Room 2227, 12th and Constitution Ave. NW., Washington, D.C. 20423; (202) 289-4357—D.C. Metropolitan Area and (800) 424-5403—toll free for outside D.C. area.

FOR FURTHER INFORMATION CONTACT:

Dr. Leslie J. Selzer (202) 275-7627, Bureau of Accounts; or
Kent A. Phillips (202) 275-6784, Bureau of Accounts

SUPPLEMENTARY INFORMATION: By Notice of Proposed Rulemaking served September 10, 1979 (44 FR 53190, September 13, 1979), we initiated a rulemaking to determine whether the *1977-1978 Motor Carrier Platform Study*, Statement No. 2S1-79, July 1979, should be adopted. Public comment applicable to the study was invited. Eight parties, including shippers, shippers' associations, motor carriers and motor rate bureaus, filed comments. We have considered the matters and criticisms raised by the parties and have concluded that implementation of the study results are warranted. Adoption and immediate implementation of the study will be limited to the national weight formula for developing platform handling times as specifically outlined in Statement No. 2S1-79, *supra*.

The Regulatory Flexibility Act (5 U.S.C. 600-12) is not applicable to this proceeding since it was instituted prior to January 1, 1981. See 5 U.S.C. 601 (note).

This decision will not significantly affect the quality of the human environment or conservation of energy resources.

(49 U.S.C. 10321, 10701 and 10706)

Dated: August 6, 1982.

By the Commission, Chairman Taylor, Vice Chairman Gilliam, Commissioners Sterrett, Andre, Simmons, and Gradison.

Agatha L. Mergenovich,

Secretary.

List of Subjects in 49 CFR Part 1104A

Freight, Motor Carriers, Uniform System of Accounts.

Appendix

Chapter X of Subtitle B of Title 49 of the Code of Federal Regulations is to be amended by adding a new Part 1104A to read as follows:

PART 1104A—USE OF 1977-1978 STUDY OF MOTOR CARRIER PLATFORM HANDLING FACTORS

Authority: 49 U.S.C. 10321, 10701 and 10706.

Sec.
1104A.1 Scope.
1104A.2 Purpose.

§ 1104A.1 Scope.

The provisions of this part apply only to Class I and II motor common carriers of general freight subject to accounting instruction number 27 of the Commission's Uniform System of Accounts (49 CFR Part 1207).

§ 1104A.2 Purpose.

In any proceeding requiring the development of platform handling times for distribution of platform expense, carriers may use the results of the national weight formula contained in the Commission's study, *entitled 1977-1978 Motor Carrier Paltform Study*, Statement 2S1-79.

[FR Doc. 82-22607 Filed 8-18-82; 8:45 am]

BILLING CODE 7035-01-M

FEDERAL TRADE COMMISSION

16 CFR Part 13

[Docket No. 9093]

American Dental Association; Prohibited Trade Practices, and Affirmative Corrective Actions

AGENCY: Federal Trade Commission.

ACTION: Modifying order.

SUMMARY: The Federal Trade Commission has modified its Decision and Order issued against the American Dental Association (ADA) on September 6, 1979 (44 FR 64803), pursuant to Paragraph I(A) of the order, which provides that upon entry of a final adjudicated order granting relief against the American Medical Association (AMA), the Commission will reissue its order against the ADA, so that the prohibitions dealing with restrictions on advertising conform to those entered against the AMA.

DATES: Decision and Order issued September 6, 1979. Modifying order issued August 3, 1982.

FOR FURTHER INFORMATION CONTACT:

FTC/CS-8, Arthur N. Lerner, Washington, D.C. 20580 (202) 724-1341.

SUPPLEMENTARY INFORMATION: In the Matter of American Dental Association, a corporation. Codification appearing at 44 FR 64803 remains unchanged.

[1] Formerly docketed as No. 36388.

List of Subjects in 16 CFR Part 13

Dentists, Dental services.

(Sec. 6, 38 Stat. 721; 15 U.S.C. 46. Interprets or applies sec. 5, 38 Stat. 719, as amended; 15 U.S.C. 45)

The Modification of Decision and Order, including order requiring report of compliance, is as follows:

In the Matter of American Dental Association, a corporation; Docket No. 9093; modification of Decision and Order.

The Commission having heretofore issued its complaint charging the respondent named in the caption hereof with violation of Section 5 of the Federal Trade Commission Act, as amended, and the respondent having been served with a copy of that complaint, together with a notice of contemplated relief; and

The respondent, its attorney, and counsel for the Commission having thereafter executed an agreement containing a consent order, an admission by the respondent of all the jurisdictional allegations set forth in the complaint, a statement that the signing of said agreement is for settlement purposes only and does not constitute an admission by respondents that the law has been violated as alleged in such complaint, and waivers and other provisions as required by the Commission's Rules; and

The Commission having considered the matter and having thereupon accepted the executed consent agreement and placed such agreement on the public record for a period of sixty (60) days, and having duly considered the comments filed thereafter by interested persons pursuant to Section 3.25 of its Rules, and in further conformity with the procedure prescribed in Section 3.25(f) of its Rules, having entered an order in Docket No. 9093, the Commission now, in accordance with paragraph I of the order in Docket No. 9093, hereby makes the following jurisdictional findings and enters the following order:

1. Respondent American Dental Association ("ADA") is an Illinois corporation, with its principal place of business at 211 East Chicago Avenue, Chicago, Illinois.

2. The Federal Trade Commission has jurisdiction of the subject matter of this proceeding and of the respondent, and the proceeding is in the public interest.

Order

Definitions

For purposes of this Order, the following definitions shall apply:

"Respondent" means the American Dental Association ("ADA") and its councils, departments, committees, divisions, subdivisions, trustees, officers, delegates, representatives, agents, employees, successors, and assigns.

"Constituent societies" means those dental societies or dental associations defined as constituent societies in the January 1, 1978, edition of the American Dental Association's *Constitution and Bylaws* and, in the event that the American Dental Association's *Constitution and Bylaws* is amended to denominate constitutent societiesdifferently or to describe a new category of dental societies which replace or are roughly equivalent to constituent societies, "constituent societies" means those dental societies as well.

"Component societies" means those dental societies or dental associations defined as component societies in the January 1, 1978, edition of the American Dental Association's *Constitution and Bylaws* and, in the event that the American Dental Association's *Constitution and Bylaws* is amended to denominate component societies differently or to describe a new category of dental societies which replace or are roughly equivalent to component societies, "component societies" means those dental societies as well.

I

It is ordered that respondent American Dental Association directly or indirectly, or through any corporate or other device, in or in connection with respondent's activities as a professional association in or affecting commerce, as "commerce" is defined in the Federal Trade Commission Act, do forthwith cease and desist from:

A. Restricting, regulating, impeding, declaring unethical, interfering with, or advising against the advertising or publishing by any person of the prices, terms or conditions of sale of dentists' services, or of information about dentists' services, facilities of equipment which are offered for sale or made available by dentists or by any organization with which dentists are affiliated;

B. Restricting, regulating, impeding, declaring unethical, interfering with, or advising against the solicitation, through advertising or by any other means, including but not limited to bidding practices, of patients, patronage, or contracts to supply dentists' services, by any dentist or by any organization with which dentists are affiliated; and

C. Inducing, urging, encouraging, or assisting any dentist or any dental association, group of dentists, hospital, insurance carrier or any other non-governmental organization to take any of the actions prohibited by this Part.

Nothing contained in this Part shall prohibit respondent from formulating, adopting, disseminating to its constituent and component dental organizations and to its members, and enforcing reasonable ethical guidelines governing the conduct of its members with respect to representations, including unsubstantiated representations, that respondent reasonably believes would be false or deceptive within the meaning of section 5 of the Federal Trade Commission Act, or with respect to uninvited, in-person solicitation of actual or potential patients, who, because of their particular circumstances, are vulnerable to undue influence.

II

It is further ordered that respondent American Dental Association cease and desist from taking any formal action against a person alleged to have violated any ethical standard promulgated in conformity with this Order without first providing such person with:

A. Reasonable written notice of the allegations against him or her;

B. A hearing wherein such person or a person retained by him or her may seek to rebut such allegations; and

C. The written findings or conclusions of respondents with respect to such allegations.

III

It is further ordered that respondent American Dental Association:

A. Send by first class mail a copy of a letter in the form shown in Appendix A to this Order to each of its present members and to each constituent and component organization of respondent, within sixty (60) days after this Order becomes final.

B. For a period of ten years, provide each new member of respondent and each constituent and component organization of respondent with a copy of this Order at the time the member is accepted into membership.

C. Within ninety (90) days after this Order becomes final, remove from respondent American Dental Association's *Principles of Ethics,* and *Official Advisory Opinions,* and from the constitution, bylaws, codes, standards of dentist conduct, and any other existing policy statements or guidelines of respondent, any provision, interpretation or policy statement which is inconsistent with the provisions of Part I of this Order and, within one hundred and twenty (120) days after this

Order becomes final, publish in the *Journal of the American Dental Association* and in *ADA News* the revised versions of such documents, statements, or guidelines.

D. Require as a condition of affiliation with respondent that any constituent or component organization agree by action taken by the constituent or component organization's governing body to adhere to the provisions of Parts I and II of this Order.

E. Terminate for a period of one year its affiliation with any constituent or component organization within one hundred and twenty (120) days after learning or having reason to believe that said constituent or component organization has engaged, after the date this Order becomes final, in any act or practice that if committed by respondent would be prohibited by Part I or II of this Order.

IV

It is further ordered that respondent American Dental Association:

A. Within sixty (60) days after the Order becomes final, publish a copy of this Order with such prominence as feature articles are regularly published in the *Journal of the American Dental Association* and in *ADA News* or in any respective successor publications.

B. Within one hundred and twenty (120) days after this Order becomes final, file a written report with the Federal Trade Commission setting forth in detail the manner and form in which it has complied with this Order.

C. For a period of five (5) years after this Order becomes final, maintain and make available to the Commission staff for inspection and copying upon reasonable notice, records adequate to describe in detail any action taken in connection with the activities covered by Part I of this Order, including but not limited to any advice or interpretations rendered with respect to advertising or solicitation involving any of its members.

D. Within one year after this Order becomes final, and annually thereafter, for a period of five (5) years, file a written report with the Federal Trade Commission setting forth in detail any action taken in connection with the activities covered by Part I of this Order, including but not limited to any advice or interpretations rendered with respect to advertising or solicitation involving any of its members.

V

It is further ordered that respondent American Dental Association shall notify the Commission at least thirty (30) days prior to any proposed change in the respondent, such as dissolution, assignment, or sale resulting in the emergence of a successor corporation or association, or any other change in the corporation or association which may affect compliance obligations arising out of this Order.

By direction of the Commission.

Issued: August 3, 1982.

Appendix A

[ADA Regular Letterhead]

Dear Doctor: As your are probably aware, in January of 1977, the Federal Trade Commission issued a complaint against the ADA, the Indiana Dental Association, the Indianapolis District Dental Society, the Virginia Dental Association, and the Northern Virginia Dental Society. The administrative complaint alleged that certain portions of ADA's Principles of Ethics and advisory opinions regarding advertising and solicitation by dentists were in violation of the Federal Trade Commission Act.

We entered into a consent order with the FTC, without admitting any violation of the law, which provided that we and the FTC would be bound by the final outcome of a similar FTC case (Docket No. 9064) principally as it relates to FTC jurisdiction, ethical restrictions on advertising and solicitation, and relief. That case has been ultimately decided and, as agreed in our consent order, the FTC has issued a final order against ADA based upon the final order in FTC Docket No. 9064. The final order is printed in the [insert issue date] issue of the *Journal of the American Dental Association*, the [insert issue date] issue of *ADA News* and may be obtained from the ADA headquarters or from your state or local dental society.

Among other things, the order forbids any action by ADA that would restrict its members' solicitation of patients by advertising or other means. However, the order does not prohibit the ADA from formulating and enforcing reasonable ethical guidelines governing deceptive advertising and solicitation (including unsubstantiated representations). The ADA may also issue guidelines concerning uninvited, in-person solicitation of patients who, because of their particular circumstances, are vulnerable to undue influence.

Because in Docket No. 9064 the Commission decided in its discretion not to apply the order to local societies, the Commission has also omitted local societies from the final ADA order. However, the order requires ADA to sever all ties for one year with any state or local dental society that engages in conduct of the type prohibited under the order, as well as requiring ADA to amend the *ADA Principles of Ethics* and the *ADA Official Advisory Opinions*.

Thank you for your cooperation.

Sincerely,

James A. Tobin,

Acting Secretary.

[FR Doc. 82-22693 Filed 8-18-82; 8:45 am]

BILLING CODE 6750-01-M

CONSUMER PRODUCT SAFETY COMMISSION

16 CFR Part 1204

Omnidirectional Citizens Band Base Station Antennas; Final Consumer Product Safety Rule and Certification Regulation

AGENCY: Consumer Product Safety Commission.

ACTION: Final rule.

SUMMARY: The Consumer Product Safety Commission issues on a final basis a consumer product safety standard for omnidirectional Citizens Band base station antennas to reduce the risk of injury to consumers caused by electric shock occurring when the antenna comes into contact with electric power lines while the antenna is being put up or taken down.

The standard contains performance requirements intended to ensure that if the antenna contacts a power line of 14.5 kV rms or less, line to ground, it will not transmit a harmful amount of electric current to a person holding the antenna mast.

The Commission is also issuing a certification rule to establish requirements for manufacturers and importers to observe in conducting tests to ensure that their antennas comply with the standard and in issuing certifications that their products comply with the standard.

DATES: (1) Effective date: The standard and certification date will become effective on February 25, 1983, or on the day after expiration of the 90 calendar day period of continuing session of Congress following promulgation of the standard and certification rule, whichever date is later. The Commission will publish a notice in the **Federal Register** at a later time to confirm the effective date of the standard and certification rule.

Additionally, upon written application, the Commission may extend the effective date of the standard and certification rule for as long as an additional 90 days for a manufacturer or importer of antennas subject to the standard having 750 employees or less, provided that such firm is not a subsidiary or division of a firm having more than 750 employees, including employees of all divisions and subsidiaries.

(2) Date of promulgation: For purposes of judicial review, the Commission has specified that the standard and certification rule shall be promulgated at

12:00 noon, Eastern Daylight Time, on August 30, 1982.

ADDRESS: Applications for extensions of the effective date of the standard and certification rule should be sent to the Associate Executive Director for Compliance and Administrative Litigation, Consumer Product Safety Commission, Washington, D.C. 20207.

FOR FURTHER INFORMATION CONTACT: Richard D. Early, Division of Regulatory Management, Directorate for Compliance and Administrative Litigation, Consumer Product Safety Commission, Washington, D.C. 20207; telephone: (301) 492–6400. All inquiries from the press and broadcast media should be directed to Lou Brott, Office of Public Affairs, Consumer Product Safety Commission, Washington, D.C. 20207; telephone: (202) 634–7780.

SUPPLEMENTARY INFORMATION:

A. Background

During the three year period from 1975 through 1977, the peak years for CB antenna sales, the Commission estimates that over 700 persons were electrocuted while putting up or taking down communications antennas and that about 60 percent of these deaths involved omnidirectional CB antennas. (*1*)[1] Since 1976, the industry has experienced a significant decline in sales of CB antennas (*2*), resulting in a related decline in electrocutions.(*3*)

About 175 fatalities are estimated to be associated with omnidirectional CB antennas in 1976. The estimated number of fatalities declined to about 125 in 1977 and to about 55 in 1978. Since then, the number of fafalities appears to have leveled off at about 45–50 each year.(*4*) In addition to the 45–50 deaths occurring each year, it is estimated that a somewhat greater number of injuries occur annually; about half of them serious enough to require surgery, amputation, skin grafts, or other major attention.(*5*) It is common for multiple deaths or injuries to occur in a single accident.(*6*)

The Commission's staff has estimated that in both 1979 and 1980 about 20 percent of the accidents invovled antennas less than a year old, resulting in about 8 deaths per year associated with relatively new antennas. Although the Commission staff developed a model of death rates based on sales which projected 3 deaths from new antennas for 1979, more recent information indicates that this is probably low and that the number occurring each year may be closer to 8.(*7*)

As a result of the information that it received concerning the deaths and injuries associated with communications antennas, and in response to a petition filed with the Commission by Lawrence H. Chapman on June 29, 1976 (Petition CP 76–19), the Commission took several actions. First, the Commission reasoned that if consumers knew of the danger and how to avoid it, they would be able to take steps to protect themselves. Therefore, the Commission issued a rule (16 CFR Part 1402) requiring manufacturers and importers of (*1*) outdoor Citizens Band (CB) based station antennas, (*2*) outdoor television antennas, and (*3*) antennas supporting structures to provide purchasers with (a) instructions on how to avoid the hazard of contacting electric power lines with the antenna or supporting structure while putting it up or taking it down, (b) labels on the antennas (and provided with the supporting structures), describing the hazard of electrocution and referring the reader to the instructions, and (c) statements on the packaging or parts container, and at the beginning of the instructions, describing this hazard and referring the reader to the instructions. A detailed discussion of the rule and the reasons for issuing it is in the **Federal Register** document that issued the rule (43 FR 28392; June 29, 1978).

In addition, the Commission concluded that, while the labeling rule of Part 1402 is necessary in order to reduce the deaths that occur due to the contact of television and CB base station antennas with electric power lines, a standard that would help ensure that the antenna would not supply a harmful amount of electricity to the installer if the antenna did contact a power line would address the risk of electrocution more effectively than labels and instructions alone and thereby cause a greater reduction in deaths and injuries. (44 FR 38854; July 3, 1979.)

Consequently, the Commission initiated a study to determine the feasibility of a safety standard for antennas. The study examined many methods for addressing the electrocution hazard and concluded that a standard was feasible for omnidirectional antennas; and that external insulation of the antennas was the most promising approach for providing protection. (*8*)

After considering the available information, the Commission preliminarily determined that a consumer product safety standard was necessary to eliminate or reduce an unreasonable risk associated with omnidirectional CB base station antennas. While the Commission was aware of the risk associated with all CB base station antennas, it was also aware that standards for directional and omnidirectional antennas presented different technical problems. The directional antennas are generally heavier and more complex than the omnidirectional type due to the array of elements required to produce its directional characteristics. The Commission believed that a standard applicable only to omnidirectional CB base station antennas could be developed more quickly than a standard that would be applicable to both directional and omnidirectional antennas. Furthermore, the Commission was aware that omnidirectional CB base station antennas are more common than the directional type. Therefore, the scope of the standard development proceeding was limited to omnidirectional antennas. (44 FR 53677; September 14, 1979)

The provisions of section 7 of the Consumer Product Safety Act (15 U.S.C. 2056) which were in effect in 1979 authorized the Commission to develop a consumer product safety standard in any of the following ways:

1. By soliciting offers from persons or organizations outside the Commission to develop a recommended standard. Persons submitting such offers were referred to as "offerors," and the development of recommended standards in this manner was called the "offeror process."

2. By inviting persons or organizations outside the Commission to submit to the Commission an existing standard which could be proposed as a consumer product safety standard.

3. By publishing an existing standard or combination of existing standards as a proposed consumer product safety standard; or

4. By developing the proposed standard itself if the Commission determines that it is "more expeditious" than development by the offeror process.

After considering these alternatives, the Commission determined that it would be more expeditious for the Commission to develop this standard itself than for interested parties outside the Commission to develop the standard. In the **Federal Register** of July 3, 1979 (44 FR 38854), the Commission

[1] Numbers in parentheses are references to notes at the end of this notice. Each note contains citations to a Bibliography of documents related to the development of the standard, also printed at the end of this notice. Requests for inspection of any of the documents listed in the Bibliography should be made at the Commission's public reading room, 1111 18th Street, N.W., 8th Floor, Washington, D.C. 20207, or by calling the Office of the Secretary at (301) 492–6800.

published a notice announcing its determination to develop the standard itself and requesting public comment on the determination.

After evaluating these comments, the Commission published a Notice of Proceeding in the **Federal Register** to commence the formal development proceeding (44 FR 53676; September 14, 1979). The Commission also solicited participation in the standard development proceeding by interested persons outside the Commission and contributed to the costs of some of the persons who participated. The persons outside the Commission participated by attending a series of four public meetings by attending some open staff development meetings, by performing some individual task assignments, and by submitting comments by mail or phone throughout the proceeding, on the final draft of the standard which the staff recommended to the Commission.

A. In order to allow time for comment by other agencies concerned with communications antennas, the Commission extended the development period until July 31, 1982 (46 FR 31901; June 18, 1981).

B. Proposed Consumer Product Safety Standard

In the **Federal Register** of August 14, 1981 (46 FR 41081), the Commission proposed for public comment two approaches for reducing risks of injury associated with omnidirectional Citizens Band base station antennas which may be caused by electric shock if the antenna contacts an electric power line while the antenna is being put up or taken down.

The first approach was to propose a mandatory consumer product safety standard with performance requirements to ensure that an antenna will not transmit a harmful amount of electric current to a person holding the antenna if the antenna contracts a power line. This approach also involved the proposal of a mandatory certification rule to establish requirements for testing of antennas by manufacturers and importers to support certificates of compliance with the standard, which are required by section 14 of the Consumer Product Safety Act (15 U.S.C. 2063).

The second approach set forth in the proposal was to publish the standard as a nonmandatory test method which manufacturers could use voluntarily to produce antennas that would resist transmission from power lines of a potentially lethal electrical current to consumers who are in contact with the antenna mast. Under the second approach published in the notice of August 14, 1981, the proposed certification rule would not be issued on a mandatory basis, but could be used by manufacturers producing antennas that comply with the voluntary test method as a basis for certifying that their products comply with that test method.(*9*).

C. Amendment of Consumer Product Safety Act

On August 13, 1981, the Consumer Product Safety Amendments of 1981 (the 1981 amendments, Pub. L. 97–35, title 12, subtitle A; 95 Stat. 703) became law. This legislation makes several changes to the CPSA, including amendments of sections 7 and 9, which govern issuance of consumer product safety standards. However, section 1215 of Pub. L. 97–35 provides that the amendments to sections 7 and 9 apply only to proceedings which are initiated by notices of proposed rulemaking published after August 14, 1981.

Because the notice proposing the standard and certification rule for omnidirectional antennas was published on August 14, 1981, the amendments to sections 7 and 9 of the CPSA made by the 1981 amendments are not applicable to this proceeding. For this reason, all references to sections 7 and 9 in this notice are to the provisions of those sections which were in effect immediately before the effective date of the 1981 amendments.

D. Response to Proposal

In response to the notice of August 14, 1981, the Commission received 11 written comments on the proposed standard. Additionally, 11 persons made oral presentations concerning the proposed standard at a public hearing on September 22, 1981. The Commission's analysis of these comments appears below under the heading "Comments on the proposal."

After consideration of all written comments and oral presentations received in response to the proposal of August 14, 1981, and all other available information which is relevant to this proceeding, the Commission has decided to issue the standard on a final basis, and to issue a final mandatory certification rule.

E. Requirements of the Standard

The standard and certification regulation issued below contain the same substantive requirements as those proposed in the notice of August 14, 1981.

The standard is intended to reduce the risk of electrocution or serious injuries occuring if an omnidirectional CB base station antenna contacts an electric power line while the antenna is being put up or taken down. Under the standard, a manufacturer may accomplish this in one of two ways. A manufacturer may elect to insulate the antenna so that if it contacts the power line, there is less of a chance that a harmful electric current will be transmitted from the power line through the antenna to the person holding the antenna mast. Or, a manufacturer may elect to incorporate an insulating barrier between the antenna and the mast or other supporting structure, so that a harmful electric current will not pass from the antenna to a person in contact with the mast. (If this alternative is chosen, the feed cable from the antenna must be insulated or othewise protected so that it would not provide an electrical path to the mast or a person touching the cable.)

The standard specifies two performance tests to determine if the means chosen by the manufacturer to protect against the shock hazard will provide adequate protection (§ 1204.3)(c)).

The first is an Insulating Material Effectiveness Test (§ 1204.4(d)) in which a high voltage electrode or test rod is brought into contact with the antenna at any point within the protection zone established by § 1204.2(k) (above 12 inches above the top of the mast) to ensure that the insulation can withstand the voltage for 5 minutes without transmitting more than 5 milliamperes (mA) root-mean-square (rms) of electrical current.

The second test is an Antenna-Mast System Test (§ 1204.4(e)) ("Antenna Drop Test") which is intended to determine if the means provided to protect against electrocution will withstand the stress imposed when an antenna-mast system falls onto a power line. This test consists of mounting the antenna to be tested on a specified mast and allowing the assembled antenna and mast to fall onto a power line of 14,500 volts rms phase to ground. The antenna passes the test if it does not transmit more than 5 mA rms of electrical current. If the mast does not slide off the power line in the course of the fall, it must be able to maintain this level of protection for a period of 5 minutes.

If the ability of an antenna to pass these tests is dependent on the degree of insulation or other property of the feed cable attached to the antenna, the manufacturer is required to supply 50 feet of the cable with the antenna (§ 1204.3(b)).

Section 1204.5 requires manufacturers to include a statement in the instructions

warning users to keep away from overhead wires and, if the antenna nears any overhead wires, to immediately let go, stay away, and call the utility company. The reason for this requirement is that the standard will not provide protection against electrocution in every instance when an antenna contacts a power line.

F. Rationale for requirements of the standard

The following is a discussion of the rationale for particular provisions of the standard. A more detailed discussion of the rationale can be found in the Commission document "Rationale Supporting Proposed Safety Standard for CB Base Station Omnidirectional Antennas," dated February 26, 1981 (E–48).

Product definition. For the purposes of the standard, "Omnidirectional CB base station antenna" means an antenna designed to be used with a transmitter and/or receiver operating in a fixed location in the frequency band allocated for citizens band radio service (presently 26.96–27.41 megahert (MHz)), where the antenna exhibits approximately equal signal transmission or reception capabilities in all horizontal directions simultaneously (§ 1204.2 (a), (c), (d), and (j)).

The requirements of the standard apply to omindirectional CB base station antennas that are "consumer products." (§ 1204.1(c)). Section 3(a)(1) of the Consumer Product Safety Act (CPSA, 15 U.S.C. 2052(a)(1)), defines the term "consumer product" as an "article, or component part thereof, produced or distributed (i) for sale to a consumer for use in or around a permanent or temporary household or residence, a school, in recreation, or otherwise, or (ii) for the personal use, consumption or enjoyment of a consumer in or around a permanent or temporary household or residence, a school, in recreation, or otherwise." The term does not include products that are not customarily produced or distributed for sale to, or for the use or consumption by, or enjoyment of, a consumer. A limited exception from the coverage of the standard is provided by section 18(a) of the CPSA (15 U.S.C. 2067(a)) for certain products intended for export and meeting the requirements of section 18(b) of the CPSA.

Allowable current and current monitoring device. The standard requires that the electric current through the antenna-mast system, when tested according to the standard, may not exceed that which produces a 5 mA rms reading on the current monitoring device shown in Fig. 1. This level was selected on the basis of studies that indicate that more than 99.5 percent of the adult population is able to let go of an object that is energized at a current level of 6 mA rms at 60 Hz. Thus, at 60 Hz, 5 mA is below the "can't let go" level that would freeze a person to an energized object and is also below the level of current that would interfere with normal operation of the heart.(*10*)

During experimental testing of prototype insulated antennas, it was found that corona effects during high voltage tests caused higher frequency transient currents, in addition to the 60 Hz current directly caused by the applied voltage. When testing at nearly the specified test voltage (14.4 kV rms), these fast transient currents were measured as occurring at a rate of approximately 9 kHz. The Commission conducted a literature search to determine what hazards might be posed by these high frequency currents. Little data were found, but comparision of these currents with transient currents commonly used in human electrosurgery led to the conclusion that those corona currents posed very little, if any, risk of electrocution or severe shock.

After evaluation experimental data on skin burns at various currents, the Commission staff concluded that a current of 10 mA would be safe from a burn standpoint, considering the area of skin contact that would be likely when consumers contacted an antenna mast. Thus, a general maximum of 10 mA is needed to protect against burns, while at low frequencies such as 60 Hz, no more than 5 mA should be allowed in order to protect against electrocution.

Accordingly, the current measuring device shown in Fig. 1 incorporates a frequency-responsive bypass circuit that has the effect of routing up to half of the high frequency component of current around the meter. A meter reading of 5 mA, therefore, would allow up to 10 mA of high frequency current in the absence of any low frequency current, but would limit the more dangerous low frequency current to 5 mA.

Power line voltage. The Commission staff found that 98 percent of the accidents (*11*) resulting from contact between ominidirectional CB base station antennas and power lines, and 95 percent of the total mileage of distribution circuits (*12*), involved voltages under 14.5 kV rms phase-to-ground. In view of the technical difficulty and increased cost involved in protecting against higher voltages (*13*), 14.5 kV was chosen as the test voltage.

Point of antenna contact (protection zone). In seventy-five percent of these accidents, contact occurred within the top 5 feet, in about 85 percent within the top 8 feet.(*14*) The protection zone (the area of the antenna from the tip of the antenna to a point 12 inches above the top of the mast) addresses the contact area for about 95 percent of the accidents investigated, while excluding the difficult to protect area near the mast that may contain hardware for connecting the antenna and the mast.(*15*)

Contact time (§ 1204.4(d)(3), 1204.4(e)(3)). The standard requires contact with the test voltage source for five minutes. Research performed for the Commission during the development of the standard indicates that the insulating materials evaluated either failed in less than 5 minutes or withstood the applied voltage for a substantially longer period.(*16*) Five minutes is technologically feasible and sufficient for the installer to perceive the hazard and get away from the antenna.

Interpretation of results. (§ 1204.4(f)). The standard states that an antenna system shall pass the test specified if no electrical breakdown occurs and if no current reading exceeds 5 mA rms during the test. The Commission believes it is important that the test criteria identify both modes of failure. Electrical breakdown is the usual mode of failure, but due to the suddenness of this breakdown and the large currents involved, it is not practical to define breakdown in terms of observed current flow. However, laboratory tests have identified another form of failure, in which the current exceeded 5 mA without breakdown occurring.(*17*)

Field joint protection. The standard requires that protective components which must be put in place by the person assembling the antenna must be integral, with, or not readily removable from, at least one part of the antenna. The Commission recognizes that, because of shipping restrictions, there will have to be at least one field joint in the longer antennas. For structural purposes, this joint will most likely be metal and therefore, without a protective component, may cause a shock hazard if it contacts a power line in the accident scenarios described above. The purpose of the field joint protection requirement is to assure that the protective accessory for the joint cannot be readily misplaced or knowingly discarded by the person assembling the joint in the field.

Feed cable. The standard requires that the manufacturer supply 50 feet of feed cable with the antenna when compliance with the requirements is dependent upon the insulation material or other properties of the cable.

Since currently available feed cable may not provide sufficient insulation

(*18*) the cable must therefore be provided by the manufacturer as an antenna system component. Even if adequate feed cable were available, supplying the cable with the antenna would also reduce the possibility of the consumer installing a cable which does not satisfy the requirements.

The cable length requirement assures that the manufacturer supplies cable that will reach from the antenna connection point to a location near the bottom of the mast. Federal Communications Commission regulations specify 60 feet as the maximum antenna-mast system height. The 50 foot cable requirement is based on this maximum system height and a minimum antenna length of 9 feet. Under these conditions, the cable connection point of the erected system would be one foot from the bottom end of the mast and easily accessible to the installer. A shorter length could require the consumer to add another length of cable, before the antenna is erected, that would not provide sufficient protection.

In addition, the performance tests of the standard require that a feed cable (either supplied by the manufacturer or a typical RG–213 cable) be secured to the side of the mast, as by taping. This provides a means for determining that if the feed cable becomes energized during the test, its insulation is sufficient to provide the required protection. The side of the end of the feed cable is also required to be taped to the mast to ensure that the end of the cable is adequately insulated.

In the Antenna Drop Test, the taping requirement serves to detect another possible source of dangerous current. When a long length of the conductive feed cable core is separated from the conductive mast only by the cable insulation, these elements in effect create a capacative coupling effect that can induce harmful amounts of current through the mast.(*19*) The lack of a feasible means to avoid this capacative coupling effect without redesigning presently used coaxial cables severely limits the potential of the isolation technique as a way to comply with the standard.

The capacative coupling effect could be avoided by mounting the cable on standoffs that will keep the cable sufficiently separated from the mast that the induced current will be less than 5 mA. However, installing these standoffs would involve considerable effort on the part of the installer.

The Commission believes that the protection of the standard would be substantially reduced if the use of standoffs were permitted during the performance tests of the standard, because that protection would be dependent upon consumer behavior. In view of the effort required to install standoffs when assembling the antenna, the Commission anticipates that not all consumers would assemble the antenna using standoffs. Therefore, the standard requires that the cable must be taped to the mast to simulate the method by which the cable would most probably be installed: either by securing the cable to the mast or by running the cable inside the mast.

Ambient temperature. The standard states that the performance tests may be performed at any temperature from 32°F (0°C) to 104°F (40°C). This temperature range represents the environment in which antenna installation, adjustment, or removal would most likely occur. Over this temperature range, the requirements of the standard may be satisfied without an elaborate design or expensive materials. Environmental testing during the standard's development indicates that materials that will pass at any point within the specified range should be suitable for any other temperature within the range.(*20*)

Ambient relative humidity. The standard states that the performance tests may be performed at any point over the range of relative humidity from 10 to 90 percent. This range represents atmospheric conditions in which antenna installation, adjustment or removal would most likely occur. Testing associated with the standard indicates protection can be provided over this range of relative humidity without an elaborate design or expensive materials. Further, testing indicates insignificant effects resulting from various combinations of the relative humidity and temperature extremes.(*21*)

Types of tests. As explained above, the standard includes two tests, the Insulating Material Effectiveness Test and the Antenna-Mast System Test (Antenna Drop Test).

The Insulating Material Effectiveness Test provides a means of evaluating the protection zone of the antenna under static conditions. The test allows a relatively simple examination and verification of any location within the protection zone to ensure compliance with the requirements of the standard. With the flexibility provided by this test, the Commission and manufacturers could make a large number of tests to identify faults in the basic design or in the material within the protection zone with out incurring the substantially greater costs that would be associated with repeated Antenna Drop Tests.

The Antenna-Mast System Test allows evaluation of the protection provided by the antenna system when attached to a mast and subjected to realistic accident conditions. In this test, the dynamic conditions created by dropping an antenna system onto a 14.5 kV power line are used to appraise the ability of the antenna-mast system to withstand the effects of impact, abrasion, and contact time.

a. *Insulating Material Effectiveness Test.* The purpose of this test is to evaluate the adequacy of the means used to protect against the effects of electrical contact in the protection zone. This is accomplished by applying a 14.5 kV test rod to various points within the protection zone and monitoring the resulting current flow.

The accident date reveal that most victims were in contact with the mast at the time of the incident.(*22*) Therefore, current flow is monitored through a short length of mast fastened to the antenna in accordance with manufacturers' instructions. Current flow through the antenna to the mast is monitored as the test voltage is increased from 0 to 14.5 kV at a minimum rate of 2 kV per second. At 14.5 kV, the test voltage is held for a period of 5.0 minutes.

By being allowed to gradually increase the test voltage, the tester can obtain information on the voltage level at which failure occurs. Voltage level at failure is an important factor in performing a failure analysis.

The procedure also requires maintaining the 14.5 kV test voltage for a period of up to 5.0 minutes. The Insulating Material Effectiveness Test describes a high voltage electrode or test probe as an aluminum rod approximately ¼ inch in diameter. The diameter of the probe simulates a 14.5 kV power line cable.

b. *Antenna-Mast System Test (Antenna Drop Test).* The Antenna-Mast System Test procedure is designed to simulate an accident scenario in which an antenna falls from an almost vetical position onto a 14.5 kV power line. In such a scenario, the antenna-mast system length is a significant factor in the force with which the antenna will impact the power line.

The procedure requires that the test be performed with an antenna-mast system 42 feet in length. The system length was derived from the accident reports available to the Commission. The accident data indicated that the most frequently reported antenna length was 17 feet and that 75 percent of the accidents involved antenna lengths between 17 and 24 feet.(*23*) The most

frequently reported mast lengths range from 16 to 25 feet.(*24*) As a result, the typical antenna-mast system to be used in the test was defined as 42 feet long. By specifying a system length (antenna plus mast) rather than a mast length, the procedure provides a standardized test geometry.

The antenna-mast length of 42 feet does not represent a worst case condition, which would be difficult for antennas to pass without extensive changes in the ways that antennas are presently constructed. However, this length should provide a reasonable degree of protection due to the large number of incidents that have occurred with antenna-mast combinations that do not exceed this length. In addition, even for combinations that do exceed this length, considerable protection will be afforded, since most incidents involving power line contact do not involve an unimpeded fall into the power line. The antenna may contact the line while the antenna is being put up, or the attempts of the installers to hold up the unbalanced antenna will reduce the velocity of the fall compared to the velocity that would be attained in the test.(*25*) Thus, 42 feet was selected as providing an excellent degree of protection without imposing excessive costs on manufacturers to comply with a "worst possible case" standard. A tolerance of ±3 inches on the antenna-mast length is specified since this will make the test easier to perform and should not materially affect the results of the tests.

In the Antenna Drop Test, as in actual accidents, after initial impact with the power line, the antenna either "hangs up" and comes to rest on the power line or it slides down and off the power line. The procedure requires that the antenna be able to pass the test under both conditions. Under conditions where the antenna comes to rest on the power line, the line will remain energized for 5.0 minutes or until failure, whichever comes first. Also, previous testing has shown that the abrasion caused by the antenna sliding across the power line, is frequently sufficient to cause weaknesses and initiate failure.(*26*)

The standard describes a high voltage test facility which CPSC will utilize for the Antenna Drop Test. The facility consists of a single power line supported by two poles 95 to 105 feet apart. Although up to a 200 foot pole spacing is more typical in residential areas according to the utility companies the Commission has surveyed, the 100 foot spacing was chosen as more practical for testing purposes. The power companies indicated that this was a reasonable decision, particularly since such spacings do exist and represent a more severe test due to less swing during impact.(*27*)

The standard specifies that cable sag shall be limited to from 9 to 12 inches. Typical cable sag curves provided by the utility companies indicate sags from 3 to 12 inches, depending on temperature, for typical cables at 100 foot spans.(*28*) Therefore, the specified 9 to 12 inch sag represents a typical condition, and it also constitutes a range that is wide enough to be achievable under test conditions, yet small enough to have no significant effect on test results.

Typical power lines in 14.5 kV systems are aluminum cables, with or without a steel core strand. Under repeated impacts, such as in a test facility, the aluminum would both deform at the point of impact and tend to stretch as it absorbs the tensile forces involved. To provide durability and to help ensure repeatability, a steel cable was chosen for the test facility. It is galvanized to minimize the effects of weather and has a diameter and number of wire strands similar to typical power line cables.(*29*)

The standard requires the low point of the cable to be between 28 and 29 feet above a horizontal plane through the pivot axis of the falling antenna-mast system. This dimension is the result of analysis of the accident data available to the Commission which indicates a mean power line height of 28.7 feet.(*30*)

The use of a pivot at the base of the antenna-mast system as shown in Figs. 2 and 3 provides a controlled fall of the system and a repeatable test condition regardless of the configuration of the antenna-mast systems. In order to provide repeatable results, the pivot should not allow a significant degree of movement of the antenna-mast system in the lengthwise direction of the power line.

G. Certification Regulation

Section 14(a) of the CPSA (15 U.S.C. 2063(a)) requires that the manufacturer, private labeler, or importer of a product which is subject to a consumer product safety standard and distributed in commerce must issue a certificate of compliance with the applicable standard. The certificate of compliance must be based on a test of each product or upon a reasonable testing program.

The certification regulation issued below as Subpart B of Part 1204, establishes requirements that manufacturers and importers must follow to certify that their products comply with the standard. Private labelers of CB antennas subject to the standard need not issue a certificate of compliance when a certificate has been issued by the manufacturer or importer of the antennas. Section 14(a) of the CPSA requires the certificate to accompany the product or otherwise be furnished to any distributor or retailer to whom the product is delivered.

Section 1204.13(a) of the certification regulation provides that if the testing required by Subpart B has been performed by or for the foreign manufacturer of a product, the importer may rely on such tests to support the certificate of compliance if the importer is a resident of the United States, or has a resident agent in the U.S., and the required records are maintained in the U.S. The importer is responsible for ensuring that the foreign manufacturer's records show that all testing used to support the certificate of compliance has been performed properly with passing or acceptable results and that the records provide a reasonable assurance that all antennas imported comply with the standard.

Section 1204.13(b) of the certification regulation provides that the certificate of compliance shall state:

(1) That the product "complies with all applicable consumer product safety standards (16 CFR Part 1204),"

(2) The name and address of the manufacturer or importer issuing the certificate, and

(3) The date of manufacture and, if different from the address in paragraph (2), the place of manufacture.

A "reasonable testing program" for any particular model of antennas is one which demonstrates with a high degree of assurance that all antennas of that model will meet all requirements of the standard. Manufacturers and importers shall determine the types and frequency of testing for their own reasonable testing programs. A reasonable testing program which does not test each item produced should be sufficiently stringent that any variations in the manufacturing process which occur during the production interval will not cause any antenna to fail if tested according to the requirements of the standard.

Section 1204.14(c) establishes requirements for reasonable testing and provides that such testing programs shall include qualification tests, which must be performed on one or more samples of the CB antennas representative of each model produced, or to be produced, to demonstrate that the product is capable of passing the tests prescribed by the standard. Section 1204.14(c) requires further that a reasonable testing program shall also include production tests, which must be

performed during appropriate production intervals as long as the product is being manufactured.

Corrective action and/or additional testing must be performed whenever certification tests of samples of the product give results that do not provide a high degree of assurance that all antennas manufactured during the applicable production interval will pass the tests of the standard.

At the option of the manufacturer or importer, some or all of the testing of each item or of the reasonable testing program may be performed by a commercial testing laboratory or other third party. However, the manufacturer or importer is responsible for ensuring that all certification testing has been properly performed with passing or acceptable results, and for maintaining the required records of such tests.

Section 1204.15(a) of the certification rule requires that the qualification tests must be performed on one or more samples of each model before any manufacturer or importer of CB antennas subject to the standard begins manufacturing such antennas for sale or distributing them in commerce. The type of tests and the manner of selecting samples shall be determined by the manufacturer or importer so as to provide a reasonable assurance that all antennas subject to the standard will comply with the standard. Any or all of the qualification testing may be performed before the effective date of the standard.

If any changes are made to a product, after initial qualification testing, that could affect the ability of the product to meet the requirements of the standard, additional qualification tests must be made before the changed antennas are manufactured for sale or distributed in commerce.

Manufacturers and importers shall test antennas subject to the standard periodically as they are manufactured, to demonstrate that the antennas meet the requirements of the standard.

Section 1204.16(c) of the certification regulation requires that if any test yields results which do not indicate that all antennas manufactured during the production interval will meet the standard, production must cease and the faulty manufacturing processes must be corrected before more antennas are manufactured. Corrective action may include changes in the manufacturing and/or assembly process, equipment adjustment, repair or replacement, or other action deemed appropriate by the manufacturer or importer to achieve passing production test results. In addition, the remaining products from which the samples were taken may not be distributed in commerce unless they meet the standard. It may be necessary to modify the antennas or perform additional tests to ensure that only complying antennas are distributed in commerce. Antennas which are subject to the standard and do not comply with the requirements of the standard cannot be offered for sale, distributed in commerce, or imported into the United States.

Section 1204.17 of the certification rule requires each manufacturer or importer of CB antennas subject to the standard to maintain the following records, which shall be available to any designated officer or employee of the Commission in accordance with section 16(b) of the Consumer Product Safety Act (15 U.S.C. 2065(b)):

(a) Records of the qualification and production testing required by Subpart B, including a description of the types of tests conducted, the dates and results of the tests, and the production interval selected for the performance of the production testing.

(b) Records of all corrective actions taken, including the specific action taken, the date the action was taken, the test failure which necessitated the action, and the specific action taken to correct any noncomplying antenna produced during the period and to improve the manufacturing process.

These records shall be kept for 3 years.

H. Comments on the Proposal

Written and oral presentations about the proposed standard were addressed to the following areas of concern:

1. Activities to increase public awareness of the dangers presented by overhead powerlines, including offers to assit the Commission in such an informational campaign, as an alternative to issuance of a standard.
2. Requirements of the standard for performance and instructions, and the rationale for those requirements.
3. Effects of issuing a mandatory standard on producers of antennas.
4. Effects of issuing a mandatory standard on users of antennas.
5. An appropriate effective date for the standard.

The Commission has carefully considered all comments and oral presentations received in response to the proposal of August 14, 1981, and publishes the following analysis of those comments.

Public information campaign as an alternative to the standard. Two written comments and one oral presentation expressed the opinion that the Commission should address hazards of electrocution and electric shock injury associated with omnidirectional CB base station antennas by advising the public about the danger presented by overhead powerlines rather than by issuing a standard for omnidirectional antennas.(*31*)

Other written comments from a trade association, a manufacturer of antennas, and an association of CB users offer to assist the Commission in such a public information campaign.(*32*)

While the Commission agrees with these comments to the extent that they state that warnings to consumers are needed concerning the danger presented by powerlines, the Commission finds that such warnings by themselves are not likely to eliminate electrocutions and electric shock injuries associated with omnidirectional CB base station antennas.

The Commission observes that provisions of 16 CFR Part 1402 have required all antennas manufactured or imported since September 26, 1978, to be labeled and accompanied with instructions to advise consumers to avoid overhead powerlines when handling antennas. Additionally, the Commission, utility companies, and antenna manufacturers have conducted extensive campaigns to increase public awareness of the dangers of contacting powerlines.

Nevertheless, during the past several years, deaths and serious injuries to consumers have resulted when omnidirectional CB base station antennas have contacted powerlines.

Investigations of these accidents reveal that although many of the accident victims were aware of the hazard that could result from contacting a powerline, in some cases they were unable to see the powerline because of trees or other obstructions; in other accidents they misjudged the distance between the antenna and the powerline; or sometimes they lost control of the antenna during installation or removal.(*33*)

The Commission observes that the offers from the trade association and antenna manufacturer to participate in a joint effort with the Commission to increase public awareness of the dangers of contacting powerlines are conditioned on a decision of the Commission to forego any action to issue the standard on a final basis.

The Commission concludes that increasing public awareness of the danger of contact with overhead powerlines, by itself, will not provide a degree of protection to consumers from electrocution and electric shock injury which is equivalent to that of the standard issued below. For that reason,

the Commission declines any offer of assistance with a public information campaign that is conditioned upon its withholding of further action to issue a standard in this proceeding.

Requirements of the standard and technical rationale. At the public hearing on September 22, 1981, one participant observed that the term "citizens band (CB)" was defined in § 1204.2(d) of the proposed standard as "the frequency band allocated for citizen's radio service." This commenter stated that the definition would be more accurate if it were altered to state that "citizens band (CB)" is the frequency band allocated for "citizens band radio service," thereby distinguishing "citizens band (CB)" from "general mobile radio," and "radio control service."(*34*) The Commission agrees that such a change would improve the clarity of the standard, and has revised § 1204.1(d) of the final standard accordingly.(*35*)

During the public hearing two commenters raised the possibility that directional citizens band base station antennas may present a greater hazard of electrocution to consumers than omnidirectional antennas. Two written comments expressed the opinion that it is "unfair" to issue a standard which is limited to omnidirectional antennas and not also applicable to directional CB base station antennas and television antennas.(*36*)

When the Commission published the proposed standard, it observed that development of a standard for directional antennas presents different technical problems than those involved in a standard for omnidirectional antennas. In that proposal, the Commission stated that a standard applicable only to omnidirectional antennas could be developed more quickly than a standard for both directional and omnidirectional antennas. The Commission also observed at that time that more omnidirectional antennas are used for CB base stations than directional antennas. For these reasons, the standard proposed on August 14, 1981, was applicable only to omnidirectional antennas.(*37*)

If the Commission desired to broaden the scope of this proceeding to include directional as well as omnidirectional antennas or any other type of antennas at this time, provisions of section 9 of the CPSA (15 U.S.C. 2058) and the Administrative Procedure Act (5 U.S.C. 553) would require reproposal of the standard and another public hearing.

The Commission continues to believe that issuance of a final standard applicable to omnidirectional CB base station antennas offers the most expeditious means to address the majority of deaths and serious injuries associated with electrocution and electric shock which may occur if antennas contact powerlines. For this reason, the Commission has decided not to broaden the scope of this proceeding to include directional citizens band base station antennas or television antennas.

One written comment addressed provisions of § 1204.5(a) of the proposed standard, which require antennas subject to the standard to include the following statement on the manufacturer's instructions:

> Under some conditions, this antenna may not prevent electrocution. Users should keep antenna away from any overhead wires. If antenna contacts a powerline, any initial protection could fail at any time. IF ANTENNA NEARS ANY OVERHEAD WIRES, IMMEDIATELY LET GO, STAY AWAY, AND CALL UTILITY COMPANY.

This comment expresses the opinion that the first sentence of the statement required by proposed § 1204.5(a) might be interpreted by some consumers to mean that the antenna itself functions as protection against electrocution. This comment suggests revision of that sentence to read: "Under some conditions, the insulation on this antenna may not prevent electrocution." (*38*)

As noted above in the description of the standard, a manufacturer may elect to meet the performance requirements of the standard either by insulating the antenna itself, or by incroporating an insulating barrier between the antenna and the mast or other supporting structure. If a manufacturer elected to produce antennas with an insulating barrier, the protection system for a complying antenna could be part of the antenna itself. For this reason, the Commission declines to make the change requested by this comment.(*39*)

A written comment from an amateur radio association expresses concern that if manufacturers elect to incorporate an insulating barrier between the antenna and the supporting mast in order to comply with the standard, increased danger from lightning may result from the loss of DC grounding.(*40*) This comment apparently assumes that all antennas currently produced are assembled with metal supporting masts which provide DC grounding.

Antennas are currently marketed which do not have DC grounding to the mast, and the Commission has no information to indicate that these antennas present more of a problem with regard to danger from lightning than antennas which have DC grounding. The Commission observes that both the National Electric Code and the National Fire Protection Association's Lightning Protection Code include requirements for protection of antenna installations from lightning.(*41*)

A written comment from a manufacturer of antennas objects to the Antenna-Mast Systems Test in section 1201.4(e) of the proposed standard, because it does not subject the antenna to a worst-case test. For this reason, this commenter belives that the standard could give a false sense of security to consumers who purchase complying antennas.(*42*)

As noted above in the description of the standard, the Antenna-Mast System Test is intended to simulate a scenario in which an antenna falls from an almost vertical position onto a 14.5 kV powerline. In the proposal of August 14, 1981, the Commission noted that the 42-foot mast length specified for this test was derived from accident information available to the Commission which indicated that 75 per cent of accidents involved antenna lengths between 17 and 24 feet, and that the lengths of antenna masts most frequently involved in reported accidents range from 16 to 25 feet. From this information, the Commission determined that the typical antenna-mast system involved in an electocution or electric shock accident is 42 feet long.(*43*) Even for antenna-mast combination that exceed this length, the standard affords considerable protection becaue most accidents do not involve an unimpeded fall into the power line. The antenna may contact the power line while being put up, or the attempt of the installer to hold up the antenna will reduce the velocity of the fall compared to the velocity attained during the test.

The proposal noted that the purpose of the test in not to address the worst-possible case, but rather to provide an excellent degree of protection without imposing excessive costs on manufacturers. The Commission noted in the proposal that if the standard imposed a "worst-possible case" test, antenna manufacturers would be required to make extensive changes to their methods of construction.(*44*)

On the basis of all available information, the Commission concludes that a worst-case test is not necessary to avoid most of the accidents associated with CB base station antennas, and that the cost to manufacturers associated with a worst-case test would be unreasonable when considered in relation to the additional injuries and deaths which such test could reduce or eliminate. For these reasons, the Commission has not changed the

Antenna-Mast System Test in § 1204.4(e) of the standard issued below.(*45*)

The same commenter objects to a provision of the Antenna-Mast System Test in proposed § 1204.4(e)(2) which states that if a feed cable is provided with the antenna, it shall be used in this test. The comment states that such a requirement is not warranted unless the Commission has accident information to establish that consumers are being killed or injured from contact with the feed cable.(*46*)

This portion of the comment seems to overlook the fact that in some cases, compliance with the requirements of the standard may be dependent upon the insulation or other properties of the feed cable. In those cases, § 1204.3(b) requires that the manufacturer must supply at least 50 feet of feed cable with the antenna. Section 1204.4(e)(2) provides that when the manufacturer supplies feed cable in compliance with requirements of § 1204.3(b), the antenna will be tested using that cable.

For this reason, provisions of § 1204.4(e)(2) of the standard issued below are unchanged from those of the proposal.

The same commenter also objects to provisions of proposed § 1204.4(e)(2) which specify that during the Antenna-Mast System Test, the feed cable shall be connected to the antenna system, installed parallel to the mast, and taped to the mast at intervals of two feet along the length of the mast. The comment states that this procedure does not simulate actual antenna installations.(*47*)

The purpose of this requirement in the test procedure is two-fold. First, it provides a means to determine whether the insulation on the feed cable will provide the required degree of protection if the feed cable becomes energized during the test. Second, the taping requirements detects whether the insulation on the cable will resist transmission of harmful amounts of electricity which may result from the capacitive coupling effect that can occur when a long length of cable is separated from a conductive mast by only the insulation material on the cable.

The comment under consideration expresses disagreement with the statement in the rationale for the requirements of the standard that the phenomenon of capacitive coupling may result between the antenna mast and an energized feed cable. The commenter states that the center conductor of the feed cable is double-insulated, and shielded by braid on ungrounded antennas.

The Commission has experimental test data on file which demonstrate that the phenomenon of capacitive coupling can occur in circumstances simulated by the Antenna-Mast System Test. The typical OS–239 coxial connector attached to the radio end of the feed cable will break down from the inner conductor to the shielded braid in both mated and open conditions. This break down will occur well before the required test voltage of 14.5 kV is reached. Therefore, the only insulation between the energized braid of the feed cable and the grounded antenna mast is the outer insulating jacket of the feed cable. Under these conditions, capacitive coupled currents well in excess of the limits established in the standard have been documented in experimental tests.(*48*)

As noted in the preamble to the proposed standard, the capacitive coupling effect could be avoided by mounting the cable on standoffs that will keep the cable sufficiently separated from the mast. The preamble to the proposal stated that installation of standoffs would involve considerable effort on the part of the installer and would also result in an awkward and unattractive appearance of the antenna installation. For these reasons, the proposed standard did not allow the use of standoffs during the performance tests of the standard.(*49*)

The comment under consideration disagrees with the statement in the proposal that standoffs will result in an unattractive antenna installation, and expresses the view that if standoffs are supplied by the manufacturer, they should be used during the performance tests of the standard.(*50*)

The question of whether the use of standoffs will result in an "attractive" or "unattractive" antenna installation is a subjective one which may be difficult to resolve on the basis of information received during the course of this proceeding.

However, during the development of the standard, the Commission considered the issue of whether the standard should include provisions allowing the use of features on an antenna which require active consumer participation in order to pass the tests of the standard.

A survey conducted for the Commission by Market Facts reported that only 8 per cent of CB antenna owners were concerned about the possibility of an electric shock accident during installation.(*51*) Because of the low level of concern about electric shock hazard expressed by consumers in this survey, the Commission concludes that is is not reasonable to expect that all or most consumers would take the extra steps required to fasten standoffs during the process of installing an antenna. In view of the fact that a readily feasible insulation approach is available to prevent electric shock during installation and removal of antennas which is not dependent on significant consumer participation, the Commission concludes that it is not reasonable to allow the use of standoffs for an anticipated antenna isolation approach to provide the degree of protection from electrocution and shock required by the standard.(*52*)

One oral presentation expressed concern that the additional weight of insulation required for compliance with the standard might make the antenna more difficult to install, and might contribute to, rather than reduce, the likelihood of accidents.(*53*)

The Commission estimates that the additional insulation required to produce an antenna that meets the requirements of the standard will add about one pound to the typical omnidirectional antenna. The Commission does not believe that the addition of one pound will contribute significantly to the difficulty of installing or removing such an antenna.(*54*)

Effects of a mandatory standard on manufacturers of antennas. Comments from two manufacturers of antennas state that employment among manufacturers could be reduced if the standard were issued on a mandatory basis.(*55*) One of these comments stated that some of its employees might lose their jobs if the firm ceased manufacturing omnidirectional CB antennas, while the other stated that some workers could lose their jobs if industy sales were substantially reduced.

Information available to the Commission indicates that both of these firms will probably produce complying antennas if the standard is issued on a final basis.(*56*) None of the known producers of CB antennas employ regular production workers engaged solely in the manufacture of omnidirectional antennas, although some workers are engaged primarily in the production of such antennas. Although some layoffs could occur during periods of product redesign, they are expected to be temporary and limited in number. The primary cause of reduced employment by manufacturers of antennas has been the recent decline in popularity of CB antennas. The total number of people employed primarily for communications antenna production is estimated to be approximately 500, or less than one-fourth of the estimated

peak number employed during the late 1970's. The Commission anticipates that little or no additional reduction in employment is likely to result from issuance of the standard on a final basis.(*57*)

Three comments state that competition among omnidirectional CB antenna producers would be diminished by the issuance of a mandatory standard.(*58*) A comment from a major manufacturer states that firm may leave the market rather than incure the costs of compliance with the standard.(*59*) An industry association states that company representatives generally believe that some narrowing of competition among products and companies would result from issuance of either a mandatory standard or a voluntary test method.(*60*)

When the Commission published the proposal of August 14, 1981, it recognized that competition in the industry could be adversely affected by issuance of a mandatory standard.(*61*) Immediately before publication of the proposal, information available to the Commission indicated that omnidirectional CB antennas were produced by five "major" manufacturers, and by another 10 to 15 smaller firms. The Commission's preliminary economic assessment noted that two of the five major manufacturers might cease production of omnidirectional CB antennas if the standard were issued on a final basis.(*62*) Additionally, in mid-1981, one of the major manufacturers was acquired by one of the other four. Thus, it is likely that two firms will control a substantial majority of the market as a result of the standard issued below. Additionally, information available to the Commission indicates that all but two or three of the small manufacturers will probably cease production of omnidirectional antennas. However, none of these firms is expected to go out of business entirely.(*63*)

Effects of the standard on consumers. Ten comments addressed the subject of possible increases in the retail price of antennas subject to a mandatory standard or a voluntary test method, and the effect of such price increases on consumers.(*64*) Five of these comments expressed the opinion that prices would rise, and objected to price increases generally.(*65*) Comments from two manufacturers stated that estimates of price increases in the preliminary economic assessment understate the increases likely to result for their products.(*66*)

In the preliminary economic assessment, the Commission stated that a significant increase in the average price of omnidirectional CB base station antennas is likely to result from the issuance of the proposed standard. That preliminary assessment noted that while the price of some currently manufactured antennas which are insulated through the use of fiber glass construction will probably not change, price increases as great as 50 percent for other antennas could result from issuance of the proposed standard.(*67*) The Commission's preliminary economic assessment estimated that an average price increase of approximately 20 percent, or about $10 based on an approximate average retail price of $50, would result if the standard were issued. In that preliminary assessment, the Commission estimated that antennas complying with the requirements of the standard would cost at least $40 at retail, but that few complying antennas would be sold for more than $100.(*68*)

Comments from two antenna manufacturers expressed the belief that the increased cost of antennas to consumers resulting from issuance of a mandatory standard would adversely affect sales, thereby resulting in a reduction of the potential effectiveness of the standard.(*69*) One of these comments claimed that retail price increases resulting from the standard would lead some consumers to remove and reinstall pre-standard antennas.(*70*)

While the Commission agrees that price increases are among the factors which may affect sales volume, the standard issued below will provide a greater level of safety than would result without such a standard. If the Commission did not issue the standard, new antennas would probably continue to present the same hazards as those currently manufactured.

Information available to the Commission indicates that in recent years, one fatality associated with omnidirectional CB base station antennas has occurred for approximately every 10,000 new antennas sold.(*71*)

Consequently, even if some consumers do take down and reinstall existing antennas, as suggested by one of these comments, a substantial number of such reinstallations would be necessary to have a discernable effect on the actual number of deaths.(*72*)

The Commission also observes that if some consumers are dissuaded from purchasing new antennas as a result of increased prices resulting from the standard, their old antennas will present no hazard as long as those antennas are left in place.

One comment estimated that at this time, the cost of an inexpensive base station system is approximately $150, and expressed concern that the price of the antenna alone might reach this amount if the standard were issued. This comment also stated that if the standard caused the price of an omnidirectional antenna to reach $150, people would be discouraged from joining public service CB organizations such as Radio Emergency Associated Citizens Teams (REACT) and similar groups which aid motorists, police, and other CB users.(*73*)

This comment asserts that membership in these organizations could decrease as a result of the issuance of the standard, making those organizations less effective in dealing with emergencies and potentially life threatening situations. This comment contends that more lives might be lost from reduced levels of emergency service than could be saved by the use of complying antennas if the standard were issued.(*74*)

Two commenters expressed a contrary view, stating that increases in the prices of some antennas would not have an adverse affect on the level of life-saving services rendered by base station operators.(*75*)

The Commission has examined the cost of omnidirectional antennas relative to the total cost of the equipment needed for a CB base station. A range of suggested retail prices from the current catalog of a major manufacturer was used as one illustration of low-cost and high-cost systems of CB equipment.(*76*)

A base station utilizing the least-expensive components listed in that catalog would cost $137, of which $22 would be attributable to the antenna. In this instance, the antenna would represent 16 percent of the cost of the total system.(*77*)

A base station assembled from the most expensive items listed in the catolog would cost $380; the antenna would cost $45. In this case, the cost of the antenna would comprise 12 percent of the total cost of the system.(*78*)

The only antenna manufactured at this time which is likely to comply with the requirements of the standard has a retail price of approximately $55. The Commission does not expect the cost of this antenna to increase as a result of the standard; some less expensive complying antennas may also be available. If this antenna were the least expensive unit available after the effective date of the standard, then the cost to consumers of least expensive system would rise from $137 to $170, an increase of 24 percent in 1982 dollars. The antenna would then account for about 32 percent of the total cost of the

base station. For more expensive systems, the increase in the percentage of cost attributable to more expensive antennas resulting from the standard would be smaller. In the case of the $380 system employing the most expensive items from the catalog described above, if the cost of the antenna rose from $45 to $90, the antenna would comprise about 18 per cent of the costs of the total system.(*79*) Antenna and base station systems which are more expensive than those listed in the catalog have also been identified. The Commission does not anticipate that issuance of the standard is likely to result in cost increases for these systems.

Although complying antennas may represent a high percentage of the cost of CB base station system, all information available to the Commission indicates that the least expensive complying antennas will sell for considerably less than $150, in terms of 1982 dollars. Additionally, the Commission has no factual information concerning the relationship, if any between the cost of antennas and membership in CB organizations. Other than the speculation expressed in one written comment and in six oral presentations from members of REACT, the Commission has no evidence to suggest that the anticipated increases in the cost of omnidirectional antennas resulting from issuance of the standard will dissuade a significant number of persons from joining REACT or similar CB organizations.(*80*)

During the public hearing, one presentation expressed concern that the higher cost of omnidirectional antennas resulting from issuance of the standard might cause consumers to purchase directional antennas instead. This comment asserts that because directional antennas have a larger number of elements, and are heavier and more cumbersome than omnidirectional antennas, directional antennas present a greater hazard of electrocution and electric-shock than do omnidirectional antennas.(*81*)

Because the standard issued below is not applicable to directional antennas, this comment suggests that if one effect of the standard is to divert sales from omnidirectional to directional antennas, the standard may not provide the protection intended by the Commission.(*82*)

The Commission agrees with the assertions of this commenter that directional antennas have more elements and are heavier and more cumbersome than omnidirectional antennas. However, the Commission has no information which supports the assertion that directional antennas present a greater risk of injury to consumers from electrocution and shock than do omnidirectional antennas. The Commission observes that the total number of electrocution accidents associated with omnidirectional antennas is much larger than the number associated with directional antennas. The Commission is unable to determine what percentage of the difference in accident rates is attributable to greater sales of omnidirectional antennas, and what percentage may be attributable to other factors. In any event, the Commission has no factual information which suggests consumers are at greater risk of injury installing directional antennas than when installing omnidirectional antennas.(*83*)

Three written comments and one oral presentation expressed the opinion that if a final standard is issued, consumers may become more careless when handling complying antennas near powerlines because they will believe that the standard offers protection against all risks of electrocution or shock.(*84*)

As noted above, § 1204.5(a) of the standard issued below requires manufacturers to include a statement on their instructions to advise consumers that in some cases the antenna may not prevent electrocution. The statement required by that section also includes instructions to keep the antenna away from overhead wires; a warning that if the antenna contacts a powerline, any initial protection afforded by the antenna could fail at any time; and directions to let go of and stay away from the antenna if it nears any overhead wires.

The Commission believes that these instructions will be adequate to prevent consumers from obtaining any false sense of security from the knowledge that an antenna meets the requirements of the standard.(*85*)

Effective Date

In the proposal of August 14, 1981, the Commission stated that if it issued the standard on a mandatory basis, it believed that an effective date 180 days after promulgation of a final standard would minimize the overall economic burden of the standard and the certification rule, and at the same time would make the benefits of the standard available to the public in the reasonably near future.

In that proposal, the Commission stated that an effective date at least six months after publication of a final standard would allow most firms intending to produce complying antennas, including those small manufacturers intending to remain in this market, adequate time to develop or buy the necessary components and materials, to make appropriate labeling changes, and to acquire testing facilities.(*86*)

A comment from one small manufacturer of antennas stated that it would not be able to obtain components to produce complying antennas and acquire a test facility within six months after publication of a final standard. This comment stated that the firm would require nine months to one year to comply with the standard. This comment also observed that the small number of noncomplying antennas which it would produce during that additional period of time would not present a significant safety hazard to the public.(*87*)

As noted in the proposal of August 14, 1981, section 604 of the Regulatory Flexibility Act (RFA, 5 U.S.C. 604) requires the Commission to prepare a final regulatory flexibility analysis of this standard containing, among other things, a description of each of the significant alternative to the standard which could reduce the economic burden on small entities and which the Commission considered before issuing the standard on a final basis.

In response to this comment, the Commission has considered the alternative of establishing a later effective date for small manufacturers and importers of antennas to minimize the adverse economic impact of the standard on small businesses.

For the CB antenna industry, the Commission has concluded that firms having 750 employees or fewer should be considered to be small businesses. Firms which have 750 employees or fewer but which are subsidiaries or divisions of another firm having more than 750 employees, including employees of all subsidiaries and divisions are not considered to be small businesses for purposes of this analysis.

By these criteria, the Commission estimates that as many as fifteen of the approximately 20 domestic manufacturers of omnidirectional CB base station antennas are small businesses. The Commission estimates that approximately 75,000 new omnidirectional antennas were sold in 1980, and that the total sales of all firms which are small businesses accounted for about 5,000 units, or approximately 7 per cent of all sales.(*88*)

The comment from a small manufacturer requesting an extension of the effective date stated that it would require from nine months to one year

after publication of the final standard to produce complying antennas.(*89*)

The Commission estimates that if the effective date of the standard were extended for an additional 90 days for small businesses, those firms would probably manufacture no more than 2,000 additional noncomplying antennas than would be produced if an effective date 180 days after publication were established for all manufacturers and importers.(*90*) In view of the fact that the ratio of accidents involving omnidirectional antennas is approximately one for every 10,000 units sold, the Commission concludes that it could delay the effective date of the standard for small businesses without causing an unreasonable risk of injury to consumers.

Before the Commission may promulgate a final consumer product safety standard, section 9(c)(2) of the CPSA (15 U.S.C. 2058(c)(2)) requires the Commission to make findings that the standard and its effective date are reasonably necessary to reduce or eliminate an unreasonable risk of injury associated with the product; and that promulgation of the standard is in the public interest. Sections 603 and 604 of the RFA (5 U.S.C. 603, 604) require the Commission to consider alternatives to rules, including the possibility of different dates for compliance with rules to minimize the adverse impact on small businesses when proposing and issuing a standard such as the one for omnidirectional antennas.

The Commission concludes that with the establishment of a later effective date for small businesses, the standard issued below is reasonably necessary to eliminate or reduce unreasonable risks of injury associated with omnidirectional antennas. For the reasons set forth above, the Commission concludes that a delay of the effective date for 90 days for small businesses will not significantly diminish the degree of protection afforded to consumers by the standard. The Commission also concludes that a later effective date will minimize the adverse economic effect of the standard on small businesses, and for that reason, issuance of the standard with a longer effective date for small businesses is in the public interest.

Consequently, the general effective date of the standard issued below shall be 180 days after promulgation, except that the effective date may be extended for as long as an additional 90 days for any manufacturer or importer that is a small business, and makes written application for such later effective date. The application for the later effective date should be addressed to the Associate Executive Director for Compliance and Administrative Litigation, Consumer Product Safety Commission, Washington, D.C., 20207, and should state:

1. That the requesting firm is a manufacturer or importer of onmidirectional CB base station antennas which are subject to the standard;

2. That the firm has 750 employees or fewer, and is not a subsidiary or a division of a firm having more than 750 employees, including employees of all subsidiaries and divisions;

3. That the firm requests extension of the effective date to a specific date not later than May 27, 1983;

4. The reasons why the firm requests extension of the effective date;

5. All activities undertaken by the requesting firm to achieve compliance with the requirements of the standard;

6. That the firm will market complying products after the extended effective date.

An application for extension of the effective date will not be granted solely by reason of a firm's status as a small business.

Applications for extension of the effective date of the standard should be received by the Associate Executive Director for Compliance and Administrative Litigation not later than January 17, 1983.

The Associate Executive Director for Compliance and Administrative Litigation will evaluate each request for extension of the effective date. The following criteria will be used in determining whether to grant an application of extension of the effective date:

1. Does the application demonstrate that the firm cannot meet the general effective date.

2. Does the application demonstrate that the requesting firm has made a good faith effort to achieve compliance with the requirements of the standard by the general effective date.

3. Does the application demonstrate that the firm is likely to produce or market complying products if the requested extension is granted.

The Associate Executive Director will advise each requesting firm in writing if the requested extension is granted or denied. If the Associate Executive Director for Compliance and Administrative Litigation denies a request for extension of the effective date, the firm may request the Commission to reconsider the denial.

I. Other Considerations

Findings

Section 9(c) of the CPSA (15 U.S.C. 2058(c)) requires the Commission to make and include in any final consumer product safety rule findings as to:

(1) The degree and nature of the risk of injury the rule is designed to eliminate or reduce;

(2) The approximate number of consumer products, or types of classes thereof, subject to such rule;

(3) The need of the public for the consumer products subject to such rule, and the probable effect of such rule upon the utility, cost, or availability of such products to meet such need;

(4) Any means of achieving the effect of the rule while minimizing adverse effects on competition or disruption or dislocation of manufacturing and other commercial practices consistent with the public health and safety;

(5) That the rule (including its effective date) is reasonably necessary to eliminate or reduce an unreasonable risk of injury associated with the product, and

(6) That the promulgation of the rule is in the public interest.

Section 9(b) of the CPSA (15 U.S.C. 2058(b)) requires that in promulgating a consumer product safety rule, the Commission shall also consider and take into account the special needs of elderly and handicapped persons to determine the extent to which such persons may be adversely affected by the rule.

Economic Analysis

As required by section 9(c) of the act (15 U.S.C. 2058(c)), the Commission has taken into account in its consideration of the standard the need of the public for omnidirectional CB base station antennas and the probable effects of the standard upon the utility, cost, and availability of the product to meet such need. These are among the factors the Commission weighed in estimating the economic impact of the standard.(*91*) The Commission's final economic impact analysis is available for inspection or copying in the Office of the Secretary. The following is a brief discussion of the highlights of the Final Economic Analysis.

The Commission estimates that approximately 75,000 new omnidirectional CB base station antennas were sold in 1981. This represents only a small percentage of sales in 1976, the peak year for sales, when 1.3 million units were sold. Sales are not expected to exceed 100,000 units per year in the foreseeable future.(*92*)

Four major manufacturers account for between 90 and 95 per cent of all sales. The other producers, 10 to 15 firms, collectively account for only a small percentage of unit sales.(*93*)

As noted above in the analysis of comments, the standard is expected to have a substantial effect on competition among antenna manufacturers. The Commission anticipates that after the effective date of the standard, one or two of the major manufacturers will produce omnidirectional antennas meeting the requirements of the standard. Even with a delayed effective date for small businesses, the Commission anticipates that a majority of the small manufacturers will cease production, and that only two or three of the firms will manufacture omnidirectional antennas after the effective date of the standard. Total unit sales may increase for manufacturers who continue production after the effective date of the standard.(*94*)

Concentration of sales among two of the largest manufacturers will probably increse substantially as a result of the issuance of the standard. One firm which currently produces antennas that could comply with the standard is expected to gain a significant short-range advantage over competitors after the effective date of the standard.(*95*)

During 1981, more than 30 models of omnidirectional CB base station antennas were offered for sale. After the standard becomes effective, the Commission anticipates that the number of models will be reduced to four or five. However, production of complying antennas is expected to be adequate to meet existing demand. No overall shortage of antennas is expected to result from issuance of the standard. Instead, sales will shift from relatively small numbers for each of many models, to relatively greater quantities of fewer models.(*96*)

Some physical features currently found on antennas now being produced may be eliminated once the standard becomes effective. However, the Commission anticipates that little difference in the performance of omnidirectional antennas will result from the standard. While a spokesman for one manufacturer expressed concern about the effect of insulation on the reception capabilities of antennas, representatives of other firms have expresed the opinion that protective insulation on antennas will tend to improve reception to some degree and reduce static generated under certain atmospheric conditions.(*97*)

The standard issued below is expected to result in an increase in the average cost of producing antennas of approximately 20 per cent; for some products, the increase may be as great as 50 per cent.(*98*)

Total annual costs to the industry for compliance with the standard are expected to be about $300,000. The certification rule could add as much as an additional $75,000 to the industry's total costs for compliance during the first year the standard is in effect.(*99*)

The Commission anticipates that the average retail price of a CB omnidirectional antenna will probably rise from about $50 to about $60 as a result of changes needed to comply with the standard issued below. Assuming total sales of approximately 75,000 units, and an average price increase attributable to compliance with the standard of $10, the Commission anticipates that the standard may increase total annual costs to consumers by about $750,000. The Commission does not expect the standard to have any significant effect on the overall availability of omnidirectional antennas to consumers.(*100*)

The anticipated benefits of the standard are the prevention of approximately eight deaths during the first year the standard is in effect, and an equal number of injuries. If eight deaths are prevented, and the cost of the standard to consumers is about $750,000, the standard would cost approximately $94,000 per life saved. If new product sales fall to 65,000, and only seven deaths are prevented, the standard would cost about $93,000 per life saved.(*101*)

As noted above, in addition to preventing about 8 deaths per year, the standard is also expected to prevent the same number of injuries in the first year following its effective date. Using a conservative rangs of average costs from the Commission's Injury Cost Model, excluding consideration of costs of pain and suffering and long-term disability, the estimated injury-reduction benefits from the first year of the standard would range from about $21,000 to about $37,000. If the standard prevents only seven injuries during the first year after its effective date, the estimated injury-reduction benefits using this conservative range would be about $18,000 to about $32,000.

If estimated costs of pain and suffering and long-term disability are added in the computation of the cost of injuries associated with omnidirectional antennas, and if the standard prevents eight injuries during the first year it is in effect, the injury-reduction benefits would range from about $288,000 to as much as $1,680,000. If only seven injuries are prevented, the injury-reduction values would range from $252,000 to $1,470,000 when extimated costs of pain and suffering and long-term disability are included.(*102*)

As new, complying antennas gradually replace old, non-complying ones among the antennas in use by consumers, the effectiveness of the standard in reducing the overall risk associated with omnidirectional antennas is expected to increase, provided that the shock-protection properties of complying antennas remain adequate over the useful life of those products. Antennas may be removed and re-installed several times over a period of years. Compliance with the standard is expected to reduce the additional risk associated with removing and reinstalling antennas which are manufactured after the standard becomes effective.(*103*)

The Commission does not anticipate that elderly or handicapped persons will be affected by the standard in ways that differ significantly from those applicable to the general population.

Unreasonable Risk

The determination of whether a consumer product safety rule is reasonably necessary to reduce an unreasonable risk of injury involves a balancing of the degree and nature of the risk of injury addressed by the rule against the probable effect of the rule on the utility, cost, or availability of the product. These factors have been individually discussed in the findings which appear in § 1204.7 of the standard issued below. The following discussion concerns the relationship of anticipated injury reduction and costs for the requirements of the standard.

As explained above, the retail price increases that would result from promulgation of the proposed standard would amount to about $750,000 per year. Also, the promulgation of the standard is expected to result in prevention of about 8 deaths and 8 or more injuries during the first year it is in effect. Thus, the Commisson anticipates that the standard will cost approximately $94,000 for each life saved. Since value-of-life estimates [based on either the discounted future earnings methodology which start at about $200,000 per life, or the willingness-to-pay approach which ranges upward to about $3 million per life] are considerably higher than the cost per life saved, the Commission considers adoption of the standard to be worthwhile. Inclusion of monetary factors for injury costs, and pain, suffering, and disability attributable to the injuries that would be prevented by

the standard make the standard even more desirable.

Therefore, after considering the anticipated costs and benefits of this rule and the other factors discussed above, and having taken into account the special needs of elderly and handicapped persons to determine the extent to which such persons may be adversely affected by the rule, the Commission finds that this rule and its effective date are reasonably necessary to eliminate or reduce the unreasonable risk of injury associated with omnidirectional CB base station antennas and that promulgation of the rule is in the public interest.

Environmental Impact

The Commission's environmental review procedures (16 CFR Part 1021) which implement the National Environmental Policy Act provide that safety regulations for products normally have little or no potential for affecting the human environment and that preparation of environmental documents is generally not required (§ 1021.5(c)(1)).

The Commission has reviewed the standard for omnidirectional CB base station antennas and concludes that it has little or no potential for significantly affecting the human environment. The small amounts of additional insulating material and energy needed to make antennas that would comply with the proposal should produce no significant effects on the human environment. Therefore, the Commission has prepared no environmental documents in considering this standard and certification rule.

Other Means To Achieve the Objective of the Standard

As required by provisions of section 9(c) of the CPSA (15 U.S.C. 2058(c)), the Commission has considered other means of achieving the objective of the standard while minimizing adverse effects on competition and disruption or dislocation of manufacturing and commercial practices. Alternatives considered by the Commission were:

1. Other technical requirements which might reduce or eliminate unreasonable risks of death and injury from electric shock.

2. Issuance of the provisions of the standard as a voluntary test method;

3. A joint effort by the Commission and antenna manufacturers to alert CB antenna users of the danger of contacting overhead powerlines; and

4. Termination of this proceeding without issuance of a standard.

A summary of the Commission's reasons for rejecting each of these alternatives is set forth below.

1. *Other technical requirements which might reduce or eliminate unreasonable risks of injury.* As stated above, the standard issued below contemplates that the risk of death or injury from electrocution presented by an omnidirectional CB base station antenna contacting a powerline could be adequately reduced or eliminated either by insulating the antenna, or by isolating the antenna from the antenna mast, so that a harmful amount of current will not be transmitted to a person holding the antenna mast during installation or removal.

In the development of the standard, the Commission also considered the possibility that the standard might also incorporate provisions allowing the antenna to meet its requirements by means of grounding the antenna. Such an approach would require the antenna to be connected to an adequate grounding system before installation, and to remain connected to that system throughout its useful life until after it is taken down. The basic problem with this approach is the absence of any practical means for a consumer to ensure that the grounding system will be adequate. A system which is satisfactory as a ground under normal conditions may be incapable of dissipating the large amount of power involved in a powerline contact accident.(*104*)

The Commission also considered the possibility of addressing risks of death and injury from electric shock resulting from the antenna contacting a powerline by requiring antennas to incorporate a device to sense the electomagnetic field of a power line. The Commission rejected this alternative because of the cost involved in such an approach, and because consumers might persist in the installation of an antenna, even though the presence of a powerline is indicated.(*105*)

Other approaches for eliminating or reducing the risk of electric shock from the antenna contacting a powerline are described in the Feasibility Study for a Citizens' Band Base Station Antenna Standard, conducted by Systems Consultants, Inc., dated April 10, 1978.(*106*)

2. *Issuance of a voluntary test method.* The Commission estimates that if the provisions of the standard were issued as a voluntary test method, two or three firms would each market at least one model of an antenna which would meet the criteria for passing that test. (These are the same firms which are expected to comprise the entire omnidirectional CB base station industry after the standard becomes fully effective.) However, if the standard were issued as a voluntary test method, the Commission anticipates that other firms would probably continue production of existing products which would not meet the passing criteria of the test method.(*107*)

In its Final Economic Analysis, the Commission estimates that if the provisions of the standard were issued as a voluntary test method, the total cost of such a voluntary test method to consumers during the first year after issuance would be about 30 percent of the total cost to consumers expected to result from promulgation of a mandatory standard. However, the Commission estimates that a voluntary test method would prevent only about 25 percent of the deaths and injuries which may be avoided by issuance of a mandatory standard.

On the basis of these estimates, the cost of a voluntary test method for each life saved would be approximately $115,000, compared to an estimated cost of about $94,000 per life saved for the standard issued below. While the total cost of a voluntary test method to consumers during the first year following its issuance would be lower than that of a mandatory standard, the estimated dollar savings resulting to consumers from reduction of injuries would be disproportionately lower than the savings expected to result from issuance of a mandatory standard.(*108*)

Thus, the Commission declines to issue the provisions of the standard as a voluntary test method because it expects that such an approach would not only prevent fewer deaths and injuries each year than a mandatory standard, but would also have a less favorable ratio of benefits to costs than a mandatory standard.

3. *Informational campaign.* As an alternative to issuance of a mandatory standard, a trade association has offered to participate in a joint effort with the Commission to inform all users of CB antennas of the dangers which can result from contacting overhead powerlines, and to contribute as much as $60,000 to that effort.

As noted above in the analysis of comments, the trade association's proposal to participate with the Commission in an informational campaign and to make a financial contribution to that effort is conditioned upon a decision by the Commission to forego issuance of a mandatory standard for omnidirectional antennas.

The Commission believes that this alternative would have a relatively small economic impact on the industry. Although the potential benefits of this alternative are extremely difficult to

predict, the Commission observes that extensive efforts to promote public awareness of the dangers of contacting overhead powerlines have been conducted in the past by the Commission, antenna manufacturers, and utility companies, and that electrocutions and serious injuries continue to occur during installation and removal of CB base station antennas. For this reason, the Commission concludes that a public information campaign would prevent fewer deaths and injuries than issuance of a mandatory standard.(*109*)

4. *Take no further action.* Because the numbers of deaths and injuries associated with omnidirectional CB base station antennas have been declining in recent years, the Commission has also considered the possibility of terminating this proceeding and taking no further action.

This approach would have the least adverse economic impact on the industry. However, because some manufacturers have already redesigned their products to meet the requirements of the standard in the anticipation that it will be issued on a final basis, termination of this proceeding without issuance of a standard would nevertheless have the effect of imposing some costs on the industry. The Commission anticipates that if no standard were issued, one or two manufacturers might redesign some of their antennas to provide some degree of protection from electric shock. The levels of potential costs and benefits associated with this alternative are uncertain, but they could approach those of the voluntary test method alternative to the extent that manufacturers redesign their products.(*110*)

Other Standards

Until October, 1980, an ad hoc group comprised of representatives of the industry and of the Electronic Industries Association was in existence for the purpose of developing a voluntary safety standard for these antennas.

At that time, however, the industry members voted to terminate development of the voluntary standard for omindirectional antennas. They reasoned that publication of the final report on the Commission research in support of standard development constituted a "de facto" standard which would supplant other standard development.

In the case of the electrocution hazard associated with CB base station antennas, the Commission is not aware of any standard issued, adopted, or proposed by any Federal department or agency or by any other qualified agency, organization, or institution that would adequately reduce the risk and could be published as a standard by the Commission.

Effect on Small Entities; Final Regulatory Flexibility Analysis

As noted above, provisions of the Regulatory Flexibility Act (RFA, 5 U.S.C. 601 *et seq.*) require the Commission to prepare a final regulatory flexibility analysis as part of the promulgation of any rule which will have a significant economic impact on a substantial number of small entities, including small businesses.

In accordance with provisions of section 604 of the RFA (5 U.S.C. 604), the Commission has prepared a final regulatory flexibility analysis of the standard issued below which contains:

(1) A succinct statement of the need for and objectives of the standard;

(2) A summary of issues raised by comments on the initial regulatory flexibility analysis, published at the time the standard was proposed; a summary of the Commission's assessment of those issues and changes made to the proposal in response to those comments; and

(3) A description of each alternative to the standard to minimize any significant economic impact on small entities which was considered by the Commission, and a statement of the reasons why the Commission rejected each such alternative.(*111*)

As stated in the analysis of comments on the proposed standard, the Commission has included provisions in the final standard for a delayed effective date applicable to small manufacturers and importers in order to minimize the adverse economic impact of the standard on small businesses.

For purposes of the standard issued below, a small business is any firm manufacturing or importing antennas which are subject to the standard having 750 employees or fewer provided that the firm is not a subsidiary or division of another firm having more than 750 employees. Upon written application to the Commission's Associate Executive Director for Compliance and Administrative Litigation, the effective date of the standard will be delayed for an additional 90 days beyond the general effective date for any small business whose products are subject to the standard.

Other matters considered in the Final Regulatory Flexibility Analysis are discussed elsewhere in this notice, under appropriate topic headings. Copies of the final Regulatory Flexibility Analysis may be obtained from the Office of the Secretary.

J. Date of Promulgation

Section 9 of the CPSA, (15 U.S.C. 2058) sets forth the administrative procedures applicable to the promulgation of consumer product safety rules including a consumer product safety standard such as the one issued below. Section 9 provides guidance concerning the time period for a rule to take effect after the date it has been promulgated by the Commission. However, the CPSA does not define the date of promulgation. In the absence of statutory direction or Commission guidance, therefore, there is an element of uncertainty as to when a rule is considered to be promulgated. Promulgation could take place when the Commission, at a public meeting, votes to issue a rule; or when the **Federal Register** notice announcing the rule is signed by the Commission's Secretary; or at another time.

The uncertainty of the date of promulgation may be important to those who believe they are adversely affected by a rule issued by the Commission. Section 11 of the CPSA, (15 U.S.C. 2060) provides that such persons or groups may petition a U.S. Court of Appeals in the circuit of their residence or principal place of business for judicial review of the rule. In such a case, the Commission is required to respond by filing the record of the rule in the court where the first person or group has filed for judicial review.

Thus, persons or groups who are present or represented at a public meeting where the Commission votes to issue a rule and who believe they are adversely affected by the rule, may properly try to be first to file for judical review in an appropriate circuit of their choice. Persons or groups unable to be represented at such public meetings, whether for reasons of geographical or financial inconvenience, or otherwise, may also believe they are adversely affected by a Commission decision to issue a rule and yet not have an opportunity to be the first to file for judicial review in a forum of their choice.

The Commission believes it is important to remove the elements of uncertainty and possible infairness that may occur concerning opportunity for judicial review of a final standard or regulation by promulgating the rule on a date and time certain after its publication. The Commission observes that courts have traditionally approved a great deal of discretion for agencies to determine the manner in which their actions are promulgated. In this regard,

courts have deferred to the agency's choice as long as the choice is reasonable. The Commission's practice of designating the time of promulgation has been held to be reasonable. *Southland Mower Company* v. *U.S. Consumer Product Safety Commission,* 600 F. 2d 12 (5th Cir. 1979).

Accordingly, in order to provide the maximum amount of guidance possible to the courts and interested persons, the Commission specifies that the final standard and certification regulation shall be promulgated at 12:00 noon, Eastern Daylight Time, on August 30, 1982. The Commission believes this choice of promulgation date is reasonable in that it provides sufficient time for interested persons to learn about the rule before a court can be petitioned for judicial review.

K. Legislative Veto and Effective Date

The Consumer Product Safety Amendments of 1981 (Pub. L. 97–35); 95 Stat. 703 added a new section 36 to the CPSA (15 U.S.C. 2083), by which the Congress is authorized to exercise a legislative veto over consumer product safety standards, including the one published below.

Section 36 of the CPSA provides that the Congress may exercise its ligislative veto of this standard during the 90 calendar day period of continuing session of Congress following promulgation of this standard. The Commission estimates that interruptions in the continuing session of Congress will extend the 90 days specified in section 36 to approximately 120 days.

Consequently the effective date of the final standard and certification rule published below shall be 180 days after August 30, 1982, the date of official promulgation, or on the day after the expiration of the 90 calendar day period of continuing session of Congress, whichever is later. Upon written application, the Commission will extend the effective date of the standard and certification rule for an additional 90 days for any firm which manufactures or imports products which are subject to the standard and which has 750 employees or fewer provided such firm is not a subsidiary or a division of another firm having more than 750 employees.

The Commission will publish a notice in the **Federal Register** at a later time to confirm both the general effective date of the standard and certification rule, and the delayed effective date for small businesses.

L. Federal Register Index Terms

In accordance with provisions of 1 CFR 18.20(c), the Commission publishes the following list of **Federal Register** index terms applicable to the standard and certification rule issued below:

List of Subjects in 16 CFR Part 1204

Communications equipment, Consumer protection, Electronic products, Radio.

M. Paperwork Reduction Act

Information collection requirements contained in section 1204.17 of the certification regulation have been approved by the Office of Management and Budget under the provisions of the Paperwork Reduction Act of 1980 (44 U.S.C. Chapter 35), and have been assigned OMB control number 3041–0006.

Conclusion and Promulgation

Having considered the factors discussed above, and other available information which is relevant to this proceeding, the Commission concludes that the standard set forth below for omnidirectional CB base station antennas is reasonably necessary and in the public interest, and should be promulgated as a consumer product safety standard.

Therefore, the Commission amends Title 16, Chapter II, of the Code of Federal Regulations by adding a new Part 1204 to Subchapter B, to read as follows:

PART 1204—SAFETY STANDARD FOR OMNIDIRECTIONAL CITIZENS BAND BASE STATION ANTENNAS

Subpart A—The Standard

Sec.

1204.1 Scope of the standard.
1204.2 Definitions.
1204.3 Requirements.
1204.4 Electric shock protection tests.
1204.5 Manufacturer's instructions.
1204.6 Findings.

Subpart B—Certification

1204.11 General.
1204.12 Definitions.
1204.13 Certificate of compliance.
1204.14 Certification tests.
1204.15 Qualification testing.
1204.16 Production testing.
1204.17 Records.

Authority: Sec. 2, 3, 5, 7, 9, 14, 16, 19, 25, Pub. L. 92–573, 86 Stat. 1207, 1208, 1211–17, 1220, as amended Pub. L. 95–319, § 1, 92 Stat. 386, Pub. L. 94–284, 90 Stat. 503; 15 U.S.C. 2051, 2052, 2054, 2056, 2058, 2063, 2065, 2068, 2074.

Subpart A—The Standard

§ 1204.1 Scope of the standard.

(a) *General.* This Subpart A of Part 1204 is a consumer product safety standard which prescribes safety requirements for Citizens Band omnidirectional base station antennas. The standard is intended to reduce the risk of electrocution or serious injuries occurring if the antenna contacts an electric power line while the antenna is being put up or taken down. One way that this can be accomplished is to insulate the antenna so that if it contacts the power line, there is less of a likelihood that a harmful electric current will be transmitted from the power line through the antenna and mast and ultimately through a person holding the antenna mast. Another possible way to provide this protection is to incorporate an insulating barrier between the antenna and the mast or other supporting structure, so that a harmful electric current will not pass from the antenna to a person in contact with the mast. (If this alternative were chosen, the feed cable from the antenna would have to be insulated or otherwise protected so that it would not provide an electrical path to the mast or a person touching the cable.)

(b) *Description of the standard.*—(1) *Performance tests.* The standard describes two performance tests to determine if the means chosen by the manufacturer to protect against the shock hazard will provide adequate protection.

(i) First, there is an Insulating Material Effectiveness Test (§ 1204.4(d) of this subpart) in which a high voltage electrode or test rod is brought into contact with the antenna at any point within the protection zone established by § 1204.2(k) of this subpart to ensure that the insulation can withstand the voltage for 5 minutes without transmitting more than 5 milliamperes (mA) root-mean-square (rms) of electric current.

(ii) The other test is an Antenna-Mast System Test (§ 1204.4(e) of this subpart) which is intended to determine whether the means provided to protect against electrocution will withstand the stress imposed when an antenna-mast system falls onto a power line. This test consists of mounting the antenna to be tested on a specified mast and allowing the assembled antenna and mast to fall onto a power line of 14,500 volts rms phase to ground.

(2) *Recommended materials.* (i) Since a substantial portion of the accidents addressed by this standard occur when the antenna is being taken down after it has been installed in an outdoor environment for a number of years, the materials selected to provide protection from shock should be weather resistant.

(ii) Although other materials may also be suitable, materials meeting the

following criteria should be reasonably weather resistant:

(A) Material composition includes an ultraviolet stabilizer or screen.

(B) Heat resistance of 212°F (100°C) without loss of elasticity (ANSI/ASTM D 746–79).

(C) Moisture absorption of not more than 0.2 percent (ANSI/ASTM D 570–77).

(D) For heat shrinkable sleeving, temperature flexibility to −40°F (−40°C) with no cracks (Mil Spec. MIL–I–23053C, 20 May 1976).

(3) *Warning:* Section 1204.5 of this subpart requires a statement in the instructions that the standard will not protect in every instance against electrocution caused by contact with power lines. This is because the standard is intended to provide protection for power line voltages of up to 14,500 volts. Some power lines carry more voltage than this. In addition, not all portions of the antenna are required to be insulated, and the antenna's mast is not required to be insulated. If the power line were to contact one of these uninsulated areas, an electrocution could occur. Furthermore, when the antenna was manufactured it may not in fact have complied with the standard, or the insulation may have deteriorated or been damaged since the antenna was manufactured. In addition, the insulation cannot withstand high voltages indefinitely, and, after a period of time, the current may penetrate the insulation. Therefore, even if a harmful amount of current is not transmitted immediately, the user should not attempt to remove an antenna that falls into electric power lines, since the insulation could break down while the antenna is being removed. For these reasons, persons handling these antennas should ensure that the antennas are kept away from power lines so that the antenna cannot contact the line while being transported, installed, or removed, even if the antenna is dropped. The Commission recommends that antennas be located at least twice the combined length of the antenna and mast from the nearest power line.

(c) *Scope.* (1) Except as noted below, the standard applies to all omnidirectional CB base station antennas that are consumer products and are manufactured or imported on or after February 25, 1983, or the day after the expiration of the period provided in 15 U.S.C. 2083 for the exercise of a Congressional veto of the standard, whichever date is later.

(2) The Commission may extend the effective date of the standard for as long as an additional 90 days for any firm which has 750 employees or fewer and, is not a subsidiary or division of a firm having more than 750 employees, and which manufactures or imports products subject to the standard, upon written application, addressed to the Associate Executive Director for Compliance and Administrative litigation, Consumer Product Safety Commission, Washington, D.C. 20207, received not later than January 17, 1983. An application for extension of the effective date shall:

(i) Identify the requesting firm as a manufacturer or importer of products subject to the standard.

(ii) State the total number of employees of the firm, including all employees of any subsidiary or division, and all employees of any firm of which the requesting firm is a subsidiary or division.

(iii) Request extension of the effective date to a specific date not later than May 27, 1983.

(iv) Explain why the requested extension of the effective date is needed.

(v) Describe all activities undertaken by the requesting firm to achieve compliance with the requirements of the standard.

(vi) State that the requesting firm will market complying products after the extended effective date.

(3) The Associate Executive Director for Compliance and Administrative Litigation will evaluate each request for extension of the effective date. The following criteria will be used in determining whether to grant an application for extension of the effective date:

(i) Does the application demonstrate that the requesting firm cannot meet the general effective date,

(ii) Does the application demonstrate that the requesting firm has made a good faith effort to achieve compliance with the requirements of the standard by the general effective date.

(iii) Does the application demonstrate that the firm is likely to produce or market complying products if the requested extension is granted.

(4) The Associate Executive Director will advise each requesting firm in writing if the requested extension is granted or denied. If the Associate Executive Director for Compliance and Administrative Litigation denies a request for extension of the effective date, the firm may request the Commission to reconsider the denial.

(5) Section 3(a)(1) of the Consumer Product Safety Act (CPSA, 15 U.S.C. 2052(a)(1) defines the term "consumer product" as an "article, or component part thereof, produced or distributed (i) for sale to a consumer for use in or around a permanent or temporary household or residence, a school, in recreation, or otherwise, or (ii) for the personal use, consumption or enjoyment of a consumer in or around a permanent or temporary household or residence, a school, in recreation, or otherwise." The term does not include products that are not customarily produced or distributed for sale to, or for the use or consumption by, or enjoyment of, a consumer. A limited exception from coverage of the standard is provided by section 18(a) of the CPSA, 15 U.S.C. 2067, for certain products intended for export and meeting the requirements of section 18(b) of the CPSA.

(d) *Prohibited acts.* It is unlawful to manufacture for sale, offer for sale, distribute in commerce, or import into the United States any product subject to this standard that does not conform with the standard.

§ 1204.2 Definitions.

In addition to the definitions given in Section 3 of the Consumer Product Safety Act (15 U.S.C. 2052), the following definitions apply for the purposes of this standard.

(a) Antenna system means a device for radiating and/or receiving radio waves. Where they are present, the antenna system includes active elements, ground plane elements, matching networks, element-connecting hardware, mounting hardware, feed cable, and other functional or non-functional elements.

(b) Antenna-mast system means the completed assembly of the antenna system and the mast.

(c) Base station means a transmitter and/or receiver in a fixed location.

(d) Citizens Band (CB) means the frequency band allocated for citizen's band radio service.

(e) Current means the total rate at which electrical charge is transported through the antenna-mast system in response to the applied test voltage, including both capacitive and resistive components.

(f) Electrical breakdown means a failure of the insulating material used with the antenna, such that in the Antenna-Mast System Test of § 1204.4(e) of this subpart, the current flowing through the antenna-mast system is sufficient to actuate the automatic internal cut-off of the high voltage source or exceeds the current that can be measured by the current monitoring device.

(g) Feed cable means the electrical cable that connects the antenna system to the transmitter and/or receiver.

(h) Field joint means any joint between antenna system sections or parts, or between the antenna system and the mast, that is not assembled by the antenna manufacturer.

(i) Insulating material and insulation mean a material that has a very small electric conductivity.

(j) Omnidirectional antenna means an antenna system designed or intended primarily to exhibit approximately equal signal transmission or reception capabilities in all horizontal directions simultaneously.

(k) Protection zone means that portion of an antenna system which can contact the test rod during the Insulating Material Effectiveness Test or can contact the power line during the Antenna-Mast System Test. This zone consists of those elements of the antenna system extending from the uppermost tip of an upright antenna downward to a point that is 12.0 inches (30.5 cm) above the top of the mast when the antenna system is mounted according to the manufacturer's instructions.

(l) Voltage, phase to ground, means that voltage which exists between a single phase of a three phase power system and ground.

§ 1204.3 Requirements.

All omnidirectional CB base station antennas are required to comply with the following requirements.

(a) *Field joints.* Parts or accessories intended to protect a field joint so that it will meet any other requirement of this standard, and that must be put into place by the person assembling the antenna system, shall be integral with, or not readily removable from, at least one of the antenna sections or parts involved in the joint or shall be necessary in order to complete the joint.

(b) *Feed cable.* When compliance with the requirements of this standard depends on the insulating or other properties of the feed cable, at least 50 feet of the cable shall be supplied by the manufacturer with the antenna system.

(c) *Electrical protection.* Antenna systems shall be manufactured so that if all points within the protection zone of an antenna system were tested by the Insulating Material Effectiveness Test of § 1204.4(d) of this subpart, and the Antenna-Mast System Test of § 1204.4(e) of this subpart, the current measured by the current monitoring device connected to the mast would be no greater than 5.0 milliamperes rms and no electrical breakdown of the antenna system's insulating material would occur.

§ 1204.4 Electric shock protection tests.

(a) *Safety precautions.* For tests involving high voltage, the following recommended minimum safety precautions should be followed:

(1) At least one test operator and one test observer (preferably one with cardiopulmonary resusitation (CPR) training) should be present at every test.

(2) The test area (outdoors or indoors) should secure against accidental intrusion by other persons during tests.

(3) Test areas located indoors should be ventilated to avoid buildup of potentially hazardous concentrations of gaseous byproducts which may result from the tests.

(4) Fire extinguishers should be easily accessible in case materials on the test specimen ignite.

(5) "High Voltage Test" warning devices should be activated before start of a test.

(6) Emergency phone numbers should be posted.

(b) *Test conditions.* (1) *Specimens.* All specimens shall be tested as supplied by the manufacturer, following assembly in accordance with the manufacturer's instructions except as provided in paragraph (e)(2) of this section.

(2) *Temperature.* Ambient temperature shall be in the range from 32°F (0° C) to 104° F (40° C)

(3) *Relative humidity.* Ambient relative humidity shall be in the range of from 10 to 90 percent.

(4) *Voltage.* Voltage, phase to ground, of the power line or test probe shall be 14.5 kilovolts rms, 60 hertz.

(5) *Conditioning.* Prior to testing, all specimens shall be exposed for at least 4 hours to the ambient test area environment.

(c) *Test equipment.* (1) High voltage source capable of delivering at least 15 mA rms at 14.5 kV rms, 60 Hz. The source should have an automatic internal cut-off actuated by a preset current level.

(2) Instrumentation to measure the rms voltage applied to the antenna system.

(3) Current monitoring device to indicate hazardous components of the total rms current flowing to ground through the mast. One configuration of the circuitry for the current monitoring device (shown in Figure 1) consists of three parallel branches as follows. One branch consists of a resistor in series with a true-rms milliammeter with a maximum error of 5% of the reading in the frequency range of 50Hz to 10MHz (the total of the resistor and the internal resistance of the milliammeter is to be 1000 ohms). A parallel branch consists of a 1000 ohm resistor in series with a 0.08 microfarad capacitor. Another parallel branch should consist of a spark gap rated at 50 to 100 volts as a meter protection device. A different current monitoring device may be used if the measured value of the rms current corresponds to that indicated by the configuration described above.

(4) For the Insulating Material Effectiveness Test:

(i) High voltage electrode or test rod consisting of ¼ in. (6.4 mm) diameter aluminum rod.

(ii) Support jig, structure, or hanger made of insulating material which is capable of holding antenna system test specimens electrically isolated from all surrounding structures or ground.

(5) For the Antenna-Mast System Test, a high voltage test facility, as shown in Figures 2 and 3, which includes a single power line spanning between two poles 95 to 105 feet (29 to 32 meters) apart, a tensioning device to adjust the cable sag to from 9 to 12 inches (23 to 30 cm), and a pivot fixture (Figure 2), for holding the base of an antenna-mast system, which can be moved horizontally to adjust the distance to the cable. The cable consists of ¼ in. diameter 7 by 19 galvanized steel aircraft cable. The low point of the cable shall be between 28 and 29 feet (8.5 to 8.8 meters) above a horizontal plane through the pivot axis of the pivot fixture.

(d) *Insulating Material Effectiveness Test procedure.* (1) A short piece of typical tubular mast shall be attached to the antenna system to be tested, in accordance with mounting instructions provided with the antenna system by the manufacturer.

(2) If a feed cable is provided with the antenna system, it shall be used in the test. If no cable is provided with the antenna system, a RG–213 cable shall be used in the test (Mil Spec. MIL–C–17/75C, 15 March 1977). In either case, the cable shall be connected to the antenna system, installed parallel to the mast, and secured by taping or similar means at one point on the mast. The side of the bottom end of the cable also shall be secured to the mast.

(3) With the antenna system properly supported and isolated from ground and with the current monitoring device connected to the mast, the test rod shall be connected to the high voltage source and brought into contact with the antenna system at any point within the protection zone (see § 1204.2(k) of this subpart). For each contact point, the voltage shall be increased from 0 to 14.5 kV at a rate of at least 2 kV per second and held at 14.5 kV for 5.0 minutes. Current shall be monitored and the maximum recorded.

(e) *Antenna-Mast System Test procedure.* (1) The antenna system to be tested shall be attached to a mast in accordance with mounting instructions provided by the manufacturer. The mast shall be assembled of commercially available 1¼ inch outside diameter 16 gauge tubular steel sections, commonly sold for antenna-mast installations in 5 and 10 feet lengths. The slip joints between the mast sections shall be secured (as with screws) to prohibit rotational or longitudinal movement at the joint. The length of the mast shall be such that when it is mounted in the pivot fixture of the high voltage test facility, the distance from the pivot to the uppermost point on the antenna system is 41.75 to 42.25 feet (12.7 to 12.9 meters).

(2) If a feed cable is provided with the antenna system, it shall be used in the test. If no cable is provided with the antenna system, a RG–213 feed cable shall be used in the test for specification of an RG–213 cable see (Mil. Spec. MIL–C–17/75C, 15 March 1977). In either case, the cable shall be connected to the antenna system, installed parallel to the mast, and secured by taping or similar means every two feet along the length of the mast. The side of the bottom end of the cable also shall be secured to the mast.

(3) The antenna-mast system shall be mounted in the pivot fixture. The pivot fixture shall be adjusted so that the point of impact between the antenna and the power line takes place at any desired point within the antenna's protection zone. The antenna-mast system shall then be erected to a position of up to 5° from the vertical, leaning toward the simulated power line (see Figure 4). The antenna-mast system shall then be released and allowed to fall against the power line. The test may be performed with different test positions such that the antenna system flexes after impact and slides off the power line and or so that it remains in contact with the power line for 5.0 minutes. Current flow from the antenna-mast system to ground shall be monitored and recorded for each test.

(f) *Interpretation of Results.* An antenna shall pass the Insulating Material Effectiveness Test or the Antenna-Mast System Test if no electrical breakdown occurs and if no current reading exceeds 5 mA rms.

§ 1204.5 Manufacturer's instructions.

(a) For all antennas covered under this Part 1204, the following statement shall be included in the manufacturer's instructions, in addition to the material required by 16 CFR 1402.4(a)(1)(ii):

Under some conditions, this antenna may not prevent electrocution. Users should keep antenna away from any overhead wires. If antenna contacts a power line, any initial protection could fail at any time. IF ANTENNA NEARS ANY OVERHEAD WIRES, IMMEDIATELY LET GO, STAY AWAY, AND CALL UTILITY COMPANY.

(b) This warning statement shall be in a separate paragraph immediately following the warning statement required by 16 CFR 1402.4(a)(1)(ii)(A).

(c) This warning statement shall be legible and conspicuous and shall be in type that is at least as large as the largest type used on the remainder of the page, with the exception of the logo and any identification of the manufacturer, brand, model, or similar designations, and that is preferably no smaller than 10 point type.

§ 1204.6 Findings.

As required by section 9 (b) and (c) of the Consumer Product Safety Act, 15 U.S.C. 2058 (b) and (c), the Commission makes the following findings:

(a) *The degree and nature of the risk of injury the rule is designed to reduce.*

(1) The rule addresses the risk of injury or death caused by electric shock occuring when the antenna comes into contact with electrical power lines while the antenna is being put up or taken down.

(2) About 175 fatalities were estimated to be associated with omnidirectional CB antennas in 1976. The estimated number of fatalities declined to about 125 in 1977 and to about 55 in 1978. Since then, the number of fatalities appears to have leveled off at about 45–50 each year. In addition to the 45–50 deaths, it is estimated that a somewhat greater number of injuries occur annually and that about half of them are serious enough to require surgery, amputation, skin grafts, etc. It is common for multiple deaths or injuries to occur in a single accident.

(3) The Commission's staff has estimated that since 1979 about 20 percent of the accidents involved antennas less than a year old, resulting in about 8 deaths in 1980.

(4) Since a substantial portion of the accidents associated with these antennas occur when the antenna is being taken down after it has been installed in an outdoor environment for a number of years, the standard recommends that materials selected to provide protection from shock be weather resistant.

(5) The standard specifies that protection shall be provided against voltages of 14,500 volts phase-to-ground. Voltages of this level or less are involved in 98 percent of the accidents and 95 percent of the total circuit mileage of distribution circuits.

(b) *The approximate number of consumer products, or types or classes thereof, subject to the rule.*

(1) The standard applies to omnidirectional CB base station antennas. The Commission estimates that there were approximately 5 million omnidirectional base station antennas in use in 1981, and at that time as many as 75,000 of these antennas were expected to be sold each year for the next several years.

(c)(1) *The need of the public for the consumer products subject to the rule.* Omnidirectional CB base station antennas are used in non-mobile applications to obtain essentially uniform receiving and transmitting capabilities in all directions simultaneously. Although directional antennas can obtain greater reception and transmitting capabilities in one or more directions than can omnidirectionals, directionals are generally more expensive and must be oriented so that they point in the desired direction. Therefore, omnidirectional antennas are preferred by many base station operators, and they can also be used in conjunction with a directional antenna to locate another station to which the directional antenna can then be oriented.

(2) CB stations are used by individuals as a communications device for both practical and personal enjoyment purposes. Some operators volunteer to monitor the commonly used and/or emergency channels for distress calls and summon aid where appropriate, relay messages, and aid local authorities and motorists in monitoring traffic conditions and accidents.

(3) Although operators can fabricate their own antennas, and antennas made for other purposes can be adapted for CB use, for most operators there is no adequate substitute for the commercial CB base station antennas subject to this rule.

(d) *The probable effect of the rule upon the utility, cost, and availability of the product.*—(1) *Utility.* Tests performed for the Commission have shown that an external layer of insulation that will enable the antenna to comply with this standard can be provided that will have no significant effect on the performance of the antenna that cannot be compensated for by minor changes in the antenna. It is also likely that an insulated antenna's useful life would be somewhat longer than that of an uninsulated antenna. To the extent that manufacturers minimize the number of antenna elements in the protection zone, antennas should become less complex and bulky, and installation may

also be eased. This may tend to make installation and removal of the antenna somewhat safer as well. If the isolation technique were used to comply with the standard, there should be no effect on the performance of the antenna.

(2) *Cost.* For the simpler designs of omnidirectional CB base station antennas, the manufacturers' production costs will be increased by approximately 20 percent, or $4 per antenna. For a few models, the production cost increase could be as much as 50 percent. Some models of antennas for which cost increases could be expected to be substantially greater will likely be discontinued. Some manufacturers already make antennas that either comply with the standard or can be made to do so with changes that involve no significant cost increases. The average rise in retail prices due to the standard is expected to be from 20 percent, or about $10 per antenna.

(3) *Availability.* The 30 or more different models of omnidirectional CB base station antennas available to consumers in 1981 are expected to be reduced in number substantially, perhaps by as much as half, after product line changes are made to meet the standard. The difference among some of the models likely to be discontinued are small (often relating only to primarily cosmetic features that provide a certain degree of product differentiation but do not significantly affect performance). Changes in product lines may be discernible to some consumers, however, since different brands and models of antennas will tend to look more alike (i.e., without upper radials, "hats" or other physical appendages previously incorporated). The availability of replacement components for older antennas may also be restricted somewhat if new, complying components are not compatible with some older models. Production of complying antennas is expected to be sufficient to satisfy demand; no overall "shortage" of antennas is anticipated as a result of the standard. Sales will, instead, shift from relatively low levels for each of many models to relatively higher levels for fewer models.

(e) *Means of achieving the objective of the order while minimizing adverse effects on competition or disruption or dislocation of manufacturing and other commercial practices consistent with the public health and safety.*

(1) The standard may have significant adverse effects on competition among antenna producers. The additional costs associated with the standard, coupled with the recent history of decreasing sales, may cause a number of manufacturers, including one or two of the major producers, to abandon production of omnidirectional CB base station antennas. The standard is likely to impact most heavily on smaller manufacturers, which may have smaller and fewer capital sources from which to draw funds for product design and production changes and for product testing.

(2) Concentration of sales among the two largest manufacturers will probably increase as a result of the standard. However, the shrinking size of the market itself may prompt some major firms to drop this product line. Companies currently making antennas that substantially comply with the standard will probably gain a significant short-run competitive advantage over other producers whose products do not already comply with the standard's basic provisions.

(3) Compliance with the standard may be relatively more burdensome for the smaller firms in the producing industry. Several small firms which entered the market in the early- and mid-1970's have already left the market due to the overall decrease in demand for the product. Those that remain account for less than 10 percent of annual unit shipments. None of these small firms is expected to go out of business as a result of issuance of the standard because most also produce directional CB and other base and mobile communications antennas and equipment. However, the Commission anticipates that most of these small firms will probably discontinue omnidirectional CB base station antenna production, at least temporarily, until a supplier of complying components is found, or until a decision can be made about long-term prospects.

(4) In order to minimize the adverse effects on competition and manufacturing and other commercial practices, the standard is a performance standard defined in terms of the factors the Commission determined to be significant for the protection of consumers. Thus, manufacturers have a maximum degree of flexibility in how to meet the standard, since the standard does not specify how the protection performance is to be obtained.

(5) The Commission also considered alternative technical approaches to reducing or eliminating unreasonable risks of injury associated with omnidirectional CB base station antennas, including incorporation of provisions in the standard which would allow the antenna to meet its requirements by grounding. The Commission rejected this approach because of the absence of any practical means for a consumer to ensure that the ground system will be adequate to dissipate the large amounts of power involved in a powerline contact accident. Additionally the Commission considered the possibility that the standard might require CB base station antennas to incorporate a device to sense the electromagnetic field of a powerline. The Commission rejected this alternative because of the cost involved in such an approach, and because consumers could install an antenna even though the presence of a powerline is indicated.

(6) The Commission considered making the provisions of the standard less stringent and eliminating requirements applicable to the antenna's feed cable, in order to lessen the adverse impact of the standard on competition and manufacturing practices. However, it was determined that such changes to the standard would reduce the effectiveness of the standard and thus were not consistent with the public health and safety. Furthermore, these changes would not significantly reduce the adverse effects on competition and manufacturing practices. The elimination of requirements applicable to the feed cable would, with known technology, result in almost completely negating the benefits of the standard and is thus not consistent with the public health and safety.

(7) The Commission also considered the possibility of issuing the requirements of the standard as a voluntary test method rather than as a mandatory standard. The Commission estimated that if the provisions of the standard were issued as a voluntary test method, the total cost of such a voluntary test method to consumers during the first year after issuance would be about 30 per cent of the total cost to consumers expected to result from promulgation of a mandatory standard. However, the Commission estimated that a voluntary test method would prevent only about 25 per cent of the deaths and injuries which may be avoided by issuance of a mandatory standard. The Commission declined to issue the provisions of the standard as a voluntary test method because it concluded that such an approach would not only prevent fewer deaths and injuries each year than a mandatory standard, but would also have a less favorable ratio of benefits to costs than a mandatory standard.

(8) The Commission also considered the possibility of undertaking a joint effort with a trade association to inform all users of CB antennas of the dangers

which can result from contact with overhead powerlines as an alternative to issuance of a mandatory standard. The Commission observed that this alternative would have a relatively small economic impact on the industry. The Commission also observed that extensive efforts to promote public awareness of the dangers of contacting overhead powerlines have been conducted in the past by the Commission, antenna manufacturers, and utility companies, and that electrocutions and serious injuries continue to occur during installation and removal of CB base station antennas. For this reason, the Commission concluded that a public information campaign would prevent fewer deaths and injuries than issuance of a mandatory standard, and rejected such a campaign as an alternative to issuance of the standard.

(f) *The rule, including its effective date, is reasonably necessary to eliminate or reduce an unreasonable risk of injury associated with the product.*

(1) The provisions of the standard constitute a related system of performance parameters which are needed as a group to ensure that the performance of new antennas will provide the degree of safety which the Commission has determined is reasonably necessary. Minor changes in the value of each parameter would not significantly reduce the costs of the standard, although in some cases they could substantially reduce the standard's effectiveness.

(2) The Commission estimates that increased retail prices due to the standard will cost consumers up to about $750,000 per year. The Commission also estimates that the standard will prevent approximately 8 deaths and 8 or more injuries during the first year the standard is in effect. Thus, if the standard saves 8 lives per year, the cost of the standard will be about $94,000 for each life saved.*

(3) As to the benefits from reduced injuries, the Commission estimates that, if 8 injuries are prevented during the first year the standard is in effect, the actual costs saved by the accidents prevented by the standard will amount to up to $21,000 to $37,000, exclusive of pain, suffering, or disability. If a monetary factor for these less quantifiable components is included, annual injury reduction benefits could be about $288,000 to $1,680,000.

(4) The effective date of the standard was selected after balancing the increased costs to manufacturers and consumers that are associated with shorter effective dates against the benefits to the public that would be caused by having the effective date as soon as possible.

(5) The requirement for the cautionary statement in the instructions for the antenna is intended to ensure the effectiveness of the standard by discouraging any relaxation of present safety practices involving staying away from power lines. Since instructions for this product are already required by 16 CFR Part 1402, the additional statement should have little or no adverse economic impact.

(6) After considering the costs and benefits associated with the standard, the Commission concludes that the standard, including its effective date, is reasonably necessary to eliminate or reduce an unreasonable risk of electric shock injury associated with omnidirectional CB base station antennas and that promulgation of the rule is in the public interest.

Subpart B—Certification

§ 1204.11 General.

Section 14(a) of the Consumer Product Safety Act ("the act"), 15 U.S.C. 2063(a), requires each manufacturer, private labeler, or importer of a product which is subject to a Consumer Product Safety Standard and which is distributed in commerce to issue a certificate of compliance with the applicable standard and to base that certificate upon a test of each item or upon a reasonable testing program. The purpose of this Subpart B of Part 1204 is to establish requirements that manufacturers and importers must follow to certify that their products comply with the Safety Standard for Omnidirectional CB base Station Antennas (16 CFR Part 1204, Subpart A). Private labelers of CB antennas subject to the standard need not issue a certificate of compliance if they have been furnished a certificate issued by the manufacturer or importer of the antennas. This Subpart B describes the minimum features of a reasonable testing program and includes requirements for recordkeeping.

§ 1204.12 Definitions.

In addition to the definitions set forth in section 3 of the act, and in § 1204.2 of the standard, the following definitions shall apply to this Subpart B of Part 1204:

(a) "Private labeler" means an owner of a brand or trademark which is used on the label of a CB antenna subject to the standard, which bears a private label as defined in section 3(a)(7) of the act, 15 U.S.C. 2052(a)(7).

(b) "Production interval" means a period of time determined by the manufacturer or importer that is appropriate for conducting a test on one or more samples of the CB antennas produced during that period in order to provide a high degree of assurance that all of the products manufactured during that period meet the requirements of the standard. An appropriate production interval may vary depending on the construction of the antenna, the likelihood of variations in the production process, and the severity of the test that is used. The time period for a production interval shall be short enough to provide a high degree of assurance that if the samples selected for testing pass the test, all other CB antennas produced during the period will meet the standard.

§ 1204.13 Certificate of compliance.

(a) The manufacturer or importer of any product subject to the standard must issue the certificate of compliance required by section 14(a) of the act. If the testing required by this Subpart B of Part 1204 has been performed by or for the foreign manufacturer of a product, the importer may rely on such tests to support the certificate of compliance if the importer is a resident of the United States or has a resident agent in the U.S., and the records are maintained in the U.S. The importer is responsible for ensuring that the foreign manufacturer's records show that all testing used to support the certificate of compliance has been performed properly with passing or acceptable results and that the records provide a reasonable assurance that all antennas imported comply with the standard.

(b) A certificate of compliance must accompany each product or otherwise be furnished to any distributor or retailer to whom the product is delivered by the manufacturer or importer.

(c) The certificate shall state:

(1) That the product "complies with all applicable consumer product safety standards (16 CFR Part 1204)",

(2) The name and address of the manufacturer or importer issuing the certificate, and

(3) The date of manufacture and, if different from the address in paragraph

*The Commission believes that, in the area of consumer product safety, it is not generally necessary or appropriate to assign a specific monetary value to human life. However, several studies on the costs of injuries and deaths have been conducted in recent years. Value-of-life estimates based on discounted future earnings and the willingness-to-pay approach range from about $200,000 to about $3 million. The estimated costs of the CB antenna standard per life saved fall below or within the range suggested by these value-of-life estimating methodologies.

(c)(2) of this section, the place of manufacture.

§ 1204.14 Certification tests.

(a) *General.* As explained in § 1204.11 of this subpart, certificates of compliance required by section 14(a) of the act must be based on either a test of each item or on a reasonable testing program.

(b) *Tests of each item.* If the certificate is based on tests of each item, the tests may be either those prescribed by the standard or any other test procedure that will determine that the item tested will comply with the standard.

(c) *Reasonable testing programs.* (1) *Requirements.* (i) A reasonable testing program for a particular model of CB antennas is one which demonstrates with a high degree of assurance that all the antennas of that model will meet all requirements of the standard. Manufacturers and importers shall determine the types and frequency of testing for their own reasonable testing programs. A reasonable testing program which does not test each item produced should be sufficiently stringent that any variations in production, etc., over the production interval would not cause any antenna to fail if tested according to the requirements of the standard.

(ii) All reasonable testing programs shall include qualification tests, which must be performed on one or more samples of the CB antennas representative of each model produced, or to be produced, to demonstrate that the product is capable of passing the tests prescribed by the standard and shall also include production tests, which must be performed during appropriate production intervals as long as the product is being manufactured.

(iii) Corrective action and/or additional testing must be performed whenever certification tests of samples of the product give results that do not provide a high degree of assurance that all antennas manufactured during the applicable production interval will pass the tests of the standard.

(2) *Testing by third parties.* At the option of the manufacturer or importer, some or all of the testing of each item or of the reasonable testing program may be performed by a commercial testing laboratory or other third party. However, the manufacturer or importer is responsible for ensuring that all certification testing has been properly performed with passing or acceptable results and for maintaining all records of such tests in accordance with § 1204.17 of this subpart.

§ 1204.15 Qualification testing.

(a) *Testing.* Before any manufacturer or importer of CB antennas which are subject to the standard distributes them in commerce, one or more samples of each model shall be tested to determine that all such antennas manufactured after the effective date of the standard will comply with the standard. The type of tests and the manner of selecting samples shall be determined by the manufacturer or importer to provide a reasonable assurance that all antennas subject to the standard will comply with the standard. Any or all of the qualification testing required by this paragraph may be performed before the effective date of the standard.

(b) *Product modifications.* If any changes are made to a product, after initial qualification testing, that could affect the ability of the product to meet the requirements of the standard, additional qualification tests must be made before the changed antennas are manufactured for sale or distributed in commerce.

§ 1204.16 Production testing.

(a) *General.* Manufacturers and importers shall test antennas subject to the standard periodically as they are manufactured, to demonstrate that the antennas meet the requirements of the standard.

(b) *Types and frequency of testing.* Manufacturers and importers shall determine the types of tests for production testing. Each production test shall be conducted at a production interval short enough to provide a high degree of assurance that, if the samples selected for testing pass the production tests, all other antennas produced during the interval will meet the standard.

(c) *Test failure.*—(1) Sale of antennas. If any test yields results which do not indicate that all antennas manufactured during the production interval will meet the standard, production must cease and the faulty manufacturing process or design must be corrected. In addition, products manufactured before the appropriate corrective action is taken may not be distributed in commerce unless they meet the standard. It may be necessary to modify the antennas or perform additional tests to ensure that only complying antennas are distributed in commerce. Antennas which are subject to the standard but do not comply with the requirements of the standard cannot be offered for sale, distributed in commerce, or imported in the United States.

(2) *Corrective actions.* When any production test fails to provide a high degree of assurance that all antennas comply with the standard, corrective action must be taken. Corrective action may include changes in the manufacturing and/or assembly process, equipment adjustment, repair or replacement, or other action deemed appropriate by the manufacturer or importer to achieve passing production test results.

§ 1204.17 Records.

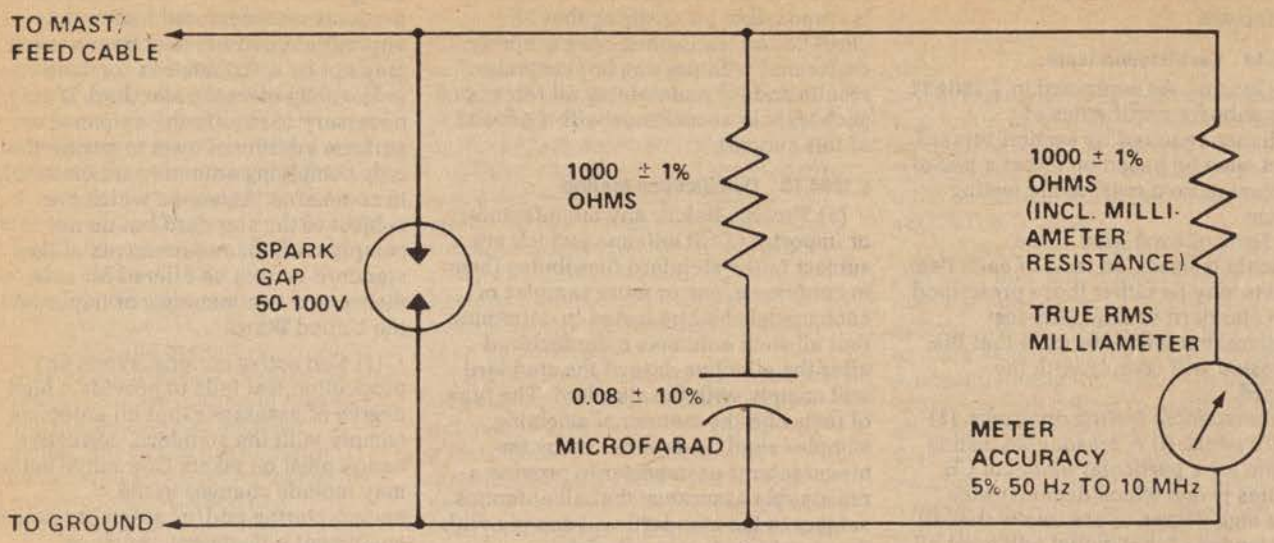
Each manufacturer or importer of CB antennas subject to the standard shall maintain the following records, which shall be maintained for 3 years after the creation of the records and shall be available to any designated officer or employee of the Commission in accordance with section 16(b) of the Consumer Product Safety Act (15 U.S.C. 2065(b)):

(a) Records of the qualification and production testing required by this Subpart B, including a description of the types of tests conducted, the dates and results of the tests, and the production interval selected for the performance of the production testing.

(Approved by the Office of Management and Budget under control number 3041–006)

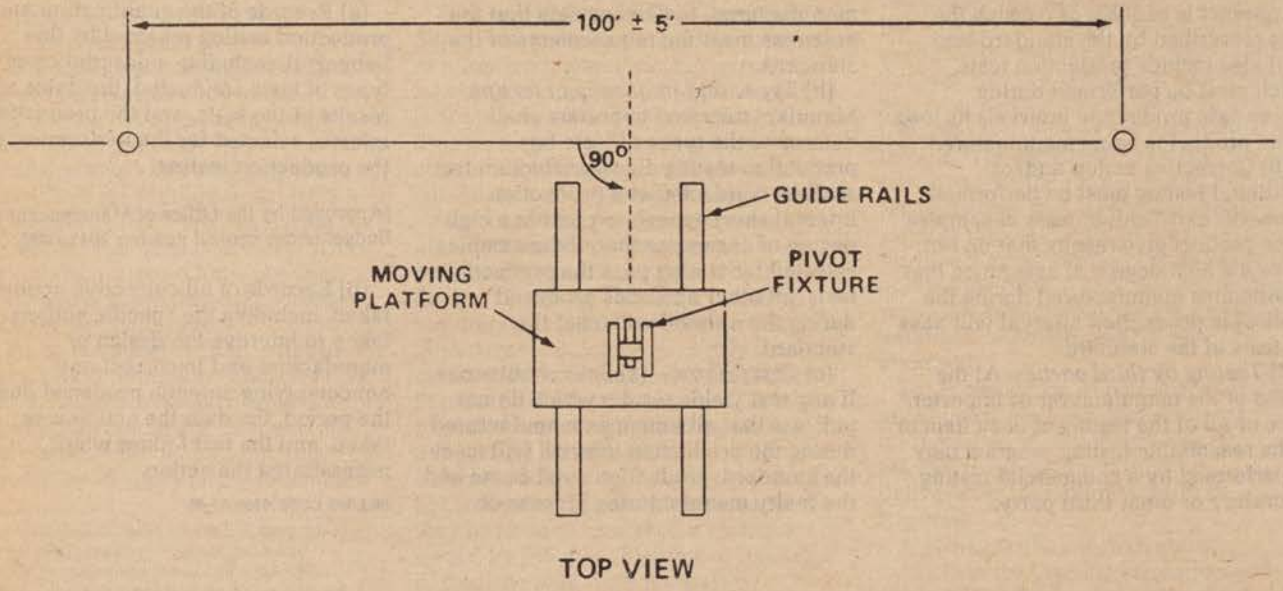
(b) Records of all corrective actions taken, including the specific actions taken to improve the design or manufacture and to correct any noncomplying antenna produced during the period, the date the action was taken, and the test failure which necessitated the action.

BILLING CODE 6355-01-M



SUGGESTED INSTRUMENTATION FOR CURRENT MONITORING DEVICE

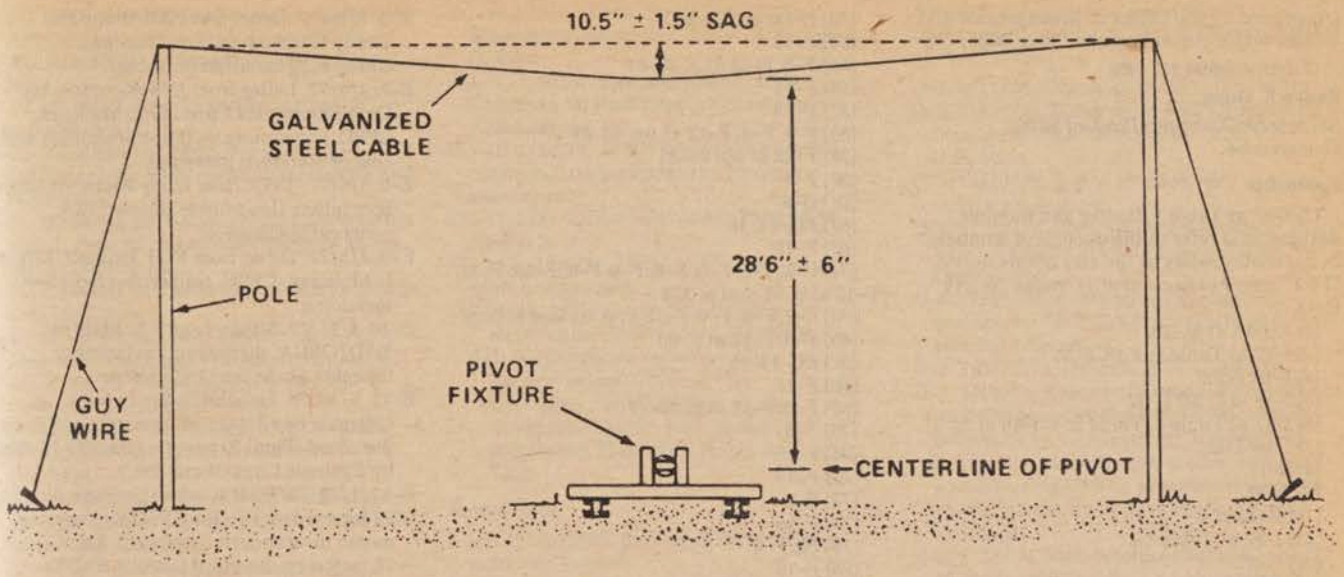
FIGURE 1



TOP VIEW

HIGH VOLTAGE TEST FACILITY

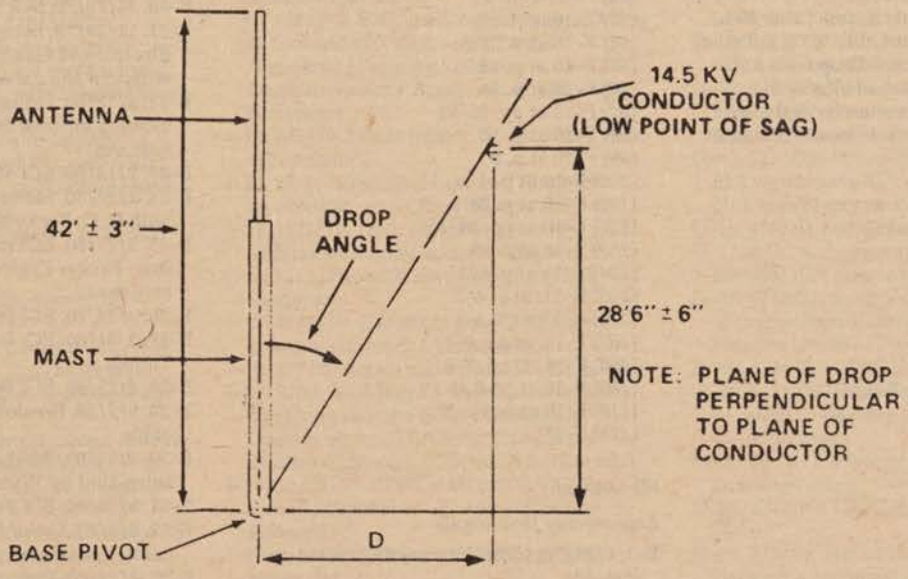
FIGURE 2



ELEVATION

HIGH VOLTAGE TEST FACILITY

FIGURE 2



ANTENNA SYSTEM TEST SETUP

FIGURE 3

BILLING CODE 6355-01-C

[Approved by the Office of Management and Budget under control number 3041–0006]

Dated: August 11, 1982.

Sadye E. Dunn,

Secretary, Consumer Product Safety Commission.

Footnotes

(*1*) I–17 at Table 1. (Letter and number designations refer to the document numbers in the bibliography at the end of this notice. "I–17" refers to document 17 under "Injury Data.")

(*2*) EC–14 at 25–26.

(*3*) I–17 at Table 1; I–18; I–22.

(*4*) I–18; I–22.

(*5*) I–17 at 2, 34; I–18.

(*6*) I–17 at Table 4, Table B–1; I–10 at 2.

(*7*) I–18; I–22.

(*8*) E–11.

(*9*) D–87.

(*10*) E–48 at 6.

(*11*) I–17 at Table 14.

(*12*) E–22.

(*13*) EC–14 at 16.

(*14*) I–17 at 17.

(*15*) About 2 percent involve contact with the lowest elements of the antenna and another 4 percent involve possible contact with the mast.

(*16*) E–48 at 6.

(*17*) E–55 at para. 6.3; E–31 at para. 6.6.5 concerning tests of plastisol.

(*18*) E–11 at 3–16, 17.

(*19*) E–11 at 3–17.

(*20*) E–53 at para. 5.3.

(*21*) E–45 at 7–8.

(*22*) CPSC in-depth investigation reports.

(*23*) I–17 at 6.8.

(*24*) I–17 at 6 and Table 3.

(*25*) I–17 at 8, 12, Table 5, and Table B–1.

(*26*) E–48 at para. 6.10.4, 6.10.5, 7.5.5, Table 7.5–1, para. 7.6.5, and 7.6.6. Drop tests and abrasion tests show marked effects of abrasion on insulating materials and also created 2 failures that could be attributed to abrasion effects.

(*27*) E–48 at 19.

(*28*) Id.

(*29*) E–48 at 19; E–53 at C–7.

(*30*) E–31, at 4.5.

(*31*) F–8, F–9, F–11.

(*32*) F–4, F–7, F–9.

(*33*) F–19.

(*34*) F–12, pp. 20–21.

(*35*) R–18.

(*36*) F–12, p. 12, p. 21; F–6; F–11.

(*37*) D–87.

(*38*) F–1.

(*39*) F–18.

(*40*) F–10.

(*41*) F–18

(*42*) F–8

(*43*) D–87

(*44*) D–87

(*45*) F–18

(*46*) F–8

(*47*) F–8

(*48*) F–18

(*49*) D–87

(*50*) F–8

(*51*) D–66

(*52*) F–19

(*53*) F–12, pp. 21–22

(*54*) F–19

(*55*) F–8, F–12 at p. 80–81

(*56*) F–15

(*57*) F–15

(*58*) F–4, F–8, F–12 at pp. 80–81

(*59*) F–12 at pp. 80–81

(*60*) F–4

(*61*) D–87

(*62*) EC–14, 15

(*63*) F–15

(*64*) F–2, F–3, F–5, F–6, F–8, F–9, F–10, F–11, F–12 at p. 81 and p. 104.

(*65*) F–2, F–8, F–9, F–12 at p. 81 and p. 104.

(*66*) F–8, F–12 at p. 80

(*67*) EC–14, 15.

(*68*) F–15

(*69*) F–8, F–12 at p. 76–77

(*70*) F–8

(*71*) F–15

(*72*) F–15

(*73*) F–9

(*74*) F–15

(*75*) F3, F–6

(*76*) F–15

(*77*) F–15

(*78*) F–15

(*79*) F–15

(*80*) F–15

(*81*) F–12 at p. 12

(*82*) F–12 at p. 12

(*83*) F–19

(*84*) F–2, F–8, F–10, F–12 at p. 106

(*85*) F–19

(*86*) D–87

(*87*) F–8

(*88*) F–16

(*89*) F–8

(*90*) F–16

(*91*) F–16

(*92*) F–16, at p. 3

(*93*) F–16 at p. 14

(*94*) F–16 at p. 18

(*95*) F–16 at p. 18

(*96*) F–16 at p. 22

(*97*) F–16 at pp. 22–23

(*98*) F–16 at p. 16

(*99*) F–16 at p. 3

(*100*) F–16 at p. 4

(*101*) F–16 at p. 23

(*102*) F–16 at pp. 24–25

(*103*) F–16 at p. 25

(*104*) E–11 at p. 4–2

(*105*) E–11, at p. 4–1

(*106*) E–11, at p. 4–1

(*107*) F–16, at pp. 6–7

(*108*) F–16, at pp. 7–8

(*109*) F–16 at pp 8–9

(*110*) F–16 at p. 9

(*111*) F–17

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I–3, 11/18/76, CPSC memo with injury data.
I–4, 11/18/76, CPSC memo with updated injury data.
I–5, 11/22/76, CPSC memo Mulligan to files, with injury data.
I–6, 12/8/76, CPSC memo concerning data in TAD memo of 11/22/76 (Tab E, 12/13/76 Briefing Package).
I–7, 12/16/76, Additional Information concerning CP 76–19 (injury data and correspondence).
I–8, 4/7/78, CPSC Preliminary Report—NEISS In-depth Investigation No. 780404DAL1202.
I–9, 1/19/79, HIEA comment on EIA injury reduction estimate.
I–10, 1/23/79, Staff briefing package of 1/22/79 forwarded Tab A—Analysis of Accidents Involving Outdoor Communications Antennas, B. Harwood, November 1978.
I–11, 6/1/79, Letter from L.H. Chapman with injury data.
I–12, 7/79, "Electrical Injuries," Surgery, Gynecology and Obstetrics, pp. 97–108.
I–13, 11/1/79, Data on shock problems and injuries submitted by L.H. Chapman.
I–14, 11/1/79, Additional data from Mr. Chapman.
I–15, 11/9/79, Comment from T. Wilkie on antenna electrocution incident.
I–16, 2/7/80, Injury data from L.H. Chapman.
I–17, 6/80, Accident Factors Relevant to the Development of a Safety Standard—Omnidirectional Citizens' Band Base Station Antennas, L. Smith & R. Newman.
I–18, 12/29/80, CPSC staff memo "1979 Fatality Estimates—Communications Antennas."
I–19, 2/20/81, CPSC staff memo on 1980 injury data.
I–20, 21, 6/19/81, Briefing Package on Recommended Standard (6/3/81).
Tab F—Economic report on The Recommended Standard for Omnidirectional CB Base Station Antennas, January 1981, and Initial Regulatory Flexibility Analysis, March, 1981.
I–22, 7/21/81, CPSC memorandum on 1980 fatalities.

Background Documents and Other Documents Generated During Development of the Proposal

D–1, 9/16/76, Chapman petition CP 76–19.
D–2, 11/15/76, Letter from ARRL suggesting "many practical difficulties" with insulation.
D–3, 11/23/76, Log of meeting with EIA and industry members.
D–4, 12/13/76, Staff briefing package of 12/3/76 on Petition CP 76–19 forwarded to Commission.
D–5, 12/16/76, Additional information concerning CP 76–19 (injury data and correspondence).
D–6, 1/7/77, Letter from L. H. Chapman.
D–7, 1/19/77, Record of Commission action in partially granting Petition CP 76–19 from Lawrence H. Chapman for labeling and instructions for CB base station antennas and directing staff to provide information on the feasibility of developing a safety standard.
D–8, 1/23/79, Staff briefing package of 1/22/79 forwarded Tab C—Log of meeting with EIA. Tab E—CPSC memo 1/9/79 on label effectiveness. Tab F—EIA letter on development of standard by EIA (1/17/79). Tab G—CERM memo on mandatory vs. voluntary standards.
D–9, 2/12/79, Preliminary Study of EIA's Ad Hoc Committee on Antenna Safety.
D–10, 2/14/79, CPSC reply to 1/17/79 EIA letter.
D–11, 3/5/79, Additional data concerning standard development forwarded to Commission—staff memo of 3/5/79 and EIA letter of 3/1/79.
D–12, 3/9/79, Record of Commission action directing staff to develop options for section 7 mandatory standard.
D–13, 3/13/79, CPSC staff memo on EIA standard development procedures.
D–14, 3/27/79, CPSC staff memo on resource estimate for standard development options and draft management plan.
D–15, 3/27/79, Letter from CPSC Chairman to EIA concerning EIA request to defer action on a mandatory standard.
D–16, 4/2/79, Log of meeting with EIA.
D–17, 4/9/79, Approval for CPSC staff to monitor EIA standard development.
D–18, 4/13/79, Record of Commission action to begin development of a mandatory standard by the Commission.
D–19, 5/14/79, CPSC log of meeting with EIA.
D–20, 5/31/79, Draft **Federal Register** notice of intent to develop a standard forwarded to Commission.
D–21, 6/15/79, Management Plan forwarded to Commission.
D–22, 6/18/79, CPSC memo on Management Plan.
D–23, 7/3/79, Notice of Commission Intent to develop a proposed standard—44 Fed. Reg. 38854.
D–24, 8/1/79, Interim Report to Commission.
D–25, 8/1/79, Comments CC10–79–1 through 14 on notice of intent.
D–26, 8/7/79, Comments CC10–79–15 through 18 on notice of intent.
D–27, 8/10/79, Packet of information for potential participants.
D–28, 8/23/79, Paper from R. A. Yereance on design vs. performance standards.

D–29, 8/28/79, Draft standard submitted by R. A. Yereance.
D–30, 9/14/79, Notice of Proceeding (44 Fed. Reg. 53676).
D–31, 10/22/79, Log of meeting with EIA.
D–32, 11/1/79, Transcript—1st Public Meeting.
D–33, 11/1/79, Subcommittee minutes.
D–34, 11/14/79, CPSC response to 10/29/79 EIA letter.
D–35, 11/16/79, Comment from REACT opposing standard and supporting public information effort.
D–36, 11/16/79, Minutes of 11/1/79 Human Factors and Labeling Subcommittee.
D–37, 11/20/79, Subcommittee Minutes.
D–38, 12/7/79, W.L. Weeks' comments on standard.
D–39, 1/4/80, Log of meeting with EIA.
D–40, 1/25/80, Letter from Jeff Wingard to CPSC.
D–41, 2/5/80, Second Staff status report to Commission.
D–42, 3/11/80, Informational materials for Second Public Meeting.
D–43, 3/11/80,
Transcript—Public Meeting.
Transcript—Meeting at CPSC lab.
Transcript—Meeting of Test and Standard Subcommittee.
Transcript—Meeting of Human Factors Subcommittee.
Transcript—Meeting of Hazard Analysis Subcommittee.
Minutes—Human Factors and Labeling Subcommittee.
D–44, 3/17/80, Market Facts letter concerning survey sample.
D–45, 3/30/80, Comments from R. A. Yereance on various documents.
D–46, 4/2/80, CPSC Letter to Jeff Wingard, responding to his 1/25/80 letter (attached).
D–47, 4/9/80, Progress report from Human Factors and Labeling Subcommittee.
D–47–A, 4/9/80, Letter from REACT to the Commission.
D–48, 4/15/80, Third Staff progress report to Commission.
D–49, 4/15/80, Log of EIA meeting.
D–50, 4/21/80, Staff memo on public perception of power lines.
D–51, 6/24/80, Transmittal of minutes for 3/11/80 meeting of Hazard Analysis Committee.
D–52, 7/14/80, Fourth Staff Progress Report to Commission.
D–53, 7/14/80, Transcript—Third Public Meeting.
D–54, 7/14/80, Letter from REACT to Commission.
D–55, 7/15/80, Transcript—Third Public Meeting (cont.).
D–56, 7/15/80, Comments from J. Wingard and L. Chapman on standard specs.
D–57, 8/1/80, Comments from H. Tanner on standard specs.
D–58, 8/15/80, Comments from L. G. Kopelman.
D–59, 8/29/80, Comments from J. Lewis Shakespeare, on standard specs.
D–60, 9/11/80, Comments from D. Horn on standard specs.
D–61, 10/6/80, Log of EIA meeting terminating voluntary development effort.
D–62, 10/5/80, Fifth Staff Progress Report to Commission.
D–63, 10/17/80, Comment on need for standard from R. Meinert.
D–64, 10/21/80, EIA letter to CPSC re termination of voluntary effort.
D–65, 11/3/80, CPSC log of 10/6/80 EIA meeting forwarded to Commission.
D–66, 11/21/80, Evaluation of the Impact of the Communications Antenna Labeling Rule, Public Sector Research Group, Market Facts.
D–67, 11/21/80, EIA news release on antenna accident hazard.
D–68, 11/24–25/80, Log of CPSC staff plant visits.
D–69, 1/6/81, Portions of "Evaluation of the Impact of the Commission's Antenna Labeling Rule" forwarded to Commission.
D–70, 1/9/81, 12/19/80 memo forwarded to Commission.
D–71, 1/13/81, Letter from CPSC soliciting comment on draft standard, 11/17/80 meeting transcript, and Preliminary Economic Assessment.
D–72, 1/19/81, Sixth staff progress report to Commission.
D–73, 1/27/81, Comments from L. H. Chapman on draft standard.
D–74, 1/29/81, Comment from F. Nesh on draft standards.
D–75, 2/1/81, Commments from H. Tanner on draft standards.
D–76, 2/6/81, Comments from H. Wingard on draft standards.
D–77, 2/19/81, CPSC staff comments on 11/17/80 meeting.
D–78, 2/20/81, CPSC memo concerning CPSC communications activities for antennas.
D–79, 2/23/81, CPSC staff letter to EIA concerning possible adoption of draft standard by EIA.
D–80, 2/25/81, EIA response to 2/23/81 CPSC letter.
D–81, 3/4/81, Comments by L. Kopelman on draft standard and economic assessment.
D–82, 3/4/81, CPSC memo concerning evaluation of antenna labeling rule.
D–83, 4/30/81, Log of 4/14/81 meeting with EIA forwarded to Commission.
D–84, 6/19/81, Briefing Package on Recommended Standard (6/3/81).
Tab A—Log of EIA meeting held in Los Angeles, California on October 6, 1980, and a letter from Peter Bennett, EIA, to Chairman Susan King, dated October 21, 1980.
Tab B—Chronology of Events connected with Commission activities on communication antennas.
Tab D—Draft **Federal Register** notice for proposed rule.
Tab G—Memorandum from Betty Hely, OBPPE, to Melvin Spencer dated March 4, 1981, concerning evaluation of antenna labeling rule.
Tab I—Memorandum from Norm Rosen, CED, to Carl Blechschmidt dated February 20, 1981, concerning communications activities for antennas.
Tab J—Participants' comments on the final draft standard.
Tab K—Log of meeting with EIA held on April 14, 1981, in Washington, D.C.
D–85, 6/29/81, Letter from REACT to the Commission.
D–86, 7/8/81, Letter from FCC declining comment.
D–87, 8/14/81, Proposed standard and certification rule for omnidirectional CB base station antennas, 46 Fed. Reg. 41081.

Documents Generated During Development of the Final Standard

F–1, 8/24/81, Comment on proposed standard from G. T. Delahunty.
F–2, 9/11/81, Comment on proposed standard from James E. Leker.
F–3, 9/11/81, Comment on proposed standard from Lawrence H. Chapman.
F–4, 9/17/81, Comment on proposed standard from Electronic Industries Association, and amended comment from Antennas, Towers, and Accessories Committee, Communications Division, Electronic Industries Association.
F–5, Undated comment on proposed standard from the Shakespeare Company.
F–6, Undated Comment on proposed standard from J. D. Weafer.
F–7, 9/21/81, Comment on proposed standard from Hy-Grain.
F–8, 10/6/81, Comment on proposed standard from Winn-Tenna, Inc.
F–9, 10/9/81, Comment on proposed standard from REACT International Inc.
F–10, Undated comment on proposed standard from the Schenectady Amateur Radio Association, Inc.
F–11, Undated comment on proposed standard from Lewis Horn and Dora Horn.
F–12, 9/22/81, Transcript of oral presentations at public hearing on proposed standard.
F–13, 3/31/82, Briefing Package on final standard for omnidirectional CB base station antennas [TABS are listed separately below].
F–14, TAB A, 3/18/82, Memorandum from Linda Smith, EPHA, to Carl Blechschmidt, OPM, concerning fatalities associated with omnidirectional CB antennas in calendar year 1981.
[TAB B, written comments on the proposal, is omitted. Comments are listed separately, above, as F–1 through F–11.]
F–15, TAB C, 2/5/81, Memorandum from Dale Ray, ECCP, to Carl Blechschmidt, OPM, concerning analysis of economic issues raised by comments on proposed standard.
F–16, TAB C, 3/23/82, Final Economic Impact Analysis of proposed standard.
F–17, TAB C, 3/31/82, Final Regulatory Flexibility Analysis of proposed standard.
F–18, 2/5/82, TAB D, Memorandum from Robert Northedge, ESES, to William H. King, ESES, concerning analysis of technical and engineering issues raised by comments on proposed standard.
F–19, TAB E, 2/5/82, Memorandum from Shelley Halupka, EPHF, to Carl Blechschmidt, OPM, concerning human factors issues raised by comments on proposed standard.
F–20, TAB F, 10/9/81, Memorandum from Carl W. Blechschmidt, OPM, to Chairman Steorts concerning recent contacts with CB manufacturers and Electronic Industries Association regarding antennas.
F–21, TAB G, Undated chronology of events associated with communications antennas.
F–22, TAB H, Undated summary of information sheet.

[FR Doc. 82–22583 Filed 8–18–82; 8:45 am]
BILLING CODE 6355–01–M

Proposed Rules

Federal Register
Vol. 47, No. 161
Thursday, August 19, 1982

This section of the FEDERAL REGISTER contains notices to the public of the proposed issuance of rules and regulations. The purpose of these notices is to give interested persons an opportunity to participate in the rule making prior to the adoption of the final rules.

DEPARTMENT OF AGRICULTURE

Animal and Plant Health Inspection Service

7 CFR Part 301

[Docket No. 82-324]

Imported Fire Ant

AGENCY: Animal and Plant Health Inspection Service, USDA.

ACTION: Proposed rule and notice of public hearing.

SUMMARY: An interim rule published as a companion document in the final rule section of this issue of the **Federal Register** amends the imported fire ant quarantine and regulations on an emergency basis under the Federal Plant Pest Act by quarantining Puerto Rico because of the imported fire ant and by adding all of Puerto Rico to the list of generally infested areas. The interim rule is authorized on an emergency basis until a final rule can be established after a public hearing. This document, pursuant to authority in the Plant Quarantine Act and the Federal Plant Pest Act, proposes to establish the provisions of the interim rule as a final rule. This document also gives notice of a public hearing concerning the proposed final rule. The quarantine and regulations, among other things, impose restrictions on the interstate movement of regulated articles from regulated areas. It is necessary to quarantine Puerto Rico and to designate all of Puerto Rico as a generally infested area to prevent the artificial spread of the imported fire ant. Also, it is necessary to add the footnotes to avoid confusion between the provisions in the "Imported Fire Ant" quarantine and regulations and the "Movement of Soil, Stone, and Quarry Products" regulations.

DATES: Written comments concerning the proposal to establish a final rule must be received on or before October 19, 1982. A public hearing concerning the proposal to establish such final rule will be held on September 21, 1982.

ADDRESSES: Written comments concerning the proposal to establish a final rule should be submitted to Thomas J. Lanier, Assistant Director, Regulatory Services Staff, Plant Protection and Quarantine, Animal and Plant Health Inspection Service, U.S. Department of Agriculture, Room 643 Federal Building, 6505 Belcrest Road, Hyattsville, MD 20782. Written comments received may be inspected at Room 641 of the Federal Building between 8 a.m. and 4:30 p.m., Monday through Friday, except holidays. A public hearing concerning the proposal to establish such final rule will be held in Room 401 of the Federal Office Building, C. Chardon Avenue, Hato Rey, Puerto Rico.

FOR FURTHER INFORMATION CONTACT: John Franklin, Staff Officer, Field Operations Support Staff, Plant Protection and Quarantine, Animal and Plant Health Inspection Service, U.S. Department of Agriculture, Room 663 Federal Building, 6505 Belcrest Road, Hyattsville, MD 20782, 301-436-7474.

SUPPLEMENTARY INFORMATION: For a discussion of this document, including the public hearing procedures, see the companion document in the final rule section of this issue of the **Federal Register.**

PART 301—DOMESTIC QUARANTINE NOTICES

PART 330—FEDERAL PLANT PEST REGULATIONS; GENERAL; PLANT PESTS; SOIL, STONE, AND QUARRY PRODUCTS; GARBAGE

An interim rule published as a companion document in the final rule section of this issue of the **Federal Register** amends the "Imported Fire Ant" quarantine and regulations by quarantining Puerto Rico because of the imported fire ant and by adding all of Puerto Rico to the list of generally infested areas, and adds footnotes to the "Imported Fire Ant" quarantine and regulations and the "Movement of Soil, Stone, and Quarry Products" regulations to explain that both sets of regulations restrict certain movements of soil from Puerto Rico. This document proposes to establish the provisions of the interim rule as a final rule.

List of Subjects in 7 CFR Part 301

Agricultural commodities, Plant pests, Plants (agriculture), Quarantine, Transportation, Imported fire ant.

(Secs. 8, 9, 37 Stat. 318, as amended, secs. 105, 106, 71 Stat. 32, 33 (7 U.S.C. 161, 162, 150dd, 150ee); 7 CFR 2.17, 2.51, 371.2.)

Done at Washington, D.C., this 16th day of August 1982.

Murray T. Pender,

Acting Deputy Administrator, Plant Protection and Quarantine, Animal and Plant Health Inspection Service.

[FR Doc. 82-22701 Filed 8-18-82; 8:45 am]

BILLING CODE 3410-34-M

Federal Crop Insurance Corporation

7 CFR Part 420

[Amdt. No. 3]

Grain Sorghum Crop Insurance Regulations

AGENCY: Federal Crop Insurance Corporation, USDA.

ACTION: Proposed rule.

SUMMARY: The Federal Crop Insurance Corporation (FCIC) proposes to amend the Grain Sorghum Crop Insurance Regulations (7 CFR Part 420), effective with the 1983 and suceeding crop years by (1) prescribing the interest rate to be charged when premium payments are not made within a certain time, (2) adding a provision to require the insured to file a notice of probable loss when the crop is damaged to the extent that a loss is probable and leave intact a representative sample of the unharvested crop, (3) adding a provision to allow coverage of grain sorghum planted on nonirrigated acreage following another crop, (4) restoring a provision to prescribe the liability to be assumed by FCIC for losses due to fire when the insured has other such insurance against fire losses, and (5) making minor corrections to language and format. The intended effect of this rule is to revise the system of reporting losses, establish liability for losses by fire, allow coverage of grain sorghum planted on nonirrigated acreage following another crop, and improve the debt management practices of FCIC.

DATE: Written comments, data, and opinions on this proposed rule must be

submitted not later than October 18, 1982, to be sure of consideration.

ADDRESS: Written comments on this proposed rule should be sent to the Office of the Manager, Federal Crop Insurance Corporation, U.S. Department of Agriculture, Washington, D.C. 20250.

The Impact Statement describing the options considered in developing this rule and the impact of implementing each option is available upon request from Peter F. Cole.

FOR FURTHER INFORMATION CONTACT: Peter F. Cole, Secretary, Federal Crop Insurance Corporation, U.S. Department of Agriculture, Washington, D.C. 20250, telephone (202) 447–3325.

SUPPLEMENTARY INFORMATION: This action has been reviewed under USDA procedures established in Secretary's Memorandum No. 1512–1 (June 11, 1981), and has been classified as "not significant."

Information collection requirements contained in the regulations to which this amendment applies (7 CFR Part 420) have been approved by the Office of Management and Budget (OMB) under the provisions of 44 U.S.C. Chapter 35 and have been assigned OMB Nos. 0563–0003 and 0563–0007.

Merritt W. Sprague, Manager, FCIC, has determined that (1) this action is not a major rule as defined in Executive Order No. 12291 (February 17, 1981), (2) this action does not increase the Federal paperwork burden for individuals, small businesses, and other persons, and (3) this action conforms to the Federal Crop Insurance Act, as amended (7 U.S.C. 1501 *et seq.*), and other applicable law.

The title and number of the Federal Assistance Program to which this amendment applies are: Title—Crop Insurance; Number 10.450.

This action will not have a significant impact specifically upon area and community development; therefore, review as established in OMB Circular A–95 was not used to assure that units of local government are advised of this action.

It has been determined that this action is exempt from the provisions of the Regulatory Flexibility Act; therefore, no Regulatory Impact Statement has been prepared.

It has also been determined that this action does not constitute a review as to the need, currency, clarity, and effectiveness of these regulations under the provisions of Secretary's Memorandum No. 1512–1 (June 11, 1981). That review will be completed prior to the sunset review date of November 26, 1984.

The principal changes involved in this rule are as follows:

1. Replacement of the single-crop application found in 7 CFR 420.7(d) by a multi-crop application designed to reduce paperwork and time on the part of the applicant.

2. Revision of 7 CFR 420.7, Terms and Conditions, to provide for insuring grain sorghum on nonirrigated acreage following another crop—a provision not currently in the regulations—and to state that no coverage is offered on a second grain sorghum crop planted on the same acreage in the same crop year.

3. Revision of 7 CFR 420.7, Terms and Conditions, to provide that, for the 1983 and succeeding crop years, unpaid premiums will bear interest in the amount of 1½% simple interest per calendar month, or any part thereof, starting on the first day of the month following the first premium billing date.

4. Addition to paragraph 7 of 7 CFR 420.7(d), Terms and Conditions, to provide that if a crop is damaged to the extent that a loss is probable, the insured is required to give notice of damage at least 15 days prior to the beginning of harvest. If a probable loss is not determined until less than 15 days prior to the beginning of harvest, such notice shall be given immediately and leave intact a representative sample of the unharvested crop for 15 days after the date of the notice.

5. Addition of Section 11 to the Appendix to the policy to provide that FCIC will assume liability for loss due to fire for only the smaller of the indemnity according to the contract with FCIC, or the amount by which the indemnity exceeds that paid or payable under other such insurance.

In addition to these changes, FCIC proposes to make minor language changes to include correcting the table of contents and redesignating Appendix B, which lists the counties where grain sorghum crop insurance is available, as Appendix A.

All written submissions made pursuant to this notice will be available for public inspection in the Office of the Manager during regular business hours, Monday through Friday.

List of Subjects in 7 CFR Part 420

Crop insurance, Grain sorghum.

PROPOSED RULE

Accordingly, pursuant to the authority contained in the Federal Crop Insurance Act, as amended (7 U.S.C. 1501 *et seq.*), the Federal Crop Insurance Corporation hereby proposes to amend the Grain Sorghum Crop Insurance Regulations (7 CFR Part 420), appearing at 44 FR 54453–54459, September 20, 1979, effective with the 1983 and succeeding crop years, in the following instances:

1. The authority citation for 7 CFR Part 420 is revised to read as follows:

Authority: Secs. 506, 516, Pub. L. 75–430, 52 Stat. 72, as amended (7 U.S.C. 1506, 1516).

2. The Table of Contents is revised to read as follows:

Secs.

420.1 Availability of grain sorghum crop insurance.
420.2 Premium rates, production guarantee, coverage levels, and prices at which indemnities shall be computed.
420.3 [Reserved]
420.4 Creditors.
420.5 Good faith reliance on misrepresentation.
420.6 The contract.
420.7 The application and policy.
Appendix A, Counties designated for Grain Sorghum Crop Insurance.

3. 7 CFR 420.7(d) is revised by removing the application found therein and substituting the following:

BILLING CODE 3410-08-M

FCI-12
Rev (9-81)

UNITED STATES DEPARTMENT OF AGRICULTURE
FEDERAL CROP INSURANCE CORPORATION

CROP INSURANCE APPLICATION

CONTINUOUS CONTRACT

1 Name of Applicant — 6 State ☐☐ - County ☐☐☐ - 7 Contract Number ☐☐☐☐☐

2 Agent, Administrator, Executor, Etc. — 8 County — 9 State

3 Street or Mailing Address — 10 Identification Number ☐☐☐☐☐☐☐☐☐ — 11 SSN ☐ - TAX ☐

4 City and State — 5 ZIP Code — 12 Type of Entity

13 Applicant is Over 18. Yes____ No____ — If No, Date of Birth

A. The applicant, subject to the provisions of the regulations of the Federal Crop Insurance Corporation (herein called "Corporation"), hereby applies to the Corporation for insurance on the applicant's share in the crop(s) shown below planted on insurable acreage as shown on the county actuarial table for the above-stated county. The applicant elects from the actuarial table the coverage level and, where applicable, a price election or plan of insurance. **THE PREMIUM RATE AND APPLICABLE PRODUCTION GUARANTEE OR AMOUNT OF INSURANCE PER ACRE SHALL BE THOSE SHOWN ON THE APPLICABLE COUNTY ACTUARIAL TABLE FILED IN THE OFFICE FOR THE COUNTY FOR EACH CROP YEAR.**

14 Effective Crop Year	15 Crop	16 Type, Class Plan of Ins.	17 Price Election	18 Level Election	19	20 For Agency Use Only (A)	21 For Agency Use Only (P)
					☐		
					☐		
					☐		
					☐		
					☐		
					☐		
					☐		
					☐		

22 Crop(s) **NOT** insured the first year: _____

B. This application is accepted by the Corporation unless the applicant is notified of rejection within 30 days of the date hereof. Rejection shall be accomplished by depositing notification thereof in the United States Mail, postage paid, to the above address. Rejection may be for any reason which would also serve as a basis for termination under the policy, the Federal Crop Insurance Act, or the regulations issued thereunder. Outstanding and delinquent indebtedness to any United States Government Agency may be grounds for rejection. The contract shall be in effect for the crop year specified above, unless the time for submitting applications has passed at the time this application is filed, **AND SHALL CONTINUE FOR EACH SUCCEEDING CROP YEAR UNTIL CANCELED OR TERMINATED** as provided in the contract. This accepted application, the insurance policy(ies), the attached appendix(es), and the provisions of the county actuarial table showing the insurable and uninsurable acreage, coverage levels, premium rates, and where applicable, the production guarantees, amounts of insurance, or plan of insurance shall constitute the contract. No term or condition of the contract shall be waived or changed except in writing by the Corporation. A material failure to include complete and accurate information on this application may invalidate the automatic acceptance provision hereof.

23 ☐ Applicant has received the policy(ies) and appendix(es) for the crop(s) shown above.

24 ☐ Previous Carrier _____ 25 Policy Number _____

26 Applicant's Signature _____ 27 Date _____, 19__ 28 Code No. ☐☐☐☐☐ 29 Witness to Signature _____

30 Location of Farm Headquarters	31 Address of Your Service Office
Phone	Phone

SEE REVERSE SIDE OF FORM FOR STATEMENT REQUIRED BY PRIVACY ACT OF 1974

32 N S I O T - F U R

33 Page____ of ____ pages

BILLING CODE 3410-08-C

4. Section 2 of the Terms and Conditions section of the policy as found in 7 CFR 420.7(d) is revised to read as follows:

§ 420.7 The application and policy.

* * * * *

(d) * * *

Grain Sorghum Crop Insurance Policy

Terms and Conditions

* * * * *

2. *Crop and acreage insured.* (a) The crop insured shall be grain sorghum which is grown on insured acreage and for which the actuarial table shows a guarantee and premium rate per acre, and which is initially planted to a combine-type hybrid grain sorghum for harvest as grain, as determined by the Corporation.

(b) The acreage insured for each crop year shall be that acreage planted to grain sorghum on insurable acreage as shown on the actuarial table, and the insured's share therein as reported by the insured or as determined by the Corportation, whichever the Corporation shall elect: *Provided,* That insurance shall not attach or be considered to have attached, as determined by the Corporation, to any acreage (1) where premium rates are established by farming practices on the actuarial table, and the farming practices carried out on the acreage are not among those for which a premium rate has been established, (2) not reported for insurance as provided in section 3 if such acreage is irrigated and an irrigated practice is not provided for such acreage on the actuarial table, (3) which is destroyed and after such destruction it was practical to replant to grain sorghum and such acreage was not replanted, (4) initially planted after the date on file in the office for the county which has been established by the Corporation as being too late to initially plant and expect a normal crop to be produced, (5) of volunteer grain sorghum, (6) on which it is determined by the Corporation that the sorghum is a forage sorghum or initially thick planted for silage or fodder, (7) of a second grain sorghum crop following a grain sorghum crop harvested in the same calendar year, or (8) planted to a type or variety of grain sorghum not established as adapted to the area or shown as noninsurable on the actuarial table.

(c) Insurance may attach only by written agreement with the Corporation on acreage which is planted for the development or production of hybrid seed or for experimental purposes.

(d) Unless otherwise provided on the actuarial table, insurance shall attach only on acreage initially planted in rows far enough apart to permit cultivation if planted on land not insured on an irrigated basis, as determined by the Corporation; however, if such acreage is destroyed and replanted, after the final planting date, to any grain producing type grain sorghum or in any planting pattern, it shall be regarded as insured acreage and not as acreage put to another use.

* * * * *

5. Paragraph 5(d) of the Terms and Conditions section of the policy as found in 7 CFR 420.7(d) is revised to read as follows:

* * * * *

(d) * * *

Grain Sorghum Crop Insurance Policy

Terms and Conditions

* * * * *

5. *Annual Premium.* * * *

(d) Interest will accrue at the rate of one and a half percent (1½%) simple interest per calendar month or any part thereof on any unpaid premium balance starting on the first day of the month following the first premium billing date.

* * * * *

6. Paragraph 7 of the Terms and Conditions section of the Policy as found in 7 CFR 420.7(d) is amended by revising item 7(c), redesignating 7(d) and (e) as 7(e) and (f) respectively, and adding a new 7(d) as follows:

* * * * *

(d) * * *

Grain Sorghum Crop Insurance Policy

Terms and Conditions

* * * * *

7. *Notice of damage or loss.* * * *

(c) Notice shall be given at least 15 days prior to the beginning of harvest if the grain sorghum on any unit is damaged to the extent that a loss is probable. If probable loss is not determined until less than 15 days prior to the beginning of harvest on a unit, notice shall be given immediately and a representative sample of the unharvested grain sorghum (at least 10 feet wide and the entire length of the field) shall remain intact for a period of 15 days from the date of the notice, unless the Corporation gives written consent to the insured to harvest the representative sample.

(d) In addition to the notices required in paragraphs (b) and (c) of this section, if a loss is to be claimed on any unit, the insured shall give written notice thereof to the Corporation at the office for the county not later than *30 DAYS* after the earliest of (1) the date the harvest is completed on the unit, (2) the calendar date for the end of the insurance period, or (3) the date the entire grain sorghum crop on the unit is destroyed, as determined by the Corporation. The Corporation reserves the right to provide additional time if there are extenuating circumstances.

* * * * *

7. Section 1(g) of the Appendix to § 420.7 is revised to read as follows:

* * * * *

Appendix to § 420.7—Additional Terms and Conditions

* * * * *

1. * * *

(g) "Service office" means the office serving your contract as shown on the application for insurance or such other office as may, in writing, be selected by you after approval by us, or designated by us upon written notice to you.

* * * * *

8. Section 6 of the Appendix to § 420.7 is revised to read as follows:

* * * * *

Appendix to § 420.7—Additional Terms and Conditions

* * * * *

6. *Subrogation.* The insured (including any assignee or transferee) assigns to the Corporation all rights of recovery against any person for loss or damage to the extent that payment hereunder is made by the Corporation. The insured shall execute all required documents and take appropriate action as may be necessary to secure such rights.

* * * * *

9. The Appendix to § 420.7 is hereby amended by adding a Section 11 to read as follows:

* * * * *

Appendix to § 420.7—Additional Terms and Conditions

* * * * *

11. *Other Insurance Against Fire.* If the insured has other insurance against damage by fire during the insurance period, the Corporation shall be liable for loss due to fire only for the smaller of (a) the amount of indemnity determined by the Corporation under the policy with the Corporation, or (b) the amount by which the loss from fire exceeds the indemnity paid or payable under such other insurance. For the purposes of this section, the amount of loss from fire shall be the difference between the fair market value of the production on the unit before the fire and after the fire, as determined by the Corporation from appraisals made by the Corporation.

Appendix B to 7 CFR Part 420 [Redesignated as Appendix A to 7 CFR Part 420]

9. Appendix B to 7 CFR Part 420 is redesignated as Appendix A in the title thereof.

Done in Washington, D.C., on July 26, 1982.

Peter F. Cole,

Secretary, Federal Crop Insurance Corporation.

Dated: July 26, 1982.

Approved by:

Merritt W. Sprague,

Manager.

[FR Doc. 82-22258 Filed 8-18-82; 8:45 am]

BILLING CODE 3410-08-M

DEPARTMENT OF TRANSPORTATION

Federal Aviation Administration

14 CFR Part 39

[Docket No. 82-ANE-21; Amdt. 39-4409]

Airworthiness Directives; Hamilton Standard Hydromatic Propellers

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Extension of public comment period.

SUMMARY: This action extends the closing date for the submission of comments on airworthiness directive (AD) 81-13-06, Docket No. 82-Ane-21, for Hamilton Standard Hydromatic Propellers, to October 22, 1982. The original closing date of August 2, 1982, provided insufficient time for interested parties to gather and submit data in support of their comments on the final rule AD 81-13-06.

DATES: Comments must now be received on or before October 22, 1982.

ADDRESSES: Send comments on the proposed rule in duplicate to: Federal Aviation Administration, Office of the Regional Counsel, New England Region, Attn: Rules Docket No. 82-ANE-21, 12 New England Executive Park, Burlington, Massachusetts 01803.

SUPPLEMENTARY INFORMATION: An amendment that amended an existing AD 81-13-06 applicable to Hamilton Standard Hydromatic Propellers requiring an 18 month repetitive inspection for corrosion was published in the **Federal Register** on June 28, 1982 (47 FR 27845). The amendment was needed because the FAA had determined that the AD need not apply to propellers which have steel blades or to propellers which have an integral oil control system that is separate and distinct from the engine oil system. In addition, credit was allowed for propeller blades in storage that are preserved in accordance with Hamilton Standard service instructions. The closing date for submission of comments by interested parties was August 2, 1982.

The FAA believes that an extension to the closing date for the submission of comments on the AD would be in the public interest, and would not adversely affect air safety. Such an extension, to October 22, 1982, would permit interested parties to assemble and prepare meaningful data in support of their respective positions. It will not adversely affect air safety as this extension has no effect on the compliance date.

List of Subjects in 14 CFR Part 39

Properllers, Engines, Aircraft, Air transportation, Air safety, and Safety

Extension of comment period

Accordingly, pursuant to the authority delegated to me by the Administrator, the closing date for submision of comments on Docket No. 82-ANE-21 is hereby extended from August 2, 1982, to October 22, 1982.

(Secs. 313(a), 601, 603, Federal Aviation Act of 1958, as amended, (49 U.S.C. 1354(a), 1421, 1423); sec. 6(c), Department of Transportation Act (49 U.S.C. 1655(c); 14 CFR 11.85)

Issued in Burlington, Massachusetts, on August 6, 1982.

Robert E. Whittington,

Director, New England Region.

[FR Doc. 82-22333 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-13-M

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14 CFR Part 71

[Airspace Docket No. 82-AGL-18]

Proposed Designation of Transition Area; Lowell, Indiana

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Notice of proposed rulemaking.

SUMMARY: This notice proposes to designate a new controlled airspace area near Lowell, Indiana, to accommodate a new instrument approach into Lowell Airport established on the basis of a request from the Lowell Airport officials to provide that facility with an instrument approach capability based upon the Peotone (EON) VORTAC.

The intended effect of this action is to insure segregation of the aircraft using approach procedures in instrument weather conditions from other aircraft operating under visual weather conditions.

DATES: Comments must be received on or before September 18, 1982.

ADDRESSES: Send comments on the proposal in triplicate to FAA Office of Regional Counsel, AGL-7, Attention: Rules Docket Clerk, Docket No. 82-AGL-18, 2300 East Devon Avenue, Des Plaines, Illinois 60018.

The official docket will be available for examination by interested persons in the Office of the Regional Counsel, Federal Aviation Administration, 2300 East Devon Avenue, Des Plaines, Illinois 60018.

An informal docket will also be available for examination during normal business hours in the Airspace, Procedures, and Automation Branch, Air Traffic Division Federal Aviation Administration, 2300 East Devon Avenue, Des Plaines, Illinois 60018.

FOR FURTHER INFORMATION CONTACT: Edward R. Heaps, Airspace, Procedures, and Automation Branch, Air Traffic Division, AGL-530, FAA, Great Lakes Region, 2300 East Devon Avenue, Des Plaines, Illinois 60018, telephone (312) 694-7360.

SUPPLEMENTARY INFORMATION: The floor of the controlled airspace in this area will be lowered from 1200' above ground to 700' above ground. The development of the proposed instrument procedures requires that the FAA lower the floor of the controlled airspace to insure that the procedure will be contained within controlled airspace. The minimum descent altitude for this procedure may be established below the floor of the 700 foot controlled airspace.

Aeronautical maps and charts will reflect the area of the instrument procedure which will enable other aircraft to circumnavigate the area in order to comply with applicable visual flight rule requirements.

Comments Invited

Interested parties are invited to participate in this proposed rulemaking by submitting such written data, views, or arguments as they may desire. Comments that provide the factual basis supporting the views and suggestions presented are particularly helpful in developing reasoned regulatory decisions on the proposal. Comments are specifically invited on the overall regulatory, economic, environmental, and energy aspects of the proposal. Communications should identify the airspace docket and be submitted in triplicate to the address listed above. Commenters wishing the FAA to acknowledge receipt of their comments on this notice must submit with those comments a self-addressed, stamped postcard on which the following statement is made: "Comments to Airspace Docket No. 82-AGL-18." The postcard will be date/time stamped and returned to the commenter. All communications received before the specified closing date for comments will be considered before taking action on the proposed rule. The proposal contained in this notice may be changed in the light of comments received. All comments submitted will be available for examination in the Rules Docket both before and after the closing date for comments. A report summarizing each substantive public contact with

FAA personnel concerned with this rulemaking will be filed in the docket.

Availability of NPRM

Any person may obtain a copy of this notice of proposed rulemaking (NPRM) by submitting a request to the Federal Aviation Administration, Office of Public Affairs, Attention: Public Information Center, APA–430, 800 Independence Avenue, S.W., Washington, D.C. 20591, or by calling (202) 426–8058. Communications must identify the notice number of this NPRM. Persons interested in being placed on a mailing list for future NPRM's should also request a copy of Advisory Circular No. 11–2, which describes the application procedures.

The Proposal

The FAA is considering an amendment to § 71.181 of Part 71 of the Federal Aviation Regulations (14 CFR Part 71) to establish a new 700-foot controlled airspace transition area near Lowell, Indiana.

Section 71.181 of Part 71 of the Federal Aviation Regulations was published in Advisory Circular AC 70–3 dated January 29, 1982.

List of Subjects in 14 CFR Part 71

Transition areas, aviation safety.

The Proposed Amendment

Accordingly, pursuant to the authority delegated to me, the Federal Aviation Administration proposes to amend § 71.181 of Part 71 of the Federal Aviation Regulations (14 CFR Part 71) as follows:

Lowell, Indiana

That airspace extending upward from 700 feet above the surface within a 6 mile radius of the Lowell Airport (latitude 41°13'48" N., longitude 87°30'28" W.).

(Secs. 307(a) and 313(a), Federal Aviation Act of 1958 (49 U.S.C. 1348(a) and 1354(a)); Sec. 6(c), Department of Transportation Act (49 U.S.C. 1655(c)); and 14 CFR 11.65)

Note.—The FAA has determined that this proposed regulation only involves an established body of technical regulations for which frequent and routine amendments are necessary to keep them operationally current. It is certified that this—(1) Is not a "major rule" under Executive Order 12291; (2) is not a "significant rule" under DOT Regulatory Policies and Procedures (44 FR 11034; February 26, 1979); and (3) does not warrant preparation of a regulatory evaluation as the anticipated impact is so minimal. Since this is a routine matter that will only affect air traffic procedures and air navigation, it is certified that this rule, when promulgated, will not have a significant economic impact on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

Issued in Des Plaines, Illinois, on August 4, 1982.

Paul K. Bohr,

Director, Great Lakes Region.

[FR Doc. 82–22770 Filed 8–18–82; 8:45 am]

BILLING CODE 4910–13–M

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14 CFR Part 71

[Airspace Docket No. 82–ACE–17]

Transition Area-Manhattan, Kansas; Proposed Alteration

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Notice of proposed rulemaking (NPRM).

SUMMARY: This notice proposes to alter the 700-foot transition area at Manhattan, Kansas, to provide controlled airspace for aircraft executing a new instrument approach procedure to the Junction City, Kansas Airport utilizing the Cavalry Non-Directional Radio Beacon (NDB) as a navigational aid. This action will also change the status of the Junction City Airport from Visual Flight Rules (VFR) to Instrument Flight Rules (IFR).

DATE: Comments must be received on or before September 22, 1982.

ADDRESSES: Send comments on the proposal to: Federal Aviation Administration, Chief, Operations, Procedures and Airspace Branch, Air Traffic Division, ACE–530, 601 East 12th Street, Kansas City, Missouri 64106, Telephone (816) 374–3408.

The official docket may be examined at the Office of the Regional Counsel, Central Region, Federal Aviation Administration, Room 1558, 601 East 12th Street, Kansas City, Missouri.

An informal docket may be examined at the Office of the Chief, Operations, Procedures and Airspace Branch, Air Traffic Division.

FOR FURTHER INFORMATION CONTACT: Dale L. Carnine, Airspace Specialist, Operations, Procedures and Airspace Branch, Air Traffic Division, ACE–532, FAA, Central Region, 601 East 12th Street, Kansas City, Missouri 64106, Telephone (816) 374–3408.

SUPPLEMENTARY INFORMATION:

Comments Invited

Interested persons may participate in the proposed rulemaking by submitting such written data, views or arguments as they may desire. Communications should identify the airspace docket number, and be submitted in duplicate to the Operations, Procedures and Airspace Branch, Air Traffic Division, Federal Aviation Administration, 601 East 12th Street, Kansas City, Missouri 64106. All communications received on or before the closing date for comments will be considered before action is taken on the proposed amendment. The proposal contained in this Notice may be changed in light of the comments received. All comments received will be available both before and after the closing date for comments in the Rules Docket for examination by interested persons.

Availability of NPRM

Any person may obtain a copy of this NPRM by submitting a request to the Federal Aviation Administration, Operations, Procedures and Airspace Branch, 601 East 12th Street, Kansas City, Missouri 64106 or by calling (816) 374–3408. Communications must identify the notice number of this NPRM. Persons interested in being placed on a mailing list for further NPRMs should also request a copy of Advisory Circular No. 11–2 which describes the application procedure.

The Proposal

The FAA is considering an amendment to Subpart G, § 71.181 of the Federal Aviation Regulations (14 CFR 71.181) by altering the 700-foot transition area at Manhattan, Kansas. To enhance airport usage, a new instrument approach procedure to the Junction City, Kansas Airport is being establish utilizing the Cavalry NDB as a navigational aid. The establishment of this new instrument approach procedure based on this navigational aid entails alteration of the transition area at Manhattan, Kansas, at an above 700 feet above ground level (AGL) within which aircraft are provided air traffic control service. It will also change the status of the Junction City, Kansas Airport from VFR to IFR. The intended effect of this action is to ensure segregation of aircraft using the approach procedure under Instrument Flight Rules (IFR) and other aircraft operating under Visual Flight Rules (VFR).

List of Subjects in 14 CFR Part 71

Aviation safety, Transition areas.

Accordingly, pursuant to the authority delegated to me, the Federal Aviation Administration proposes to amend § 71.181 of Part 71 of the Federal Aviation Regulations (14 CFR Part 71), by altering the following transition area:

Manhattan, Kansas

That airspace extending upward from 700 feet above the surface, within a 7-mile radius of the Manhattan, Kansas, Municipal Airport (Latitude 39°08'28" N; Longitude 96°40'10" W) and within 4 miles each side of the

Manhattan, Kansas VOR 046° radial extending from the 7-mile radius area to 11 miles northeast of the VOR, within 2 miles northeast and 3 miles southwest of the 126° bearing from the McDowell Creek RBN, extending from the RBN to 10 miles southeast, within 6 miles south and 9 miles north of the Fort Riley VOR 059° radial extending from the VOR to 21 miles northeast, within 2 miles each side of the Fort Riley VOR 222° radial extending from the VOR to 8 miles southwest, within 7 miles north of the Fort Riley VOR 239° radial extending from the VOR to 2 miles southwest.

(Secs. 307(a) and 313(a), Federal Aviation Act of 1958 (49 U.S.C. 1348(a) and 1354(a)); Sec. 6(c), Department of Transportation Act (49 U.S.C. 1655(c); and Sec. 11.65 of the Federal Aviation Regulations (14 CFR 11.65).

Note.—The FAA has determined that this proposed regulation only involves an established body of technical regulations for which frequent and routine amendments are necessary to keep them operationally current. It, therefore—(1) is not a "major rule" under Executive Order 12291; (2) is not a "significant rule" under DOT Regulatory Policies and Procedures (44 FR 11034; February 26, 1979); and (3) does not warrant preparation of a regulatory evaluation as the anticipated impact is so minimal. Since this is a routine matter that will only affect air traffic procedures and air navigation, it is certified that this rule, when promulgated, will not have a significant economic impact on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

Issued in Kansas City, Missouri, on August 4, 1982.

James O. Robinson,

Acting Director, Central Region.

[FR Doc. 82-22781 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-13-M

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14 CFR Part 71

[Airspace Docket No. 82-ASW-55]

Proposed Alteration of Transition Area; Katy, TX

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Notice of proposed rulemaking.

SUMMARY: The Federal Aviation Administration proposes alteration of a transition area at Katy, TX. The intended effect of the proposed action is to provide additional controlled airspace for aircraft executing a new instrument approach procedure to the Covey Trails Airport, Fulshear, TX. This action is necessary since there is a proposed standard instrument approach procedure (SIAP) to the Covey Trails Airport using the Eagle Lake VORTAC. Coincident with this proposed action, the Covey Trails Airport is changed from visual flight rules (VFR) to instrument flight rules (IFR).

DATES: Comments must be received by September 20, 1982.

ADDRESS: Send comments on the proposal in triplicate to: Chief, Airspace and Procedures Branch, Air Traffic Division, Southwest Region, Federal Aviation Administration, P.O. Box 1689, fort Worth, TX 76101.

The official docket may be examined in the Rules Docket, weekdays, except Federal holidays, between 8 a.m. and 4:30 p.m. The FAA Rules Docket is located in the Office of the Regional Counsel, Southwest Region, Federal Aviation Administration, 4400 Blue Mound Road, Fort Worth, TX.

FOR FURTHER INFORMATION CONTACT: Kenneth L. Stephenson, Airspace and Procedures Branch, ASW-535, Air Traffic Division, Southwest Region, Federal Aviation Administration, P.O. Box 1689, Forth Worth, TX 76101; telephone: (817) 624-4911, extension 302.

SUPPLEMENTARY INFORMATION:

History

Federal Aviation Regulation Part 71, Subpart G 71.181 as republished in Advisory Circular AC 70-3 dated January 29, 1982, contains the description of transition areas designated to provide controlled airspace for the benefit of aircraft conducting instrument flight rules (IFR) activity. Alteration of the transition area at Katy, TX, will necessitate an amendment to this subpart. This amendment will be required at Katy, TX, since there is a proposed change in IFR procedure to the Covey Trails airport at Fulshear, TX.

Comments Invited

Interested persons are invited to participate in this proposed rulemaking by submitting such written data, views, or arguments as they may desire. Comments that provide the factual basis supporting the views and suggestions presented are particularly helpful in developing reasoned regulatory decisions on the proposals. (Comments are specifically invited on the overall regulatory, economic, environmental, and energy aspects of the proposals.) Communications should identify the airspace docket and be submitted in triplicate to the address listed above. Commenters wishing the FAA to acknowledge receipt of their comments on this notice must submit with those comments a self-addressed, stamped postcard on which the following statement is made: "Comments to Airspace Docket No. 82-ASW-55." The postcard will be date/time stamped and returned to the commenter. All communications received before the specified closing date for comments will be considered before taking action on the proposed rule. The proposals contained in this notice may be changed in the light of comments received. All comments submitted will be available for examination in the Rules Docket both before and after the closing date for comments. A report summarizing each substantive public contact with FAA personnel concerned with this rulemaking will be filed in the docket.

Availability of NPRM

Any person may obtain a copy of this notice of proposed rulemaking (NPRM) by submitting a request to the Chief, Airspace and Procedures Branch, Air Traffic Division, Southwest Region, Federal Aviation Administration, P.O. Box 1689, Fort Worth, TX 76101, or by calling (817) 624-4911, extension 302. Communications must identify the notice number of this NPRM. Persons interested in being placed on a mailing list for future NPRM's should contact the office listed above.

List of Subjects in 14 CFR Part 71

Aviation safety, Control zones, Transition areas.

The Proposed Amendment

Accordingly, pursuant to the authority delegated to me, the FAA proposes to amend § 71.181 of Part 71 of the Federal Aviation Regulations (14 CFR Part 71) by adding:

Katy, TX [Amended]

* * * and within a 5-mile radius of the Covey Trails Airport (latitude 29 41'41'24"N, longitude 95°50'24"W.).

(Sec. 307(a), Federal Aviation Act of 1958 (49 U.S.C. 1348(a); Sec. 6(c), Department of Transportation Act (49 U.S.C. 1655(c)); and 14 CFR 11.61(c))

Note:—The FAA has determined that this proposed regulation only involves an established body of technical regulations for which frequent and routine amendments are necessary to keep them operationally current. It, therefore—(1) is not a "major rule" under Executive Order 12291; (2) is not a "significant rule" under DOT Regulatory Policies and Procedures (44 FR 11034; February 26, 1979); and (3) does not warrant preparation of a regulatory evaluation as the anticipated impact is so minimal. Since this is a routine matter that will only affect air traffic procedures and air navigation, it is certified that this rule, when promulgated, will not have a significant economic impact on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

Issued in Fort Worth, TX, on August 11, 1982.

F. E. Whitfield,

Acting Director, Southwest Region.

[FR Doc. 82-22783 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-13-M

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14 CFR Part 75

[Airspace Docket No. 82-ANM-8]

Proposed Alteration of Jet Routes—J-58 and J-107

AGENCY: Federal Aviation Administration (FAA), DOT.

ACTION: Notice of proposed rulemaking.

SUMMARY: This notice proposes to realign Jet Route J-58 from Wilson Creek, NV, to Milford, UT, to Farmington, NM, and realign J-107 from Milford, UT, to Rock Springs, WY, to Casper, WY, to Dupree, SD, to Pembina, ND. This action would improve traffic flow, aid flight planning and reduce controller workload.

DATES: Comments must be received on or before September 20, 1982.

ADDRESSES: Send comments on the proposal in triplicate to: Director, FAA Northwest Mountain Region, Attention: Chief, Air Traffic Division, Docket No. 82-ANM-8, Federal Aviation Administration, FAA Buiding, Boeing Field, Seattle, WA 98108.

The official docket may be examined in the Rules Docket, weekdays, except Federal holidays, between 8:30 a.m. and 5:00 p.m. The FAA Rules Docket is located in the Office of the Chief Counsel, Room 916, 800 Independence Avenue, SW., Washington, D.C.

An informal docket may also be examined during normal business hours at the office of the Regional Air Traffic Division.

FOR FURTHER INFORMATION CONTACT: Lewis W. Still, Airspace Regulations and Obstructions Branch (AAT-230), Airspace and Air Traffic Rules Division, Air Traffic Service, Federal Aviation Administration, 800 Independence Avenue, SW., Washington, D.C. 20591; telephone: (202) 426-8783.

SUPPLEMENTARY INFORMATION:

Comments Invited

Interested parties are invited to participate in this proposed rulemaking by submitting such written data, views, or arguments as they may desire. Comments that provide the factual basis supporting the views and suggestions presented are particularly helpful in developing reasoned regulatory decisions on the proposal. Comments are specifically invited on the overall regulatory, economic, environmental, and energy aspects of the proposal. Communications should identify the airspace docket and be submitted in triplicate to the address listed above. Commenters wishing the FAA to acknowledge receipt of their comments on this notice must submit with those comments a self-addressed, stamped postcard on which the following statement is made: "Comments to Airspace Docket No. 82-ANM-8." The postcard will be date/time stamped and returned to the commenter. All communications received before the specified closing date for comments will be considered before taking action on the proposed rule. The proposal contained in this notice may be changed in the light of comments received. All comments submitted will be available for examination in the Rules Docket both before and after the closing date for comments. A report summarizing each substantive public contact with FAA personnel concerned with this rulemaking will be filed in the docket.

Availability of NPRM's

Any person may obtain a copy of this Notice of Proposed Rulemaking (NPRM) by submitting a request to the Federal Aviation Administration, Office of Public Affairs, Attention: Public Information Center, APA-430, 800 Independence Avenue, SW., Washington, D.C. 20591, or by calling (202) 426-8058. Communications must identify the notice number of this NPRM. Persons interested in being placed on a mailing list for future NPRM's should also request a copy of Advisory Circular No. 11-2 which describes the application procedure.

The Proposal

The FAA is considering an amendment to § 75.100 of Part 75 of the Federal Aviation Regulations (14 CFR Part 75) to realign Jet Routes J-58 and J-107 in the vicinity of Milford, UT. The realignment supports the resectorization program in the Salt Lake City Air Traffic Control Center. The realignment would improve traffic flow, aid intra-facility coordination, reduce pilot and controller workload. Section 75.100 of Part 75 of the Federal Aviation Regulations was republished in Advisory Circular AC 70-3 dated January 29, 1982.

List of Subjects in 14 CFR Part 75

Jet routes.

The Proposed Amendment

Accordingly, pursuant to the authority delegated to me, the Federal Aviation Administration proposes to amend § 75.100 of Part 75 of the Federal Aviation Regulations (14 CFR Part 75) as follows:

J-58 [Amended]

By deleting the words "Wilson Creek, NV; Bryce Canyon, UT; Farmington, NM;" and substituting for them the words "Wilson Creek, NV; Milford, UT; Farmington, NM;"

J-107 [Amended]

By deleting the words "Milford, UT; Delta, UT; Rock Springs, WY; Crazy Woman, WY; Dickinson, ND; Pembina, ND;" and substituting for them the words "Milford, UT; Rock Springs, WY; Casper, WY; Dupree, SD; Pembina, ND;"

(Secs. 307(a) and 313(a), Federal Aviation Act of 1958 (49 U.S.C. 1348(a) and 1354(a)); Sec. 6(c), Department of Transportation Act (49 U.S.C. 1655(c)); and 14 CFR 11.65.)

Note.—The FAA has determined that this proposed regulation only involves an established body of technical regulations for which frequent and routine amendments are necessary to keep them operationally current. It, therefore—(1) Is not a "major rule" under Executive Order 12291; (2) is not a "significant rule" under DOT Regulatory Policies and Procedures (44 FR 11034; February 26, 1979); and (3) does not warrant preparation of a regulatory evaluation as the anticipated impact is so minimal. Since this is a routine matter that will only affect air traffic procedures and air navigation, it is certified that this rule, when promulgated, will not have a significant economic impact on a substantial number of small entities under the criteria of the Regulatory Flexibility Act.

Issued in Washington, D.C., on August 11, 1982.

John W. Baier,

Acting Chief, Airspace and Air Traffic Rules Division.

[FR Doc. 82-22779 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-13-M

FEDERAL TRADE COMMISSION

16 CFR Part 13

[File No. 821 0086]

ConAgra, Inc.; Proposed Consent Agreement With Analysis To Aid Public Comment

Correction

In FR Doc. 82-21895, published at page 35004, on Thursday, August 12, 1982, on page 35006, in the first column, in the seventh line, "contracts or" should be corrected to read "contacts or".

BILLING CODE 1505-01-M

DEPARTMENT OF THE TREASURY

Bureau of Alcohol, Tobacco and Firearms

27 CFR Part 9

[Notice No. 418]

Alexander Valley Viticultural Area

AGENCY: Bureau of Alcohol, Tobacco and Firearms, Treasury.

ACTION: Notice of proposed rulemaking.

SUMMARY: The Bureau of Alcohol, Tobacco and Firearms (ATF) is considering the establishment of a viticultural area in Sonoma County, California, to be known as "Alexander Valley." This proposal is the result of petitions filed by groups which represent grape/wine industry members located in the area. The petitions were submitted by the "Appellation Committee" and an unnamed group. The establishment of viticultural areas and the subsequent use of viticultural area names in the wine labeling and advertising will allow wineries to better designate the specific grape-growing area where their wines come from and will enable consumers to better identify the wines they purchase.

DATE: Written comments must be received by (October 18, 1982).

ADDRESSES: Send written comments or requests for a public hearing to: Chief, Regulations and Procedures Division, Bureau of Alcohol, Tobacco and Firearms, P.O. Box 385, Washington, DC 20044–0385, (Attn: Notice No. 418).

Copies of the petitions, the proposed regulations, maps with the boundaries of the proposed viticultural areas marked, and any written comments will be available for public inspection during normal business hours at the: ATF Reading Room, Office of Public Affairs and Disclosure, Room 4405, Federal Building, 1200 Pennsylvania Avenue, NW., Washington, DC.

FOR FURTHER INFORMATION CONTACT: Jim Whitley, Specialist, Research and Regulations Branch, Bureau of Alcohol, Tobacco and Firearms, 1200 Pennsylvania Avenue, NW, Washington, DC 20226 (202–566–7626).

SUPPLEMENTARY INFORMATION:

Background

On August 23, 1978, ATF published Treasury Decision ATF–53 (43 FR 37672, 54624) revising regulations in 27 CFR Part 4. These regulations allow the establishment of definite viticultural areas. The regulations also allow the name of an approved viticultural area to be used as an appellation of origin on wine labels and in wine advertisements.

On October 2, 1979, ATF published Treasury Decision ATF–60 (44 FR 56692) which added a new Part 9 to 27 CFR, providing for the listing of approved American viticultural areas, the names of which may be used as appellations of origin.

Section 4.25a(e)(1), Title 27, CFR, defines an American viticultural area as a delimited grape-growing region distinguishable by geographical features.

Section 4.25a(e)(2) outlines the procedure for proposing an American viticultural area. Any interested person may petition ATF to establish a grape-growing region as a viticultural area. The petition should include—

(a) Evidence that the name of the viticultural area is locally and/or nationally known as referring to the area specified in the petition;

(b) Historical or current evidence that the boundaries of the viticultural area are as specified in the petition;

(c) Evidence relating to the geographical features (climate, soil, elevation, physical features, etc.) which distinguish the viticultural features of the proposed area from surrounding areas;

(d) A description of the specific boundaries of the viticultural area, based on the features which can be found on the United States Geological Survey (U.S.G.S.) maps of the largest applicable scale; and

(e) A copy of the appropriate U.S.G.S. maps with the boundaries prominently marked.

Petitions

ATF has received two petitions proposing areas in northeast Sonoma County, California, as viticultural areas. Each petition proposes a viticultural area to be known as "Alexander Valley" which encompasses an area in the arm of the Russian River Valley lying north of the town of Healdsburg. However, the boundaries proposed in the petitions are different. The petitions were submitted by the "Appellation Committee" (hereinafter referred to as Group "A") which consists of 18 persons and an unnamed group (hereinafter referred to as Group"B") which consists of 15 persons. These groups are composed of vineyard owners, winery operators and other members of the grape/wine industry located in the area. The viewpoints of industry members in the southern and northern segments of the valley arm regarding establishment of a viticultural area are generally represented by the proposals presented by the petitions of Group "A" and Group "B", respectively.

The proposed viticultural areas would encompasss areas in the above-mentioned valley arm and surrounding uplands. The valley arm lies on a west to east axis and extends from just north of the town of Cloverdale, at the northern end, to just south of Maacama Creek, at the southern end. The Russian River flows through almost the entire length of the valley arm. The valley arm distinctly narrows in the vicinity of the town of Asti to approximately one-half mile in width. Some authorities have used this point of narrowing as a division point to divide the valley arm into northern and southern segments known, respectively, as "Cloverdale Valley" and "Alexander Valley." The valley arm is approximately 22 miles in length, averages 1.75 miles in width, and consists of approximately 24,000 acres or 38 square miles. The valley arm is distinguished from the main Russian River Valley by a low range of hills in the vicinity of the town of Lytton. In fact, the valley arm is almost totally surrounded by upland areas. These upland areas are generally composed of rolling hills that range from 300 feet to 1,000 feet in elevation and fairly rugged small mountains that rise to about 2,000 feet.

Group "A" Proposal

This group proposed boundaries for their viticultural area that would encompass the southern two-thirds of the valley arm. The total area encompassed within the boundaries of the proposed viticultural area consists of approximately 35,000 acres or 55 square miles. Approximately one-half of this area, i.e. 16,500 acres or 25.75 square miles, is in the valley arm proper. The remaining area represents uplands on the eastern, western, and southern boundaries of the proposed viticultural area. The majority of these uplands are situated on the eastern boundary. There are 12 wineries and approximately 100 vineyard operations in the proposed viticultural area. There are approximately 11,000 acres of grapes planted in the proposed viticultural area. The boundaries of the viticultural area proposed by Group "A" may be found on five U.S.G.S. quadrangle maps, 7.5 minute series (Topographic), scale 1:24,000—mark west springs, Mount St. Helena, Jimtown, Geyserville, and Healdsburg. The specific viticultural area boundaries proposed by the petitioner are detailed in the proposed regulations at § 9.53a(c).

Also, the boundaries proposed by Group "A" for their viticultural area overlap the boundaries of the proposed "Chalk Hill" viticultural area. The

overlap area is triangular shaped and encompasses the following.

From the beginning point lying at the midpoint of the south line of Section 21, Township 9 North (T. 9 N.), range 8 West (R. 8 W.), very near Bell Mountain, on the "Healdsburg quadrangle" map, the boundary line runs—

(1) Westerly along the south line of Sections 21 and 20, T. 9 N., R. 8 W. to the southwest corner of Section 20;

(2) Then westerly in a straight line along the same course as the south line of Section 20 to the point of intersection with Chalk Hill Road;

(3) Then southerly along Chalk Hill Road for 550 feet;

(4) Then east-northeasterly in a straight line along the same course as the line described at § 9.53a(c)(29) and § 9.53b(c)(29) to the point beginning.

Group "B" Proposal

This group proposed boundaries for their viticultural area that would encompass the northern one-third of the valley arm and the area proposed by Group "A", i.e. the entire valley arm. Except for the boundaries encompassing the northern one-third of the valley arm, the boundaries proposed by Group "B" are identical to those proposed by Group "A". The additional area encompassed within the boundaries proposed by Group "B" consists of approximately 31,000 acres or 49 square miles. Approximately one-fourth of this area, i.e. 7,800 acres or 12.25 square miles, is in the valley arm proper. The remaining area represents uplands on the eastern, western, and northern boundaries of the additional area. The majority of these uplands are situated on the eastern and western boundaries. There are eight wineries and approximately 30 vineyard operations in the additional area. There are approximately 1,600 acres of grapes planted in the additional area. The boundaries of the viticultural area proposed by Group "B" may be found on the five U.S.G.S. quadrangle maps specified for the proposed viticultural area of Group "A" and on two additional U.S.G.S. quadrangle maps, 7.5 minute series (Topographic), scale 1:24,000—Asti and Cloverdale. The specific viticultural area boundaries proposed by the petitioner are detailed in the proposed regulations at § 9.53b(c).

Viticultural/Geographical Features

Each petitioner submitted evidence that their proposed viticultural area is distinguishable from the surrounding area on the basis of climate, soil, geology, elevation, and other physiographical features. Since one proposed viticultural area includes the other, i.e. the area proposed by Group "B" includes the area proposed by Group "A", the evidence, in some cases, is similar or identical. Where the evidence is generally applicable to the valley arm and both proposed viticultural areas, it is presented initially. Then evidence applicable to and supportive of a particular viticultural area is presented. The petitioners base their claim of being distinguishable from the surrounding area on the following.

(a) *Climate.* The valley arm has an annual rainfall of 25–50 inches, temperature of 58–60 degrees F., and a frostfree season of 240–270 days. The areas surrounding the valley arm, i.e. the main Russian River Valley to the south and the surrounding uplands, respectively, have an annual rainfall of 25-45 inches, temperature of 54–60 degrees F., a frostfree season of 240–260 days; and an annual rainfall of 30–70 inches, temperature of 54–58 degrees F., a frostfree season of 230–270 days.

Temperature comparison data, prepared by the Cooperative Extension, University of California, Sonoma County, indicates the valley arm is warmer than the area to the south and cooler than the area to the north. In addition, under the climatic region concept developed by Amerine and Winkler, the valley arm is classified as Region 3 and the area to the south is classified as Region 2. Furthermore, temperatures in the southern portion of the valley arm are generally cooler than temperatures in the northern portion of the valley arm as a result of the effect of fog. Fog flows into the southern portion of the valley arm from the Santa Rosa plain at a point near the town of Lytton through a gap in the low range of hills separating the valley arm from the main Russian River Valley. The fog gradually dissipates in intensity as one goes up the valley arm toward the town of Cloverdale.

In addition to the general climatic conditions discussed above which characterize the valley arm and distinguish it from the surrounding area, Group "A" contends their proposed viticultural area possesses a unique set of growing conditions which distinguish it from the upper portion of the valley arm. Group "A" claims the lower temperatures and fog associated with their proposed viticultural area have a marked influence on the amount and distribution of heat and moisture received which, in turn, directly affects the development and balance of sugar, acid, and other constituents of grapes grown in their proposed viticultural area.

(b) *Geologic Features.* The general geomorphology of the area corresponds to distinguishable geologic features which define a valley, i.e. a topographic depression or basin. The boundaries of the valley arm are delineated by contact between the geologically younger alluvial material of the valley arm floor with older indurated rock of the surrounding uplands. Except for a gap in the surrounding uplands in the vicinity of the town of Lytton and a bedrock canyon at the northern end of the valley arm where the Russian River enters, the geologic boundaries of the valley arm are generally continuous.

Group "A" has proposed a northern boundary for their viticultural area near the point where the valley arm narrows. This is the point that some authorities, on the basis of geologic and hydrologic considerations, have used to divide the valley arm into separate valleys known as "Cloverdale Valley" (northern portion) and "Alexander Valley" (southern portion). These authorities state the point where the valley arm narrows is actually a bedrock gorge which divides the valley arm into two separate valleys and that the alluvial material in the area consists of stream channel deposits of the Russian River. Notwithstanding there is some subsurface hydrologic connection through the stream channel deposits in the gorge between the two valleys, these authorities also claim each valley is served by a distinct ground water basin.

Group "B" contends the separation of the valley arm into two valleys is artificial. They presented evidence consisting of more recent studies conducted by other researchers which state there is a continuous deposit of alluvial material throughout the valley arm, and that, in fact, no bedrock gorge exists. These researchers claim the alluvial material in the narrow portion of the valley arm is part of this deposit and not stream channel deposits, since it has basically the same characteristics as alluvial material found elsewhere in the valley arm. These researchers conclude the continuous presence of uniform alluvial material throughout the valley arm indicates a single valley. In addition, these researchers claim there is one groundwater basin for the valley arm. However, they do recognize two subbasins, the "Alexander Area" and the "Cloverdale Area", which underlie, respectively, the southern and northern portions of the valley arm.

(c) *Watershed.* The valley arm is part of the Russian River drainage basin. Specific portions of the valley arm are served by smaller drainage basins which drain those particular areas.

Adjacent valleys are served by drainage basins which do not serve the valley arm, although they do eventually empty into the Russian River drainage basin.

Group "A" contends the smaller drainage basins serving the valley arm should be viewed as forming several watersheds. Therefore, the boundaries of these watersheds are useful in distinguishing the delineating specific portions of the valley arm, such as their proposed viticultural area, from the surrounding area.

Group "B" contends the smaller drainage basins serving the valley arm should be viewed as forming one watershed encompassing the entire valley arm. Therefore, the boundaries of these smaller drainage basins should not be used to distinguish or delineate one portion of the valley arm from another. However, the petitioner contends that tthis large watershed may be used to distinguish the valley arm from the surrounding area.

(d) *Soils.* The soils found in the valley arm are distinct from the soils found on the surrounding uplands. This is due to the different parent material, i.e. alluvial on the valley arm floor and indurated rock on the uplands, from which the soils were formed. The contrast in parent materials allows an easy distinction between the valley arm floor area and the upland area based on soils. The soils in the valley arm floor area are primarily of the Yolo-Cortina-Pleasanton association. This soil association is found throughout the valley arm. The soils on the upland areas are primarily of the Spreckels-Felta association southwest of the valley arm, Los Gatos-Henneke-Maymen association northwest of the valley arm, and Goulding-Toomes-Guenoc association east of the valley arm.

Group "B" contends the uniformity and continuity of soils throughout the valley arm precludes the use of soil as a basis for division of the valley arm into separate areas. In addition, Group "B" contends the presence of the Yolo-Cortina-Pleasanton type of soil association, which typically forms on flat, alluvial basins, in the narrow portion of the valley arm near the town of Asti, indicates a single valley and not two separate valleys divided by a bedrock gorge, since, in order for this to have occurred, the same type of alluvial parent material must have been uniformly distributed throughout the valley arm and deposited in a geological basin.

Evidence Relating To Name And Boundaries

Each petitioner submitted historical or current evidence that the viticultural area proposed in their petition is locally and/or nationally known by the name "Alexander Valley" and the boundaries of the viticultural area are as specified in their petition.

Each petitioner compiled and submitted a brief history of the "Alexander Valley" area. The petitioners state the name "Alexander Valley" originated from the name of Cyrus Alexander who in the 1840's acquired and settled land in the southern portion of the valley arm. This land was a portion of the Sotoyome(i) grant given to Henry D. Fitch in 1841 by the government of Mexico. The name was originally applied by local residents to only the holdings of Cyrus Alexander. However, over a period of years, the name has been applied at various times to different portions of the valley arm and to the entire valley arm by local residents and other individuals. The grape and wine industry originally developed more rapidly in the northern portion of the valley arm. However, the petitioners agree the majority of the grape and wine industry currently is located in the southern portion of the valley arm. Although, a major winery, Italian Swiss Colony operated by United Vintners Inc., and several hundred acres of grapes are located in the northern portion of the valley arm. The name "Alexander Valley" began to gain recognition as a viticultural area in the early 1970's when grape-growers and wineries in the southern portion of the valley arm started to identify themselves on wine labels, promotional material, and in articles, as being located in the "Alexander Valley."

Group "A" submitted evidence consisting of the following to support their claims:

(a) Excerpts from various 19th century and contemporary, local and national publications which refer to the "Alexander Valley" as a grape-growing and wine-producing area;

(b) Clippings of various wine-oriented articles from regional and national publications which refer to wines produced from grapes grown in the "Alexander Valley";

(c) Excerpts from articles by 19th century and contemporary authors which generally describe the boundaries of the "Alexander Valley" as they are proposed by the petitioner;

(d) Statements concerning the use of labels on wine, which refer to "Alexander Valley" as being the source of grapes from which the wine is made, by wineries located in their proposed viticultural area; and

(e) Statements concerning consumer recognition of the name "Alexander Valley" as applying to their proposed viticultural area.

Group "B" submitted evidence consisting of the following to support their claims:

(a) A study which on the basis of geological evidence concludes the valley arm is one continuous valley;

(b) References to studies which on the basis of groundwater basin and soil distribution considerations conclude the valley arm is one continuous valley;

(c) References to 19th century documents of political entities which refer to the entire valley arm by one name; and

(d) United States Geological Survey maps and United States Forest and Soil Conservation Service maps which designate the entire valley arm as "Alexander Valley."

Discussion

ATF feels the evidence submitted by the petitioners indicates establishment of "Alexander Valley" as a viticultural area may be warranted. Accordingly, the establishment of this grape-growing region as a viticultural area is proposed in this document.

In addition, on the basis of evidence we currently have at our disposal, we believe the boundaries proposed for the viticultural area by the petitioners have equal merit. Therefore, nothing in this document should be construed as an endorsement of the boundaries proposed by either petitioner.

ATF believes the significance of viticultural areas as delimited grape-growing regions distinguishable by geographical features may be eroded by the indiscriminate establishment of viticultural areas which partially or entirely overlap other proposed or approved viticultural areas. Consequently, we are concerned the petitioners have proposed boundaries for the "Alexander Valley" viticultural area which overlap the boundaries of the proposed "Chalk Hill" viticultural area.

However, we recognize the establishment of viticultural areas which overlap other proposed or approval viticultural areas may, in some cases, be warranted. Accordingly, we will consider petitions that propose establishment of viticultural areas which overlap other proposed or approved viticultural areas on a case-by-case basis. Therefore, each such petition, in addition to otherwise fulfilling the requirements of regulations relating to establishment of a viticultural area, must contain evidence to substantiate inclusion of the overlap area in the proposed viticulutral area.

The evidence should show that the overlapping area and the rest of the proposed viticultural area are—

(1) Known locally and/or nationally by the same name;

(2) Historically or currently considered part of each other; and

(3) Viticulturally similar on the basis of geographical features (climate, soil, elevation, physical features, * * * etc.).

However, in this particular case, neither evidence nor reference to an area of overlap was discussed in the petitions. Accordingly, we are not entirely convinced the boundaries proposed by either petitioner are the most appropriate for the viticultural area.

Public Participation

All interested persons are invited to participate in this proposed rulemaking by submitting such written data, views, or recommendations as they may desire. Comments should be specific, pertain to the issue proposed in this rulemaking, and set forth the factual basis supporting the data, views, or recommendations of the commenter. Comments received before the closing date will be carefully considered prior to a final decision by ATF on this proposal. Comments received after the closing date and too late for consideration will be treated as suggestions for future ATF action.

Comments are specifically invited on the boundaries proposed by the petitioners for the viticultural area. We are particularly interested in receiving comments on the overlap between the proposed "Alexander Valley" and "Chalk Hill" viticultural areas which provide historical or current evidence on whether the proposed boundaries should be modified. Comments concerning other possible boundaries for the viticultural area should include data on the geographical and viticultural characteristics the commenter believes distinguishes the area encompassed from the surrounding area.

ATF will not recognize any material or comments as confidential. Comments may be disclosed to the public. Any material which the commenter considers to be confidential or inappropriate for disclosure to the public should not be included in the comment. The name of the person submitting a comment is not exempt from disclosure. All materials and comments received will be available for public inspection during normal business hours.

Any interested person who desires an opportunity to comment orally at a public hearing on these proposed regulations should submit a request, in writing, to the Director, within the comment period. The request should include reasons why the commenter feels that a public hearing is necessary. The Director, however, reserves the right to determine, in the light of all circumstances, whether a public hearing should be held.

ATF reserves the option to determine, on the basis of written comments, our own research, and in the light of any other circumstances, whether this viticultural area should be established and which boundaries are appropriate. In addition, ATF may modify, through the rulemaking process, any viticultural area which may result from this proposed rulemaking when in the judgment of the Director such action is determined to be warranted.

Regulatory Flexibility Act

The provisions of the Regulatory Flexibility Act relating to an initial and final regulatory flexibility analysis (5 U.S.C. 603, 604) are not expected to apply to this proposed rule because the proposal, if promulgated as a final rule, is not expected to have a significant economic impact on a substantial number of small entities. Since the benefits to be derived from using a new viticultural area appellation of origin are intangible, ATF cannot conclusively determine what the economic impact will be on the affected small entities in the area. However, from the information we currently have available on the proposed Alexander Valley viticultural area, ATF does not feel that the use of this appellation of origin will have a significant economic impact on a substantial number of small entities.

Executive Order 12291

In compliance with Executive Order 12291, ATF has determined that this proposal is not a major rule since it will not result in:

(a) An annual effect on the economy of $100 million or more;

(b) A major increase in costs or prices for consumers, individual industries, Federal, State, or local government agencies, or geographic regions; or

(c) Significant adverse effects on competition, employment, investment, productivity, or on the ability of United States-based enterprises to compete with foreign-based enterprises in domestic or export markets.

Drafting Information

The principal author of this document is Jim Whitley, Specialist, Research and Regulations Branch, Bureau of Alcohol, Tobacco and Firearms. However, personnel of other offices of the Bureau and of the Treasury Department have participated in the preparation of this document, both in matters of substance and style.

List of Subjects in 27 CFR Part 9

Administrative practice and procedure, Consumer protection, Viticultural areas, Wine.

Authority

Accordingly, under the authority in 27 U.S.C. 205, the Director proposes the amendment of 27 CFR Part 9 as follows:

PART 9—AMERICAN VITICULTURAL AREA

Paragraph 1. The table of sections in 27 CFR Part 9, Subpart C, is amended to add the title of §9.53. As amended, the table of sections reads as follows:

Sec.

* * * * *

§9.53 Alexander Valley.

* * * * *

Para. 2. Subpart C is amended by adding §9.53 Alexander Valley. (Note: The two proposals for the boundaries of the "Alexander Valley" viticultural area are set out in this document as §9.53a and §9.53b. However, any final rule which may result from this proposed rulemaking will detail only the boundaries of the established viticultural area.) As amended, Subpart C reads as follows:

§9.53a. Alexander Valley (as proposed by Group "A").

(a) *Name.* The name of the viticultural area described in this section is "Alexander Valley."

(b) *Approved maps.* The appropriate maps for determining the boundaries of the Alexander Valley viticultural area are five U.S.G.S. maps. They are—

(1) "Mark West Springs Quadrangle, California", 7.5 minutes series, 1958;

(2) "Mount St. Helena Quadrangle, California", 7.5 minute series, 1959 (Photoinspected 1973);

(3) "Jimtown Quadrangle, California—Sonoma County", 7.5 minute series, 1955 (Photorevised 1975);

(4) "Geyserville Quadrangle, California—Sonoma County", 7.5 minute series, 1955 (Photorevised 1975); and

(5) "Healdsburg Quadrangle, California—Sonoma County", 7.5 minute series, 1955.

(c) *Boundaries.* The Alexander Valley viticultural area is located in northeastern Sonoma County, California. From the beginning point lying at the midpoint on the south line of Section 21, Township 9 North (T. 9 N.) and Range 8 West (R. 8 W.), very near Bell Mountain, on the "Mark West

Springs Quadrangle" map, the boundary runs—

(1) Easterly along the south line of Section 21 to the southeast corner thereof;

(2) Then northerly along the east line of Sections 21, 16, and 9, T. 9 N., R. 8 W. to the northeast corner of Section 9;

(3) Then westerly along the north line of Section 9 to the northwest corner thereof;

(4) Then northwesterly in a straight line to the northeast corner of Section 36, T. 10 N., R. 9 W.;

(5) Then northerly along the east line of Sections 25, 24, and 13, T. 10 N., R. 9 W. to the northeast corner of Section 13;

(6) Then west-northwesterly in a straight line to the point lying at 38 degrees 45 minutes/122 degrees 52 minutes 30 seconds;

(7) Then westerly along latitude line 38 degrees 45 minutes to the point of intersection with the east line of Section 4, T. 10 N., R. 10 W.;

(8) Then southeasterly in a straight line to the southwest corner of Section 3, T. 10 N., R. W.;

(9) Then southerly along the west line of Section 10, T. 10 N., R. 10 W. to the southwest corner thereof;

(10) Then S. 74 degrees, E. 2,800 feet in a straight line to the northeasterly tip of a small lake;

(11) Then N. 57 degrees, E. 2,300 feet in a straight line to the southeast corner of Section 10, T. 10 N., R. 10 W.;

(12) Then S. 16 degrees, E. 1,800 feet in a straight line to the point on a peak identified as having an elevation of 664 feet;

(13) Then S. 55 degrees, E. 7,900 feet in a straight line to the most northerly point on the northeasterly line of "Olive Hill" cemetery lying on the easterly side of Canyon Road;

(14) Then southeasterly along the northeasterly line of "Olive Hill"cemetery to the most easterly point thereon;

(15) Then S. 2 degrees, E. 3,100 feet in a straight line to the point in the westerly fork of Wood Creek lying at the westerly terminus of a dirt road;

(16) Then southerly 3,000 feet along the west fork of Wood Creek to the point lying 400 feet north of the point on a peak on the peak identified as having an elevation of 781 feet;

(17) Then southerly 400 feet in a straight line to a point on the peak identified as having an elevation of 781 feet;

(18) Then S. 50½ degrees, E. 15,500 feet in a straight line to the point lying at the intersection of Lytton Creek with the township line common the T. 9 N. and T. 10 N. in R. 9 W.;

(19) Then southerly along Lytton Creek to Lytton Springs Road in T. 9., R. 9 W.;

(20) Then easterly along Lytton Springs Road to the point of intersection with Lytton Road;

(21) Then south-southeasterly along Lytton Road to the point of intersection with Alexander Valley Road;

(22) Then east-northeasterly in a straight line to the point on a peak identified as having an elevation of 447 feet;

(23) Then easterly in a straight line to the point on a peak identified as having an elevation of 530 feet;

(24) Then east-southeasterly in a straight line to the point on a peak identified as having an elevation of 516 feet;

(25) Then southeasterly in a straight line to the point on a peak identified as having an elevation of 596 feet;

(26) Then southeasterly in a straight line to the point lying at the intersection of the range line common to R. 9 W. and R. 8 W. in T. 9 N. with latitude line 38 degrees 37 minutes 30 seconds;

(27) Then south-southeasterly in a straight line to the confluence of Brooks Creek with the Russian River in T. 9 N., R. 8 W.;

(28) Then east-southeasterly in a straight line to the top of Chalk Hill; and

(29) Then east-northeasterly in a straight line to the point of beginning.

9.53b Alexander Valley (as proposed by Group "B")

(a) *Name.* The name of the viticultural area described in this section is "Alexander Valley."

(b) *Approved maps.* The appropriate maps for determining the boundaries of the Alexander Valley viticultural area are seven U.S.G.S. maps. They are—

(1) "Mark West Springs Quadrangle, California", 7.5 minutes series, 1958;

(2) "Mount St. Helena Quadrangle, California", 7.5 minute series, 1959 (Photoinspected 1973);

(3) "Jimtown Quadrangle, California—Sonoma County", 7.5 minute series, 1955 (Photorevised 1975);

(4) "Geyserville Quadrangle, California—Sonoma County", 7.5 minute series, 1955 (Photorevised 1975);

(5) "Healdsburg Quadrangle, California—Sonoma County", 7.5 minute series, 1955;

(6) "Asti Quadrangle, California", 7.5 minute series, 1959 (Photorevised 1978); and

(7) "Cloverdale Quadrangle, California", 7.5 minute series, 1960.

(c) *Boundaries.* The Alexander Valley viticultural area is located in northeastern Sonoma County, California. From the beginning point lying at 38 degrees 45 minutes 122 degrees 52 minutes 30 seconds in Township 10 North (T. 10 N.) and Range 9 West (R. 9 W.), on the "Asti Quadrangel" map, the boundary runs—

(1) Northwesterly in a straight line to the southeast corner of Section 4, T. 11 N., R. 10 W.;

(2) Then northerly along the east line of Section 4, T. 11 N., R. 10 W., continuing along the east line of Section 33, T. 12 N., R. 10 W. to the Sonoma-Mendocino county line;

(3) Then westerly along the Sonoma-Mendocino county line to the northwest corner of Section 34, T. 12 N., R. 11 W.;

(4) Then southerly along the west line of Section 34 to the southwest corner thereof;

(5) Then southeasterly in a straight line to the southeast corner of Section 3, T. 11 N., R. 11 W.;

(6) Then southerly along the west line of Sections 11, 14, 23, 26, and 35, T. 11 N., R. 11 W., continuing along the same course into Section 3, T. 10 N., R. 11 W. to the point of intersection with latitude line 38 degrees 45 minutes;

(7) Then easterly along latitude line 38 degrees 45 minutes to the point of intersection with the east line of Section 4, T. 10 N., R. 10 W.;

(8) Then southeasterly in a straight line to the southwest corner of Section 3, T. 10 N., R. 10 W.;

(9) Then southerly along the west line of Section 10, T. 10 N., R. 10 W. to the southwest corner thereof;

(10) Then S. 74 degrees, E. 2,800 feet in a straight line to the northeasterly tip of a small lake;

(11) Then N. 57 degrees, E. 2,300 feet in a straight line to the southeast corner of Section 10, T. 10 N., R. 10 W.;

(12) Then S. 16 degrees, E. 1,800 feet in a straight line to the point on a peak identified as having an elevation of 664 feet;

(13) Then S. 55 degrees, E. 7,900 feet in a straight line to the most northerly point on the northeasterly line of "Olive Hill" cemetery lying on the easterly side of Canyon Road;

(14) Then southeasterly along the northeasterly line of "Olive Hill" cemetery to the most easterly point thereon;

(15) Then S. 2 degrees, E. 3,100 feet in a straight line to the point in the westerly fork of Wood Creek lying at the westerly terminus of a dirt road;

(16) Then southerly 3,000 feet along the west fork of Wood Creek to the point lying 400 feet north of the point on a peak identified as having an elevation of 781 feet;

(17) Then southerly 400 feet in a straight line to the point on a peak

identified as having an elevation of 781 feet;

(18) Then S. 50 ½ degrees, E. 15,500 feet in a straight line to the point lying at the intersection of Lytton Creek with the township line common to T. 9 N. and T. 10 N. in R. 9 W;

(19) Then southerly along Lytton Creek to Lytton Springs Road in T. 9 N., R. 9 W.;

(20) Then easterly along Lytton Springs Road to the point of intersection with Lytton Road;

(21) Then south-southeasterly along Lytton Road to the point of intersection with Alexander Valley Road;

(22) Then east-northeasterly in a straight line to the point on a peak identified as having an elevation of 447 feet;

(23) Then easterly in a straight line to the point on a peak identified as having an elevation of 530 feet;

(24) Then east-southeasterly in a straight line to the point on a peak identified as having an elevation of 516 feet;

(25) Then southeasterly in a straight line to the point on a peak identified as having an elevation of 596 feet;

(26) Then southeasterly in a straight line to the point lying at the intersection of the range line common to R. 9 W. and R. 8 W. in T. 9 N. with latitude line 38 degrees 37 minutes 30 seconds;

(27) Then south-southeasterly in a straight line to the confluence of Brooks Creek with the Russian River in T. 9 N., R. 8 W.;

(28) Then east-southeasterly in a straight line to the top of Chalk Hill;

(29) Then east-northeasterly in a straight line to the midpoint on the south line of Section 21, T. 9 N., R. 8 W., very near Bell Mountain;

(30) Then easterly along the south line of Section 21 to the southeast corner thereof;

(31) Then northerly along the east line of Sections 21, 16, and 9, T. 9 N., R. 8 W. to the northeast corner of Section 9;

(32) Then westerly along the north line of Section 9 to the northwest corner thereof;

(33) Then northwesterly in a straight line to the northeast corner of Section 36, T. 10 N., R. 9 W.;

(34) Then northerly along the east line of Sections 25, 24, and 13, T. 10 N., R. 9 W. to the northeast corner of Section 13; and

(35) Then west-northwesterly in a straight line to the point of beginning.

Signed: June 28, 1982.

Stephen E. Higgins,

Acting Director.

Approved: July 30, 1982.

J. M. Walker, Jr.,

Assistant Secretary, Enforcement and Operations.

[FR Doc. 82-22765 Filed 8-18-82; 8:45 am]

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DEPARTMENT OF THE INTERIOR

Office of Surface Mining Reclamation and Enforcement

30 CFR Part 931

Public Comment on Modified Portions of the New Mexico Permanent Regulatory Program

AGENCY: Office of Surface Mining Reclamation and Enforcement, Interior.

ACTION: Extension of public comment period.

SUMMARY: The Office of Surface Mining (OSM) is extending the period for review and comment on the substantive adequacy of program amendments submitted to satisfy conditions imposed by the Secretary of the Interior on the approval of the New Mexico Permanent Regulatory Program under the Surface Mining Control and Reclamation Act of 1977 (SMCRA). Specifically, OSM is extending the comment period to allow the public sufficient time to consider and comment on additional material submitted by New Mexico to satisfy conditions of approval.

DATES: Written comments must be received on or before 4:00 p.m., September 13, 1982, to be considered.

ADDRESSES: Comments should be mailed or hand-delivered to: Mr. Robert Hagen, Field Office Director, Office of Surface Mining, 219 Central Ave., NW., Albuquerque, New Mexico 87102, telephone: (505) 766-1486.

FOR FURTHER INFORMATION CONTACT: Mr. Robert Hagen, Field Office Director, Office of Surface Mining, 219 Central Ave., NW., Albuquerque, New Mexico 87102; telephone: (505) 766-1486.

SUPPLEMENTARY INFORMATION:

On July 9, 1982, New Mexico submitted to OSM regulatory revisions adopted by the New Mexico Coal Surface Mining Commission which are intended to satisfy conditions "b", "c", "f", "g", "i", and "l". On July 29, 1982, OSM published notice of the comment period and hearing on the amendments submitted by New Mexico (47 CFR 32738). A description of the provisions submitted by the State and of the conditions they are intended to satisfy is provided in the July 29, 1982, notice.

On July 29, 1982, New Mexico submitted copies of the July 9, 1982, amendments previously submitted to OSM as they were finally adopted. In addition, the State submitted a copy of procedures used by the Mining and Minerals Division in conducting a hearing regarding an unsuitability petition. These procedures were submitted in relation to condition "b".

OSM is extending the comment period which opened July 29, 1982 and which was scheduled to close September 3, 1982, until September 13, 1982, to allow the public time to review and comment on the additional materials submitted by New Mexico on July 29, 1982.

OSM is seeking comment on whether the provisions submitted by New Mexico on July 9, 1982 and July 29, 1982, satisfy conditions listed at 30 CFR 931.11(b), (c), (f), (g), (i) and (l). The materials submitted by the State are contained in the New Mexico administrative record under numbers NM 208 and NM 212 and are available for public review at the addresses listed above under **"ADDRESSES"**.

Additional Determinations

1. *Compliance with the National Environmental Policy Act.* The Secretary has determined that, pursuant to Section 702(d) of SMCRA, 30 U.S.C. 1292(d), no environmental impact statement need be prepared on this rulemaking.

2. *Compliance with the Regulatory Flexibility Act.* The Secretary hereby determines that this proposed rule will not have a significant economic impact on small entities within the meaning of the Regulatory Flexibility Act, 5 U.S.C. 601 *et seq.*

3. *Compliance with Executive Order No. 12291.* With respect to regulations concerning satisfaction of conditions of approval of State regulatory programs under SMCRA, OSM has been granted a categorical exemption from the requirement to prepare a Regulatory Impact Analysis pursuant to Executive Order No. 12291, by a letter from the Office of Management and Budget dated August 28, 1981.

List of Subjects in 30 CFR Part 931

Coal mining, Intergovernmental relations, Surface mining, Underground mining.

Dated: August 16, 1982.

Carl C. Close,

Deputy Assistant Director, Program Operations and Inspection.

[FR Doc. 82-22757 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-05-M

30 CFR Part 946

Cancellation of Public Hearing on Modified Portion of the Virginia Permanent Regulatory Program

AGENCY: Office of Surface Mining Reclamation and Enforcement, Interior.

ACTION: Cancellation of public hearing.

SUMMARY: The Office of Surface Mining (OSM) is announcing the cancellation of a public hearing on the substantive adequacy of a program amendment concerning reclamation bonding to the Virginia permanent regulatory program (hereinafter referred to as the Virginia program) submitted by Virginia pursuant to the Surface Mining Control and Reclamation Act of 1977 (SMCRA) and 30 CFR 732.17.

This notice cancels the public hearing because no one expressed an interest in attending the hearing by August 11, 1982, but does not alter the time and location at which the Virginia program and proposed amendment are available for public inspection, or the comment period during which interested persons may submit written comments on the proposed program elements.

DATES: The following hearing is cancelled: The public hearing on the proposed amendment to the Virginia program, August 19, 1982.

ADDRESS: Written comments should be mailed or hand delivered to: Ralph Cox, Field Office Director, Virginia Field Office, Office of Surface Mining Reclamation and Enforcement, P.O. Box 626, Big Stone Gap, Virginia 24219.

Copies of the Virginia program, the proposed amendment to the program, a listing of scheduled public meetings, and all written comments are available for review at the OSM Offices and the office of the State regulatory authority listed below, Monday through Friday 8:00 a.m. to 4:00 p.m. excluding holidays.

Office of Surface Mining Reclamation and Enforcement, Room 5315, 1100 "L" Street, N.W., Washington, D.C.

Office of Surface Mining Reclamation and Enforcement, Highway 23, South, Big Stone Gap, Virginia 24219

Office of Surface Mining Reclamation and Enforcement, Flannagan and Carroll Streets, Lebanon, Virginia 24266

Virginia Division of Mined Land Reclamation, 620 Powell Avenue, Big Stone Gap, Virginia 24219

FOR FURTHER INFORMATION CONTACT: Ralph Cox, Field Office Director, Virginia Field Office, Office of Surface Mining, Route 3, Box 183-C-1, Big Stone Gap, Virginia 24219, Telephone: (703) 523-4303.

SUPPLEMENTARY INFORMATION: On July 8, 1982, Virginia submitted to OSM a proposed program amendment consisting of a General Assembly bill passed on an emergency basis creating the Coal Surface Mining Reclamation Fund (Fund) and promulgated regulations to implement the legislation (Administrative Record No. VA 401). The proposed program amendment creates and implements an alternative reclamation bonding system in the Virginia program. Under the amendment, operators would have the option of participating in the Fund or fulfilling their reclamation bonding requirements pursuant to the Virginia permanent program provisions approved by the Secretary on December 15, 1981.

On July 27, 1982, notice of opportunity for public hearing on the proposed amendment to the Virginia program, was published in the **Federal Register** (47 FR 32457-32458). The notice stated that any person interested in making an oral or written presentation at the hearing should contact Mr. Cox by August 11, 1982, and that if no person contacted Mr. Cox to express an interest in participating in the hearing by the above date, the hearing would be cancelled.

Because no one expressed an interest in attending the hearing by August 11, 1982, the hearing has been cancelled.

While there is no public hearing, interested persons may still submit written comments on the proposed program elements. Written comments not received on or before 4:00 p.m., on August 26, 1982, may not necessarily be considered in the Director's decision on whether the proposed amendments are acceptable.

Carl C. Close,

Deputy Assistant Director, Program Operations and Inspection, Office of Surface Mining.

August 13, 1982.

[FR Doc. 82-22773 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-05-M

DEPARTMENT OF TRANSPORTATION

Coast Guard

33 CFR Part 117

[CGD3 82-019]

Drawbridge Operation Regulations; Raccoon Creek, New Jersey

AGENCY: Coast Guard, DOT.

ACTION: Proposed rule..

SUMMARY: At the request of New Jersey Department of Transportation, the Coast Guard is considering a change to the regulations governing the Route 130 Bridge across Raccoon Creek at Bridgeport, New Jersey by permitting the draw to remain closed to navigation between 11 p.m. and 7 a.m. This proposal is being made because bridge logs show relatively few openings from 11 p.m. to 7 a.m. during 1979, 1980, and 1981. This action should relieve the bridge owner of the burden of having a person constantly available to open the draw and should still provide for the reasonable needs of navigation.

DATE: Comments must be received on or before October 4, 1982..

ADDRESS: Comments should be submitted to and are available for examination from 9 a.m. to 3 p.m., Monday through Friday, except holidays, at the office of the Commander (oan-br), Third Coast Guard District, Bldg. 135A, Governors Island, NY 10004. Comments may also be hand-delivered to this address.

FOR FURTHER INFORMATION CONTACT: William C. Heming, Bridge Administrator, Third Coast Guard District (oan-br), Governors Island, New York 10004, 212-668-7994.

SUPPLEMENTARY INFORMATION: Interested persons are invited to participate in this proposed rule making by submitting written views, comments, data or arguments. Persons submitting comments should include their name and address, identify the bridge, and give reasons for concurrence with or any recommended change in the proposal. Persons desiring acknowledgment that their comments have been received should enclose a stamped, self-addressed postcard or envelope.

The Command, Third Coast Guard District, will evaluate all communications received and will determine if this proposal is feasible. The proposed regulations may be changed based on comments received.

DRAFTING INFORMATION: The principal persons involed in drafting this proposal are: Ernest J. Feemster, Project

Manager, and LCDR Frank E. Couper, Project Attorney, Third Coast Guard District Aids to Navigation Branch and Legal Office, respectively.

Discussion of the proposed regulations

Coast Guard analysis of bridge opening logs show that there were 9, 3, and 8 openings of the bridge between 11 p.m. and 7 a.m. in 1979, 1980, and 1981, respectively. Eleven of these openings occurred (during the proposed hours of closure) within less than an hour of 11 p.m. or 7 a.m. It is thought that the nine remaining openings could be scheduled to coincide with the requested regulations. If these regulations pose an unacceptable inconvenience to navigation, advance notice may be considered. A draft economic evaluation has not been prepared because of the anticipated minimal economic impact of this action. There are no known, active commercial facilities upstream of the bridge and none have existed for at least five years. Any impacts that occur would be felt by pleasure boaters who may have to reschedule those trips that would occur within the closure period.

The proposed regulations have been reviewed under the provisions of Executive Order 12291 and have been determined not to be a major rule. In addition, these proposed regulations are considered to be nonsignificant in accordance with guidelines set out in the Policies and Procedures for Simplification, Analysis, and Review of Regulations (DOT Order 2100.5 of 5–22–80). As explained above, an economic evaluation has not been conducted. In accordance with section 605(b) of the Regulatory Flexibility Act (94 Stat. 1164), it is also certified that these rules, if promulgated, would not have a significant economic impact on a substantial number of small entities. This is due to limited or non-existent, river-dependent industry upstream of the bridge.

The CFR index terms for this document are as follows: Bridges, Coast Guard

PART 117—DRAWBRIDGE OPERATION REGULATIONS

In consideration of the foregoing, it is proposed that Part 117 of Title 33 of the Code of Federal Regulations be amended by redesignating § 117.225(f)(16–a) as § 117.225(f)(16–a)(i) and adding a new § 117.225(f)(16–a)(ii). As revised § 117.225(f)(16–a) reads as follows:

§ 117.225 Navigable waters in the State of New Jersey; bridges where constant attendance of draw tenders is not required.

* * * * *

(f) * * *

(16–a) Raccoon Creek (i) Conrail railroad bridge at Bridgeport. At least four hours advance notice required for opening this bridge during January, February, and December between 10 p.m. and 6 a.m. on regular weekdays and at all times on Saturdays, Sundays and national holidays during these months.

(ii) Route 130 New Jersey State Highway Bridge at Bridgeport, NJ. The bridge shall not be required to open between 11 p.m. and 7 a.m.

* * * * *

(33 U.S.C. 499; 49 U.S.C. 1655(g)(2); 49 CFR 1.46(c)(5); 33 CFR 1.05–1(g)(3))

Dated: July 27, 1982.

W. E. Caldwell,

Vice Admiral, U.S. Coast Guard, Third Coast Guard District.

[FR Doc. 82–22287 Filed 8–18–82; 8:45 am]

BILLING CODE 4910–14–M

DEPARTMENT OF THE INTERIOR

National Park Service

36 CFR Part 7

Olympic National Park Fishing Regulations; Correction

AGENCY: National Park Service, Interior.

ACTION: Proposed rule; correction.

SUMMARY: This document corrects the proposed fishing regulations for Olympic National Park that appeared in the **Federal Register** on July 21, 1982 (47 FR 31584–31585). Through clerical error a paragraph, prohibiting the planting of fish in park waters without prior permission of the superintendent, was omitted from the proposed regulation.

DATE: Written comments will be accepted until August 20, 1982.

ADDRESS: Comments should be directed to: Superintendent, Olympic National Park, 600 East Park Avenue, Port Angeles, Washington 98362.

FOR FURTHER INFORMATION CONTACT: Roger J. Contor, Superintendent, Olympic National Park; Telephone: (206) 452–4501.

SUPPLEMENTARY INFORMATION: Accordingly, the following corrections are made in FR Doc. 82–19745 appearing on page 31585 in the July 21, 1982 issue:

§ 7.28 [Corrected]

1. On page 31585, column three following the fifth full paragraph, § 7.28(a)(8)(iv), insert a new paragraph as follows:

"(v) Prohibition of fish cultural activities. No fish cultural, planting, or propagation activity shall be undertaken in park waters without prior written permission of the superintendent.".

2. On page 31585, column three, following the new paragraph, redesignate paragraph "(v)" as "(vi)."

Dated: August 17, 1982.

G. Ray Arnett,

Assistant Secretary for Fish and Wildlife and Parks.

[FR Doc. 82–22789 Filed 8–18–82; 8:45 am]

BILLING CODE 4310–70–M

DEPARTMENT OF TRANSPORTATION

Maritime Administration

46 CFR Part 232

Uniform Financial Reporting Requirements (To Supersede Existing 46 CFR Part 282)

AGENCY: Maritime Administration, DOT.

ACTION: Proposed rulemaking.

SUMMARY: This proposed new 46 CFR Part 232, entitled Uniform Financial Reporting Requirements, would supersede 46 CFR Part 282, Uniform System of Accounts for Maritime Carriers, which would be revoked. The accounting procedures and reporting requirements that are presently applicable to contractors receiving assistance and subsidized operators under Title V, VI and XI (except when waived) of the Merchant Marine Act, 1936, as amended (Act), would be substantially revised and made applicable to all contractors entering into agreements with the Maritime Administration under its financial assistance programs. While these proposed financial reporting requirements would be applicable to more persons, they would substantially reduce the administrative cost and burden of respondents required to provide such information to the Maritime Administration.

DATE: Written comments by interested persons must be received on or before October 18, 1982.

ADDRESS: Send the original and five copies of comments to the Secretary, Maritime Administration, Room 7300, Department of Transportation, 400 Seventh Street, S.W., Washington, D.C. 20590. All comments and the reporting formats (proposed Form MA–172) will be made available for inspection during normal business hours in Room 7300, Department of Transportation, 400 Seventh Street, S.W., Washington, D.C. 20590.

FOR FURTHER INFORMATION CONTACT: James J. Zok, Director, Office of

Financial Management, Maritime Administration, Department of Transportation, Room 4429–B, 400 Seventh Street, S.W., Washington, D.C. 20590.

SUPPLEMENTARY INFORMATION: Proposed new 46 CFR Part 232 would clarify and substantially reduce existing reporting requirements now applicable only to subsidized operators, vessel owners, and recipients of Title XI obligation guarantees, and extend them to all contractors with the agency pursuant to provisions of Title II, V, VI, VII and XI of the Act. It would significantly reduce the burden on the industry for specific record keeping and would lower the quantity of data required to be reported to the Maritime Administration. Waivers previously granted to a significant portion of Title XI recipients would be rescinded by this rulemaking. There will be a one-time burden to the respondents to comply, which will be mitigated during subsequent periods by decreased CPA involvement in report preparations to the agency.

In this regard, the proposed regulation would reduce the number of accounts required to be maintained from about 324 to 48. In addition, it would reduce the number of pages of financial data from about 102 pages on some 104 separate schedules to about 38 pages on 37 separate schedules.

Proposed 46 CFR Part 232 incorporates the latest applicable pronouncements of the Accounting Profession issued by the Financial Accounting Standards Board, Accounting Principles Board of the American Institute of Certified Public Accounts and other respected professional organizations and publications.

The agency has considered complaints and suggestions for specific and general changes in financial reporting requirements received from various industry representatives and organizations. Included was a request to consider the reporting of financial data to the Maritime Administration on the basis of revenue and expenses incurred during an accounting period, as opposed to the present procedure in 46 CFR Part 282 requiring such reporting to be on a venture or terminated voyage basis. We have adopted this proposed change.

E.O. 12291, Statutory Requirement and DOT Procedure

A determination has been made that the proposed new 46 CFR Part 232 meets none of the criteria of a major rule, under Executive Order 12291 (February 17, 1981). Therefore, no separate regulatory impact analysis has been prepared. As noted, the proposed change in financial reporting requirements will significantly reduce the economic impact and administrative burden on the respondents. The Maritime Administrator certifies that these reduced reporting requirements will not exert a significant economic impact on a substantial number of small entities so as to require preparation of a regulatory flexibility analysis, pursuant to provision of the Regulatory Flexibility Act of 1980 (P.L. 96–354). Pursuant to DOT Order 2100.5, this is a significant regulation for which a Regulatory Evaluation has been prepared and will be placed in the rulemaking docket. It will be made available upon written request submitted to Robert J. Patton, Jr., Secretary, Maritime Administration, 400 7th Street, S.W. Washington, D.C. 20590, Tel. (202) 426–5746. This rulemaking amends and simplifies an existing reporting requirement for the collection of information, within the scope of the Paperwork Reduction Act of 1980 (P.L. 96–511). The information collection requirements of this rule will not be effective until they have been approved by OMB. The proposed reporting formats have been submitted to OMB for review, pursuant to this Act. OMB will accept comments from the public on this information collection.

List of Subjects in 46 CFR Part 232

Maritime carriers, Uniform system of accounts reporting requirements.

Accordingly, we propose to revoke 46 CFR Part 282 and establish a new 46 CFR Part 232, to read as follows:

PART 232—UNIFORM FINANCIAL REPORTING REQUIREMENTS

Sec.

232.1 Purpose and applicability.
232.2 General instructions.
232.3 Chart of accounts.
232.4 Balance sheet accounts.
232.5 Income statement accounts.
232.6 Financial report filing requirement.

Authority.—Sec. 204(b), Merchant Marine Act, 1936, as amended (46 U.S.C. 1114(b)); Reorganization Plans No. 21 of 1950 (64 Stat. 1273) and No. 7 of 1961 (75 Stat. 840), as amended by Pub. Law 91–469 (84 Stat. 1036); Pub. Law 97–31 (Aug. 6, 1981).

§ 232.1 Purpose and applicability.

(a) *Purpose.* The purpose of this regulation is to establish uniform reporting requirements for the preparation of financial reports or other financial information required to be submitted to the Maritime Administration. The Maritime Administration will issue accounting instructions designed to assist in the interpretation and application of these requirements and, as accounting developments occur will, as necessary, supplement them from time to time in the form of clarifying instructions issued to those subject to this reporting requirement. The uniform reporting requirements consist of:

(1) A chart of accounts as defined in this regulation.

(2) Standard financial report formats. The proposed forms have not been approved by the Office of Management and Budget. Copies of the proposed forms are available for public inspection in the Office of the Secretary, Maritime Administration, Department of Transportation, Room 7300, 400 Seventh Street, S.W., Washington, D.C. 20590. Copies will be made available upon request.

(b) 3Applicability. This regulation is applicable to all contractors submitting required financial reports or other financial information in accordance with agreements entered into under provisions of Title II, VI, VII and XI of the Merchant Marine Act, 1936, as amended, and the Shipping Act, 1916, as amended.

§ 232.2 General instructions.

(a) *Use of Generally Accepted Accounting Principles.* All contractors shall conform their accounting policies to generally accepted accounting principles applicable to their segment of the maritime or other appropriate industry, except that contractors shall modify accounting policies to conform to specific accounting principles or polices provided for in this chart of accounts.

(b)*Need to Conform Accounting Information.* All contractors may continue to use their current accounting system, if the system provides a basis for the preparation of reports in the prescribed format and is consistent with the accounting definitions contained in this Part.

(c) *Accrual Accounting.* (1) Contractors shall recognize revenue and expense in accordance with accrual accounting principles. In those instances where the operator incurs expenses, but has not determined actual costs, the contrator, shall record reasonable accruals (estimated costs) in the appropriate accounts to ensure the inclusion of such accruals in the required financial reports.

(2) The contractor shall use standard cost accounting procedures for recording estimated accrued expenses and shall establish and implement adequate controls to assure the reasonableness of the standard cost used in the financial reports submitted to the MA, FMC or ICC.

(d) *Reconciliation of Financial Reports.* When a contractor publishes interim or annual certified financial statements following accounting policies different from those established by this Part, the contractor shall attach schedules which clearly set forth the nature and amount of each adjustment necessary to reconcile the reports filed with MA, ICC or FMC with the published statements.

(e) *Submission of Questions.* (1) A contractor may submit in writing any question involving the interpretation of any provision of this Part for consideration and decision to the Director, Office of Financial Management, Maritime Administration, Department of Transportation, 400 Seventh Street, S.W., Washington, D.C. 20590.

(2) A contractor who has a question of financial accounting or reporting procedure pending before the Maritime Administration at the time a financial report is due shall timely file the report. The contractor shall include in the report a footnote disclosure that adequately describes the question pending, the manner of presentation in the report, and the relative financial impact on the balance sheet and income statement, respectively, relative to the disclosure of the information based on use of the conservative alternate accounting method.

(f) *Effective Date.* This regulation is effective as of the date first published as a final rule in the **Federal Register** and applies to all financial reports for fiscal accounting periods beginning after the publication date.

§ 232.3 Chart of accounts.

(a) *Purpose of Accounts.* A contractor shall adopt this chart of accounts as a basis for preparing the financial statements and for other required financial reports required to be submitted to the Maritime Administration, as well as to the ICC and FMC.

(b) *Account Numbers.* The account numbers correspond to the financial statement formats appended to this Part. Contractors are not required to use these account numbers or titles for their internal accounting.

§ 232.4 Balance sheet accounts.

(a) *Accounts Defined* Each account is identified by an account number and an account title, followed by a text describing the accounting information to be included in that account. Where considered necessary, accounting procedures are also included to explain how the contractor shall disclose information for reporting purposes.

(b) *Purpose of Balance Sheet Accounts.* The balance sheet accounts are intended to disclose the financial condition of the carrier as of a given date by showing the assets, liabilities, capital stock, and surplus or deficit of the carrier.

Balance Sheet Accounts

(A) Asset Accounts

(1) 100 Cash—(i) This account shall include the amount of current funds available for use on demand in the hands of financial officers or deposited in banks or trust companies including cash in transit for which agents or others have received credit. Cash appropriated or otherwise restricted for any purpose shall either be included in Account 300, "Restricted Funds," or included in a subaccount in this account with the amount and purpose of the restricted cash disclosed in a footnote to the financial statements.

(ii) Amounts representing compensating balances shall be included in Account 300, "Restricted Funds," except when the agreement for the compensating balance will expire within one year of the balance sheet date and there is no intention to continue the borrowing agreement with similar requirements. Compensating balances included in this account shall be disclosed by appropriate footnote.

(2) 120 Marketable Securities—(i) This account shall include the cost of readily marketable securities and other temporary investments which are available for general purposes of the business. In no case shall securities of the reporting contractor or of an affiliated company be included in this account. Marketable securities shall be accounted for separately from other types of securities. Separate accounts may be used to account for discounts and premiums on marketable securities.

(ii) For financial reporting of this account, the lower of cost or market value shall be used to value each of the marketable securities included in this account.

(3) 130 Receivables Net of Allowance for Doubtful Accounts—(i) This account shall be reported as the net balance of account 140, "Notes Receivable," account 150, "Accounts Receivable" and account 160, "Estimated Allowance for Doubtful Notes and Accounts Receivable" as these accounts are defined below.

(ii) The accounting for notes receivable and accounts receivable shall include sufficient detail to identify each debtor in reports filed, and to age each debtor's account at 60-day intervals, i.e., 0–60, 61–120, 121–180 and over 180 days.

(4) 140 Notes Receivable—(i) This account shall include the amount of all collectible obligations in the form of short-term notes receivable or other evidences (except interest coupons) of money receivable on demand or within one year from date of issue.

(ii) Subaccounts shall be used to maintain separate accounting for notes receivable, other than amounts receivable arising from transactions incurred in the normal course of business, from officers and employees, affiliate companies, officers and employees of affiliate companies, and all others.

(iii) Subscriptions to capital stock shall be accounted for separately from other kinds of notes receivable within this account.

(5) 150 Accounts Receivable—(i) This account shall include the amount of trade or traffic accounts receivable and shall also include the amount of claims receivable from insurance underwriters and other miscellaneous receivables not otherwise provided for in any other accounts. As of the close of every reporting period, that portion of operating-differential subsidy receivable reasonably expected to be received from the Maritime Administration within the next twelve months from the balance sheet date shall be transferred to this account from account 370. Also, provision for accrued accounts receivable for unmatured interest, dividends, rents, royalties, charters and other unmatured receivables of a current nature shall be properly accrued and reported in this account, except those accrued amounts which are required to be deposited to a restricted fund.

(ii) Separate accounts shall be used to account for traffic receivables, claims receivables, miscellaneous receivables and accrued receivables. Subaccounts shall be used to maintain accounts receivable, other than accounts receivable arising from transactions incurred in the normal course of business, from officers and employees, affiliate companies, officers and employees of affiliated companies, and all others.

(6) 160 Estimated Allowance for Doubtful Notes and Accounts Receivable—This account shall be credited at the close of each accounting period with the amount charged to other expense to provide for estimated uncollectible notes and accounts. For balance sheet purposes, the balance in this account shall be segregated between current and noncurrent items. The noncurrent portion of this account shall be reclassified and transferred to account 360, Other Assets.

(7) 170 Other Current Assets—(i) Inventories, prepaid expenses and other items that are expected to be used or consumed within twelve months of purchase or acquisition shall be reported in this account.

(ii) Acquisition of similar items that will not be used or consumed within one year shall be charged to account 360, Other Assets, and an appropriate closing entry will be made to reclass to current assets that portion of those other assets in account 360 that are reasonably expected to be used or consumed within one year of the balance sheet date.

(iii) Subaccounts shall be used to separately account for inventories, insurance and any other classes of assets inluded in this account.

(8) Accrued Required Deposits to Restricted Funds—Amounts included as accrued deposits to Restricted Funds, account 300, shall be included in this memorandum account and deducted from Current Assets to arrive at Total Current Assets.

(9) 300 Restricted Funds—(i) This account will be charged with the amount of cash and securities (at cost) deposited to any restricted fund, including but not limited to Title XI Reserve or Restricted Fund, Capital

Construction Fund, Construction Reserve Fund, Title XI Escrow Fund, Title XI Construction Fund, Insurance Fund, Debt Retirement Fund, special and guarantee deposits.

(ii) For each fund established, subsidiary accounts shall be used to separately account for cash, securities, and other assets deposited to the fund. Also, at the close of each accounting period accrual entries shall be made to account for unmatured investment income for deposit and to identify amounts of estimated additional required deposits to be deposited within one year of the balance sheet date.

(iii) Compensating balances under an agreement which legally restricts the use of such funds and constitutes support for borrowing arrangements accounted for as a long-term debt shall be included in this account.

(10) 310 Investments—(i) This account shall include amounts invested in securities and other investment instruments intended to be held for a long-term period (more than one-year) and includes securities of affiliated companies and others, noncurrent notes receivable and noncurrent accounts receivable, both from affiliates and others, cash value of life insurance policies and other investments.

(ii) All investments in affiliated companies must be reported using the equity basis of accounting as adopted by the Financial Accounting Standards Board.

(iii) Subaccounts shall be maintained to account for the various kinds of investments. For noncurrent notes and accounts receivable additional accounts shall be used to readily identify amounts pertaining to affiliated companies.

(iv) For financial reporting purposes, the lower of cost or market value at the close of business on the balance sheet date will be used to value each of the securities included in the account except the securities of subsidiary companies that shall be accounted for by the equity method.

(11) 330 Property and Equipment—(i) This account shall include the cost of acquisition or construction and related capitalizable cost including additions and betterments and all other associated cost necessary to place the respective property and equipment in acceptable condition for its intended use. This account shall also include the capitalized amount of financing leases, computed in accordance with generally accepted accounting principles, as prescribed by the Securities and Exchange Commission and the Financial Accounting Standards Board or similar authoritative accounting organization.

(ii) Subaccounts must be maintained by type and category of property and equipment and shall provide separate accounts for but not limited to, the following (A) Floating equipment, including but not limited to self-propelled vessels economically suitable for transporting cargo or passengers in U.S. foreign or worldwide foreign commerce, oceangoing tugs and barges operated generally in coastwise or foreign commerce, tugs and barges generally operated in domestic commerce on rivers and within port areas, drilling platforms used in offshore operations and deep-water mining vessels, fishing vessels and associated service vessels, service vessels used in conjunction with off-shore drilling platforms and deep-water mining operations, barges and lighters primarily used to transport cargo within port areas and river systems and carried aboard mother vessels for transport in foreign commerce—i.e., LASH and SEABEE lighters and barges, other floating equipment ancillary to the operator's primary vessel operation(s); (B) Cargo containers; including dry containers, refrigerated containers, flat racks, container tanks for liquid and gaseous cargo and special serviced cargo containers; (C) Chassis for carriage of cargo containers; (D) Trailers, including dry cargo, refrigerated, flatbed, other types; (E) Cargo handling equipment; (F) Container related equipment; (G) Terminal property and equipment; (H) Other shipping property and equipment; (I) Property and equipment used in nonshipping activities; (J) Terminal leaseholds and leasehold improvements; (K) Office leaseholds and leasehold improvements; (L) Construction work-in-progress with additional subaccounts to provide information by project and by type of capitalized asset cost category. For each asset account within account 330 a separate depreciation or amortization accumulation account must be established except for work-in-progress accounts.

(12) 360 Other Assets—(i) All assets, including deferred charges, not otherwise provided for above, except for receivables due from the Maritime Administration shall be reported in this account. Separate subaccounts shall be maintained for the various types of assets included herein to include notes and accounts receivable which are not fully collectible in the normal course of business within one year of the balance sheet date and shall be segregated to disclose amounts due from officers and employees of the reporting contractor or operator, officers and employees of affiliated companies, allowance for the trade in of vessels to the Maritime Administration (where the allowance is to be applied by the agency on behalf of the contractor, toward progress payments on new construction) and other assets, grouped as appropriate or otherwise accounted for as miscellaneous assets.

(13) 370 Account Receivables—Maritime Administration—Construction-Differential Subsidy and Operating-Differential Subsidy—(i) This account shall be used to report the amount of construction-differential subsidy and operating-differential subsidy estimated to have accrued to the contractor and which remain unpaid as of the balance sheet date. The amount reported in this account shall be reduced by the amount reasonably estimated to be receivable during the next year and included in account 150 as a current account receivable.

(ii) Amounts in this account shall be reported by contract number and, under each contract, identified by year of termination and by category of subsidy as applicable, e.g., for CDS categories may include original contract amount, design and inspection costs, contract changes; and for ODS categories may include wages, maintenance and repair and, any other category for which the contractor receives an operating subsidy.

(14) 380 Deferred Charges—(i) This account shall be used to report amounts generally representing expenses for the payment of which the contractor has become liable currently, but which payments will not be charged to income written one year of the balance sheet date.

(ii) Separate accounts shall be maintained to identify the differnt categories of expenses included in this account. These subaccounts may include such items as prepaid long-term insurance; debt discount and expense for cost of issuing long-term debt and for absorption of discounts on the stated value of the debt instruments; organization expenses; and deferred prepayments and other deferred charges.

(iii) Separate subaccounts shall be maintained for amortization of the various deferred charges included in this account.

(15) 390 Goodwill and Other Intangible Assets—(i) This account shall be used to report the amount of goodwill attributed to a part of the cost of acquiring a business or segment of a business from an unrelated party, as well as the cost of acquiring by purchase, development or other means of such intangible assets as patents, copyrights, trade names, operating rights, and similar intangible assets.

(ii) The contractors account shall maintain separate accounts for the identified intangible assets and this account shall include subaccounts to identify amortization of the various intangible assets.

(B) Liability Accounts

(1) 400 Notes Payable and Current Portion of Long-Term Debt—(i) The amount reported for this account shall include the face value of notes, drafts and other evidences of indebtedness issued by the contractor and which are payable on demand or within one year of the balance sheet date.

(ii) Separate accounts shall be used to identify different groups of creditors, e.g., banks, insurance companies and others. Sufficient accounting information shall be maintained to report separately amounts due officers and employees, affiliated companies and all other creditors who are individually identified within this account.

(iii) The amount of capitalized lease liability maturing during the twelve months following the balance sheet date shall also be reported in this account. Separate subaccounts shall be maintained for each lease agreement, with a description of the type of equipment under lease.

(iv) This account shall not include obligations due within one year which the contractor intends to refinance on a long-term basis. Long-term refinancing of short-term obligations means replacement with long-term obligations or equity securities or renewal, extension, or replacement with short-term obligations for an uninterrupted period extending beyond one year from the balance sheet date. The intention to refinance on a long-term basis shall be supported by the ability to refinance. Evidence of this ability shall be either the actual issuance of a long-term obligation or equity securities for the purpose of refinancing the short-term obligation, after the balance sheet date, but

before the balance sheet is issued, or the existence before issuance of the balance sheet of a long-term financing agreement that has not been breached on terms readily determinable and with a lender which is financially capable of honoring the agreement.

(2) 420 Accounts Payable—(i) The amount reported for this account shall include amounts in subaccounts for accounts payable-trade; accounts payable-traffic; pension and welfare funds; accounts payable Maritime Administration; and other accounts payable, including unclaimed wages; and taxes withheld or collected from others for the account of taxing agencies.

(ii) Sufficient information shall be included for each subaccount payable to identify individual creditors and the general categories or classification of the liabilities and to allow aging reports of accounts payable for each creditor at 60-day intervals, i.e., 1–60 days, 61–120 days, 121–180 days, over 180 days.

(iii) Debts of individual creditors not incurred in the normal course of business shall be identified by class, e.g., officers and employees, affiliated companies, officers and employees of an affiliated company, and other appropriate groupings of creditors not otherwise affiliated in any way with the contractor or operator.

(3) 440 Accrued Liabilities—(i) This account shall be used to report the amount of accrued taxes, accrued operating expenses and other accrued liabilities for expense arising in the regular course of business which shall be estimated and charged to the appropriate expense accounts.

(ii) Subaccounts shall be maintained for each category of tax liability as control accounts for operating expenses for the current year and for the next previous year, and for other expenses that are regularly accrued as period closing entries to facilitate preparation of financial reports to management, such as rents, interest, royalties, wages.

(4) 450 Other Current Liabilities—(i) The amount reported for this account shall include all current liabilities for which no other account has been provided.

(ii) Subaccounts shall be maintained to account separately for each class of current liability, such as operating leases and rentals.

(iii) For disclosure purposes amounts that arise from transaction with officers or employees, affiliated companies, and officers or employees of affiliated companies must be readily identifiable to facilitate financial reporting requirements.

(5) 470 Advance Payments and Deposits—(i) This account shall be used to report the balance of collections from customers for services not yet provided by the contractor.

(ii) Subaccounts may be used to account separately for collections relating to various categories of services. Sufficient accounting information must be maintained to readily disclose collection from related parties.

(6) 510 Long-Term Debt—(i) This account shall be used to report the noncurrent portion of long-term debt, to include mortgage notes payable to the Maritime Administration, U.S. Government insured or guaranteed debt obigations issued under Title XI of the Act, the face amount of bonds and debentures not provided for in other accounts, and other long-term debt that is not reflected in any other account.

(ii) Accounts shall be maintained to disclose unsecured debt by creditor and secured debt by creditor and by secured asset.

(iii) This account shall also include the balance of the long-term portion of capitalized lease liabilities. Disclosure shall be by lease agreement and type of assets leased.

(iv) This account shall also include obligations due within one year which are expected to be refinanced on a long-term basis in accordance with the discussion in paragraph (B)(1)(iv) of Account 400.

(v) Separate subaccount shall be maintained to record the premiums for each class of funded debt which shall be amortized over the respective lives of the securities by credit to Account 670, Other Revenue.

(7) 530 Other Liabilities—(i) This account shall be used to report the balance of noncurrent notes and accounts payable and all other liabilities maturing after one year from the balance sheet date and for which no other account has been specifically provided.

(ii) Subsidiary accounts shall be maintained for each category or type of liability and accounted for by debtor.

(iii) Disclosure of balance outstanding shall show amounts owing officers and employees, affiliated companies and officers and employees of affiliated companies.

(8) 550 Estimated Operating Allowances—This account shall be used to report the balance of allowances accumulated for the purpose of equalizing periodic repairs accomplished currently and at frequencies of more than one year, equalizing insurance cost not absorbed by underwriters or when the contractor or operator acts as self-insurer, and equalizing other operating expenses that fluctuate significantly from period to period causing considerable distortions in income if not equalized.

(9) 560 Deferred Credits—This account shall be used to report the amount representing the balance for accumulated deferred income taxes if any, and other deferred income or credits for which no other account is specifically provided.

(10) 569 Minority Interest in Consolidated Subsidiaries—(i) This account shall be used to record the minority shareholder's interest in business entities consolidated with the controlling business entity for purposes of preparing balance sheet and income statement reports for submission to MA, FMC or ICC.

(ii) The minority interest shall be valued at adjusted book value of minority's interest in net equity of the consolidated business entity.

(C) Equity Accounts

(1) 570 Capital Investment—This account shall be used to report the amount of capital contribution by an individual in a proprietary company, by partners of a partnership, and by stockholders of a corporation for the established value of the capital stock issued and additional paid-in capital.

(2) 580 Treasury Stock—This account shall be used to report the cost to the contractor of this stock that has been reacquired and is outstanding.

(3) 590 Retained Earnings—(i) This account shall be used to report the balance for restricted and unrestricted retained earnings of an incorporated business entity. Subsidiary accounts shall be used for each class of restricted earnings.

(ii) For purposes of meeting the Maritime Administration's Conservative Dividend Policy requirements (46 CFR Part 283), accounting information for unrestricted retained earnings shall be made available to show the income or loss taken into retained earnings, dividends paid and other distributions, and the current balance of unrestricted retained earnings available for distribution by year of earnings.

§ 232.5 Income statement accounts.

(a) *Accounts Defined*—Each account is identified by an account number and an account title followed by a text describing the accounting information to be included in that account.

(b) Purpose of Income and Expense Accounts—The income and expense accounts show for each reporting period the amount of money the operator or contractor is entitled to receive for services rendered, the income accrued upon investments in securities and nonshipping property, the accrued expenses for services rendered, and the amount of accrued taxes, interest, rents and income and expense attributed to extraordinary items.

(c) Revenue Accounts

(1) 600 Vessel Revenue—(i) This account shall be used to report revenue (including surcharges) from vessel operations. As used here, vessel refers to any asset that may quality for obligation guarantees pursuant to regulations issued under Title XI of the Act, (46 CFR Part 298).

(ii) For contractors who operate vessels in the U.S. foreign commerce or worldwide foreign commerce with a construction or operating-differential subsidy agreement (CDSA or ODSA), vessel revenue attributed to such vessels shall be accounted for to separately report the following: freight-foreign, freight-coastwise and intercoastal; passenger-foreign, passenger-coastwise and intercoastal, charter revenue; and other voyage revenue. Contractors with an ODSA shall further describe freight and passenger revenue—foreign (including surcharges) as; U.S. foreign commerce revenue outbound and inbound and foreign commerce revenue (transportation between foreign ports). Revenue shall be accounted for to facilitate reporting the source of revenue by trade route or service area.

(iii) Contractors operating vessels subject to an ODSA shall comply with the revenue reporting requirements of 46 CFR Part 280, Limitations on the Award and Payment of Operating-Differential Subsidy for Liner Operators.

(iv) All other contractors shall report vessel revenue by category or class, or by operating segment or division if different business segments or operating divisions produce vessel revenue from distinctly different types of services.

(v) Except as otherwise provided in pargraph (c)(1)(i) of this section, vessel revenue shall be accounted for following generally accepted accounting principles of the segment of the maritime industry of which the contractor is a part and shall be applied consistently between reporting periods.

(2) 640 Operating-Differential Subsidy—(i) This account shall be used to report the revenue accrued under provisions of the ODSA.

(ii) Subsidiary records shall be used to account for the amount of subsidy accrued by expense classifications to include: wages of officers and crew; subsistence of officers and crew; subsistence of passengers; maintenance, repairs and upkeep not compensated by insurance; hull insurance premiums; protection and indemnity insurance premiums; protection and indemnity insurance deductible expense attributed to sick or injured crew members; and other expense categories as may be specified in the ODSA.

(iii) Record shall be maintained by vessel for each trade route or service area in which a vessel subject to an ODSA operates.

(iv) Subsidy shall be accrued and reported at rates established by the Maritime Administration. If operating-differential subsidy (ODS) is accrued at substantially different rates developed by the contractor and applicable to any year in which final rates have not been agreed to, the difference between the ODS accruals based on billing rates established by MarAd and the ODS accruals based on the contractor's rates shall be disclosed, by year, in appropriate footnotes to the balance sheet and to the income statement.

(3) 650 Other shipping Operations Revenue—This account shall be used to report revenue earned from shipping activities other than vessel operations. Examples are revenue from the following operations: collections in accordance with pooling agreements; terminal services provided to others; cargo handling services performed for others to include services for stevedoring, checking, tallying, receiving, delivering, and equipment use charges; cargo equipment rentals; repairs to cargo equipment belonging to others; agency fees and commissions earned, brokerage fees earned; other (itemize when amounts are relatively material) shipping services provided to others.

(4) 660 Nonshipping Operations Revenue—(i) This account shall be used to report all other operating revenue of the contractor.

(ii) The contractor shall maintain sufficient records to identify the business activities to which the nonshipping revenue is attributable.

(5) 670 Other Revenue—This account shall be used to report revenue from the following sources: interest bearing securities, dividends from capital stock, gain and loss from the sale of assets (except when such gain or loss is material to the income statement refer to account 675), amortization of premium on funded debt, income or loss from subsidiaries (equity accounting method shall be used); and other revenue not otherwise provided for, which is considered miscellaneous in nature and is not directly attributable to shipping or nonshipping operations.

(6) 675 Income or Loss from Unusual or Infrequent Items—(i) This account shall be used to report income or loss not attributable to day-to-day (routine) business operations but material (either as a single transaction or as a series of related transactions) to the income statement. Amounts in this account would qualify as extraordinary items if both the criteria of unusual and infrequent had been met.

(ii) Generally, amounts in this account would be attributed to gains or losses from disposition of major assets.

(iii) Sufficient records shall be maintained to adequately describe all aspects of the transaction(s) in this account.

(7) 680 Provision for Gain and Revenue from Discontinued Operations—(i) When a contractor makes a firm commitment to dispose of an operating business segment, a provision for anticipated loss to be realized in the subsequent period from disposal of assets and winding down of operations of the discontinued segment shall be taken into income in the year the contractor makes the decision.

(ii) Amounts representing anticipated gain on disposal of assets and anticipated revenue to be received in the subsequent period during winding down of operations shall be reported in this account.

(iii) Amounts in the account shall be net of all taxes including Federal income taxes.

(8) 690 Income or Loss from Extraordinary Items—(i) Amounts representing gain or loss from extraordinary items, as defined by generally accepted accounting principles customarily applied in the industry of which the contractor is a part shall be recorded in this account. Generally, these transactions would be attributed to insurance proceeds from the total loss of a vessel, or from catastrophic losses to shore based facilities as well as from sales of damaged assets scrapped because of a natural catastrophe.

(ii) Sufficient records shall be maintained to fully describe and account for all aspects of each item reported in this account.

(iii) Amounts in this account must be net of all taxes including Federal income taxes.

(d) Expense Accounts

(1) 700 Vessel Operating Expense—(i) This account shall be used to report expense of vessel operations of any kind. As used here, vessel has the same meaning as in paragraph (c)(1)(i) of this section.

(ii) For contractors with an ODSA who operate vessels subject to such an agreement in the U.S. foreign commerce or worldwide foreign commerce, vessel expense shall be reported by category as follows: salaries and wages of officers and unlicensed crew, to include relief crews and others regularly employed aboard the vessel; fringe benefits, to include all compensation paid or accrued on behalf of the officers, crew and others, except salaries and wages; accrued payroll taxes; subsistence expense for feeding passengers, officers, crew and others; consumable stores, supplies and equipment, to include sales taxes, delivery and inspection charges; vessel maintenance expense, to include laundry service, shoregang labor, inspection services, cost of maintaining expendable equipment and other cost incurred for routine expense not recoverable from insurance and directly attributable to replacement by duplication of, or restoration to satisfactory condition of, damaged or worn parts of the vessels, machinery and equipment which are integral parts of vessels, including the purchase of permanent equipment and spares required by the classification societies in the United States and its territories and possessions; hull and machinery insurance cost to include premium expense, deductibles and provisions for deductible average losses; protection and indemnity insurance to include premium expense, personal injury and illness deductible average losses and second seamen's insurance premiums;

premiums for other marine risk insurance involving the vessel and not properly chargeable to hull and machinery insurance or to protection and indemnity insurance, accounts; vessel fuel and incidental costs; charter hire expense, to include cost for time, trip or short-term bareboat charter hire; and other vessel expense not properly chargeable to other accounts described herein and which are incidental to operation of vessels, to include cost for water, communications, radio equipment rental fees, seaworthy certificate, masters expenses and pursers expenses.

(iii) For contractors who own or operate vessels not subject to an ODSA, vessel expense shall include all direct cost attributed to the operation of vessels. Such expense shall include such expense classifications as generally in use by the segment of the industry with which the contractor is identified. To the extent applicable, the expense classifications mentioned in the preceding paragraph (d)(1)(ii) shall be used.

(iv) Contractors operating vessels used to transport cargo or passengers for a fee must maintain vessel expense records by vessel for the purpose of filing vessel operating reports with the Maritime Administration.

(2) 750 Vessel Port Call Expense—(i) This account shall be used to report the expenses accruing to a vessel at each port it calls. Port call expenses may include: charges for wharfage and dockage of the vessel, pilotage, entry dues and fees, port dues and taxes; anchor dues; launch hire, tug hire; dispatch, husbanding fees of agents, and other expenses of any kind which are attributed to the port calls of the vessels.

(ii) Port charges attributed to the vessel's cargo or passengers are not to be reported in this account. Such expense shall be reported in Account 760, Cargo handling expense.

(3) 760 Cargo Handling Expense—This account shall be used to report all expenses directly attributed to the handling of cargo or passengers for a fee. This account shall include; cost of preparing a vessel to receive cargo; cost of loading and discharge of the vessel's cargo to include stevedoring and equipment charges and service charges of stevedoring contractors; cost of transporting cargo from the point of delivery into the possession of the contractor to the loading port and from the discharge port to the point of delivery stipulated by the freight agreement if different from the port of discharge; brokerage expense, to include commissions paid brokers agencies for the procurement of passengers or freight; other expense of cargo service to include, cargo loading plans, demurrage and other charges for cargo service performed by others.

(4) 800 Inactive Vessel Expense—(i) This account shall be used to report all expenses incurred during and directly incident to inactive periods of vessels.

(ii) Expenses in this account shall include: wages of officers and crew; contributions to crew fringe benefit plans; accrued payroll taxes; subsistence cost of personnel assigned to inactive vessels; consumables other than subsistence items; vessel maintenance expense; vessel repairs; insurance expense; charter hire cost; wharfage and dockage; port expense; and miscellaneous expenses.

(5) 860 Other Shipping Operations Expense—This account shall be used to report operating costs of shipping related activities in which the contractorengages to support the vessel's activities. Activities to be included are terminal operations, cargo equipment, fleet operations, cargo pooling agreements, and other activities that are not accounted for elsewhere and that are ancillary to the contractor's vessel operations.

(6) 890 Nonshipping Operations Expense—This account shall include the expense of nonshipping business activities. If the nonshipping expenses are material to the income statement, they shall be reported by type of nonshipping activity.

(7) 900 Administrative and General Expense—(i) This account shall be used to report the administrative and general expenses incurred in the operation of the business.

(ii) This account shall include: compensation of officers and directors; administrative and service employees; salaries and wages; fringe benefits of administrative and general personnel; legal fees; accounting and auditing fees; other professional fees; office and storage rental expense; utilities; communication expense; data processing expense; dues and subscriptions; entertainment and solicitation; travel expense; insurance expense; maintenance and repair expense for office facilities; fixtures and equipment; management fees and commissions paid to managing agents; advertising expense; and other kinds of expenses of an administrative or general type to enhance the operation of the business.

(8) 940 Depreciation and Amortization Expense—(i) This account shall be maintained by class of assets as accounted for in the property and equipment accounts. Amortization of capitalized assets shall be included with depreciation of the same class of assets.

(ii) Subaccounts shall be grouped by major classifications such as: vessels; terminals; cargo equipment; office furniture and fixtures; and nonshipping assets.

(9) 950 Other Expense—This account is to be used to report expenses not chargeable to any other expense account. Such charges may include: amortization of deferred charges; debt discount and expense; organization and preoperating expense; and other miscellaneous deferred charges; as well as doubtful notes and accounts receivable; and other miscellaneous expenses not otherwise provided for.

(10) 960 Interest Expense—(i) This account shall be used to report all interest expense accrued during the period.

(ii) Subaccounts shall be maintained by debt source/contract to provide information needed to fulfill reporting disclosure requirement.

(11) 970 Federal Income Tax—(i) This account shall be used to report accrued Federal income tax liability for the current year's operations, exclusive of extraordinary items, discontinued operations and cumulative effect of a change in accounting policy.

(ii) Sufficient accounting records shall be maintained to meet income and expense allocation requirements that may exist as a result of a Capital Construction Fund Agreement entered into under 46 CFR Part 390 and 391, pursuant to provisions of Title VI of the Act.

(12) 980 Provision for Loss and Expense from Discontinued Operations—(i) This account shall be used to report the loss from disposal of assets primarily used in a business segment which is being discontinued.

(ii) This account shall also include the expense incurred during the period the business segment is being wound down.

(13) 990 Cumulative Effect of Change in Accounting Policy—(i) This account shall be used to report the cumulative effect of a change in accounting policy that requires a different method of accounting for revenue or expense to be used and that produces a significant change either to the current year's net income or to the retained earnings account of the business.

(ii) In addition to the amount reported for this account, a footnote shall be added to the income statement explaining the substance of the old and new accounting methods and the reason supporting the change in accounting policy.

(iii) The amount reported in this account shall be net of all taxes.

§ 232.6 Financial report filing requirement.

The contractor shall file a semiannual financial report and an annual financial report, prepared in accordance with generally accepted accounting principles and modified to the extent necessary to comply with this regulation, and in the format prescribed in § 232.1(a)(2). The annual financial report shall either be reconciled to the audited financial statements, where necessary, or audited by independent certified public accountants licensed to practice by a state or other political subdivision of the United States or, licensed public accountants licensed to practice by regulatory authority or other political subdivision of the United States on or before December 31, 1970. The semiannual report shall be certified as accurate, by a responsible officer of the contractor; complete and based on the accounting records of the contractor. Both the annual and semiannual financial reports shall be due within 105 days after the close of the contractor's annual or semiannual accounting period.

By order of the Maritime Administrator.

Robert J. Patton, Jr.,

Secretary, Maritime Administration.

[FR Doc. 82-22375 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-81-M

FEDERAL COMMUNICATIONS COMMISSION

47 CFR Ch. I

[CC Docket No. 82-540]

Modification of Policy on Ownership and Operation of U.S. Earth Stations That Operate With the INTELSAT Global Communications Satellite System; Notice of Inquiry

AGENCY: Federal Communications Commission.

ACTION: Public notice regarding notice of inquiry.

SUMMARY: This Notice of Inquiry provides interested parties an opportunity to comment on alternatives and offer proposals for modification of the Commission's policy on ownership and operation of U.S. earth stations that operate with the INTELSAT global communications satellite system. The Commission's current policy allows for joint ownership of these stations by Comsat and those carriers which provide overseas communications services to the public through those stations.

DATES: Interested parties may file comments on or before September 15, 1982 and reply comments on or before October 15, 1982.

ADDRESS: Comments and responses to this notice should be submitted to: The Secretary, Federal Communications Commission, 1919 M Street, NW., Washington, D.C. 20554.

FOR FURTHER INFORMATION CONTACT: Joel Pearlman, International Facilities Planning Division, Common Carrier Bureau, Federal Communications Commission, Washington, D.C. 20554, (202) 632-4047.

Action in Docket Case.—Inquiry Begun on Policy on Ownership and Operation of U.S. Earth Stations that Operate with the INTELSAT System (CC Docket No. 82-540)

August 6, 1982.

The Commission has begun an inquiry on alternatives for modification of the current policy and rules on ownership and operation of U.S. earth stations that operate with the INTELSAT global communications satellite system.

The Communications Satellite Act of 1962 charges the FCC with the responsibility of determining the entities or group of entities to be licensed to construct and operate U.S. earth stations operating with the global communications satellite system envisioned by the Act.

In 1965 the Commission concluded that Communications Satellite Corporation (Comsat) should be authorized to own and operate the three initial earth stations—two in the contiguous United States and one in Hawaii—in order to facilitate early implementation of the global satellite system.

In 1966 the Commission determined that three additional earth stations would be required and revised its initial policy to provide that all six U.S. earth stations—Etam, W. Va., Andover, Me., Paumalu, Hawaii, Jamesburg, Calif., Brewster, Wash., and Pulantat, Guam—be jointly owned and authorized to a consortium consisting of Comsat and those carriers providing overseas communications service to the public in the U.S. These carriers, in addition to Comsat, are American Telephone Company, Hawaiian Telephone Co., ITT World Communications, Inc., RCA Global Communications, Inc., and Western Union International, Inc. They constitute the membership of the Earth Station Ownership Committee (ESOC).

Under the ESOC agreement Comsat has a 50 percent ownership and the other carriers 50 percent ownership in the earth stations. Comsat serves as manager of the stations. Each joint owner has one reprsentative on ESOC, the function of which is to formulate policy and make major decisions concerning the design, construction, establishment and modification of its earth stations. It is also responsible for the operation and maintenance of the stations.

The Commission noted that in view of its decision to permit Comsat to provide international satellite services directly to end users, it was appropriate to consider revision of this ownership and operation policy.

The Commission said the inqury would focus on the question of whether its policy should be modified to permit individual or joint ownership of general purpose and/or special purpose U.S. earth stations by authorized U.S. carriers independent of the existing ESOC arrangements. It said, however, it would also consider the special proposals that have been made to revise the ownership and operational relationship between Comsat and other carriers within the ESOC arrangement.

The Commission requested comments on numerous issues including:

How the introduction of independently owned earth stations would affect the INTELSAT system planning and coordination process;

Whether sufficient economies of scale exist to justify continuing the current policy of requiring all U.S. INTELSAT traffic to be routed over a few ESOC- or Comsat-owned earth stations;

How cost-effective would special purpose stations be;

Who would gain and lose under the policy changes and how much;

What would be the impact of INTELSAT policy on the FCC's determination of the public interest;

Would "deavaraged" earth station rates be desirable and consistent with the policy and goals of the Satellite Act; and

Under what circumstances could new and existing general-purpose and special purpose stations be owned and operated independent of ESOC.

For more information contact Joel Pearlman at (202) 632-4047.

Action by the Commission August 5, 1982, by Notice of Inquiry (FCC 82-373). Commissioners Fowler (Chairman), Quello, Washburn, Fogarty, Jones, Dawson and Rivera.

Note.—Due to the continuing effort to minimize publishing costs, the Notice of Inquiry will not be printed herein. However, copies may be obtained from any of the distribution centers listed in the FCC Office of Public Affairs, Room 202, 1919 M St., N.W., Washington, D.C. 20554, (202) 254-7674. In addition, a copy is available for inspection in the FCC Dockets Branch, Room 239 and the FCC Library, Room 639, both located at 1919 M St., N.W.

William J. Tricarico,

Secretary, Federal Communications Commission.

[FR Doc. 82-22766 Filed 8-18-82; 8:45 am]

BILLING CODE 6712-01-M

47 CFR Parts 2 and 73

[BC Docket No. 82-536; FCC 82-368]

Amendment of the Commission's Rules Concerning Use of the Subsidiary Communications Authorizations

AGENCY: Federal Communications Commission.

ACTION: Proposed rule.

SUMMARY: The Commission is proposing amendments to its FM Subsidiary Communications Authorizations (SCA) rules that would relax the current restrictions on SCA use by allowing non-broadcast material to be transmitted. In addition, program logs and application form requirements for SCA's are proposed to be deleted. Certain technical rules would also be altered to permit more efficient utilization of FM SCA's.

DATES: Comments must be filed on or before October 18, 1982, and reply comments on or before November 17, 1982.

ADDRESS: Federal Communications Commission, Washington, D.C. 20554.

FOR FURTHER INFORMATION CONTACT: Norman Plotkin, Broadcast Bureau, (202) 632–6302.

SUPPLEMENTARY INFORMATION:

List of Subjects

47 CFR Part 2

Frequency allocations.

47 CFR Part 73

Radio broadcast.

Adopted: August 4, 1982.
Released: August 19, 1982.

Introduction

In the Matter of Amendment of Parts 2 and 73 of the Commission's Rules Concerning Use of the Subsidiary Communications Authorizations; BC Docket No. 82–536; notice of proposed rulemaking.

1. The Commission today commences a rule making considering elimination of restrictions on the use of that portion of the FM baseband that becomes available when an FM station utilizes multiplexing techniques to divide the authorized transmitted signal into a main channel and a specified number of subchannels.[1] The technique of multiplexing of the FM signal has been in regular use for over thirty years, and those stations that employ such techniques can provide stereophonic programming using the main channel and one subchannel. Another subchannel may be used for "broadcast like" services provided on a subscription basis.[2] This use of a subcarrier signal is generally a simple and relatively inexpensive method of transmitting a variety of services because the FM station with existing capital equipment and staff is already operational.

2. Licensees obtain authority to multiplex the FM signal by filing FCC Form 318, Application for Subsidiary Communications Authorization (commonly referred to as an "SCA"). The uses to which SCA's can be put are limited by the Commission's rules which also prescribe technical parameters and certain record keeping requirements relating to their operation. We seek to determine whether the restrictions imposed by our rules have artificially limited the use of SCA's and thereby caused this available resource to remain essentially idle. In this regard, the Commission regularly receives requests for SCA uses to provide new and innovative services. Given this context, we believe it is appropriate to explore the desirability of eliminating restrictions which may unreasonably and/or unnecessarily encumber the use of SCA's.[3]

3. In viewing the extent to which SCA's are presently utilized, the Commission has determined that a high degree of SCA potential remains unused. Essentially, we found that, of 3,573 FM stations who could use SCA's, less than 27% do so.[4] We believe that the non-use of this SCA capacity represents an inefficient use of a valuable resource. To the extent that the Commission's rules impose unnecessary limitations on the use of the FM baseband or impose unreasonable burdens on broadcasters who might otherwise elect to provide SCA services, we intend to explore the possibility of modifying or eliminating them. Specifically, we invite comment on the following proposals:

(a) Remove current restrictions that limit the uses of SCA's [§§ 73.293(a)(1) and 73.593(a)(1)]

(b) Remove current time-use restrictions which limit SCA transmission to periods when the main channel is operating [§§ 73.293(c) and 73.593(c)].

(c) Remove the upper limit restricting the instantaneous sidebands of SCA subcarriers in the FM baseband, increase the maximum modulation deviation for FM broadcast stations under certain circumstances, and remove the requirement that only frequency modulated SCA subcarriers be transmitted [§ 73.319].

(d) Abolish the requirement for filing an SCA application Form 318 [§§ 73.293(b) and 73.593(b)] and eliminate the requirement for SCA program logs [§§ 73.295(e) and 73.595(e)].

Background

4. In the financially troubled infancy of the FM service, innovative licensees used their stations to provide a background music service to subscribing stores, offices, buses, factories or other businesses. Subscribers were equipped with special receivers that deleted any commercial messages that might interrupt the flow of the music. The Commission became concerned that this type of service could abrogate the intended uses of the FM band, and it instituted a rule making proceeding to determine the circumstances under which the provision of background music services would be permitted. As a result of that proceeding, in 1955, the Commission created the SCA for the provision of background music on a subchannel, leaving the main channel free for normal broadcast service. *Report and Order* in Docket 10832, 11 RR 1590 (1955). The Commission found that the simplex (main channel) provision of background music service was "non-broadcast" because subscribers received different programming (without commercials) than other listeners. However, recognizing that the FM industry required the financial assistance made possible by such services, background music was permitted on a subchannel using multiplex techniques. The Commission also noted that the imposition of multiplex technology could not be immediately implemented. Thus, the new rules were not effectuated until 1958. 16 RR 1554(i) (1958). The matter was appealed, and the court decided that the Commission had too narrowly defined "broadcasting." *Functional Music, Inc.* v. *FCC*, 17 RR 2152 (1958). Rather, the mere fact that subscribers received the stations' programming with commercials deleted did not establish

[1] The term "baseband" refers to the frequency band occupied by the total group of signals used to modulate the radio frequency carrier. As an example, an FM station transmitting a stereophonic signal has a baseband consistimg of a monophonic signal from 0 to 15 kHz, a stereophonic pilot signal at 19 kHz, and a stereophonic subchannel from 23 to 53 kHz.

[2] Background music is a prime example of these subscription services. Other currently permissible services are described at paragraph 10 *infra*.

[3] On April 23, 1982, National Public Radio (NPR) petitioned the Commission to institute a rule making "to permit FM broadcast stations to operate subcarriers at frequencies up to and including 95 kHz, with instantaneous sidebands to 99 kHz and to change the parameters for main carrier modulation and deviation". Subsequently, on June 21 and 22, the Commission received two additional petitions from NPR requesting that the Commission permit unrestricted use of SCA both as to types of uses to which they could be put and amount of time per day they could be operated. Since this *Notice* completely encompasses consideration of these changes requested by NPR, its petition will be considered as comments in this proceeding. See paragraphs 13 through 21, *infra*.

[4] See Appendix B, "Estimate of Current Unused SCA baseband", for the basis of the numbers used to estimate the extent of unused SCA capacity.

that the licensees provided a "non-broadcast" service. Since the Commission's decision to force the background music services onto a subchannel was based on the determinations that the service was "non-broadcast," the court vacated our 1955 decision.

5. However, events had already overtaken the court's deliberations in the *Functional Music* case. Between the adoption of the SCA rules in 1955 and the court's 1958 decision, it had become increasingly evident that multiplexing techniques could be successfully employed for a number of purposes beyond the limits of the initial rules. Thus, in July of 1958 (three months before the court's decision), the Commission instituted an inquiry to explore other possible uses of FM multiplexing, including slow-scan video, stock market reports, paging and traffic light control. *Notice of inquiry,* FCC 58–638; 23 Fed. Reg. 52842. However, the comments submitted in response to that *Notice of Inquiry* indicated widespread interest in the use of multiplexing techniques for FM stereophonic broadcasting. Thus, in March, 1959, the Commission issued a *Further Notice of Inquiry* to gather more information on FM stereo. FCC 59–211; 24 Fed. Reg. 1997.

6. In May, 1960, the Commission issued a *Report and Order* resolving the questions raised in the initial *Notice of Inquiry* in Docket 12517. 19 RR 1619. It was therein determined that the use of SCA's would be limited to services of a broadcast nature. On the same day, the Commission instituted its *Notice of Proposed Rule Making* in Docket 13506, looking toward the authorization of FM stereophonic transmissions.

7. The Commission's existing SCA rules are essentially the same as those adopted in 1960. Services which are of a broadcast nature may be provided by an SCA, those of a non-broadcast nature with one exception, may not. Specifically, the rules state that SCA's may be used for the

> * * * transmission of programs which are of a broadcast nature but which are of interest primarily to limited segments of the public wishing to subscribe thereto. Illustrative services include: background music; storecasting; detailed weather forecasting; special time signals; and other material of a broadcast nature expressly designed and intended for business, professional, educational, religious, trade, labor, agricultural or other groups engaged in any lawful activity. [§ 73.293(a)(1)].[5]

[5] Signals intended for utility load management have recently been added to this list as a special exception. *Report and Order* in BC Docket No. 81–352, 47 Fed. Reg. 1386, January 13, 1982.

Current Supply of FM SCA's

8. As of December 31, 1980, there were 3,573 FM stations potentially available for SCA use. However, 705 of these stations broadcast only monaural signals, making no use of multiplexing techniques. Another 1,926 stations broadcast in stereo, but were not using the available subchannel for SCA services. Thus, only 942 FM stations or less than 27% use their SCA capacity. This translates into a potential SCA availability at 2,631 stations throughout the United States. In an attempt to view the extent to which FM stations' SCA capabilities are used, we estimated the number of unused hours during which SCA's could be providing a service. We found that, for all FM stations, the amount of non-use comes to approximately 104,000 hours per day.[6]

The Demand for SCA Use: Current and Potential

9. Before discussing our proposals in greater detail, it is useful to briefly describe some of the currently permitted uses of SCA's and to consider some of the uses that have come to the attention of the Commission but are not allowed under current rules.

10. *Uses Currently Permitted*—Subscription background music services were the first to take commercial advantage of subcarrier technology. Other actual program uses to which SCA's are being put include ethnic and foreign language programming, instructional programming, sporting events, news and weather programs, medical information to physicians, stock-commodity and business information, religious programs, farm news, and educational programming for the handicapped such as reading services to the print-handicapped.[7] In addition to these program uses, SCA's are utilized for the transmission of signals directly related to the operation of the FM station, such as relaying of broadcast material to other stations, remote cuing and order circuits for field work, and for telemetry control of operations such as meter readings of the main transmitter. We have also recently approved use of SCA's to control automobile receivers for reception of traffic information.

11. *Uses Currently Not Permitted*—As a general statement, wherever the use is to activate or control non-broadcast equipment or to transmit point to point personal contact information, the service is not permitted to be provided via SCA's under the Commission's current rules. Over the years, the Commission has received requests for SCA uses which are prohibited by our rules. Examples of those uses include: paging services; distribution of inventory, price and delivery information by businesses; transmission of laboratory test results to doctors and clinics; electronic mail delivery; facsimile services to offices; page transmission to local printing plants; police communication to all substations; distribution of information from a newspaper's circulation department to distributing stations, and from distributing stations to carrier pick-up points; distribution from county governments to local public works garages and vehicles; bus dispatching for local and regional transportation; coordination of forest-fire fighting efforts over large geographic areas; and municipal traffic light and sign control. Given this wide variety of possible uses from industry to industry and by different government organizations, the potential within these presently prohibited categories would seem to cover a very wide span.[8]

[6] See Appendix B for a derivation of these estimates.

[7] The extent to which these groups use SCA's is noted in Appendix C.

Proposals To Improve SCA Spectrum Use

12. Several findings are apparent from the above discussion. First, vast numbers of potential SCA's are unused and probably wasted. Second, many potential users of SCA's are currently barred by the Commission rules from employing what may be their most efficient means of providing service to the public. In light of these findings, the Commission deems it appropriate to revisit this area and consider possible changes in our rules. In addition to considering rule changes that would both increase the demand and supply of SCA's, this *Notice* includes proposals that would remove burdensome procedural requirements for broadcasters who use their SCA's. We believe that the proposals set forth below would allow the substantial unused SCA capacity to be put to uses that would serve the public interest.

13. *Non-technical Rule Proposals*—We intend to explore elimination of two

[8] The introduction of digital technology is expanding SCA "productive" potential for non-broadcast uses within its prescribed spectrum range. Specifically, *Television/Radio Age* noted that one SCA equipment manufacturer is offering equipment to transmit three separate channels of digital data on a single SCA subcarrier in addition to the SCA's regular aural programming [July 13, 1981, p. 44]. Techniques such as this tend to expand the effective supply of SCA's. This, in turn, tends to foster lower cost SCA use and increased interest in such use.

non-technical limitations contained in our rules. The first non-technical proposal would abolish the current requirement that SCA's be used only for transmitting material of a "broadcast nature." The second non-technical proposal would effectively increase the supply of SCA's by allowing their operation at times when the main channel is off the air.

14. The removal of the rules that limit SCA's to broadcast like uses offers a particularly promising means to more efficiently use both presently available SCA capacity and any additional resources that would be newly available from changes in operating hours or changes in technical rules as discussed below. As already noted, over 70 percent of the FM stations with SCA potential do not have SCA's at all. In terms of unused SCA service-hours, this means that about 84,500 such hours are available to licensees but have not been used by them.[9] It is worth noting that this unused and, therefore, currently lost SCA use amounts to substantially more hours than the total regular program hours of all commercial FM stations combined. In fact, it is 126 percent of this total.[10] A substantial portion of this unused SCA capability may be idle because licensees do not have sufficient incentive to use it under our current restrictions. The Commission's proposal to remove this rule impediment would abolish this possible source of waste.

15. The second non-technical proposal, elimination of the time limitation placed on SCA services based on main channel operation, would permit the use of SCA's for a full twenty-four hours per day irrespective of main channel operation. It appears that this non-technical rule change is an adjustment that is both simple in nature and relatively non-controversial in terms of its effect on main channel broadcast services.

16. Based upon an estimate of 20.2 average operating hours per day for the FM stations considered in this proceeding, the average number of hours an SCA is presently being prevented from operating is 3.8 hours per day (or 26.6 hours per week) for each station. Despite this apparently small amount of average unused operating time for a single station, the removal of this limitation for all stations would add up to 19,500 potential subcarrier service-hours per day.[11] This is equivalent to almost 30 percent[12] of the main channel operating hours of all commercial FM stations per day. Removal of this limitation does not, of course, assure that this potential will be fully utilized. We recognize that most of this SCA potential occurs between midnight and 6:00 A.M., and it might not be appropriate to weigh it equally with regular broadcast hours in terms of demand for new SCA services. However, some users may actually be indifferent or prefer these hours of operation.

17. Additionally, we do not believe that removing the use and hour limitation restrictions would affect the primary allocation of the FM band for broadcast purposes. Since SCA uses are secondary to those of the main channel, the provision of a non-broadcast communication service over an SCA subcarrier represents only a *de minimis* departure from the overall broadcast use of the band. Nonetheless, we are proposing to amend the Table of Allocations contained in Part 2 of the Commission's rules to reflect the potential use of multiplex subcarriers for non-broadcast purposes as discussed, *infra*. In this manner, the Table would accurately reflect the potential use of a portion of this allocation for non-broadcast purposes.

18. Continued operation of the main broadcast channel is assured for two reasons: First, the broadcast licensee must fully meet its public interest obligations wholly apart from its SCA activities. This requires substantial main channel operation. Second, Commission rules require that commercial FM broadcasters operate a minimum of 72 hours per week (§ 73.1740), and public broadcast FM stations must operate a minimum of 36 hours per week with a minor exception for educational institution licensees (§ 73.561(a)).

19. *Technical Rule Proposals*—In addition to the non-technical proposals presented above, we are considering a number of technical rule changes which would expand the capacity for multiple SCA services and enhance the flexibility with which SCA's could be used. Permitting an increased number of SCA subcarriers would increase the number of uses that could be accommodated by existing FM stations. Thus, licensees may be in a position to reasonably accommodate the demand for new and/or existing SCA services.

20. Specifically we wish to explore changes in three technical areas:

(a) increasing the upper limit restricting the instantaneous sidebands of SCA subcarriers in the FM baseband from the present maximum of 75 kHz to a maximum of 99 kHz;

(b) increasing the maximum modulation deviation for FM broadcast stations; and

(c) removing the requirement that only frequency modulated SCA subcarriers be transmitted.

21. The Commission has an outstanding proposal to permit SCA subcarriers at 95 kHz, with instantaneous sidebands permissible to 99 kHz.[13] Data submitted in response to this proposal indicate that satisfactory SCA operation may be expected at 95 kHz. The importance of this proposal lies in its potential to increase the number of SCA subcarriers a licensee may transmit. Stations now transmitting a 67 kHz SCA (at the maximum injection level of 10%) would be able to transmit a second (with 10% injection) at 95 kHz.

22. Definite interest has been shown by public broadcasting (noncommercial educational) FM stations in having two SCA services while transmitting a stereophonic subchannel. One SCA subcarrier could be used to provide a public service, such as a reading service for the visually impaired, and the other could be used to provide a revenue-producing service to help finance station operations. National Public Radio recently undertook a study on member station WETA–FM in Washington, D.C. "to find if an additional subcarrier could be added, and what its performance might be." [Laboratory and Field Tests of several FM/SCA Frequencies, *"Engineering Update,"* Volume II, No. 7, October 15, 1981, National Public Radio.] One conclusion of particular interest to this proceeding was the finding that: "Operation of SCA subcarriers at 67 and 92 kHz created no complaints or comments of interference from WETA–FM staff or listeners during the two-

[9] In addition to the 84,500 service-hours "voluntarily" left idle, an additional 19,500 are involuntarily idle since they cannot be used under current Commission rules, as discussed below. The sum of these two figures equals the total 104,000 unused SCA service-hours noted in paragraph 8.

[10] The total program hours of all commercial FM stations is estimated to be about 67,000 hours per day. By dividing this figure into the unused 84,500 SCA service hours, we find that these unused service-hours are 126 percent of this number, or 26 percent greater in service-hours. See Appendix B, line 16.

[11] Appendix B develops this estimate in lines 9–11. It also notes that this 19,500 is a portion of the total 104,000 unused service-hours, noted in paragraph 8.

[12] Appendix B, line 17.

[13] See *Memorandum Opinion and Order and Notice of Proposed Rule Making*, [(FCC 80–434) 45 FR 55411, August 20, 1980] in Docket No. 21310. The *Notice* sought comments on the desirability of amending the broadcast rules to permit FM broadcast stations to transmit a discrete quadraphonic signal. The proposed quadraphonic signal would use the baseband formerly occupied by the 67 kHz SCA signal for a quadraphonic subcarrier. To avoid terminating SCA operations at stations choosing to transmit a discrete quadraphonic signal, the Commission proposed an expansion of the useable baseband to accommodate a shift in the SCA subcarrier to 95 kHz.

month duration of the tests, despite many music programs of wide dynamic range on the main channel."

23. Therefore, although the proposal to expand the FM baseband has been under Commission scrutiny for some time, we believe that the interrelationship between the expanded baseband and the proposal to remove SCA usage restrictions (discussed at paragraph 14, *supra*) suggests that the expanded baseband should be considered in this proceeding.[14] If we remove use restrictions, licensees may use SCA subcarriers to provide practically any type of information for which there is a demand. Under these circumstances, we do not believe that the use of an extended baseband should be limited solely to the transmission of additional SCA type services. Rather, information may be provided on either a restricted basis (to subscribers) or on an unrestricted basis (to the general public). Thus, we propose that FM stations be permitted to transmit subcarriers not just to provide an SCA service, but also to enhance main channel programming or improve its reception. For example, subcarriers may be used for receiver switching purposes, noise reduction compounding (signals designed to improve reception of the main channel material), etc. Stereophonic or quadraphonic transmissions represent other uses of subcarriers to enhance main channel service. In light of our proposal to refrain from regulating permissible SCA subcarrier uses, it appears that there is no reasonable basis for differentiating between subcarrier SCA services and subcarrier uses to enhance main channel programming. In this context, the proposals contained in this *Notice* encompass those contained in Docket No. 21310, and we shall withhold further action in the latter proceeding until a complete record is developed in this proceeding.

24. In other proceedings before the Commission, organizations providing radio reading services to the visually handicapped (RRS) have argued that their services may be adversely affected by proposed changes in our rules governing SCA's.[15] We realize that actions proposed herein could increase the competition for subchannels and thereby have an impact on such services. Therefore, we solicit comment from interested parties on the extent of the possible impact of RRS and on appropriate means of addressing it. Parties addressing the issue of impact on services for the visually handicapped should discuss not only the impact of expanded uses but also the extent to which this is offset by the increase in available SCA's or whether some further Commission action should be taken to assure that special services to the handicapped such as the RRS should continue to be provided.

25. The second technical area we wish to explore concerns the possibility of increasing the total modulation limits for FM stations contained in § 73.1570(b)(2) of the rules. The present rule limits the total modulation of an FM station (including modulation of SCA subcarriers) to 100% on peaks of "frequent recurrence." Raising the total modulation limit, for example to 110%, would permit licensees to operate an SCA subcarrier without decreasing the modulation level, and hence the service area, of the main channel. In the National Public Radio (WETA–FM) tests mentioned earlier, modulation limits of 110% were reached for short intervals, and it appears that no complaints were received during the tests. Moreover, licensees may be more receptive to transmit a second (or perhaps even a first) SCA subcarrier if they are not required to reduce the main channel modulation.

26. Under the present rules, modulation energy is distributed as follows in the FM baseband (assuming stereo modulation). The stereo pilot carrier is modulated at a 10% level, and the main program modulation is reduced by 10% (from 100% to 90%). This is a reduction of 0.92 dB. Adding a 10% SCA subcarrier requires the main program modulation to be reduced by another 10% (from 90% to 80%), or another small reduction of 1.02 dB for a total reduction of 1.94 dB. The addition of a second SCA subcarrier (proposed in Docket No. 21310 to be located above 75 kHz and transmitted at a 10% injection level) requires another 10% reduction of the main channel modulation to 70%, or another small reduction of 1.16 dB, for a total reduction of 3.10 dB. At no time may the total modulation for subcarrier transmissions exceed 30%.

27. Upon first examination, the NPR suggestion appears reasonable. We could simply increase the total allowable modulation as each subcarrier is added in order to maintain the same main channel modulation. This is of course assumes that the maximum modulation presently allowed is arbitrary and can be increased without penalty. However, we do not believe that it can. Any increase above the presently allowed deviation of 75 kHz (or 100% modulation) could produce additional adjacent channel interference. We recognize that any increase in adjacent channel interference is likely to be small, but the improvement in main channel performance is also expected to be small. Thus, consideration of this proposal must balance these factors.

28. Another factor that must be considered is the increase in receiver audio distortion, crosstalk or other adjacent channel effects that could result from an increase in the total modulation and use of baseband subcarrier modulation extending to 99 kHz. Even if a station is operating in a perfectly linear fashion at the higher modulation level, consumer receiver performance is optimized for 75 kHz deviation (100% modulation) with subcarrier operation of 67 kHz. A change in the maximum permitted deviation (in other words, a change in the total modulation permissible) or maximum subcarrier frequencies may degrade service to the public due to receiver characteristics. Comments are requested on these points, particularly from the consumer receiver manfacturers.

29. The last technical area to be explored as a means of increasing the availability of SCA subcarriers focuses on the method of modulating SCA's. The rules now permit only frequency modulation. However, other modulation methods (such as single or double sideband amplitude modulation, with and without carrier) would appear to offer advantages in spectrum efficiency. Therefore we request comments on the desirability of amending the rules to permit modulation of the SCA subcarrier using other than frequency modulation methods.

30. Our proposals to increase SCA communication potential affect three related rule subjects [§§ 73.293/593(b), 73.253/553, and 73.295/595(g)]. Thus, we also propose changes in these rules to conform them to the primary rule changes being considered in this *Notice*. The first affected area is the matter of adequate installation and testing, and monitoring of the SCA transmissions. At the present time, we require licensees who propose to transmit an SCA signal for other than an aural service, such as

[14] On July 15, 1982, the Association of Radio Reading Services (ARRS) petitioned the Commission to consolidate the NPR petition urging expansion of the SCA baseband (see footnote 3) with the ongoing rulemaking proceeding in Docket 82–1. 47 FR 2384 (January 15, 1981). The Commission has concluded that it is more appropriate to consider this a general SCA issue to be dealt with in this proceeding rather than in Docket 82–1 which deals only with the issue of public broadcasting use. Therefore, this petition is denied.

[15] This refers to such proceedings as Docket 21310 (Quadraphonic Broadcasting, 45 F.R. 55411, August 30, 1980), and Docket 82–1 (Public Broadcasting FM SCA, 47 F.R. 2384, January 15, 1982).

visual data for teleprinter or viewing screen reception, to submit detailed results of spectrum occupancy tests to show that the crosstalk within the baseband subchannels and the out-of-band emissions meet the technical requirements of our rules. In paragraph 34 we propose to delete the requirements to obtain an authorization before engaging in SCA operations. Therefore, we propose that licensees would retain the results of the spectrum measurements in their files, rather than submit them to the Commission. Further, measurements made by a manufacturer of SCA subcarrier exciters designed for non-aural transmissions, and supplied to the licensee, would be acceptable in lieu of measurements made by the licensee, provided the generator is installed and used in conformance with the manufacturer's instructions.

31. At the present time the Commission has proposed to delete the requirements for broadcast stations to install and use type-approved modulation monitors in BC Docket 81–698 (46 FR 52398). We are not including in this proceeding any proposed changes in the modulation monitoring rules to accommodate any of the proposed changes in the baseband range or modulation levels. Any such rule changes will of necessity be based on the Commission's final action in BC Docket 81–698.

32. The current SCA technical rules require the subcarrier frequency to be maintained within 500 Hz of the "assigned" frequency. That frequency must be measured once each month. Should we no longer "assign" a subcarrier frequency, we believe that these two requirements would no longer serve any useful regulatory purpose. A licensee providing a subscription SCA service must of necessity keep the subcarrier frequency within adequate range of the nominal frequency for satisfactory operation.

33. *Procedural Rule Proposals*—It appears that various procedural requirements imposed on FM stations in applying for and operating SCA's warrant review. Some of those requirements may impose unwarranted administrative burdens on radio licensees and/or the Commission. The changes we propose are as follows.

34. First, we propose to eliminate the program log requirements for SCA's. Sections 73.295(e) and 73.595(e) of the rules require that an FM licensee maintain a program log for its SCA operation. These requirements appear to have outlived any useful purpose they were intended to serve. For commercial stations, they seem particularly inappropriate since main channel program logs were eliminated in the Commission's recent radio deregulation proceeding.[16] Retaining the requirement for noncommercial stations does not appear justified if we propose to delete the requirement for commercial stations. Thus, were propose deleting program log-keeping requirements for SCA operations. This deletion would save licensees approximately 50,000 manhours in FY 1983.

35. Second, we propose to eliminate the requirement for a formal SCA application, Form 318. The need for information gained from the Form 318 application is no longer apparent, nor is there any apparent need to have an authorization for SCA use separate from the underlying station license. It is estimated that this action would save licensees approximately 800 manhours in FY 1983. In particular we feel that:

(a) It is readily apparent that certain questions required on Form 318 are already unnecessary, *i.e.*, the identity of the manufacturer and model number of the SCA equipment, the subcarrier freuqency to be used, the means to control the multiplex receivers, or the amount of main channel programming that will be duplicated in that subcarrier channel. All audio and visual rule requirements of § 73.319 of the Commission's rules must be met and this, we believe, is sufficient to cover our concerns in this area.

(b) The technical information required on Form 318 for a visual SCA was included seven years ago in the Commission's *Report and Order* in *Nonaural FM SCA Services.*[17] These data were to be analyzed by the Commission's engineering staff to assure that visual use of SCA's did not affect the technical integrity of the station or interfere with other FM station emissions. Such technical analysis no longer seems to be worth the burden it places on the Commission's limited resources since other self-regulating mechanisms and pressures are available that will assure the technical integrity of signals emitted by licensees. We are confident that an FM licensee will protect the quality of his main channel operation. It is in his own best interest to do so. In addition, interference with another station's emissions will likely result in a complaint to the Commission, thereby resulting in appropriate Commission action. These factors provide strong incentives for an FM licensee to take measures to avoid such interference.

(c) The only other substantive information gained from the form is an indication as to whether the proposed SCA use is of a permissible broadcast type. If the Commission's proposal to remove the prohibition against nonbroadcast type use is adopted, such information would become irrelevant. The Commission wishes it to be clearly understood that any elimination of these procedural burdens would not, in any way, eliminate the station's full responsibility to meet all of the Commission's technical requirements for FM broadcast operations.

36. Under the proposed rules, licensees could commence subcarrier operations immediately upon installation of type accepted SCA transmitting equipment and any necessary type approved SCA modulation monitoring equipment. Since we are proposing no other technical standards than those to provide suppression of intrachannel crosstalk and out-of-band emissions, the type acceptance application need only show that the equipment is capable of meeting those requirements. The present rules also require stations transmitting SCA subcarrier communications to install a modulation monitor for SCA operations. Any necessary adjustments in the monitor rules to accommodate the extended aural baseband subcarrier operation as proposed herein will be made in conformance with the outcome of the outstanding rule making in Docket 81–698 addressing the need to retain our modulation monitor type approval and use requirements.

37. A procedural aspect related to our proposed expansion of the FM baseband derives from the existence of two international agreements. The U.S.-Mexican FM Broadcasting Agreement limits the use of the FM baseband to a maximum of 75 kHz. FM stations within 320 kilometers (199 miles) of the common border could not transmit subcarriers above 75 kHz, if the proposed amendments are ultimately adopted, without the concurrence of the Mexican Director General of Telecommunications. The Commission will contact the Mexican government during the comment period to obtain their views on increasing the upper limit of the FM baseband. The U.S.-Canada FM Broadcasting Agreement does not contain a similar restriction. Nonetheless, the use of the baseband above 75 kHz would be a change from the present operation of U.S. stations within the Canadian border area. Therefore, the Commission will request the concurrence of the Canadian Department of Communications before permitting stations within 322 kilometers

[16] 46 FR 13888, February 4, 1981.
[17] Docket No. 20012, 32 RR 2d 1551 (1975).

(200 miles) of the common border to transmit subcarriers above 75 kHz.

Regulatory Status of SCA's

38. In proposing to permit the use of FM SCA's for non-broadcast purposes, we recognize that some of the uses to which the SCA's may be put are similiar to services offered by radio common carriers. However, it does not appear that a broadcast station's SCA use should be regulated according to common carrier principles, even when it engages in used that compete with common carriers. We invite comments on this view, and we invite commenter's attention to what we believe are the relevant factors in support of this view. Initially, we note that the SCA occupies only a small portion of ta band width allocated to an FM station. As such, its use is ancillary to the operation of the station. Moreover, even where an FM station provides paging service on its SCA, in direct competition with the Domestic Public Land Mobile Radio Service, it does not appear that is offering a common carrier service. In *National Association of Regulatory Utility Commissioners v. F.C.C.*, 525 F.2d 630 (D.C. Cir.) cert. denied, 425 U.S. 999 (1976) (hereinafter *NARUC I*), the Court set forth a two fold test for common carriage: (1) whether there will be any "legal compulsion" to serve the public indifferently; and (2) if not, whether there are reasons implicit "in the nature" of the service "to expect an indifferent holding out to the eligible user public". *NARUC I* at 672. Here, the permissive use of FM SCA's for non-broadcast purposes does not appear to require that such services be made available to the public on an indifferent basis. Furthermore, it appears that licenses that propose to offer such services would desire to be very selective in their choice of an operator, to ensure that their investment in the SCA and entry into this new endeavor is properly protected. Moreover, because of the broadcast nature of the frequency allocation and main channel operation, we have proposed that the broadcaster would remain responsible for the material transmitted on its SCA. Thus, it would retain unique reasons to carefully select the operator of an SCA service. Under these circumstances, classification of non-broadcast services provided on FM SCA's as common carrier services, and application of common carrier regulations to such services appear inappropriate. We invite the comments of interested parties on the above regulatory approach to SCA uses.

Conclusion

39. The Commission does not wish to see existing spectrum underutilized and unnecessary burdens imposed because of overrestrictive rules. We feel that such may be the case in the situation examined in this proceeding. The fear that SCA use would dominate FM at the expense of main channel broadcasting was a very real one at the time when FM radio was struggling for financial survival. Today, main channel broadcasting is a financially mature and dominant part of the FM station with SCA use a helpful but secondary source of revenue. The quality of main channel broadcasting can be expected to continue since stations have a strong incentive to compete for main channel audiences. With the ever expanding uses being found for ancillary SCA spectrum, it appears to the Commission that it is in the best interests of the American people to treat SCA use on its own merits, permitting it to seek out its most valuable uses.

40. The Commission feels that the changes proposed in this proceeding could be an important and beneficial step forward in meeting the present and rapidly developing needs for spectrum Flexibility of the type allowed under the proposals would permit full use to be made of existing spectrum in a dynamic telecommunications field. Such flexibility clearly appears to be in the public interest. Therefore, the Commission proposes to remove these rule limitations by amending its rules as set forth in the attached Appendix A. We urge all interested parties to present their views for the Commission's consideration and welcome comments on all aspects of this notice.

41. *Regulatory Flexibility Initial Analysis:*

I. *Reason for action*—A very substantial portion of the FM SCA spectrum currently lies unused. It appears that the removal of certain Commission rule limitations on spectrum use would result in the expanded employment of this idle spectrum, and would increase both spectrum efficiency and the services available on FM SCA's in the public interest.

II. *The objective*—The Commission proposes to fully expand the services permissible on FM SCA's by removing its current prohibition of non-broadcast type services on such spectrum and its limit of SCA use to the periods of main channel operation; to change certain technical restrictions that limit the subcarrier baseband and its modulation methods and levels; and to remove certain procedures considered burdensome and no longer necessary.

III. *Legal basis*—Legal action as proposed is in furtherance of Section 303 of the Communications Act of 1934, as amended, which charges the Commission to explore new and improved uses of radio.

IV. *Description, potential impact and number of small entities affected*—This proposal would, in the main, delete FMS SCA rules which currently prohibit the use of this subcarrier spectrum for non-broadcast type services and limits SCA use to that time period in which there is main channel programming in operation. These restrictions have eliminated a substantial number of possible uses of FM SCA's despite a very substantial portion of that spectrum laying idle. The proposals would be expected to have a predominantly beneficial effect by fostering the use of the currently idle SCA spectrum, and by making the spectrum available as a new transmission source for both current and new services to the American people. In addition, the proposal to remove certain SCA procedures would benefit stations using SCA's by decreasing their administrative burdens.

In general, its positive potential impact would stem from the fostering of cost competitive alternatives for a variety of current services; the offering of a new means by which services previously prevented because of prohibitive costs might now become economically worthwhile; the reduction of pressure and crowding on other scarce spectrum by making available alternative spectrum space; the decreasing of administrative burdens; and the offering of a source of additional financial income to FM broadcast stations in FY 1983. The small entities which are expected to be positively affected in this way are: (1) the 4,400 operating FM stations that have SCA capability, through the availability of increased income; (2) about 950 FM stations with SCA's through removal of program log requirements, and about 200 FM stations in FY 1983 through removal of application requirements; (3) entities supplying previously prohibited comp9etitive services through SCA; and (4) the suppliers of equipment, etc. to these entities. The number of entities in (3) and (4) are unknown but are expected to be substantial.

V. *Recording, recording keeping and other compliance requirements*—None

VI. *Federal rules which overlap, duplicate or conflict with this rule*—None

VII. *Any significant alternative minimizing impact on small entities and consistent with stated objective*—None

42. For the purposes of this non-restricted notice and comment rule making proceeding, members of the public are advised that *ex parte* contacts are permitted from the time the Commission adopts a Notice of Proposed Rule Making until the time a public notice is issued stating that a substantive disposition of the matter is to be considered at a forthcoming meeting or until a final order disposing of the matter is adopted by the Commission, whichever is earlier. In general, an *ex parte* presentation is any written or oral communication (other than formal written comment/pleadings and formal oral arguments) between a person outside the Commission and a Commissioner or a member of the Commission's staff which addresses the merits of the proceeding. Any person who submits a written *ex parte* presentation must serve a copy of that presentation on the Commission's Secretary for inclusion in the public file. Any person who makes an oral *ex parte* presentation addressing matters not fully covered in any previously-filed written summary of that presentation, on the day of oral presentation, that written summary must be served on the Commission's Secretary for inclusion in the public file, with a copy to the Commission official receiving the oral presentation. Each *ex parte* presentation described above must state on its face that the Secretary has been served, and must also state by docket number the proceeding to which it relates. See generally, § 1.1231 of the Commission's Rules, 47 CFR 1.1231.

43. This *Notice of Proposed Rule Making* is issued pursuant to authority contained in Sections 4(i) and 303 of the Communications Act of 1934, as amended. Interested parties may file comments on or before October 18, 1982, and reply comments on or before November 17, 1982. All relevant and timely comments filed in response to this *Notice* will be considered by the Commission. In accordance with the provisions of § 1.419 of the Commission's Rules, an original and five copies of all comments, replies, briefs and other documents filed in this proceeding shall be furnished the Commission. Further, members of the general public who wish to participate informally in the proceeding may submit one copy of their comments, specifying the docket number in the heading. In reaching its decision, the Commission may take into consideration information and ideas not contained in the comments, provided that such information or a writing indicating the nature and source of such information is placed in the public file, and provided the fact of the Commission's reliance on such information is noted in the Report and Order.

44. All filings made in this proceeding will be available for examination by interested parties during regular business hours in the Commission's Public Reference Room at its headquarters, 1919 M Street, NW., Washington, D.C.

45. For further information concerning this proceeding, contact Norman Plotkin, Broadcast Bureau, (202) 632-6302.

(Secs. 4, 303, 48 Stat., as amended, 1066, 1082; 47 U.S.C. 154, 303)

Federal Communications Commission.

William J. Tricarico,

Secretary.

PART 2—FREQUENCY ALLOCATIONS AND RADIO TREATY MATTERS; GENERAL RULES AND REGULATIONS

Appendix A—Proposed Rule Amendments

1. § 2.106, the National Table of Frequency Allocations is proposed to be revised by revising footnote designator NG128 in column 7 in the band 88–108 kHz, and in the list of footnotes which follow the Table.

§ 2.106 Table of Frequency Allocations.

United States		Federal Communications Commission			
Band (MHz)	Allocation	Band (MHz)	Services		Class of station
5	6	7	8		9
	*	*	*	*	*
88–108 (US23) (US93)		NG 88–108 (NG21) (NG128)	BROADCASTING		FM Broadcasting (NG2)
	*	*	*	*	*

NG128 In the band 535–1605 kHz, AM broadcast licensees or permittees may use their AM carrier to transmit signals intended for utility load management. In the band 88–108 MHz, FM broadcast licensees or permittees are permitted a Subsidiary Communications Authority (SCA) on a secondary basis to transmit signals intended for non-broadcast purposes.

* * * * *

PART 97—RADIO BROADCAST SERVICES

2. Section 73.293 would be revised to read as follows:

§ 73.293 Subsidiary communications authority (SCA).

The licensee or permittee of an FM broadcast station may, without individual authorization from the FCC, use multiplex subcarriers in accordance with the technical requirements of § 73.319 to provide subsidiary services and to transmit data telemetry and control and signalling communications.

3. Section 73.294 would be revised to read as follows:

§ 73.294 Nature of the SCA.

Subsidiary communications transmitted by means of subcarriers are of a secondary nature under the authority of the FM station authorization, and such authority may not be retained or transferred in any manner separate from the station's authorization. The grant or renewal of an FM station license or permit is not furthered or promoted by proposed or past operation of an SCA and the licensee must establish that the broadcast operation is in the public interest wholly apart from the SCA activities.

4. Section 73.295 would be revised to read as follows:

§ 73.295 Use of multiplex subcarriers.

(a) The use of superaudible and subaudible tones and pulses and any other control techniques to delete main channel material is specifically prohibited.

(b) In all arrangements entered into with outside parties for subcarrier communications services, the licensee or permittee must retain control over all material transmitted over the station's facilities, with the right to reject any material which it deems inappropriate or undesirable.

(c) Technical standards governing SCA operation (§ 73.319) shall be observed by all FM broadcast stations engaged in such operation. Proof of conformity to such technical standards shall be kept in the station records, and made available for inspection upon request.

(d) The station identification, delayed recording, and sponsor identification announcements required by §§ 73.1201, 73.1208, and 73.1212 are not applicable to material transmitted under the SCA.

(e) A daily record of subcarrier transmissions exceeding 15 minutes

duration showing the time the subcarrier and subcarrier modulation is turned on and off shall be entered in the station operating log. However, transmissions of transmitter telemetry for remote control and ATS operation need not be recorded.

5. Section 73.310 headnote and paragraph (c) would be amended and new paragraph (d) added to read as follows:

§ 73.310 FM technical definitions.

* * * * *

(c) *Visual transmission.* Communications transmitted on an SCA subcarrier intended for reception and visual presentation on a viewing screen, teleprinter, facsimile printer, or other form of graphic display or record.

(d) *Control transmission.* Communications transmitted on an SCA subcarrier intended for any form of signalling or operational control and switching functions within a receiver or for any external application.

6. It is proposed to revise § 73.319 to read as follows:

§ 73.319 Subsidiary communications multiplex operation technical standards.

(a) Frequency or amplitude modulation, or frequency shift keying of an SCA subcarrier may be used.

(b) The instantaneous frequency of SCA subcarriers shall at all times be within the range of 20 to 99 kHz. However, when a station is engaged in stereophonic broadcasting pursuant to § 73.297 or § 73.597, the instantaneous frequency of the SCA subcarriers shall be within the range of 53 to 99 kHz.

(c) The arithmetic sum of the modulation of the main carrier by SCA subcarriers shall not exceed the following:

(1) If monophonic programming of the main channel is used, the total arithmetic sum of subcarrier modulation shall not exceed 30%, and the total carrier modulation shall not exceed 100%. Any single subcarrier above 75 kHz may not modulate the carrier by more then 10%.

(2) If stereophonic programming of the main channel is used, the modulation of the carrier by a single subcarrier frequency may not exceed 10% and a total carrier modulation may not exceed 100%.

(3) If stereophonic programming of the main channel is used, the modulation of the carrier by two or more subcarrier frequencies, may not exceed 20% and the total carrier modulation may not exceed 110%.

(4) During periods of SCA subcarrier transmissions when there is no transmission of main channel programming, the total arithmetic sum of the subcarrier modulation shall not exceed 30%. Any single subcarrier above 75 kHz may not modualte the carrier by more than 10%.

(d) When the station is engaged in monophonic transmissions the modulation of the main carrier caused by SCA subcarrier transmissions shall, in the frequency range of 50 to 15,000 Hz, be at least 60 dB below 100% modulation. When the station is engaged in stereophonic programming the frequency modulation of the main carrier by the SCA subcarrier transmission shall, in the frequency range 50 to 53,000 Hz be at least 60 dB below 100% modulation.

(e) When the station is transmitting visual communications on an SCA subcarrier there shall be no signal components outside of the band occupied exceeding the limitations applicable to FM broadcast signals specified in § 73.317(a) (12) and (13).

7. Section 73.593 would be revised to read as follows:

§ 73.593 Subsidiary communications authority (SCA)

The licensee or permittee of a noncommercial educational FM broadcast station may, without individual authorization from the FCC, use multiplex subcarriers in accordance with the technical requirements of § 73.319 to provide subsidiary services and to transmit data telemetry and control and signalling communications. Uses permitted under this paragraph will not be considered "commercial" as long as payments retained by the station for such use shall total no more than the approximate cost of conducting the SCA operation (including purchase or lease of equipment, course material, personnel services, etc.) and the general overhead and operational costs attributable to such operations; and no commercial announcements or references are contained in the material transmitted under the SCA.

8. Section 73.594 would be revised to read as follows:

§ 73.594 Nature of the SCA.

Subsidiary communications transmitted by means of subcarriers are of a secondary nature under the authority of the noncommercial educational FM station authorization, and such authority may not be retained or transferred in any manner separate from the station's authorization. The grant or renewal of a noncommercial educational FM station license or permit is not furthered or promoted by proposed or past operation of an SCA and the licensee must establish that the broadcast operation is in the public interest wholly apart from the SCA activities.

9. Section 73.595 would be revised to read as follows:

§ 73.595 Use of multiplex subcarriers.

(a) The use of superaudible or subaudible tones and pulses and any other control techniques to delete main channel material is specifically prohibited.

(b) In all arrangements entered into with outside parties for subcarrier communications services, the licensee or permittee must retain control over all material transmitted over the station's facilities, with the right to reject or delete any material which it deems inappropriate or undesirable.

(c) The technical standards governing SCA subcarrier operations specified in § 73.319 shall be observed by all noncommercial educational FM stations engaged in such operation. Proof of conformity to such technical standards shall be kept in the station records and made available to the FCC upon request.

(d) The station identification, delayed recording, and donor identification announcements required by §§ 73.1201, 73.1208, and 73.1212 are not applicable to material transmitted under the SCA.

(e) A daily record of subcarrier transmissions exceeding 15 minutes duration showing the time the subcarrier and subcarrier modulation is turned on and off shall be entered in the station operating log. However, transmissions of transmitter telemetry for remote control and ATS operation need not be recorded.

§ 73.1830 [Amended]

10. Section 73.1830 would be amended by removing paragraph (a)(3)(iii) in its entirety.

§ 73.3500 [Amended]

11. Section 73.3500 would be amended by removing the listing of FCC Form 318.

§ 73.3533 [Amended]

12. Section 73.3533 would be amended by removing paragraph (a)(4) in its entirety and marking it "reserved."

§ 73.3536 [Amended]

13. Section 73.3536 would be amended by removing paragraph (b)(4) in its entirety and marking it "reserved."

Appendix B—Estimate of Current Unused SCA Baseband

Our estimates of unused SCA capacity assume only the current technical rules, and do not incorporate any changes in these rules as proposed in the *Notice*. We further assume that a

monaural FM has an SCA capability to handle three full services while a station broadcasting stereo can handle only one. These station estimates are based on the following data:

	Stations		
	Currently total	Currently in stereo	Monaural
Number of FM stations available for SCA use	3,573	2,798	775
Number of FM stations using SCA's [1]	942	872	70
Number or Unused SCA's	2,631	1,926	705
Average daily operating hours per FM station [2] 20.2 hours.			
Average daily non-operating hours per FM station 3.8 hours.			

[1] FM Atlas and Station Directory, 6th ed., 1980 (Adolph, Minnesota).
[2] Based on a random sample of commercial FM stations (20.4 hours) combined with CPB's estimate for its qualified public broadcast FM stations (18.4 hours).

The total number of FM stations includes all commercial FM stations on the air as of 12/31/80 (3282) [3] plus all public broadcasting FM stations of 3 kW or larger (291).[4] This base period was chosen in order to obtain approximate period comparability with the sources used for estimating the number of operating SCA's.

Potential SCA service-hours available	Total	Stereo	Monaural
1. FM stations capable of SCA use	3,573	2,798	775
2. Services per SCA		1	
limit rule portion:			
3. Total potential SCA services (1x2)	5,123	2,798	2,325
4. Service-hours per 24 hour day (3x24 hours)	122,952	67,152	55,800

SCA service-hours in use:	
5. FM stations using SCA's	941
6. Average operating hours per station	[5] 20.2
7. SCA service-hours in use (5x6)	19,028
8. Potential unused service-hours (4–7)	103,924

[5] The 20.2 operating hours used in this calculation assumes that those stations using SCA's do so throughout all the hours that the main channel is in operation. To the extent they do not, as is probable, total SCA service hours in use (line 7) would be smaller and potential unused service hours (line 8) would be larger.

These potential unused service hours can be further separated into two non-technical categories: non-use due to the time limitation rule tied to main channel operation, and SCA services available but unused.

[3] The FCC News Announcement 06.99 dated January 22, 1981.
[4] Directory of Radio Station, Broadcast-Cable Yearbook, 1981.

9. Total potential SCA services (3)	5,123
10. Average daily non-operating hours per service	3.8
11. Time limit rule portion (9x10)	19,467
12. *Available but unused* portion (8–11)	84,457
Actual Commercial FM program service-hours:	
13. No. of commercial FM stations in operation	3,282
14. Average daily operating hours per commercial FM station (see footnote 2) (hours)	20.4
15. Total commercial FM station program hours (13x14)	66,953
16. Ratio of available but unused SCA portion to Commercial FM station program hours (12–15) (percent)	126
17. Ratio of SCA time limit rule portion to commercial FM station program hours (11–15) (percent)	29

Appendix C.—Summary of Current SCA Uses

SCA's

Uses	Number	Percentage
Subscription background music	432	46
Radio reading service for the blind	110	12
Facsimile, audible teletype or telemetry chirps	57	6
Talk, including instructional programs	34	4
Physician's Radio network	28	3
Farm news	23	2
Other SCA users not covered by the above	258	27
Total SCA uses	942	100

Sources: (1) FM Atlas and Station Directory, 6th ed., 1980. (2) American Foundation for the Blind, Reply comments in BC Docket 81–352, Exhibit A.

[FR Doc. 82–22692 Filed 8–18–82; 8:45 am]
BILLING CODE 6712–01–M

47 CFR Part 73

[BC Docket No. 81–487, RM–3915, BC Docket No. 81–818, RM–3960, RM–4033, RM–4034]

FM Broadcast Station in Marco, Florida, Naples and Key West, Florida; Proposed Changes in Table of Assignments

AGENCY: Federal communications Commission.

ACTION: Proposed rule.

SUMMARY: Because there is no evidence of any accommodation of all interests, this action consolidates the rule making proceedings to assign FM Channel 276A either as a substitute for Channel 249A or as an additional channel in Naples, Florida (BC Docket 81–818) and a rule making proceeding to add a channel to Marco, Florida, (BC Docket 81–487). Six options are set forth for comments.

DATES: Comments must be filed on or before September 23, 1982, and reply comments on or before October 8, 1982.

ADDRESS: Federal Communications Commission, Washington, D.C. 20554.

FOR FURTHER INFORMATION CONTACT: Philip S. Cross, Broadcast Bureau (202) 632–5414.

SUPPLEMENTARY INFORMATION:

List of Subjects in 47 CFR Part 73

Radio broadcasting.

Adopted: July 30, 1982.
Released: August 13, 1982.
By the Chief, Policy and Rules Division.

In the matter of amendment of § 73.202(b), Table of Assignments, FM Broadcast Stations. (Marco, Florida) and amendment of § 72.202(b), Table of Assignments, FM Broadcast Stations. (Naples and Key West,[1] Florida), BC Docket No. 81–487, RM–3915 and BC Docket No. 81–818, RM–3960, RM–4033, RM–4034.

1. The Commission here consolidates two rule making proceedings, BC Docket No. 81–487 and BC Docket No. 81–818. The *Notice of Proposed Rule Making* in Docket No. 81–487 (RM–3915) was published in the **Federal Register** on October 1, 1981 (46 FR 48258). The petitioner, Sunshine Broadcasting, Inc. ("Sunshine") requested and we proposed that Channel 276A be assigned to Marco, Florida.

2. The notice of proposed rule making and order to show cause in BC Docket No. 81–818 was published in the **Federal Register** on December 7, 1981, (46 FR 59557). The petitioner, WRMF, Inc. ("WRMF"), licensee of Station WRMF (FM), Channel 250, Palm Beach, Florida, requested the substitution of Channel 276A for 249A at Naples, Florida, on which Station WSGL (FM) operates. The substitution would enable WRMF to relocate its facilities to a site which otherwise would be short spaced to WSGL. WRMF would reimburse WSGL for reasonable costs involved in the channel substitution. WSGL raised no objections.

3. WRMF's proposed channel substitution is mutually exclusive however with the proposal by Sunshine to add Channel 276A to Marco, Florida, as its second FM assignment.

4. The notice of proposed rule making in Docket No. 81–818 indicated that the conflict could be resolved by assigning Channel 221A or 249A to Marco. Each would have a site restriction.

5. Sunshine has objected to both channel proposals. It contended that the Channel 221A restriction of 2.6 miles would require a site where none is available; and that the Channel 249A

[1] This community has been added to the caption.

restriction of 3.7 miles would require a site in the Gulf of Mexico. Instead, Sunshine filed a counterproposal to add Channel 224A to Marco, with a substitution and modification of license for Station WFYN–FM, Key West, Florida, to operate on Channel 222 instead of 223. WFYN opposes such modification of license.

6. Since there does not appear to be any accommodation of all interests that have participated in the two proceedings, we believe it propoer to consolidate the two proceedings.

7. First, it appears that Channel 276A and Channel 224A are the only channel assignments to consider. Sunshine states it is not interested in Channel 221A due to the site restriction that is required. As to Sunshine's proposal to assign Channel 224A to Marco with the substitution of Channel 222 instead of Channel 223 at Key West, WFYN opposes the modifcation of its license on two grounds. WFYN reports that it has been working for more than a year to finalize a proposal for relocating and substantially improving its "now sub-standard" transmission facilities. It operates presently with a power of 25 kW and an antenna height of 156 feet above average terrain. WFYN states that it plans to file shortly an application for authority to operate with a power of 100 kW and an antenna height of 546 feet above average terrain. WFYN asserts that a preliminary analysis by the consulting engineer "indicates that it may well be impossible to improve the facilities of Station WFYN(FM) as planned on *any* other available FM channel."

8. A second consideration set forth by WFYN is the "special adverse competitive impact" on the station of any change in frequency from the 92.5 MHz on which it has operated, and promoted the frequency, for many years.

9. We believe that further consideration should be given to the assignment of Channel 224A to Marco since this channel assignment would allow Channel 276A to be used at Naples either as a substitution or as an additional station. Otherwise a choice would have to be made between Marco and Naples for Channel 276A. We are not clear as to why WFYN could not use Channel 222 as conveniently as Channel 223 to accommodate its planned improvements. We would like Florida Keys Broadcasting Company, licensee of WFYN to respond to this proosal. Of course it has a right to a hearing pursuant to § 316 of the Communications Act of 1934, as amended, and it may continue to assert this right before its frequency is changed. Also, it would be entitled to reimbursement for the frequency change should it consent to the change. The reimbursement obligation would be imposed upon the eventual permittee of Channel 224A at Marco.

10. In comparing the two communities for the purpose of deciding which community should get Channel 276A, in the event that there is no other alternate channel, we found that Marco is a growing community which increased from a population of 1,500 in 1970 to an estimated 8,500 in 1980, with the peak winter population estmated to be approximately 12,000. In our notice of proposed rule making, we found that Sunshine had made a sufficient showing to justify the proposal of a second FM assignment to Marco.[2]

11. Charles P. Pascal supports Sunshine's proposal to add Channel 274A to Marco, "one of the most rapid growth cities in the State of Florida." Pascal states that he is interested in filing an application for a new FM station at Marco.[2]

12. On the other hand, Deltona Broadcasting Company, Inc. ("Deltona"), permittee on Channel 266, Marco, opposed Sunshine's proposal for Marco. Deltona states, in substance, that adding another FM channel to Marco could severely strain the financial support available in Collier County and cause a new station in Marco to fail.

13. Number 1 Broadcasting, Inc. ("Number One") filed a counterproposal to add Channel 276A to Naples rather than to substitute 276A for 249A in Naples as proposed by WRMF. In support thereof, Number One asserted that WRMF's proposal would merely substitute one channel for another at Naples, whereas the Number One counterproposal would provide an additional broadcast voice for Naples and the surrounding area, "thereby increasing the overall diversity of radio programming available to residents of Florida's west coast." Number One contends that assignment of a fifth FM channel to Naples is warranted in view of the impressive growth in Naples and Collier County over the past ten years. Number One indicates that from 1970 to 1980 the population of Naples increased almost 50%, from 12,042 to 17,581; and Collier County, from 38,040 to 85,791. It states that during the period 1970 to 1978 employment in manufacturing in Collier County increased 118.6%, ranking it third in growth among Florida's sixty-seven counties. Number One concludes from "this explosive growth" that Naples could easily support the operation of a fifth FM station.

14. Naples presently has 4 FM assignments (Stations WCVU, WRCI, WSGL and a pending application for operation on Channel 288A, File No. BPH–810814 AB); one AM station, WNOG; and one TV station, WEVU, Channel 20, in nearby Ft. Myers, Florida.

15. The Number One proposal is opposed by WRMF and WSGL on the ground that it directly contravenes the Commission's FM channel assignment guidelines specifying one to two FM assignments for a town the size of Naples (under 50,000). They contend that a fifth FM assignment could be expected only by a city with a population of 100,000 to 250,000. They conclude that no requisite "convincing showing" has been made for deviation from that assignment policy. However, in view of the action taken in the *Second Report and Order* in BC Docket 80–130, 47 Fed. Reg. 26624, published June 21, 1982, this factor is no longer considered.

16. Roger's Media Service supports the Number One proposal on the grounds that it would "capitalize" on the rapid development of the west coast of Florida and "create another media voice as opposed to the mere substitution propounded by WRMF * * *".

17. We have set forth the alternate proposals and summary of comments so that the two proceedings can be consolidated and that a resolution can take into account all competing interests. To reiterate, the options under consideration are:

(1) The assignment of Channel 276A to Naples, either as a substitute for Channel 249A (Station WSGL) so that Station WRMF, West Palm Beach can relocate or as a fifth FM channel assignment to Naples. Under this proposal, WSGL would receive reimbursement for the change in frequencies to which it has consented. A different channel could be assigned to Marco.

(2) The assignment of Channel 276A to Marco as its second FM channel. This plan would preclude the assignment of this channel to Naples.

(3) The assignment of Channel 221A to Marco. This option requires additional information from commenting parties on available site selection for the channel. Under this plan Channel 276A could be assigned to Naples.

(4) The assignment of Channel 224A to Marco. This alternative requires a substitution of channels at Key West (Channel 222 for Channel 223) for Station WFYN. The licensee has expressed its displeasure at any modification of its license. We seek

[2] Dean J. Maitlen had supported Sunshine's proposal and indicated his intention to file for authority to operate on Channel 276A but later withdrew from the proceeding.

comments from Station WFYN as to why Channel 222 is unacceptable or the licensee may just insist on the right to a hearing. Of course it may also consent to the modification. Station WFYN would be entitled to reimbursement from the eventual Marco Channel 224A permittee. Also, Naples could receive Channel 276A under this proposal.

18. Accordingly, the Commission proposes to amend the FM Table of Assignments, § 73.202(b) of the Commission's rules, as follows:

	Present	Proposed
Option I		
Marco	266	221A, 266.
Naples	228A, 233, 249A, 288A.	228A, 233, 276A, and 288A.
Option II		
Marco	266	221A, 266.
Naples	228A, 233, 249A, 288A.	228A, 233, 249A, 276A, and 288A.
Option III		
Key West	223, 254, 258, 296A	222, 254, 258, 296A.
Marco	226	224A, 266.
Naples	228A, 233, 249A, 288A.	228A, 233, 276A, and 288A.
Option IV		
Key West	223, 254, 258, 296A	222, 254, 258, 296A.
Marco	266	224A, 266.
Naples	228A, 233, 249A, 288A.	228A, 233, 249A, 276A, and 288A.
Option V		
Naples	228A, 233, 249A, 288A.	228A, 233, 276A, and 288A.
Option VI		
Naples	228A, 233, 249A, 288A.	228A, 233, 249A, 276A, and 288A.

19. It is ordered, that pursuant to 316(a) of the Communications Act of 1934, as amended, Florida Keys Broadcasting Corporation, licensee of Station WFYN-FM, Key West, Florida, shall show cause why its license should not be modified to specify operation on Channel 222 as proposed herein instead of the present Channel 223.

20. Pursuant to § 1.87 of the Commission's Rules, Florida Keys Broadcasting Corporation ("WFYN") may, not later than October 8, 1982, request that a hearing be held on the proposed modification. Pursuant to § 1.87(f), if the right to request a hearing is waived, WFYN may, not later than October 8, 1982, file a written statement showing with particularity why its license should not be modified as proposed in the *Order to Show Cause*. In this case, the Commission may call on WFYN to furnish additional information, designate the matter for hearing, or issue, without further proceedings, an *Order* modifying the license as provided in the *Order to Show Cause*. If the right to request a hearing is waived and no written statement is filed by the date referred to above, WFYN will be deemed to have consented to the modifications as proposed in the *Order to Show Cause* and a final *Order* will be issued by the Commission if the above-mentioned channel modification is ultimately found to be in the public interest.

21. It is further ordered, that the Secretary of the Commission shall send by Certified Mail, Return Receipt Requested, a copy of this *Order* to: Florida Keys Broadcasting Corporation, and to its counsel, at P.O. Box 2515, Key West, Florida 33040.

22. The Commission's authority to institute rule making proceedings, showings required, cut-off procedures, and filing requirements are contained in the attached Appendix and are incorporated by reference herein. NOTE: A showing of continuing interest is required by paragraph 2 of the Appendix before a channel will be assigned.

23. Interested parties may file comments on or before September 23, 1982, and reply comments on or before October 8, 1982.

24. The Commission has determined that the relevant provisions of the Regulatory Flexibility Act of 1980 do not apply to rule making proceedings to amend the FM Table of Assignments, § 73.202(b) of the Commission's rules. See, *Certification that Sections 603 and 604 of the Regulatory Flexibility Act do not apply to rule making to amend §§ 73.202(b), 73.504 and 73.606(b) of the Commission's rules*, 46 FR 11549, published February 9, 1981.

25. For further information concerning this proceeding, contact Phil Cross, Broadcast Bureau, (202) 632–5414. However, members of the public should note that from the time a Notice of Proposed Rule Making is issued until the matter is no longer subject to Commission consideration or court review, all *ex parte* contacts are prohibited in Commission proceedings, such as this one, which involve channel assignments. An *ex parte* contact is a message (spoken or written) concerning the merits of a pending rule making other than comments officially filed at the Commission or oral presentation required by the Commmission.

Any coment which has not been served on the petitioner constitutes an *ex parte* presentation and shall not be considered in the proceeding. Any reply comment which has not been served on the person(s) who filed the comment to which the reply is directed constitutes an *ex parte* presentation and shall not be considered in the proceeding.

(Secs. 4, 303, 48 stat., as amended, 1066, 1082; 47 U.S.C. 154, 303)

Federal Communications Commission.

Roderick K. Porter,

Chief, Policy and Rules Division, Broadcast Bureau.

Appendix

1. Pursuant to authority found in Sections 4(i), 5(d)(1), 303(g) and (r), and 307(b) of the Communications Act of 1934, as amended, and §§ 0.281(b)(6) and 0.204(b) of the Commission's Rules, it is proposed to amend the FM Table of Assignments, § 73.202(b) of the Commission's Rules and Regulations, as set forth in the *Notice of Proposed Rule Making* to which this Appendix is attached.

2. *Showings Required.* Comments are invited on the proposal(s) discussed in the *Notice of Proposed Rule Making* to which this Appendix is attached. Proponent(s) will be expected to answer whatever questions are presented in initial comments. The proponent of a proposed assignment is also expected to file comments even if it only resubmits or incorporates by reference its former pleadings. It should also restate its present intention to apply for the channel if it is assigned, and, if authorized, to build a station promptly. Failure to file may lead to denial of the request.

3. *Cut-off Procedures.* The following procedures will govern the consideration of filings in this proceeding.

(a) Counterproposals advanced in this proceeding itself will be considered, if advanced in initial comments, so that parties may comment on them in reply comments. They will not be considered if advanced in reply comments. (See Section 1.420(d) of the Commission's Rules.)

(b) With respect to petitions for rule making which conflict with the proposal(s) in this notice, they will be considered as comments in the proceeding, and Public Notice to this effect will be given as long as they are filed before the date for filing initial comments herein. If they are filed later than that, they will not be considered in connection with the decision in this docket.

(c) The filing of a counterproposal may lead the Commission to assign a different channel than was requested for any of the communities involved.

4. *Comments and Reply Comments; Service.* Pursuant to applicable procedures set out in §§ 1.415 and 1.420 of the Communications rules and regulations, interested parties may file comments and reply comments on or before the dates set fourth in the *Notice of Proposed Rule Making* to which this Appendix is attached. All submissions by parties to this proceeding or persons acting on behalf of such parties must be made in written comments, reply comments, or other appropriate pleadings. Comments shall be served on the petitioner by the person filing the comments. Reply comments shall be served on the person(s) who filed comments to which the reply is directed. Such comments and reply comments shall be accompanied by a certificate of service. (See § 1.420(a), (b) and (c) of the Commission's rules.)

5. *Number of Copies.* In accordance with the provisions of Section 1.420. of the Commission's Rules and Regulations, an

original and four copies of all comments, reply comments, pleadings, briefs, or other documents shall be furnished the Commission.

6. *Public Inspection of Filings.* All filings made in this proceeding will be available for examination by interested parties during regular business hours in the Commission's Public Reference Room at its headquarters, 1919 M Street, N.W., Washington, D.C.

[FR Doc. 82-22645 Filed 8-18-82; 8:45 am]

BILLING CODE 6712-01-M

47 CFR Part 73

[BC Docket No. 82-542; RM-4110]

FM Broadcast Station in Kailua and Honolulu, Hawaii; Proposed Changes in Table of Assignments

AGENCY: Federal Communications Commission.

ACTION: Proposed rule.

SUMMARY: This action proposes to reassign FM Channel 242 from Kailua to Honolulu, Hawaii, in response to a petition filed by Mauna Kea Broadcasting Company.

DATES: Comments must be filed on or before September 23, 1982, and reply comments on or before October 8, 1982.

ADDRESS: Federal Communications Commission, Washington, D.C. 20554.

FOR FURTHER INFORMATION CONTACT: Montrose H. Tyree, Broadcast Bureau, (202) 632-7792.

SUPPLEMENTARY INFORMATION:

List of Subjects in 47 CFR Part 73

Radio broadcasting.

Adopted: July 30, 1982.

Released: August 11, 1982.

By the Chief, Policy and Rules Division.

In the matter of amendment of § 73.202(b), Table of Assignments, FM Broadcast Stations. (Kailua and Honolulu, Hawaii), BC Docket No. 82-542, RM-4110.

1. The Commission herein consideres a petition for rule making [1] filed by Mauna Kea Broadcasting Company [2] ("petitioner") on April 22, 1982. Petitioner seeks to have Channel 242 deleted from Kailua and reassigned to Honolulu, Hawaii, as its sixth FM assignment. It also wishes to have its license for Station KSHO-FM (Channel 242) modified to specify Honolulu.

2. In support of the proposal, petitioner states that Kailua, located within the city limits of Honolulu, has not been able to generate a significant amount of advertising revenues from the community. According to the petitioner, the amount of revenue collected since commencement of operation in 1978 is described as miniscule. Despite the fact that Station KHSO(FM) is authorized to identify with Honolulu, as well as Kailua (placing a city signal over both cities) it has not been able to compete with the Honolulu stations. Petitioner points out that the Commission's action of October 2, 1981, *Report and Order*, Gen. Docket No. 80-710, 87 F.C.C. 2d 962, which reallocated Channels 251 to 300 for broadcast use in Hawaii, creates an entirely new and even more difficult competitive situation in the Honolulu radio market. It further states that the Commission's proposal to add three channels to Honolulu and to make additional assignments to interested parties in BC Docket No. 82-124 will result in ever-increasing competitive disadvantages for the stations now licensed in the Honolulu market. Petitioner states that if the reassignment proposal is adopted, it will maintain its present transmitter location to provide city grade service to both communities. It would also keep the main studio in Kailua.

3. It is established law that a channel assignment to a new community must be open to allow potential applicants an opportunity to apply. See *Ashbacker Radio Corp.* v. *F.C.C.* 326 U.S. 327 (1945); *Riverside and Santa Ana, California*, 65 F.C.C. 2d 920 (1977), *recons. den.*, 68 F.C.C. 2d 557 (1978). Petitioner argues that in view of the Commission's recent action making frequencies in this area abundant and thereby placing existing stations in the area at a competitive disadvantage unless permitted to switch their city of license to Honolulu, an exception should be made. Petitioner further asserts that Kailua would not be left without service since it has Station KLEI(AM) and Station KSHO-FM would continue to provide service. These arguments support reassignment of Channel 242 to Honolulu which we are willing to propose. However, the license modification is not justified on the basis of equalizing competition. Nevertheless, in view of the large availability of channels in Honolulu and the fact that several channels are available for assignment to Kailua, we shall propose the reassignment. This would give petitioner the option of applying for a Honolulu channel should it believe such a course of action worthwhile. In that case we would be willing to provide a substitute channel at Kailua (Channel 267 has been suggested) should another interest be expressed.[3]

4. Accordingly, the Commission proposes to amend the FM Table of Assignments, § 73.202(b) of the Commission's rules, for the community below as follows:

City	Channel No.	
	Present	Proposed
Honolulu, Hawaii	226, 230, 234, 238, and 248.	226, 230, 234, 238, 242, and 248.
Kailua, Hawaii	242	

5. The Commission's authority to institute rule making proceedings, showings required, cut-off procedures, and filing requirements are contained in the attached Appendix and are incorporated by reference herein.

Note—A showing of continuing interest is required by paragraph 2 of the Appendix before a channel will be assigned.

6. Interested parties may file comments on or before September 23, 1982, and reply comments on or before October 8, 1982, and are advised to read the Appendix for the proper procedures.

7. The Commission has determined that the relevant provisions of the Regulatory Flexibility Act of 1980 do not apply to rule making proceedings to amend the FM Table of Assignments, § 73.202(b) of the Commission's rules. See, *Certification that Sections 603 and 604 of the Regulatory Flexibility Act Do Not Apply to Rule Making to Amend §§ 73.202(b), 73.504 and 73.606(b) of the Commission's rules*, 46 FR 11549, published February 9, 1981.

8. For further information concerning this proceeding, contact Montrose H. Tyree, Broadcast Bureau, (202) 632-7792. However, members of the public should note that from the time a Notice of Proposed Rule Making is issued until the matter is no longer subject to Commission consideration or court review, all *ex parte* contacts are prohibited in Commission proceedings, such as this one, which involve channel assignments. An *ex parte* contact is a message (spoken or written) concerning the merits of a pending rule making other than comments officially filed at the Commission or oral presentation required by the Commission. Any comment which has not been served on the petitioner constitutes an *ex parte*

[1] This proposal was filed as a counterproposal in BC Docket 82-124. We are treating this request separately because there are additional issues to address.

[2] Mauna Kea Broadcasting Company is the licensee of Station KSHO(FM) (Channel 242), Kailua, Hawaii.

[3] If the petitioner does not wish to risk a comparative application proceeding for Channel 242 at Honolulu, we would be inclined to act favorably toward a request from petitioner to withdraw its petition.

presentation and shall not be considered in the proceeding. Any reply comment which has not been served on the person(s) who filed the comment to which the reply is directed constitutes an *ex parte* presentation and shall not be considered in the proceeding.

(Secs. 4, 303, 48 stat., as amended, 1066, 1082; 47 U.S.C. 154, 303)

Federal Communications Commission.

Roderick K. Porter,

Chief, Policy and Rules Division, Broadcast Bureau.

Appendix

1. Pursuant to authority found in Sections 4(i), 5(d)(1), 303(g) and (r), and 307(b) of the Communications Act of 1934, as amended, and §§ 0.281(b)(6) and 0.204(b) of the Commission's rules, it is proposed to amend the FM Table of Assignments, § 73.202(b) of the Commission's Rules and Regulations, as set forth in the *Notice of Proposed Rule Making* to which this Appendix is attached.

2. *Showings Required.* Comments are invited on the proposal(s) discussed in the *Notice of Proposed Rule Making* to which this Appendix is attached. Proponent(s) will be expected to answer whatever questions are presented in initial comments. The proponent of a proposed assignment is also expected to file comments even if it only resubmits or incorporates by reference its former pleadings. It should also restate its present intention to apply for the channel if it is assigned, and, if authorized, to build a station promptly. Failure to file may lead to denial of the request.

3. *Cut-off Procedures.* The following procedures will govern the consideration of filings in this proceeding.

(a) Counterproposals advanced in this proceeding itself will be considered, if advanced in initial comments, so that parties may comment on them in reply comments. They will not be considered if advanced in reply comments. (See § 1.420(d) of the Commission's rules.)

(b) With respect to petitions for rule making which conflict with the proposal(s) in this *Notice*, they will be considered as comments in the proceeding, and Public Notice to this effect will be given as long as they are filed before the date for filing initial comments herein. If they are filed later than that, they will not be considered in connection with the decision in this docket.

(c) The filing of a counterproposal may lead the Commission to assign a different channel than was requested for any of the communities involved.

4. *Comments and Reply Comments; Service.* Pursuant to applicable procedures set out in §§ 1.415 and 1.420 of the Commission's Rules and Regulations, interested parties may file comments and reply comments on or before the dates set forth in the *Notice of Proposed Rule Making* to which this Appendix is attached. All submissions by parties to this proceeding or persons acting on behalf of such parties must be made in written comments, reply comments, or other appropriate pleadings. Comments shall be served on the petitioner by the person filing the comments. Reply comments shall be served on the person(s) who filed comments to which the reply is directed. Such comments and reply comments shall be accompanied by a certificate of service. (See § 1.420(a), (b) and (c) of the Commission's rules.)

5. *Number of Copies.* In accordance with the provisions of Section 1.420 of the Commission's Rules and Regulations, an original and four copies of all comments, reply comments, pleadings, briefs, or other documents shall be furnished the Commission.

6. *Public Inspection of Filings.* All filings made in this proceeding will be available for examination by interested parties during regular business hours in the Commission's Public Reference Room at its headquarters, 1919 M Street, N.W., Washington, D.C.

[FR Doc. 82-22844 Filed 8-18-82; 8:45 am]

BILLING CODE 6712-01-M

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47 CFR Part 73

[BC Docket No. 82-539; RM-4126]

FM Broadcast Station in Calexico, California; Proposed Changes in Table of Assignments

AGENCY: Federal Communications Commission.

ACTION: Proposed rule.

SUMMARY: Action taken herein proposes assignment of FM Channel 204A to Calexico, California, for noncommercial educational use in response to a petition filed by the State of California, San Diego State University.

DATES: Comments must be filed on or before September 23, 1982, and reply comments on or before October 8, 1982.

ADDRESS: Federal Communications Commission, Washington, D.C. 20554.

FOR FURTHER INFORMATION CONTACT: Mark N. Lipp, Broadcast Bureau, (202) 632-7792.

SUPPLEMENTARY INFORMATION:

List of Subjects in 47 CFR Part 73

Radio broadcasting.

Adopted: July 30, 1982.

Released: August 10, 1982.

In the matter of amendment of § 73.504(a), Table of Assignments, Noncommercial Educational FM Broadcast Stations. (Calexico, Mexico), BC Docket No. 82-539; RM-4126.

1. A petition for rule making was filed May 26, 1982, by the State of California, San Diego State University ("petitioner"), proposing assignment of Channel 204A to Calexico, California, for noncommercial educational use. Petitioner states that it will file an application for the channel, if assigned.

2. Calexico, in Imperial County, is located approximately 15.2 kilometers (95 miles) east of San Diego, California. Petitioner submitted population data in support of the proposal. However, in view of the action taken in the *Second Report and Order*, BC Docket No. 80-130, 47 FR 26624, published June 21, 1982, this information is no longer required.

3. A site restriction of 7 miles northeast of the city is required due to unused Channels 202A and 206A in Experanza, Mexico.

4. Since Calexico is located within 320 kilometers (199 miles) of the U.S.-Mexican border, the proposed assignment requires concurrence of the Mexican government.

5. In view of the fact that the proposed channel could provide a first noncommercial educational FM service to Calexico, the Commission believes it is appropriate to propose amending the noncommercial educational FM Table of Assignments, § 73.504(a) of the Commission's Rules, with regard to the following community.

City	Channel No.	
	Present	Proposed
Calexico, California.	—	204A

6. The Commission's authority to institute rule making proceedings, showings required, cut-off procedures, and filing requirements are contained in the attached Appendix and are incorporated by reference herein.

Note.—A showing of continuing interest is required by paragraph 2 of the Appendix before a channel will be assigned.

7. Interested parties may file comments on or before September 23, 1982, and reply comments on or before October 8, 1982, and are advised to read the Appendix for the proper procedures.

8. The Commission has determined that the relevant provisions of the Regulatory Flexibility Act of 1980 do not apply to rule making proceedings to amend the FM Table of Assignments, § 73.504(a) of the Commission's rules. See, *Certification that Sections 603 and 604 of the Regulatory Flexibility Act Do Not Apply to Rule Making to Amend §§ 73.202(b), 73.504 and 73.606(b) of the Commission's rules*, 46 FR 11549, published February 9, 1981.

9. For further information concerning this proceeding, contact Mark N. Lipp, Broadcast Bureau, (202) 632-7792. However, members of the public should note that from the time a Notice of Proposed Rule Making is issued until the matter is no longer subject to Commission consideration or court review, all *ex parte* contacts are

prohibited in Commission proceedings, such as this one, which involve channel assignments. An *ex parte* contact is a message (spoken or written) concerning the merits of a pending rule making other than comments officially filed at the Commission or oral presentation required by the Commission. Any comment which has not been served on the petitioner constitutes an *ex parte* presentation and shall not be considered in the proceeding. Any reply comment which has not been served on the person(s) who filed the comment to which the reply is directed constitutes an *ex parte* presentation and shall not be considered in the proceeding.

(Secs. 4, 303, 48 Stat., as amended, 1066, 1082; 47 U.S.C. 154, 303)

Federal Communications Commission.

Roderick K. Porter,

Chief, Policy and Rules Division, Broadcast Bureau.

Appendix

1. Pursuant to authority found in Sections 4(i), 5(d)(1), 303(g) and (r), and 307(b) of the Communications Act of 1934, as amended, and §§ 0.281(b)(6) and 0.204(b) of the Commission's rules, it is proposed to amend the noncommercial educational FM Table of Assignments, § 73.504(a) of the Commission's rules, as set forth in the Notice of Proposed Rule Making to which this Appendix is attached.

2. *Showings Required.* Comments are invited on the proposal(s) discussed in the *Notice of Proposed Rule Making* to which this Appendix is attached. Proponent(s) will be expected to answer whatever questions are presented in initial comments. The proponent of a proposed assignment is also expected to file comments even if it only resubmits or incorporates by reference its former pleadings. It should also restate its present intention to apply for the channel if it is assigned, and, if authorized, to build a station promptly. Failure to file may lead to denial of the request.

3. *Cut-off Procedures.* The following procedures will govern the consideration of filings in this proceeding.

(a) Counterproposals advanced in this proceeding itself will be considered, if advanced in initial comments, so that parties may comment on them in reply comments. They will not be considered if advanced in reply comments. (See § 1.420(d) of the Commission's rules.)

(b) With respect to petitions for rule making which conflict with the proposal(s) in this notice, they will be considered as comments in the proceeding, and Public Notice to this effect will be given as long as they are filed before the date for filing initial comments herein. If they are filed later than that, they will not be considered in connection with the decision in this docket.

(c) The filing of a counterproposal may lead the Commission to assign a different channel than was requested for any of the communities involved.

4. *Comments and Reply Comments; Service.* Pursuant to applicable procedures set out in §§ 1.415 and 1.420 of the Commission's Rules and Regulations, interested parties may file comments and reply comments on or before the dates set forth in the *Notice of Proposed Rule Making* to which this Appendix is attached. All submissions by parties to this proceeding or persons acting on behalf of such parties must be made in written comments, reply comments, or other appropriate pleadings. Comments shall be served on the petitioner by the person filing the comments. Reply comments shall be served on the person(s) who filed comments to which the reply is directed. Such comments and reply comments shall be accompanied by a certificate of service. (See § 1.420(a), (b) and (c) of the Commission's rules.)

5. *Number of Copies.* In accordance with the provisions of § 1.420 of the Commission's rules and regulations, an original and four copies of all comments, reply comments, pleadings, briefs, or other documents shall be furnished the Commission.

6. *Public Inspection of Filings.* All filings made in this proceeding will be available for examination by interested parties during regular business hours in the Commission's Public Reference Room at its headquarters, 1919 M Street NW., Washington, D.C.

[FR Doc. 82-22643 Filed 8-18-82; 8:45 am]

BILLING CODE 6712-01-M

47 CFR Part 73

[BC Docket No. 82-541; RM-4158]

TV Broadcast Station in Hampton, Norfolk, Portsmouth, Newport News, Virginia; Proposed Changes in Table of Assignments

AGENCY: Federal Communications Commission.

ACTION: Proposed rule.

SUMMARY: This action proposes to reassign VHF television Channel 13 from Hampton, Virginia, to Norfolk-Portsmouth-Newport News-Hampton, Virginia, at the request of WVEC Television, Inc. Reassigning Channel 13 to the Hyphenated television assignment market will permit the licensee to apply for the channel at any one of the listed communities.

DATES: Comments must be filed on or before September 23, 1982, and reply comments on or before October 8, 1982.

ADDRESS: Federal Communications Commission, Washington, D.C. 20554.

FOR FURTHER INFORMATION CONTACT: Michael A. McGregor, Broadcast Bureau, (202) 632-7792.

SUPPLEMENTARY INFORMATION:

List of Subjects in 47 CFR Part 73

Television broadcasting.

Adopted: July 30, 1982.

Released: August 12, 1982.

In the matter of amendment of § 73.606(b), Table of Assignments, Television Broadcast Stations. (Hampton-Norfolk-Portsmouth-Newport News, Virginia), BC Docket No. 82-541; Rm-4158.

1. Before the Commission is a petition for rule making seeking the restoring of VHF television channel 13 from Hampton, Virginia, to the hyphenated market of Norfolk-Portsmouth-Newport News, Virginia, where it was previously allocated, or, in the alternative, the consolidation of the Hampton, Virginia, and Norfolk-Portsmouth-Newport News, Virginia, television channel assignments into one hyphenated television assignment market. The petition was filed by WVEC Television, Inc. ("WVEC"), licensee of television Station WVEC-TV, Channel 13, Hampton, Virginia. WVEC seeks this adjustment in the television table of assignments so that it may apply to change its city of license from Hampton, Virginia, to Norfolk, Virginia.[1]

2. WVEC lists several reasons to justify the channel reasssignment or the consolidation of the television assignment market. WVEC avers that due to the close proximity of Hampton, Norfolk, Portsmouth and Newport News, the cities have become a cohesive metropolitan area with substantial and widespread communities of interest. WVEC presents voluminous data indicating that the four cities indeed share many government services, community resources and cultural interests. WVEC also asserts that as the licensee of Channel 13 at Hampton, it has served the entire Tidewater area since it began operations and that its transmitting antenna is located in the same vicinity as the other area television stations which are licensed to Norfolk and Portsmouth. Further WVEC notes that Channel 13 was initially assigned to the Norfolk-Portsmouth-Newport News television market and licensed to Hampton under the "15 mile rule."[2] WVEC traces the history of Channel 13 and states that as late as 1965 the channel was still assigned to Norfolk-Portsmouth-Newport News. WVEC claims that Channel 13 first appeared in the table of assignments as a Hampton assignment in 1966 without any notice or opportunity for comment.[3]

[1] Channel 13 is presently listed in the television table of assignments at Hampton, Virginia. According to our rules, WVEC cannot change its city of license without first having Channel 13 reassigned to another community. By adding Hampton to the Norfolk-Portsmouth-Newport News market, WVEC may apply for Channel 13 at any one of the specified communities.

[2] *See* § 73.607(b) of the commission's rules.

[3] *Fostering Expanded Use of UHF Television Channels*, 2 F.C.C. 2d 527 (1966).

According to WVEC, no Commission explanation for the reassignement has ever been made. WVEC states that at no time did the Commission ever state, or even suggest, that Channel 13 was being reassigned because Hampton and Norfolk-Portsmouth-Newport News should be treated as separate markets for purposes of television channel assignments. WVEC concludes that there is no basis for treating the two markets separately and that they should therefore be consolidated.

3. Ultimately, WVEC wishes to change its city of license from Hampton to Norfolk. WVEC lists several reasons in support of this change. WVEC notes that although the Tidewater area has become a single region in many ways, the city of Norfolk is indisputably predominant due to its location in the center of the area and its large population. Moreover, WVEC claims that many of the major cultural institutions that serve the Tidewater area are located in Norfolk. According to WVEC, Norfolk is the financial, commercial, transportation, governmental, maritime, and military center of the Tidewater region. Because of Norfolk's dominance in the area, WVEC submits that the public interest would be served if WVEC-TV's operations shifted from Hampton to Norfolk. WVEC states that Norfolk is the source of the bulk of news and public affairs programming for the entire area, and that WVEC is hampered in its ability to serve the region because of the Commission requirement that it maintain its primary studio in Hampton. Changing the city of license would enable WVEC to operate its main studio in Norfolk and would result in a more efficient broadcast operation.[4]

4. WVEC further requests that its license be modified in this proceeding from its present city of license, Hampton, to Norfolk. WVEC argues that the Commission's policy of permitting other interested parties to apply for newly assigned channels should not be employed in this instance. WVEC states that this is not a case in which Channel 13 would be available for the first time to Norfolk, Portsmouth or Newport News. WVEC points out that Channel 13 was originally assigned to those communities on a hyphenated basis and four of the original five applicants for the channel proposed to use it in Norfolk. WVEC also notes that there are other stations currently serving Norfolk and that the reassignment of Channel 13 thus does not represent the only channel available for serving the unique needs of Norfolk. Further, WVEC alleges that the proposal does not contemplate any change in transmitter sites. WVEC surmises that reassigning Channel 13 to the Norfolk-Portsmouth-Newport News market would not be a matter of substance, but would be a mere correction of the action taken by the Commission in 1966 without public notice or comment. As further evidence that the reassignment would not constitute a substantive change in the table of assignments, WVEC lists several instances in which the Commission has considered Channel 13 as part of the greater Norfolk television market. WVEC concludes that no adverse public interest effects would flow from a modification of its license and that it would in fact be better able to serve the greater Tidewater area if licensed to Norfolk.[5]

5. Under existing Commission policy, the consolidation of the Hampton and Norfolk-Portsmouth-Newport News markets into one hyphenated market for television assignment purposes appears appropriate. Hyphenation of television markets is an assignment tool used by the Commission in three distinct factual situations. We occasionally assign a channel to a hyphenated market when we believe it is best to postpone to the application stage any unresolved or close questions as to which community should use the assignment. *Huntsville-Decatur, Alabama*, 44 R.R. 2d 457 (1978). We have also allowed hyphenation upon a showing that a station licensed to a small community is likely to fail unless it is able to apply for authority to operate from a larger community. *Nogales-Tucson, Arizona*, 32 F.C.C. 2d 885 (1972). Finally, hyphenation is used in areas where, for assignment purposes, it appears that the communities should be treated as one community by reason of their proximity and common social, cultural, trade, and economic interests. *Lancaster-Lebanon, Pennsylvania*, 24 R.R. 1564 (1962). The instant proposal clearly falls within the third category of appropriate hyphenation cases. The communities of Hampton and Newport News are contiguous and both are separated from Norfolk and Portsmouth by Hampton Roads, a body of water approximately two miles wide at its narrowest point. According to the 1980 Census, with the exception of Norfolk which is considerably larger, the cities included in the proposed hyphenated market are roughly similar in size. Furthermore, the Commission has treated Norfolk-Newport News-Portsmouth-Hampton as a single market for purposes of cable television signal carriage, the prime time access rule, and the annual television market financial reports. These factors suggest that a sufficient community of interest exists among the four cities to justify consolidation of the markets for television assignment purposes. Therefore, we shall propose the consolidation of the Hampton and Norfolk-Portsmouth-Newport News television assignment markets.[6]

6. The second major issue to address in this *Notice* concerns WVEC's request that its license be modified to specify Norfolk as its city of license. The Commission's policy regarding modification of existing licenses was developed based on principles espoused in *Ashbacker* v. *FCC*, 326 U.S. 327 (1945). *Ashbacker* simply states that comparative consideration must be given to mutually exclusive applications. Thus, whenever a channel becomes available for license to a new community, other interested parties are allowed to apply so that the Commission may determine which applicant is best qualified to serve that city.

7. WVEC argues that because Channel 13 was originally assigned to Norfolk-Portsmouth-Newport News, reassigning the channel back to that market does not constitute a substantive change in the table of assignments that would trigger *Ashbacker* principles. We disagree. The crucial factor in these cases is not where the channel appears in the table of assignments, but where the channel is licensed. In *Riverside and Santa Ana, California*, 81 F.C.C. 2d 218 (1980), a television channel originally assigned to Riverside but licensed to Fontana under the 15-mile rule was reassigned to Santa Ana at the request of the Fontana licensee. Subsequently, while still licensed at Fontana, the licensee sought to reassign the channel back to Riverside. We ruled that if the channel were reassigned to Riverside, it would have to be opened up for competing applications because the channel had always been licensed at Fontana and had never been used at Riverside. We have a similar situation in the instant case. Channel 13 has always been licensed to Hampton and has never been used at Norfolk. Thus, in order to ensure that we choose the party

[4] WVEC notes that its news department has been centered at its Norfolk studio since 1971. However, WVEC avers that it is originating over 50 percent of its local programming from its Hampton studio or from remote points in Hampton.

[5] WVEC contends that if its license is modified to specify Norfolk, it will nonetheless maintain studios in, and originate local programming from Hampton.

[6] Because there are two television stations presently allocated to Hampton, we believe consolidating the markets is preferable to simply reassigning one channel to Norfolk-Portsmouth-Newport News.

best suited to serve the unique needs of Norfolk, we must permit the filing of competing applications. We would take this approach even if Channel 13 had never been reassigned from the Norfolk-Portsmouth-Newport News market to the Hampton market.[7] Therefore, WVEC's request to propose the modification of its license to specify Norfolk will be denied.[8]

8. WVEC asks that the notice make it clear that WVEC may withdraw any application it files for relocation of Channel 13 if a competing application for use of Channel 13 is filed. The matter of accepting or dismissing applications is more appropriately treated at the application stage in accordance with the policies and procedures that have been developed. Thus, we shall delay consideration of this matter until that stage.

9. Accordingly, the Commission proposes to amend the television table of assignments, § 73.606(b) of the Commission's Rules, as follows:

City	Channel No.	
	Present	Proposed
Hampton, Va.	13– and *15	
Norfolk-Portsmouth-Newport News, Va.	3+, 10+, 27, 33, 49–, and *55+	
Norfolk-Portsmouth-Newport News-Hampton, Va.		3+, 10+, 13–, *15, 27, 33, 49–, and *55+.

10. The Commission's authority to institute rule making proceedings, showings required, cut-off procedures, and filing requirements are contained in the attached Appendix and are incorporated by reference herein.

Note.—A showing of continuing interest is required by paragraph 2 of the Appendix before a channel will be assigned.

11. Interested parties may file comments on or before September 23, 1982, and reply comments on or before October 8, 1982, and are advised to read the Appendix for the proper procedures.

12. The Commission has determined that the relevant provisions of the Regulatory Flexibility Act of 1980 do not apply to rule making proceedings to amend the TV Table of Assigments, § 73.606(b) of the Commission's Rules. See, *Certification that Sections 603 and 604 of the Regulatory Flexibility Act Do Not Apply to Rule Making to Amend §§ 73.202(b), 73.504 and 73.606(b) of the Commission's Rules,* 46 FR 11549, published February 9, 1981.

13. For further information concerning this proceeding, contact Michael A. McGregor, Broadcast Bureau, (202) 632–7792. However, members of the public should note that from the time a Notice of Proposed Rule Making is issued until the matter is no longer subject to Commission consideration or court review, all *ex parte* contacts are prohibited in Commission proceedings, such as this one, which involve channel assignments. An *ex parte* contact is a message (spoken or written) concerning the merits of a pending rule making other than comments officially filed at the Commission or oral presentation required by the Commission. Any comment which has not been served on the petitioner constitutes an *ex parte* presentation and shall not be considered in the proceeding. Any reply comment which has not been served on the person(s) who filed the comment to which the reply is directed constitutes an *ex parte* presentation and shall not be considered in the proceeding.

(Secs. 4, 303, 48 Stat., as amended, 1066, 1082; 47 U.S.C. 154, 303)

Federal Communications Commission.

Roderick K. Porter,

Chief, Policy and Rules Division, Broadcast Bureau.

Appendix

1. Pursuant to authority found in Sections 4(i), 5(d)(1), 303(g) and (r), and 307(b) of the Communications Act of 1934, as amended, and §§ 0.281(b)(6) and 0.204(b) of the Commission's rules, it is proposed to amend the TV Table of Assignments, § 73.606(b) of the Commission's rules and regulations, as set forth in the *Notice of Proposed Rule Making* to which this Appendix is attached.

2. *Showings Required.* Comments are invited on the proposal(s) discussed in the *Notice of Proposed Rule Making* to which this Appendix is attached. Proponent(s) will be expected to answer whatever questions are presented in initial comments. The proponent of a proposed assignment is also expected to file comments even if it only resubmits or incorporates by reference its former pleadings. It should also restate its present intention to apply for the channel if it is assigned, and, if authorized, to build a station promptly. Failure to file may lead to denial of the request.

3. *Cut-off Procedures.* The following procedures will govern the consideration of filings in this proceeding.

(a) Counterproposals advanced in this proceeding itself will be considered, if advanced in initial comments, so that parties may comment on them in reply comments. They will not be considered if advanced in reply comments. (See § 1.420(d) of the Commission's rules.)

(b) With respect to petitions for rule making which conflict with the proposal(s) in this *Notice,* they will be considered as comments in the proceeding, and Public Notice to this effect will be given as long as they are filed before the date of filing initial comments herein. If they are filed later than that, they will not be considered in connection with the decision in this docket.

(c) The filing of a counterproposal may lead the Commission to assign a different channel than was requested for any of the communities involved.

4. *Comments and Reply Comments; Service.* Pursuant to applicable procedures set out in §§ 1.415 and 1.420 of the Commission's rules and regulations, interested parties may file comments and reply comments on or before the dates set forth in the *Notice of Proposed Rule Making* to which this Appendix is attached. All submissions by parties to this proceeding or persons acting on behalf of such parties must be made in written comments, reply comments, or other appropriate pleadings. Comments shall be served on the petitioner by the person filing the comments. Reply comments shall be served on the person(s) who filed comments to which the reply is directed. Such comments and reply comments shall be accompanied by a certificate of service. (See § 1.420(a), (b) and (c) of the Commission's rules.)

5. *Number of Copies.* In accordance with the provisions of § 1.420 of the Commission's Rules and Regulations, an original and four copies of all comments, reply comments, pleadings, briefs, or other documents shall be furnished the Commission.

6. *Public Inspection of Filings.* All filings made in this proceeding will be available for examination by interested parties during regular business hours in the Commission's Public Reference Room at its headquarters, 1919 M Street, N.W., Washington, D.C.

[FR Doc. 82–22646 Filed 8–18–82; 8:45 am]

BILLING CODE 6712–01–M

[7] Further, even assuming that the Commission's assignment procedure was irregular, the time for contesting that action was in 1966 when the action was taken. We believe it would be unproductive to institute a proceeding to assign Channel 13 to Hampton in a way that more strictly complies with the Administrative Procedure Act and then proceed with petitioner's request to have the channel reassigned to the Norfolk market. Such a procedure would accomplish little since it would not allow for a modification of license.

[8] We recognize that in the past the Commission has made exceptions to this policy. *See, e.g., Lebanon-Lancaster, Pennsylvania,* 24 R.R. 1564 (1962) (license modified in rule making to specify new city of license). We believe that the procedure utilized at present is more fair and legally correct, and we have applied it consistently for the past decade.

47 CFR Part 73

[BC Docket No. 82-441; FCC 82-326]

Amendment of the Commission's Rules Concerning Subscription Television Authorization for Noncommercial Educational Television Station Licensees

AGENCY: Federal Communications Commission.

ACTION: Proposed rule.

SUMMARY: The Commission proposes to amend its subscription television (STV) rules to authorize its use by public television licensees. The Commission is exploring the circumstances under which granting STV authority to public broadcasters may be used to maintain and further that service's goals and purposes.

DATE: Comments must be filed on or before October 11, 1982, and reply comments on or before November 11, 1982.

ADDRESS: Federal Communications Commission, Washington, D.C. 20554.

FOR FURTHER INFORMATION CONTACT: Judith Herman, Broadcast Bureau, (202) 632-6302.

SUPPLEMENTARY INFORMATION:

List of Subject in 47 CFR Part 73

Television.

Adopted: July 15, 1982.

Released: August 11, 1982.

Introduction

In the matter of amendment of § 73.642(a) of the Commission's Rules Concerning Subscription Television Authorization for Noncommercial Educational Television Station Licensees; BC Docket No. 82-441; notice of proposed rule making.

1. With this *Notice of Proposed Rule Making,* the Commission is initiating a proceeding which proposes the use of subscription television (STV) by public television licensees.[1] At present, the Commission 's STV authorization rules (Section 73.642(a)) stipulate that only commercial licensees can be granted such authority. The Commission wishes to explore the possibility of authorizing STV for pubic broadcasters as a vehicle to maintain and further that service's goals and purposes. This *Notice* explores a variety of STV uses which could be opened to public broadcasters, and we invite public comment on the appropriateness of permitting such uses by public broadcasting television licensees.

[1] The term "public television" is used herein to refer to all stations licensed by the Commission as noncommercial educational television stations.

The Need To Examine STV Authorization for Public Television Stations

2. Public television has developed over the years from a fledgling educational service into a unique programming medium. The Commission has encouraged this development through special regulatory treatment. In this connection, the most important contribution that the Commission has provided to public broadcasters is the reservation of channels exclusively for public television service. In licensing reserved channels, we have also restricted applicants to nonprofit institutions that basically have an educational and cultural orientation. In addition to these licensing policies, the Commission has adopted rules prohibiting public television licensees from accepting compensation for on-air promotion of the goods and services of for-profit organizations.[2]

3. As a result of the policies described above, we have created a special category of licensees that is essentially independent from profit-oriented commercial pressures. For-profit commercial broadcasters earn their income by selling air time to advertisers. Although many variables plsy role in determining station revenues, they are most significantly determined by audience size *i.e.,* the larger a station's audience, the greater its revenue. Thus, in most markets, commercial licensees try to attract the largest audience by showing similar "mass appeal" type programs. In those markets, few programs will be aired that are expected to attract only small audiences. Since our rules prohibit public broadcasters from selling air time to for-profit advertisers, public broadcasters are largely free to produce distinctive programs that appeal to small, highly differentiated audiences. Such programs are less appealing to for-profit commercial broadcasters. Commission encouragement of public television has thus enabled somewhat smaller audiences to enjoy an enriching selection of cultural, instructional, public affairs, and quality entertainment programming.[3]

[2] *See Commission Policy Concerning the Noncommercial Nature of Educational Broadcasting Stations,* Docket No. 21136 (July 15, 1982).

[3] *See* Noll, Peck, McGowan, *Economic Aspects of Television Regulation,* Ch. 2 (The Brookings Institution, Washington, D.C. 1973); and Owen, Beebe, Manning, *Television Economics,* Ch. 3 (D.C. Heath 1974).

4. While the Commission has taken measures to insulate licensees from profit-related pressures, we recognize that public broadcasting must have access to adequate funding to remain financially viable or cease to exist. In this connection, public stations have traditionally relied on substantial funding from federal, state, and local governments, state colleges and private sector contributions to cover their expenses. Historically, state and local governments have provided for the capital plant and operating cost needs of public broadcasting. Beginning in the 1960's, significant federal funding support became available for public broadcasting. Indeed, in 1980, the Federal government provided approximately 30 percent of the total public broadcasting income of 700 million dollars. State and local governments and state colleges provided an additional 40 percent. Apart from governmental sources of funds, licensees have actively sought and obtained financial support from the private sector. In 1980, public broadcasting raised 30 percent of its income from voluntary contributions from the general public ("subscribers"), coporations, foundations, auctions, and private colleges.[4]

5. Notwithstanding the above, in 1980 for the first time, the growth in total industry income did not keep pace with inflation. Today, rising costs have forced many stations to trim budgets, lay off staff, and eliminate programs. In addition, the present governmental funding situation has created a climate of uncertainty for public broadcasting's future. In this regard, significant cutbacks in federal funding for the public broadcasting system have been proposed. For example, federal support in fiscal year 1982 will equal about $250 million. However, a reduction of approximately $100 million in fiscal year 1983 has been proposed. If these and other proposed budget cuts are implemented, state and local funding received by public broadcasting may also be reduced as local government entities adjust their budgets in response to cuts in federal transfer payments. Budget reductions of this magnitude, implemented over such a short period of time, may create significant financial hardships for the public broadcasting system and thereby lessen the ability of public stations to continue to provide

[4] The ability of public television licensees to raise funds from multiple and diverse sources has also led to a broad base of funding support that has reduced the ability of any single entity to influence program decisions. *See* paragraph 14, *infra.*

programming service to the American public.

6. The seriousness of this general funding predicament has been clearly recognized by Congress and the Commission. In 1981 Congress amended the Communications Act of 1934 to address public broadcasting fundraising activities,[5] and to create the Temporary Commission on Alternative Financing for Public Telecommunications ("TCAF") to study and aggressively explore alternative sources of funding for public radio and television stations.[6] According to the House Report, one of the primary purposes of the legislation was "to facilitate and encourage the efforts of public broadcasting licensees to seek and develop new sources of non-Federal revenue, which will be necessary for the long term support of the system as Federal funding is reduced."[7] In addition to our participation in TCAF, this Commission has recognized the financial dilemmas of public broadcasting, and we have undertaken actions to open up new potential sources of funds. Thus, we have liberalized our policies regarding the acknowledgements of contributions; [8] we have permitted public AM stations to engage in utility load management services for compensation; [9] and we have proposed permitting public FM stations to use subsidiary communications authorizations for the generation of revenue in the same manner as commercial FM stations.[10]

7. Public licensees have also participated in these efforts by proposing innovative approaches to funding their operations. With specific regard to public television, a petition for rule making has sought relief from our rules that preclude public television licensees from obtaining STV authorizations.[11] In addition, waiver requests received by the Commission seek authority to implement STV in a variety of ways. For example, KQED, Inc., licensee of public television stations KQEC, Channel 32, and KQED, Channel 9, San Francisco, California, proposes to associate with an STV programmer who would provide STV on KQEC.[12] Initially, the programming would be similar to that being aired on operating pay TV stations. The income derived from the STV service would be used to support at least ten hours per day of conventionally broadcast programming. This programming would, in major part, consist of new instructional and other targeted audience broadcasts not currently available to the community. KQED, Inc. proposes no changes in the operation of its main channel, KQED. It believes that its proposal furthers the goals of public broadcasting because KQEC is in serious financial difficulty and is currently on the air for only a few hours each day.

8. Black Television Workshop (BTW) has applied for public television Channel 22 in Cotati, California.[13] BTW proposes to include minority (Black) oriented programming as part of its regular broadcasts. It asserts that while three other public television stations serve the area which includes Cotati, there is a demand for minority programming that is not being met. BTW also states that direct viewer support will be required to finance this service since federal funding is not available. It, therefore, proposes to provide its programming on an STV basis. This waiver request was denied based upon our current rules but reconsideration has been sought.

9. Citing possible financial difficulties stemming from decreases in government support, Lake Central School Corporation proposes to provide STV programming on its television station in St. John, Indiana.[14] Specifically, Lake Central proposes to arrange with an STV operator to provide a maximum of 1200 prime time hours. It seeks to produce local programming with the funds generated through its STV operation and broadcast the programs conventionally during non-prime-time hours. Lake Central believes that the STV service would provide additional viewing options to the public and provide a viable funding source for public television.

10. In light of the foregoing, we believe it is appropriate to explore modifications of our rules which would permit public television stations to conduct STV operations. There follows a more general discussion of the possible benefits of such uses.

Overall Benefits of Permitting STV Use by Public Television Stations

11. Substantial benefits may be derived from permitting some use of STV on public television. First, the persons who are the most direct beneficiaries of public television, the viewing public, would contribute directly to its support. Some estimates are that less than 10 percent of public television's viewers now contribute to such operations.[15] Individual viewers do not now have a strong incentive to contribute because they will be able to enjoy the programs of public broadcasters whether or not they make a donation. However, services that cannot require any payment from consumers can become underfunded and, indeed, may collapse financially. The Commission does not believe that the failure or diminution of the public broadcasting service resulting from inadequate access to the sources of funds it needs to survive and prosper would serve the public interest.

12. We recognize that an argument can be made that the public has already "paid" for public television with its tax dollars. However, public funds contribute only part of the funds necessary to support our extensive public television system. To the extent that public funds and private contributions are inadequate to permit public broadcast stations to maintain and/or expand their programming, the difference cannot be made up by charging any fees to members of the public who receive programming from the station. In contrast to this situation, museums, theatrical companies, universities, scholarly presses, nonprofit magazines and other nonprofit institutions that receive partial support

[5] *See Commission Policy Concerning the Noncommercial Nature of Educational Broadcasting Stations*, Docket No. 21136 (July 15, 1982).

[6] Public Broadcasting Amendments Act of 1981, Sections, 1231–33 of the Omnibus Budget Reconciliation Act of 1981, P.L. 97–35, 97th Cong., 1st Session.

[7] Amendments Act of 1981, 97th Cong., 1st Sess., p. 7 (1981) (*House Report* 97–82).

[8] *Second Report and Order*, 86 FCC 2d 141 (1981); *see also Commission Policy Concerning the Noncommercial Nature of Educational Broadcasting Stations*, Docket No. 21136 (July 15, 1982).

[9] *Report and Order*, BC Docket 81–896, (May 25, 1982)

[10] *Notice of Proposed Rule Making*, BC Docket 82–1, 47 Fed. Reg. 2384 (January 15, 1982).

[11] A Petition for a Notice of Proposed Rule Making to Amend Sections 73.642 and 73.621 of the Commission's Rules to Authorize Public Television Licensees to Broadcast Subscription Television was jointly submitted on October 21, 1981, by KQED, Inc.; the Milwaukee District Area Board of Vocational, Technical and Adult Education; the Ohio State University; School District No. 1, City and County of Denver, Colorado; Southern Tier ETV Association, Inc., State Educational Radio and Television Facility Board; Sunflower Educational Television Corporation; and University Regional Boardcasting, Inc. The Commission put the petition out for public comment on November 18, 1981 (RM–4001). On November 20, 1981, the petitioners withdrew their petition without prejudice.

[12] Application of KQED, Inc., for Subscription Television Authorization and for Waiver of the Rules filed April, 1980.

[13] Black Television Workshop Application for Channel 22, Cotati, California, File #BPET 810903KF, filed September 3, 1981.

[14] Petition for Waiver to Authorize Lake Central School Corp. to Broadcast STV filed November 9, 1981.

[15] Station Independence Program Office, Public Broadcasting Service.

from governmental sources and private contributions can also charge admission or subscription fees to fully meet the costs of their services. The combination of public funds, private contributions and these fee charges thus permits these other nonprofit institutions to maintain their viability and to provide a higher quality and greater variety of cultural programs and exhibits than might otherwise be the case.

13. A second beneficial aspect of STV is that it gives viewers a direct way to register their programming preferences. Since viewer contributions are not directly tied to the programs that most interest them, they do not now have an incentive to give in proportion to their true valuation of programs. Thus, income from voluntary contributions does not necessarily reflect viewer tastes. One of the important goals of public television is to provide progamming for "minority" tastes—those viewers whose interests are not adequately met by the commercial media. Yet, one of a licensee's most important sources of information about what its viewers want to see—the level of community support—may simply reflect a general community attitude toward public television rather than the desire for specific program types. STV permits viewers to register the intensity of their program preferences, *i.e.*, the relative strength of their desire for different programs. Thus, public television might be able to air certain programs of great value to some of its viewers that it otherwise would not. For example, licensees might be able to fund a greater amount of original dramatic works. STV would thereby permit licensees to assess more accurately their viewers' program preferences.

14. A third benefit that could derive from permitting the use of STV on public television is that increased viewer contributions would widen public television's diverse base of support. The ability of any single public or private entity to affect programming decisions would thereby be diminished. Broad-based support also contributes to public broadcasting's ability to withstand a diminution in any one source of funding, without a significant reduction in its overall service to the community. For example, public broadcasting has rebounded from the rapid decline in support from the Ford Foundation that occured in the mid-1970's. Similarly, if federal government funding declines as is expected in the future, the success of licensees in making up at least part of the loss with increases in direct viewer support may be crucial to public broadcasting's continued existence. As a funding source, STV is not dependent on uncertain levels of federal and state government support and, thus, may tend to promote a stronger and self-sustaining public broadcasting system.

15. Fourth, the usefulness of STV authority for a particular station could be determined by each individual licensee. Each licensee would have the flexibility to decide whether and how its community and organization could benefit from STV. For insurance, demand may exist for locally-oriented programming, special events, or education courses that would have small, specialized audiences. Thus, STV provides an opportunity for stations to air programming that might not otherwise be considered because of prohibitive financial considerations. In this manner, STV could allow licensees to better meet the needs of their communities.

16. Fifth, the additional revenues from STV could enable stations to be on the air for a greater portion of the day. In 1978, the average public television station was on the air only thirteen hours per day.[16] By comparison, the average commercial television station was on the air over nineteen hours per day.[17] In addition, STV revenues might even prove sufficient to bring currently vacant reserved channels on the air. The Commission first reserved channels for noncommercial educational use in 1952. After 30 years, many channels continue to remain vacant. In fact, 15 percent of the 137 reserved VHF channels and 65 percent of the 575 reserved UHF channels are still dark.[18] The failure to fully utilize the spectrum which the Commission has allocated to public television represents an irretrievable loss to society each day it is unused. A community is clearly better off if a channel that is vacant can be brought on the air with STV authority than if no service is available on that channel.

17. Finally, and perhaps most important, the authorization of STV for noncommercial use may result in the preservation and/or expansion of conventional public broadcasting service. Specifically, licensees could decide to utilize STV for a portion of the broadcast day as a means to support non-STV programming.

Discussion of Pertinent STV Statutory and Policy Issues

18. The Commission has been considering STV issues in rule making proceedings for more than two decades. We established the basis for STV as a nationwide over-the-air service on commercial television stations in 1968. *Fourth Report and Order*, 15 F.C.C. 2d 466 (1968). At that time, we concluded that STV could provide a beneficial supplement to conventional television programming which could lead to an improvement in the types and overall quality of programming available to the public. We initially imposed restrictive regulations governing STV in the belief that they were necessary to maintain the availability of conventional programming. However, after a decade of experience with STV, we are re-evaluating these regulations with a view toward eliminating any unnecessary restrictions. Proposals to relax many of our rules in this area for commercial broadcasters were part of an outstanding *Notice of Proposed Rule Making* in Docket No. 21502.[19]

19. Existing STV stations have demonstrated that the pay mode of operation provides opportunities for the public to more fully enjoy the medium of television. It has the potential to accelerate the utilization of unused channels, provide viable financial support for specialized programming and small market stations, and provide a vehicle for broadcasters to directly respond to the interests of their audiences. However, the benefits derived thus far from STV have been limited to the viewers of commercial stations and the stations themselves. The Commission originally restricted STV authority to commercial licensees in its *Fourth Report and Order*. At that time, we noted that our attention throughout the proceeding had been directed at the interplay of commercial television and STV and decided, therefore, that only parties having or applying for authorizations to operate commercial television stations would be eligible to apply for STV authorizations. *Fourth Report and Order, supra*, at 577. Nevertheless, we expressed an interest in developing a record on which to base decisions concerning STV over public television stations. In particular, we noted the filing of a petition for rule making by KCET which proposed allowing public broadcasters to transmit scrambled video and multiplexed FM subcarrier aural signals. The Commission considered using that petition as a vehicle for developing such a record. However, we ultimately

[16] *Status Report of Public Broadcasting 1980* (Corporation for Public Broadcasting).

[17] *Television Broadcast Programming Data, 1979* (December 15, 1980).

[18] *Television Channel Utilization*, Table 1 (April 16, 1982).

[19] *See Further Notice of Proposed Rule Making*, Docket No. 21502, 46 FR 57078 (November 20, 1981) and *Third Report and Order*, Docket No. 21502 (June 17, 1982) 47 FR 30069 (July 12, 1982).

decided against granting KCET's request because of the point to point nature of the transmission involved. The general public interest issues concerning whether STV is appropriate for public television were not a factor in that decision. *Encoded Transmissions by Educational TV Stations*, 26 R.R. 2d 407, 408 (1973). The following discussion addresses these public interest issues.

20. *Statutory Issues*—The first such issue to be addressed before STV can be authorized for public television is whether authorization of this service is permissable under Section 1231 of the Omnibus Budget Reconciliation Act of 1981, P.L. 97–35, 97th Cong. 1st Session (1981), which amended the Communications Act by adding Section 399B. Section 399B explicitly authorizes public stations "to engage in the offering of services, facilities, or products in exchange for remuneration" with the caveat that: "any such offering by a public broadcast station shall not interfere with the provision of public telecommunications services by such station." The language of 399B is rather broad. It does not delineate what such "offerings" may include, nor does it specify what constitutes interference with delivery of a public telecommunications service.

21. Further, the legislative history is unclear on this point. By way of example, the *House Report* stated that such offerings may include the provision of "instructional, educational and cultural material, for remuneration, to public school systems and other nonprofit institutions," a practice some stations have followed. Amendments Act of 1981, 97th Cong., 1st Sess., p. 25 (1981). The House Report further stated:

> Although this "non-interference" test is broad, and is to be judged as the circumstances in each particular instance dictate, the intent of this provision is that *the use of facilities for other than public telecommunications services should not impair the quantity or quality of the services that would be expected of public broadcast stations had this modification of law not occurred.* The purpose of this provision is to enable public telecommunications entities to lease their facilities for remuneration. The Committee believes it essential that public television and radio stations be encouraged to generate additional revenue, especially given the declining Federal commitment to public broadcasting. *But such activities must not be pursued at the expense or neglect of public broadcasting's primary mandate: providing public telecommunications services. The Committee intends that excess, as opposed to basic, capacity of available facilities—"dead time" in the studios and on the satellite, for example—may be used for these expanded activities.* (Emphasis Added) *Id.* at 17–18.[20]

It does not appear that Congress specifically considered the authorization of STV service as a possible offering for remuneration by and an alternative means of financing for public broadcast stations. Thus it does not appear that Congress determined whether STV service would constitute interference with the delivery of public telecommunications service. We note, however, that the Congressionally authorized Temporary Commission specifically recommended that the Federal Communications Commission "initiate an expeditious rulemaking to develop appropriate policies for authorizing STV operations by public broadcasting licensees," concluding that "STV may prove an effective way to generate income without interfering with current services."[21] In light of the above, parties filing comments are asked to address themselves to whether Section 399B imposes limitations on STV operations.

22. *Policy Issues*—Apart from the specific statutory concerns, we also ask commenters to address themselves to the appropriateness of permitting public stations to engage in STV operations. In this regard, we ask whether "for pay" programming is consistent with the noncommercial nature of the public broadcast service and whether in light of the Commission's channel reservation policies and other government subsidies, public licensees can meet their obligations to their audiences and engage in STV operations.

23. It may be true that there is little danger of "for pay" offerings interfering with the programming nature of this service. Specifically, the Commission presently requires that a public broadcaster must be a nonprofit (tax-exempt) institution under the Internal Revenue Code to qualify for a license on a reserved channel.[22] The tax-exempt status given to public broadcasting licensees is a direct benefit from the Federal Government in support of their charitable, educational, and literary functions. The Internal Revenue Code imposes conditions and methods of operation to ensure that such organizations are being run for the purposes stated.[23] The most important of these requirements is that any business venture in which the tax exempt institution may engage must further the exempt purpose of the organization other than through the production of income. Second, the activity must not be disproportionately large in relation to the primary activity of the exempt organization. Third, the income must be retained and spent entirely on furthering the purposes of the nonprofit organization.[24] If the business enterprise does not meet the first test, the income from it will not be tax-exempt. If, in addition, the business enterprise does not meet either of the remaining conditions, the licensee is in jeopardy of losing its nonprofit status, and, therefore, its public broadcasting license.

STV Options

24. If the Commission decides to permit public broadcasters to engage in STV, it could grant the authority in a broad or narrow manner. We are considering several possibilities as discussed below and invite suggestions on other alternatives. Some of the options presented appear to be in the public interest, while others may create

[20] Although the above comments pertain to section 392(a)(4), the *House Report* stated that the analysis was "directly applicable" to Section 399B, as well. *Id.* at 25.

[21] *Alternative Financing Options for Public Broadcasting.* TThe Temporary Commission on Alternative Financing for Public Telecommunications, Vol. I, p. 69 (July, 1982). It is significant to note that the membership of the Temporary Commission includes Senator Robert W. Packwood, Chairman of the Committee on Commerce, Science and Transportation of the Senate; Senator Howard W. Cannon, ranking minority member of the Committee on Commerce, Science and Transportation of the Senate; Representative Al Swift, designee of the Chairman of the Committee on Energy and Commerce of the House of Representatives; and Representative Thomas J. Tauke, designee of the ranking minority member of the Committee on Energy and Commerce of the House of Representatives. These members did not dissent from the position taken by the Temporary Commission.

[22] "IRC [Internal Revenue Code] section 501(c)(3) exempts from Federal income tax: corporations, and any community chest, fund, or foundation, organized and operated exclusively for religious, charitable, scientific, testing for public safety, literary, or educational purposes, or to foster national or international amateur sports competition (but only if no part of its activities involve the provision of athletic facilities or equipment), or for the prevention of cruelty to children or animals, no part of the net earnings of which inures to the benefit of any private shareholder or individual, no substantial part of the activities of which is carrying on propaganda, or othewise attempting to influence legislation (except as otherwise provided in subsection (i)), and which does not participate in, or intervene in (including the publishing or distributing of statements), any political campaign on behalf of any candidate for public office." *See The Exempt Organizations Handbook*, Internal Revenue Service, p. 27 (March 15, 1982). See also IRS Rev. Rul. 66–220, 1966–2 C.B. 209.

[23] *See The Exempt Organizations Handbook*, pp. 28 ff.

[24] For Internal Revenue Service interpretation of these guidelines *see*, e.g., Rev. Rul. 67–4, 1967–1 C.B. 121; and Rev. Rul. 64–175, 1964–1 (Part 1) C.B. 185. In addition, see *Carle Foundation* v. *U.S.*, 611 F. 2d 1192 (7th Cir. 1980); *Iowa State University of Science and Technology*, 500 F. 2d 508 (Ct. Cl. 1974); and *American College of Physicians* v. *U.S.*, 530 F. 2d 930 (Ct. Cl. 1976).

some concerns. We solicit comments with regard to each option.

25. *Unlimited STV Without Functional Restrictions*—Under this option, public broadcasters could receive STV authority with no restrictions regarding either the kind *or* the amount of subscription programming they broadcast. In doing so, we would permit a licensee to provide STV on a full-time basis. A significant advantage of unlimited STV authorization may be the likelihood that substantial private funding can be obtained. Moreover, unlimited STV operation would afford maximum licensee discretion to provide STV programming most responsive to its community's needs. For example, a small town station may need to offer STV on a substantial basis in order to remain on the air while a station in a large community may require very little STV operation in order to remain viable. Further, a station in a large community may have the greatest demand for STV-delivered, adult-education-type programming. In some cases, there may be no conventional service without permitting such a large scale revenue-generating practice. In addition to addressing the need for broad STV authority, comments should address possible restrictions on unlimited STV operation that may be imposed by the requirements of the Internal Revenue Code as discussed in paragraph 23, *supra*. Further, parties filing comments should consider whether such operations would be permitted by Section 399B of the Communications Act as discussed in paragraphs 20 and 21 *supra*.

26. If it appears that the requirements of Section 399B of the Communications Act, the provisions of the Internal Revenue Code and/or considerations relating to the nature of the public television service mandate only limited restrictions on STV operations by public television stations, several additional options are open to us.

27. *Limited STV With a Functional Restriction: Education Courses/Adult Education*—One limited form of STV authorization would permit television stations to offer instructional programs on a subscription basis. For example, college and university licensees could offer college courses for credit, over-the-air.[25] This would enable persons to earn a college degree who are unable to use a school's on-campus facilities due to work schedule conflicts, lack of proximity, physical handicap or other personal circumstances. Further, schools have encountered an increasing demand by the adult population for educational opportunities. Universities have responded to these demonstrated adult needs by scheduling courses at night and on weekends. Universities are presently discouraged from providing these courses over-the-air to an "at home" student body because they cannot exclude non-paying individuals from auditing the courses for free. Usually, of course, those who do not pay would be excluded from the classroom.

28. In addition to formal educational courses, there is a growing trend in our society toward more general adult education programs. These include areas such as cooking, auto mechanics, exercise classes, gardening, etc. STV would likely encourage such endeavors. It appears that everyone would be better off if schools were given this opportunity to serve. By way of these "classrooms of the air," people can attend college who otherwise could not, and enrollment at universities might increase. Allowing STV for this limited purpose would thus appear to encourage the full use of both the electromagnetic spectrum and educational resources.

29. *STV for Part of the Broadcast Day*—The Commission could also authorize public broadcasters to provide subscription service for some portion of the broadcast day or week and require conventional-type programming the remainder of the time.[26] For example, a licensee might be allowed to air STV mode programming several evenings per week, and required to air programs conventionally the remainder of the time. Although this would appear to result in non-subscribers being excluded from some programming, it would not necessarily be the case. Perhaps subscribers could view certain programs first, while non-subscribers would be allowed to see them at a later point in time through the conventional mode.[27] STV operations that deliver programming for video taping after midnight but before sign-on might be appropriate under an authorization with limited hours of operation.[28] Licensees could use the increased revenues to provide additional STV as well as non-STV programs—thereby making both subscribers and non-subscribers better off then they might be without the subscription service.

30. *STV on One of Two or More Channels in the Same Market*—In certain instances, communities or markets have been allocated two or more television channels reserved for public broadcasting use.[29] An option that we can consider is whether to authorize subscription service on a full-time basis for one or more of the stations that are in the same market.[30] For example, in a market with two public television stations, subscription revenues from one station could provide funds for non-STV programming on the other station. Since public broadcasters are not subject to the Commission's duopoly rules, a single licensee may hold the license for more than one public broadcast station in the same community. Even when a single licensee does not control both stations, two licensees could cooperate in this manner. It would seem that viewers of both stations would be better off if permitting STV on one station would keep both stations on the air for a significantly greater portion of the broadcast day and enable both to provide additional and more costly programs than they otherwise could. However, the effects of this style of operation on an STV station's tax exempt status should be considered by parties filing comments.

Conclusion

31. The Commission has long encouraged the growth of public broadcasting. While we do not wish to alter the essential nature of the public broadcasting service, we also do not wish to see the value of this service diminished or, in some cases, perhaps lost to the public because of funding

[25] It would not be necessary for a college or university to hold a broadcast license to offer courses over-the-air. Schools without such licenses could air the courses over a station licensed to some other entity.

[26] We recently eliminated a similar restriction for commercial stations (the "28 hour" rule), but as noted, *supra*, some variety of time limitation may be appropriate in the public broadcasting area.

[27] Motion picture producers follow a similar practice in charging admission to theaters for new movies and later permitting them to be broadcast by commercial television stations.

[28] The American Broadcasting Company has recently proposed a similar "overnight" service on its affiliated stations.

[29] Seven licensees now operate two stations in the same community: KQED Inc., licensee of KQEC/KQED, San Francisco; WGBH Educational Foundation, licensee of WGBH/WGBX, Boston; Twin Cities Public Television, Inc., licensee of KTCA/KTCI, St. Paul-Minneapolis; Metropolitan Pittsburgh Public Broadcasting, Inc., licensee of WQED/WQEX, Pittsburgh; Central Virginia ETV Corporation, licensee of WCVE/WCVW, Richmond, Virginia; Milwaukee Board of Education, licensee of WMVS/WMVT, Milwaukee; School Board of Dade County, licensee of WLRN/WTHS, Miami. (Source: TV engineering data base, as of January 4, 1982.) Approximately 40 markets have at least two stations on the air. Approximately 120 markets have at least two allocations. (Source: *Television Channel Utilization*, information as of December 31, 1981. Release date: April 14, 1982.)

[30] Obviously, this option would not be of assistance in markets containing only one public broadcasting station.

problems. In addition, we do not desire to waste existing spectrum or place burdens on public broadcasting licensees because of any unnecessary rules. We believe that in many circumstances STV use by public television licensees may further the goals and purposes of public broadcasting by enabling these licensees to meet the present and future needs of their communities. We urge all interested parties to present their views for the Commission's consideration and we welcome comments on all aspects of this *Notice*.

32. *Regulatory Flexibility Initial Analysis*

I. Reason for Action

Public television licensees are currently precluded from applying for STV authorization. It appears that the removal of this restriction to permit at least some uses of STV would further the goals and purposes of public broadcasting and increase spectrum efficiency.

II. The Objective

The Commission proposes to continue to encourge the growth and development of public broadcasting by removing, at least partially, its current prohibition of STV use for public television.

III. Legal Basis

Legal action as proposed is in furtherance of Section 303 of the Communications Act of 1934, as amended, which charges the Commission to explore new and improved uses of radio.

IV. Description, Potential Impact and Number of Small Entities Affected

This proposal would remove at least some of the restrictions that currently prevent public television licensees from offering an STV service. The proposal is expected to have the beneficial effect of fostering greater use of the public broadcast spectrum.

A substantial number of entities that would be affected appear to be relatively small businesses and nonprofit organizations. The public television licensees are expected to be positively affected as they would be able to offer at least part of their service on a subscription basis.

V. Recording, Record Keeping and Other Compliance Requirements

None.

VI. Federal Rules Which Overlap, Duplicate or Conflict With This Rule

None.

VII. Any Significant Alternative Minimizing Impact on Small Entities and Consistent With Stated Objective

None.

33. For the purposes of this non-restricted notice and comment rule making proceeding, members of the public are advised that *ex parte* contracts are permitted from the time the Commission adopts a Notice of Proposed Rule Making until the time a public notice is issued stating that substantive disposition of the matter is to be considered at a forthcoming meeting or until a final order disposing of the matter is adopted by the Commission, whichever is earlier. In general, an *ex parte* presentation is any written or oral communication (other than formal written comments/pleadings and formal oral arguments) between a person outside the Commission and a Commissioner or a member of the Commission's staff which addresses the merits of the proceeding. Any person who makes an oral *ex parte* presentation addressing matters not fully covered in any previously-filed written summary of that presentation, on the day of oral presentation, that written summary must be served on the Commission's Secretary for inclusion in the public file, with a copy to the Commission official receiving the oral presentation. Each *ex parte* presentation described above must state on its face that the Secretary has been served, and must also state by docket number the proceeding to which it relates. *See generally*, Section 1.1231 of the Commission's Rules, 47 CFR 1.1231.

34. This *Notice of Proposed Rule Making* is issued pursuant to authority contained in sections 4(i) and 303 of the Communications Act of 1934, as amended. Interested parties may file comments on or before October 11, 1982, and reply comments on or before November 11, 1982. All relevant and timely comments filed in repsonse to this notice will be considered by the Commission. In accordance with the provisions of § 1.1419 of the Commission's Rules, an original and five copies of all comments, replies, briefs and other documents filed in this proceeding shall be furnished the Commission. Further, members of the general public who wish to participate informally in the proceeding may submit one copy of their comments, specifying the docket number in the heading. In reaching its decision, the Commission may take into consideration information and ideas not contained in the comments, provided that such information or a writing indicating the nature and source of such information is placed in the public file, and provided the fact of the Commission's reliance on such information is noted in the Report and Order.

35. All filings made in this proceeding will be available for examination by interested parties during regular business hours in the Commission's Public Reference Room at its headquarters, 1919 M Street, NW., Washington, D.C.

36. For further information concerning this proceeding, contact Judith Herman, Broadcast Bureau, (202) 632-6302.

(Secs. 4, 303, 48 stat., as amended, 1066, 1082; 47 U.S.C. 154, 303)

Federal Communications Commission.

William J. Tricarico,

Secretary.

PART 73—RADIO BROADCAST SERVICES

Appendix

I. Section 73.642, *Subscription TV licensing policies,* is proposed to be amended by revising paragraphs (a)(1) through (a)(3) to read as follows:

§ 73.642 Subscription TV licensing policies.

(a) * * *

(1) The licensee of a television broadcast station;

(2) The holder of a construction permit for a new television broadcast station; or

(3) An applicant for a construction permit for a new television broadcast station: Provided, however, That such authorization will not be issued prior to issuance of the construction permit for the new station.

* * * * *

[FR Doc. 82-22691 Filed 8-18-82; 8:45 am]

BILLING CODE 6712-01-M

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47 CFR Part 76

[CT Docket No. 82-528; RM-4099; FCC 82-364]

Amendment of the Commission's Rules With Respect to the Cable Television Annual Financial Report (FCC Form 326)

AGENCY: Federal Communications Commission.

ACTION: Proposed rule.

SUMMARY: The Commission institutes a notice of proposed rule making recommending elimination of the FCC Form 326, "Cable Television Annual Financial Report", on the basis that deletion of this requirement would minimize the reporting burdens on cable

systems as well as the burdens imposed on the agency in the collection and processing of this information without loss of any significant countervailing benefits to the public.

DATE: Comments are due by September 14, 1982; Replies are due by September 29, 1982.

ADDRESS: Federal Communications Commission, 1919 M Street, N.W., Washington, D.C. 20554.

FOR FURTHER INFORMATION: Robert H. Ratcliffe, Cable Television Bureau (202) 632-6468.

SUPPLEMENTARY INFORMATION: Cable television operators are presently required to file Cable Television Annual Financial Reports (FCC Form 326) pursuant to § 76.403 of the Commission's rules and regulations. The Commission first required the filing of financial information in 1971 in order to assist it in fulfillment of its regulatory obligations over cable television and subsequently made revisions in the information required to be filed in 1975 and 1978.

List of Subjects in 47 CFR Part 76

Administrative practice and procedure, Cable television.

Adopted: August 4, 1982.

Released: August 16, 1982.

In the matter of amendment of Part 76, Subpart I of the Commission's rules and regulations with respect to the cable television annual financial report (FCC Form 326), CT Docket No. 82-528, RM-4099.

1. By this notice, we are proposing elimination of the cable television annual financial reporting requirements for cable operators.

2. The Commission first adopted a cable television annual financial reporting requirement in the *Third Report and Order in Docket 18397,* FCC 71-1035, 32 FCC 2d 13 (1971). Therein, we indicated that the collection of this and other information about cable television operations would "enable the Commission to keep abreast of CATV developments, fulfill its regulatory responsibilities in this field, and assist Congress in its consideration of related legislative proposals."[1] The cable television financial reporting requirements were revised in *Report and Order in Docket 20247,* FCC 75-658, 54 FCC 2d 811 (1975), "in order to obtain more complete and reliable financial data and to ease the reporting burden" on cable systems and were most recently revised in *Report and Order in Docket 21202,* FCC 78-459, 69 FCC 2d 1297 (1978), in order to "incorporate[e] a schedule of disclosure regarding critical accounting policies which allows uniformity in the aggregation and analysis of financial data which, in turn, insures fair and efficient regulation" because, previously, "the use of financial data ha[d] been severely limited primarily because of the dissimilarity in accounting procedures by reporting units."

3. As indicated above, the intended purposes of the financial data collection efforts are to assist the Commission in rule making proceedings, special relief and wavier proceedings, investigatory proceedings including evidentiary hearings and enforcement matters, in the preparation of legislative recommendations, and to determine trends within the industry as well as gauge the efficacy of our cable television program. The most significant use of this information, however, in retrospect, has proved to be in our preparation of the cable television annual industry financial report.[2]

4. Very recently, we decided to eliminate the filing of FCC Form 324 "Annual Financial Report of Broadcast Stations" that was required under § 73.3611 of the Commission's rules and regulations. *Report and Order in BC Docket 80-190,* FCC 82-127, 47 FR 13345 (1982). Among the reasons given for this action were that the "all-encompassing nature of the collection effort" is "not necessary for our needs for policy planning and analysis," that "changes in Commission policy have greatly diminished any such need," "that proposed revisions would not result in any significant improvements" and that "there are better and less-costly means available to meet our needs in this area" such as "special studies * * * specifically and narrowly tailored to particular policy questions."[3] In sum, we concluded that "the costs of collecting financial data outweigh the benefits derived from its availability to the Commission" and, in lieu of such a requirement, "[s]pecial studies can be conducted as the need arises."

5. We believe that many of the considerations that led to the elimination of the broadcast financial form are also applicable to the cable television financial reporting requirement imposed under § 76.403 of the Rules.[4] As noted in the 1982 *Industry Report, supra,* approximately 8,600 communities were consolidated into almost 3,000 financial entities for reporting purposes.[5] Although a careful effort was made when the reporting system was last revised to minimize the paperwork burdens and accommodate the filing process to the record keeping systems typically retained by cable television system operators, it is clear that the obligation to file this data still constitutes a significant burden. Moreover, the reporting system occupies a significant amount of internal administrative resources that might be devoted to higher priority matters. In addition, a petition for rule making (RM-4099) filed by the law firm of Farrow, Schildhause, and Wilson, requesting repeal of this obligation and a moratorium on further FCC Form 326 filings, points out that the burdens imposed on cable operators, as well as those placed on agency resources, as a result of the cable financial reporting requirements are similar, if not greater, than those imposed on broadcast licensees under the broadcast annual financial reporting requirements that were recently eliminated.

6. If administrative experience proved that this information was necessary for regulation, then, notwithstanding the burdens imposed on this agency and its regulatees, its continued collection would be justified. But the use of this information in the policy making process has been limited and has not proved

[1] As with other annual financial reports submitted to the Commission, we determined that the information contained in the FCC Form 326 should be accorded confidentiality under § 0.457(d) of the Commission's Rules and Regulations. 32 FCC 2d at 17.

[2] This report, released on an annual basis, provides the results of cable television industry operations for the particular year at hand including such data as gross operating revenues, total operating expenses, total operating income, net income before and after taxes, total book value of cable television assets, revenues yielded from pay cable services, national average monthly subscriber rates as well as average installation fees. In addition, some of this information is broken down on a state-by-state basis. *See, e.g., 1980 Cable Television Industry Revenues Report,* (released February 1, 1982).

[3] In addition, in response to arguments that such information is nevertheless desirable for private sector uses, the Commission stated that "government monies should not be expended for activities that mainly benefit private parties" nor should the Commisison "maintain an annual financial report primarily as a service to licensees when it would entail substantial costs to the public."

[4] Section 76.403 of the Rules provides in relevant part:

The operator of every operational cable television system shall correct and/or furnish information in response to forms, encompassing each community unit, mailed to said operator by the Commission. These include:

* * * * *

Financial unit—"Cable television annual financial report," Form 326.

* * * * *

[5] A "financial entity" is defined as one or more cable television community systems which report to the Commission as one business entity upon meeting certain ownership and technological requirements.

essential for our regulation of cable television. The fact that we have used cable television financial information in the context of waiver requests by cable operators seeking relief from the burdens imposed under our substantive rules or in the context of enforcement proceedings to ascertain whether forfeitures imposed upon cable operators are approriate in particular circumstances does not provide, in our estimation, a sufficient basis for annual collection of such information on an industry-wide basis. Rather than imposing a reporting requirement on all cable systems, we can obtain such information in the individual cases where it is deemed essential.

7. We are also not presently engaged in affirmative regulation of the rates charged by cable operators for the video and information services they provide, and, accordingly, do not perceive any need for this information for that reason.[6] While state and local authorities might well consider collection of such information important enough for their own regulatory purposes, we are no longer convinced, in view of our limited resources and our diminishing regulatory involvement in cable,[7] that annual collection of information of this nature is warranted at the Federal level. If the need for such information becomes important, we may well be able to rely on special studies tailored to specific policy planning and analysis needs in connection with fulfilling of our regulatory responsibilities.

8. We therefore request comment on whether we should delete the cable television annual financial reporting requirements. We would request those who favor retention of the existing requirements to provide us with information on why the present all-encompassing requirements are essential for regulation in the public interest. We would request those who favor elimination of financial reporting obligations for cable operators to provide us with information on the burdens these obligations impose on cable operators and, directly or indirectly, on the public. In this regard, we are particularly interested in comments addressing the question of whether elimination of the uniform federal reporting system, while removing one burden, might lead to the development of disparate state and local reporting obligations involving new burdens of equal or greater magnitude. To the extent that commenting parties may suggest a less burdensome version of the reporting requirement as an alternative to its elimination, we request that they detail the exact nature of such an amended obligation and provide specifics as to the effect the modifications will have on the reporting burden for operators and the administrative burdens on the Commission. Any such suggestion should also address the reliability, usefulness and basis for selection of the information collected by a less-inclusive process than that now in place. In sum, we solicit whatever relevant documentation or information is available on the question of whether this reporting requirement should be continued, modified or eliminated.[8]

9. As in the broadcast area, our intention to delete the annual financial reporting requirements is in no way meant to reflect on the merits of any proposals in the private sector that may eventually arise to garner this information. Indeed, there may be considerable support for continuation of the collection and tabulation of industry financial data in the private sector. To ensure that the possibility of an orderly, uninterrupted transition from the government sector to the private sector may take place in the event we ultimately decide to eliminate our own financial reporting requirements, we propose to finish the collection of the now virtually complete last collection cycle notwithstanding a request by Farrow, Schildhause and Wilson in its petition that, as an interim measure, we declare a moratorium on further filings of FCC Form 326. Even though we do not anticipate that the completion of this rule making proceeding will be unreasonably long, we nevertheless believe that the time period between the initiation of this proceeding and its final completion will provide ample opportunity for a smooth transition without gaps in annual financial information.

10. Accordingly, it is ordered that the petition for rule making by Farrow, Schildhause, and Wilson is granted to the extent that it requests issuance of a notice of proposed rule making concerning repeal of the cable television annual financial reporting requirement, and in all other respects is denied.

11. Authority for the proposed rule making instituted herein is contained in Sections 1, 2, 3, 4 (i) and (j), 301, 303(r), 307, 308, 309, and 403 of the Communications Act of 1934, as amended.

12. All interested parties are invited to file written comments on or before September 14, 1982, and reply comments on or before September 29, 1982. All relevant and timely filed comments will be considered by the Commission before final action is taken in this proceeding. In reaching its decision, the Commission may take into consideration information and ideas not contained in the comments, provided that such information or a writing indicating the nature and source of such information is placed in the public file, and provided that the fact of the Commission's reliance on such information is noted in the Report and Order.

13. For purposes of this non-restricted notice and comment rule making proceeding, members of the public are advised that *ex parte* contracts are permitted from the time the Commission adopts a notice of proposed rule making until the time a public notice is issued stating that a substantive disposition of the matter is to be considered at a forthcoming meeting or until a final order disposing of the matter is adopted by the Commission, whichever is earlier. In general, an *ex parte* presentation is any written or oral communication (other than formal written comments/pleadings and formal oral arguments) between a person outside the Commission and a Commissioner or a member of the Commission's staff which addresses the merits of the proceeding.

[6] While we have pre-empted rate regulation of specialized pay cable services by state or local authorities, *see Brookhaven Cable TV, Inc. et al.* v. *Kelly*, 573 F.2d 765 (2d Cir. 1978), *cert. denied* 441 U.S. 904 (1979), we have done so not in order to undertake such regulation at the Federal level but to eliminate burdens on interstate communications and to allow rates for such services to be set on a competitive basis without regulatory interference. More direct Commission involvement in some areas of cable regulation, it should be noted, is contemplated in Federal legislation now under consideration. *See* S. 2172 and S. 2445. In S. 2445, for example, additional areas of rate regulation would be removed from local governmental control upon findings by the Commission that effective competition is present. It is possible that some type of financial information would need to be submitted, at least by some systems, if this legislation were to be enacted.

[7] We have gradually withdrawn from regulation in a number of areas as a result of our own deregulatory actions or as a result of judicial oversight of our regulatory activities. *See, e.g., Report and Order in Dockets 20988 and 21284*, 79 FCC 2d 663 (1980) (deletion of cable distant signal and syndicated exclusivity rules), *aff'd, Malrite T.V. of New York, Inc. et al.* v. *FCC*, 652 F.2d 1140 (2d Cir. 1981), *cert. denied*, 50 U.S.L.W. 3535 (Jan. 12, 1982) and *FCC* v. *Midwest Video Corp.*, 440 U.S. 689 (1979) (agency without authority to impose cable television access requirements pursuant to Title III of the Communications Act). As a result, even if at one time such information was important for our regulatory purposes, the need for it has been attenuated as a result of this reduction in regulation at the Federal level.

[8] We also wish to point out that we, as well as other administrative agencies, are under a mandate to review paperwork burdens imposed by our regulations with an eye toward the elimination of unnecessary or duplicative requirements under the *Federal Paperwork Reduction Act of 1980*, (P.L. 96-511). 3501 *et seq.*).

Any person who submits a written *ex parte* presentation must serve a copy of that presentation on the Commission's Secretary for inclusion in the public file. Any person who makes an oral *ex parte* presentation addressing matters not fully covered in any previously-filed written comments for the proceeding must prepare a written summary of that presentation; on the day of oral presentation, that written summary must be served on the Commission's Secretary for inclusion in the public file, with a copy to the Commission official receiving the oral presentation. Each *ex parte* presentation described above must state on its face that the Secretary has been served, and must also state by docket number the proceeding to which is relates. *See generally*, § 1.1231 of the Commission's rules (47 CFR 1.1231).

14. As required by Section 603 of the Regulatory Flexibility Act, the Commission has prepared an Initial Regulatory Flexibility Analysis (IRFA) of the expected impact of these proposed policies and rules on small entities. The IRFA is set forth herein as Attachment A. Written public comments are requested on the IRFA. These comments must be filed in accordance with the same filing deadlines as comments on the rest of the Notice, but they must have a separate and distinct heading designating them as responses to the Regulatory Flexibility Analysis. The Secretary shall cause a copy of this Notice, including the IRFA, to be sent to the Chief Counsel for Advocacy of the Small Business Administration in accordance with Section 603(a) of the Regulatory Flexibility Act.

15. In accordance with the provisions of § 1.419 of the Commission's rules and regulations, an original and five (5) copies of all comments, reply comments, pleadings, briefs, or other documents shall be furnished to the Commission. Participants filing the required copies who also wish each Commissioner to have a personal copy of the comments may file an additional six (6) copies. Members of the general public who wish to express their interest by participating informally in the rule making proceeding may do so by submitting one copy of the comments, without regard to form, provided only that the Docket number is specified in the heading. Responses will be available for public inspection during regular business hours in the Commission's Docket Reference Room at its Headquarters, 1919 "M" Street, N.W., Washington, D.C. 20554. Further information on the procedures to be followed or the status of this proceeding may be obtained by contacting Robert H. Ratcliffe, Cable Television Bureau, Federal Communications Commission, (202) 632-6468.

Federal Communications Commission.

William J. Tricarico,

Secretary.

INITIAL REGULATORY FLEXIBILITY ANALYSIS

I. Reason for Action

The proposed action would eliminate that part of § 76.403 of the Commission's rules and regulations which requires every cable television operator to file a Cable Television Annual Financial Report (FCC Form 326). The importance of this information at the federal level has diminished as a result of a number of deregulatory actions and court decisions. Indeed, the most significant use of this information has proved to be in the preparation of cable television annual industry financial reports which have proved to be of more value to the private sector rather than the public sector. These requirements also impose considerable burdens on cable operators and on the agency in terms of the collection and assimilation of this information which no longer appear justified in view of the absence of significant countervailing public interest benefits. Moreover, even if the annual financial reporting requirements are eliminated, the Commission can undertake special studies as the need arises. In sum, elimination of these requirements would minimize the paperwork burdens on cable operators as well as the substantial burdens imposed upon this agency's staff without adverse consequences to the public.

II. Objective

The Commission proposes to eliminate that part of § 76.403 that requires cable operators to file Cable Television Annual Financial Reports (FCC Form 326).

III. Legal Basis

Action as proposed for this rule making is authorized by Sections 4(i) and (j), 303(r), and 403 of the Communications Act of 1934, as amended.

IV. Description, Potential Impact and Number of Small Entities Affected

The proposed elimination of the cable television annual financial reporting requirements would affect all cable systems, although its impact would be greater for larger systems since those with fewer than 1,000 subscribers are already subject to less burdensome financial reporting obligations. The proposed action if adopted should result in less paperwork obligations on the part of cable operators and should also reduce to some extent the administrative or operating costs of cable systems. The elimination of this requirement at the federal level may require some business entities such as financial institutions, communications research firms, advertising bureaus or agencies, and state and local authorities, to rely on private sector sources for annual cable television industry financial information instead of assimilation and compilation of such information at the federal level.

V. Recording, Record Keeping and Other Compliance Requirements

The proposed action would reduce cable systems' annual financial record keeping obligations to the extent such record keeping is needed to comply with the existing financial reporting requirements.

VI. Federal Rules Which Overlap, Duplicate or Conflict With This Rules

There are no other rules or regulations of this agency which overlap, duplicate or conflict with the cable television annual financial reporting requirements. Section 0.457(d) accords confidentially to portions of such reports and, accordingly, these reports are not made routinely available for public inspection. A consequence of elimination of this requirement would be a reduction in requests for cable television annual financial reports under the Freedom of Information Act.

VII. Any Significant Alternatives Minimizing Impact on Small Entities and Consistent With Stated Objectives

None.

VIII. Conclusions

The Commission seeks to eliminate any unnecessary burdens on those it regulates. Its preliminary review of the cable television annual financial reporting requirements indicates that the original objectives for their adoption at the federal level may no longer be justified from a public interest perspective. Rather it appears that responsibility for collection of such information more appropriately rests with the private sector to the extent that interests in the private sector believe that collection of this information would continue to be useful. Accordingly, the Commission seeks comments from all interested persons regarding the proposed elimination of these reporting requirements.

[FR Doc. 82-22639 Filed 8-18-82; 8:45 am]

BILLING CODE 6712-01-M

DEPARTMENT OF TRANSPORTATION

National Highway Traffic Safety Administration

49 CFR Parts 571 and 575

[Docket Nos. 25 and 80-14; Notices 49 and 4]

Consumer Information Regulations; Uniform Tire Quality Grading; Federal Motor Vehicle Safety Standards

AGENCY: National Highway Traffic Safety Administration (NHTSA), DOT.

ACTION: Notice of proposed rulemaking.

SUMMARY: The agency is inviting comment on using information either in privately published tire tables or in manufacturer submissions to the agency for determining loads for testing under both Federal Motor Vehicle Safety Standard 109 and the Uniform Tire

Quality Grading Standards. This proposal is issued in response to concerns expressed by the Rubber Manufacturers Association and Cooper Tire and Rubber Company. It would be adopted in order to reduce the time and costs involved in testing under these two regulations.

DATE: Comments on this notice must be received on or before October 18, 1982. If adopted, these amendments would become effective upon publication in the **Federal Register.**

ADDRESS: Comments should refer to the docket numbers set forth above and be submitted to: Docket Section, Room 5109, Nassif Building, 400 Seventh Street SW., Washington, D.C. 20590. Docket hours are 8:00 a.m. to 4:00 p.m. (e.d.t.), Monday through Friday.

FOR FURTHER INFORMATION CONTACT: Dr. F. Cecil Brenner, Office of Market Incentives, National Highway Traffic Safety Administration, 400 Seventh Street, SW., Washington, D.C. 20590 (202–426–1740).

SUPPLEMENTARY INFORMATION: The Rubber Manufacturers Association and Cooper Tire and Rubber Company have raised an issue concerning the tire loading for the high speed test under Federal Motor Vehicle Safety Standard 109, *New pneumatic tires,* and the temperature resistance test in the Uniform Tire Quality Grading Standards. FMVSS 109 requires new pneumatic tires for passenger cars to meet minimum performance requirements relating to various aspects of performance including high speed performance. Under the UTQG system, tires sold in this country are tested and assigned performance grades for treadwear, traction, and temperature resistance.

Prior to June 15, 1982, FMVSS 109 and the UTQG Standards provided that the loads used for testing were to be obtained from the tire tables of Appendix A to FMVSS 109. However, effective June 15, 1982, the tables were deleted from FMVSS 109. Effective on the same date, FMVSS 109 was amended to specify a test load of 88 percent of the maximum load indicated on a tire's sidewall for high speed testing purposes. In order to provide a substitute means for determining test loads for all three UTQG performance characteristics, NHTSA published an interim final rule on June 15, 1982 (47 FR 25930).

The June 15 notice specified new methods for determining test rim sizes and test loads, without having to refer to the now-deleted tire tables of Standard 109. Test rim sizes are to be determined by reference to tables published by certain tire industry standardization organizations. Test loads under the new procedures are to be determined by multiplying a tire's maximum load as designated on the tire's sidewall by specified numerical factors. These factors vary according to the maximum inflation pressure of the tires. These new procedures were intended to produce essentially the same test rim size and test load specifications as were used under the original procedures. (Since load factors for traction testing were inadvertently omitted from the June 15 notice, a separate notice is being issued to add those factors.)

The Rubber Manufacturers Association and Cooper Tire and Rubber Company noted that, as a result of these changes to FMVSS 109 and UTOGS, slightly different test loads would now be used for the high speed test in FMVSS 109 and for the temperature resistance test in UTQGS. They objected to this result, claiming that under the former procedures one test would be able to satisfy both requirements, saving the manufacturers time and money. Cooper alleges that the difference in loading conditions now introduced will mean two tests are needed.

The agency does not agree that this is necessarily the case, but it was not the agency's intent to increase the testing burden when it amended Standard 109 and UTQGS. The current structure might require some additional testing for tires capable of achieving the highest temperature resistance grades under the UTQGS. To avoid this result and encourage objectively valid assignments of grade, the agency is presently considering three alternatives to make the Standard 109 and UTQGS testing consistent. These are:

(1) Amend the temperature resistance test in UTQGS to be consistent with the current requirements of the high speed test in Standard 109 (i.e., the temperature resistance test would be conducted at 88 percnet of the maximum load labeled on the sidewall of the tire). For consistency purposes, this approach could be extended to the determination of treadwear test loads as well (i.e., test at .85 x .88 x maximum load).

(2) Amend the high speed test in Standard 109 to be consistent with the temperature resistance test in UTQGS (i.e., establish a sliding scale of the percentage of maximum load to be used for the test, depending on the maximum inflation pressure labeled on the tire sidewall); or

(3) Amend both Standard 109 and UTQGS to specify that high speed and temperature resistance tests are to be conducted at the appropriate intermediate load published for that tire size by one of the standardization organizations, such as the Tire and Rim Association, the European Tyre and Rim Technical Organisation, or the Japanese Automobile Tire Manufacturers Association. This approach would be much the same as that previously followed by the agency in relying on the tire tables of FMVSS 109 and would, be virtually the same as the procedure used to determine vehicle of maximum loads under Standard 110. For tire sizes not listed in these publications or where the publications are not adequate to determine test loads, the necessary load information could be provided directly to the agency by the tire manufacturer.

If the third alternative were adopted, the agency would then propose to amend UTQGS so as to rely on such published tables or information submitted to the agency for purposes of determining loads in UTQG treadwear and traction testing. In that case, the load factors added to UTQGS by the June 15 notice and an interim final rule published in today's **Federal Register** would be deleted and the requirement to use a load of 88 percent of maximum load for high speed testing would be deleted from FMVSS 109. This alternative would have the advantage of greater consistency with past practice, but would be more complicated than the new procedure which relies on load factors.

NHTSA specifically requests comments from all interested parties on these three alternatives, and welcomes suggestions of any other alternatives which would make the loads for these two tests consistent. The agency is particularly interested in comments which explain why any one of these three alternatives, or any other alternative, would solve this problem most easily, and why the other alternatives would not work as well.

Since these proposals are not intended to cause any significant change in implementation of FMVSS 109 and the UTQG regulation as they existed on June 14, 1982, NHTSA has determined that this proceeding does not involve a major rule within the meaning of Executive Order 12291 or a significant rule within the meaning of the Department of Transportation regulatory procedures. Further, there would be virtually no economic impacts of this action so that preparation of a full regulatory evaluation is unnecessary.

The Regulatory Flexibility Act does not require the preparation of flexibility analyses with respect to rulemaking proceedings, such as this one, since the agency certifies that this action would

not have a significant economic impact on a substantial number of small entities. As noted above, this action would make essentially no change in the implementation of FMVSS 109 and the UTQG regulation.

NHTSA has concluded that this action would have essentially no environmental consequences and therefore that there would be no significant effect on the quality of the human environment.

Interested persons are invited to submit comments on the agency's proposal announced above and on any other topics relevant to this notice. It is requested but not required that 10 copies be submitted.

All comments must be limited not to exceed 15 pages in length. Necessary attachments may be appended to these submissions without regard to the 15-page limit. This limitation is intended to encourage commenters to detail their primary argument in a concise fashion.

If a commenter wishes to submit certain information under a claim of confidentiality, three copies of the complete submission, including purportedly confidential information, should be submitted to the Chief Counsel, NHTSA, at the street address given above, and seven copies from which the purportedly confidential information has been deleted should be submitted to the Docket Section. Any claim of confidentiality must be supported by a statement demonstrating that the information falls within 5 U.S.C. 552(b)(4), and that disclosure of the information is likely to result in substantial competitive damage; specifying the period during which the information must be withheld to avoid that damage; and showing that earlier disclosure would result in that damage. In addition, the commenter or, in the case of a corporation, a responsible corporate official authorized to speak for the corporation must certify in writing that each item for which confidential treatment is required is in fact confidential within the meaning of section (b)(4) and that a diligent search has been conducted by the commenter or its employees to assure that none of the specified items have previously been disclosed or otherwise become available to the public.

All comments received before the close of business on the comment closing date indicated above will be considered, and will be available for examination in the docket at the above address both before and after that date. To the extent possible, comments filed after the closing date will also be considered. However, the rulemaking may proceed at any time after that date, and comments received after the closing date and too late for consideration in regard to the action will be treated as suggestions for future rulemaking. NHTSA will continue to file relevant materials as it becomes available in the docket after the closing date, it is recommended that interested persons continue to examine the docket for new material. Those persons desiring to be notified upon receipt of their comments in the rulemaking docket should enclose, in the envelope with their comments, a self-addressed stamped postcard. Upon receiving the comments, the docket supervisor will return the postcard by mail.

List of Subjects in 49 CFR Parts 571 and 575

Imports, Consumer protection, Labeling, Motor vehicle safety, Motor vehicles, Rubber and rubber products, Tires.

(Secs. 103, 112, 119, 201, 203, Pub. L. 89-563, 80 Stat. 718 (15 U.S.C. 1392, 1401, 1407, 1421, 1423); delegation of authority at 49 CFR 1.50)

Issued on August 12, 1982.

Raymond A. Peck, Jr.,

Administrator.

[FR Doc. 82-22302 Filed 8-12-82; 4:49 am]

BILLING CODE 4910-59-M

Urban Mass Transportation Administration

49 CFR Part 666

[Docket No. 79-C]

Standards and Procedures for Third Party Contracts; Withdrawal of Notice of Proposed Rulemaking

AGENCY: Urban Mass Transportation Administration, DOT.

ACTION: Withdrawal of notice of proposed rulemaking.

SUMMARY: This notice withdraws the notice of proposed rulemaking (NPRM) that the Urban Mass Transportation Administration (UMTA) published on "Standards and Procedures for Third Party Contracts." UMTA has reviewed the need for and burden of this NPRM and has determined that the material can more effectively be provided in a non-regualtory document. This material is now contained in UMTA Circular 4220.1A, "Third Party Contracting Guidelines."

FOR FURTHER INFORMATION CONTACT: Douglas Gold, Urban Mass Transportation Administration, 400 7th Street, SW., Washington, D.C. 20590; Telephone: (202) 426-4011.

SUPPLEMENTARY INFORMATION: On September 20, 1979, UMTA published an NPRM on "Standards and Procedures for Third Party Contracts." (44 FR 54513.) This NPRM would have implemented Attachments O and B to Office of Management and Budget (OMB) Circular A-102, and Department of Transportation (DOT) Order 4600.9B, "Uniform Administrative Requirements for Grants-in-Aid to State and Local Governments," to assist UMTA recipients in meeting Federal procurement requirements. UMTA provided a 45-day comment period on the NPRM that closed on November 5, 1979.

Pursuant to President Reagan's policy of reducing regulatory burdens and red tape, UMTA has reviewed this NPRM to determine if we should proceed and prepare a final rule. UMTA has determined that a final rule is not necessary in the area of third party contracting. Instead, it is UMTA's opinion that the necessary program material can be more effectively provided to UMTA's recipients in a non-regulatory document which will provide more flexibility, reduce Federal intrusion, and still ensure compliance with OMB Circular A-102, Attachments O and B, and DOT Order 4600.9B.

UMTA published the non-regulatory material on third party contracting in UMTA Circular 4220.1A, "Third Party Contracting Guidelines," on June 10, 1982. (47 FR 25239.) Copies of this circular are available form UMTA. Requests should be addressed to: UAD-40, Room 7427, 400 7th Street, SW., Washington, D.C. 20590. UMTA invites public comments on Attachment B, Bid Protest Procedures, to this circular until September 8, 1982. Comments should be addressed to Docket No. 82-H and sent to the Docket Clerk, Room 9228, at the above address.

Therefore, UMTA is providing notice that the following NPRM is withdrawn: Standards and Procedures for Third Party Contracts, Docket 79-C. (44 FR 54513; September 20, 1979.)

Issued on: August 2, 1982.

Arthur E. Teele, Jr.,

Urban Mass Transportation Administrator.

[FR Doc. 82-22448 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-57-M

Notices

Federal Register
Vol. 47, No. 161
Thursday, August 19, 1982

This section of the FEDERAL REGISTER contains documents other than rules or proposed rules that are applicable to the public. Notices of hearings and investigations, committee meetings, agency decisions and rulings, delegations of authority, filing of petitions and applications and agency statements of organization and functions are examples of documents appearing in this section.

DEPARTMENT OF AGRICULTURE

Cooperative State Research Service

Policy Advisory Committee for the Science and Education Research Grants Program; Meeting

In accordance with Section 2(b) and 2(c) of the Act of August 4, 1965, Pub. L. 89–106, as amended by section 1414 of Pub. L. 95–113, the Cooperative State Research Service, announces the following meeting:

NAME: Policy Advisory Committee for the Science and Education Research Grants Program
DATE: September 13 and 14, 1982.
TIME: 9:00 a.m.
PLACE: Conference Room 5419, South Building, United States Department of Agriculture, 14th and Independence Avenue, South West, Washington, D.C. 20250.
TYPE OF MEETING: Open to the public. Persons may participate in the meeting as time and space permit.
COMMENTS: The public may file written comments before or after the meeting with the contact person listed below.
PURPOSE: To advise the Secretary of Agriculture with respect to the areas of research to be supported, priorities to be adopted and emphasized, and the procedures to be followed in implementing those programs of research grants to be awarded competitively.
CONTACT PERSON FOR AGENDA AND MORE INFORMATION: Anne Holiday Schauer, Associate Chief, Competitive Research Grants Office, Cooperative State Research Service, U.S. Department of Agriculture, 1300 Wilson Boulevard, Suite 103, Rosslyn, Virginia 22209, telephone: 703/235–2630.

Done at Washington, D.C., this 5th day of August 1982.

Edward C. Miller,

Acting Administrator, Cooperative State Research Service.

[FR Doc. 82–22742 Filed 8–18–82; 8:45 am]

BILLING CODE 3410–03–M

DEPARTMENT OF COMMERCE

Agency Forms Under Review by the Office of Management and Budget

DOC has submitted to OMB for clearance the following proposals for the collection of information under the provisions of the Paperwork Reduction Act (44 U.S.C. Chapter 35).

Agency: Bureau of the Census.
Title: Forward Trace Study.
Type of Request: New.
Burden: 4,250 respondents; 425 reporting hours.
Needs and Uses: The Census Coverage Evaluation Research studies are experiments by the Bureau of the Census to improve the ability to evaluate the 1990 Decennial Census. This project seeks to duplicate as closely as possible the activities needed to carry out a national reverse record check (RRC). A central issue in designing an RRC is how best to conduct the tracing. The Forward Trace Study is designed to gain information on this subject.
Affected Public: United States households.
Frequency: Nonrecurring.
Respondent's Obligation: Mandatory.
OMB Desk Officer: Timothy Sprehe, 395–4814.

* * * * *

Agency: Bureau of the Census.
Title: Leisure Activities Survey (LAS).
Type of Request: Revision.
Burden: 4,500 respondents; 1,125 reporting hours.
Needs and Uses: The LAS will provide annual measures of participation in selected leisure activities. These data will enable arts organizations to make certain policy decisions based on such things as current demand, potential audience, and how to best serve the needs of their constituent population. This revision asks the complete set of LAS data for some respondents to determine how the various arts activities are related to each other. Also, an additional question is being added in order to perform an independent, internal validity check.
Affected Public: National sample of household members 18 yeras or older.
Frequency: Monthly.
Respondent's Obligation: Voluntary.
OMB Desk Officer: Timothy Sprehe, 395–4814.

* * * * *

Agency: Bureau of the Census.
Title: Methods Development Survey Questionnaire.
Type of Request: Extension.
Burden: 4,500 respondents, 2,340 reporting hours.
Needs and Uses: This survey instrument provides a means of testing various labor force concepts for the purpose of improving the quality and reliability of the employment and unemployment statistics collected in the current population survey.
Frequency: Monthly.
Respondent's Obligation: Voluntary.
OMB Desk Officer: Timothy Sprehe, 395–4814.

* * * * *

Agency: International Trade Administration.
Title: Service Supply License Procedure.
Type of Request: Extension.
Burden: 52 respondents; 655 reporting hours.
Needs and Uses: Information is required for a U.S. person or firm to obtain a license valid for 12 months (may be extended for a period up to 2 years), to export spare and replacement parts to certain countries. This procedure enables persons or firms in the U.S. or abroad to provide prompt service for equipment either (a) exported from the U.S., (b) produced abroad by a subsidiary or branch of a U.S. firm, or (c) produced abroad by a manufacturer who uses parts imported from the U.S. in the manufactured product.
Affected Public: Commerical exporters.
Frequency: On occasion and monthly.
Respondent's Obligation: Required to obtain or retain benefit.
OMB Desk Officer: Ken Allen, 395–3785.

Copies of the above information collection proposals can be obtained by calling or writing DOC Clearance Officer, Edward Michals (202) 377–4217, Department of Commerce, Room 6622, 14th and Constitution Avenue, N.W., Washington, D.C. 20230.

Written comments and recommendations for the proposed information collections should be sent to the respective OMB Desk Officer, Room 3235, New Executive Office Building, Washington, D.C. 20503.

Edward Michals,

Departmental Clearance Officer.

[FR Doc. 82–22715 Filed 8–18–82; 8:45 am]

BILLING CODE 3510–CW–M

COMMITTEE FOR THE IMPLEMENTATION OF TEXTILE AGREEMENTS

Adjusting the Import Restraint Levels for Certain Man-Made Fiber Apparel Products From the Republic of Korea

AGENCY: Committee for the Implementation of Textile Agreements.

ACTION: Increasing from 1,661,082 dozen to 1,926,855 dozen the import restraint level established for Category 640 pt. (man-made fiber shirts, other than dress shirts), and from 4,139,284 to 4,221,533 dozen for Category 640 pt. (man-made fiber dress shirts), produced or

manufactured in the Republic of Korea and exported during the agreement year which began on January 1, 1982 by the application of swing and shift.

(A detailed description of the textile categories in terms of T.S.U.S.A. numbers was published in the **Federal Register** on February 28, 1980 (45 FR 13172), as amended on April 23, 1980 (45 FR 27463), August 12, 1980 (45 FR 53506), December 24, 1980 (45 FR 85142), May 5, 1981 (46 FR 25121), October 5, 1981 (46 FR 48963), October 27, 1981 (46 FR 52409), February 9, 1982 (47 FR 5926), and May 13, 1982 (47 FR 20654))

SUMMARY: The Bilateral Cotton, Wool, and Man-Made Fiber Textile Agreement of December 23, 1977, as amended, between the Governments of the United States and the Republic of Korea provides that the specific limits for man-made fiber textile products in Category 640 (dress shirts) and Category 640 (other than dress shirts) may be exceeded by an amount up to 10 percent of the specific limit for one part of the category, provided the specific limit for the other part is decreased by an equal amount (shift). The agreement also provides for percentage increases in certain category ceilings during the agreement year (swing). At the request of the Government of the Republic of Korea, both of the foregoing elements of flexibility are being applied to the levels of restraint established for man-made fiber shirts in Category 640.

EFFECTIVE DATE: August 16, 1982.

FOR FURTHER INFORMATION CONTACT: William J. Boyd, International Trade Specialist, Office of Textiles and Apparel, U.S. Department of Commerce, Washington, D.C. 20230, (202/377–4212).

SUPPLEMENTARY INFORMATION: On December 18, 1981, there was published in the **Federal Register** (46 FR 61692) a letter dated December 14, 1981 from the Chairman, Committee for the Implementation of Textile Agreements, to the Commissioner of Customs, which established levels of restraint for certain specified categories of cotton, wool, and man-made fiber textile products, including man-made fiber textile products in Category 640, produced or manufactured in the Republic of Korea, which may be entered into the United States for consumption, or withdrawn from warehouse for consumption, during the twelve-month period which began on January 1, 1982 and extends through December 31, 1982. In the letter published below, the Chairman of the Committee for the Implementation of Textile Agreements directs the Commissioner of Customs to adjust the levels of restraint for man-made fiber textile products in Category 640 during the agreement year which began on January 1, 1982.

Paul T. O'Day,

Acting Chairman, Committee for the Implementation of Textile Agreements.

August 16, 1982.

Committee for the Implementation of Textile Agreements

Commissioner of Customs,
Department of the Treasury,
Washington, D.C.

Dear Mr. Commissioner: On December 14, 1981, the Chairman, Committee for the Implementation of Textile Agreements, directed you to prohibit entry for consumption, or withdrawal from warehouse for consumption, of cotton, wool, and man-made fiber textile products in certain specific categories, produced or manufactured in the Republic of Korea and exported to the United States during the agreement year which began on January 1, 1982, in excess of designated levels of restraint. The Chairman further advised you that the levels of restraint are subject to adjustment.[1]

Under the terms of the Arrangement Regarding International Trade in Textiles done at Geneva on December 20, 1973, as extended on December 15, 1977 and December 22, 1981; pursuant to the Bilateral Cotton, Wool, and Man-Made Fiber Textile Agreement of December 23, 1978, as amended, between the Governments of the United States and the Republic of Korea; and in accordance with the provisions of Executive Order 11651 of March 3, 1972, as amended by Executive Order 11951 of January 6, 1977, you are directed to prohibit, effective on August 16, 1982 and for the twelve-month period beginning on January 1, 1982 and extending through December 31, 1982, entry into the United States for consumption and withdrawal from warehouse for consumption of man-made fiber textile products in Category 640, in excess of the following adjusted levels of restraint:

Category	Restraint [1] [2] (dozens)
640 pt.[3]	1,926,855
640 pt.[4]	4,221,533

[1] Adjusted twelve-month level.
[2] The levels of retraint have not been adjusted to account for any imports after December 31, 1981.
[3] In Category 640, all T.S.U.S.A. numbers except 379.3130, 379.3334, 379.9535, 379.9540, and 379.9639.
[4] In Category 640, only those T.S.U.S.A. numbers listed in footnote 3.

The actions taken with respect to the Government of the Republic of Korea and with respect to imports of man-made fiber textile products from the Republic of Korea have been determined by the Committee for the Implementation of Textile Agreements to invo;ve foreign affairs functions of the United States. Therefore, these directions to the Commissioner of Customs, which are necessary for the implementation of such actions, fall within the foreign affairs exception to the rule-making provisions of 5 U.S.C. 553. This letter will be published in the **Federal Register.**

Sincerely,

Paul T. O'Day,

Acting Chairman, Committee for the Implementation of Textile Agreements.

[1] The term "adjustment" refers to those provisions of the Bilateral Cotton, Wool and Man-Made Fiber Textile Agreement of December 23, 1977, as amended, between the Governments of the United States and the Republic of Korea, which provide in part, that: (1) Within the aggregate and applicable group limits, specific levels of restraint may be adjusted by designated percentages; (2) these same levels may be adjusted for carryover and carryforward up to 11 percent of the applicable category limit; and (3) administrative arrangements or adjustments may be made to resolve problems arising in the implementation of the agreement.

[FR Doc. 82–22714 Filed 8–18–82; 8:45 am]

BILLING CODE 3510–25–M

DEPARTMENT OF DEFENSE

Office of the Secretary

New Index Categories Relating to Certain Former Reservists in "Inactive" Status

AGENCY: Office of the Secretary, DOD.

ACTION: Notice.

SUMMARY: This notice revises the subject/category listing to the Armed Forces Discharge Review/Correction Boards Index previously published in the **Federal Register** of October 13, 1978 (43 FR 47237). The purpose of this revision is to include in the subject/category listing of the index, terminology contained in DOD Directive 1332.28, published in the **Federal Register** on August 20, 1981 (46 FR 42267). Modification for this purpose was specifically ordered on July 30, 1982, in the Court Order in the case of *Urban Law Institute of Antioch College, Inc., et al., v. Secretary of Defense,* No. 76–0530 (D.D.C., July 30, 1982).

EFFECTIVE DATE: August 5, 1982.

FOR FURTHER INFORMATION CONTACT: Captain Richard C. Ridenour, Legislation and Legal Policy, ATTN: Office of the Assistant Secretary of Defense, Manpower, Reserve Affairs and Logistics (MP&FM), Washington, D.C. 20301, Telephone: (202) 697–3387.

SUPPLEMENTARY INFORMATION: Former members of the inactive reserve components of the Armed Forces were made aware of changes in policy that may entitle them to upgrade their discharges by publishing an Amendment of Final ruling in the **Federal Register** on July 2, 1981 (46 FR 34574). This revision in policy resulted from implementation by the Department of Defense of orders issued by the Court in the case of *Wood v. Secretary of Defense,* Civil Action No. 77–0684 (D.D.C.). The requirement to index these specific categories was part

of the Settlement Agreement contained in the *Urban Law Institute of Antioch College, Inc., et al., v. Secretary of Defense.*

Accordingly, the following should be added to the subject/category listing as follows:

Section 1B—Revised Subject/ Category Listing (1978).

Propriety Considerations

PART A—COMMON ELEMENTS THROUGHOUT THE DISCHARGE PROCESS

* * * * *

(A01.33/34) Discharge under conditions other than honorable of inactive reservist based upon civilian misconduct found not to have affected directly the performance of military duties.

(A01.35/36) Discharge with a general discharge of inactive reservist based upon civilian misconduct found not to have had an adverse impact on the overall effectiveness of the military morale and efficiency.

Section 1B—Revised Subject/ Category Listing (1978).

Propriety Considerations

PART C—REASONS FOR DISCHARGE AND SPECIFIC ELEMENTS PERTAINING TO THESE DISCHARGES

* * * * *

(A61.11/12) Misconduct of inactive reservist discharged under other than honorable conditions based upon civilian misconduct found not to have affected directly the performance of military duties.

(A61.13/14) Misconduct of inactive reservist discharged under honorable conditions based upon civilian misconduct found not to have had an adverse impact on the overall effectiveness of the military morale and efficiency.

M. S. Healy,

OSD Federal Register Liaison Officer, Department of Defense

August 16, 1982.

[FR Doc. 82-22648 Filed 8-18-82; 8:45 am]

BILLING CODE 3810-01-M

DEPARTMENT OF ENERGY

Economic Regulatory Administration

Action on Consent Order With Williams Exploration Co.

AGENCY: Economic Regulatory Administration, DOE.

ACTION: Adoption of proposed consent order as final.

SUMMARY: The Department of Energy (DOE) hereby gives the notice required by 10 CFR 205.199J that it has adopted the Consent Order with Williams Exploration Company ("Williams Exploration"), executed on May 21, 1982 and published for comment in 47 FR 23004 on May 26, 1982, as a final order of DOE. The Consent Order resolves certain issues of compliance with the DOE Petroleum Price Regulations for the period June 1, 1979 through January 27, 1981. Williams Exploration has agreed to make a cash payment of $13,000,000.

As required by the regulation cited above, DOE received comments on the Consent Order for a period of not less than 30 days following publication of the notice cited above. Four comments were received by June 25, 1982, the thirtieth day following publication of the notice of the proposed Consent Order. Two additional comments were received after that deadline. DOE has considered all comments, including those which were filed late, and determined that the Consent Order should be made final without modification. The Consent Order is effective as a final order of the DOE upon publication of this notice.

FOR FURTHER INFORMATION CONTACT: Leslie Wm. Adams, Deputy Solicitor, Economic Regulatory Administration, Department of Energy, RG–30, 1200 Pennsylvania Avenue NW., Washington, D.C. 20461, Phone: (202) 633–9358.

Copies of the Consent Order may be received free of charge by written request to: Williams Exploration Consent Order Request, Department of Energy, RG–30, Room 5146, 1200 Pennsylvania Avenue NW., Washington, D.C. 20461.

Copies may also be obtained in person at the same address or at the Freedom of Information Reading Room, Forrestal Building, 1000 Independence Avenue SW., Room 1E–190, Washington, D.C. 20585, between the hours 8:00 a.m.–4:00 p.m.

SUPPLEMENTARY INFORMATION:

The Consent Order

On May 26, 1982, DOE published notice in the **Federal Register** at page 23004 announcing the execution of a proposed Consent Order between Williams Exploration and DOE. In compliance with DOE Regulations, that notice and a subsequent press release summarized the Consent Order and the facts behind it. The notice and press release also gave instructions for obtaining copies of the Consent Order.

The proposed Consent Order can be summarized as follows:

1. This Consent Order resolves the civil issues concerning newly discovered crude oil certification matters of the T. E. Mudd #1 and Blonstein Estate #1 leases for the period June 1, 1979 through January 27, 1981.

2. Within thirty (30) days after the effective date of this Consent Order, Williams Exploration shall remit $13,000,000 for future disposition by DOE.

3. The Consent Order also provides details concerning enforcement of the provisions of the Consent Order itself. The Consent Order provides that Williams Exploration has waived its right to an administrative appeal or judicial review of the Consent Order. The Consent Order does not constitute an admission by Williams Exploration or a finding by DOE of a violation of any Federal petroleum price statutes or regulations.

Comments Received

As noted above, DOE received a total of six comments on the proposed Williams Exploration Consent Order. Comments were submitted by the States of Maine, Vermont, California, New York, and Connecticut and the National Consumer Law Center. DOE has considered all comments and determined that the Consent Order should be made final without modification. The significant points raised by the comments are discussed below.

Several of the comments stated that the escrow payment remedy was improper or unlawful and cited the decision of the Temporary Emergency Court of Appeals (TECA) in *Citronelle-Mobile Gathering, Inc.* v. *Edwards,* 669 F.2d 171 (TECA 1982). However, *Citronelle* is inapplicable here.

In *Citronelle,* TECA affirmed a district court determination in a judicial enforcement action that the seller had committed overcharges in specific sales of crude oil. The court noted that actions by the United States pursuant to Section 209 of the Economic Stabilization Act were undertaken "to enforce public, not private, rights" and thus compensation was only a "by-product" of the agency's enforcement program. 669 F.2d at 722. However, after noting that the government had demonstrated injury to a distinct class of persons (*i.e.,* proven an overcharge to public utilities and other institutions), TECA declined to permit payment of adjudicated overcharges directly into the U.S. Treasury without first attempting to refund such monies to the injured persons. In this regard, TECA specifically identified twelve utilities as possible recipients of refunds. They are regulated institutions ordinarily required

to pass refunds on to their consumers, the persons who would have borne the overcharges in the first instance. Unlike *Citronelle,* this is not an adjudicated enforcement case. The Consent Order here makes no finding of a violation, nor does Williams Exploration admit to any violations of DOE regulations.

DOE has extremely broad discretion to enter into consent agreements settling enforcement claims on terms which it deems appropriate. *Consumer Energy Council* v. *Duncan,* 4 En. Mgmt. (CCH) ¶ 26,314 (D.D.C. 1981); *U.S. Oil Company* v. *DOE,* 510 F. Supp. 910 (E.D. Wis. 1981). Indeed, the substantive provisions of a DOE consent Order represent a nonreviewable exercise of DOE's enforcement discretion. *Consumer Energy Council* v. *Duncan, supra; U.S. Oil Company* v. *DOE, supra; Go-Tane Service Station* v. *DOE,* 4 En. Mgmt. (CCH) ¶ 26,313 (N.D. Ill. 1981). Any relief that a third party might receive from DOE's settlement of its enforcement claims is "a fortuitous benefit * * * not an injury," *U.S. Oil Company* v. *DOE, supra,* 510 F. Supp. at 913. Indeed, under the statutory scheme for enforcement of the petroleum pricing regulations, purchasers have a private right to sue a seller pursuant to Section 210 of the Economic Stabilization Act. 12 U.S.C. 1904 note. This right is unafffected by a DOE Consent Order. *U.S. Oil Company* v. *DOE, supra.*

Nevertheless, in entering into negotiated settlements, DOE attempts, were practicable, to provide remedial benefits to persons injured by the consenting firm's alleged violations. Here, however, the issues resolved by this Consent Order do not readily permit identification of injured parties since the issues raised concerned improper certification of crude oil. Under the circumstances of this case, DOE is unable at this time to determine who bore the burden in the challenged transactions. Alleged crude oil overcharges by producers are ultimately diffused among all refiners and their customers by the Entitlements Program.

As noted, five of the six comments were received from states suggesting that refunds should be made to them to fund various energy-related programs. While a program of allocating funds to states may be appropriate in some instances, there is no requirement that such a program be adopted. In this case, because the effects of the alleged violations were borne by all petroleum product consumers, DOE has decided to exercise its discretion to provide in the first instance for an escrow payment.

Several comments suggested that a petition to the Office of Hearings and Appeals (OHA) under Subpart V of the Regulations (10 CFR Part 205, Subpart V) for the implementation of special refund procedures was mandatory. Contrary to the assertions of some commenters, the use of Subpart V is not required by the Regulations. In light of the absence of any comments from a purchaser suggesting a colorable claim against the fund, and in light of the nature of the violation, as discussed above, DOE has determined that a Subpart V proceeding is not required in this case.

Notwithstanding the foregoing, DOE will consider further the disposition of the monies to be paid by Williams Exploration pursuant to the Consent Order. However, because this review will not involve Williams Exploration's obligation to make payment to DOE as required under the Consent Order, DOE has determined to make the Consent Order final. The funds will be deposited into an interest bearing escrow account maintained by the DOE.

Having considered all comments received, DOE has determined that the proposed Consent Order with Williams Exploration should be made final without modification. The Consent Order is made final and effective upon publication of this notice (August 19, 1982).

Issued in Washington, D.C. August 12, 1982.

Milton C. Lorenz,

Special Counsel, Economic Regulatory Administration.

[FR Doc. 82-22629 Filed 8-18-82; 8:45 am]

BILLING CODE 6450-01-M

Energy Information Administration

Agency Forms Submitted to the Office of Management and Budget for Review

AGENCY: Energy Information Administration, DOE.

ACTION: Notice of submission of request for clearance to the Office of Management and Budget.

SUMMARY: Under provisions of the Paperwork Reduction Act (44 U.S.C. Chapter 35), Department of Energy (DOE) notices of proposed collections under review will be published in the **Federal Register** on the Thursday of the week following their submission to the Office of Management and Budget (OMB). Following this notice is a list of the DOE proposals sent to OMB for approval between July 29, 1982, and August 12, 1982.

Each entry contains the following information and is listed by the DOE sponsoring office: (1) The form number; (2) Form title; (3) Type of request, e.g., new, revision, or extension; (4) Frequency of collection; (5) Response obligation, i.e., mandatory, voluntary, or required to obtain or retain benefit; (6) Type of respondent; (7) An estimate of the number of respondents; (8) Annual respondent burden, i.e., an estimate of the total number of hours needed to fill out the form; and (9) A brief abstract describing the proposed collection.

DATES: Last Notice published Thursday, July 29, 1982 (47 FR 32768).

FOR FURTHER INFORMATION CONTACT:

John Gross, Director, Forms Clearance and Burden Control Division; Energy Information Administration, M.S. 1H-023, Forrestal Building, 1000 Independence Ave., NW., Washington, D.C. 20585, (202) 252-2308

Jefferson B. Hill, Department of Energy Desk Officer, Office of Management and Budget, 726 Jackson Place, NW., Washington, D.C. 20503, (202) 395-7340

Vertkes Broussalian, Federal Energy Regulatory Commission Desk Officer, Office of Management and Budget, 726 Jackson Place, NW., Washington, D.C. 20503, (202) 395-3087.

SUPPLEMENTARY INFORMATION: Copies of proposed collections and supporting documents may be obtained from Mr. Gross. Comments and questions about the items on this list should be directed to the OMB reviewer; comments should also be provided Mr. Gross. If you anticipate commenting on a form, but find that time to prepare will prevent you from submitting comments promptly, you should advise the OMB reviewer of your intent as early as possible.

Issued in Washington, D.C., August 13, 1982.

Yvonne M. Bishop,

Director, Statistical Standards, Energy Information Administration.

DOE FORMS UNDER REVIEW BY OMB

Form No.	Form title	Type of request	Response frequency	Response obligation	Respondent description	Estimated number of respondents	Annual respondent burden	Abstract
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
ERA: ERA-330R.	Electric Utility Conservation Plans.	New	Annually	Mandatory	Electric Utilities that use natural gas.	450	18.000	Section 808 of FUA requires certain electric utilities which have used and intend to continue to use natural gas as a primary energy source to submit conservation plans to DOE. Data will be used to evaluate adequacy of plans. Annual reports are required to monitor implementation of these plans.
FERC: FERC-510.	Application for Surrender of License.	Extension—No change.	Nonrecurring.	Mandatory	Owners of licensed hydroelectric developments.	10	100	Applies to any surrender of license for prospective or existing hydropower project.
FERC-511.	Application for Transfer of License.	Extension—No change.	Nonrecurring.	Mandatory	Owners of licensed hydroelectric developments.	10	400	Applies to any transfer of license for hydropower project issued by the Commission.

[FR Doc. 82-22548 Filed 8-17-82; 8:45 am]
BILLING CODE 6450-01-M

Federal Energy Regulatory Commission

[Docket No. ER82-705-000]

Arkansas Power & Light Co.; Filing

August 13, 1982.

The filing Company submits the following:

Take notice that Arkansas Power & Light Company (AP&L), on July 30, 1982, tendered for filing an agreement with Arkansas Electric Cooperative Corporation, City of Conway, Arkansas, City Water and Light Plant of the City of Jonesboro, Arkansas, and City of West Memphis, Arkansas. This agreement, which has been executed by the parties, establishes rates and charges and contractual arrangements between AP&L and each of the four other systems concerning those systems' purchases of individual owership interests in AP&L's coal-fired White Bluff Units Nos. 1 and 2. AP&L, which expects to receive lower revenues from the four systems after the effectiveness of this agreement, proposes that the agreement be made effective as of March 1, 1982.

Copies of the filing were served upon Arkansas Electric Cooperative Corporation, Conway, Jonesboro and West Memphis. Copies were also served upon the Arkansas Public Service Commission, Louisiana Public Serive Commission, Missouri Public Service Commission and the Tennessee Public Service Commission.

Any person desiring to be heard or to protest said application should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.E., Washington, D.C. 20426, in accordance with §§ 1.8 and 1.10 of the Commission's Rules of Practice and Procedure (18 CFR 1.8, 1.10). All such petitions or protests should be filed on or before August 27, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a petition to intervene. Copies of this application are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22718 Filed 8-18-82; 8:45 am]
BILLING CODE 6717-01-M

[Docket No. ER82-706-000]

Arkansas Power & Light Co.; Filing

August 13, 1982.

The filing Company submits the following:

Take notice that on July 30, 1982 Arkansas Power & Light Company (AP&L) tendered for filing a Letter Agreement dated June 24, 1982 between Southwestern Power Administration (SWPA) and AP&L. AP&L states that the Agreement provides for the reservation of 78 MW of capacity by AP&L for the exclusive use of SWPA during July and August 1982. AP&L also states that SWPA agrees to pay AP&L a capacity charge of $187,200 per month and to return any energy accompanying this reserved capacity to AP&L on a KWh for KWh basis. In addition, SWPA agrees to make available to AP&L 21,840,000 KWh of energy surplus to its needs, on mutually agreed to schedules. AP&L requests an effective date of July 1, 1982. AP&L requests waiver of the Commission's notice requirements and waiver of certain requirements under Part 35 of the Commission's Regulations.

A copy of the filing has been mailed to SWPA, according to AP&L.

Any person desiring to be heard or to protest said filing should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.E., Washington, D.C. 20426, in accordance with §§ 1.8 and 1.10 of the Commission's Rules of Practice and Procedure (18 CFR 1.8, 1.10). All such petitions or protests should be filed on or before August 27, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a petition to intervene. Copies of this filing are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22719 Filed 8-18-82; 8:45 am]
BILLING CODE 6717-01-M

[Docket No. ER82-700-000]

Bangor Hydro-Electric Co.; Filing

August 13, 1982.

The filing Company submits the following:

Take notice that on July 30, 1982, Bangor-Hydro Electric Company (Bangor-Hydro) tendered for filing revisions to the Company's Rate for Other Public Utilities. Bangor-Hydro states that these rates are designed to implement an increase of $199,300 annually based on the test year.

Bangor-Hydro states that this filing affects the following schedules:

Stonington and Deer Isle Power and Light Company
Supplement No. 8 to Rate Schedule FPC No. 1
Lubec Water and Electric District

Supplement No. 8 to Rate Schedule FPC No. 4
Union River Electric Cooperative Inc.
Supplement No. 8 to Rate Schedule FPC No. 5
Eastern Maine Electric Cooperative, Inc.
Supplement No. 8 to Rate Schedule FPC No. 7
Swans Island Electric Cooperative
Supplement No. 6 to Rate Schedule FERC No. 27

Bangor-Hydro requests an effective date of October 1, 1982.

Any person desiring to be heard or to protest said filing should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.E., Washington, D.C. 20426, in accordance with §§ 1.8 and 1.10 of the Commission's Rules of Practice and Procedure (18 CFR 1.8, 1.10). All such petitions or protests should be filed on or before August 27, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding.

Any person wishing to become a party must file a petition to intervene. Copies of this filing are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22733 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. ER82-704-000]

Central Louisiana Electric Company, Inc.; Filing

August 13, 1982.

The filing Company submits the following:

Take notice that on July 30, 1982, Central Louisiana Electric Company, Inc. (CLECO) filed proposed revisions to its FERC Rate Schedule No. 21 for service to Cajun Electric Power Cooperative (Cajun). CLECO states that the revised rates would increase revenues by $2,084,507 on an annual basis. The proposed rates are filed to recover increased costs including increased operating expenses and capital costs. The revised rate schedule is proposed to become effective on September 28, 1982.

An person desiring to be heard or to protest said application should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.W., Washington, D.C. 20426, in accordance with §§ 1.8 and 1.10 of the Commission's Rules of Practice and Procedure (18 CFR 1.8, 1.10). All such petitions or protests should be filed on or before August 27, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a petition to intervene. Copies of this application are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22720 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. ER82-698-000]

Commonwealth Electric Co.; Filing

August 13, 1982.

The filing Company submits the following:

Take notice that on July 30, 1982, Commonwealth Electric Company (Commonwealth), formerly New Bedford Gas and Edison Light Company tendered for filing on behalf of itself, Montaup Electric Company and Boston Edison Company supplemental data pertaining to their applicable gross investments, combined Federal income and franchise tax rates, and local tax rates for the twelve month periods ending December 31, 1980 and December 31, 1981. Commonwealth states that this supplemental data is submitted pursuant to a letter order of the Federal Power Commission in Docket No. E-7981 dated April 26, 1973 accepting for filing Commonwealth's Rate Schedule FERC No. 21, Boston Edison Company's Rate Schedule FERC No. 67, and Montaup Electric Company's Rate Schedule FERC No. 27.

Commonwealth states that these rate schedules have previously been similarly supplemented for the calendar years 1972 through 1979.

Copies of said filing have been served upon Boston Edison Company, Montaup Electric Company, Northeast Utilities and the Massachusetts Department of Public Utilities.

Any person desiring to be heard or to protest said filing should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street NE., Washington, D.C. 20426, in accordance with Sections 1.8 and 1.10 of the Commission's Rules of Practice and Procedure (18 CFR 1.8, 1.10). All such petitions or protests should be filed on or before August 27, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a petition to intervene. Copies of this filing are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22722 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. ER82-712-000]

Cleveland Electric Illuminating Co; Filing

August 16, 1982.

The filing company submits the following:

Take notice that on August 3, 1982, The Cleveland Electric Illuminating Company (CEI) tendered for filing an executed Service Agreement and Exhibits A and B thereto, providing for transmission by CEI of approximately 65 MW of power from the 345 kv interconnection point on CEI's Juniper—Canton Line with the Ohio Power Company to the City of Cleveland, Ohio (City) in accordance with the terms and conditions of CEI's FERC Transmission Service Tariff.

CEI has requested waiver of the FERC's 60-day notice requirement in order to permit commencement of transmission service on August 1, 1982.

Any person desiring to be heard or to protest said application should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.E., Washington, D.C. 20426, in accordance with §§ 1.8 and 1.10 of the Commission's Rules of Practice and Procedure (18 CFR 1.8, 1.10). All such petitions or protests should be filed on or before August 30, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a petition to intervene. Copies of this application are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22721 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. ER82-701-000]

Florida Power Corp.; Filing

August 13, 1982.

The filing Company submits the following:

Take notice that on July 30, 1982, Florida Power Corporation (Florida) tendered for filing rate schedule revision to its FERC Electric Tariff and partial-requirements service contracts which would increase its revenues from wholesale service in two steps. The first step, reflecting the cost of service prior to commercial operation of the 640 megawatt Crystal River No. 4 generating unit now under construction, is in the amount of $12.5 million or 6.3%. The Company requests that the first step increase be permitted to become effective on September 28, 1982. The second step, reflecting the cost of service after Crystal River No. 4 is placed in commercial operation, involves a further increase of $21.4 million, for a total second-step increase over the currently effective rates of $33.9 million or 17%. The Company requests that the second-step increase be permitted to become effective upon the date of commercial operation of Crystal River No. 4, scheduled for December 31, 1982. The company states that it will inform the Commission and the affected customers if there is any change in that date.

The filing also contains provisions to provide for a 10 day period for payment of bills for transmission service and to provide for recovery of estimated spent nuclear fuel expense.

Florida states that copies of this filing have been served upon the Florida Public Commission.

Any person desiring to be heard or to protest said filing should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.E., Washington, D.C. 20426, in accordance with §§ 1.8 and 1.10 of the Commission's Rules of Practice and Procedure (18 CFR 1.8, 1.10). All such petitions or protests should be filed on or before August 26, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a petition to intervene. Copies of this filing are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22723 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. ES82-67-000]

Gulf States Utilities Co.; Application

August 16, 1982.

Take notice that on August 4, 1982, Gulf States Utilities Company (Applicant) filed an application with the Commission, pursuant to Section 204 of the Federal Power Act, seeking an order authorizing the issuance of not more than 750,000 shares of new preferred stock, $100 par value, or not more than 3,000,000 shares of new preference stock, $25 stated value via negotiated placement.

Any person desiring to be heard or to make any protest with reference to the application should on or before September 2, 1982, file with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.E., Washington, D.C. 20426, petitions to intervene or protests in accordance with the requirements of the Commission's Rules of Practice and Procedure. The application is on file with the Commission and is available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22724 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. ER82-707-000]

Interstate Power Co.; Filing

August 16, 1982.

The filing Company submits the following:

Take notice that on August 2, 1982, Interstate Power Company, (Interstate) tendered for filed proposed Rated Schedule No. 499 increasing rates and charges for wholesale electric service. Interstate states that Rules Schedule No. 499 is applicable to the Company's twenty municipal full requirements customers.

Interstate proposes an effective date of October 1, 1982.

According to interstate copies of this filing were served upon all affected customers.

Any person desiring to be heard or to protest said filing should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.E., Washington, D.C. 20426, in accordance with §§ 1.8 and 1.10 of the Commission's Rules of Practice and Procedure (18 CFR 1.8, 1.10). All such petitions or protests should be filed on or before August 30, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a petition to intervene. Copies of this filing are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22725 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. ES82-68-000]

Montana-Dakota Utilities Co.; Application

August 13, 1982.

Take notice that on August 6, 1982, Montana-Dakota Utilities Co. (Applicant) filed an Application with the Federal Energy Regulatory Commission, pursuant to Section 204 of the Federal Power Act, seeking an Order to incur up to $50,000,000 of short-term indebtedness to be issued through December 31, 1984, with a final maturity of not later than December 31, 1985.

Any person desiring to be heard or to make any protest with reference to said Application should, on or before August 26, 1982, file with the Federal Energy Regulatory Commission, Washington, D.C. 20426, petitions or protests with the requirements of the Commission's Rules of Practice and Procedure (18 CFR 1.8 or 1.10). The Application is on file and available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22726 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. ER82-702-000]

New England Power Co.; Filing

August 13, 1982.

The filing Company submits the following:

Take notice that New England Power Company (NEP), on July 30, 1982, tendered for filing a proposed change in its Service Agreement for Primary Service for Resale with The Narragansett Electric Company (Narragansett). The proposed change would increase the fixed creidts allowed Narragansett on its purchased power billing by NEP in the amount of $879,000 annually based on the 12 month period ending December 31, 1983.

NEP has also filed an interim G&T credit which, on the basis of a 1983 test year, would increase the amount of the fixed credit by approximately $129,000. NEP requests that if the full credit is suspended for five months, that the suspension applicable to the interim

credit be limited to three months. The full G&T credit increase includes, and is not in addition to, the iterim credit increase.

Copies of the filing were served upon Narragansett and the Rhode Island Public Utilities Commission.

Any person desiring to be heard or to protest said filing should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.E., Washington, D.C. 20426, in accordance with §§ 1.8 and 1.10 of the Commission's Rules of Practice and Procedure (18 CFR 1.8, 1.10). All such petitions or protests should be filed on or before August 27, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a petition to intervene. Copies of this filing are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22734 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. ER82-703-000]

New England Power Co.; Filing

August 13, 1982.

The filing Company submits the following:

Take notice that on July 30, 1982, New England Power Company (NEP) tendered for filing revised tariff sheets constituting a new rate W-5 for its Primary Service for Resale. NEP states that its W-5 revised tariff sheets will result in an increase in jurisdictional base rate revenues on the basis of a 1983 test year of approximately $30,300,000. Although the filing has an effective date of October 1, 1982, NEP has requested a three month suspension. If suspended for three months as requested, NEP will begin to bill under the W-5 rate on January 1, 1983.

NEP has also filed Rate W-5(I) which on the basis of a 1983 test year would increase jurisdictional revenues approximately $9,400,000. NEP requests that if the full W-5 rate is suspended for five months that the suspension applicable to the W-5(I) be limited to three months. The W-5 increase includes and is not in addition to the W-5(I) increase.

Any person desiring to be heard or to protest said filing should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.E., Washington, D.C. 20426, in accordance with §§ 1.8 and 1.10 of the Commission's rules of practice and procedure (18 CFR 1.8 and 1.10). All such petitions or protests should be filed on or before August 27, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a petition to intervene. Copies of this filing are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22735 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Project No. 5801-000]

Niagara Mohawk Power Corp.; Notice Rejecting Appeal

August 13, 1982.

On July 12, 1982 the New York State Department of Environmental Conservation ("DEC") filed a request to accept late submission of comments and attachment of comments to the Commission's order issuing exemption from licensing for Project No. 5801, 19 FERC ¶ 62,438 (issued June 9, 1982). On August 2, 1982 a Notice Rejecting Request to Accept Late Filed Comments was issued. On that same day DEC filed a letter requesting that their comments be treated as a formal appeal.

Under § 1.7(d) of the Commission's Rules of Practice and Procedure, staff action may be appealed within 30 days of the action. Even if the comments filed July 12, 1982 were treated as an appeal, the filing was untimely and is therefore rejected.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22727 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. RP82-71-000]

Northern Natural Gas Co.; Conference

August 13, 1982.

Take notice that on September 15, 1982, at 10:00 a.m., a conference of all interested parties will be convened concerning the above-captioned matter. The conference will be held at the offices of the Federal Energy Regulatory Commission, 825 North Capitol Street, NE., Washington, DC. 20426.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22728 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. ER82-711-000]

Southern Company Services, Inc.; Filing

August 16, 1982.

The filing Company submits the following:

Take notice that on August 3, 1982, Southern Company Services, acting as agent for Alabama Power Company, Georgia Power Company, Gulf Power Company and Mississippi Power Company (Southern Companies) tendered for filing a Supplemental Contract for Additional Long Term Power Sales between Florida Power & Light Company and Southern Companies under the provisions of an existing interchange contract on file with the Federal Energy Regulatory Commission.

An person desiring to be heard or to protest said filing should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.W., Washington, D.C. 20426, in accordance with §§ 1.8 and 1.10 of the Commission's Rules of Practice and Procedure (18 CFR 1.8, 1.10). All such petitions or protests should be filed on or before August 30, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a petition to intervene. Copies of this application are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22729 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. TC82-42-000]

Texas Eastern Transmission Corp.; Tariff Filing

August 12, 1982.

Take notice that on August 2, 1982, Texas Eastern Transmission Corporation (Texas Eastern), P.O. Box 2521, Houston, Texas 77001, tendered for filing in Docket No. TC82-42-000 First Revised Sheet Nos. 144, 145, and 146 as part of its FERC Gas Tariff, Fourth Revised Volume No. 1, to be effective September 1, 1982.

These tariff sheets set forth a new Article IV of the Form of Service Agreement for Service under Rate Schedules DCQ, GS, SGS, ACQ, I, SS, and WS providing exculpatory language, in the event of a gas supply shortage, which reads as follows:

Gas Supply Allocation

It is understood that Seller does not now have and may not have in the future, sufficient gas supplies (including supplies from storage) to supply Buyer with the quantities of gas specified in the servcie agreement for the term of such agreement. Accordingly, Seller will not be liable in damages for a failure to have such quantities of gas available for delivery thereunder so long as Seller delivers the quantities of gas Seller has available in accordance with Sections 12.3 through 12.7 of the General Terms and Conditions of its FERC Gas Tariff.

These sheets renumber certain articles of the Form of Service Agreement and make a change in Article II. The latter change is said to be an editorial change to provide clarity and flexibility in connection with the termination date.

Any person desiring to be heard or to make any protest with reference to said filing should on or before August 23, 1982, file with the Federal Energy Regulatory Commission, Washington, D.C. 20426, a petition to intervene or a protest in accordance with the requirements of the Commission's Rules of Practice and Procedure (18 CFR 1.8 or 1.10). All protests filed with the Commission will be considered by it in determining the appropriate action to be taken but will not serve to make the protestants parties to the proceeding. Any person wishing to become a party to a proceeding or to participate as a party in any hearing therein must file a petition to intervene in accordance with the Commission's Rules.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22737 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. CP79-80, et al.]

Trailblazer Pipeline Co. et al.; Filing of Financing Plan

August 12, 1982.

Take notice that on August 6, 1982, Trailblazer Pipeline Company (Trailblazer), 122 South Michigan Avenue, Chicago, Illinois 60603, in compliance with Opinion No. 138 issued March 12, 1982, in Docket No. CP79-80, *et al.*, tendered for filing a financing plan for the Trailblazer Pipeline System. Opinion No. 138 required that the financing plan be filed for Commission review. The Opinion provided further that upon filing the financing plans, the applicant shall be able to proceed on the basis that the plans are acceptable absent notification to the contrary within 60 days after the date of filing.

Trailblazer has also requested that the Commission shorten its 60-day review period so that the financing review period ends with the effective date of the filed tariffs and initial rates. The three segments of the Trailblazer project filed tariffs and initial rates on July 30, 1982, to be effective October 1, 1982.

Any person desiring to be heard or to protest said financing plan filing or Trailblazer's request for a shortened review period should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.E., Washington, D.C. 20426, in accordance with §§ 1.8 and 1.10 of the Commission's Rules of Practice and Procedure (18 CFR 1.8, 1.10). All such petitions or protests should be filed on or before September 7, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a petition to intervene. Copies of this filing are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22736 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. CP77-639-002]

Trunkline Gas Co.; Petition To Amend

August 13, 1982.

Take notice that on July 23, 1982, Trunkline Gas Company (Petitioner), P.O. Box 1642, Houston, Texas 77001, filed in Docket No. CP77-639-002 a petition to amend the order issued December 29, 1977, in Docket No. CP77-639-000 pursuant to Section 7(c) of the Natural Gas Act so as to authorize the relocation of a delivery point to South Jersey Exploration Company (South Jersey), all as more fully set forth in the petition to amend which is on file with the Commission and open to public inspection.

Petitioner states that by order issued December 29, 1977, it was authorized to transport natural gas for South Jersey from Harris County, Texas, to an existing interconnection with Transcontinental Pipe Line Company (Transco) in Vermilion Parish, Louisiana (Cow Island Plant). Petitioner further states that it was provided a point of interconnection in the Cow Island Plant pursuant to an agreement entered into on November 1, 1972, among Petitioner, Transco, Mobil Oil Exploration & Producing Southeast, Inc. (Mobil), and Union Oil Company of California (Union). Petitioner submits that Mobil and Union cancelled this agreement on December 11, 1981, and that Petitioner desires to establish a new point of delivery to Transco for purposes of affecting deliveries to South Jersey.

Pursuant to Amendment No. 1, to the transportation agreement of August 2, 2977, between Petitioner and South Jersey, dated April 12, 1982, Petitioner proposes to relocate the delivery point to an existing point of interconnection between Petitioner's and Transco's facilities near Ragley in Beauregard Parish, Louisiana. Petitioner asserts that except for the relocation of the redelivery point, all other terms and conditions of the contract would remain in full force and effect.

Petitioner avers that it has sufficient available capacity in its existing facilities to transport South Jersey's gas as well as the other volumes connected to Petitioner's system.

Any person desiring to be heard or to make any protest with reference to said petition to amend should on or before September 7, 1982, file with the Federal Energy Regulatory Commission, Washington, D.C. 20426, a petition to intervene or a protest in accordance with the requirements of the Commission's Rules of Practice and Procedure (18 CFR 1.8 or 1.10) and the Regulations under ther Natural Gas Act (18 CFR 157.10). All protests filed with the Commission will be considered by it in determining the appropriate action to be taken, but will not serve to make the protestants parties to the proceeding. Any person wishing to become a party to a proceeding or to participate as a party in any hearing therein must file a petition to intervene in accordance with the Commission's Rules.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22738 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. ER82-699-000]

Union Electric Co.; Filing

August 13, 1982.

The filing Company submits the following:

Take notice that on July 30, 1982, Union Electric Company (Union) tendered for filing a Letter Agreement revising the demand charge under Service Schedule A to the Interconnection Contract dated September 18, 1979 between Union and the City of Columbia, Missouri.

Union indicates that said Letter Agreement provides for a revision in the demand charge under said Service Schedule.

Union requests an effective date of October 1, 1982.

An person desiring to be heard or to protest said filing should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.E., Washington, D.C. 20426, in accordance with §§ 1.8 and 1.10 of the Commission's Rules of Practice and Procedure (18 CFR 1.8, 1.10). All such petitions or protests should be filed on or before August 27, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a petition to intervene. Copies of this filing are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22730 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket Nos. RP81-81-000 *et al.*]

United Gas Pipe Line Co.; Settlement Conference

August 13, 1982.

Take notice that on August 26, 1982, at 10:00 a.m., there will be a settlement conference in this proceeding. On the day of the conference, the conference room number will be posted by 9:30 a.m. on the second floor bulletin board of the Federal Energy Regulatory Commission, 825 North Capitol Street, N.E., Washington, DC 20426. The conference is tentatively scheduled to be held in the ninth floor Commission Meeting Room.

The conference is being convened for further settlement discussions, to discuss a proposal for Docket No. RP82-57 that United states it will mail to all parties prior to the conference, and to possibly discuss the liquids and liquefiables issue or a procedural schedule for trying the issue.

Customers and other interested persons will be permitted to attend, but if such persons have not previously been permitted to intervene in this matter by order of the Commission, attendance will not be deemed to authorize intervention as a party in this proceeding.

All parties will be expected to come fully prepared to discuss the merits of the issues arising in these proceedings and to make commitments with respect to such issues and to any offers of settlement discussed at the conference.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22739 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. ER82-708-000]

West Texas Utilities Co.; Filing

August 16, 1982.

The filing Company submits the following:

Take notice that on August 2, 1982, West Texas Utilities Company (West Texas) tendered for filing (1) changes in rates applicable to TR-1 customers served under WTU's FERC Electric Tariff Original Volume No. 1, (2) unexecuted letter amendments to the contract for electric service by and between West Texas and Texas-New Mexico Power Company (TNP) and (3) unexecuted letter amendments to contracts for electric service by and between West Texas and its two partial requirements customers, the Cities of Coleman and Brady, Texas.

Any person desiring to be heard or to protest said filing should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.E., Washington, D.C. 20426, in accordance with §§ 1.8 and 1.10 of the Commission's Rules of Practice and Procedure (18 CFR 1.8, 1.10). All such petitions or protests should be filed on or before August 30, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a petition to intervene. Copies of this filing are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22731 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. ER81-517-000]

Wisconsin Electric Power Co.; Order Granting Motion to Collect Interim Settlement Rates

August 11, 1982.

On July 6, 1982, Wisconsin Electric Power Company (WEPCO) filed a motion for authorization to collect settlement rates, subject to refund, from its wholesale customers affected by the rates filed in this docket. The settlement rates would replace the rates which are currently in effect, subject to refund, as a result of a Commission order of July 31, 1981. An executed settlement agreement providing for the settlement rates was filed on June 29, 1982. This settlement agreement was certified to the Commission by the Presiding Administrative Law Judge on August 3, 1982.

In its motion WEPCO states that the settlement rates represent a reduction from the rates presently in effect, subject to refund, in this docket. WEPCO states that its motion is made at the request of its wholesale customers.

WEPCO seeks permission to put the settlement rates in effect as of July 1, 1982. The motion further seeks approval for WEPCO to reinstate, subject to refund, the rates originally filed by WEPCO in this docket from the date of any Commission action disapproving the settlement agreement or any aspect of it; or approving the settlement agreement with any change or condition; or if the Commission sets the settlement agreement for hearing.

Pursuant to §§ 35.1(e) and 35.11 of the Commission's regulations, we find that good cause exists to permit the collection of the settlement rates, subject to refund, as of July 1, 1982 until such time as the Commission acts upon the settlement agreement filed in this docket on June 29, 1982. This order shall be without prejudice to our subsequent determination on the merits of the settlement agreement. In the event that the settlement agreement is not approved or is approved in such a fashion that the settlement agreement is withdrawn, the originally filed rates shall apply prospectively only from the date of such final Commission order.

The Commission orders:

(A) The motion filed by WEPCO on July 6, 1982, requesting permission to collect settlement rates in lieu of the rates originally filed in the docket is hereby granted.

(B) Good cause having been shown, WEPCO is hereby authorized, pursuant to §§ 35.1(e) and 35.11 of the Commission's regulations, to collect, subject to refund, the settlement rates which it has filed, effective July 1, 1982, until final Commission action on the settlement. In the event that the settlement agreement is not approved or is approved in such a fashion that the settlement agreement is withdrawn, the originally filed rates shall become effective prospectively and subject to refund from the date of such final Commission order.

(C) The Secretary shall promptly publish this order in the **Federal Register.**

By the Commission.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22740 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

[Docket No. ER82-709-000]

Wisconsin Public Service Corp.; Filing

August 16, 1982.

The filing Company submits the following:

Take notice that on August 2, 1982, Wisconsin Public Service Corporation (WPSC) tendered for filing a Service Schedule A (Revision Dated June 1, 1982) to the Power Pool Agreement dated July 26, 1973, between Wisconsin Power and Light Company (WPL), Wisconsin Public Service Corporation (WPSC), and Madison Gas and Electric Company (MGE). WPSC states that also included in the filing was Service Schedule A (Revision Dated June 1, 1982) to the Master Interconnection Agreement dated January 5, 1966, between Wisconsin Power and Light and Wisconsin Public Service Corporation.

WPSC further states that the provisions of these revised Service Schedules are to be effective with Weston 3 becoming an accredited unit within the Wisconsin Power Pool, effective June 1, 1982.

The Service Schedules set the Participation Capacity Rate at $3.29 per KW per month in accordance with the procedures set forth in the basic Agreements on file with the Federal Energy Regulatory Commission.

WPSC states that copies of each Service Schedule have been provided to the respective parties.

Any person desiring to be heard or to protest said filing should file a petition to intervene or protest with the Federal Energy Regulatory Commission, 825 North Capitol Street, N.E., Washington, D.C. 20426, in accordance with §§ 1.8 and 1.10 of the Commission's Rules of Practice and Procedure (18 CFR 1.8, 1.10). All such petitions or protests should be filed on or before August 30, 1982. Protests will be considered by the Commission in determining the appropriate action to be taken, but will not serve to make protestants parties to the proceeding. Any person wishing to become a party must file a petition to intervene. Copies of this filing are on file with the Commission and are available for public inspection.

Kenneth F. Plumb,

Secretary.

[FR Doc. 82-22732 Filed 8-18-82; 8:45 am]

BILLING CODE 6717-01-M

Office of Hearing and Appeals

Issuance of Decisions and Orders; Week of June 28 through July 2, 1982

During the week of June 28 through July 2, 1982, the decisions and orders summarized below were issued with respect to appeals and applications for exception or other relief filed with the Office of Hearings and Appeals of the Department of Energy. The following summary also contains a list of submissions that were dismissed by the Office of Hearings and Appeals.

Remedial Order

Ray Williams, d.b.a. Broadway Shell, 6/30/82, BRO-1542, HRH-0006

On December 22, 1981, Ray Williams, d.b.a. Broadway Shell objected to a Propsed Remedial Order which the Western District Office of Enforcment issued to the firm on March 31, 1981. In the Proposed Remedial Order, the Office of enforcement found that during the audit period August 1, 1979 through December 31, 1980, Broadway violated 10 C.F.R. § 212.93 by making sales of motor gasoline to its retail customers at prices in excess of its maximum lawful selling prices. The DOE concluded that the Proposed Remedial Order should be remanded, because certain worksheets attached to the PRO were labeled with the name of another motor gasoline retailer, thus raising some doubt as to whether all of the overchanges attributed to Broadway Shell were, in fact, made by that firm. On December 22, 1981, Broadway also filed a Motion for Evidentiary Hearing in connection with its Statement of Objections. In considering the Motion, the DOE determined that Broadway had failed to identify the disputed issues of fact which the firm would present at a hearing or to offer any alternative findings of fact. Accordingly, the Motion for Evidentiary Hearing was also denied.

Petitions for Special Redress

State of California, State of Michigan, State of New York, 6/28/82, HEG-0001 through HEG-0004, HEG-0007, HEG-0008

The States of California, Michigan, and New York filed Petitions for Special Redress in which they sought to have the Office of Hearings and Appeals review certain provisions of two consent orders which the DOE had entered into with the Standard Oil Company of California and Western Crude Oil, Inc. In considering the States' requests the OHA determined that the petitions should be dismissed pursuant to 10 C.F.R. § 205.236(b)(2) because the petitioners had exhausted their administrative remedies with respect to the consent orders by filing comments on the proposed consent orders. Accordingly, the States' Petitions for Special Redress were dismissed with prejudice.

Request for Exception

Golden Valley Electric Association, Inc., 6/30/82, BEE-1328

On August 6, 1980, Golden Valley Electric Association, Inc. filed an Application for Exception with the Office of Hearings and Appeals. In its request, Golden Valley sought exception relief which, if granted would result in an order reducing the entitlements purchase obligation of its sole supplier, North Pole Refining, for crude oil receipts and runs to stills during the period May through November 1980. Golden Valley further requested that all benefits received by North Pole as a result of an entitlements purchase reduction be passed through to it in the form of lower fuel prices. In considering the request, the DOE determined that Golden Valley had failed to demonstrate that the July 3, 1980 amendment to the Entitilements Program which increased North Pole's entitlements purchase obligation caused Golden Valley to experience a gross inequity, serious hardship or unfair distribution of burdens. Accordingly, exception relief was denied.

Motion for Modification and/or Rescission

Economic Regulatory Administration, 6/30/82, HRR-0026

The Economic Regulatory Administration submitted a Motion for Reconsideration in which it requested that the DOE modify a prior Interlocutory Order issued in connection with compliance proceedings involving Marathon Oil Company. In considering the ERA request, the DOE stated that such motions are generally used to correct a serious error in a prior determination. The DOE pointed out that the ERA did not disagree with the result of the prior interlocutory order, but rather asked only that a particular sentence be deleted. The DOE also found that the ERA had not shown that the sentence in question was in any way erroneous. Consequently, the motion was denied.

Motion for Discovery

J. R. Cone, 7/2/82, DRD-0247, DRH-0247

J. R. Cone (Cone) filed Motions for Discovery and Evidentiary Hearing in connection with its Statement of Objections to a Proposed Remedial Order that ERA's Southwest Enforcement District issued to him on May 31, 1979. In his Motion for Discovery, Cone requested documents relating to the development and implementation of interpretive rulings concerning the inclusion of injection wells and multiple completion wells in the well count to determine the stripper well status of a property. Cone also sought documents and proposed interrogatories relating to the audit of Cone's properties and the personnel involved in the audit. In his Motion for Evidentiary Hearing, Cone sought the testimony of ERA representatives, industry representatives, and his own representatives on thirteen issues which he claims affect the stripper well classification of his properties, including

whether several wells were produced separate tubing strings from separate reservoirs.

In considering the Motion for Discovery, the DOE found that administrative record discovery concerning the rulings was inappropriate and that contemporaneous construction discovery was not warranted by any significant ambiguities concerning the rulings. DOE also found that Cone had failed to demonstrate that evidence sought in the remainder of the request was relevant and material to the validity of the PRO. In considering Cone's Motion for Evidentiary Hearing, the DOE determined that Cone's claims concerning production of crude oil, unsupported by records, were not sufficient to raise genuine issues of fact to justify the convening of an evidentiary hearing. DOE also found that none of the other issues raised by Cone raised relevant and material issues of fact whose resolution would be substantially assisted by an evidentiary proceeding. Accordingly, the DOE determined that Cone's Motion for Discovery and Motion for Evidentiary Hearing should be denied.

Refund Applications

Tenneco Oil Company/Defense Logistics Agency, 7/2/82, RF7–84

The Defense Logistics Agency (DLA) of the Department of Defense filed an Application for Refund pursuant to a Decision and Order issued on February 18, 1982 in *Office of Special Counsel*, 9 DOE ¶ 82,538 (1982). In its Application, the DLA sought a portion of a fund obtained by the DOE through a consent order entered into by the agency and the Tenneco Oil Company on January 18, 1981. In considering the request, the DOE found that the DLA was an ultimate consumer of Tenneco products and had satisfied the requirements set forth in the February 18, 1982 Decision to substantiate its claim. Accordingly, the DLA's Application for Refund was granted.

Tenneco Oil Company/McLean Trucking Company, 7/2/82, RF7–37

The McLean Trucking Company (McLean) filed an Application for Refund pursuant to a Decision and Order issued on February 18, 1982 in *Office of Special Counsel*, 9 DOE ¶ 82,538 (1982). In its Application, McLean sought a portion of a fund obtained by the DOE through a consent order entered into by the agency and the Tenneco Oil Company on January 18, 1981. In considering the request, the DOE found that McLean was part of a regulated industry and that any alleged overcharges would have been passed on to its customers. The DOE also found that McLean met its burden of demonstrating that it would pass through any refunds to its customers. Accordingly, McLean's Application for Refund was granted.

Tenneco Oil Company/State of New York, 6/28/82, RF7–58

On May 27, 1982, the State of New York filed an Application for Refund from the Tenneco Oil Company consent order escrow account. New York requested refunds on behalf of a class consisting of New York end-user claimants, including all governmental subdivisions of the state, non-profit organizations, and other persons or entities not engaged in the direct sale of goods or services who purchased Tenneco petroleum products affected by the alleged overcharges, or who purchased goods, services, or products for which Tenneco petroleum products were an input or price determinant. The state proposed that refunds for alleged purchases of Tenneco motor gasoline, kerosene, and No. 2 heating oil be paid to it for use in energy programs benefitting consumers of these products. The OHA concluded that the refund application should be denied because it failed to satisfy the standards for a successful first-stage claim which were set forth in *Tenneco Oil Co.*, 9 DOE ¶ 82,538 (1982). In addition, the mechanism proposed by the State of New York for redressing the injuries of members of the putative class was an indirect one, which would more appropriately be considered in the second stage of the *Tenneco* refund proceeding.

Dismissals

The following submissions were dismissed without prejudice:

Company Name and Case No.

Mobil Oil Corp.—HRS–0023; HRZ–0024; HRS–0025; HRS–0026; HRS–0027; HRS–0028
Thomas P. Reidy, Inc.—HRS–0013

Copies of the full text of these decisions and orders are available in the Public Docket Room of the Office of Hearings and Appeals, Room 1111, New Post Office Building, 12th and Pennsylvania Ave., N.W., Washington, D.C. 20461, Monday through Friday, between the hours of 1:00 p.m. and 5:00 p.m., except federal holidays. They are also available in *Energy Management; Federal Energy Guidelines*, a commercially published loose leaf reporter system.

Richard T. Tedrow,

Acting Director, Office of Hearings and Appeals.

August 10, 1982.

[FR Doc. 82–22632 Filed 8–18–82; 8:45 am]

BILLING CODE 6450–01–M

Issuance of Decisions and Orders; Office of Hearings and Appeals Week of June 28 through July 2, 1982

During the week of June 28 through July 2, 1982, the decisions and orders summarized below were issued with respect to appeals and applications for exception or other relief filed with the Office of Hearings and Appeals of the Department of Energy. The following summary also contains a list of submissions that were dismissed by the Office of Hearings and Appeals.

Remedial Order

Ray Williams, d.b.a. Broadway Shell 6/30/82 BRO–1542, HRH–0006

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Petitions for Special Redress

State of California, State of Michigan, State of New York 6/28/82 HEG–0001 through HEG–0004, HEG–0007, HEG–0008

The States of California, Michigan, and New York filed Petitions for Sepcial Redress in which they sought to have the Office of Hearings and Appeals review certain provisions of two consent orders which the DOE had entered into with the Standard Oil Company of California and Western Crude Oil, Inc. In considering the States' requests the OHA determined that the petitioins should be dismissed pursuant to 10 CFR § 205.236(b)(2) because the petitioners had exhausted their administrative remedies with respect to the consent orders by filing comments on the proposed consent orders. Accordingly, the States' Petitions for Special Redress were dismissed with prejudice.

Request for Exception

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Motion for Modification and/or Rescission

Economic Regulatory Administration, 6/30/82, HRR-0026

The Economic Regulatory Administration submitted a Motion for Reconsideration in which it requested that the DOE modify a prior Interlocutory Order issued in connection with compliance proceedings involving Marathon Oil Company. In considering the ERA request, the DOE stated that such motions are generally used to correct a serious error in a prior determination. The DOE pointed out that the ERA did not disagree with the result of the prior interlocutory order, but rather asked only that a particular sentence be deleted. The DOE also found that the ERA had not shown that the sentence in question was in any way erroneous. Consequently, the motion was denied.

Motion for Discovery

J. R. Cone, 7/2/82, DRD-0247, DRH-0247

J. R. Cone (Cone) filed Motions for Discovery and Evidentiary Hearing in connection with its Statement of Objections to a Proposed Remedial Order that ERA's Southwest Enforcement District issued to him on May 31, 1979. In his Motion for Discovery, Cone requested documents relating to the development and implementation of interpretive rulings concerning the inclusion of injection wells and multiple completion wells in the well count to determine the stripper well status of a property. Cone also sought documents and proposed interrogatories relating to the audit of Cone's properties and the personnel involved in the audit. In his Motion for Evidentiary Hearing, Cone sought the testimony of ERA representatives, industry representatives, and his own representatives on thirteen issues which he claims affect the stripper well classification of his properties, including whether several wells were producing separate tubing strings from separate reservoirs.

In considering the Motion for Discovery, the DOE found that administrative record discovery concerning the rulings was inappropriate and that contemporaneous construction discovery was not warranted by any significant ambiguities concerning the rulings. DOE also found that Cone had failed to demonstrate that evidence sought in the remainder of the request was relevant and material to the validity of the PRO. In considering Cone's Motion for Evidentiary Hearing, the DOE determined that Cone's claims concerning production of crude oil, unsupported by records, were not sufficient to raise genuine issues of fact to justify the convening of an evidentiary hearing. DOE also found that none of the other issues raised by Cone raised relevant and material issues of fact whose resolution would be substantially assisted by an evidentiary proceeding. Accordingly, the DOE determined that Cone's Motion for Discovery and Motion for Evidentiary Hearing should be denied.

Refund Applications

Tenneco Oil Company/Defense Logistics Agency, 7/2/82, RF7-84

The Defense Logistics Agency (DLA) of the Department of Defense filed an Application for Refund pursuant to a Decision and Order issued on February 18, 1982, in *Office of Special Counsel*, 9 DOE ¶ 82,538 (1982). In its Application, the DLA sought a portion of a fund obtained by the DOE through a consent order entered into by the agency and the Tenneco Oil Company on January 18, 1981. In considering the request, the DOE found that the DLA was an ultimate consumer of Tenneco products and had satisfied the requirements set forth in the February 18, 1982 Decision to substantiate its claim. Accordingly, the DLA's Application for Refund was granted.

Tenneco Oil Company/McLean Trucking Company, 7/2/82, RF7-37

The McLean Trucking Company (McLean) filed an Application for Refund pursuant to a Decision and Order issued on February 18, 1982 in *Office of Special Counsel*, 9 DOE ¶ 82,538 (1982). In its Application, McLean sought a portion of a fund obtained by the DOE through a consent order entered into by the agency and the Tenneco Oil Company on January 18, 1981. In considering the request, the DOE found that McLean was part of a regulated industry and that any alleged overcharges would have been passed on to its customers. The DOE also found that McLean met its burden of demonstrating that it would pass through any refunds to its customers. Accordingly, McLean's Application for Refund was granted.

Tenneco Oil Company/State of New York, 6/28/82, RF7-58

On May 27, 1982, the State of New York filed an Application for Refund from the Tenneco Oil Company consent order escrow account. New York requested refunds on behalf of a class consisting of New York end-user claimants, including all governmental subdivisions of the state, non-profit organizations, and other persons or entities not engated in the direct sale of goods or services who purchased Tenneco petroleum products affected by the alleged overcharges, or who purchased goods, services, or products for which Tenneco petroleum products were an input or price determinant. The state proposed that refunds for alleged purchases of Tenneco motor gasoline, kerosene, and No. 2 heating oil be paid to it for use in energy programs benefitting consumers of the products. The OHA concluded that the refund application should be denied because it failed to satisfy the standards for a successful first-stage claim which were set forth in *Tenneco Oil Co.*, 9 DOE ¶ 82,538 (1982). In addition, the mechanism proposed by the State of New York for redressing the injuries of members of the putative class was an indirect one, which would more appropriately be considered in the second stage of the *Tenneco* refund proceeding.

Dismissals

The following submissions were dismissed without prejudice:

Company name, Case No.

Mobil Oil Corporation, HRS-0023; HRZ-0024; HRS-0025; HRS-0026; HRS-0027; HRS-0028
Thomas P. Reidy, Inc., HRS-0013

Copies of the full text of these decisions and orders are available in the Public Docket Room of the Office of Hearings and Appeals, Room 1111, New Post Office Building, 12th and Pennsylvania Ave., NW., Washington, D.C. 20461, Monday through Friday, between the hours of 1:00 p.m. and 5:00 p.m., except federal holidays. They are also available in *Energy Management; Federal Energy Guidelines*, a commercially published loose leaf reporter system.

Richard T. Tedrow,

Acting Director, Office of Hearings and Appeals.

August 13, 1982.

[FR Doc. 82-22631 Filed 8-18-82; 8:45 am]

BILLING CODE 6450-01-M

Issuance of Decisions and Orders; Week of July 5 Through July 9, 1982

During the week of July 5 through July 9, 1982, the decisions and orders summarized below were issued with respect to appeals and applications for exception or other relief filed with the Office of Hearings and Appeals of the Department of Energy. The following summary also contains a list of submissions that were dismissed by the Office of Hearings and Appeals.

Appeal

Shad Alliance, July 9, 1982, HFA-0059

The Sound Hudson Against Atomic Development (SHAD) Alliance filed an Appeal from a partial denial issued by the Director of the Office of Safeguards and Security, Defense Programs, DOE, which the firm had submitted under the Freedom of Information Act. In that determination, the Director withheld the names of FBI Officials and members of SHAD. In addition, various dates, places, and other identifying information were deleted from portions of four of the documents pursuant to 5 U.S.C. 552(b)(6) and (b)(7)(C), and the privacy Act, 5 U.S.C. 552a. In granting the Appeal, the OHA determined that the Director's justification for withholding the information under Exemptions 6 and 7(C) of the FOIA and the Privacy Act was inadequate. The OHA remanded the matter to the Director for further consideration. Upon remand the Director must release all portions of the documents withheld under Exemptions 6 and 7(C), and the Privacy Act, or provide a detailed explanation of the reasons which justify its withholding.

Remedial Order

John Franks and Don H. Duggan, July 8, 1982, BRO-1142, BRO-1143

John Franks and Don H. Duggan (Franks and Duggan) filed a consolidated Statement of Objections to a Proposed Remedial Order issued to them by the DOE Southwest Enforcement District on February 11, 1980. In

the Proposed Remedial Order, the Southwest Enforcement District determined that Franks and Duggan, working interest owners of the Sentell Mooringsport Lime Unit, sold certain volumes of crude oil at prices which exceeded the ceiling price. Franks and Duggan contested the Enforcement District's finding and claimed that any pricing violations which occurred at the Sentell Unit were the result of the Unit operator's violation of the Unitization Agreement which created the Unit. Franks and Duggan claimed that they had devised a crude oil pricing system which gave effect to the provisions of the Unitization Agreement without violating DOE price regulations. After evaluating the Franks/Duggan pricing system, the DOE ruled that contrary to their claims, Franks and Duggan had violated DOE price regulations by establishing prices for their share of the Unit's production based upon individual tract pre-unitization base production control levels. The DOE noted that the regulations which governed the establishment of prices for crude oil produced from unitized properties required producers to utilize a single, unit-wide base production control level when determining their maximum lawful selling price. The DOE also considered the contention advanced by Franks and Duggan that the DOE was required to sanction the use of their crude oil pricing system since their system was designed to reflect the provisions of a State-approved Unitization Agreement. In rejecting this contention, the DOE noted that the regulatory scheme for crude oil pricing adopted by the DOE pursuant to the provisions of the Emergency Petroleum Allocation Act of 1973 preempted private contractual agreements with or without State approval. The DOE therefore concluded that the Proposed Remedial Order should be issued as a final Order of the Department of Energy.

Request for Exception

Atlantic Richfield Company, July 9, 1982, BEE–1259

The Atlantic Richfield Company filed an Application for Exception from the provisions of 10 CFR, Part 212, Subpart D in which the firm sought to classify as "heavy crude oil" crude oil produced from California State Lease PRC 3242.1. DOE found that gravity tests conducted by the firm were accurate and properly implemented. These tests results indicated that the crude oil produced from PRC 3242.1 was not "heavy crude oil." Accordingly, exception relief was denied.

Interlocutory Order

Texaco Inc., July 9, 1982, HRZ–0069

At a hearing convened on July 2 and 6, 1982, the Office of Hearings and Appeals heard oral argument and ruled on portions of a motion for discovery filed by Texaco Inc. in connection with a compliance proceeding pending before OHA. On July 9, 1982, the OHA issued a Decision and Order setting forth the rulings made by the presiding officer at that hearing.

Refund Application

Tenneco Oil Company/Kremer Oil Company et al., July 7, 1982, RF7–1 et al.

Kremer Oil Co. *et al.* filed applications for refund pursuant to the decision issued in *The Office of Special Counsel: In the Matter of Tenneco Oil Corp.*, 9 DOE ¶ 82,538 (1982). In considering these applications, the DOE determined that 19 applicants were eligible for a refund because of injury resulting from alleged overcharges. One application was denied because it requested a refund based on purchases of No. 2 fuel oil made after June 30, 1976, the date that product was exempted from the DOE regulatory program. Accordingly, the decision ordered that refunds from the Tenneco consent order fund be paid to the applicants whose claims were found to be meritorious.

Dismissals

The following submissions were dismissed:

Company Name and Case No.

Brock Exploration Corp.—DRO–0190; DRO–0210; DRB–0210 DRH–0210
Excel Corporation—DRO–1155; DRB–1155
Western Avenue Properties–HRO–0047

Copies of the full text of these decisions and orders are available in the Public Docket Room of the Office of Hearings and Appeals, Room 1111, New Post Office Building, 12th and Pennsylvania Ave., NW., Washington, D.C. 20461, Monday through Friday, between the hours of 1:00 p.m. and 5:00 p.m., except federal holidays. They are also available in *Energy Management; Federal Energy Guidelines*, a commercially published loose leaf reporter system.

Richard T. Tedrow,

Acting Director, Office of Hearings and Appeals.

August 13, 1982.

[FR Doc. 82–22628 Filed 8–18–82; 8:45 am]

BILLING CODE 6450–01–M

Office of the Secretary

Record of Decision To Decommission the Shippingport Atomic Power Station

Decision

The U.S. Department of Energy has decided to decommission the Shippingport Atomic Power Station, located at Shippingport, Pennsylvania. The station will be decommissioned by immediate dismantlement, following end-of-life testing and defueling of the reactor.

Project Description

The Shippingport Atomic Power Station (Shippingport Station) was constructed during the mid-1950s as a joint project of the Federal Government and the Duquesne Light Company (Duquesne Light). The purposes of the project were to develop and demonstrate pressurized water reactor (PWR) technology and to generate electricity. The station consists of a PWR currently rated at 72-MWe, a turbine-generator, and associated facilities, located on the south bank of the Ohio River at Shippingport, Beaver County, Pennsylvania, on approximately seven acres of land leased from Duquesne Light by the U.S. Department of Energy (DOE). The reactor and steam generating portions of the station are owned by DOE, and the electrical generating portion is owned by Duquesne Light. The station achieved criticality in December 1957 and has been operated by Duquesne Light under supervision of the DOE Office of the Deputy Assistant Secretary for Naval Reactors since that time. Duquesne Light pays DOE for the steam and markets the electricity produced by the generator. The Shippingport Station has produced over 7.1 billion kilowatt hours of electricity from the time it began operation in December 1957, through February 1982, from three cores of reactor fuel. The first two were PWR cores, and the present core is a light water breeder reactor (LWBR) core. The LWBR core was installed in 1977 for the purpose or demonstrating the thermal breeding principle in a light water reactor and is scheduled for shutdown in October 1982. At the completion of the LWBR demonstration program, DOE has no further plans for the station, and no utility has indicated an interest in continuing operation of the station to produce electricity. Thus, following end-of-life testing and defueling, which is expected to take about two years beginning in October 1982, the station will be available for decommissioning.

In 1984, the DOE's Surplus Facilities Management Program under the Assistant Secretary for Nuclear Energy will take responsibility for decommissioning the station. All radioactive materials will be removed and transported to a DOE radioactive waste disposal site. The Shippingport Station site will be restored to grade, and the lease between DOE and Duquesne Light will be terminated.

DOE published a draft Environmental Impact Statement (EIS) in October 1981: "Decommissioning of the Shippingport Atomic Power Station," (DOE/EIS–0080D). This draft EIS was sent for comment to appropriate federal and state agencies and to those groups and individuals who requested copies. Comment letters, DOE responses to comments, and appropriate text revisions were published in the final EIS (DOE/EIS–0080F, May 1982).

Description of the Alternatives

DOE considered the following alternatives in reaching its decision to immediately dismantle the station (all of the alternatives are discussed at length in the EIS):

- No action: continue operation of the Shippingport Station to produce electricity.
- No action: close the Shippingport Station while continuing existing security, surveillance, maintenance, and monitoring.
- No action: close the Shippingport Station and do nothing further.
- Immediate dismantlement.
- Safe storage followed by deferred dismantlement.
- Entombment.

The meanings of the no action alternatives are self explanatory. They are discussed, along with the other alternatives, in the Basis for Decision section of this announcement.

Immediate dismantlement is defined as the removal from the site, within a few years after shutdown, of all fluids, piping, equipment, components, structures, and wastes having radioactivity levels greater than those permitted for unrestricted use of the site and remaining facility.

Safe storage followed by deferred dismantlement is defined as work necessary to place and maintain a nuclear facility in such condition that risk from the facility to public safety is within acceptable bounds, and in such condition that the facility may be safely stored for as long as desired. At the end of the safe storage period, dismantlement of the facility is carried out and all materials that still have radioactivity levels greater than those permitted for unrestricted use are removed and shipped to a disposal site. Safe storage followed by deferred dismantlement consists of three major activities: Preparation of the facility for safe storage, the safe storage period, and deferred dismantlement. During preparation for safe storage, all radioactive fluids are removed and processed and all radioactive materials outside the safe storage boundary are removed. During the safe storage period, security, surveillance, monitoring, and maintenance are provided on a continuing basis.

Entombment is defined as the encasement of radioactive materials and components in a massive structure, sufficiently strong and long-lived to ensure the retention of the radioactivity until it decays to unrestricted use levels. During the entombment period, security, surveillance, monitoring, and maintenance are provided. Entombment, by definition, does not include removal of the entombed structure at the end of the entombment period.

Immediate dismantlement results in the complete removal of radioactivity and the release of the facility and/or site for unrestricted use just a few years after the facility ceases operation. Safe storage followed by deferred dismantlement results in less radiation dose and less land committed to the disposal of radioactive wastes than immediate dismantlement. However, it costs more than immediate dismantlement and precludes unrestricted use of the facility and site until deferred dismantlement is completed. Entombment is intermediate between immediate dismantlement and safe storage followed by deferred dismantlement in cost and radiation dose, as well as in the amount of land committed to the disposal of radioactive waste if the land area occupied by the entombment structure itself is included. Entombment precludes unrestricted use of the facility and the site until the remaining radioactivity decays to unrestricted use levels.

The environmental impacts of the three later alternatives are sufficiently small and so nearly equal as not to be determining factors in DOE's choice of alternative.

Basis for Decision

"Immediate dismantlement" was chosen by DOE for the following reasons: (1) Immediate dismantlement results in early release of the site and any remaining portion of the facility for unrestricted use; (2) Immediate dismantlement costs less than either entombment followed by long-term care or safe storage followed by deferred dismantlement; (3) Immdiate dismantlement will serve as a demonstration that nuclear plants can be decommissioned safely in a cost-effective manner; (4) Members of the Shippingport Reactor operating crew will be available to assist in decommissioning activities; (5) While immediate dismantlement results in somewhat higher occupational radiation dose and a larger volume of radioactive waste than other alternatives, it also eliminates any future potential for radioactive releases from the site and results in the early protection of the public by removal of radioactive material from the site and transferral to a waste disposal area; (6) Immediate dismantlement best meets the terms of the agreements between DOE and Duquesne Light (see below).

The lease agreement between DOE and Duquesne Light (Contract No. E(36–1)–322) requires DOE, upon expiration or termination of the lease, to "make the premises safe from a radiation standpoint" and conveys ownership to Duquesne Light of any buildings and equipment not removed from the site within two years after expiration or termination of the lease. The existing lease expires March 17, 1994, and may be terminated sooner by the Federal Government upon 6 months notice. Contract No. E(36–1)–292 covers the working relationship between DOE and Duquesne Light for construction and operation of the Shippingport Station. This contract requires DOE, upon expiration or termination of the contract, to "make the nuclear portion of the plant safe from a radiation standpoint."

"Safe storage followed by deferred dismantlement" was not chosen by DOE for the following reasons: (1) Safe storage is higher in cost than immediate dismantlement; (2) Safe storage does not result in early release of the site and facility for unrestricted use; (3) Safe storage represents a small, but finite, potential for release of some of the stored radioactive material; (4) Safe storage did not offer any significant benefit other than delay of the need for significant amounts of funding.

"Entombment" was not chosen by DOE for the following reasons: (1) By definition, entombment precludes the use of utilities inside the entombed structures. Therefore, sump pumps could not be used in the containment building subbasement, and no guarantee could be given against the possibility of Ohio River water seeping into the entombed structure, and the contaminated water later seeping out. The normal elevation of the Ohio River is at the same elevation as the containment building subbasement, and the two-year flood level is 10 feet higher; (2) Entombment is higher in cost than immediate dismantlement; (3) Entombment does not result in early release of the site and facility for unrestricted use; (4) The entombed structure effectively becomes a low-level waste burial ground, with the accompanying potential for release of some of the entombed radioactivity.

"No action: continue operation of the Shippingport Station to produce electricity" was not chosen by DOE for the following reasons: (1) The Federal Government has no further test programs planned for the facility following completion of the LWBR program; (2) No utility has indicated an interest or desire to operate the Shippingport Station to produce electricity following completion of the LWBR program; (3) The Shippingport Station is owned by DOE, and no

operating license has ever been required. If a utility were to take over the station, an NRC operating license would be required before the reactor could be operated for commercial purposes. Since the reactor is over 20 years old, it is likely that extensive analyses and modifications would be necessary to meet current NRC design requirements. Examples include analyses of the remaining thermal fatique life of the steam supply system components, modification of the once-through cooling system, replacement of the LWBR core with a PWR core, and modifications of control equipment. These analyses, modifications, and the required license application and hearing process would probably not be cost effective; (4) Electricity production from the 72-MWe Shippingport Station would not be of major significance in the immediate presence of the Bruce Mansfield coal-fired and Beaver Valley nuclear plants, which have combined capacity of 4280 MWe.

"No action: close of the Shippingport Station while continuing existing security, surveillance, monitoring and maintenance" was not chosen by DOE for the following reasons: (1) This alternative would only delay the decision as to the eventual disposition of the station; (2) While some decay of Co-60 would occur, annual surveillance and maintenance costs and the annual radiation dose to plant workers would continue to accrue with no corresponding benefit; (3) All of the station's systems and components would remain intact and liquids would remain onsite (liquid removal is considered to be part of the safe storage alternative). No assurance could be given that radioactive fluids would not eventually leak from tanks, valves, and piping; and little assurance could be given that a determined member of the public could not gain access to the station.

"No action: close the Shippingport Station and do nothing further" was not chosen by DOE because this alternative is environmentally unacceptable and would permit direct public access to radioactive water, equipment, and other materials, as well as to high does rate areas in the station. A substantial effort is required in order to assure that the radioactivity remaining in the station after defueling does not constitute a hazard to the public.

Discussion of Environmentally Preferred Alternatives

While all of the proposed alternatives, except the "No action—do nothing further" alternative have relatively insignificant, and over the long term, relatively equivalent environmental impacts, DOE considers immediate dismantlement to be the environmentally perferred alternative since it provides for the earliest removal of radioactive material from the site. None of the identified environmental impacts for immediate dismantlement will be significant. The more important impacts are occupational radiation dose and the commitment of land to the disposal of radioactive waste. These impacts are offset by the elimination of any storage or entombment period and the consequent elimination of the potential for further occupational radiation doses at the site or the release of radioactivity from the site. Non-radioactive impacts on water quality, air quality, terrestrial systems, ecological systems, and socioeconomic systems are also relatively insignificant for immediate dismantlement.

Considerations in Implementation of the Dicision

All practicable means to avoid or minimize environmental harm from the selected alternatives will be adopted. Plans are being developed to keep all radiation exposures as low as reasonably achievable (ALARA). For example, one piece removal of the pressure vessel is being studied as a way to reduce both occupational radiation dose and cost. Dosimeters will be worn by workers, and will be read frequently to assure that occupational radiation dose guidelines are met. The existing onsite and offsite radiation monitoring program, or an equivalent program, will be in operation during decommissioning. No liquids will be released to the Ohio River unless they meet applicable federal and state standards and permit conditions. Radioactive wastes will be transported according to U.S. Department of Transportation regulations and will be buried at a DOE disposal site in accordance with criteria established by DOE Order 5480.1A. The volume of radioactive waste from immediate dismantlement will have virtually no impact on available DOE disposal space. Occupational safety and health practices will be in operation according to the directives of DOE Order 5480.1A and applicable state and federal laws.

Dated: August 4, 1982.

Shelby T. Brewer,

Assistant Secretary for Nuclear Energy

[FR Doc. 82-22588 Filed 8-18-82; 8:45 am]

BILLING CODE 6450-01-M

Southwestern Power Administration

Proposed Sam Rayburn Dam Power Rate; Opportunities for Public Review and Comment

AGENCY: Southwestern Power Administration (Southwestern), DOE.

ACTION: Notice of proposed Sam Rayburn Dam Power Rate and opportunities for public review and comment.

SUMMARY: The Administrator, Southwestern, has made a current power repayment study and a revised power repayment study showing the need for a $329,400 increase in annual revenues to meet cost recovery criteria for the Sam Rayburn Dam project. The proposed rate would increase annual revenue 23.7 percent from $1,388,300 to $1,717,700. Opportunities will be presented for the customer and other interested persons to receive copies of the studies, to participate in a public information forum and a public comment forum, and to submit written comments. Following review of the oral and written comments and other information received, the Assistant Secretary for Conservation and Renewable Energy will announce a decision on the proposed rate and transmit the rate studies in support of the proposed rate to the FERC for final confirmation and approval. The FERC will allow the public an opportunity to make written comments on the proposed rate before making a final decision.

DATES: The Public Information Forum will be held September 21, 1982, in Tulsa, Oklahoma. The Public Comment Forum will be held October 19, 1982, in Tulsa, Oklahoma. Written comments on the proposed rate are due on or before November 18, 1982.

ADDRESSES: Five copies of the written comments should be submitted to the Administrator, Southwestern Power Administration, U.S. Department of Energy, P.O. Box 1619, Tulsa, Oklahoma 74101. Five copies should also be submitted to the Assistant Secretary for Conservation and Renewable Energy, U.S. Department of Energy, 12th and Pennsylvania Avenue NW., Washington, D.C. 20461. The public forums will be at 9:30 a.m., in Room 3097 of the Page Belcher Federal Building, 333 West 4th Street, Tulsa, Oklahoma.

FOR FURTHER INFORMATION CONTACT:

Mr. Walter M. Bowers, Chief, Division of Power Marketing, Southwestern Power Administration, Department of Energy, P.O. Box 1619, Tulsa, Oklahoma 74101, (918) 581-7529.

Mr. John J. DiNucci, Office of Power Marketing Coordination, Conservation and Renewable Energy, Department of Energy, 12th Street and Pennsylvania Avenue NW., Washington, D.C. 20461, (202) 633–8380.

SUPPLEMENTARY INFORMATION: The U.S. Department of Energy was created by an Act of the U.S. Congress, Department of Energy Organization Act, Public Law 95–91, dated August 4, 1977, and Southwestern's power marketing activities were transferred from the Department of the Interior to the Department of Energy, effective October 1, 1977.

Southwestern markets power from 22 multiple-purpose reservoir projects with power facilities constructed and operated by the U.S. Corps of Engineers. By 1984, one additional project presently under construction will be completed, bringing the total to 23 projects with 2.1 million kilowatts of power for which Southwestern will have marketing responsibility. These projects are located in the States of Arkansas, Missouri, Oklahoma, and Texas. Southwestern's marketing area includes these States plus Kansas and Louisiana.

The Sam Rayburn Dam project, located on the Angelina River in the Neches River basin in eastern Texas, consists of two hydroelectric generating units with an installed capacity of 52,000 kW. The project is not interconnected with Southwestern's integrated electric system. Instead, the power produced by the Sam Rayburn Dam porject is marketed by Southwestern as an isolated project under a contract through which the customer purchases the entire power output of the project at the dam. A separate Power Repayment Study is prepared for the project which has a special rate based on the hudraulically and elecrtrically isolated operation.

Following departmental guidelines, the Administrator, Southwestern, prepared a current power repayment study using the existing rate for the Sam Rayburn Dam project. This study shows that the legal requirement to repay the power investment with interest is not being met. A revised power repayment study was then made which shows that additional annual revenues of $329,400 (a 23.7 percent increase) are needed. The proposed increase would change annual revenue produced by the Sam Rayburn Dam project from $1,388,300 to $1,717,700, and satisfy the present financial criteria for repayment of the project within the required number of years. Copies of the power repayment studies will be mailed to Southwestern's customer and others who have expressed an interest in the subject.

A Public Information Forum will be held September 21, 1982, in Room 3097 of the Page Belcher Federal Building, 333 West 4th Street, Tulsa, Oklahoma, at 9:30 a.m., to explain to the public the proposed rate and supporting studies. Questions may be submitted from interested persons. The forum will be conducted by a chairman who will be responsible for orderly forum procedure. Questions raised at the forum concerning the rate and studies will be answered, to the extent possible, at the forum. Questions not answered at the forum will be answered in writing, except that questions that involve voluminous data contained in Southwestern's records may best be answered by consultation and review of pertinent records at Southwestern's offices.

A Public Comment Forum will be held October 19, 1982 at the same time and location established for the Public Information Forum. At the Public Comment Forum, interested persons may submit written comments or make oral presentations of their views and comments. The forum will be conducted by a chairman who will be responsible for orderly procedure. Southwestern's representatives will be present, and they and the chairman may ask questions of the speakers. Persons interested in speaking should submit a request to the Administrator, Southwestern, at least three (3) days before the forum so that a speakers' list can be developed. The chairman may allow others to speak if time permits.

A transcript of each forum will be made. Copies of the transcripts and of all documents introduced will be available upon request for a fee.

Written comments on the proposed rate are due on or before November 18, 1982. Five copies of the written comments should be submitted to the Administrator, Southwestern Power Administration, U.S. Department of Energy, P.O. Box 1619, Tulsa, Oklahoma 74101. Five copies should also be submitted to the Assistant Secretary for Conservation and Renewable Energy, U.S. Department of Energy, 12th and Pennsylvania Avenue N.W., Washington, D.C. 20461. Following review of the oral and written comments and the information gathered in the course of the proceedings, the Assistant Secretary for Conservation and Renewable Energy will announce a decision on the proposed rate and transmit the rate studies in support of the proposed rate to the FERC for final confirmation and approval. The FERC will allow the public an opportunity to make written comments on the proposal before making a final decision.

Issued in Tulsa, Oklahoma, August 10, 1982.

Richard B. Risk, Jr.,

Administrator.

[FR Doc. 82–22630 Filed 8–18–82; 8:45 am]

BILLING CODE 6450–01–M

Western Area Power Administration

Rio Grande Project; Notice of a Rate Order

AGENCY: Western Area Power Administration, DOE.

ACTION: Notice of Rate a Order—Rio Grande Project.

SUMMARY: Notice is given of Rate Order No. WAPA–13 of the Assistant Secretary for Conservation and Renewable Energy for placing increased power rates into effect on an interim basis for Rio Grande Project (RGP) power marketed by the Western Area Power Administration (Western).

The proposed rate is being put into effect in two phases. In the first phase, the proposed wholesale firm power rate consists of a demand charge of $4.555 per kW-month and an energy charge of 10.72 mills per kWh. This represents a composite rate of 21.44 mills per kWh. The second phase of the proposed wholesale firm power rate takes effect 1 year after the first phase and consists of a demand charge of $5.740 per kW-month and an energy charge of 13.50 mills per kWh. This represents a composite rate of 27.00 mills per kWh, an increase of 10.97 mills per kWh over the existing rate of 16.03 mills per kWh.

The rate order further explains the phased rate adjustment and contains discussion of the principal factors leading to the decisions on the rate increase and responses to the major comments, criticisms, and alternatives offered during the rate adjustment proceeding.

EFFECTIVE DATES: The new rates become effective on the first day of the first full billing period beginning on or after September 1, 1982

FOR FURTHER INFORMATION CONTACT:

Mr. A. M. Gabiola, Area Manager, Salt Lake City Area Office, Western Area Power Administration, P.O. Box 11606, Salt Lake City, UT 84147, (801) 524–5493

Mr. Conrad K. Miller, Chief, Rates and Statistics Branch, Western Area Power Administration, P.O. Box 3402, Golden, CO 80401, (303) 231–1535

Mr. James A. Braxdale, Office of Power Marketing Coordination, Mail Station 5304, Federal Building, 12th and

Pennsylvania Avenue, NW.,
Washington, DC 20461, (202) 633–8338

SUPPLEMENTARY INFORMATION: By Delegation Order No. 0204–33, effective January 1, 1979 (43 FR 60636, December 28, 1978), the Secretary of Energy delegated to the Assistant Secretary for Resource Applications the authority to develop power and transmission rates, acting by and through the Administrator, and to confirm, approve, and place in effect such rates on an interim basis. Department of Energy procedures for public participation in power and transmission rate adjustments were issued on December 23, 1980 (45 FR 86976, December 31, 1980), and became effective on December 31, 1980, with minor clarifying corrections on January 16, 1981 (46 FR 6864, January 22, 1981). The procedures were amended effective February 24, 1981 (46 FR 25426, May 7, 1981), in order to change all references from "Assistant Secretary for Resource Applications" to "Assistant Secretary for Conservation and Renewable Energy." The Delegation Order was further amended effective March 19, 1981. These amendments were necessary as a result of the transfer on February 24, 1981, of the Office of Power Marketing Coordination and the power marketing administrations fron the Assistant Secretary for Resource Applications to the Assistant Secretary for Conservation and Renewable Energy.

The proceeding on the proposed rate adjustment was initiated on October 13 and October 29, 1981, in preliminary meetings with firm power customers who were presented a draft customer brochure explaining the need for an increase.

On October 30, 1981, a 90-day customer consultation and comment period was initiated with an announcement of the proposed rate adjustment published in the **Federal Register** at 46 FR 53774. The October 30 notice also announced the public information forum conducted November 19, 1981, and the public comment forum conducted December 17, 1981. A November 2, 1981, press release also announced the proposed rate adjustment and the public information and comment forums. On November 4, 1981, letters were sent to customers and other interested parties to announce the proposed rate adjustment and the forums, and to transmit copies of the final rate brochure dated October 1981. Written comments were accepted through February 1, 1982. On May 24, 1982, **Federal Register** notice 47 FR 22403 announced Western's selection of a rate and proposed phasing in the new rate. Comments on matters covered in the **Federal Register** notice were invited through June 23, 1982; however, no comments were received.

Public comments received during the comment and consultation period have been considered in the preparation of this rate order.

Rate Order No. WAPA–13 confirming and approving increased power rates on an interim basis is hereby issued, and the rates will be promptly submitted to the Federal Energy Regulatory Commission for confirmation and approval on a final basis.

Issued in Washington, DC, August 12, 1982.

Joseph J. Tribble,

Assistant Secretary, Conservation and Renewable Energy.

United States of America Department of Energy, Assistant Secretary, Conservation and Renewable Energy

In the Matter Of: Western Area Power Administration—Rio Grande Project Power Rates, Rate Order No. WAPA–13

Order Confirming, Approving, and Placing Increased Power Rates in Effect on an Interim Basis

August 12, 1982.

Pursuant to section 302(a) of the Department of Energy (DOE) Organization Act of August 4, 1977 (42 U.S.C. 7101 et seq.), the power marketing functions of the Secretary of the Interior for the Bureau of Reclamation under the Reclamation Act of 1902 (43 U.S.C. 372 et seq.), as amended and supplemented by subsequent enactments, particularly section 9(c) of the Reclamation Act of 1939 (43 U.S.C. 485h(c)) and acts specifically applicable to the Rio Grande Project, were transferred to and vested in the Secretary of Energy. By Delegation Order No. 0204–33, effective January 1, 1979 (43 FR 60636, December 28, 1978), last amended March 19, 1981 (46 FR 25426, May 7, 1981), the Secretary of Energy delegated to the Assistant Secretary, Conservation and Renewable Energy, the authority to develop power and transmission rates, acting by and through the Administrator of the Western Area Power Administration (Western), and to confirm, approve, and place in effect such rates on an interim basis, and delegated to the Federal Energy Regulatory Commission (FERC) the authority to confirm and approve on a final basis or to disapprove rates developed by the Assistant Secretary under the delegation. This rate order is issued pursuant to the delegation to the Assistant Secretary and the rate adjustment procedures at 45 FR 86983 (December 31, 1980) as corrected at 46 FR 6864 (January 22, 1981) and amended at 46 FR 25426 (May 7, 1981), 10 CFR, Part 903.

Background

Existing and Increased Rates

The increased rates which are the subject of this order supersedes the existing rates specified in Rate Schedule SW–F2R. Rates specified in that rate schedule were placed into effect in three phases, with the first phase going into effect in April 1978; the second phase in April 1979, and the third phase in April 1980. Following is a comparison of the existing and increased rates:

	Existing rate	Increased rate	
		1st phase	2d phase
Effective date	4–1–80	9–1–82	9–1–83
Demand charge dollars per kilowatt-hour-month	3.20	4.555	5.740
Energy charge mills per kilowatt-hour	8.5	10.72	13.50
Composite rate at 58.2 load factor in mills per kilowatt-hour	16.03	21.44	27.00

Public Notice and Comments

Published "Procedures for Public Participation in Power and Transmission Rate Adjustments" for power marketed by Western and other power marketing administrations have been followed in the development of this rate. The following discussion summarizes the steps Western took to assure involvement of interested parties in the rate process.

1. Preliminary meetings were held with Plains Electric Generation and Transmission Cooperative, Inc. (Plains) on October 13, 1981, and with the city of Truth or Consequences, New Mexico (TorC), on October 29, 1981, to discuss the proposed rate adjustment. A draft of a proposed brochure which described three options for revised rates was presented to the customers at these meetings.

2. A **Federal Register** notice (46 FR 53774, October 30, 1981) announced the proposed rate adjustment and the public information and comment forums.

3. A press release was issued on November 2, 1981, to announce the proposed rate adjustment and the public information and comment forums.

4. On November 4, 1981, letters were sent to customers and other interested parties to announce the proposed rate adjustment and forums and to transmit copies of the rate brochure dated October 1981.

5. A public information forum was held on November 19, 1981, in Albuquerque, New Mexico, wherein Western explained the need for a rate increase and presented the results of power repayment studies which were based on three options (options A, B, and C) affecting the needed rate. Questions were answered at this forum or later in writing.

6. A public comment forum was held on December 17, 1982, in Albuquerque, New Mexico, to allow interested parties an opportunity to comment. Oral and written comments were accepted at this forum.

7. Written comments were accepted through February 1, 1982.

8. A **Federal Register** notice (47 FR 22403, May 24, 1982) announced Western's selection of a rate and proposed the phasing in of the new rate. Comments on the matters covered in the **Federal Register** notice were accepted for 30 days after its publication.

Project History

The Rio Grande Projects (RGP) initially was authorized as an irrigation project by the Act of February 25, 1905 (Ch. 798, 33 Stat. 814). Elephant Butte Dam was completed in 1916. The construction of Caballo Dam, a flood control and reregulating structure located downstream from Elephant Butte, took place in accordance with the convention on Rectification of the Rio Grande, February 1, 1933 (48 Stat. 1621), and the Acts of August 29, 1935 (Ch. 805, 49 Stat. 961), and June 4, 1936 (Ch. 500, 49 Stat. 1463). The Caballo Dam was completed in 1938.

The Act of August 9, 1937 (Ch. 570, 50 Stat. 564) allowed for power facility construction and provided for the application of power revenues toward repayment of the project. The Elephant Butte Powerplant and a 115-kV transmission system were constructed between 1938 and 1940. Additional transmission features were added between 1941 and 1952. Parts of the transmission system were sold in FY 1973 and FY 1979 so that now the power system consists of the Hot Springs Substation (the sale of which is under negotiation), the Elephant Butte Switchyard, and the 24,300-kW Elephant Butte Powerplant. The project is operated primarily as an irrigation water supply project, and power generation is incidental and secondary in priority.

The project power system is connected to the system of Plains at the Elephant Butte Switchyard and at the Hot Springs Substation.

Present customers for the project power are Plains and TorC.

During the first 10 years of operation (1941–1950), when the water supply was adequate, the project repaid $1,696,207 of the power investment and $1,004,662 in interest on the investment. Beginning in 1951 and continuing to the present, the project has had a repayment deficit mainly due to a continuing shortage of water supply for generation.

The project power system was designed to operate year-round; however, due to the low water since 1950, generation has been confined to about 8 months a year, from February through September. In the mid-1960's Colorado River Storage Project (CRSP) power became available for sale in New Mexico. Joint RGP and CRSP power sales contracts were negotiated with the RGP preference customers and backup agreements between the projects were made. As a result of these agreements, RGP power has been firmed up by CRSP power during the summer season. This has made it possible for RGP to sell 24 MW of power at firm rates, compared to roughly 13 MW previously.

Discussion

Power Repayment Studies

General

The power repayment studies for the Rio Grande Project are prepared by Western with the cooperation of the Bureau of Reclamation (BuRec). These studies are prepared in accordance with applicable legislation and with DOE Order No. RA 6120.0. The studies array historic income, expense, and investment to be repaid from power revenues, along with estimates for future years, and portray the annual repayment of power production and transmission costs of a power system, as well as nonpower costs assigned to power for repayment, through the application of revenues over the repayment period of the project. The studies show, among other items, estimated revenues and expenses year-by-year over the remainder of a project's repayment period, the estimated amount of Federal investment repaid during each year, and the total estimated amount of Federal investment remaining to be repaid. The studies do not deal with rate design.

As part of its marketing policy, Western strives to transmit and dispose of power and energy in such a manner as to encourage the most widespread use thereof at the lowest possible rates consistent with sound business principles. With the rate increase which is the subject of this order, the RGP power will be sold at the lowest possible rates in accordance with administrative policy and statutory requirements. The increase is in keeping with sound business principles.

Repayment studies made for the past several years have indicated that the repayment requirements were not being met. The last rate adjustment, which went into effect in phases beginning in April 1978, was not sufficient to meet repayment requirements because a rate high enough to meet the requirements was not competitive. Since that time, the cost of power from other sources in the area has increased so that the rate can now be increased sufficiently to repay all the costs within the required time frame. Three options to accomplish repayment were proposed as discussed below:

Option A

Option A is based on the continuation of existing operating procedures and marketing policy; i.e., the sale of 24 MW summer season firm capacity and accompanying energy, the purchase of summer season firming capacity and energy fron the CRSP, no sale of winter season capacity, and the sale of RGP winter season energy generation as surplus energy. A repayment study for option A indicates the need for a new composite rate of 26.28 mills per kWh. Equal costs at 58.2 percent load factor have been assigned to the capacity and energy components, resulting in a rate of $5.585 per kW-month and 13.14 mills per kWh.

Option B

Option B is based on the sale of 24 MW summer season firm capacity and accompaning energy, the purchase of summer season firming capacity from the CRSP, and system operations whereby RGP energy generation is integrated with the CRSP on an annual basis through an energy interchange or "banking" arrangement. Any annual RGP energy generation in excess of RGP summer season obligations would be sold as surplus, and any annual deficiency in RGP energy generation would be made up by purchases from the CRSP at the average annual cost to CRSP for such energy. The estimated future annual RGP energy generation used in the repayment studies is greater than the RGP summer obligations, so the studies indicate a net RGP surplus energy sale for future years in the winter season. A repayment study of option B indicates the need for a composite rate of 30.02 mills per kWh with components of $6.38 per kW-month and 15.01 mills per kWh at 58.2 percent load factor.

Option C

Option C is the same as option B except that it includes the sale of 24 MW winter season firm capacity with return of energy by the customers, and the purchase by the RGP of winter season firming capacity from CRSP at the CRSP's peaking capacity rate. A repayment study of option C shows, the need for a composite rate of 21.08 mills per kWh with components of $4.48 per kW-month and 10.54 mills per kWh at 58.2 percent load factor.

Selection of Option A

Option A was selected over option C because it was determined that no demand currently exists for winter season capacity without energy from the RGP. The rate of $4.48 per kW-month for this type service is not competitive with the rate of another supplier in the marketing area,. The rate is also not competitive with the CRSP rate for seasonal capacity with return of energy.

Option A was selected over option B for reasons stated in the first repayment issued discussed below. Also, the only power customers for the RGP, Plains and TorC, both expressed a preference for option A.

Repayment Issues

1. Sale of CRSP Energy to Rio Grande Project

The States of Utah and Wyoming and the Upper Colorado River Commission recommended that options B or C be adopted since such options would negate the effect of the CRSP buying energy at a high price and then selling energy to the RGP at the much lower CRSP rate. They feel that even though the amount is not large, this is an opportune time to stop the "subsidy."

TorC suggest that, since the RGP transmission system was extended to serve the White Sands Proving Ground and Holloman Air Force Base and later to other areas in south central New Mexico to preserve loads for future BuRec hydroelectric plants, the CRSP has benefited from this extension and thus has an obligation to continue to firm up the RGP until the transmission system is amortized.

The RGP transmission system was extended into south central New Mexico to serve customers including White Sands and Holloman, but neither entity is now receiving RGP power and they have never been customers of the CRSP.

Further, the bulk of the transmission system has been sold to Plains for a price roughly equivalent to the construction cost, hence the RGP has been relieved of repaying that cost.

RGP personnel add that the agreement between the CRSP and the RGP under which the CRSP firms up the RGP summer season was made when the CRSP needed loads and that subsequent to that time, the CRSP has developed a need to purchase firming energy due to firm contracts with other preference

customers. These later customers, they feel, are the ones who are being subsidized, if anyone. Western agrees that the position of the RGP personnel has some merit in that it is probably unfair to infer that a particular customer is being subsidized because outside power must be purchased to meet total contract obligations.

Westerns position on this matter is that the RGP is in effect a customer for CRSP power to the extent that the RGP requires capacity and energy to meet its contractual obligations to deliver power to its customers—Plains and TorC. This arrangement was entered into by agreement between two regions of the BuRec at a time when it was considered mutually beneficial. Western intends to honor the agreement through September 1989, when both CRSP and RGP power sales contracts expire. The cost for supplying firming energy to the RGP and to all CRSP customers is recovered through the CRSP firm power rate over the repayment period for the CRSP.

2. Irrigation Operation and Maintenance (O&M) Costs

The power customers believe that the $0.10 per acre-foot the water users are paying as a reservoir service charge is inadequate to cover irrigation O&M expense. They pointed out that the water users have repaid their construction costs and by contract they must now pay the actual O&M costs. TorC further claimed that extending the repayment period for the water users (and with it the $0.10-per-acre-foot charge) because of drought conditions has caused an added repayment burden upon the power users. They also object to the O&M payment being based on an acre-foot basis.

It is true that the actual irrigation O&M costs must now be paid by the water users, and negotiations to provide for this requirement are currently in progress. It is not planned to base the O&M charge on an acre-foot basis. Historically, it is apparent that the $0.10 per-acre-foot charge, plus other revenues properly applied toward annual irrigation O&M expenses, has been more than adequate to pay the O&M costs. In fact, the cumulative payment from nonpower sources for the FY 1964 through FY 1980 period is greater than cumulative irrigation O&M costs for the same period. Extending the repayment period for water users because of drought conditions did not cause an added burden for power users but allowed for extending the repayment period for the noninterest-bearing irrigation investment paid from power revenues, thereby reducing the burden on the power users.

In view of the anticipated contractual requirement for the water users to pay the actual O&M costs, a revised power repayment study has been made which assumes the future irrigation O&M is equal to water users' payment. The revised power repayment study also includes other changes which will be discussed subsequently.

3. Power O&M Costs

Plains was concerned that while the direct power O&M costs were reasonable, the administrative and general (A&G) costs assigned to power O&M costs appear too large. They pointed out that A&G costs are normally about 26 percent of the total O&M costs whereas the RGP A&G costs are nearly twice that percentage.

Western asked the BuRec to review the customers' comments and the BuRec indicated that some of the A&G costs, as defined in the DOE publication cited by Plains, are actually operating expenses and will probably be shown as direct O&M costs in the future. They also pointed out that Elephant Butte is the only powerplant in the BuRec's southwest region and, consequently, it does bear a larger percentage of distributed region- and BuRec-wide costs than for powerplants in other regions where A&G costs can be shared by several plants.

An examination of the O&M trend for the RGP for the 14-year FY 1964 to FY 1978 period (before the bulk of the transmission system was sold), indicates that the O&M cost has increased an average of about 5.2 percent per year while the cost for skilled labor as per the "engineering News-Record" for the same period has increased about 7.8 percent per year and the cost for machinery and equipment has increased about 6.6 percent per year. In view of this and the other factors mentioned above, Western concluded that the total O&M costs are reasonable and consequently does not recommend a change in these projected costs.

4. Use of Nonreimbursable Funds for Construction and O&M

The customers inquired as to what nonreimbursable funds were available for construction of the Elephant Butte Dam and Reservoir, whether funds are received to offset the O&M cost associated with delivery of water to the Republic of Mexico or for flood control activities at the Elephant Butte and Caballo Dams, and whether there are funds other than power revenues to pay the annual O&M costs associated with recreation and fish and wildlife. They expressed the opinion that power revenues should not be used to pay the above O&M costs nor should power revenues be required to pay all the cost of silt control and sediment surveys.

The U.S. State Department provided $1,000,000 of nonreimbursable funds toward the construction of the Elephant Butte Dam in order to provide up to 60,000 acre-feet annually to the Republic of Mexico. In addition, nonreimbursable funding of $1,519,650 for flood control was provided for the Caballo Dam and for a small diversion dam on the Percha Arroyo, which diverts its flow into Caballo Reservoir. There were no nonreimbursable funds provided for the Elephant Butte Dam for flood control purposes. All the O&M costs for the Elephant Butte Dam and Reservoir are allocated to power and irrigation, while all the O&M costs for Caballo Dam and Reservoir are allocated to power and flood control. Flood control O&M is nonreimburable. In fact, almost 60 percent of Caballo O&M costs are nonreimbursable. In FY 1981, power paid only $70,027 of Caballo's total O&M cost of $173,121.

In the past, the water users' payment of $0.10 per acre-foot was intended to cover the irrigation O&M costs. In the future, the actual irrigation O&M cost will be paid by the water users. This cost will include a proportionate share of the cost of future sediment surveys for Elephant Butte Reservoir. There are no silt control costs other than sediment surveys that are an O&M obligation of the RGP. No O&M costs are charged to recreation or fish and wildlife, as none of the joint construction costs of the RGP are allocated to those purposes.

5. Phased Rate Adjustment

The customers recommended a phased rate over a 2-year period to cushion the impact of such a large rate increase.

A power repayment study was made using two phases and another using three phases. The first phase in each case was assumed to begin at the same time as a single phase rate increase, with subsequent increases a year apart. A comparison of the rates for the three studies is as shown:

	Composite rate (mills/per kilowatt-hour			
	Present rate	Increase		
		1st	2d	3d
1-phase increase	16.03	26.26	.....	.....
2-phase increase	16.03	21.44	27.00	.....
3-phase increase	16.03	19.90	23.60	27.98

Due to the delay in the two- and three-phase studies, the final rate is greater than for the single phase increase.

The phasing of the rate would probably delay the timing of, and thus increase the magnitude of, later rate increases which will be needed if cost inflation continues. Western does not favor, as a matter of general policy, the adoption of phased increases, but because of the magnitude of the RGP increase (from 16.03 to over 26 mills per kWh), some phasing of the rate is warranted given the unique circumstances associated with the RGP. Western feels a three-phased increase is too long, but has decided to adopt a two-phased increase, as follows:

1st Phase—$4.555/kW-month and 10.72 mills/kWh
2d Phase—$5.740/kW-month and 13.50 mills/kWh

These are the rates being proposed in this order. The phase increase may be adjusted as necessary to reflect revenue requirements in future years' rate adjustments.

6. Relief from Repayment of Transmission System Costs

TorC stated that since the RGP constructed some of the transmission system to serve the Government facilities at White Sands and at Holloman Air Force Base, the RGP should be relieved of the costs associated with repaying those construction costs.

As explained in the first repayment issue above, the bulk of the transmission system has been sold to Plains for a price roughly equivalent to the construction cost, hence the RGP has been relieved of repaying that cost.

Other Issues

1. Operation of Elephant Butte Powerplant by Plains

Plains urged Western to consider extending the present contract with them until FY 2009 and allowing them to operate the Elephant Butte Powerplant. They would than integrate the plant into their system to help them operate it more effectively. Under those conditions, Plains would agree to an option similar to option C. They pointed out that such an option would relieve the CRSP of firming up the RGP and allowing Plains to operate the plant would save the BuRec the cost of the planned additions for automating the plant.

The BuRec has indicated that an operation the way Plains envisions it will most likely increase the maintenance cost of the plant due to stopping and starting the units more frequently. Also, if the plant operation is not curtailed during hours of high runoff due to localized storms as is presently the case, there would be a significant increase in channel maintenance costs. Further, Western would have to examine very carefully all the aspects of extending a contract to FY 2009, which is 27 years in the future. The interests of TorC would need to be protected, and the possibility of adversely affecting Western's operation would need to be carefully evaluated. This issue can be more properly addressed as part of the marketing criteria which are being formulated for the post-FY 1989 period, and is beyond the scope of this rate adjustment.

2. Reallocation of Costs

TorC questioned whether legislative relief had been sought to ease the repayment burden on the power users and if the Secretary of the Interior had been asked to assign more of the O&M costs to the irrigators.

Neither Western nor the BuRec has sought such legislative relief to ease the repayment burden. Such relief would more appropriately be initiated by the power customers. With regard to O&M expenses, the BuRec allocates joint O&M expenses in the same proportion as the joint costs of RGP multipurpose facilities are allocated. Irrigators will pay for their share of Elephant Butte Dam O&M expenses, as well as all O&M solely attributable to single-purpose irrigation facilities. Whether the Department of the Interior may see fit to alter its method of allocation of O&M expenses is uncertain. Western believes that a reallocation of O&M expenses, if any, should not operate to delay the present rate proceeding. Any reallocation would be accounted for in the development of future RGP repayment studies.

3. Changes in Marketing Plan and Project Operations

TorC made the requests regarding marketing RGP power, as follows:

a. Change the summer season from April through September to March though August.

b. If the present summer season is not changed, then generate through September with no generation in the months of October, November, and December.

c. If the present summer season is not unchanged, then sell energy to TorC in October and March.

In connection with item c., TorC contends that, although the contracts which they and Plains have with the United States allowing for energy purchases in October and March infer that both parties be given equal opportunity to purchase additional energy when it is available, they were unfairly treated because they were not given an opportunity along with Plains to purchase RGP surplus energy.

These concerns are best resolved outside the rate adjustment process. Item 3.a. could be addressed as part of marketing criteria. Item 3.b. could possibly be accommodated, but it may be detrimental to RGP operations; any increase in summer season generation would be slight and would, as a consequence, be beneficial to TorC only a small part of the time. Item 3.c. indicates a misunderstanding on the part of TorC since Contract No. 14–06–500–1155 dated August 24, 1965, between TorC and the United States and Contract No. 14–06–500–1120 between Plains and the United States dated May 17, 1965, both provided for October and March sales, but paragraph 12(c) with Plains required them "... to take as secondary energy, all energy generated at the Elephant Butte Powerplant during any billing period which is in excess of that required by the United States in supplying Rio Grande Project firm power service to customers." Later supplements to the Plains and TorC contracts deleted the provision for October and March sales, and Supplement No. 4 with Plains dated June 29, 1979, deleted the provision which gave them exclusive rights to all the surplus RGP energy and allowed TorC an equal opportunity for the summer surplus. This supplement did not take away Plains' right to the winter surplus, however. Negotiations between Western and its customers to give TorC a right to the winter surplus energy may be possible. However, Western feels it is not necessary to delay the rate adjustment until any such negotiations might take place.

Environmental Evaluation

In compliance with the Environmental Policy Act of 1969 (NEPA) and DOE regulations published in the Federal Register on March 28, 1980 (45 FR 20694), Western conducted an environmental evaluation of this proposed rate adjustment.

Western prepared an Environmental Assessment and a Finding of No Significant Impact which was approved on April 16, 1982 by the Assistant Secretary, Environmental Protection, Safety, and Emergency Preparedness. These documents are on file in Western's offices.

Availability of Information

Information regarding this rate adjustment, including studies, comments, transcripts, and other supporting material, is available for public review in the Salt Lake City Area Office, Western Area Power Administration, 438 East 200 South, Suite 2, Salt Lake City, UT 84111; in the office of the Director, Division of Marketing and Rates, Western Area Power Administration, 1627 Cole Boulevard, Golden, CO 80401; and in the Office of Power Marketing Coordination, Department of Energy, Room 5318, Federal Building, 12th and Pennsylvania Avenue, NW., Washington, D.C. 20461.

Submission to the FERC

The rates herein confirmed, approved, and placed in effect on an interim basis, together with supporting documents, will be submitted to the FERC for confirmation and approval on a final basis.

Order

In view of the foregoing and pursuant to the authority delegated to me by the Secretary of Energy, I hereby confirm and approve on an interim basis, effective September 1, 1982, Rate Schedule RGP–F1. These rates shall remain in effect pending the FERC confirmation and approval of them or substitute rates, on a final basis, or until they are superseded.

Issued in Washington, D.C., August 12, 1982.

Joseph J. Tribble,

Assistant Secretary, Conservation and Renewable Energy.

Schedule RGP–F1 (Supersedes Schedule SW–F2R)

U.S. DEPARTMENT OF ENERGY

Western Area Power Administration

Rio Grande Project, New Mexico, Texas

Schedule of Rates for Wholesale Firm Power Service

Effective: The first day of the first full billing period beginning on or after September 1, 1982.

Available: In the area served by the Rio Grande Project.

Applicable: To wholesale power customers for general power service supplied through one meter at one point of delivery.

Character and Conditions of Service: Alternating current, sixty hertz, three-phase, delivered and metered at the points and voltages established by contract.

Monthly Rate:

Demand Charge: $4.555 per kilowatt of billing demand for the period throught the August 1983 billing period.

$5.740 per kilowatt of billing demand for the period beginning with the September 1983 billing period.

Energy Charge: 10.72 mills per kilowatt-hour of use up to the energy obligation for the period through the August 1983 billing period.

13.50 mills per kilowatt-hour of use up to the energy obligation for the period beginning with the September 1983 billing period.

Billing Demand: The billing demand will be the greater of (1) the highest 30-minute integrated demand measured during the month up to, but not in excess of, the delivery obligation under the power sales contract, or (2) the contract rate of delivery.

Energy Obligation: The maximum kilowatt-hour obligation of the United States as

established under the power sales contract.

Adjustments:

For character and conditions of service: Customers who receive deliveries of transmission voltage may in some instances be eligible to receive a 5 percent discount on capacity and energy charges when facilities are provided by the customer which result in a sufficient savings to the United States to justify the discount. The determination of eligibility for receipt of the voltage discount shall be exclusively vested in the United States.

For transformer losses: If delivery is made at transmission voltage but metered on the low-voltage side of the substation, the meter readings will be increased by two percent to compensate for tranformer losses.

For power factor: None. The customer will normally be required to maintain a power factor at the point of delivery of between 95 percent lagging and 95 percent leading.

[FR Doc. 82-22633 Filed 8-18-82; 8:45 am]

BILLING CODE 6450-01-M

FEDERAL COMMUNICATIONS COMMISSION

[BC Docket No. 82-559, File No. BPH-810622AR and BC Docket No. 82-560, File No. BPH-811130AV]

Big Bend Broadcasters and Rio Grande Broadcasting Co.; Designating Applications for Consolidated Hearing on Stated Issues

Hearing Designation Order

Adopted: August 4, 1982.

Released: August 12, 1982.

In re applications of Big Bend Broadcasters, Alpine, Texas, Req: 92.7 MHz, Channel 224A, 3 kW (H&V), 289 feet; and Rio Grande Broadcasting Company, Alpine, Texas, Req: 92.7 MHz, Channel 224A, 3 kW (H&V), 289 feet; for construction permit for new FM station.

1. The Commission, by the Chief, Broadcast Bureau, acting pursuant to delegated authority, has under consideration the above-capitoned mutually exclusive applications filed by Big Bend Broadcasters (Big Bend) and Rio Grande Broadcasting Company (Rio Grande).

2. *Big Bend.* Section 73.3514 states that "each application shall include all information called for by the particular form on which the application is required to be filed." Section II, Item 19(b) of FCC Form 301 (June, 1977) requests the applicant to state if any member of the immediate family of any party to the application has any interest in or connection with any other broadcast station or pending application and, if so, Item 19(c) requires the applicant to set forth names, relationship, extent of interest, etc.[1] While Big Bend's application notes the existence of a father/son relationship between Jack Hawkins and his son, James W. Hawkins, and their interests, it does not contain any mention or information of the holdings of James W. Hawkins' son, Steve W. Hawkins, and his daughter-in-law, Janette D. Hawkins.[2] Accordingly, an issue will be specified to determine if Big Bend failed to disclose all the information called for by the above-referenced item and, if so, the effect of the non-disclosure on its qualifications to be a Commission licensee.

3. Data submitted by the applicants indicate that there would be a significaint difference in the size of the areas and populations which would receive service from the proposals. Consequently, the areas and populations which would receive FM service of 1 mV/m or greater intensity, together with the availability of other primary aural services in such areas, will be considered under the standard comparative issue for the purpose of determining whether a comparative preference should accure to either of the applicants.

4. Except as indicated by the issues specified below, the applicants are qualified to construct and operate as proposed. However, since the proposals are mutually exlcusive, they must be designated for hearing ina consolidated proceeding on the issues specified below.

5. Accordingly, it is ordered, That, pursuant to Section 309(e) of the Communications Act of 1934, as amended, the applications are designated for hearing in a consolidated proceeding, at a time and place to be specified in a subsequent Order, upon the following issues:

1. To determine whether Big Bend Broadcasters failed to disclose the nature and extent of other broadcast holdings of an immediate member of a principal's family and, if so, the effect thereof on the applicant's basic and/or comparative qualifications.

2. To determine which of the proposals would, on a comparative basis, better serve the public interest.

3. To determine, in light of the evidence adduced pursuant to the foregoing issues, which of the applications should be granted.

6. It is further ordered, That to avail themselves of the opportunity to be heard, the applicants herein shall, pursuant to § 1.221(c) of the Commission's Rules, in person or by attorney, within 20 days of the mailing of this Order, file with the Commission in triplicate a written appearance stating an intention to appear on the date fixed for the hearing and to present evidence on the issues specified in this Order.

7. It is further ordered, That the applicants herein shall, pursuant to Section 311(a)(2) of the Communciations Act of 1934, as amended, and § 73.3594 of the Commission's Rules, give notice of the hearing (either individually or, if feasible and consistent with the Rules, jointly) within the time and in the manner prescribed in such Rule, and shall advise the Commission of the publication of such notice as required by § 73.3594(g) of the Rules.

Federal Communications Commission.

Larry D. Eads, *Chief,*

Broadcast Facilities Division, Broadcast Bureau.

[FR Doc. 82-22616 Filed 8-18-82; 8:45 am]

BILLING CODE 6712-01-M

[1] This requirement is now shown as Item 8 (b) of the revised Form 301 (January, 1982).

[2] The Ownership Report (FCC Form 323) dated November 15, 1980 for station KULM-FM, Columbus, Texas, states that Steve W. and Janette D. Hawkins are man and wife and that James W. Hawkins is father to Steve W. Hawkins. Steve Hawkins and his wife hold 90% of the issued stock of Hawkins Broadcasting, Inc., licensee of KULM-FM and of KHLB(AM)/KMRB(FM), Burnett, Texas.

[PR Docket Nos. 82-545—547; File Number 336-A-RL-111, File Number 224-A-L-12 File Number 258-A-L-121]

Lyman S. Cox, Jr. et. al.; Applications for an Aeronautical Advisory Station To Serve Owensboro-Daviess County Airport, Owensboro, Kentucky; Designating Applications for Consolidated Hearing on Stated Issues

Adopted: August 3, 1982.

Released: August 10, 1982.

1. Lyman S. Cox, Jr. (hereafter Cox), Ayer Flying Service, Inc. (hereafter Ayer) and Bullfrog, Inc. (hereafter Bullfrog) have each filed an application for authority to operate an aeronautical advisory station at Owensboro-Daviess County Airport, Owensboro, Kentucky. Cox seeks renewal of its current station license while Ayer and Bullfrog filed for a new station authorization. Since § 87.251(a) of our rules provides that only one aeronautical advisory station may be authorized at an airport, the above-captioned applications are mutually exclusive. Accordingly, it is necessary to designate these applications for comparative hearing in order to determine which, if any, should be granted.

2. In view of the foregoing, it is ordered, That pursuant to the provisions of Section 309(e) of the Communications

Act of 1934, as amended, and § 0.331 of the Commission's rules, the above-captioned applications are hereby designated for hearing in a consolidated proceeding at a time and place to be specified in a subsequent Order on the following comparative issues:

(a) To determine which applicant would provide the public with better aeronautical advisory service based on the following considerations:

(1) Location of the aviation service organization and proposed radio station in relation to the landing area and traffic patterns;

(2) Hours of operation;

(3) Personnel available to provide advisory service;

(4) Experience of applicant and employees in aviation and aviation communications, including but not limited to operation of stations in the Aviation Services (Part 87) that may be or have been authorized to the applicant;

(5) Ability to provide information pertaining to primary and secondary communications as specified in Section 87.257 of the Commission's rules;

(6) Proposed radio system including control and dispatch points; and

(7) The availability of the radio facilities to other aviation service organizations;

(b) To determine the manner in which Cox has operated Aeronautical Advisory Station KQN4 and whether such operations were in accordance with the rules governing the operation of this class of station;

(c) To determine in light of the evidence adduced on the foregoing issues which of the applications should be granted.

3. It is further ordered, That the burden of proof and the burden of proceeding with the introduction of evidence is on each applicant with respect to its application except issue (b) where the burdens are on Cox and issue (c) which is conclusory.

4. It is further ordered, That to avail themselves of an opportunity to be heard Cox, Ayer and Bullfrog, pursuant to § 1.221(c) of the Commission's rules, in person or by attorneys, shall within 20 days of the mailing of this Order, file with the Commission, in triplicate, a written appearance stating an intention to appear on the date set for hearing and present evidence on the issues specified in this Order. Failure to file a written appearance within the time specified may result in dismissal of the application with prejudice.

Federal Communications Commission.

James C. McKinney,

Chief, Private Radio Bureau.

[FR Doc. 82-22602 Filed 8-18-82; 8:45 am]

BILLING CODE 6712-01-M

[CC Docket No. 82-517, File No. 20367-CD-P-(3)-79 and CC Docket No. 82-518, File No. 20806-CD-P-79]

Digital Paging Systems of New York, Inc. and Selective Paging Corp.; Correction

Released: August 12, 1982.

In re applications of Digital Paging Systems of New York, Inc., for a construction permit to establish a new one-way station to operate on frequency 35.22 MHz in the Domestic Public Land Mobile Radio Service (DPLMRS) at Fairport, Rochester, and Attica, New York and Selective Paging Corporation, for a construction permit to establish an additional location for KEK276 to operate on frequency 35.22 MHz in the DPLMRS at Attica, New York.

1. On August 4, 1982, we released an *Order Designating Applications for Hearing,* Mimeo 5573, in the captioned proceeding. The following language was inadvertently omitted from that Order and should have appeared as paragraph 6:

6. It is further ordered, That any grant to Digital Paging Systems of New York, Inc. as a result of this proceding shall be without prejudice to and conditioned upon whatever action, if any, the Commission may take in resolving any allegations that have been raised concerning the basic qualifications of Graphic Scanning Corp., or any of its subsidiaries, to be a Commission licensee.

2. The successive paragprahs should be renumbered accrodingly.

William F. Adler,

Chief, Mobile Services Division, Common Carrier Bureau.

[FR Doc. 82-22619 Filed 8-18-82; 8:45 am]

BILLING CODE 6712-01-M

[BC Docket No. 82-549, File No. BPCT-800131KI; BC Docket No. 82-550 File No. BPCT-800618KH]

Metrovision, Inc. and Manning Telecasting, Inc.; Applications for a Television Construction Permit; Designating Applications for Consolidated Hearing on Stated Issues

Adopted: August 4, 1982.

Released: August 9, 1982.

By the Chief, Broadcast Bureau:

1. The Commission, by the Chief, Broadcast Bureau, acting pursuant to delegated authority, has before it the above captioned mutually exclusive applications of Metrovision, Inc., New Bedford, Massachusetts (Metrovision) and Manning Telecasting, Inc., New Bedford, Massachusetts for a new commercial television station to operate on Channel 24 in New Beford, Massachusetts.[1]

Metrovision, Inc.

2. The material submitted in the application does not demonstrate the applicant's financial qualifications. Although the financial standards are unchanged, the Commission has changed the application form to require only certification as to financial qualifications. Accordingly, the applicant will be given 30 days from the date of mailing of this order to review its financial proposal in light of Commission requirements, to make any changes that may be necessary, and, if appropriate, to submit a certification to the Administrative Law Judge in the manner called for in revised Section III, Form 301, as to its financial qualifications. If the applicant cannot make the required certification, it shall so advise the Administrative Law Judge who shall then specify an appropriate issue. *Minority Broadcasters of East St. Louis, Inc.,* BC Docket No. 82-378.

Manning Telecasting, Inc.

3. *Financial qualifications.* Manning estimates its total construction and operating costs will be $240,000. Since Manning has not provided for legal costs, we cannot determine its actual total costs. Manning proposes to lease $2.4 million of equipment and facilities from Hadar Leasing International Company (Hadar) with monthly payments deferred until eighteen months after installation. To meet operating and miscellaneous expenses of $240,000, the applicant also relies on a $240,000 loan from Hadar. On March 27, 1981, however, Hadar filed a debtor's voluntary petition for relief in the United States Bankruptcy Court for the Southern District of New York, seeking relief under Chapter II of Title II of the United State Code. *In re Hadar Leasing International Co.,* No. 81-B-1068-9.[2] In

[1] Metrovision and Manning specify a transmitter site which is approximately one mile short-spaced to the Channel 14 reference point in Worcester, Massachusetts. Both applicants request waiver of § 73.610 (minimum separation requirements). Inasmuch as adequately spaced sites are available in Worcester, MA and because the Channel 14 assignment to Worcester is unavailable for broadcast use due to land mobile sharing of Channels 14-20 in the area (See, *First Report and Order,* 23 FCC 2d 325 (1970)), the one mile short spacing can be waived.

[2] We take official notice of Hadar's bankruptcy petition which was filed with the Commission as an addition to an application for transfer of control of WDHO-TV, Toledo, Ohio (File No. BTCCT-810330KE).

that petition Hadar claims liabilities of $4,150,000 and assets of $2,600,000. Therefore, Manning cannot rely on Hadar as a source of equipment or funds and we cannot determine Manning's total costs. Hadar proposed to purchase equipment from Philips Broadcast Equipment Corporation (Philips) for lease to the applicant. This purchase would be financed through Hundred East Credit Corporation (Hundred East), a financing affiliate of Philips. On March 20, 1981, Hundred East filed a civil complaint against Hadar and several individual defendants for fraud and breach of contract. Under these circumstances, Manning cannot reasonably rely on financing from Hundred East or Hadar. Therefore, we are unable to find that Manning will have any funds to finance this proposal. A financial issue could therefore be specified. However, as noted above in Paragraph Two, the Commission has changed the application form to require only certification as to financial qualifications. Accordingly, Manning will likewise be given 30 days from the date of mailing of the order to revise its financial proposal in light of the above analysis and Commission requirements, to make any changes that may be necessary, and if, appropriate, to submit a certification to the Administrative Law Judge in the manner called for in revised Section III, Form 301, as to its financial qualifications. If the applicant cannot make the required certification, it shall so advise the Administrative Law Judge who shall then specify an appropriate issue. *Minority Broadcasters of East St. Louis, Inc., supra.*

4. Since we have not received a determination from the Federal Aviation Administration that Manning's proposed tower height and location would not consititute a hazard to air navigation, an issue regarding this matter is required.

Proximity to the Candian border

5. The applications of Metrovision and Manning propose operation within 250 miles of the Canadian border with maximum visual effective radiated power (ERP) exceeding 1,000 kilowatts. While this proposal poses no interference threat to United States television stations, it contravenes an agreement between the United States and Canada which limits the maximum ERP of U.S. television stations located within 250 miles of Canada to 1,000 kilowatts. *Agreement Effectuated by Exchange of Notes,* T.I.A.S. 2594 (1952). Since the Commission lacks authority to waive international agreements, any construction permit granted the above named applicants in this proceeding will be conditioned to preclude station operation with maximum visual ERP in excess of 1,000 kilowatts absent Candian consent. *South Bend Tribune,* 8 RR 2d 416 (1966).

Conclusion and Order

6. Except as indicated by the issues specified below, the applicants are qualified to operate as proposed. Since these applications are mutually exclusive, the Commisson is unable to make the statutory finding that their grant will serve the public interest, convenience and necessity. Therefore, the applications must be designated for hearing in a consolidated proceeding on the issues set out below.

7. Accordingly, it is ordered, That, pursuant to Section 309(e) of the Communications Act of 1934, as amended, the above-captioned applications are designated for hearing in a consolidated proceeding to be held before an Administrative Law Judge at a time a place to be specified in a subsequent order, upon the following issues.

1. To determine with respect to Manning:

(a) Whether there is a reasonable possibility that the tower height and location proposed would constitute a hazard to air navigation, and if so, whether the applicant is technically qualified.

2. To determine, on a comparative basis, which of the applicants would better serve the public interest.

3. To determine, in light of the evidence adduced pursuant to the foregoing issues, which of the applications should be granted.

8. It is further ordered, That the applicants shall submit a financial certification in the form required by Section III, FCC Form 301, or advise the Administrative Law Judge that the certification cannot be made, as may be appropriate.

9. It is further ordered, That the Federal Aviation Administration is made a party respondent with respect to Issue 1.

It is further ordered, That in the event of a grant of the applications of Metrovision or Manning, the construction permit shall contain the following condition:

10. Operation with maximum visual effective radiated power in excess of 30.0 dBk (1000 kW) is subject to consent by Canada.

11. It if further ordered, That the applicants' request for waiver of § 73.610 of the Commission's Rules, is granted.

12. It is further ordered, That to avail themselves of the opportunity to be heard, the applicants and the party respondent herein shall, pursuant to § 1.221(c) of the Commission's Rules, in person or by attorney, within 20 days of the mailing of this order, file with the Commission, in triplicate, a written appearance stating an intention to appear on the date fixed for hearing and to present evidence on the issues specified in this order.

13. It is further ordered, That the applicants herein shall, pursuant to Section 311(a)(2) of the Communications Act and § 73.3594 of the Commission's Rules, give notice of the hearing within the time and in the manner prescribed in such Rule, and shall advise the Commission of the the publication of such notice as required by § 73.3594(g) of the rules.

Federal Communications Commission.

Larry D. Eads,

Chief, Broadcast Facilities Division, Broadcast Bureau.

[FR Doc. 82-22601, Filed 8-18-82; 8:45 am]

BILLING CODE 6712-01-M

[CC Docket No. 82-557, File No. 22424-CD-P-(3)-81; and CC Docket No. 82-558, File No. 23275-CD-P-(1)-81]

Mobilfone Service, Inc., and Car-Tel, Inc.; Designating Applications for Consolidated Hearing on Stated Issues

Order Designating Applications for Hearing

Adopted: August 5, 1982.

Released: August 12, 1982.

In re applications of Mobilfone Service, Inc., for a construction permit to construct a new station to operate on frequencies 454.075, 454.275 and 454.325 MHz in the Domestic Public Land Mobile Radio Service (DPLMRS) at Little Rock, Arkansas; Car-Tel, Inc., for a constuction permit to constuct a new station to operate on frequency 454.325 MHz in the DPLMRS at Conway, Arkansas.

1. Presently before the Chief, Mobile Services Division, pursuant to delegated authority, are the captioned applications of Mobilfone Service, Inc. (MSI) and Car-Tel, Inc. (CTI). MSI proposes to build a new station to operate on frequencies 454.075, 454.275 and 454.325 MHz at Little Rock, Arkansas. CTI proposes to build a new station to operate on frequency 454.325 MHz at Conway, Arkansas. A Petition to Deny or defer action was filed against the MSI application by Otis L. Hale d/b/a

Mobilfone Communications (Hale). Responsive pleadings have been filed.

2. The proposals of MSI and CTI to use frequency 454.325 MHz in the same geographic area are electrically mutually exclusive; therefore, a comparative hearing will be held to determine which applicant would better serve the public interest. The MSI proposals to use frequencies 454.075 and 454.275 MHz are not mutually exlusive with any other pending application.

3. In its petition, Hale maintains that MSI's need survey results do not accurately reflect need in the service area. Hale also argues that MSI misrepresented applicable Arkansas state certification requirements and failed to show how it will monitor its station on a 24-hour a day basis. Hale further argues that action on the MSI application should be deferred until the Commission acts on Hale's pending applications because it is allegedly unfair to let new carriers enter the Little Rock market while those filed by an incumbent (*i.e.*, Hale) to imporve its service remain pending.[1]

4. We have reviewed Hale's petition and MSI's application as amended, and we find that Hale's allegations are without merit. Based on MSI's reply and the information submitted, we find that MSI need showing complies with the standards of *New York Telephone Company*, 47 FCC 2d 488, *recon. denied*, 49 FCC 2d 264 (1974), *affid sub nom. Pocket Phone Broadcast Service, Inc. v. FCC*, 538 F. 2d 447 (D.C. Cir. 1976), and *Long Island Paging*, 30 FCC 2d 405 (Rev. Bd. 1971), *review denied*, 32 FCC 2d 235 (1971). In addition, MSI's showing as to its operation and monitoring on a 24-hour basis is sufficient and justifies the waivers requested. As to the argument concerning state certification, pursuant to § 22.13(f) of the Commission's Rules, prior state certification is not required. In addition, MSI has provided information from the Arkansas Public Service Commission that Arkansas does not exercise jurisdication over radio common carrier.

5. As to Hale's request for deferral, we find that the reasons advanced by Hale do not relate to public interest considerations, but rather to its private interests, a factor that the Commission has already rejected in evaluating whether to defer action on an application. *See FWS Radio*, 4 FCC 2d 558 (1973), *aff'd sub nom. Ram Broadcasting of Texas v. FCC*, 509 F. 2d 530 (D.C. Cir. 1974), *Twin City Beepers, Inc.*, mimeo 000434, released November 6, 1981. Accordingly, we reject Hale's request for deferral.

6. Accordingly, it is ordered, That the Petition to Deny or Defer Action filed by Otis L. Hale d/b/a Mobilfone Communications in File No. 22424–CD–P–(3)–81, is denied.

7. We find both applicants to be legally, technically, and otherwise qualified to construct and operate the proposed facilities. We further find that a grant of the request by MSI to operate on frequencies 454.075 and 454.275 MHz will serve the public interest, convenience and necessity.

8. Accordingly, it is ordered, pursuant to section 309 of the Communications Act of 1934, as amended, that the application of Mobilfone Service, Inc. File No., 22424–CD–P–(3)–81, is granted in part to the extent that the request for frequencies 454.075 and 454.275 MHz is granted, and that the application of Car-Tel, Inc., File No. 23275–CD–P–(1)–81 and the application of Mobilfone Service, Inc., File No. 22424–CD–P–(3)–81 for use of frequency 454.325 MHz are designated for hearing in a consolidated proceeding upon the following issues:

(a) To determine on a comparative basis, the nature and extent of service proposed by each applicant, including the rates, charges, maintenance, personnel, practices, classifications, regulations, and facilities pertaining thereto;

(b) To determine on a comparative basis, the areas and populations that each applicant will serve within the prospective interference-free area within the 39 dBu contours,[2] based upon the standards set forth in §22.504(a) of the Commission's Rules,[3] and to determine and compare the relative demand for the proposed services in said areas; and

(c) to determine, in light of the evidence adduced pursuant to the foregoing issues, what disposition of the referenced applications would best serve the public interest, convenience and necessity.

9. It is further ordered, That the hearing shall be held at a time and place and before an Administrative Law Judge to be specified in a subsequent Order.

10. It is further ordered, That the Chief, Common Carrier Bureau, is made a party to the proceeding.

11. It is further ordered, That the applicants shall file written notices of appearance under § 1.221 of the Commission's Rules within 20 days of the release of this Order.

12. The Secretary shall cause a copy of this order to be published in the **Federal Register.**

William F. Alder,

Chief, Mobile Services Division Common Carrier Bureau.

[FR Doc. 82–22617 Filed 8–18–82; 8:45 am]

BILLING CODE 6712–01–M

[Docket No. CC 82–166, Transmittal Nos. 349, 355 and 386]

RCA American Communications, Inc., Tariffs F.C.C. Nos. 1 and 2; Instituting Investigation

Memorandum Opinion and Order

Adopted: August 4, 1982.

Released: August 6, 1982.

1. We consider at this time a proposed tariff revision filed by RCA American Communications, Inc. ("RCAA") to its Fixed Rate 1989 Term Transponder Service tariff. That offering provides for a uniform lump-sum charge of $13 million, payable in advance, for a lease term beginning with the commencement of operation on RCAA's SATCOM IV satellite and terminating on December 31, 1989. Because it raises substantial questions of lawfulness under Sections 201(b) and 202(a) of the Communications Act, 47 U.S.C. 201(b) and 202(a), the Commission has set the offering for investigation and imposed an accounting order. *See RCA American Communications, Inc.*, 89 FCC 2d 1070, 1082 (1982).[1]

2. Under the proposed revisions RCAA would offer an optional financing arrangement for subscribers. As we understand it, a customer would make an initial payment of at least $1.5 million and "such monthly and/or additional lump sum payments which together with the initial payment shall equal $13 million on a present value bases." [2] The

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[1] The applications that Hale is referrring to have now been designated for hearing by the Commission on lack of candor and need issues. *Little Rock Radio Telephone Company, Inc.*, CC Docket Nos. 82–12 through 82–17, FCC 82–12, released February 24, 1982.

[2] For the purpose of this proceeding, the interference-free area is defined as the area within the 39 dBu contour as calculated from Section 22.504, in which the ratio of desired-to-undesired signal is equal to or greater than R in FCC Report No. R–6404, equation 8.

[3] Section 22.504(a) of the Commission's Rules and Regulations describes a field strength contour of 39 decibels above one microvolt per meter as the limits of the reliable service area for base stations engaged in two-way communications service on frequencies in the 450 MHz band. Propagation data set forth in § 22.504(b) are the proper bases for establishing the location of service contours F(50,50) for the facilities involved in this proceeding. (The applicants should consult with the Bureau counsel with the goal of reaching joint technical exhibits.)

[1] The investigation was deferred pending resolution of fundamental underlying issues in the *Competitive Carrier Rulemaking* proceeding *(Further Notice*, 84 FCC 2d 445, 505–511 (1982)).

[2] See 17th Revised page 48.1, Section 4.6.3(A). The present value is calculated on the basis of a 15 percent discount rate.

initial payment and schedule of additional payments are to be agreeed upon by the customer and carrier with the carrier's agreement dependent upon the customer's "credit worthiness."

3. As is apparent from the foregoing, this proposal is merely a modification of the existing tariff already in investigation, and raises the same questions of lawfulness. Thus, we set this revision for investigation, consolidate it into CC Docket No. 82–166 and impose an accounting order.[3]

4. Accordingly, it is ordered, pursuant to §§ 0.91 and 0.291 of the Commission's Rules, 47 CFR 0.91 and 0.291, That Transmittal No. 386 is set for investigation and shall be consolidated into Docket No. CC 82–166.

5. It is further ordered, That RCA American Communications, Inc. is to keep strict account of all amounts collected pursuant to this revision, pending further order.

6. It is further ordered, That the joint petition to reject filed by Timothy J. Flynn, the Hon Foundation, and Joseph A. Corazzi, is denied.

7. It is further ordered, That this order is effective immediately upon adoption.

Federal Communications Commission.

Jack D. Smith,

Deputy Bureau Chief (Operations).

[FR Doc. 82–22618 Filed 8–18–82; 8:45 am]

BILLING CODE 6712–01–M

Study Group A of the U.S. Organization for the International Telegraph & Telephone Consultative Committee (CCITT); Meeting

August 16, 1982.

The Department of State announces that Study Group A of the U.S. Organization for International Telegraph and Telephone Consultative Committee (CCITT) will meet on August 24, 1982 at 10:00 a.m. in Room 856 of the Federal Communications Commission, 1919 M Street, N.W., Washington, D.C. This Study Group deals with U.S. Government aspects of international telegram and telephone operations and tariffs.

The Study Group will discuss international telecommunications questions relating to telegraph, telex, new record services, data transmission and leased channel services in order to develop U.S. positions to be taken at upcoming Study Groups I and III meetings.

Members of the general public may attend the meeting subject to the instruction of the Chairman. Admittance of public members will be limited to the seating available. Requests for further information should be directed to Earl S. Barbely, Conference Staff, Federal Communications Commission, Washington, D.C., telephone (202) 632–3214.

Federal Communications Commission.

William J. Tricarico,

Secretary.

[FR Doc. 82–22800 Filed 8–18–82; 8:45 am]

BILLING CODE 6712–01–M

[3] Timothy J. Flynn, the Hon Foundation, and Joseph A. Corazzi (collectively, "Petitioners") have filed a petition seeking rejection of the proposed revision. Petitioners allege that the optional financing arrangement proposal constitutes unlawful discrimination because it is assertedly much more attractive than the current tariff. This contention falls far short of the showing necessary to secure a rejection. *See Associated Press* v. *FCC*, 488 F.2d 1095 (1971). Consequently, we will deny the petition.

[BC Docket No. 82–551, File No. BPCT–820311KG; et al.]

TV–43, Inc., et al.; Designating Applications for Consolidated Hearing on Stated Issues

Hearing Designation Order

Adopted: August 4, 1982.

Released: August 10, 1982.

In re applications of TV–43, Inc., Clovis, California, BC Docket No. 82–551, File No. BPCT–82011KG; Solid State Components, Corp., Clovis, California, BC Docket No. 82–552, File No. BPCT–8203510KI; and North Star Communications, Ltd., Clovis, California, BC Docket No. 82–553, File No. BPCT–820510KJ.

1. The Commission, by the Chief, Broadcast Bureau, acting pursuant to delegated authority, has before it the above-captioned mutually exclusive applications of TV–43, Inc., Solid State Components, Corp. and North Star Communications, Ltd. for authority to construct a new commercial television station on Channel 43, Clovis, California.[1]

2. The applicants are qualified to construct and operate as proposed. However, since the proposals are mutually exclusive, they must be designated for hearing in a consolidated proceeding on the issues specified below.

3. Accordingly, it is ordered, That pursuant to Section 309(e) of the Communications Act of 1934, as amended, the applications are designated for hearing in a consolidated proceeding, before an Administrative Law Judge at a time and place to be specified in a subsequent Order, upon the following issues:

1. To determine which of the proposals would, on a comparative basis, best serve the public interest.

2. To determine, in light of the evidence adduced pursuant to the foregoing issue, which of the applications should be granted.

4. It is further ordered, That, to avail themselves of the opportunity to be heard, the applicants herein shall, pursuant to § 1.221(c) of the Commission's Rules, in person or by attorney, within 20 days of the mailing of this Order, file with the Commission, in triplicate, a written appearance stating an intention to appear on the date fixed for the hearing and to present evidence on the issues specified in this Order.

5. It is further ordered, That the applicants herein shall, pursuant to Section 311(a)(2) of the Communications Act of 1934, as amended, and § 73.3594 of the Commission's Rules, give notice of the hearing within the time and in the manner prescribed in such Rule, and shall advise the Commission of the publication of such notice as required by § 73.3594(g) of the Rules.

Federal Communications Commission.

Larry D. Eads,

Chief, Broadcast Facilities Bureau, Broadcast Bureau.

[FR Doc. 82–22803 Filed 8–18–82; 8:45 am]

BILLING CODE 6712–01–M

[1] Channel 43 is assigned to Fresno, California. Clovis is located within 15 miles of Fresno, and therefore, Channel 43 is available for use in Clovis under § 73.607 of the Commission's Rules.

FEDERAL EMERGENCY MANAGEMENT AGENCY

[Docket No.: FEMA–REP–10–OR–1]

The States of Oregon and Washington Radiological Emergency Response Plans for the Trojan Nuclear Electrical Generating Station

AGENCY: Federal Emergency Management Agency.

ACTION: Certification of FEMA findings.

In accordance with the FEMA Rule 44 CFR 350 (proposed), on December 9, 1980; March 29, 1981, and December, 1980, the States of Oregon, Washington and Cowlitz County, Washington respectively submitted their Plans relating to the Trojan Nuclear Generating Station to the Director of FEMA Region X for review and approval. The Regional director forwarded his evaluation to the Associate Director for Plans and Preparedness on January 19, 1982 in accordance with § 350.11 of the proposed Rule. Included in this evaluation were a review of the State

and local offsite plans around the Trojan facility; a critique of the exercise conducted in the vicinity of the site on March 4, 1981, in accordance with § 350.09 of the proposed rule; a report on the public meeting held on March 5, 1981, to explain the site specific aspects of the State and local plans in accordance with § 350.10 of the proposed rule. On November 17 and 19, a second partial exercise was held.

Based on the evaluation by the Regional Director and the review by the FEMA Headquarters staff, I find that the State and local plans and preparedness for the Trojan facility are adequate to protect the health and safety of the public living in the vicinity of the facility. The plans and preparedness are assessed as providing reasonable assurance that appropriate protective measures can be taken offsite in the event of a radiological emergency.

Some minor deficiencies were noted, however, they either have been or are in the process of being corrected.

FEMA will continue to review the status of plans and preparedness of the States and localities associated with Trojan in accordance with § 350.13 of the proposed rule.

For further details with rspect to this action, refer to the FEMA docket file maintained by the Regional Director, FEMA Region X, Federal Regional Center, 130 228th Street, S.W., Bothell, Washington 98011.

Issued July 6, 1982

Lee M. Thomas,

Associate Director, State and Local Programs and Support.

[FR Doc. 82-22572 Filed 8-18-82; 8:45 am]

BILLING CODE 6718-01-M

[Docket: FEMA-REP-3-MD-1]

Maryland Radiological Emergency Response Plan

August 10, 1982.

AGENCY: Federal Emergency Management Agency.

ACTION: Notice of receipt of plan.

SUMMARY: For continued operation of nuclear power plants, the Nuclear Regulatory Commission requires approved licensee and State and local governments' radiological emergency response plans. Since FEMA has a responsibility for reviewing the State and local government plans, the State of Maryland has submitted its radiological emergency plans to the FEMA Regional office. These plans support nuclear power plants which impact on Maryland, and include those of local governments near the Baltimore Gas and Electric Company's Calvert Cliffs Nuclear Power Plant located in Calvert County.

DATE: Plans Received: May 26, 1982.

FOR FURTHER INFORMATION CONTACT: Mr. John Wm. Brucker, Regional Director, FEMA Region III, Curtis Building, 6th and Walnut Streets, Philadelphia, PA 19106 (215) 597-9416.

SUPPLEMENTARY INFORMATION: In support of the Federal requirement for emergency response plans, FEMA has proposed a Rule describing its procedures for review and approval of State and local government's radiological emergency response plans. Pursuant to this proposed FEMA Rule (44 CFR Part 350.8), "Review and Approval of State Radiological Emergency Plans and Preparedness," 45 FR 42341, the State Radiological Emergency Plan for the State of Maryland was received by the Federal Emergency Management Agency Region III Office.

Included are plans for local governments which are wholly or partially within the plume exposure pathway emergency planning zone of the Calvert Cliffs Nuclear Power Plant. Plans are included for Calvert, St. Mary's and Dorchester Counties.

Copies of the Plan are available for review at the FEMA Region III Office, or they will be made available upon request in accordance with the fee schedule for FEMA Freedom of Information Act requests, as set out in subpart C of 44 CFR Part 5. There are 2111 pages in the document; reproduction fees are $.10 a page payable with the request for copy.

Comments on the Plan may be submitted in writing to Mr. John Wm. Brucker, Regional Director, at the above address on or before September 20, 1982.

FEMA proposed Rule 44 CFR 350.10 also calls for a public meeting prior to approval of the plans. Details of the meeting were contained in *The Banner, The Dorchester News, The Calvert Independent, The Recorder, The Enterprise,* and the *St. Mary's Beacon* at least two weeks prior to the meeting. Local radio stations also announced the meeting, which was scheduled for Tuesday, May 25, 1982. No one from the public attended.

John Wm. Brucker,

Regional Director, Region III.

[FR Doc. 82-22578 Filed 8-18-82; 8:45 am]

BILLING CODE 6718-01-M

FEDERAL RESERVE SYSTEM

Acquisition of Bank Shares by Bank Holding Company

The company listed in this notice has applied for the Board's approval under section 3(a)(3) of the Bank Holding Company Act (12 U.S.C. 1842(a)(3)) to acquire voting shares or assets of a bank. The factors that are considered in acting on the application are set forth in section 3(c) of the Act (12 U.S.C. 1842(c)).

The application may be inspected at the offices of the Board of Governors, or at the Federal Reserve Bank indicated. With respect to the application, interested persons may express their views in writing to the address indicated. Any comment on the application that requests a hearing must include a statement of why a written presentation would not suffice in lieu of a hearing, identifying specifically any questions of fact that are in dispute and summarizing the evidence that would be presented at a hearing.

A. Secretary, Board of Governors of the Federal Reserve System, Washington, D.C. 20551:

1. *Texas Commerce Bancshares, Inc.,* Houston, Texas; to acquire 100 percent of the voting shares or assets of Texas Commerce Bank-Northcross, N.A., Austin, Texas. The application may be inspected at the Federal Reserve Bank of Dallas. Comments on this application must be received not later than September 13, 1982.

Board of Governors of the Federal Reserve System, August 13, 1982.

Dolores S. Smith,

Assistant Secretary of the Board.

[FR Doc. 82-22587 Filed 8-17-82; 8:45 am]

BILLING CODE 6210-01-M

Bank Holding Companies; Notice of Proposed de Novo Nonbank Activities

The bank holding companies listed in this notice have applied, pursuant to section 4(c)(8) of the Bank Holding Company Act (12 U.S.C. 1843(c)(8)) and § 225.4(b)(1) of the Board's Regulation Y (12 CFR 225.4(b)(1)), for permission to engage *de nova* (or continue to engage in an activity earlier commenced *de novo*), directly or indirectly, solely in the activities indicated, which have been determined by the Board of Governors to be closely related to banking.

With respect to each application, interested persons may express their views on the questions whether consummation of the proposal can "reasonably be expected to produce benefits to the public, such as greater

convenience, increased competition, or gains in efficiency, that outweight possible adverse effects, such as undue concentration of resources, decreased or unfair competition, conflicts of interest, or unsound banking practices." Any comment on an application that requests a hearing must include a statement of the reasons a written presentation would not suffice in lieu of a hearing, identifying specifically any questions of fact that are in dispute, summarizing the evidence that would be presented at a hearing, and indicating how the party commenting would be aggrieved by approval of that proposal.

Each application may be inspected at the offices of the Board of Governors or at the Federal Reserve Bank indicated for that application. Comments and requests for hearings should identify clearly the specific application to which they relate, and should be submitted in writing and receiving by the appropriate Federal Reserve Bank not later than the date indicated for each application.

A. **Federal Reserve Bank of Cleveland** (Harry W. Huning, Vice President) 1455 East Sixth Street, Cleveland, Ohio 44101:

1. *AmeriTrust Corporation,* Cleveland, Ohio (loan and leasing of personal property, Dallas Texas): to engage through its subsidiary, AT Financial Corporation in making or acquiring and servicing for its own account or for the account of others, loans and extensions of credit including commercial loans secured by a borrower's inventory, accounts receivable, making leases of personal property or acting as agent, broker or advisor in leasing such property, and other extensions of credit such as would be made by a commercial finance company at Diamond Shamrock Building, Dallas, Texas. The geographic area to be served is the Dallas SMSA. Comments on this application must be received not later than September 8, 1982.

B. **Federal Reserve Bank of San Francisco** (Harry W. Green, Vice President) 400 Sansome Street, San Francisco, California 94120:

1. *Security Pacific Corporation,* Los Angeles, California (finance and credit related insurance activities; Illinois): To engage through its subsidiary, Security Pacific Finance Corp., in making or acquiring for its own account or for the account of others, loans and extensions of credit, including making consumer installment personal loans, purchasing consumer installment sales finance contracts, making loans to small businesses and other extensions of credit such as would be made by a factoring company or a consumer finance company; and acting as broker or agent for the sale of credit life, and credit accident and health and credit property insurance. These activities would be conducted from an office of Security Pacific Finance Corp., located in Homewood, Illinois, serving the State of Illinois and would constitute a relocation of an existing office of Security Pacific Finance Corp. which is currently located in Bradley, Illinois. Comments on this application must be received not later than September 12, 1982.

2. *Utah Bancorporation,* Salt Lake City, Utah (industrial loan corporation, Utah): To establish a new branch office of its subsidiary, Intermountain Thrift and Loan, in Salt Lake City, Utah, for the industrial loan corporation activities of the subsidiary in the manner authorized by Utah State law, including the acceptance of time and savings deposits and making, acquiring and servicing loans and other extensions of credit. The proposed new branch office is to be located at the intersection of 2300 East and 3300 South, Salt Lake City, Utah, and will serve the market area surrounding the location. Comments on this application must be received not later than September 12, 1982.

Board of Governors of the Federal Reserve System, August 13, 1982.

Dolores S. Smith,

Assistant Secretary of the Board.

[FR Doc. 82-22588 Filed 8-18-82; 8:45 am]

BILLING CODE 6210-01-M

Formation of Bank Holding Companies

The companies listed in this notice have applied for the Board's approval under section 3(a)(1) of the Bank Holding Company Act (12 U.S.C. 1842(a)(1)) to become bank holding companies by acquiring voting shares and/or assets or a bank. The factors that are considered in acting on the applications are set forth in section 3(c) of the Act (12 U.S.C. 1842(c)).

Each application may be inspected at the offices of the Board of Governors, or at the Federal Reserve Bank indicated for that application. With respect to each application, interested persons may express their views in writing to the address indicated for that application. Any comment on an application that requests a hearing must include a statement of why a written presentation would not suffice in lieu of a hearing, identifying specifically any questions of fact that are in dispute and summarizing the evidence that would be presented at a hearing.

A. *Federal Reserve Bank of St. Louis* (Delmer P. Weisz, Vice President) 411 Locust Street, St. Louis, Missouri 63166:

1. *Franklin Bancorp., Inc.,* Franklin, Kentucky; to become a bank holding company by acquiring 100 percent, less directors' qualifying shares, of the voting shares of the successor by merger to Franklin Bank and Trust Company, Franklin, Kentucky. Comments on this application must be received not later than September 11, 1982.

2. *Rich Land Bancorp., Inc.,* Olney, Illinois; to become a bank holding company by acquiring 100 percent of the voting shares of Olney Trust Bank, Olney, Illinois, successor by merger to Olney Trust and Banking Company, Olney, Illinois. Comments on this application must be received not later than September 13, 1982.

B. *Federal Reserve Bank of Dallas* (Anthony J. Montelaro, Assistant Vice President) 400 South Akard Street, Dallas, Texas;

1. *Humble Bancshares, Inc.,* Humble, Texas; to become a bank holding company by acquiring 100 percent of the voting shares of the successor by merger to Humble National Bank, Humble, Texas. Comments on this application must be received not later than September 13, 1982.

2. *Nacogdoches Commercial Bancshares, Inc.,* Nacogdoches, Texas; to become a bank holding company by acquiring 100 percent of the voting shares of Commercial National Bank in Nacogdoches, Nacogdoches, Texas. Comments on this application must be received not later than September 13, 1982.

3. *United City Corporation,* Plano, Texas; to become a bank holding company by acquiring 80 percent of the voting shares of each of two banks: City National Bank of Plano and United National Bank of Plano, both of Plano, Texas. Comments on this application must be received not later than September 13, 1982.

Board of Governors of the Federal Reserve System, August 13, 1982.

Dolores S. Smith,

Assistant Secretary of the Board.

[FR Doc. 82-22586 Filed 8-18-82; 8:45 am]

BILLING CODE 6210-01-M

Acquisition of Bank Shares by Bank Holding Company

The company listed in this notice has applied for the Board's approval under section 3(a)(3) of the Bank Holding Company Act (12 U.S.C. 1842(a)(3)) to acquire voting shares or assests of a bank. The factors that are considered in acting on the application are set forth in section 3(c) of the Act (12 U.S.C. 1842(c)).

The application may be inspected at the offices of the Board of Governors, or at the Federal Reserve Bank indicated. With respect to the application, interested persons may express their views in writing to the address indicated. Any comment on the application that requests a hearing must include a statement of why a written presentation would not suffice in lieu of a hearing, identifying specifically any questions of fact that are in dispute and summarizing the evidence that would be presented at a hearing.

A. **Federal Reserve Bank of Minneapolis** (Bruce J. Hedblom, Vice President) 250 Marquette Avenue, Minneapolis, Minnesota 55480:

1. *Montana Bancsystem, Inc.*, Billings, Montana; to acquire 80 percent of the voting shares or assets of Montana Bank of Livingston, Livingston, Montana. Comments on this application must be received not later than September 15, 1982.

Board of Governors of the Federal Reserve System, August 16, 1982.

Dolores S. Smith,

Assistant Secretary of the Board.

[FR Doc. 82-22761 Filed 8-18-82; 8:45 am]

BILLING CODE 6210-01-M

Bank Holding Companies; Proposed de Novo Nonbank Activities

The bank holding companies listed in this notice have applied, pursuant to section 4(c)(8) of the Bank Holding Company Act (12 U.S.C. 1843(c)(8)) and § 225.4(b)(1) of the Board's Regulation Y (12 CFR 225.4(b)(1)), for permission to engage *de novo* (or continue to engage in a activity earlier commenced *de nove*), directly or indirectly, solely in the activities indicated, which have been determined by the Board of Governors to be closely related to banking.

With respect to each application, interested persons may express their views on the question whether consummation of the proposal can "reasonably be expected to produce benefits to the public, such as greater convenience, increased competition, or gains in efficiency, that outweigh possible adverse effects, such as undue concentration of resources, decreased or unfair competition, conflicts of interest, or unsound banking practices." Any comment on an application that requests a hearing must include a statement of the reasons a written presentation would not suffice in lieu of a hearing, identifying specifically any questions of fact that are in dispute, summarizing the evidence that would be presented at a hearing, and indicating how the party commenting would be aggrieved by approval of that proposal.

Each application may be inspected at the offices of the Board of Governors or at the Federal Reserve Bank indicated for that application. Comments and requests for hearings should identify clearly the specific application to which they relate, and should be submitted in writing and received by the appropriate Federal Reserve Bank not later than the date indicated for each application.

A. qT4Federal Reserve Bank of Atlanta (Robert E. Heck, Vice President) 104 Marietta Street, N.W., Atlanta, Georgia 30303:

1. *Cen-La Bancshares, Inc.*, Marksville, Louisiana, (insurance activities; Louisiana): To engage through its subsidiary, Cenla Insurance Agency, Inc., in the sale of general insurance in a town with a population not exceeding five thousand. The type of insurance sold will be that of life, health and disability, fire and casualty, and automotive. These activities will be conducted from an office in Marksville, Louisiana, serving the area of Central Louisiana, principally in and around Aroyelles Parish. Comments on this application must be received not later than September 15, 1982.

B. **Federal Reserve Bank of San Francisco** (Harry W. Green, Vice President) 400 Sansome Street, San Francisco, California 94120:

1. *Seafirst Corporation*, Seattle, Washington, (insurance activities, expansion of service area, Colorado): To engage throught its subsidiaries, Seafirst Life Insurance Company and Seafirst Insurance Corporation, in the underwriting and selling of credit life and credit accident and health insurance directly related to extensions of credit by Seafirst Corporation or its subsidiaries. These activities would be conducted from an office in Seattle, Washington, serving the State of Colorado. Comments on this application must be received not later than September 14, 1982.

Board of Governors of the Federal Reserve System, August 16, 1982.

Delores S. Smith,

Assistant Secretary of the Board.

[FR Doc. 82-22759 Filed 8-18-82; 8:45 am]

BILLING CODE 6210-01-M

Formation of Bank Holding Company

The company listed in this notice has applied for the Board's approval under section 3(a)(1) of the Bank Holding Company Act (12 U.S.C. 1842(a)(1)) to become a bank holding company by acquiring voting shares and/or assets of a bank. The factors that are considered in acting on the application are set forth in section 3(c) of the Act (12 U.S.C. 1842(c)).

The application may be inspected at the offices of the Board of Governors, or at the Federal Reserve Bank indicated. With respect to the application, interested persons may express their views in writing to the address indicated. Any comment on the application that requests a hearing must include a statement of why a written presentation would not suffice in lieu of a hearing, identifying specifically any questions of fact that are in dispute and summarizing the evidence that would be presented at a hearing.

A. **Federal Reserve Bank of Chicago** (Franklin D. Dreyer, Vice President) 230 South LaSalle Street, Chicago, Illinois 60690:

1. *Galva Investment, Inc.*, Galva, Illinois; to become a bank holding company by acquiring 80 percent or more of the voting shares of Community State Bank of Galva, Galva, Illinois. Comments on this application must be received not later than September 15, 1982.

Board of Governors of the Federal Reserve System, August 16, 1982.

Dolores S. Smith,

Assistant Secretary of the Board.

[FR Doc. 82-22760 Filed 8-18-82; 8:45 am]

BILLING CODE 6210-01-M

Puget Sound Bancorp; Proposed Acquisition of Washington Mortgage Co., Inc.

Puget Sound Bancorp, Tacoma, Washington, has applied, pursuant to section 4(c) (8) of the Bank Holding Company Act (12 U.S.C. 1843(c)(8)) and § 225.4(b)(2) of the Board's Regulation Y (12 CFR 225.4(b)(2)), for permission to acquire voting shares of Washington Mortgage Co., Inc., Seattle, Washington.

Applicant states that the proposed subsidiary would provide mortgage banking, leasing and escrow services. These activities would be performed from offices of Applicant's subsidiary in Seattle, Washington; Honolulu, Hawaii; and Phoenix, Arizona, and the geographic areas to be served are the western United States. Such activities have been specified by the Board in § 225.4(a) of Regulation Y as permissible for bank holding companies, subject to Board approval of individual proposals in accordance with the procedures of § 225.4(b).

Interested persons may express their views on the question whether consummation of the proposal can "reasonably be expected to produce

benefits to the public, such as greater convenience, increased competition, or gains in efficiency, that outweigh possible adverse effects, such as undue concentration of resources, decreased or unfair competition, conflicts of interests, or unsound banking practices." Any request for a hearing on this question must be accompanied by a statement of the reasons a written presentation would not suffice in lieu of a hearing, identifying specifically any questions of fact that are in dispute, summarizing the evidence that would be presented at a hearing, and indicating how the party commenting would be aggrieved by approval of the proposal.

The application may be inspected at the offices of the Board of Governors or at the Federal Reserve Bank of San Francisco.

Any person wishing to comment on the application should submit views in writing to the Reserve Bank to be received no later than September 15, 1982.

Board of Governors of the Federal Reserve System, August 16, 1982.

Dolores S. Smith,

Assistant Secretary of the Board.

[FR Doc. 82-22762 Filed 8-18-82; 8:45 am]

BILLING CODE 6210-01-M

Agency Forms Under Review

August 13, 1982.

Background

When executive departments and agencies propose public use froms reporting, or recordkeeping requirements, the Office of Management and Budget (OMB) reviews and acts on those requirements under the Paperwork Reduction Act (44 U.S.C. Chapter 35). Departments and agencies use a number of techniques including public hearings to consult with the public on significant reporting requirements before seeking OMB approval. OMB in carrying out its responsibilities under the act also considers comments on the forms and recordkeeping requirements that will affect the public. Reporting or recordkeeping requirements that appear to raise no significant issues are approved promptly. OMB's usual practice is not to take any action on proposed reporting requirements until at least ten working days after notice in the **Federal Register**, but occasionally the public interest requires more rapid action.

List of Forms Under Review

Immediately following the submission of a request by the Federal Reserve for OMB approval of a reporting or recordkeeping requirement, a description of the report is published in the **Federal Register**. This information contains the name and telephone number of the Federal Reserve Board clearance officer (from whom a copy of the form and supporting documents is available). The entries are grouped by type of submission—i.e., new forms, revisions, extensions (burden change), extensions (no change), and reinstatements.

Comments and Questions

Copies of the proposed forms and supporting documents may be obtained from the Federal Reserve Board clearance officer whose name, address, and telephone number appear below. The agency clearance officer will send you a copy of the proposed form, the request for clearance (SF 83), supporting statement, instructions, transmittal letters, and other documents that are submitted to OMB for review.

FOR FURTHER INFORMATION CONTACT:

Federal Reserve Board Clearance Officer—Cynthia Glassman—Division of Research and Statistics, Board of Governors of the Federal Reserve System, Washington, D.C. 20551 (202-452-3829)

OMB Reviewer—Richard Sheppard—Office of Information and Regulatory Affairs, Office of Management and Budget, New Executive Office Building, Room 3208, Washington, D.C. 20503 (202-395-6880)

Request for Extension no Change

1. Report title: Report on Ownership of the Reporting Bank and on Indebtedness of its Executive Officers and Principal Shareholders to the Reporting Bank and to its Correspondent
Agency form number: FFIEC 003
Frequency: Annual
Reporters: State member banks
SIC Code: 602
Small businesses are affected.
General description of report:
approximately 1,020 responses; approximately 16,320 hours needed to fill out the form on an annual basis; an average of 16 hours per response; respondent's obligation to reply is mandatory (12 U.S.C. 1972); a pledge of confidentiality is not promised; cost to the Federal Government is approximately $30,390; cost to the public is approximately $244,800; 1 form submitted for approval; the report is not being reviewed under Section 3504(h) of Pub. L. 96-511.

Each state member bank of the Federal Reserve System is required to file annually a form FFIEC 003 which discloses information on ownership of the bank and loan involving the bank's executive officer and principal shareholders. State member banks are required to make copies of the report available to the public upon request.

2. Report title: Report of Indebtedness of Executive Officers and Principal Shareholders and their related interests to Correspondent Banks
Agency form number: FFIEC 004
Frequency: Annual
Reporters: State member banks
SIC Code: 881
Small businesses are not affected.
General description of report:
approximately 20,140 responses; approximately 161,120 hours needed to fill out the form on an annual basis; an average of 8 hours per response; respondent's obligation to reply is mandatory (12 U.S.C. 1972); a pledge of confidentiality is not promised; cost to the Federal Government is approximately $150,000; cost to the public is $2,416,800; 1 form submitted for approval; the report is not being reviewed under Section 3504(h) of Pub. L. 96-511.

Executive officers and principal shareholders of member banks who are indebted to correspondent banks must file reports, form FFIEC 004, on such indebtedness to them or their related interests. State member banks are required to retain these reports for a period of three years.

Board of Governors of the Federal Reserve System, August 13, 1982.

Dolores S. Smith,

Assistant Secretary of the Board.

[FR Doc. 82-22763 Filed 8-18-82; 8:45 am]

BILLING CODE 6210-01-M

FEDERAL TRADE COMMISSION

Textile, Wool, and Fur Labeling; Trade Practices; Information Collection Requirements

AGENCY: Federal Trade Commission.

ACTION: Notice of applications to OMB under the Paperwork Reduction Act (44 U.S.C. 3501 *et seq.*) for clearance of information collection requests used to implement existing rules.

SUMMARY: The Commission is seeking OMB clearance for information collection requests made pursuant to: the Rules and Regulations under the Fur Products Labeling Act, 16 CFR 301.26 and 301.48; the Rules and Regulations under the Textile Fiber Products Identification Act, 16 CFR 303.20 and 303.38; and the Rules and Regulations under the Wool Products Labeling Act of 1939, 16 CFR 300.4 and 300.33.

The Rules and Regulations under the Fur Products Labeling Act allow a manufacturer to substitute a "registered number" for the required disclosure of the name of the manufacturer on fur product labels. The Commission is seeking clearance for the application form to obtain such numbers. Sellers are exempt from liability under the Fur Product Labeling Act if they receive a "continuing guarantee" that the fur product is not misbranded and not falsely advertised or invoiced. The form implementing this provision is also submitted for clearance.

The Rules and Regulations under the Textile Fiber Products Identification Act and the Wool Products Labeling Act also permit the filing of "registered numbers" and "continuing guarantees". OMB clearance is also sought for the forms implementing these provisions.

DATE: Comments on these clearance applications must be submitted on or before September 20, 1982.

ADDRESS: Send comments to Ms. Nell Minow, Office of Information and Regulatory Affairs, Office of Management and Budget, New Executive Office Building, Room 3228, Washington, D.C. 20503. Copies of the applications may be obtained from Public Reference Branch, Room 130, Federal Trade Commission, Washington, D.C. 20580.

FOR FURTHER INFORMATION CONTACT: Carl D. Hevener, OMB Liaison Office, Federal Trade Commission, Washington, D.C. 20580, (202) 523–3373.

John H. Carley,

General Counsel.

[FR Doc. 82–22605 Filed 8–18–82; 8:45 am]

BILLING CODE 6750–01–M

DEPARTMENT OF HOUSING AND URBAN DEVELOPMENT

Office of the Assistant Secretary for Community Planning and Development

[Docket No. D–82–680]

Redelegation of Authority

AGENCY: Assistant Secretary for Community Planning and Development, HUD.

ACTION: Redelegation of authority.

SUMMARY: In order to provide more effective monitoring of Urban Development Action Grant Program activities, it has been determined that the authority to apply corrective and remedial actions under 24 CFR 570.910, except for any action to adjust, reduce or withdraw a grant, be redelegated to each Regional Administrator.

EFFECTIVE DATE: August 11, 1982.

FOR FURTHER INFORMATION CONTACT: David M. Cohen, Director, Office of Field Operations and Monitoring, Room 7212, Department of Housing and Urban Development, 451 7th Street, SW., Washington, D.C. 20410, 202–755–5566. (This is not a toll-free-number.)

SUPPLEMENTARY INFORMATION: The previous redelgation of authority, 40 FR 5386 (February 5, 1975) was amended in 44 FR 76597 (December 27, 1979) to limit the application of any corrective and remedial actions involving UDAG projects to the Assistant Secretary for Community Planning and Development. This action supersedes the previous redelegation of authority only by allowing Regional Administrators to take certain corrective and remedial actions regarding UDAG grants.

Intervening legislative changes have made the previous delegation of authority dated February 5, 1975 unclear. The Department is preparing a revision of the complete redelgation. In the meantime, in order to meet administrative needs, the Assistant Secretary for Community Planning and Development delegates as follows:

Authority is delegated to each Regional Administrator to take all corrective and remedial actions under 24 CFR 570.910 with respect to an Urban Development Action Grant except to adjust, reduce or withdraw a grant. The Regional Administrators may redelegate this authority to Area Managers at their discretion.

(Section 7(d) of the Department of Housing and Urban Development Act, 42 U.S.C. 3535(d))

Dated: August 11, 1982.

Jack R. Stokvis,

General Deputy Assistant Secretary for Community Planning and Development.

[FR Doc. 82–22635 Filed 8–18–82; 8:45 am]

BILLING CODE 4210–29–M

Office of Environmental Quality

[Docket No. NI–101]

Intended Environmental Impact Statement, Terra Vista Planned Community, City of Rancho Cucamonga, California

The Department of Housing and Urban Development gives notice that an Environmental Impact Statement (EIS) is intended to be prepared for the following project under HUD programs as described in the appendix to this Notice: City of Rancho Cucamonga, California. This Notice is required by the Council on Environmental Quality under its rules (40 CFR Part 1500).

Interested individuals, governmental agencies, and private organizations are invited to submit information and comments concerning the project to the specific person or address indicated in the appropriate part of the appendix.

Particularly solicited is information on reports or other environmental studies planned or completed in the project area, issues and data which the EIS should consider, recommended mitigating measures and alternatives, and major issues associated with the proposed project. Federal agencies having jurisdiction by law, special expertise or other special interests should report their interests and indicate their readiness to aid the EIS effort as a "cooperating agency."

Each Notice shall be effective for one year. If one year after the publication of a notice in the **Federal Register** (on or before August 19, 1983) a Draft EIS has not been filed on a project, then the Notice for that project shall be cancelled. If a Draft EIS is expected more than one year after the publication of the Notice in the **Federal Register**, then a new and updated Notice of Intent will be published.

Issued at Washington, D.C. August 13, 1982.

Francis G. Haas,

Deputy Director, Office of Environmental Quality.

Appendix

EIS on Terra Vista Planned Community, City of Rancho Cucamonga, California

The U.S. Department of Housing and Urban Development (HUD) Los Angeles Area Office gives notice that an Environmental Impact Statement (EIS) is intended to be prepared for a planned residential community in the City of Rancho Cucamonga, California and solicits information and comments for consideration in the EIS.

Description: The proposed land development project is identified as Terra Vista and is seeking loan assistance from the Department under its Title X program.

Terra Vista planned residential community is proposed for approximately 8,000 dwelling units on an area of approximately 1,300 acres. The project will include supporting commercial use, community uses, and open space. The location is in the west half of the County of San Bernardino at the foot of the San Gabriel Mountains. The project is between Foothill Boulevard on the south, Haven Avenue on the west, the Southern Pacific Railroad Tracks and Baseline Road on the north and Rochester Avenue on the east.

Need: An EIS is proposed due to HUD threshold requirement in accordance with housing program environmental regulations and probable impact on: Topography, water quality, air quality, noise, vegetation, public facilities and traffic volumes.

Alternatives: At this time, the HUD alternatives are: accept the proposed development as submitted, accept the proposed development with modifications, or reject the proposed development.

Scoping Meeting: A "scoping" meeting to review potential significant environmental impacts is proposed. The date, time and location of the scoping meeting will be announced at a later time by publishing a notice in the local newspaper of general circulation and by a direct mailing to a list of Federal, State and local agencies and groups.

Comments: Comments and questions regarding this proposal should be sent within 21 days of the date of this announcement to: John J. Tuite, Area Manager, HUD Los Angeles Area Office, 2500 Wilshire Boulevard, Los Angeles, California 90057. Attention: Ceferino Ahuero, Environmental Clearance Officer. The Area Office phone number is (213) 688-5899 or (213) 688-3836.

[FR Doc. 82-22637 Filed 8-18-82; 8:45 am]

BILLING CODE 4210-29-M

Office of the Secretary

[Docket No. N-82-1150]

Privacy Act of 1974; System of Records

AGENCY: Office of the Secretary, HUD.

ACTION: Notification of system of records.

SUMMARY: The Department is giving notice of a system of records it maintains which is subject to the Privacy Act of 1974.

EFFECTIVE DATE: This notice shall become effective September 18, 1982 unless comments are received on or before that date which would result in a contrary determination.

ADDRESS: Rules Docket Clerk, Room 10278, Department of Housing and Urban Development, 451 Seventh Street, S.W., Washington, D.C. 20410.

FOR FURTHER INFORMATION CONTACT: Robert English, Departmental Privacy Act Officer, Telephone 202-755-5320. This is not a toll free number.

SUPPLEMENTARY INFORMATION: The system is Housing Compliance Files. It contains information about individuals who have been suspended, or debarred, or who are ineligible to participate in HUD programs for a specific cause as set forth in 24 CFR 24.6, 24.13, and 24.22. It also includes information about participants whose records of participation in HUD programs are being reviewed for possible administrative actions to exclude them from further participation. The system is used to provide information required by the compliance function to accurately and effectively initiate administrative sanctions; and to prohibit, exclude, prevent or disapprove further participation by contractors and others whom HUD finds to be irresponsible or unacceptable risks from an underwriting standpoint or unacceptable for further business dealings with the Department. The use of administrative sanctions is necessary to protect the Government and the public interest against loss and from fraud, waste, and mismanagement. The prefatory statement containing general routine uses applicable to most of the Department's systems of records was published at 46 FR 54878 (November 4, 1981). Appendix A, which lists the addresses of HUD's Field Offices, was published at 46 FR 54914 (November 4, 1981). A new system report was filed with the Speaker of the House, the President of the Senate, and the Director of the Office of Management and Budget on July 8, 1982.

HUD/H-12

SYSTEM NAME:

Housing Compliance Files.

SYSTEM LOCATION:

Headquarters and Field Offices. For a listing of Field Offices with addresses, see Appendix A.

CATEGORIES OF INDIVIDUALS COVERED BY THE SYSTEM:

Individuals [those who are direct or indirect recipients of HUD funds; participants, or contractors with participants, in HUD-FHA assisted or sponsored programs including mortgage insurance programs; or former HUD employees as set forth in 24 CFR 24.3 and 24.4(f)] who have been suspended, or debarred, or who are ineligible to participate in HUD programs or those whose records of participation in HUD programs are being reviewed for possible administrative actions to exclude them from further participation.

CATEGORIES OF RECORDS IN THE SYSTEM:

The files consist of correspondence and documents pertaining to the subject individuals. The documents may include indictments, information, judgments, audits, inspector general investigation reports, credit reports and financial reports, FBI reports, copies of HUD/FHA forms, and related documentation and information. The individual's name, family composition, marital status, arrest record, address, telephone number (if provided), and employment information are also included in the file together with documentary evidence and/or narrative details relative to improper or illegal acts or omissions of participants in HUD programs.

AUTHORITY FOR MAINTENANCE OF THE SYSTEM:

Department of HUD Act, 79 Stat. 670; [42 U.S.C. 3535(d)].

ROUTINE USES OF RECORDS MAINTAINED IN THE SYSTEM, INCLUDING CATEGORIES OF USERS AND PURPOSES OF SUCH USES:

See routine uses paragraph in prefatory statement. Other routine uses: Attorneys who are in private practice who represent clients who have files in the system—to permit the attorneys to properly represent their clients; to licensing and regulatory agencies as well as to other Federal and State government agencies—to provide information concerning individuals who have been administratively sanctioned by HUD.

POLICIES AND PRACTICES FOR STORING, RETRIEVING, ACCESSING, RETAINING, AND DISPOSING OF RECORDS IN THE SYSTEM:

STORAGE:

In file folders.

RETRIEVABILITY:

Name of individual.

SAFEGUARDS:

Desks, file cabinets kept in a secured area. Access restricted to authorized individuals.

RETENTION AND DISPOSAL:

Obsolete records are destroyed or sent to storage facility in accordance with HUD Handbook 2225.6, Records Disposition Management: HUD Records Schedules.

SYSTEM MANAGER AND ADDRESS:

Director, Participation and Compliance Division, Office of Management, HAC, Department of Housing and Urban Development, 451 Seventh Street, SW., Washington, D.C. 20410.

NOTIFICATION PROCEDURE:

For information, assistance, or inquiry abut the existence of records, contact the Privacy Act Officer at the appropriate location, in accordance with 24 CFR Part 16. A list of all locations is given in Appendix A.

RECORD ACCESS PROCEDURES:

The Department's rules for providing access to records to the individual concerned appear in 24 CFR Part 16. If additional information or assistance is required, contact the Privacy Act Officer at the appropriate location. A list of all locations is given in Appendix A.

CONTESTING RECORD PROCEDURES:

The Department's rules for contesting the contents of records and appealing initial denials, by the individual concerned, appear in 24 CFR Part 16. If additional information or assistance is needed in relation to contesting the contents of records, it may be obtained by contacting the Privacy Act Officer at the appropriate location. A list of all locations is given in Appendix A. If additional information or assistance is needed in relation to appeals of initial denials, it may be obtained by contacting the HUD Departmental Privacy Appeals Officer, Office of General Counsel, Department of Housing and Urban Development, 451 Seventh Street SW., Washington, D.C. 20410.

RECORD SOURCE CATEGORIES:

HUD employees, Federal government agencies, non-Federal government agencies, Federal and State courts, financial institutions (mortgagees), Federal, State, and local law enforcement, regulatory or licensing agencies.

(5 U.S.C. 552a, 88 Stat. 1896; Sec. 7(d), Department of HUD Act [42 U.S.C. 3535(d)])

Issued at Washington, D.C., August 12, 1982.

Judith L. Tardy,

Assistant Secretary for Administration.

[FR Doc. 82-22634 Filed 8-18-82; 8:45 am]

BILLING CODE 4210-01-M

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

[F-14904-A, F-14904-A2]

Alaska Native Claims Selection

The purpose of this decision is to modify the Decision to Issue Conveyance of lands to Newtok Corporation, Inc. dated June 30, 1982, as published in the **Federal Register**, Vol. 47, No. 127, on pages 28824 thru 28826, July 1, 1982.

In the Decision to Issue Conveyance the lands described within Clarence Rhode National Wildlife Range, in the Newtok area, were originally withdrawn under Public Land Order (PLO) 2213, not PLO 4584 as stated in the decision. All references to PLO 4584 in the decision should be corrected to show PLO 2213. Also, the lands located on Nelson Island within T. 10 N., R. 87 W., Seward Meridian, were incorrectly described in the decision as lands within the wildlife refuge.

The following will modify and correct pages 28825 and 28826 of the June 30, 1982 decision.

Page 28825

T. 10 N., R. 87 W., lands within the refuge.

The description and acreage for lands including Nelson Island now reads:

Secs. 27 to 36 inclusive.

Containing aproximately 20,601 acres.

This description and acreage are hereby modified and corrected to read:

Secs. 27 to 33, inclusive;
Secs. 34 35, and 36, those portions within PLO 2213.

Containing approximately 20,326 acres.

Page 28825

Aggregated acreage of lands within the refuge now reads:

Aggregating approximately 63,264 acres.

This is hereby modified and corrected to read:

Aggregating approximately 62,989 acres.

Page 28825

For lands outside the refuge the following should be added:

T. 10 N., R. 87 W.
Secs. 34, 35, and 36, those portions outside PLO 2213.
Containing approximately 275 acres.

Aggregated acreage outside the refuge now reads:

Aggregating approximately 19,482 acres.

This is hereby modified and corrected to read:

Aggregating approximately 19,757 acres.

The decision also omitted a third-party interest identified by the U.S. Fish and Wildlife Service.

Page 28825

Item 5 under "The grant of the above-described lands shall be subject to:" is hereby added as follows:

"5. The following third-party interest, if valid, created and identified by the U.S. Fish and Wildlife Service, as provided by Sec. 14(g) of the Alaska Native Claims Settlement Act of December 18, 1971 (43 U.S.C. 1601, 1613(g)):

Permit No. M-19-YD (formerly M-2, airport right-of-way, under the provisions of 50 C.F.R. 29.21 published December 19, 1969) issued to the State of Alaska, Department of Public Works, Division of Aviation for a twenty-five (25) year, free use permit at Newtok."

Page 28826—Second Column

The sentence which reads:

"The total amount of wildlife refuge system lands withdrawn prior to December 18, 1971, which have been approved for conveyance to Newtok Corporation, Inc., is approximately 63,264 acres, which is less than the 69,120 acres, permitted by Sec. 12(a)(1) of ANCSA."

Is hereby modified and corrected to read as follows:

"The total amount of wildlife refuge system lands withdrawn prior to December 18, 1971, which have been approved for conveyance to Newtok Corporation, Inc., is approximately 62,989 acres, which is less than the 69,120 acres permitted by Sec. 12(a)(1) of ANCSA."

These corrections do not affect the total conveyance acreage of 82,746 acres to Newtok Corporation, Inc.

Except as amended by this decision, the Decision of June 30, 1982, stands as written.

In accordance with Departmental regulation 43 CFR 2650.7(d), notice of this decision is being published once in the **Federal Register** and once a week, for four (4) consecutive weeks, in The Tundra Drums.

Any party claiming a property interest in lands affected by this decision, an agency of the Federal government, or regional corporation may appeal the decision to the Interior Board of Land Appeals, Office of Hearings and Appeals, in accordance with the attached regulations in Title 43 Code of Federal Regulations (CFR), Part 4, Subpart E as revised. However, pursuant to Public Law 96-487, this decision constitutes the final administrative determination of the Bureau of Land Management concerning navigability of water bodies.

If an appeal is taken the notice of appeal must be filed in the Bureau of Land Management, Alaska State Office, Division of ANCSA and State Conveyances (960), 701 C Street, Box 13, Anchorage, Alaska 99513. Do not send the appeal directly to the Interior Board of Land Appeals. The appeal and copies of pertinent case files will be sent to the Board from this office. A copy of the appeal must be served upon the Regional Solicitor, 510 L Street, Suite 100, Anchorage, Alaska 99501.

The time limits for filing an appeal are:

1. Parties receiving service of this decision shall have 30 days from receipt of this decision to file an appeal.

2. Unknown parties, parties unable to be located after reasonable efforts have been expended to locate, and parties who failed or refused to sign the return receipt shall have until September 20, 1982, to file an appeal.

Any party known or unknown who is adversely affected by this decision shall be deemed to have waived those rights which were adversely affected unless an appeal is timely filed with the Bureau of Land Management, Alaska State Office, Division of ANCSA and State Conveyances.

To avoid summary dismissal of the appeal, there must be strict compliance with the regulations governing such appeals. Further information on the manner of and requirements for filing an appeal may be obtained from the Bureau of Land Management, 701 C Street, Box 13, Anchorage, Alaska 99513.

If an appeal is taken, the parties to be served with a copy of the notice of appeal are:

Newtok Corporation, Inc., Newtok, Alaska 99559

Calista Corporation, 516 Denali Street, Anchorage, Alaska 99501

Ann Johnson,

Chief, Branch of ANCSA Adjudication.

[FR Doc. 82-22596 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-84-M

Minerals Management Service

Gulf of Mexico Outer Continental Shelf; Availability of Draft Regional Environmental Impact Statement and Location and Dates of Public Hearings Regarding Proposed Oil and Gas Lease Sale Nos. 72, 74, and 79

Pursuant to section 102(2)(C) of the National Environmental Policy Act of 1969, the Minerals Management Service has prepared a draft regional environmental impact statement relating to proposed oil and gas lease Sale Nos. 72, 74, and 79. The proposal involves the offering of all unleased blocks on the Outer Continental Shelf in the Gulf of Mexico.

Single copies of the draft environmental impact statement can be obtained from the Mineral Manager, Gulf of Mexico OCS Region, Minerals Management Service, P.O. Box 7944, 3301 N. Causeway Boulevard, Metairie, Louisiana 70010.

Copies of the draft environmental impact statement will also be available for review in the following public libraries: Austin Public Library, 401 West Ninth Street, Austin, TX; Houston Public Library, 500 McKinney Street, Houston, TX; Rosenberg Library, 2310 Sealy Street, Galveston, TX; Dallas Public Library, 1954 Commerce Street, Dallas, Tx; Brazoria County Library, 410 Brazosport Boulevard, Freeport, TX; LaRatama Library, 505 Mesquite Street, Corpus Christi, TX; Texas Southmost College Library, 80 Fort Brown Street, Brownsville, TX; New Oreleans Public Library, 219 Loyola Avenue, New Orleans, LA; Louisiana State Library, Baton Rouge, LA; Lafayette Public Library, 301 West Congress Street, Lafayette, LA; Calcasieu Parish Library, Downtown Branch, Lake Charles, LA; Harrison County Library, 21st Avenue and Beach Street, Gulfport, MS; Mobile Public Library, 701 Government Street, Mobile, AL; Montgomery Public Library, 445 South Lawrence Street, Montgomery, AL; St. Petersburg Public Library, 3745 Ninth Avenue North, St. Petersburg, FL; West Florida Regional Library, 200 West Gregory Street, Pensacola, FL; Northwest Regional Library System, 25 West Government Street, Panama City, FL; Leon County Public Library, 127 North Monroe Street, Tallahassee, FL; Lee County Library, 3355 Fowler Street, Fort Myers, FL; Charlotte-Glades Regional Library System, 801 NW Aaron Street, Port Charlotte, FL; and Tampa-Hillborough County Public Library System, 800 North Ashley Street, Tampa, FL.

In accordance with 43 CFR 3314.1, public hearings on the draft environmental impact statement are scheduled in Houston, Texas, on October 6, 1982, at the Holiday Inn-Intercontinental Airport, 3702 North Belt East in the Stafford-Hunnington Rooms from 9:00 a.m. to 2:00 p.m.; Mobile, Alabama on October 6, 1982, at the Sheraton-Mobile, 301 Government Street in Ballroom B from 9:00 a.m. to 2:00 p.m.; Tampa, Florida on October 7, 1982, at the Holiday Inn-Central, 111 W. Fortune Street in th River Park A Room from 10:00 a.m. to 4:00 p.m.; and New Orleans on October 8, 1982, at the Minerals Management Service Conference Room, 3301 North Causeway Boulevard, Metairie, Louisiana from 10:00 a.m. to 4:00 a.m. or earlier if all scheduled witnesses have testified.

The hearings will provide the Secretary of the Interior with additional information from both public and private sectors to help evaluate fully the potential effects of leasing oil and gas tracts in the Gulf of Mexico. In addition, the proceedings will give the Secretary the opportunity to receive further comments and views of concerned Federal, State, and local agencies.

Interested individuals, representatives of organizations, and public officials who wish to testify at the hearings are requested to contact the Minerals Manager, Gulf of Mexico OCS Region, Minerals Management Service, at the above address by 4:15 p.m., September 24, 1982. Written comments from those unable to attend a hearing also should be addressed to the Minerals Manager, Gulf of Mexico OCS Region, Minerals Management Service at the above address. The Minerals Management Service will accept written testimony and comments on the draft environmental impact statement until October 12, 1982. Time limitations make it necessary to limit the length of oral presentations to ten (10) minutes. An oral statement may be supplemented, however, by a more complete written statement which may be submitted to the hearing officer at the time of presentation of the oral statement. Written statements presented in person at the hearing will be considered as part of the hearing record. To the extent that time is available after presentation of oral statements by those who have given advance notice, others will be given an opportunity to be heard.

After testimony and comments have been received and analyzed, a final environmental impact statement will be prepared.

Harold Doley,

Director, Minerals Management Service.

Approved: August 12, 1982.

Lillian K. Stone,

Acting Director, Environmental Project Review.

[FR Doc. 82-22508 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-84-M

FEDERAL TRADE COMMISSION

Early Termination of the Waiting Period of the Premerger Notification Rules; Correction; F. Hoffman-LaRoche & Co., Ltd.

AGENCY: Federal Trade Commission.

ACTION: Correction.

SUMMARY: In FR Doc. 82-19280, appearing in the Federal Register issue for Friday, July 16, 1982, 47 FR 31074, third column, last two lines, change "all voting securities" to "certain voting securities".

DATE: The correction is effective August 19, 1982.

FOR FURTHER INFORMATION CONTACT:

FTC/CDM, Patricia A. Foster, Washington, D.C. 20580. (202) 523-3894.

James O. Tobin,

Acting Secretary.

[FR Doc. 82-22597 Filed 8-18-82; 8:45 am]

BILLING CODE 6750-01-M

Early Termination of the Waiting Period of the Premerger Notification Rules; Rite Aid Corp.

AGENCY: Federal Trade Commission.

ACTION: Granting of request for early termination of the waiting period of the premerger notification rules.

SUMMARY: Rite Aid Corporation is granted early termination of the waiting period provided by law and the premerger notification rules with respect to the proposed acquisition of all voting securities of Circus World Toy Stores, Inc. The grant was made by the Federal Trade Commission and the Assistant Attorney General in charge of the Antitrust Division of the Department of Justice in response to a request for early termination submitted by Circus World Toy Stores, Inc. Neither agency intends to take any action with respect to this acquisition during the waiting period.

EFFECTIVE DATE: August 6, 1982.

FOR FURTHER INFORMATION CONTACT: Patricia A. Foster, Compliance Specialist, Premerger Notification Office, Bureau of Competition, Room 311, Federal Trade Commission, Washington, D.C. 20580 (202) 523–3894.

SUPPLEMENTARY INFORMATION: Section 7A of the Clayton Act, 15 U.S.C. 18a, as added by Title II of the Hart-Scott-Rodino Antitrust Improvements Act of 1976, requires persons contemplating certain mergers or acquisitions to give the Commission and Assistant Attorney General advance notice and to wait designated periods before consummation on such plans. Section 7A(b)(2) of the Act permits the agencies, in individual cases, to terminate this waiting period prior to its expiration and requires that notice of this action be published in the **Federal Register.**

By direction of the Commission.

Carol M. Thomas,

Secretary.

[FR Doc. 82–22599 Filed 8–18–82; 8:45 am]

BILLING CODE 6750–01–M

DEPARTMENT OF THE INTERIOR

National Park Service

National Park Service Regional Advisory Committees; Establishment

This notice is published in accordance with section 9(a)(2) of the Federal Advisory Committee Act (Pub. L. 92–463). Following consultation with the General Services Administration, notice is hereby given that the Secretary of the Interior is establishing nine advisory committees for the geographic regions of the National Park Service. The regions are: Mid-Atlantic, North Atlantic, Southeast, Southwest, Midwest, Rocky Mountain, Western, Pacific Northwest and Alaska. The purpose of the committees shall be to advise the respective regional director on programs, policies, and such other matters as may be referred to it by the regional director. The committees also function to provide closer communication with the public on such matters.

Further information regarding the committees may be obtained from the Director, National Park Service, U.S. Department of the Interior, 18th and C Streets, NW., Washington, D.C. 20240.

The certification of establishment is published below.

Certification

I hereby certify that the establishment of the nine National Park Service Regional Advisory Committees is in the public interest in connection with the performance of duties imposed on the Department of the Interior by 16 U.S.C., et seq., and 16 U.S.C. 431, et seq.

Dated: August 11, 1982.

James G. Watt,

Secretary of the Interior.

[FR Doc. 82–22713 Filed 8–18–82; 8:45 am]

BILLING CODE 4310–70–M

Yukon-Charley Rivers National Preserve Gereral Management Plan and Environmental Assessment; Intent

AGENCY: National Park Service, Interior.

ACTION: Prepare a general management plan and environmental assessment for Yukon-Charley Rivers National Preserve, Alaska.

SUMMARY: The National Park Service intends to prepare a general management plan for the conservation and management of Yukon-Charley Rivers National Preserve. The plan will chart the strategies for solving the park and preserve's problems and meeting its management objectives over the next 5–10 years for resources management and protection, visitors use and interpretation, and general development at a level of detail that will facilitate implementation. An environmental assessment will be prepared in concert with the plan to evaluate major environmental issues and to determine if the environmental consequences on the human environment are significant enough to require the preparation of an environmental impact statement.

The planning effort will consider the alternatives of continuing existing conditions and trends; the minimum actions required to meet the purpose of the area under the Alaska National Interest Lands Conservation Act of 1980; and, those reasonable and practical strategies developed during public and other agency participation in the planning process.

The plan will contain a review of wilderness suitability for lands within the preserve. The plan will also contain a river conservation and management plan for the Charley River as required under section 3(b) of the Wild an Scenic Rivers Act. Subsistence, sport hunting, access, and similar activities will continue as specified in the Alaska National Interest Lands Conservation Act and the regulations of 36 CFR Part 13.

Preliminary scoping will take place during the summer and fall of 1982 to establish the major environmental issues to be addressed in the environmental assessment and to solicit ideas for the development of reasonable and practical strategies. Public meetings will be held in the summer and fall of 1983 following the official release of the general management plan and its environmental assessment. The time and place of these meetings will be announced in the **Federal Register** and in the local news media.

FOR FURTHER INFORMATION CONTACT: David A. Mihalic, Superintendent, Yukon-Charley Rivers National Preserve, P.O. Box 64, Eagle, Alaska 99738. In the lower 48 contact Kathleen Gavan, Team Captain, U.S. National Park Service, Denver Service Center (TSE), P.O. Box 25287, Denver, Colorado 80225, (303) 234–4523.

Dated: July 23, 1982.

James J. Berens,

Acting Regional Director, Alaska Region.

[FR Doc. 82–22712 Filed 8–18–82; 8:45 am]

BILLING CODE 4310–70–M

Mining Plan of Operations at Denali National Park and Preserve; Availability

Notice is hereby given that pursuant to the provisions of section 2 of the Act of September 28, 1976, 16 U.S.C 1901 et seq., and in accordance with the provisions of § 9.17 of 36 CFR Part 9A, Kantishna Mining Co. has filed a plan of operations in support of proposed mining operations on lands embracing a Mining Claim Group within the Denali National Park and Preserve. These plans are available for inspection during normal business hours at the Alaska Regional Office, National Park Service,

540 West 5th Avenue, Anchorage, Alaska.

John E. Cook,

Director, Alaska Regional Office.

[FR Doc. 82-22704 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-70-M

Mining Plan of Operations at Denali National Park and Preserve; Availability

Notice is hereby given that pursuant to the provisions of section 2 of the Act of September 28, 1976, 16 U.S.C 1901 et seq., and in accordance with the provisions of § 9.17 of 36 CFR Part 9A, Richard E. Lohr has filed plans of operations in support of proposed mining operations on lands embracing a Mining Claim Group within the Denali National Park and Preserve. These plans are available for inspection during normal business hours at the Alaska Regional Office, National Park Service, 540 West 5th Avenue, Anchorage, Alaska.

John E. Cook,

Director, Alaska Regional Office.

[FR Doc. 82-22706 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-70-M

Mining Plan of Operations at Gates of the Arctic National Park and Preserve; Availability

Notice is hereby given that pursuant to the provisions of section 2 of the Act of September 28, 1976, 16 U.S.C. 1901 et seq., and in accordance with the provisions of § 9.17 of 36 CFR Part 9A, Glen Bouton has filed a plan of operations in support of proposed mining operations on lands embracing a Mining Claim Group within the Gates of the Arctic National Park and Preserve. These plans are available for inspection during normal business hours at the Alaska Regional Office, National Park Service, 540 West 5th Avenue, Anchorage, Alaska.

John E. Cook,

Director, Alaska Regional Office.

[FR Doc. 82-22702 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-70-M

Mining Plan of Operations at Gates of the Arctic National Park and Preserve; Availability

Notice is hereby given that pursuant to the provisions of section 2 of the Act of September 28, 1976, 16 U.S.C. 1901 et seq., and in accordance with the provisions of § 9.17 of 36 CFR Part 9A, Maple Leaf Gold, Inc. has filed plans of operations in support of proposed mining operations on lands embracing four Mining Claim Groups within the Gates of the Arctic National Park and Preserve. These plans are available for inspection during normal business hours at the Alaska Regional Office, National Park Service, 540 West 5th Avenue, Anchorage, Alaska.

John E. Cook,

Director, Alaska Regional Office.

[FR Doc. 82-22711 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-70-M

Mining Plan of Operations at Glacier Bay National Park and Preserve; Availability

Notice is hereby given that pursuant to the provisions of section 2 of the Act of September 28, 1976, 16 U.S.C. 1901 et seq., and in accordance with the provisions of § 9.17 of 36 CFR Part 9A, Mt. Parker Properties has filed a plan of operations in support of proposed mining operations on lands embracing a Mining Claim Group within the Glacier Bay National Park and Preserve. These plans are available for inspection during normal business hours at the Alaska Regional Office, National Park Service, 540 West 5th Avenue, Anchorage, Alaska.

John E. Cook,

Director, Alaska Regional Office.

[FR Doc. 82-22703 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-70-M

Mining Plan of Operations at Wrangell-St. Elias National Park and Preserve; Availability

Notice is hereby given that pursuant to the provisions of section 2 of the Act of September 28, 1976, 16 U.S.C. 1901 et seq., and in accordance with the provisions of § 9.17 of 36 CFR Part 9A, Donald Dippel has filed plans of operations in support of proposed mining operations on lands embracing a Mining Claim Group within the Wrangell-St. Elias National Park and Preserve. These plans are available for inspection during normal business hours at the Alaska Regional Office, National Park Service, 540 West 5th Avenue, Anchorage, Alaska.

John E. Cook,

Director, Alaska Regional Office.

[FR Doc. 82-22708 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-70-M

Mining Plan of Operations at Wrangell-St. Elias National Park and Preserve; Availability

Notice is hereby given that pursuant to the provisions of section 2 of the Act of September 28, 1976, 16 U.S.C. 1901 et seq., and in accordance with the provisions of § 9.17 of 36 CFR Part 9A, Ptarmigan Company has filed plans of operations in support of proposed mining operations on lands embracing a Mining Claim Group within the Wrangell-St. Elias National Park and Preserve. These plans are available for inspection during normal business hours at the Alaska Regional Office, National Park Service, 540 West 5th Avenue, Anchorage Alaska.

John E. Cook,

Director, Alaska Regional Office.

[FR Doc. 82-22707 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-70-M

Mining Plan of Operations at Wrangell-St. Elias National Park and Preserve; Availability

Notice is hereby given that pursuant to the provisions of Section 2 of the Act of September 28, 1976, 16 U.S.C. 1901 et seq., and in accordance with the provisions of § 9.17 of 36 CFR Part 9A, Ivan Thorall has filed plans of operations in support of proposed mining operations on lands embracing Mining Claim Groups within the Wrangell-St. Elias National Park and Preserve. These plans are available for inspection during normal business hours at the Alaska Regional Office, National Park Service, 540 West 5th Avenue, Anchorage Alaska.

John E. Cook,

Director, Alaska Regional Office.

[FR Doc. 82-22709 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-70-M

Mining Plan of Operations at Wrangell-St. Elias National Park and Preserve; Availability

Notice is hereby given that pursuant to the provisions of section 2 of the Act of September 28, 1976, 16 U.S.C. 1901 et seq., and in accordance with the provisions of § 9.17 of 36 CFR Part 9A, U.S. Borax has filed a plan of operations in support of proposed mining operations on lands embracing a Mining Claim Group within the Wrangell-St. Elias National Park and Preserve. These plans are available for inspection during normal business hours at the Alaska Regional Office, National Park Service, 540 West 5th Avenue, Anchorage, Alaska.

John E. Cook,

Director, Alaska Regional Office.

[FR Doc. 82-22710 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-70-M

Mining Plan of Operations at Yukon-Charley National Preserve; Availability

Notice is hereby given that pursuant to the provisions of section 2 of the Act of September 28, 1976, 16 U.S.C. 1901 et seq., and in accordance with the provisions of § 9.17 of 36 CFR Part 9A, Frank M. Hall has filed a plan of operations in support of proposed mining operations on lands embracing a Mining Claim Group within the Yukon-Charley National Preserve. These plans are available for inspection during normal business hours at the Alaska Regional Office, National Park Service, 540 West 5th Avenue, Anchorage, Alaska.

John E. Cook,

Director, Alaska Regional Office.

[FR Doc. 82-22705 Filed 8-18-82; 8:45 am]

BILLING CODE 4310-70-M

INTERSTATE COMMERCE COMMISSION

Motor Carriers; Finance Applications; Decision-Notice

The following applications, filed on or after July 3, 1980, seek approval to consolidate, purchase, merge, lease operating rights and properties, or acquire control of motor carriers pursuant to 49 U.S.C. 11343 or 11344. Also, applications directly related to these motor finance applications (such as conversions, gateway eliminations, and securities issuances) may be involved.

The applications are governed by Special Rule 240 of the Commission's Rules of Practice (49 CFR 1100.240). See Ex Parte 55 (Sub-No. 44), *Rules Governing Applications Filed By Motor Carriers Under 49 U.S.C. 11344 and 11349,* 363 I.C.C. 740 (1981). These rules provide among other things, that opposition to the granting of an application must be filed with the Commission in the form of verified statements within 45 days after the date of notice of filing of the application is published in the **Federal Register.** Failure reasonably to oppose will be construed as a waiver of opposition and participation in the proceeding. If the protest includes a request for oral hearing, the request shall meet the requirements of Rule 242 of the special rules and shall include the certification required.

Persons wishing to oppose an application must follow the rules under 49 CFR 1100.241. A copy of any application, together with applicant's supporting evidence, can be obtained from any applicant upon request and payment to applicant of $10.00, in accordance with 49 CFR 1100.241(d).

Amendments to the request for authority will not be accepted after the date of this publication. However, the Commission may modify the operating authority involved in the application to conform to the Commission's policy of simplifying grants of operating authority.

We find, with the exception of those applications involving impediments (e.g., jurisdictional problems, unresolved fitness questions, questions involving possible unlawful control, or improper divisions of operating rights) that each applicant has demonstrated, in accordance with the applicable provisions of 49 U.S.C. 11301, 11302, 11343, 11344, and 11349, and with the Commission's rules and regulations, that the proposed transaction should be authorized as stated below. Except where specifically noted this decision is neither a major Federal action significantly affecting the quality of the human environment nor does it appear to qualify as a major regulatory action under the Energy Policy and Conservation Act of 1975.

In the absense of legally sufficient protesta as to the finance application *or* to any application directly related thereto filed within 45 days of publication (or, if the application later becomes unopposed), appropriate authority will be issued to each applicant (unless the application involves impediments) upon compliance with certain requirements which will be set forth in a notification of effectiveness of this decision-notice. To the extent that the authority sought below may duplicate an applicant's existing authority, the duplication shall not be construed as conferring more than a single operating right.

Applicant(s) must comply with all conditions set forth in the grant or grants of authority within the time period specified in the notice of effectiveness of this decision-notice, or the application of a non-complying applicant shall stand denied.

Dated: August 13, 1982.

By the Commission, Review Board Number 3, Members Krock, Joyce and Dowell.

Agatha L. Mergenovich,

Secretary.

MC-F-14916, filed July 26, 1982. Authority sought by WESTOFF, INC., 120 Livestock Exchange Bldg., Sioux City, IA 51107, to purchase Certificate No. MC-5227 (Sub-No. 65F) from ECKLEY TRUCKING, INC., P.O. Box 156, Mead, NE 68041, and for control by William J. Westhoff (same address as first given above), of said operating rights through the transaction. Transferee's representative: D. Douglas Titus, 340 Insurance Exchange Bldg., Sioux City, IA 51101. Transferor's representative: A.J. Swanson, 210 Van Brunt Bldg., Sioux Falls, SD 57101. Operating rights transferred authorize transportation of (1) *malt beverages* from Milwaukee, WI and Peoria Hts., IL, to points in KS, MN, NE, IA, CO, MO, OK, and AR; (2) *equipment, materials, and supplies* used in the production and distribution of malt beverages from points in KS, MN, NE, IA, CO, MO, OK and AR to Milwaukee, WI and Peoria Hts., IL; and (3) *containers* from Northglenn, CO, to points in WI, IL, GA, and NJ, as a common carrier, irregular routes. Transferee is a common carrier holding authority to transport *meat and packinghouse* products from LeMars, IA, to points in U.S. under MC-157610. An underlying TA application seeks temporary authority to lease said operating authority.

MC-F-14920, filed July 29, 1982. STOOPS EXPRESS, INC. (Stoops) (P.O. Box 287, Anderson, IN 46015 (purchase) B & R DRAYAGE, INC. (B & R), and DON RAY BOYD AND JACKIE ROGERS, A PARTNERSHIP (P.O. Box 8534, Battlefield Station, Jackson, MS 39204). Representatives: Donald W. Smith, Suite 945, 9000 Keystone Crossing, Indianapolis, IN 46240, 317-846-6655 and Douglas C. Wynn, P.O. Box 1295, Greenville, MS 38701.

Stoops seeks authority to purchase all of the interstate operating rights and properties of B & R and equipment of the partnership used by B & R in its operations. Jeffery E. Stoops, who controls Stoops through stock ownership and management, seeks authority to acquire control of B & R's operating rights through this transaciton. The operating rights to be purchased are found in MC-135895 and subs thereto and authorize the transportation, over irregular routes, of (1) forest products; lumber and wood products; pulp, paper and related products; printed matter; chemicals and related products; rubber and plastic products; clay, concrete, glass, and stone products; containers; building materials, such commodities as are dealt in or used by department and variety stores between points in the United States, (2) furniture and fixtures, between points in Sumter County, SC De Soto, Hinds, Rankin, and Madison Counties, MS, Fayette and Shelby Counties, TN, Monroe and Prairie Counties, AR and Davis, Morgan, and Salt Lake Counties, UT, on the one hand, and, on the other, points in the United States; (3) general commodities (except classes A and B explosives), between points in the United States, restricted to

the transportation of traffic originating at or destined to the facilities of certain named shippers; and (4) foodstuffs, ores and minerals and materials and supplies used in connection therewith; petroleum, natural gas and their products, metal products and textile mill products, between various points in the United States.

Note.—Temporary authority has been filed.

MC–F–14923, filed July 30, 1982, SHUPE BROS CO., (Shupe) (P.O. Box 1447, Greeley, CO, 80652) (purchase (PORTION)) ECKLEY TRUCKING, INC., (Eckley) (P.O. Box 156, Mead, NE, 68041). Representatives: A. J. Swanson, P.O. Box 1103, Sioux Falls, SD 57101–1103, and Paul F. Sullivan, 711 Washington Building, Washington, DC, 20005–2075. Shupe seeks authority to purchase a portion of the interstate operating rights of Eckley. John L. Shupe, who controls Shupe through stock ownership, seeks to obtain control of said rights through this transaction. The authority to be purchased is Certificate No. MC-5227, (Sub-15), Parts 3 through 10, which authorize the transportation of: (a) *Bar mesh, fencing materials, presses,* and *agricultural machinery and implements* form a specified plant site at or near Columbus, NE, to points in the U.S.; (b) *Metal buildings, grain tanks, grain crop dryers, and hydraulic presses,* from the same plant site as in (a) above to points in variously specified States and *Equipment, materials, and supplies* used in the manufacture of such commodities in the reverse direction; (c) *iron and steel articles,* having a prior movement by water, from Omaha, NE, to the specified plant site at Columbus, NE; (d) *metal buildings, grain tanks, grain tank dryers and hydraulic presses,* from the same plant site at or near Columbus, NE, to points in variously specified States and *equipment, materials, and supplies used* in the manufacture thereof (except bulk commodities) in the reverse direction, subject to stated restrictions; (e) *Air handling units, make-up air systems, heating and ventilating units, gas unit heaters, and cooling and heating systems* from specified plant site at or near Hastings, NE, to points in the U.S. and *equipment, materials, and supplies* used in the manufacture thereof, with exception, in the reverse direction.

Note.—Shupe holds authority under MC–119710.

MC–F–14900, filed July 15, 1982. BURT TRANSPORT, INC., (BTI) (North Hwy 81, Geneva, NE 68361) (Purchase (Portion)) ECKLEY TRUCKING, INC. (ETI) (P.O. Box 156, Mead, NE 68041). Representatives: A. J. Swanson, P.O. Box 1103, Sioux Falls, SD 57101, and Bradford E. Kistler, P.O. Box 82028, Lincoln, NE 68501. BTI seeks authority to purchase a portion of the interstate operating rights of Eckley Trucking held in MC–5227 (Sub-No. 78). John K. Burt and Keith R. Burt seek to acquire the control of said rights through this transaction. The portion of the Sub-No. 78 Certificate to be purchased authorizes the transportation of *machinery,* between points in NE, on the one hand, and, on the other, points in the U.S. Transferee is a motor contract carrier holding authority under Docket No. MC–149382.

Note.—An application for temporary authority has been filed.

MC–F–14912, filed July 22, 1982. NJ TRANSIT BUS OPERATIONS, INC., (transit) (180 Boyden Ave., Maplewood, NJ 07040 (MERGER MAPLEWOOD EQUIPMENT COMPANY (Maplewood)) (419 Anderson Ave., Fairview, NJ 07022). Representative: Irwing S. Kimmelman, Attorney General of New Jersey, "by" Lawrence A. Goldman, Deputy Attorney General of New Jersey, P.O. Box 1009, Newark, NJ 07101. Transit seeks authority to merge the interstate operating rights and property of Maplewood into transit for ownership, management, and operation. New Jersey Transit Corp., an agency of the State of New Jersey, which controls transit through ownership of all of its outstanding stock, seeks authority to continue to control through this transaction. Joinder by New Jersey Transit Corp. will be required as a condition to the approval sought. Transit controls Maplewood pursuant to authorization granted in MC–F–11644. Maplewood is a motor common carrier operating pursuant to certificates issued in MC–138828 and sub-numbers thereunder, which authorize the transportation of passengers and their baggage, over regular routes, in NJ and NY. Certificate MC–138828 (Sub-No. 7) authorizes, in addition to the transportation of passengers and their baggage over regular routes, certain charter and special operations over irregular routes. Maplewood also holds permit MC–140113 (Sub-No. 2) authorizing operations as a contract carrier of passengers and license MC–12226 authorizing operations as a broker of passengers and their baggage, and express and newspapers, at New York, NY. Transit holds authority pursuant to certificates issued in MC–3647 and sub-numbers thereunder. It also holds broker license MC–12668. New Jersey Transit Corp., which controls transit, holds no interstate operating authority. Condition: Authorization and approval of this transaction is conditioned upon the prior receipt by the Commission of an affidavit from New Jersey Transit Corp., stating that it controls Transit and that it joins in this application.

MC–F–14915, filed July 26, 1982. FREDERICK TRANSPORT (U.S.) INC. (Frederick U S) (4000 49th Avenue, Moline, IL 61625) (PURCHASE (PORTION)) ALL CARGO TRANSPORTATION, INC. (All Cargo) (402 Maple Street, Nashville, TN 37210). Representatives: Jeremy Kahn, 1511 K St. NW., Suite 733, Washington, DC 20005, and Frank W. Taylor, Jr., 1221 Baltimore Ave., Suite 600, Kansas City, MO 64105. Frederick U.S. seeks authority to purchase the interstate operating rights of All Cargo contained in MC–155614 (Sub-No. 2) authorizing the transportation of *general commodities* (with the usual exceptions) between points in the U.S. in and east of Montana, Wyoming, Colorado and New Mexico. George Frederick, T. E. Broadwood and Robert Frederick who control Frederick U.S. through stock ownership and management seek to control the operating rights through the transactions. Frederick U.S. is a non-carrier, with certain applications for new operating authority pending before the Commission. It is affiliated, however, with Frederick Transport Limited, a motor carrier conducting interstate operations. A TA application has been filed.

[FR Doc. 82–22609 Filed 8–18–82; 8:45 am]

BILLING CODE 7035–01–M

Motor Carriers; Permanent Authority Decisions; Decision-Notice

The following applications, filed on or after February 9, 1981, are governed by Special Rule of the Commission's Rules of Practice, see 49 CFR 1100.251. Special Rule 251 was published in the **Federal Register** on December 31, 1980, at 45 FR 86771. For compliance procedures, refer to the **Federal Register** issue of December 3, 1980, at 45 FR 80109.

Persons wishing to oppose an application must follow the rules under 49 CFR 1100.252. Applications may be protested *only* on the grounds that applicant is not fit, willing, and able to provide the transportation service or to comply with the appropriate statutes and Commission regulations. A copy of any application, including all supporting evidence, can be obtaned from applicant's representative upon request and payment to applicant's representative of $10.00.

Amendments to the request for authority are not allowed. Some of the

applications may have been modified prior to publication to conform to the Commission's policy of simplifying grants of operating authority.

Findings

With the exception of those applications involving duly noted problems (e.g., unresolved common control, fitness, water carrier dual operations, or jurisdictional questions) we find, preliminarily, that each applicant has demonstrated a public need for the proposed operations and that it is fit, willing, and able to perform the service proposed, and to conform to the requirements of Title 49, Subtitle IV, United States Code, and the Commission's regulations. This presumption shall not be deemed to exist where the application is opposed. Except where noted, this decision is neither a major Federal action significantly affecting the quality of the human environment nor a major regulatory action under the Energy Policy and Conservation Act of 1975.

In the absence of legally sufficient opposition in the form of veritifed statements filed on or before 45 days from date of publication (or, if the application later become unopposed), appropriate authorizing documents will be issued to applicants with regulated operations (except those with duly noted problems) and will remain in full effect only as long as the applicant maintains appropriate compliance. The unopposed applications involving new entrants will be subject to the issuance of an effective notice setting forth the compliance requirements which must be satisfied before the authority will be issued. Once this compliance is met, the authority will be issued.

Within 60 days after publication an applicant may file a verified statement in rebuttal to any statement in opposition.

To the extent that any of the authority granted may duplicate an applicant's other authority, the duplication shall be construed as conferring only a single operating right.

Note.—All applications are for authority to operate as a motor common carrier in interstate or foreign commerce over irregular routes, unless noted otherwise. Applications for motor contract carrier authority are those where service is for a named shipper "under contract".

Please direct status inquiries to the Ombudsman's Office, (202) 275–7326.

Volume No. OP2–185

Decided: August 12, 1982.

By the Commission, Review Board No. 1, Members Parker, Chandler, and Fortier.

MC 163242, filed August 2, 1982. Applicant: PETER C. REITER, 10424 Parakeet Circle, Fountain Valley, CA 92708. Represntative: William J. Monheim, P.O. Box 1756, Whittier, CA 90609, 213–945–1745. As a *broker* of *general commodities* (except household goods), between points in the U.S.

MC 163253, filed August 4, 1982. Applicant: INTERMOUNTAIN DISPATCH, INC. P.O. Box 7581, Boise, ID 83707. Representative: Kevin M. Clark, 2417 Bank Dr., Ste. 8, Boise, ID 83705, 208–344–7714. As a *broker* of *general commodities* (except household goods), between points in the U.S. (except AK and HI).

Volume No. OP4–299

Decided: August 10, 1982.

By the Commission, Review Board No. 2, Members Carleton, Fisher, and Williams. (Member Fisher not participating.)

MC 163207, filed July 30, 1982. Applicant: LOGISTICS MOVERS LTD., 4826 Stamp Rd., Marlow Heights, MD 20031. Representative: Clarence Revels (same address as applicant) (301) 899–9430. Transporting (1) for or on behalf of the United States Government, *general commodities* (except used household goods, hazardous or secret materials, and sensitive weapons and munitions), and (2) *used household goods* for the account of the United States Government incident to the performance of a pack-and-crate service on behalf of the Department of Defense, between points in the U.S. (except AK and HI).

MC 163256, filed August 2, 1982. Applicant: SPIVEY BROKERS, INC., 3027 Lauren Glen Rd., Charlotte, NC 28211. Representative: Daniel C. Sullivan, 180 N. Michigan Ave., Suite 1700, Chicago, IL 60601 (312) 263–1600. As a *broker of general commodities* (except household goods), between points in the U.S. (except AK and HI).

Volume No. OP4–301

Decided: August 13, 1982.

By the Commission, Review Board No. 2, Members Carleton, Fisher, and Williams. (Member Fisher not participating.)

MC 163266, filed August 4, 1982. Applicant: JOSEPH I. WARNER, d.b.a. WARNER TRUCKING, 3645 Hills of Gold, Tucson, AZ 85745. Representative: Joseph I. Warner (same address as applicant) (602) 743–0415. Transporting *food and other edible products and byproducts intended for human consumption* (except alcoholic beverages and drugs), *agricultural limestone and fertilizers, and other soil conditioners* by the owner of the motor vehicle in such vehicle, between points in the U.S. (except AK and HI).

Volume No. OP5–169

Decided: August 11, 1982.

By the Commission, Review Board No. 3, Members Krock, Joyce, and Dowell.

MC 140159 (Sub-23), filed July 30, 1982. Applicant: C. L. FEATHER, INC., P.O. Box 1190, Altona, PA 16603. Representative: Sally A. Davoren, 1500 Bank Tower, 307 Fourth Ave., Pittsburgh, PA 15222 412–471–3300. As a *broker of general commodities* (except household goods), between points in the U.S. (except AK and HI).

MC 163058, filed July 21, 1982. Applicant: HOWARD R. JOHNSON, JR. & LINDSAY LITTLE d.b.a. LKJ ENTERPRISES, 5539 St. Michael St., Mounds View, MN 55112. Representative: Howard R. Johnson, Jr., 3137 James Ave. So., Minneapolis, MN 55408, 612–822–4058. Transporting *food and other edible products and byproducts intended for human consumption* except alcoholic beverages and drugs), *agricultural limestone and fertilizers, and other soil conditioners* by the owner of the motor vehicle in such vehicle, between points in the U.S. (except HI).

MC 163179, filed July 28, 1982. Applicant: K. A. BEATY TRUCKING, P.O. Box 45, Cut and Shoot, TX 77303. Representative: K. A. Beaty (same address as applicant) (713) 756–5028. Transporting *food and other edible products and byproducts intended for human consumption* (except alcoholic beverages and drugs), *agricultural limestone and fertilizers,* and *other soil conditioners* by the owner of the motor vehicle in such vehicle, between points in the U.S. (except AK and HI).

MC 163228, filed August 2, 1982. Applicant: JIM CLARK & SON, INC., 7 Terry Lane, Wharton, NJ 07885. Representative: George A. Olsen, P.O. Box 357, Gladstone, NJ 07934 (201) 234–0301. Transporting *shipments weighing 100 pounds or less* if transported in a motor vehicle in which no one package exceeds 100 pounds, between points in the U.S. (except AK and HI).

MC 163258, filed August 2, 1982. Applicant: VON DER AHE MOVING & STORAGE CO. OF BELLEVILLE, INC., 1060 Highway 15, Belleville, IL 62221. Representative: Vonna L. Rachell, 501 Eiler Road, Belleville, IL 62221 (618) 538–7834. Transporting *used household goods* for the account of the United States Government incident to the performance of a pack-and-crate service

on behalf of the Department of Defense, between points in the U.S. (except HI).

Agatha L. Mergenovich,

Secretary.

[FR Doc. 82-22610 Filed 8-18-82; 8:45 am]

BILLING CODE 7035-01-M

Motor Carriers; Permanent Authority Decisions; Decision-Notice

The following applications, filed on or after February 9, 1981, are governed by Special Rule of the Commission's Rules of Practice, see 49 CFR 1100.251. Special Rule 251 was published in the **Federal Register** of December 31, 1980, at 45 FR 86771. For compliance procedures, refer to the **Federal Register** issue of December 3, 1980, at 45 FR 80109.

Persons wishing to oppose an application must follow the rules under 49 CFR 1100.252. A copy of any application, including all supporting evidence, can be obtained from applicant's representative upon request and payment to applicant's representative of $10.00.

Amendments to the request for authority are not allowed. Some of the applications may have been modified prior to publication to conform to the Commission's policy of simplifying grants of operating authority.

Findings:

With the exception of those applications involving duly noted problems (e.g., unresolved common control, fitness, water carrier dual operations, or jurisdictional questions) we find, preliminarily, that each applicant has demonstrated a public need for the proposed operations and that it is fit, willing, and able to perform the service proposed, and to conform to the requirements of Title 49, Subtitle IV, United States Code, and the Commission's regulations. This presumption shall not be deemed to exist where the application is opposed. Except where noted, this decision is neither a major Federal action significantly affecting the quality of the human environment nor a major regulatory action under the Energy Policy and Conservation Act of 1975.

In the absence of legally sufficient opposition in the form of verified statements filed on or before 45 days from date of publication, (or, if the application later becomes unopposed) appropriate authorizing documents will be issued to applicants with regulated operations (except those with duly noted problems) and will remain in full effect only as long as the applicant maintains appropriate compliance. The unopposed applications involving new entrants will be subject to the issuance of an effective notice setting forth the compliance requirements which must be satisfied before the authority will be issued. Once this compliance is met, the authority will be issued.

Within 60 days after publication an applicant may file a verified statement in rebuttal to any statement in opposition.

To the extent that any of the authority granted may duplicate an applicant's other authority, the duplication shall be construed as conferring only a single operating right.

Note.—All applications are for authority to operate as a motor common carrier in interstate or foreign commerce over irregular routes, unless noted otherwise. Applications for motor contract carrier authority are those where service is for a named shipper "under contract".

Please direct status inquiries to the Ombudsman's Office, (202) 275-7326.

Volume No. OP2-186.

Decided: August 12, 1982.

By the Commission, Review Board No. 1, Members Parker, Chandler, and Fortier.

MC 93422 (Sub 4), filed August 2, 1982. Applicant: VALLIERES TRANSPORTATION, INC., P.O. Box 534, North Smithfield, RI 02876. Representative: Charles R. Reilly, 391 Davisville Rd., North Kingstown, RI 02852, 401-884-0969. Transporting *general commodities* (except classes A and B explosives, household goods, and commodities in bulk), between points in CT, ME, MA, MD, NH, NJ, NY, PA, and RI.

MC 123893 (Sub-4), filed August 9, 1982. Applicant: L. J. DENNY & SON TRUCKING COMPANY, P.O. Box 1035, Vidalia, LA 71373. Representative: John A. Crawford, 17th Floor Deposit Guaranty Plaza, P.O. Box 22567, Jackson, MS 39205, 601-948-5711. Transporting *Mercer commodities, earth drilling machinery and supplies, and those commodities which because of their size or weight require the use of special handling or equipment,* between points in the U.S. (except AK and HI).

MC 135762 (Sub-23), filed August 2, 1982. Applicant: JOHN H. NEAL, INC., P.O. Box 3877, 6004 Hwy 271 South, Fort Smith, AR 72913. Representative: Don A. Smith, P.O. Box 43, 510 North Greenwood, Fort Smith, AR 72902, 501-782-1001. Transporting *general commodities* (except classes A and B explosives, household goods, and commodities in bulk), between points in the U.S. (except AK and HI), under continuing contract(s) with (1) Southwinds Sofas & Sleepers, Inc., and (2) Samsonite Corporation, Fort Smith Table and Furniture Co. Division, both of Fort Smith, AR.

MC 146442 (Sub-6), filed August 3, 1982. Applicant: CLEARFIELD TRANSPORTATION COMPANY, INC., P.O. Box 313, Clinton, MO 64735. Representative: Mark J. Andrews, Suite 1100, 1660 L St. NW, Washington, DC 20036, 202-452-7438. Transporting *food* and *such commodities* as are dealt in by restaurants, between points in the U.S. (except AK and HI), under continuing contract(s) with Howard Johnson, Inc., of Braintree, MA.

MC 148522 (Sub-13), filed August 2, 1982. Applicant: PAUL E. ACE TRUCKING, INC., 930 Clay Ave., Stroudsburg, PA 18360. Representative: Joseph A. Keating, Jr., 121 South Main St., Taylor, PA 18517, 717-344-8030. Transporting *textile products and related products* (1) between points in NC, SC, DE, TN, GA, and VA, on the one hand, and, on the other, points in PA, NY, NJ, MD, DE, CT, MA, RI, VA, and OH, and (2) between points in Monroe County, PA on the one hand, and, on the other, New York City, NY.

MC 149222, filed August 2, 1982. Applicant: DAVID FESSLER, R.R. #1, Swaledale, IA 50477. Representative: Richard D. Howe, 600 Hubbell Bldg., Des Moines, IA 50309, 515-244-2329. Transporting *steel bins,* between points in Koscuisko County, IN, on the one hand, and, on the other, points in Hancock County, IA.

MC 155533 (Sub-1), filed August 2, 1982. Applicant: TRIANGLE TRUCKING, INC., 5732 W. Maryland, Glendale, AZ 85301. Representative: A. Michael Bernstein, 1441 E. Thomas Rd., Phoenix, AZ 85014, 602-264-4891. Transporting *general commodities* (except classes A and B explosives, household goods, and commodities in bulk), between points in WA, OR, CA, AZ, NV, ID, UT, CO, NM, TX, OK, and KS.

MC 161673, filed August 2, 1982. Applicant: RAILHEAD CARTAGE, INC., 10742 South Western Ave., Chicago, IL 60643. Representative: Anthony E. Young, 29 South LaSalle St., Suite 350, Chicago, IL 60603, 312-782-8880. Transporting *general commodities* (except classes A and B explosives, household goods, and commodities in bulk), between Chicago, IL, on the one hand, and, on the other, points in IN, IL, IA, MI, MN, MO, OH, and WI.

MC 163232, filed August 2, 1982. Applicant: VERMONT WILSON LIMITED, 156 Porter Place, Rutland, VT 05701. Representative: John P. Monte, P.O. Box 686, Barre, VT 05641, 802-476-6671. Transporting *such commodities* as

are dealt in or used by beverage business houses, between points in the U.S., under continuing contract(s) with Green Mountain Distributing Corporation, of Rutland, VT. Condition: The person or persons who appear to be engaged in common control of another regulated carrier must either file an application under 49 U.S.C. 11343(a) or submit an affidavit indicating why such approval is unnecessary to the Secretary's office. In order to expedite issuance of any authority, please submit a copy of the affidavit or proof of filing the application(s) for common control to Team 2, Room 2379.

MC 163262, filed August 3, 1982. Applicant: JOY GILLESPIE AND BAILEY GILLESPIE, d.b.a. JOY GILLESPIE WORLD TOURS, P.O. Box 365, Spindale, NC 28160. Representative: J. G. Dail, Jr., P.O. Box LL, McLean, VA 22101, 703–893–3050. As a *broker*, at Spindale, NC, in arranging for the transportation of *passengers and their baggage*, in the same vehicle with passengers, between points in the U.S. (except HI).

Volume No. OP3–127

Decided: August 12, 1982.

By the Commission, Review Board No. 2, Members Carleton, Fisher, and Williams. (Member Fisher not participating.)

MC 54885 (Sub-6), filed August 2, 1982. Applicant: LOUISVILLE, NEW ALBANY & CORYDON RAILROAD COMPANY, d.b.a. LOUISVILLE AND CORYDON TRANSFER, 210 Walnut Street, Corydon, IN 47112. Representative: Norman A. Cooper, 145 W. Wisconsin Ave., Neenah, WI 54956, (414) 722–2848. Transporting *general commodities* (except classes A and B explosives, household goods and commodities in bulk), between points in the U.S. (except HI).

MC 99214 (Sub-7), filed August 3, 1982. Applicant: PATTERSON TRUCK LINE, INC., 600 Roosevelt Rd., Houma, LA 70360. Representative: Dale E. Isley, Steele Park, Suite 330, 50 S. Steele St., Denver, CO 80209, (303) 320–6100. Transporting *Mercer commodities* (a) between points in KS, NE, SD, ND, MT, WY, CO, NM, UT, and AZ, and (b) between points in KS, NE, SD, ND, MT, WY, CO, NM, UT, and AZ, on the one hand, and, on the other, points in OK, TX, LA, AR, and MS.

MC 121814 (Sub-1), filed July 30, 1982. Applicant: TURNPIKE TRANSIT, INC., 2943 North Toledo, Tulsa, OK 74115. Representative: William P. Parker, P.O. Box 54657, Oklahoma City, OK 73154, (405) 424–3301. Over regular routes, transporting (1) *general commodities* (except classes A and B explosives, household goods and commodities in bulk) (a) between Tulsa, OK and Oklahoma City, OK, over U.S. Hwy 66, serving the intermediate points of Bristow, Depew, Stroud, Davenport and Chandler; (b) between Tulsa, OK and Oklahoma City, OK over Interstate Hwy 44, as an alternate route for operating convenience only, serving no intermediate points; and (2) over irregular routes, transporting *general commodities* (except classes A and B explosives, commodities in bulk and household goods), between Tulsa, OK, on the one hand, and, on the other, Shreveport LA, and points in Lamar County, TX.

Note.—Part (1) of this certificate cancels Certificate of Registration No. MC–121814, issued February 1, 1979, and converts applicant's Certificate of Registration to a Certificate of public Convenience and Necessity.

MC 140645 (Sub-23), filed June 21, 1982, previously published in the **Federal Register** issue of July 8, 1982. Applicant: UNITED TRUCKING, INC., P.O. Box 398, Tallapoosa, GA 30176. Representative: Clyde W. Carver, P.O. Box 72034, Atlanta, GA 30328, (404) 256–4320. Transporting *liquid commodities*, between points in Putnam County, OH, on the one hand, and, on the other, points in AL, FL, GA, MS, NC, SC, and TN.

Note.—This republication correctly reflects the commodity and territorial description.

MC 142864 (Sub-25), filed August 8, 1982. Applicant: RAY E. BROWN TRUCKING, INC., P.O. Box 501, Massillon, OH 44646. Representative: Boyd B. Ferris, 50 W. Broad St., Columbus, OH 43215, (614) 464–4103. Transporting *general commodities* (except classes A and B explosives, household goods and commodities in bulk), between points in LA, AR, MS, AL, FL, NC, GA, SC and those points in the U.S. in and west of ND, SD, NE, KS, OK and TX, on the one hand, and, on the other, points in the U.S. (except AK and HI).

MC 146314 (Sub-9), filed August 2, 1982. Applicant: G & T TRUCKING CO., 11111 Deuce Road, Elko, MN 55020. Representative: Thomas Zwiers (same address as applicant), (612) 461–2181. Transporting *fertilizer*, between points in Craighead County, AR, Fresno and Merced Counties, CA, Kent County, DE, Laurens and Macon Counties, GA, Canyon County, ID, Adams, Bureau, Fayette, Hannock, La Salle, Will and Winnebago Counties, IL, Adams, Wabash, and Wells Counties, IN, Allen County, KY, Curry and Roosevelt Counties, NM, Klamath, Lane and Polk Counties, OR, Lancaster County, PA, Greene, Sevier, and Shelby Counties, TN, Castro, Chambers, Hale, Moore, Terry, Wise and Young Counties, TX, and Grant, Stevens, Walla Walla, and Yakima Counties, WA, and those in CO, IA, KS, MN, MT, NE, ND, OH, OK, SD, and WI, on the one hand, and, on the other, points in the U.S.

MC 146554 (Sub-4), filed August, 2, 1982. Applicant: GEORGE BRINCKS, Templeton, IA 51463. Representative: Richard D. Howe, 600 Hubbell Building, Des Moines, IA 50309, (515) 244–2329. Transporting *iron and steel articles* (1) between Sterling and Chicago, IL, on the one hand, and, on the other, Denver, CO, Salt Lake City, UT, Casper, WY, and points in Mesa County, CO; and (2) between Salt Lake City, UT, on the one hand, and, on the other, Denver, CO.

MC 151094 (Sub-3), filed August 3, 1982. Applicant: I–GO VAN & STORAGE, INC., 3747 Gilmore Ave., Bakersfield, CA 93308. Representative: Earl N. Miles, 3704 Candlewood Dr., Bakersfield, CA 93306, (805) 872–1106. Transporting *such commodities* as are dealt in by processors of food and related products, between points in the U.S. (except AK and HI), under continuing contract(s) with Giumarra Vineyard Corporation of Bakersfield, CA.

MC 151945 (Sub-2), filed July 30, 1982. Applicant: EXPEDITED TRUCK SERVICE, DIVISION OF ROBERTS TRUCK RENTALS, INC., 106 S. Clinton St., Fort Wayne, IN 46802. Representative: Phillip A. Renz, Suite 200 Metro Bldg., Fort Wayne, IN 46802, (219) 423–3595. Transporting *general commodities* (except classes A and B explosives, household goods, and commodities in bulk), between points in IN, MI, IL, OH, WI, KY, and IA.

MC 152744 (Sub-10), filed July 30, 1982. Applicant: CITADEL TRANSPORT, INC., 180 N. Michigan Ave., Suite 400, Chicago, IL 60601. Representative: Thomas M. O'Brien, 180 N. Michigan Ave., Suite 1700, Chicago, IL 60603, (312) 263–1600. Transporting *such commodities* as are dealt in or used by breweries, between points in the U.S. (except AK and HI), under continuing contract(s) with The F. & M. Schaefer Brewing Co., of Allentown, PA.

MC 161635, filed July 30, 1982. Applicant: ORVAL E. AND LILLIAN T. SMITH, d.b.a. SPRINGFIELD-SEDALIA EXPRESS, 2335 E. Parkwood, Springfield, MO 65803. Representative: Orval E. Smith (same address as applicant), (417) 866–0724. Transporting *general commodities* (except classes A and B explosives, household goods and commodities in bulk), between

Boonville, Buffalo, Cole Camp, Columbia, Cross Timbers, Fristoe, Hermitage, Knob Knoster, LaMonte, Lincoln, Louisburg, Marshall, Preston, Sedalia, Smithton, Springfield, Tipton, Urbana, Warrensburg, Warsaw, and Windsor, MO.

MC 162724 (Sub-2), filed July 30, 1982. Applicant: MOUNTAIN OIL TRANSPORT, INC., P.O. Box 2216, Walla Walla, WA 99362. Representative: George R. LaBissoniere, 15 S. Grady Way, Suite 239, Renton, WA 98055, (206) 228–3807. Transporting *food and related products,* between points in WA, OR, ID, MT, NV, AZ, CO, NM, SD, ND, IA, WY, WI, MN, IL, NE, IN, TX, and OK, on the one hand, and, on the other, points in CA.

MC 163084, filed July 23, 1982. Applicant: FIN-A-KEY EXPRESS, INC., P.O. Box 80743, Seattle, WA 98108. Representative: Albert Harris Nash, 6719 42nd Ave., S., Seattle, WA 98118, (206) 725–3023. Transporting (1) *lumber and lumber products,* and (2) *paper and paper products,* between points in the U.S., under continuing contract(s) with Weyerhaeuser Company, of Tacoma, WA.

MC 163214, filed July 30, 1982. Applicant: ATLAS VAN LINES OF TEXAS, INC., P.O. Box 2999, Austin, TX 78769. Representative: Zoe Ann Pace, One World Trade Center, Suite 2373, New York, NY 10048, (212) 432–0940. Transporting *general commodities* (except classes A and B explosives, and commodities in bulk), between points in TX.

MC 163215, filed July 30, 1982. Applicant: TOWNE VAN LINES OF TEXAS, INC., P.O. Box 17005, San Antonio, TX 78217. Representative: Zoe Ann Pace, One World Trade Center, Suite 2373, New York, NY 10048, (212) 432–0940. Transporting *general commodities* (except classes A and B explosives, and commodities in bulk), between points in TX.

MC 163234, filed August 2, 1982. Applicant: BEN NAKANO AND EILEEN NAKANO, d.b.a. NISEI CHARTER SERVICE, 2428 W. Beverly, Montebello, CA 90640. Representative: Donald R. Hedrick, P.O. Box 4334, Santa Ana, CA 92702, (714) 667–8107. Transporting *passengers and their baggage,* in the same vehicle with passengers, in special and charter operations, beginning and ending at points in Los Angeles County, CA, and extending to points in NV and AZ.

MC 163244, filed August 3, 1982. Applicant: NEW IMAGE TRANSPORT, INC., 117 Anderson Dr., Monaca, PA 15061. Representative: John A. Vuono, 2310 Grant Bldg., Pittsburgh, PA 15219, (412) 471–1800. Transporting *general commodities* (except classes A and B explosives, household goods, and commodities in bulk), between points in the U.S. (except AK and HI), under continuing contracts with (1) H. H. Robertson Company, of Pittsburgh, PA, (2) PBI Industries, of Rochester, PA, and (3) Engineered Products, Inc., of Pittsburgh, PA, and its subsidiaries.

MC 163245, filed August 2, 1982. Applicant: CATTO'S ROYAL TRAVEL, 914 Landis Ave., Vineland, NJ 08360. Representative: Joseph F. Marghella (same address as applicant), (609) 691–1400. As a *broker,* at Vineland, NJ, in arranging for the transportation of *passengers and their baggage,* in round-trip, charter, and special operations, beginning and ending at points in Cumberland, Atlantic, Cape May, Gloucester, Camden, Burlington, and Ocean Counties, NJ and extending to points in the U.S.

MC 163255, filed August 3, 1982. Applicant: SULLIVAN TRANSPORTATION CO., 374 Main St., Battle Creek, MI 49017. Representative: Edward Malinzak, 900 Old Kent Bldg., Grand Rapids, MI 49503. Transporting *general commodities* (except classes A and B explosives, household goods, and commodities in bulk), between points in the U.S. (except AK and HI), under continuing contracts with (1) Fine Arts Furniture Company, of Grand Rapids, MI, (2) Charlotte Chair Company, of Charlotte, MI, and (3) Lu Van, Inc., of Belding, MI.

Volume No. OP4–302

Decided: August 13, 1982.

By the Commission, Review Board No. 2, Members Carleton, Fisher, and Williams. (Member Fisher not participating.)

MC 128136 (Sub-2), filed August 6, 1982. Applicant: FARM & FOREST TRUCK SERVICE, INC., 1648 N. Lincoln Ave., Salem, OH 44460. Representative: Paul D. Collins, 7761 Lakeforest Dr., Richmond, VA 23235, (804) 745–0446. Transporting (1) *machinery, machine parts,* and *metal and electrical products,* between points in the U.S. (except AK and HI), under continuing contract(s) with NRM Corp., of Columbiana, OH; (2) *metal products* and *iron and steel products,* between points in the U.S. (except AK and HI), under continuing contract(s) with Westinghouse Electric Corp., of Pittsburgh, PA; and (3) *lumber and forest products,* and *treated lumber,* between points in the U.S. (except AK and HI), under continuing contract(s) with Stanley Land & Lumber Corp., of Drakes Branch, VA; Coastal Lumber Co., of Weldon, NC, and Sylvania Lumber Co., of North Jackson, OH.

MC 140036 (Sub-3), filed August 6, 1982. Applicant: WINTERS TRUCKING, INC., 4 Chase Ave., Avenel, NJ 07001. Representative: Dwight L. Koerber, Jr., 110 N. Second St., Clearfield, PA 16830, (814) 765–9611. Transporting *chemicals* and *petroleum products,* (1) between points in Middlesex and Monmouth Counties, NJ, on the one hand, and, on the other, those points in the U.S. in and east of ND, SD, NE, KS, OK, and TX, and (2) between Philadelphia, PA, on the one hand, and, on the other, points in MD, DE, NJ, NY, and VA.

MC 144546 (Sub-2), filed August 4, 1982. Applicant: LAWYER TRUCKING, INC., P.O. Box 186, Mooresville, IN 46158. Representative: Donald W. Smith, P.O. Box 40248, Indianapolis, IN 46240, (317) 846–6655. Transporting *clay, concrete, glass or stone products,* between points in the U.S. (except AK and HI), under continuing contract(s) with Glen-Gery Corporation, of Reading, PA.

MC 146336 (Sub-28), filed August 6, 1982. Applicant: WESTERN TRANSPORTATION SYSTEMS, INC., 1609–109th St., Grand Prairie, TX 75050. Representative: D. Paul Stafford, P.O. Box 45538, Dallas, TX 75245, (214) 358–3341. Transporting *general commodities* (except classes A and B explosives, households, and commodities in bulk), between points in the U.S. (except AK and HI), under continuing contract(s) with Texas Instruments, Incorporated, of Dallas, TX.

MC 157406 (Sub-4), filed August 6, 1982. Applicant: AUTAUGA TRANSPORT, INC., 1410 South Memorial Dr., Prattville, AL 36067. Representative: Terry P. Wilson, 428 South Lawrence St., Montgomery, AL 36104, (205) 262–2756. Transporting *lumber and wood products,* and *pulp, paper and related products,* between points in the U.S. (except AK and HI).

MC 161306, filed August 4, 1982. Applicant: KEIL JOHNSON, d.b.a. JOHNSON TRUCKING, 1501 Joe Hinton Rd., Knoxville, TN 37921. Representative: Rudolph L. Ennis, 2021 United American Plaza, P.O. Box 550, Knoxville, TN 37901, (615) 637–1440. Transporting (1) *concrete products,* (2) *metal products,* and (3) *chemicals,* between points in AL, GA, IL, IN, KY, MS, MO, NC, OH, SC, VA, and WV, under continuing contract(s) with Callaway Building Products, of Knoxville, TN.

MC 163276, filed August 5, 1982. Applicant: RIG IRON TRANSPORT, INC., Rt. 1, Waltonville Rd., Mt. Vernon,

IL 62844. Representative: Robert T. Lawley, 300 Reisch Bldg., Springfield, IL 62701, (217) 544–5468. Transporting (1) *oilfield equipment and supplies,* and (2) *construction machinery and equipment,* between those points in the U.S. in and east of ID, UT and AZ.

MC 163296, filed August 6, 1982. Applicant: HARCOURT ASSOCIATES LTD., d.b.a. HARCOURTOURS, 2000 Randolph Rd., Charlotte, NC 28207. Representative: Harcourt E. Waller, Jr. (same address as applicant), (704) 372–0340. To operate as a *broker,* at Charlotte, NC, in interstate or foreign commerce, in arranging for the transportation of *passengers and their baggage,* beginning and ending at points in Mecklenburg County, NC, and extending to points in the U.S.

Volume No. OP4–303

Decided: August 13, 1982.

By the Commission, Review Board No. 2, Members Carleton, Fisher, and Williams. (Member Fisher not participating.)

MC 30237 (Sub-47), filed August 6, 1982. Applicant: YEATTS TRANSFER COMPANY, P.O. Box 666, Altavista, VA 24517. Representative: Eston H. Alt (same address as applicant), (804) 369–5695. Transporting *such commodities* as are dealt in or used by automotive, building, hardware and mill supply houses, betwen points in NC, VA, and WV, on the one hand, and, on the other, those points in the U.S in and east of WI, IL, MO, AR, and LA.

MC 128087 (Sub-14), filed August 6, 1982. Applicant: JOHN N. JOHN III, INC., P.O. Box 921, Crowley, LA 70526. Representative: John N. John, III, (same address as applicant), (318) 783–3394. Transporting *liquid amorphous polypropylene,* between points in Calcasieu Parish, LA, on the one hand, and, on the other, points in the U.S. (except AK and HI).

MC 155937 (Sub-3), filed August 4, 1982. Applicant: INTERNATIONAL BUS SERVICES, INC., 262 Monitor St., Brooklyn, NY 11222. Representative: Samuel B. Zinder, 98 Cutter Mill Rd., Great Neck, NY 11021, (516) 482–0881. Transporting *passengers and their baggage,* between Guttenberg, NJ and New York, NY, under continuing contract(s) with The Galaxy Towers Condominum, of Guttenberg, NJ.

MC 116227 (Sub-31), filed August 6, 1982. Applicant: POLMAN TRANSFER, INC., Route 3, Box 470, Wadena, MN 56482. Representative: Robert P. Sack, P.O. Box 21–307, Eagen, MN 55121, (612) 452–8770. Transporting *plastic articles,* between points in Dade County, FL, on the one hand, and, on the other, points in the U.S. (except AK and HI).

MC 162257 filed August 4, 1982. Applicant: MARLIN BEARD, d.b.a. MARLIN'S I–10 TRANSPORT, P.O. Box 1028, Vidor, TX 77662. Representative: Doyle G. Owens, 4655 Dellwood, Beaumont, TX 77706, (713) 898–8086. Transporting *motor vehicles,* between points in Galveston, Hardin, Jefferson, Orange and Travis Counties, TX, on the one hand, and, on the other, points in AZ, AR, CA, FL, LA, MS, MO, NM, and TX.

MC 162337 filed August 6, 1982. Applicant: MILES TRUCKING & HAULING COMPANY, 17 Price Lane, Sicklerville, NJ 08081. Representative: James L. Miles (same address as applicant), (609) 728–2372. Transporting (1) *rubber and plastic products,* and (2) *metal products,* between points in the U.S., under continuing contract(s) with Hancock-Gross (subsidiary of Stanley Tools), of Windsor, NJ.

MC 163237 filed August 2, 1982. Applicant: CHARLES SCARCE, d.b.a. CHUCK'S GENERAL TRUCKING, 117 Canebroke Lane, Lafayette, LA 70508. Representative: Charles Scarce (same address as applicant) (318) 981–1325. Transporting *oilfield equipment and supplies* between Lafayette, LA, and points in TX and OK.

MC 163247 filed August 3, 1982. Applicant: MUDANZAS TYMSA MOVING SERVICE, 3522 Union Pacific Ave., Los Angles, CA 90023. Representative: Jesse Lopez Del Haro (same address as applicant), (213) 266–2767. Transporting *household goods,* between ports of entry on the International Boundary line between the U. S. and Mexico, and points in AZ, CA, NM, NV, OR and TX.

MC 163257, filed August 3, 1982. Applicant: DENNIS CAPPELLO, d.b.a. BULK TRANSPORTATION CO., 8 Muller Rd., Oakland, NJ 07436. Representative: Dennis Cappello (same address as applicant), (201) 337–0713. Transporting *commodities in bulk,* between points in NJ, NY, CT, DE, MD and PA.

MC 163267, filed August 4, 1982. Applicant: STURGEON & SON, INC., 3511 Gilmore Ave., Bakersfield, CA 93308. Representative: Earl N. Miles, 3704 Candlewood Dr., Bakersfield, CA 93306, (805) 872–1106. Transporting *construction equipment and Mercer commodities,* between points in CA, on the one hand, and, on the other, points in AZ, CO, IA, ID, IL, KS, MN, MO, MT, ND, NE, NM, NV, OK, OR, SD, TX, UT, WA and WY.

Volume No. OP5–167

Decided: August 6, 1982.

By the Commission, Review Board No. 3, Members Krock, Joyce, and Dowell.

MC 64469 (Sub-2), filed July 29, 1982. Applicant: FERGUSON TRANSFER AND STORAGE CORP., 202 12th St., N.W., Roanoke, VA 24017. Representative: W. Brooks Ferguson, 1641 Eanes Rd., S.E., Roanoke, VA 24014, (703) 344–3331. Transporting *household goods,* between points in ME, VT, NH, MA, RI, CT, GA, FL, AL, MS, LA, AR, KS, IL, WI, MI, MO, TX, OK, MN, IA, and CO, on the one hand, and, on the other, points in VA, NC, SC, TN, KY, WV, IN, OH, PA, NY, NJ, MD, DE, and DC.

MC 79658 (Sub-30), filed July 30, 1982. Applicant: ATLAS VAN LINES, INC., 1212 St. George Road, P.O. Box 509, Evansville, IN 47711. Representative: Robert C. Mills (same address as applicant), (812) 424–2222. Transporting *household goods,* between points in the U.S. (except AK and HI), under continuing contract(s) with Occidental Exploration and Production Company, of Bakersfield, CA.

MC 79658 (Sub-31), filed July 30, 1982. Applicant: ATLAS VAN LINES, INC., 1212 St. George Road, P.O. Box 509, Evansville, IN 47711. Representative: Robert C. Mills (same address as applicant), (812) 424–2222. Transporting *household goods,* between points in the U.S. (except AK and HI), under continuing contract(s) with Standard Oil Company (Indiana), of Chicago, IL.

MC 97629 (Sub-11), filed June 28, 1982. Applicant: HILLER TRUCK LINES, INC., P.O. Drawer 1309, Jasper, AL 35501. Representative: Gerald D. Colvin, Jr., 603 Frank Nelson Bldg., Birmingham, AL 35203, 205–251–2881. Transporting *general commodities* (except classes A and B explosives, household goods, and commodities in bulk) (1) between points in AL, GA, FL, MS, LA, SC, NC, TN, KY, IL, and IN; and (2) over regular routes, (a) between Birmingham and Jasper, AL; from Birmingham over U.S. Hwy 78 to Jasper and return over the same route; (b) between Jasper and Russellville, AL; from Jasper over AL Hwy 5 to the intersection of over U.S. Hwy 43 then from the intersection of U.S. Hwy 43 to Russellville and return over the same route; (c) between Jasper, AL and Phil Campbell, AL; from Jasper over over U.S. Hwy 78 to Hamilton, then from Hamilton over U.S. Hwy 43 to the intersection of AL Hwy 5 at or near Spruce Pine, then over AL Hwy 5 to Phil Campbell and return over the same route; (d) between Jasper, AL and Vernon, AL; from Jasper over AL Hwy 69 to the junction of AL Hwy 18, then over AL Hwy 18 to Vernon, and return

over the same route; (e) between Winfield, AL and Millport, AL, from Winfield over over U.S. Hwy 43 to Fayette, then over AL Hwy 96 to Millport, and return over the same route; (f) Between Millport, AL and Hamilton, AL: from Millport over AL Hwy 17 to Hamilton, and return over the same route; (g) between Sulligent, AL and Guin, AL: from Sulligent over over U.S. Hwy 278 to Guin, and return over the same route; (h) between Florence, AL and Russellville, AL: from Florence over over U.S. Hwy 43 to Russellville and return over the same route; (i) between Decatur, AL and Russellville, AL: from Decatur over AL Hwy 24 to Russellville, and return over the same route; (j) between Jasper, AL and Decatur, AL: from Jasper over over AL Hwy 195 to the intersection of AL Hwy 257 then over AL Hwy 257 to intersection of County Road 41 at or near Arley, then over AL Hwy 41 to Decatur and return over the same route; (l) between Russellville, AL and Red Bay, AL: from Russellville over AL Hwy 43 to the intersection of AL Hwy 18, then over AL Hwy 18 to Red Bay, and return over the same route; (m) between Birmingham, AL and Decatur, AL: from Birmingham over U.S. Hwy 31 and or I–65 to Decatur, and return over the same route; (n) between Birmingham, AL and Anniston, AL: from Birmingham over U.S. Hwy 78 to Anniston, and return over the same route; (o) between Birmingham, AL and Bessemer, AL: from Birmingham over U.S. Hwy 11 to Bessemer and return over the same route; (p) between Birmingham, AL and Gadsen, AL: from Birmingham over U.S. Hwy 11 to Gadsen, and return over the same route; (q) between Birmingham, AL and Opelika, AL: from Birmingham over U.S. Hwy 280 to Opelika, and return over the same route; (r) between Birmingham, AL and Tuscaloosa, AL: from Birmingham over over U.S. Hwy 11 to Tuscaloosa, and return over the same route; (s) between Decatur, AL and Florence, AL: from Decatur over over U.S. Hwy Alt 72 to the intersection of U.S. Hwy 43, then over U.S. Hwy 43 to Florence, and return over the same route, serving in connection with routes 2 (a) through (s) above, all intermediate points and serving as off-route points, points in that part of AL bounded on the south by I–59 from Birmingham to the AL/MS state line and bounded on the east by I–65 from Birmingham to the AL/TN state line. Condition: Any certificate issued in this proceeding is subject to the prior or coincidental cancellation, at applicant's written request, of all existing certificates of Registration in MC–97629 (Sub-Nos. 5, 6 and 7).

MC 118859 (Sub-13), filed July 23, 1982. Applicant: BULLOCK TRUCKING COMPANY, INC., P.O. Box 1634, Thomasville, GA 31792. Representative: Kim G. Meyer, Suite 1200 Atlanta Gas Light Tower, 235 Peachtree St. N.W., Atlanta, Ga 30303, 404–522–2322. Transporting *building materials,* between points in GA, FL, SC, NC, TN, KY, AL, MS, AZ, TX, and AR, on the one hand, and, on the other, those points in the U.S. in and east of WI, IL, KY, TN, AR, and TX.

MC 126899 (Sub-153), filed July 26, 1982. Applicant: USHER TRANSPORT, INC., 3925 Old Benton Rd., Paducah, KY 42001. Representative: George M. Catlett, McClure Bldg., Suite 700–702, Frankfort, KY 40601, (502) 227–7384. Transporting *food and related products and chemicals* between Evansville and Mt. Vernon, IN, and Springfield, MO, on the one hand, and, on the other, points in the U.S. (except AK and HI).

MC 162118, filed July 28, 1982. Applicant: NOEL McKEAN, d.b.a. McKEAN TRUCKING, Rt. 1, Box 40, Horseshoe Bend, ID 83629. Representative: Kevin M. Clark, 2417 Bank Dr., Ste. 8, Boise, ID 83705, 208–344–7714. Transporting *travertine,* between points in the U.S. (except AK and HI), under continuing contract(s) with The Marble Shop, Inc. of Knoxville, TN.

MC 162528, filed July 21, 1982. Applicant: URBANA MOVING & TRANSFER CO., R.R. No. 1, Box 53, Rantoul, IL 61866. Representative: Edward D. McNamara, Jr., 907 South Fourth St., Springfield, IL 62703, 217–528–8476. Transporting *general commodities* (except classes A and B explosives, and household goods), between points in OH, KY, TN, GA, FL, AL, IN, MI, IL, LA, MS, AR, MO, IA, WI, MN, ND, SD, NE, KS, OK, TX and PA.

MC 163079, filed July 23, 1982. Applicant: LETICA RESOURCES, INC. d.b.a LETICA FREIGHTLINES, 1600 W. Hamlin Rd., Rochester, MI 48063. Representative: Martin J. Leavitt, 22375 Haggerty Rd., P.O. Box 400, Northville, MI 48167, (313) 349–3980. Transporting *plastic products* between points in the U.S. (except AK and HI), under continuing contract(s) with Letica Corporation of Rochester, MI, and its subsidiaries Litica of Delaware, Inc., of Middletown, DE, Letica Corporation of Oklahoma, Inc., of Oklahoma City, OK, Letica Corporation of Iowa, of Muscatine, IA, Letica Corporation of Alabama, of Lanett, AL, and Letica Corporation of Nevada, of Jean, NV.

MC 163188, filed July 29, 1982. Applicant: TRIANGLE TRUCK SERVICE, INC., P.O. Box 144, Rogers, MN 55374. Representative: Stanley C. Olsen, Jr., 5200 Willson Rd., Ste. 307, Edina, MN 55424, 612–927–8855. Transporting (1) *general commodities* (except classes A and B explosives, household goods, and commodities in bulk), between points in Anoka, Hennepin, Ramsey, Scott, Carver, Washington, Dakota and Morrison Counties, MN, and Pembia County, ND, on the one hand, and, on the other, points in U.S. (except AK and HI), and (2) *rubber and plastic products,* between points in Bucks County, PA, on the one hand, and, on the other, points in the U.S. (except AK and HI).

MC 163199, filed July 29, 1982. Applicant: SIMPSON TRANSPORT, INC., RFD 1, Box 541, Cardigan Road, Bristol, NH 03222. Representative: William L. Simpson (same address as applicant), (603) 744–8797. Transporting *crutches,* between points in the U.S., under continuing contract(s) with Calley & Currier, Inc., of Bristol, NH.

Volume No. OP5–168

Decided: August 11, 1982.

By the Commission, Review Board No. 3, members Krock, Joyce, and Dowell.

FF 448 (Sub-4), filed August 3, 1982. Applicant: TRANSPORTATION SYSTEMS, INTERNATIONAL, INC., 2500 Kennedy St., N.E., Minneapolis, MN 55413. Representative: Robert L. Cope, Suite 501, 1730 M St., N.W., Washington, DC 20036, 202–296–2900. Transporting *general commodities* (except classes A and B explosives, household goods, and commodities in bulk), between points in the U.S. (except AK and HI).

MC 79658 (Sub-32), filed August 2, 1982. Applicant: ATLAS VAN LINES, INC., 1212 St. George Rd., P.O. Box 509, Evansville, IN 47711. Representative: Robert C. Mills (Same address as applicant), (812) 424–2222. Transporting *general commodities* (except classes A and B explosives and commodities in bulk), between points in the U.S., under continuing contract(s) with Minnesota Mining and Manufacturing Company (3M) of St. Paul, MN.

MC 116319 (Sub-19), filed August 2, 1982. Applicant: WASHINGTON TRUCKING, INC., 2810 34th St., Everett, WA 98201. Representative: George R. LaBissoniere, 15 S. Grady Way, Suite 239, Renton, WA 98055, (206) 228–3807. Transporting *construction materials, metal and metal products, and commodities which because of size or weight require the use of special equipment,* between points in OR, WA, ID, AZ, MT, CA, NV, CO, UT, WY, and NM.

MC 127278 (Sub-8), filed July 30, 1982. Applicant: PACIFIC VAN & STORAGE CO., INC., 1415 West Torrance Blvd., Torrance, CA 90501. Representative: Robert J. Gallagher, 1000 Connecticut Ave, NW, Suite 1200, Washington, DC 20036, 202–785–0024. Transporting *household goods,* between points in AZ, CA, CO, ID, MT, NV, NM, OR, UT, WA, WY, and TX, on the one hand, and, on the other, points in the U.S.

MC 140268 (Sub-5), filed July 30, 1982. Applicant: J–GEM TRANSPORTATION, INC., 1418 17th St., Long Beach, CA 90813. Representative: Ensley Weimer (Same address as applicant), 213–437–5558. Transporting *general commodities* (except classes A and B explosives, household goods, and commodities in bulk), between points in the U.S. (except AK and HI), under continuing contract(s) with F.B. Vandergrift & Co., Inc. of Inglewood, CA.

MC 141318 (Sub-26), filed July 30, 1982. Applicant: WEATHER SHIELD TRANSPORTATION, LTD., P.O. Box Ltd., Medford, WI 54451. Representative: Robert S. Lee, 1600 TCF Tower, 121 So. 8th St., Minneapolis, IN 55402, 612–333–1341. Transporting *urethane farm* and *plastic products,* between points in the U.S. (except AK and HI).

MC 144218 (Sub-10), filed July 30, 1982. Applicant: FELDSPAR TRUCKING COMPANY, INC., P.O. Box 858, Spruce Pine, NC 28777. Representative: Joseph L. Steinfeld, Jr., 915 Pennsylvania Bldg., 425 13th St., N.W., Washington, DC 20004, 202–737–1030. Transporting *rubber and plastic products,* between points in the U.S. (except AK and HI), under continuing contract(s) with Cashiers Plastic, Division of Consolidated Metco, Inc. of Cashiers, NC.

MC 144519 (Sub-1), filed July 30, 1982. Applicant: BOND WAREHOUSING, INC., 235 Cook Ave., Oconto, WI 54153. Representative: James A. Spiegel, Olde Towne Office Park, 6333 Odana Rd., Madison, WI 53719, 608–273–1003. Transporting *food and related products,* between points in the U.S. (except AK and HI), under continuing contract(s) with Packerland Packing Company, Inc., of Green Bay, WI.

MC 148569 (Sub-9), filed July 30, 1982. Applicant: JAMES BRUCE LEE & STANLEY LEE, d.b.a. LEE CONTRACT CARRIERS, P.O. Box 48, Pontiac, IL 61764. Representative: Edward F. Stanula, 900 East 162nd St., P.O. Box 306, South Holland, IL 60473, 312–596–8575. Transporting *trailer axles,* between points in Canadian County, OK on the one hand, and, on the other, points in AR, CO, KS, LA, MO, NE, and TX.

MC 152318 (Sub-5), filed August 3, 1982. Applicant: ATLANTIC TRUCK LINES, INC., 168 Town Line Rd., P.O. Box 696, Kings Park, NY 11754. Representative: Morton E. Kiel, Two World Trade Center, Suite 1832, New York, NY 10048, (212) 466–0220. Transporting *general commodities* (except classes A and B explosives, household goods, and commodities in bulk), between points in the U.S. (except AK and HI), under continuing contract(s) with International Paper Company of New York, NY.

MC 157098, filed July 30, 1982. Applicant: NEVIN L. MARTIN, SR., d.b.a. NEVIN L. MARTIN TRUCKING, 1793 Hykes Rd., Greencastle, PA 17225. Representative: Edward N. Button, 635 Oak Hill Ave., Hagerstown, MD 21740, 301–739–4860. Transporting *fertilizer,* between points in MD, PA, DE, VA, NJ, and DC.

MC 158909 (Sub-1), filed August 2, 1982. Applicant: EDWARD G. ALBERINO, JR., d.b.a. E.G.A. FOOD DISTRIBUTORS, 403 Sawmill Road, West Haven, CT 06516. Representative: Jack L. Schiller, 123–60 83rd Ave., Kew Gardens, NY 11415, (212) 263–2078. Transporting *such commodities* as are dealt in by grocery and food business houses, between points in CT, on the one hand, and, on the other, points in AL, AR, AZ, CA, CO, CT, DE, FL, GA, IA, IL, IN, KS, KY, LA, MA, MD, ME, MI, MO, MS, NC, NH, NJ, NM, NV, NY, OH, OK, PA, RI, SC, TN, TX, UT, VA, VT, WI, WV, and DC.

MC 162139 (Sub-1), filed July 23, 1982. Applicant: COMMONWEALTH TRUCKING, INC., P.O. Box 902, Yreka, CA 96097. Representative: Donald L. Smith (same address as applicant), 916–842–7381. Transporting *general commodities* (except classes A and B explosives, household goods and commodities in bulk), between points in the U.S. (except AK).

MC 162928, filed July 12, 1982. Applicant: PEABODY FLOWAY, INC., P.O. Box 164, 2494 S. Railroad Ave., Fresno, CA 93707. Representative: Larry Roberts (same address as applicant), 209–442–4000. Transporting *metal products,* between points in TX, on the one hand, and, on the other, points in Fresno and Los Angeles Counties, CA, under continuing contract(s) with Texas General Steel Co. Inc. of Lubbock, TX.

MC 163208, filed July 30, 1982. Applicant: SILVER STAR BUS CO., INC., 4404 S St., Beaver Heights, MD 20743. Representative: Rudolph Lenzy (same address as applicant) 301–322–1151. Transporting *passengers and their baggage* in the same vehicle with passengers, in charter and special operations, beginning and ending at points in the D.C. commercial zone, and extending to points in the U.S. (except AK and HI).

MC 163218, filed August 2, 1982. Applicant: FLEETWAY EXPRESS, INC., 480 Industrial Dr., Bensenville, IL 60106, Representative: Albert A. Andrin, 180 North LaSalle St., Chicago, IL 60601, 312–332–51.6. Transporting *general commodities* (except classes A and B explosives, household goods, and commodities in bulk), between points in WI and IL.

MC 163219, filed August 2, 1982. Applicant: LAWSON TRANSPORTATION, INC., 3131 Linda Dr., Lakeland, FL 33805. Representative: M. Craig Massey, 211 East Lime St., P.O. Drawer 1109, Lakeland FL 33802, 813–682–1178. Transporting *general commodities* (except classes A and B explosives, and commodities in bulk,) between points in FL.

MC 163229, filed August 2, 1982. Applicant: KNIGHT'S DELIVERY SERVICE, INC., 13065 12th Street, Chino, CA 91710. Representative: Marsha N. Honda, 1545 Wilshire Blvd., Suite 606, Los Angeles, CA 90017, (213) 483–4700. Transporting *general commodities* (except classes A and B explosives, commodities in bulk, and household goods), between points in Los Angeles County, CA, on the one hand, and, on the other, points in Alameda, Fresno, Inyo, Imperial, Humboldt, Kern, Monterey, Marin, Merced, Modoc, Mono, Mendocino, Madera, Napa, Orange, Placer, Riverside, Santa Cruz, San Joaquin, San Bernardino, San Diego, San Mateo, Sacramento, Santa Barbara, San Luis Obispo, San Francisco, Santa Clara and Ventura Counties, CA, Clark County, NV, and Maricopa and Mojave Counties, AZ.

MC 163248, filed August 2, 1982. Applicant: COLUMBUS FOUNDRIES, INC., 1600 Northside Industrial Blvd., Columbus, GA 31906. Representative: W. H. Tomlinson, 1601 13th St., Suite B, Columbus, GA 31901, (404) 322–8404. Transporting *such commodities* as are used in the manufacture of ductile iron castings, between points in AL, MS, FL, GA, NC, IL, VA, TN, IN, WV, OH, SC, and TX, under continuing contract(s) with Miller and Company, of Birmingham, AL, S & S Insulation Supply Co., of Columbus, GA, Hessco Industrial Supply Inc., of Anniston, AL, The Hill & Griffith Co., of Cincinnati, OH, and Southeast Metal Service, Inc., of Columbus, GA.

MC 163249, filed August 2, 1982. Applicant: NICHOLS & RONK, INC., 4022 Ohio River Road, Huntington, WV

25702. Representative: Steven D. Nichols (same address as applicant), (304) 522–4435. Transporting *salt and salt products*, between points in KY, OH, VA, and WV.

MC 163259, filed August 3, 1982. Applicant: SPAGENSKI'S TRANSFER AND MOBILE HOME SERVICE, INC., 5060 Central Avenue, Minneapolis, MN 55421. Representative: Samuel Rubenstein, P.O. Box 5, Minneapolis, MN 55440, (612) 542–1121. Transporting *mobile homes*, between points in MN, on the one hand, and, on the other, points in ND and WI.

Agatha L. Mergenovich,

Secretary.

[FR Doc. 82–22811 Filed 8–18–82; 8:45 am]

BILLING CODE 7035–01–M

[Ex Parte No. MC–82]

Motor Carriers; Provisions for Foreseeable Future Costs and Requirements for Additional Data

AGENCY: Interstate Commerce Commission.

ACTION: Clarification of prior decision.

SUMMARY: The Commission clarifies its prior orders entered in this proceeding to show that fuel and fuel related expenses shall be included in the unscheduled non-labor expense provisions outlined in the December 24, 1981, (46 FR 62554, December 24, 1981), order on future cost presentations.

FOR FURTHER INFORMATION CONTACT: Paul R. Meder, (202) 275–7457, or Douglas Galloway, (202) 275–7278.

SUPPLEMENTARY INFORMATION: On May 10, 1982, the National Small Shipments Tariff Conference and the Doug and Toilet Preparation Tariff Conference requested an amendment to the notice of final rules served on March 11, 1982 (47 FR 10920, March 12, 1982), to clarify that changes in fuel costs shall be included with other such non-labor cost changes. Specifically, petitioners expressed concern over this statement:

> The motor carrier non-labor index has the capacity for measuring fuel cost increases and *may* be used to monitor and update fuel and fuel related expenses. (Emphasis added.)

Petitioners are concerned that this statement gives motor carriers the self-serving option of including fuel and fuel related expenses as a basis for rate increases or of ignoring downward changes in these expenses when their inclusion would provide a basis for rate reductions (or other undesirable results). That interpretation is incorrect. The index and the procedures are separate entities, the former being optional and the latter being mandatory.

The statement to which petitioners refer as a basis for their concern is taken out of context. It only identified an existing motor carrier index which could be used to reflect and project cost changes. Whether carriers use this index to reflect these changes is a matter of choice. That is, the industry could use other defined methods if they can be adequately supported and they provide reasonable estimates. By contrast, the reporting of the cost changes is compulsory. The decision stated in essence that, effective April 14, 1982, fuel and fuel related expenses shall be included in the unscheduled non-labor expense procedures as outlined in the prior December 24, 1981, order applicable to future cost presentations.

This notice of clarification provides the relief sought in the petition which is otherwise denied. Because this notice only clarifies established Commission policy in this area, good cause exists for not observing notice and comment procedures.

This action does not significantly affect the quality of the human environment, the conservation of energy resources, or small entities.

By the Commission, Chairman Taylor, Vice Chairman Gilliam, Commissioners Sterrett, Andre, Simmons, and Gradison.

(5 U.S.C. 553 and 49 U.S.C. 10708)

Decided: August 12, 1982.

Agatha L. Mergenovich,

Secretary.

[FR Doc. 82–22808 Filed 8–18–82; 8:45 am]

BILLING CODE 7035–01–M

[Ex Parte No. 387 (Sub-No. 225)]

Railroads; Burlington Northern Railroad Co.; Exemption for Contract Tariff ICC–BN–C–0110 (Canned Foodstuffs)

AGENCY: Interstate Commerce Commission.

ACTION: Notice of provisional exemption.

SUMMARY: A provisional exemption is granted under 49 U.S.C. 10505 from the notice requirements of 49 U.S.C. 10713(e), and the above-noted contract tariff may become effective on one day's notice. This exemption may be revoked if protests are filed.

DATES: Protests are due within 15 days of publication in the **Federal Register.**

ADDRESS: An original and 6 copies should be mailed to: Office of the Secretary, Interstate Commerce Commission, Washington, DC 20423.

FOR FURTHER INFORMATION CONTACT: Tom Smerdon, (202) 275–7277.

SUPPLEMENTARY INFORMATION: The 30-day notice requirement is not necessary in this instance to carry out the transportation policy of 49 U.S.C. 10101(a) or to protect shippers from abuse of market power; moreover, the transaction is of limited scope. Therefore, we find that the exemption request meets the requirements of 49 U.S.C. 10505(a) and is granted subject to the following conditions:

This grant neither shall be construed to mean that the Commission has approved the contract for purposes of 49 U.S.C. 10713(e) nor that the Commission is deprived of jurisdiction to institute a proceeding on its own initiative or on complaint, to review this contract and to determine its lawfulness.

This action will not significantly affect the quality of the human environment or conservation of energy resources.

(49 U.S.C. 10505)

Decided: August 12, 1982.

By the Commission, Division 1, Commissioners Sterrett, Simmons, and Gradison.

Agatha L. Mergenovich,

Secretary.

[FR Doc. 82–22815 Filed 8–18–82; 8:45 am]

BILLING CODE 7035–01–M

[Ex Parte No. 387 (Sub-No. 224)]

Railroads; McCloud River Railroad; Exemption for Contract Tariff ICC–MR–C–002 (Lumber)

AGENCY: Interstate Commerce Commission.

ACTION: Notice of provisional exemption.

SUMMARY: A provisional exemption is granted under 49 U.S.C. 10505 from the notice requirements of 49 U.S.C. 10713(e), and the above-noted contract tariff may become effective on one day's notice. This exemption may be revoked if protests are filed.

DATES: Protests are due within 15 days of publication in the **Federal Register.**

ADDRESS: An original and 6 copies should be mailed to: Office of the Secretary, Interstate Commerce Commission, Washington, DC 20423.

FOR FURTHER INFORMATION CONTACT: Douglas Galloway, (202) 275–7278.

SUPPLEMENTARY INFORMATION: The 30-day notice requirement is not necessary in this instance to carry out the transportation policy of 49 U.S.C 10101(a) or to protect shippers from abuse of market power; moreover, the transaction is of limited scope. Therefore, we find that the exemption request meets the requirements of 49

U.S.C. 10505(a) and is granted subject to the following conditions:

This grant neither shall be construed to mean that the Commission has approved the contract for purposes of 49 U.S.C. 10713(e) nor that the Commission is deprived of jurisdiction to institute a proceeding on its own initiative or on complaint, to review this contract and to determine its lawfulness.

This action will not significantly affect the quality of the human environment or conservation of energy resources.

(49 U.S.C. 10505)

Decided: August 13, 1982.

By the Commission, Division 1, Commissioners Andre, Gilliam, and Taylor. Commissioner Taylor is assigned to this Division for the purpose of resolving tie votes. Since there was no tie in this matter, Commissioner Taylor did not participate.

Agatha L. Mergenovich,

Secretary.

[FR Doc. 82-22614 Filed 8-18-82; 8:45 am]

BILLING CODE 7035-01-M

[Ex Parte No. 387 (Sub-No. 223)]

Railroads; Southern Pacific Transportation Co.; Exemption for Contract Tariff ICC-SP-C-0156 (Corn, Grain Sorghums, Soybeans, Wheat)

AGENCY: Interstate Commerce Commission.

ACTION: Notice of provisional exemption.

SUMMARY: A provisional exemption is granted under 49 U.S.C. 10505 from the notice requirements of 49 U.S.C. 10713(e), and the above-noted contract tariff may become effective on one day's notice. This exemption may be revoked if protests are filed.

DATES: Protests are due within 15 days of publication in the Federal Register.

ADDRESS: An original and 6 copies should be mailed to: Office of the Secretary, Interstate Commerce Commission, Washington, DC 20423.

FOR FURTHER INFORMATION CONTACT: Tom Smerdon, (202) 275-7277.

SUPPLEMENTARY INFORMATION: The 30-day notice requirement is not necessary in this instance to carry out the transportation policy of 49 U.S.C. 10101(a) or to protect shippers from abuse of market power; moreover, the transaction is of limited scope. Therefore, we find that the exemption request meets the requirements of 49 U.S.C. 10505(a) and is granted subject to the following conditions:

This grant neither shall be construed to mean that the Commission has approved the contract for purposes of 49 U.S.C. 10713(e) nor that the Commission is deprived of jurisdiction to institute a proceeding on its own initiative or on compliant, to review this contract and to determine its lawfulness.

This action will not significantly affect the quality of the human environment or conservation of energy resources.

(49 U.S.C. 10505)

Decided: August 12, 1982.

By the Commission, Division 1, Commissioners Sterrett, Simmons and Gradison.

Agatha L. Mergenovich,

Secretary.

[FR Doc. 82-22613 Filed 8-18-82; 8:45 am]

BILLING CODE 7035-01-M

[Ex Parte No. 387 (Sub-No. 219)]

Railroads; Southern Pacific Transportation Co.; Exemption for Contract Tariffs ICC-SP-C-0148, 0149, 0150, 0151, 1052, and 0153 (Canned Foodstuffs)

AGENCY: Interstate Commerce Commission.

ACTION: Notice of provisional exemption.

SUMMARY: A provisional exemption is granted under 49 U.S.C. 10505 from the notice requirements of 49 U.S.C. 10713(e), and the above-noted contract tariffs may become effective on one day's notice. This exemption may be revoked if protests are filed.

DATES: Protests are due within 15 days of publication in the Federal Register.

ADDRESS: An original and 6 copies should be mailed to: Office of the Secretary, Interstate Commerce Commission, Washington, DC 20423.

FOR FURTHER INFORMATION CONTACT: Tom Smerdon, (202) 275-7277.

SUPPLEMENTARY INFORMATION: The 30-day notice requirement is not necessary in this instance to carry out the transportation policy of 49 U.S.C. 10101(a) or to protect shippers from abuse of market power; moreover, the transaction is of limited scope. Therefore, we find that the exemption request meets the requirements of 49 U.S.C. 10505(a) and is granted subject to the following conditions:

This grant neither shall be construed to mean that the Commission has approved the contract for purposes of 49 U.S.C. 10713(e) nor that the Commission is deprived of jurisdiction to institute a proceeding on its own initiative or on compliant, to review this contract and to determine its lawfulness.

This action will not significantly affect the quality of the human environment or conservation of energy resources.

(49 U.S.C. 10505)

Decided: August 12, 1982.

By the Commission, Division 1, Commissioners Sterrett, Simmons and Gradison.

Agatha L. Mergenovich,

Secretary.

[FR Doc. 82-22612 Filed 8-18-82; 8:45 am]

BILLING CODE 7035-01-M

NATIONAL FOUNDATION ON THE ARTS AND THE HUMANITIES

Humanities Panel; Meeting

AGENCY: National Endowment for the Humanities.

ACTION: Notice of meeting.

SUMMARY: Pursuant to the provisions of the Federal Advisory Committee Act (Pub. L. 92-463, as amended), notice is hereby given that the following meeting of the Humanities Panel will be held at 806 15th Street, NW., Washington, D.C. 20506.

Date: September 13-14, 1982.
Time: 8:30 a.m. to 5:30 p.m.
Room: 807.
Program: This meeting will review applications submitted for Implementation Grants, Division of Education, for projects beginning after January 1983.

The proposed meeting is for the purpose of panel review, discussion, evaluation and recommendation on applications for financial assistance under the National Foundation on the Arts and the Humanities Act of 1965, as amended, including discussion of information given in confidence to the agency by grant applicants. Because the proposed meeting will consider information that is likely to disclose: (1) Trade secrets and commercial or financial information obtained from a person and privileged or confidential; (2) information of a personal nature the disclosure of which would constitute a clearly unwarranted invasion of personal privacy; and (3) information the disclosure of which would significantly frustrate implementation of proposed agency action; pursuant to authority granted me by the Chairman's Delegation of Authority to Close Advisory Committee Meetings, dated January 15, 1978, I have determined that this meeting will be closed to the public pursuant to subsections (c)(4), (6) and (9)(B) of section 552b of Title 5, United States Code.

Further information about this meeting can be obtained from Mr. Stephen J. McCleary, Advisory Committee Management Officer, National Endowment for the

Humanities, Washington, D.C. 20506, or call (202) 724–0367.

Stephen J. McCleary,

Advisory Committee, Management Officer.

[FR Doc. 82–22698 Filed 8–18–82; 8:45 am]

BILLING CODE 7536–01–M

NATIONAL TRANSPORTATION SAFETY BOARD

Recommendations; Availability

Recommendations to

Federal Aviation Administration, Aug. 13: A–82–75: Issue an Operations Bulletin to emphasize the need for compliance with the instructions contained in Section 2, Page 19 of Hawker Siddeley HS–125–700A, Crew Manual, restricting operation of the flaps after landing on a runway with deep puddles, slush, snow, or ice on it until the flaps have been inspected, found undamaged, and are free of ice, snow, or slush. *A–82–76:* Issue a General Aviation Airworthiness Alert, Advisory Circular 43–16, to alert operators and owners of Hawker Siddeley, HS–125–700A aircraft of the problems associated with flap breakage when landing on runways with deep puddles, slush, snow, or ice and the possible aileron interference that can occur if a borken flap is retracted.

Federal Highway Administration, Aug. 13: H–82–22: Continue to assist the State of Louisiana in providing a television surveillance system for the section of Interstate 10 which crosses the I–10, Calcasieu River Bridge. *H–82–23:* Evaluate the current capability of the Louisiana Department of Transportation and Development to provide timely followup to the type of expansion joint repair that caused the accident that occurred on Aug. 27, 1981, on the Calcasieu River Bridge in Lake Charles, Louisiana, and similar repairs of relatively high priority on Federal-aid highways. If necessary, assist the LADOTD in resolving discovered problems. *H–82–24:* Advise all State Departments of Transportation of the circumstances of the accident that occurred on Aug. 27, 1981, on the Calcasieu River Bridge in Lake Charles, Louisiana, and emphasize the need for repair designs at bridges and all other repair sites that consider operational problems, repair personnel qualifications, and the need for timely followup to temporary repairs.

Bureau of Motor Carrier Safety, Aug. 13: H–82–25: Issue an On-Guard Bulletin to advise truckdrivers of the circumstances of the accident that occurred on Aug. 27, 1981, on the Calcasieu River Bridge in Lake Charles, Louisiana, and the potential benefits to be derived from the use of the citizens bands radios when properly used, and encourage positive reaction to messages that are transmitted over this network.

Louisiana Department of Transportation, Aug. 13: H–82–26: Advise maintenance personnel of the circumstances of the accident that occurred on Aug. 27, 1981, on the Calcasieu River Bridge in Lake Charles, Louisiana, and emphasize the need for repair designs at bridges and all other repair sites that consider operational problems, repair personnel qualifications, and the need for timely followup to temporary repairs. *H–82–27:* Establish a program to upgrade maintenance welder qualifications through certification in accordance with performance standards promulgated by the American Welding Society. *H–82–28:* Conduct a study to determine if it is structurally and operationally feasible and cost-effective to provide a median opening(s) on the I–10 Calcasieu River Bridge for emergency use. If the study determines that the median openings are structurally feasible and cost effective, immediately provide such an opening on the bridge. *H–82–29:* Publicize the purpose of and need for compliance with the I–10/210 electronic, changeable message sign system through local media.

Note.—Single copies of recommendation letters (identified by recommendation number) are free on written request to: Public Inquiries Section, National Transportation Safety Board, Washington, D.C. 20594.

H. Ray Smith, Jr.,

Federal Register Liaison Officer.

August 16, 1982.

[FR Doc. 82–22744 Filed 8–18–82; 8:45 am]

BILLING CODE 4910–58–M

Third Party Communications

Board Policy

On May 11, 1978 (43 FR 20283), the NTSB gave notice that, on May 4, 1978, the following statement of policy had been adopted regarding "Third Party Communications":

It is the policy of the National Transportation Safety Board that the Members thereof will not solicit or subject themselves to third party communications regarding any matter [1] pending before the Board after the notation with a notation number has been received by the Board.

The above policy, which is not required by law, was adopted to insulate the Board members from external influences during their consideration of such matters as accident reports and safety recommendations. The members have found, however, that the policy in practice has also had the effect of unduly restricting their access to information which could be of considerable assistance in ensuring that Board-approved documents are accurate in all respects. The Board has therefore concluded that the better approach would be to leave the matter of communications with persons outside the Board to the judgment and discretion of the individual members.

Under sections 49 CFR 831.12 and 845.27 of existing Board regulations, Third Party Communications in the form of recommendations (proposed conclusions to be drawn from the evidence) are permitted in connection with accident investigations or public hearings. In fact, historically, the Board has encouraged parties to make these submissions. This policy will remain in effect.

However, on several instances Board deliberations have been frustrated when these submissions were received within a few days before the matter was to be considered at an open Board meeting. Consequently, the Board believes that these submissions should not be considered when received by the Board after the accident report or other matter has been placed on notation.

In view of the foregoing, the Board hereby amends its policy on Third Party Communications as follows:

It is the policy of the Board that recommendations submitted by parties under section 831.12 or 845.27 of the Board's regulations (49 CFR 831.12, 845.27) will not be considered when received by the Board after the matter addressed by the recommendation has been placed on notation.

H. Ray Smith, Jr.,

Federal Register Liaison Officer.

August 16, 1982.

[FR Doc. 82–22743 Filed 8–18–82; 8:45 am]

BILLING CODE 4910–58–M

[1] Enforcement opinions and orders are not included since they are adjudications and thereby subject to the Board's rules concerning Ex Parte Communications (49 CFR 821.60 and 825.40).

NUCLEAR REGULATORY COMMISSION

[Docket Nos. 50–373 and 50–374]

Commonwealth Edison Co. (La Salle County Nuclear Generating Station, Unit 1 and Unit 2); Request for Action Under 10 CFR 2.206

Notice is hereby given that by its Request to Institute a Show Cause Proceeding and for Other Relief dated July 28, 1982 (Petition), Citizens Against Nuclear Power (CANP) requested that certain actions be taken by the Nuclear Regulatory Commission with respect to the La Salle County Station, Units 1 and 2, of the Commonwealth Edison Company in light of certain alleged safety issues. The alleged safety issues consist of deficiencies in construction and quality control at the La Salle County Station, Units 1 and 2. The relief requested included institution of a Show Cause proceeding pursuant to 10 CFR 2.202 and immediate suspension of any operating license of the La Salle Unit 1 reactor. This request is being treated as a Petition pursuant to 10 CFR 2.206 of the Commission's Regulations and, accordingly, action will be taken on the Petition within a reasonable time. Copies of the Petition are available for inspection in the Commission's Public Document Room for the La Salle County Station, Units 1 and 2, located at Illinois Valley Community College, Rural Route #1, Ogelsby, Illinois 61348.

Dated at Bethesda, Maryland, this 6th day of August, 1982.

For the Nuclear Regulatory Commission.

Harold R. Denton,

Director, Office of Nuclear Reactor Regulation.

[FR Doc. 82-22745 Filed 8-18-82; 8:45 am]

BILLING CODE 7590-01-M

[Docket No. 50-413]

Saluda River Electric Cooperative, Inc. and North Carolina Electric Membership Corp.; Receipt of Antitrust Information

Note.—This document originally appeared in the Federal Register for August 12, 1982. It is reprinted in this issue at the request of the agency.

The Saluda River Electric Cooperative, Inc. and the North Carolina Electric Membership Corporation have each submitted antitrust information in conjunction with their application for an operating license for a pressurized water nuclear plant (known as Catawba Unit No. 1) located in northeastern York County, South Carolina. The data submitted contain antitrust information for review pursuant to NRC Regulatory Guide 9.3 necessary to determine whether there have been any significant changes since the completion of the antitrust review at the construction permit stage. (The lead applicant, Duke Power Company, submitted its 9.3 response at an earlier date as noted in the September 21, 1981, edition of the Federal Register—Vol. 46, No. 182.)

On completion of a staff antitrust review, the Director of Nuclear Reactor Regulation will issue an initial finding as to whether there have been "significant changes" under section 105c(2) of the Atomic Energy Act. A copy of this finding will be published in the Federal Register and will be sent to the Washington, D.C. and local public document rooms and to those persons providing comments or information in response to this notice. If the initial finding concludes that there have not been any significant changes, requests for reevaluation may be submitted for a period of 30 days after the date of the Federal Register notice. The results of any reevaluations that are requested will also be published in the Federal Register and copies sent to the Washington and local public document rooms.

A copy of the general information portion of the application for an operating license and the antitrust information submitted is available for public examination and copying for a fee at the Commission's Public Document Room, 1717 H Street, N.W., Washington, D.C. 20555, and in the local public document room at the York County Library, 325 South Oakland Avenue, Rock Hill, South Carolina 29730.

Any person who desires additional information regarding the matter covered by this notice or who wishes to have his views considered with respect to significant changes related to antitrust matters which have occurred in the licensees' activities since the construction permit antitrust review should submit such requests for information or views to the U.S. Nuclear Regulatory Commission, Washington, D.C. 20555, Attention: Chief, Antitrust Economic Analysis Branch, Office of Nuclear Reactor Regulation on or before September 13, 1982.

Dated at Bethesda, Maryland, this 6th day of August 1982.

For the Nuclear Regulatory Commission.

Elinor G. Adensam,

Chief, Licensing Branch No. 4, Division of Licensing.

[FR Doc. 82-21929 Filed 8-11-82; 8:45 am]

BILLING CODE 7590-01-M

Documents Containing Reporting or Recordkeeping Requirements; Office of Management and Budget Review

AGENCY: Nuclear Regulatory Commission.

ACTION: Notice of the Office of Management and Budget review of information collection.

SUMMARY: The Nuclear Regulatory Commission has recently submitted to the Office of Management and Budget (OMB) for review the following proposal for the collection of information under the provisions of the Paperwork Reduction Act (44 U.S.C. Chapter 35).

1. Type of submission, new, revision or extension: New;

2. The title of the information collection: NRC Form 398, "Personal Qualification Statement—Licensee" (10 CFR Part 55, Sections 10 and 33);

3. The form number if applicable: NRC Form 398;

4. How often the collection is required: On occasion;

5. Who will be required or asked to report: Individuals requiring a license to operate the controls at a nuclear facility;

6. An estimate of the number of responses: 1800;

7. An estimate of the total number of hours needed to complete the requirement or request: 450;

8. An indication of whether Section 3504(h), Pub. L. 96-511 applies: Not applicable;

9. Abstract: The Nuclear Regulatory under its rules and Regulations, specifically, Title 10, Chapter 1, Part 55, entitled "Operators' Licenses" requests detailed information that should be submitted by a licensing candidate when applying for a new or renewal license to operate the controls at a nuclear facility.

Copies of the submittal may be inspected or obtained for a fee from NRC Public Document Room, 1717 H Street N.W., Washington, D.C. 20555.

Comments and questions should be directed to the OMB reviewer, Gwendolyn W. Pla, (202) 395-6880.

NRC Clearance Officer is R. Stephen Scott, (301) 492-8585.

Dated at Bethesda, Maryland, this 11th day of August 1982.

For the Nuclear Regulatory Commission.

Patricia G. Norry,

Director, Office of Administration.

[FR Doc. 82-22753 Filed 8-18-82; 8:45 am]

BILLING CODE 7590-01-M

Documents Containing Reporting or Recordkeeping Requirements; Office of Management and Budget Review

AGENCY: Nuclear Regulatory Commission.

ACTION: Notice of the Office of Management and Budget review of information collection.

SUMMARY: The Nuclear Regulatory Commission has recently submitted to the Office of Management and Budget (OMB) for review the following proposal for the collection of information under the provisions of the Paperwork Reduction Act (44 U.S.C. Chapter 35).

1. Type of submission, new, revision or extension: New;

2. The title of the information collection: 10 CFR 50.72(c), "Notification of Significant Events";

3. The form number if applicable: Not applicable;

4. How often the collection is required: Only during applicable emergencies;

5. Who will be required or asked to report: Licensees;

6. An estimate of the number of responses: Perhaps one (1) every three years;

7. An estimate of the total number of hours needed to complete the requirement or request: Zero;

8. An indication of whether Section 3504(h), Pub. L. 96-511 applies: Not applicable;

9. Abstract: The Nuclear Regulatory Commission is amending its regulations to add 10 CFR 50.72(c) to require each Part 50 licensee to notify the NRC Operations Center by telephone of emergency circumstances requiring it to

take any protective action that departs from the facility's license. This is a minor addition to the reporting requirement already required by 10 CFR 50.72 (a) and (b).

Copies of the submittal may be inspected or obtained for a fee from NRC Public Document Room, 1717 H Street N.W., Washington, D.C. 20555

Comments and questions should be directed to the OMB reviewer, Gwendolyn W. Pla, (202) 395–6880.

NRC Clearance Officer is R. Stephen Scott, (301) 492–8585.

Dated at Bethesda, Maryland, this 11th day of August 1982.

For the Nuclear Regulatory Commission.

Patricia G. Norry,

Director, Office of Administration.

[FR Doc. 82–22754 Filed 8–18–82; 8:45 am]

BILLING CODE 7590–01–M

Documents Containing Reporting or Recordkeeping Requirements: Office of Management and Budget Review

AGENCY: Nuclear Regulatory Commission.

ACTION: Notice of the Office of Management and Budget review of information collection.

SUMMARY: The Nuclear Regulatory Commission has recently submitted to the Office of Management and Budget (OMB) for review the following proposal for the collection of information under the provisions of the Paperwork Reduction Act (44 U.S.C. Chapter 35).

1. Type of submission, new, revision or extension: Revision;

2. The title of the information collection: 10 CFR 50.36(f), Amendment, Reporting and Recordkeeping Requirements for Making Changes to Supplemental Specifications;

3. The form number if applicable: Not applicable;

4. How often the collection is required: On occasion;

5. Who will be required or asked to report: Nuclear power utilities;

6. An estimate of the number of responses: 42 reports, and 2 changes;

7. An estimate of the total number of hours needed to complete the requirement or request: 924;

8. An indication of whether Section 3504(h), Pub. L. 96–511 applies: Not applicable;

9. Abstract: To establish new reporting/recordkeeping requirements for licensees to make changes to supplements to their technical specifications in their licenses without prior Commission approval.

Copies of the submittal may be inspected or obtained for a fee from the NRC Public Document Room, 1717 H Street N.W., Washington, D.C. 20555.

Comments and questions should be directed to the OMB reviewer Gwendolyn W. Pla, (202) 395–6880.

NRC Clearance Officer is R. Stephen Scott, (301) 492–8585.

Dated at Bethesda, Maryland this 13th day of August 1982.

For the Nuclear Regulatory Commission.

Patricia G. Norry,

Director, Office of Administration.

[FR Doc. 82–22755 Filed 8–18–82; 8:45 am]

BILLING CODE 7590–01–M

[Docket No. 50–334]

Duquesne Light Co. et al.; Issuance of Amendment to Facility Operating License

The U.S. Nuclear Regulatory Commission (the Commission) has issued Amendment No. 56 to Facility Operating License No. DPR–66 issued to Duquesne Light Company, Ohio Edison Company, and Pennsylvania Power Company (the licensees), which revised Technical Specifications for operation of the Beaver Valley Power Station, Unit No. 1 (the facility) located in Beaver County, Pennsylvania. The amendment is effective as of the date of issuance.

The amendment revises Subsection b.3 of the surveillance requirement of Subsection 4.7.8.11, "Supplemental Leak Collection and Release System."

The application for amendment complies with the standards and requirements of the Atomic Energy Act of 1954, as amended (the Act), and the Commission's rules and regulations. The Commission has made appropriate findings as required by the Act and the Commission's rules and regulations in 10 CFR Chapter I, which are set forth in the license amendment. Prior public notice of this amendement was not required since this amendment does not involve a significant hazards consideration.

The Commission has determined that the issuance of this amendment will not result in any significant environmental impact and that pursuant to 10 CFR 51.5(d)(4) an environmental impact statment or negative declaration and environmental impact appraisal need not be prepared in connection with issuance of this amendment.

For further details with respect to this action, see (1) the application for amendment dated May 13, 1982, (2) Amendment No. 56 to License No. DPR–66 and (3) the Commission's related Safety Evaluation. All of these items are available for public inspection at the Commission's Public Document Room, 1717 H Street, N.W., Washington, D.C. and at the B. F. Jones Memorial Library 663 Franklin Avenue, Aliquippa, Pennsylvania 15001. A copy of items (2) and (3) may be obtained upon request addressed to the U.S. Nuclear Regulatory Commission, Washington, D.C. 20555, Attention: Director, Division of Licensing.

Dated at Bethesda, Maryland, this 13th day of August 1982.

For the Nuclear Regulatory Commission.

Steven A. Varga,

Chief, Operating Reactors Branch No. 1, Division of Licensing.

[FR Doc. 82–22746 Filed 8–18–82; 8:45 am]

BILLING CODE 7590–01–M

[Docket Nos. 50–250 and 50–251]

Florida Power and Light Co.; Issuance of Amendment To Facility Operating Licenses

The U.S. Nuclear Regulatory Commission (the Commission) has issued Amendment No. 88 to Facility Operating License No. DPR–31, and Amendment No. 82 to facility Operating License No. DPR–41 issued to Florida Power and Light Company (the licensee), which revised Technical Specifications for operation of Turkey Point Plant, Unit Nos. 3 and 4 (the facilities) located in Dade County, Florida. The amendments are effective as of the date of issuance.

The amendments change the Technical Specifications to modify F_Q and Figure 3.2–3, K(Z) versus core height, for the repaired steam generators.

The application for the amendments complies with the standards and requirements of the Atomic Energy Act of 1954, as amended (the Act), and the Commission's rules and regulations. The Commission has made appropriate findings as required by the Act and the Commission's rules and regulations in 10 CFR Chapter I, which are set forth in the license amendments. Prior public notice of these amendments was not required since the amendments do not involve a significant hazards consideration.

The Commission has determined that the issuance of these amendments will not result in any significant environmental impact and that pursuant to 10 CFR 51.5(d)(4) an environmental impact statement or negative declaration and environmental impact appraisal need not be prepared in connection with issuance of these amendments.

For further details with respect to this action, see (1) the application for amendments dated April 15, 1982, (2)

Amendment Nos. 88 and 82 to License Nos. DPR–31 and DPR–41, and (3) the Commission's Safety Evaluation. All of these items are available for public inspection at the Commission's Public Document Room, 1717 H Street, N.W., Washington, D.C. and at the Environmental and Urban Affairs Library, Florida International University, Miami, Florida 33199. A copy of items (2) and (3) may be obtained upon request addressed to the U.S. Nuclear Regulatory Commission, Washington, D.C. 20555, Attention: Director, Division of Licensing.

Dated at Bethesda, Maryland, this 13th day of August 1982.

For the Nuclear Regulatory Commission.

Steven A. Varga,

Chief, Operating Reactors Branch #1, Division of Licensing.

[FR Doc. 82–22748 Filed 8–18–82; 8:45 am]

BILLING CODE 7590–01–M

[Docket No. 72–1]

General Electric Co.; Issuance of Amendment to Materials License

The U.S. Nuclear Regulatory Commission (the Commission) has issued Amendment No. 1 to Materials License No. SNM–2500 issued to the General Electric Company which revised Technical Specifications for the receipt and storage of spend fuel at the General Electric Morris Operation, located in Grundy County, Illinois. The amendment is effective as of the date of issuance.

The amendment revises the Technical Specifications to allow the licensee to receive and store spent fuel at lower enrichments than previously specified and to allow the Plant Safety Committee to conduct meetings at less than a forty-five day interval.

The application for the amendment complies with the standards and requirements of the Atomic Energy Act of 1954, as amended (the Act), and the Commission's rules and regulations. The Commission has made appropriate findings as required by the Act and the Commission's rules and regulations in 10 CFR Chapter 1, which are set forth in the license amendment. Prior public notice of the amendment was not required since the amendment does not involve a significant hazards consideration.

The Commission has determined that the issuance of the amendment will not result in any significant environmental impact and that pursuant to 10 CFR 51.5(d)(4) an envirnomental impact statement or negative declaration and environmental impact appraisal need not be prepared in connection with issuance of the amendment.

For further details with respect to this action, see (1) the application for amendment dated June 25, 1982, (2) Amendment No. 1 to License No. SNM–2500, and (3) the Commission's letter to the licensee dated August 12, 1982. All of these items are available for public inspection at the Commission's Public Document Room, 1717 H Street, N.W., Washington, D.C. and at the Morris Public Library, 604 Liberty Street, Morris, Illinois 60451. A copy of items (2) and (3) can be obtained upon request addressed to the U.S. Nuclear Regulatory Commission, Washington, D.C. 20555, Attention: Director, Division of Fuel Cycle and Material Safety.

Dated at Silver Spring, Maryland, this 12th day of August 1982.

For the Nuclear Regulatory Commission.

Leland C. Rouse,

Chief, Advanced Fuel and Spent Fuel Licensing Branch, Division of Fuel Cycle and Material Safety.

[FR Doc. 82–22747 Filed 8–18–82; 8:45 am]

BILLING COSE 7590–01–M

[Docket No. 50–320]

Metropolitan Edison Co. (Three Mile Island Nuclear Station Unit No. 2); Correction

On Thursday, August 12, 1982 (47 FR 35052), the Commission published an order regarding the retention period of records related to the Three Mile Island Unit 2 accident that required preservation under a May 22, 1979 Commission Order. The heading on the Order was incorrect. It should have read, "Three Mile Island Nuclear Station, Unit No. 2, Docket No. 50–320," rather than "Three Mile Island Nuclear Station Unit 1, Docket No. 50–289."

Dated at Washington, D.C. this 16th day of August 1982.

For the Commission.

Samuel J. Chilk,

Secretary of the Commission.

[FR Doc. 82–22749 Filed 8–18–82; 8:45 am]

BILLING CODE 7590–01–M

[Docket Nos. 50–387 OL, 50–388 OL]

Pennsylvania Power & Light Co. and Allegheny Electric Cooperative, Inc. (Susquehanna Steam Electric Station, Units 1 and 2); Order

August 13, 1982.

Notice is hereby given that, in accordance with the Appeal Board's order of August 13, 1982, oral argument on the pending appeal of the Commonwealth of Pennsylvania from the April 12, 1982 initial decision of the Licensing Board will be heard at 10:00 a.m. on Wednesday, September 8, 1982, in the NRC Public Hearing Room, Fifth Floor, East-West Towers Building, 4350 East-West Highway, Bethesda, Maryland. The oral argument will be confined exclusively to the emergency planning dosimetry issues raised by the Commonwealth.

Dated: August 13, 1982.

For the Appeal Board.

C. Jean Shoemaker,

Secretary to the Appeal Board.

[FR Doc. 82–22750 Filed 8–18–82; 8:45 am]

BILLING CODE 7590–01–M

[Docket No. 50–344, License No. NPF–1, EA 82–67]

Portland General Electric Co., Trojan Nuclear Plant; Order Imposing Civil Monetary Penalties

I

Portland General Electric Company, 121 S.W. Salmon Street, Portland, Oregon 97204 (the "licensee") is the holder of License No. NPF–1 (the "license") issued by the Nuclear Regulatory Commission (the "Commission") which authorizes the licensee to operate the Trojan Nuclear Plant in Columbia County, Oregon, in accordance with conditions specified therein. The license was issued on November 21, 1975.

II

A special inspection of the licensee's activities under the license was conducted on March 16 through April 30, 1982 at the Trojan Nuclear Plant in Columbia County, Oregon. As a result of this inspection, it appears that the licensee had not conducted its activities in full compliance with the conditions of its license and the requirements of NRC regulations. A written Notice of Violation and Proposed Imposition of Civil Penalties was served upon the licensee by letter dated June 2, 1982. The Notice states the nature of the violations, the provisions of the Nuclear Regulatory Commission regulations and license conditions which the licensee had violated, and the amount of civil penalty proposed for each violation. An answer dated July 2, 1982 to the Notice of Violation and Proposed Imposition of Civil Penalties was received from the licensee.

III

Upon consideration of the answers received and the statements of fact, explanation, and argument for remission

or mitigation of the proposed civil penalties contained therein, as set forth in the Appendix to this Order, the Director of the Office of Inspection and Enforcement has determined that the penalties proposed for the violations designated in the Notice of Violation and Proposed Imposition of Civil Penalties should be imposed. The imposition will be as originally proposed except that the penalty is reduced by Ten Thousand Dollars because of the licensee's prompt and extensive corrective action upon discovering that a standing order had been improperly revised which resulted in equipment being inoperable.

IV

In view of the foregoing and pursuant to Section 234 of the Atomic Energy Act of 1954, as amended (42 U.S.C. 2282, Pub. L. 96–295), and 10 CFR 2.205, it is hereby ordered that:

The licensee pay civil penalties in the amount of Fifty Thousand Dollars ($50,000) within thirty days of the date of this Order, by check, draft, or money order, payable to the Treasurer of the United States and mailed to the Director of the Office of Inspection and Enforcement.

The licensee may within thirty days of the date of this Order request a hearing. A request for a hearing shall be addressed to the Director, Office of Inspection and Enforcement, USNRC, Washington, D.C. 20555. A copy of the hearing request shall also be sent to the Executive Legal Director, USNRC, Washington, D.C. 20555. If a hearing is requested, the Commission will issue an Order designating the time and place of hearing. If the licensee fails to request a hearing within thirty days of the date of this Order, the provisions of this Order shall be effective without further proceedings; if payment has not been made by that time, the matter may be referred to the Attorney General for collection. In the event the licensee requests a hearing as provided above, the issues to be considered at such hearing shall be:

(a) Whether the licensee violated NRC regulations and license conditions as set forth in the Notice of Violation and Proposed Imposition of Civil Penalties; and

(b) Whether, on the basis of such violations, this Order should be sustained.

Dated at Bethesda, Maryland this 12th day of August 1982.

For the Nuclear Regulatory Commission.

Richard C. DeYoung,

Director, Office of Inspection and Enforcement.

Appendix—NRC Evaluations and Conclusions

Background

Based on the licensee's response of July 2, 1980 to the NRC Notice of Violation and Proposed Imposition of Civil Penalties dated June 2, 1982 the NRC staff has concluded that the violation did occur, but that some mitigation is warranted. The severity level remains as cited because a limiting condition for operation was exceeding where the appropriate action statement was not satisfied, this resulted in a degraded condition, and sufficient information existed which should have alerted the licensee that he was in an Action Statement condition. This is consistent with the policy stated in Supplement I.C.1 of Appendix C to 10 CFR Part 2.

The licensee was cited for not conducting required surveillance when an emergency diesel generator was inoperable. This violation was a result of not completing the proposed corrective action following the discovery in May 1977 that the train "B" emergency diesel generator output breaker was inoperable when preferred instrument bus Y24 was being fed from nonpreferred instrument bus Y02. A design change to correct the identified problem was initiated by the licensee in 1977 but not completed until after the events leading to the present Notice of Violation had occurred. In addition, in 1977, the licensee issued a standing order which provided an interim administrative solution to the problem. However, plant operating procedures were never revised to reflect the limitations imposed by the standing order. The design change was assigned a low priority and in late 1980, before it was implemented, the previously issued standing order was revised. This revision, however, was based on a faulty analysis so that the revised standing order no longer provided the guidance needed to determine the operability of the train "B" diesel generator. Because of this deficiency, the licensee was not aware until January 16, 1982, that the "B" diesel generator had been inoperable for 87 hours in November 1981 and 34 days from December 1, 1981 through January 4, 1982. Accordingly, no steps were taken during those periods to perform the specified surveillance or commence a shutdown of the facility to cold shutdown conditions. It is noted, however, that the discovery of these periods of inoperability was the result of the licensee's investigation of related electrical problems and they then promptly and fully disclosed the information to the NRC. It should also be noted that upon discovery that the standing order was improperly revised, the licensee took prompt and extensive corrective action.

Subsequent to the licensee's discovery of this problem on January 16, 1982, a new standing order was issued which corrected the existing inadequacy. Operating Instruction OI–1–7, "120V AC Preferred Instrument Bus Operations" was revised to add the appropriate precautions, and a new request for design change was initiated to incorporate the originally proposed design change plus other appropriate changes. All of these changes were completed during the present refueling outage. In addition, the licensee states that training information bulletins (one of which was the basis for the incorrect revision of the standing order in 1981) are now required to undergo a more thorough level of review and approval prior to distribution and use. Also, all outstanding requests for design changes have been reviewed and assigned an updated priority as appropriate, or eliminated if no longer required.

Licensee Contentions

The licensee admits the violations of the technical specifications described in the Notice of Violation. The licensee disagrees, however, with the statement that "* * * effective corrective actions were not taken following the discovery in May 1977 * * *" The licensee maintains that effective actions was taken following the discovery in May 1977, and that this action took the form of a request for design change (RDC 77–093) and the issuance of a standing order. The licensee further maintains that the original standing order, an administrative control, by itself was adequate corrective action. However, the licensee also states that RDC 77–093 was issued merely to allow elimination of the administrative control, and not to correct a design deficiency.

The licensee acknowledges that the cause of this event was an analytical error that led to an incorrect training information bulletin that was ultimately reflected in July 1981 in an incorrect revision of the standing order which was relied upon as an administrative control. The licensee maintains that this was the actual cause of the event. The licensee also maintains that the problems with the diesel generators were not a design deficiency and that minimal or no safety considerations were involved.

Response to Licensee Contentions

Without addressing the relative merits of administrative controls versus design changes, the licensee's initial corrective actions following discovery of the condition in May 1977 would have been effective but for the 1981 revision to the standing order. The use of an incorrect analysis in 1980 to revise the original standing order was one reason the initial corrective action became ineffective. Another reason, however, was the failure to follow through in a timely manner in implementing RDC 77–093. The corrective actions were deficient because formal plant operating procedures were not revised at the time of the discovery of the problem in 1977 nor at the time of the revision of the standing order in 1981. Such actions would have provided the formal review which is designed to assure thorough consideration of plant and procedure

changes. This is not to imply that standing orders are not a permissible method for corrective action. However, such orders must be associated with sufficient safe guards to preclude their revision without appropriate reviews as required by Technical Specification 6.8.

Whether the problem under discussion was due to a design deficiency depends upon the system design criteria and the attendant administrative controls. It is clear that, beginning in July 1981, the administrative controls were inadequate. It is also clear that the licensee has chosen to revise the design. Whether or not the problem was the result of a design deficiency does not have a significant bearing on the overall issue.

The licensee's contention that the condition had little or no safety significance is based on the further contentions that: (1) The plant is unlikely to need the diesel generators while preferred instrument buses Y22 or Y24 are supplied by their alternate power sources, (2) the diesel generator circuit breaker could have been maintained shut by manual action, and (3) the diesel generators were not needed during this period.

Regarding contention No. 1, although the staff agrees that it is unlikely that an event will occur which will require use of the emergency diesel generators, the consequences of such an event without the immediate availability of the generators have been evaluated and this evaluation was the basis for the operability requirements for the emergency diesel generators as contained in the technical specifications.

Regarding contention No. 2, although the licensee maintains it was possible to close the diesel generator breaker manually, we note that the licensee's Final Safety Analysis Report assumes automatic loading of all essential loads onto the diesel within less than one minute for the limiting accidents. Therefore, the staff does not agree that the problem has minor safety significance.

Regarding contention No. 3, the staff considers the statement that a need for the diesel generators did not occur, is merely a statement of fact, not a contention.

Based on the foregoing, the staff concludes that the licensee has not presented any information that substantially changes the facts concerning the violation nor its severity level.

Consideration of Mitigation

The licensee has proposed several bases for reduction of the amount of the proposed civil penalties. We have carefully considered each of these and, based on our review, have concluded that a 25 percent reduction ($10,000) from the base penalty ($40,000) is warranted. The reduction is deemed warranted for the licensee's prompt and extensive corrective action upon the discovery that the standing order had been improperly revised and had resulted in the equipment being inoperable.

[FR Doc. 82-22751 Filed 8-18-82; 8:45 am]

BILLING CODE 7590-01-M

[Docket No. 50-206, License No. DPR-13, EA 82-43]

Southern California Edison and San Diego Gas and Electric Co. (San Onofre Nuclear Generating Station Unit No. 1); Order Imposing Civil Monetary Penalties

I

The Southern California Edison Company and the San Diego Gas and Electric Company (the "licensee") hold Provisional Operating License No. DPR-13 (the "license"), issued by the Nuclear Regulatory Commission (the "Commission"). The license authorizes the licensee to operate the San Onofre Nuclear Generating Station Unit No. 1 (the "facility") at power levels not in excess of 1347 megawatts (thermal) rated power. The facility, which is located at the licensee's site in San Diego County, California, is a pressurized-water reactor (PWR) used for the commercial generation of electricity.

II

A routine physical security inspection of the licensee's activities under the license was conducted by Region V on January 10-12, 1982 and February 8-12, 1982. As a result of this inspection, it appears that the licensee had not conducted its activities in full compliance with NRC's regulatory requirements. A written Notice of Violation and Proposed Imposition of Civil Penalties was served upon the licensee by letter dated June 17, 1982. This Notice stated the nature of the violations, the provisions of the Nuclear Regulatory Commission regulations which the licensee had violated, and the amount of civil penalty proposed for each violation. A reply dated July 16, 1982 to the Notice of Violation and Proposed Imposition of Civil Penalties was received from the licensee.

III

Upon consideration of the answer received and the statements of fact, explanation, and argument for remission contained therein, as set forth in the Appendix to this Order, the Director of the Office of Inspection and Enforcement has determined that the penalties proposed for the violations designated in the Notice of Violation and Proposed Imposition of Civil Penalties should be imposed.

IV

In view of the foregoing and pursuant to Section 234 of the Atomic Energy Act of 1954, as amended (42 U.S.C. 2282, Pub. L. 96-295), and 10 CFR 2.205, it is hereby ordered that:

The licensee pay civil penalties in the total amount of Sixty Thousand Dollars within 30 days of the date of this Order, by check, draft, or money order, payable to the Treasurer of the United States, and mailed to the Director of the Office of Inspection and Enforcement.

V

The licensee may, within 30 days of the date of this Order, request a hearing. A request for hearing shall be addressed to the Director, Office of Inspection and Enforcement, U.S. Nuclear Regulatory Commission, Washington, D.C. 20555. A copy of the hearing request shall also be sent to the Executive Legal Director, U.S. Nuclear Regulatory Commission, Washington, D.C. 20555. If a hearing is requested, the Commission will issue an Order designating the time and place of hearing. Upon failure of the licensee to request a hearing within 30 days of the date of this Order, the provisions of this Order shall be effective without further proceedings and, if payment has not been made by that time, the matter may be referred to the Attorney General for collection.

In the event the licensee requests a hearing as provided above, the issues to be considered at such hearing shall be:

(a) Whether the licensee violated NRC regulatory requirements as set forth in the Notice of Violation and Proposed Imposition of Civil Penalties; and

(b) Whether, on the basis of such violations, this Order should be sustained.

Dated at Bethesda, Maryland this 11th day of August 1982.

For the Nuclear Regulatory Commission.

Richard C. DeYoung,

Director, Office of Inspection and Enforcement.

Appendix—Evaluation and Conclusion

The licensee admits to all of the violations as set forth in the Notice of Violation dated June 17, 1982. In the licensee's response dated July 16, 1982, reasons given for the cited violations included inadequate procedures, failure of personnel to follow established procedures, inadequate training and/or experience of personnel, inadequate manning of security posts, inadequate safeguards detection equipment, and inadequate administrative controls to assure timely corrective maintenance of equipment. In addition, the licensee included in the response of July 16, 1982, a request for remission of the proposed civil penalties pursuant to the provisions of 10 CFR 2.205(b) on the following bases:

1. A fundamental, underlying cause of problems exemplified by the identified violations, characterized in the June 17, 1982 letter as "inadequate management control," had been previously identified by SCE and corrective action initiated;

2. The identified violations, classified as Severity Level III on the basis of failure to provide positive access control, represent system and procedural breakdowns which provided a limited opportunity for unauthorized access to a limited portion of a single Vital Area; however, no access inimical to safe plant operation occurred; and,

3. SCE's corrective action in response to the identified violations has been unusually prompt and extensive.

The NRC expects licensees to carry out licensed activities with the necessary meticulous attention to detail to maintain a high standard of compliance with regulatory requirements. SCE's contention that action initiated in late 1981 to correct inadequate supervision and management of its safeguards program provides adequate grounds for remission of the proposed civil penalties is without merit. The inspection was conducted in January and February 1982 at which time the cited violations observed by the inspectors indicated that corrective action by SCE had been, to that time, ineffective to provide the necessary incentive for the licensee security personnel to comply with NRC requirements. Degradation of management controls to the point evidenced by the cited violations is unacceptable.

The licensee's second contention that no access inimical to safe plan operations occurred as a result of the violations classified as a Severity Level III is insufficient to justify remission of the proposed civil penalties. Had an unauthorized entry actually occurred, the violation would have been assigned a higher severity classification with a correspondingly larger penalty.

The licensee appears to have based its third contention (that corrective action in response to the violations has been prompt and extensive) on the fact that the identified violations did not represent failure to control access which permitted unauthorized access inimical to safe plant operation or public health and safety. Corrective action is always necessary to meet NRC requirements. The staff believes that the licensee's corrective action has been appropriate and of the type normally considered necessary and prudent to ensure compliance with regulatory requirements, but such action is not considered extensive or unusual. The staff believes that the proposed sanctions will provide the licensee, and others similarly situated, the additional incentive to maintain a high standard of compliance with NRC requirements.

Based on the foregoing the staff finds no justifiable grounds or reasons not previously considered to remit or mitigate the penalties proposed in the Notice of Violation and Proposed Imposition of Civil Penalties dated June 17, 1982.

[FR Doc. 82-22752 Filed 8-18-82; 8:45 am]

BILLING CODE 7590-01-M

POSTAL RATE COMMISSION

[Order No. 442; Docket No. A82-13]

Mayfield, Oklahoma 73656 (Mr. and Mrs. Ken C. Reed, et al., Petitioners); Notice and Order of Filing of Appeal

August 10, 1982.

On July 28, 1982, the Commission received appeal letters from Mr. and Mrs. Ken C. Reed and Lisa Charton (hereinafter "Petitioners"), concerning the United States Postal Service's closing of the Mayfield, Oklahoma, post office. On August 2, 1982, the Commission received an appeal letter from Mr. and Mrs. Harold Hoffer.[1] These appeal letters appear to request the review provided for by section 404(b) of the Postal Reorganization Act [39 U.S.C. 404(b)].[2] The petitions do not conform perfectly with the Commission's rules of practice, which also require a petitioner to attach a copy of the Postal Service's Final Determination to the petition.[3] However, section 1 of the Commission's rules of practice[4] calls for a liberal construction of the rules to secure just and speedy determination of issues.

The Act requires that the Postal Service provide the affected community with at least 60 days' notice of a proposed post office closing so as to "ensure that such persons will have an opportunity to present their views."[5] The petition requests that the decision to close the Mayfield post office be reconsidered.

The Postal Reorganization Act states:

> The Postal Service shall provide a maximum degree of effective and regular postal services to rural areas, communities, and small towns where post offices are not self-sustaining. No small post office shall be closed solely for operating at a deficit, it being the specific services to be insured to residents of both urban and rural communities.[6]

Section 404(b)(2)(C) of the Act specifically includes consideration of this goal in determinations by the Postal Service to close post offices. The effect on the community is also a mandatory consideration under section 404(b)(2)(A) of the Act.

The petitions appear to set forth the Postal Service action complained of in sufficient detail to warrant further inquiry to determine whether the Postal Service complied with its regulations for the closing of post offices.[7]

Upon preliminary inspection, this case appears to involve the following issues of law:

1. Whether the Postal Service's actions are consistent with the statutory requirement that the Postal Service provide a maximum degree of effective and regular postal services to rural areas, communities and small towns where post offices are not self-sustaining [39 U.S.C. 404(b)(2)(C)].

2. Whether the procedure followed by the Postal Service was in compliance with the statute and the Postal Service's regulations.

Other issues of law may become apparent when the Commission has had the opportunity to examine further the determination made by the Postal Service. Such additional issues may emerge when the parties and the Commission review the Service's determination for consistency in light of our decision in *Lone Grove, Texas, et al.*, (May 7, 1979), and the Commission's subsequent decisions on appeals of post office closings and consolidations. The determination may be found to resolve adequately one or more issues involved in the case.

In view of the above, and in the interest of expediting this proceeding under the 120-day decisional deadline imposed by section 404(b)(5), the Postal Service is advised that the Commission reserves the right to request a legal memorandum from the Service on one or more of the issues described above and/or any further issues of law disclosed by the determination made in this case. In the event that the Commission finds such memorandum necessary to explain or clarify the Service's legal position or interpretation on any such issue, it will make the request therefor by order, specifying the issues to be addressed.

When such a request is issued, the memorandum shall be due within 20 days of the issuance, and a copy of the memorandum shall be served on the Petitioners by the Service.

In briefing the case or in filing any motion to dismiss for want of prosecution, in appropriate circumstances the Service may incorporate by reference all or any portion of a legal memorandum filing pursuant to such an order.

The Act does not contemplate appointment of an Officer of the

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[1] On July 28, 1982, this Commission received a letter from Eileen C. Logan, the Officer-in-Charge at the Mayfield post office. We decline to construe her letter as a petition for appeal until further inquiry since it also concerns a matter of employment.

[2] 39 U.S.C. 404(b) was added to title 39 by Pub. L. 94-421 (September 24, 1976), 90 Stat. 1310-11. Our rules of practice governing these cases appear at 39 CFR 3001.110 *et seq.*

[3] 39 CFR 3001.1.

[4] 39 CFR 3001.1.

[5] 39 U.S.C. 404(b)(1).

[6] 39 U.S.C. 101(b).

[7] 42 FR 59079-85 (November 17, 1977); the Commission's standard of review is set forth at 39 U.S.C. 404(b)(5).

Commission in section 404(b) cases,[8] and none is being appointed.

The Commission orders:

(A) The letters from Mr. and Mrs. Ken C. Reed, Lisa Charton, and Mr. and Mrs. Harold Hoffer be accepted as petitions for review pursuant to section 404(b) of the Act [39 U.S.C. 404(b)].

(B) The Secretary of the Commission shall publish this Notice and Order in the **Federal Register.**

By the Commission.

David F. Harris,

Secretary.

Appendix

July 28, 1982—Filing of Petition
August 10, 1982—Notice and Order of Filing of Appeal
August 12, 1982—Filing of Record by Postal Service [*see* 39 CFR 3001.113(a)].
August 17, 1982—Last day for filing of petitions to intervene [*see* 39 CFR 3001.111(b)].
August 27, 1982—Petitioner's Initial Brief [*see* 39 CFR 3001.115(a)].
September 13, 1982—Postal Service Answering Brief [*see* 39 CFR 3001.115(b)].
September 28, 1982—(1) Petitioner's Reply Brief should petitioner choose to file [*see* 39 CFR 3001.115(c)]
(2) Deadline for motions by any party requesting oral argument. The Commission will exercise its discretion, as the interest of prompt and just decision may require, in scheduling or dispensing with oral argument.
Expiration of 120 day decisional schedule [*see* 39 U.S.C. 404(b)(5)].

November 25, 1982.

[FR Doc. 82-22847 Filed 8-18-82; 8:45 am]
BILLING CODE 7715-01-M

SECURITIES AND EXCHANGE COMMISSION

[Release No. 22603 (70-6764)]

American Electric Power Company, Inc.; Proposed Issuance and Sale of Common Stock

American Electric Power Company, Inc. ("AEP"), 180 East Broad Street Columbus, Ohio 43215 a registered holding company, has filed a declaration with this Commission pursuant to Sections 6(a), 7, and 12(c) of the Public Utility Holding Company Act of 1935 ("Act") and Rules 42 and 50 promulgated thereunder.

AEP proposes to issue and sell up to 7,000,000 shares of its authorized but unissued common stock, par value $6.50 per share, at competitive bidding in one or more transactions from time to time through March 31, 1983. AEP will publicly invite from time to time sealed, written proposals from prospective bidders for these stock purchases. Initially, a published invitation will request that parties interested in bidding advise AEP. Such public invitation will be made at such time as may be permissible under the Securities Act of 1933 and at least 6 days prior to AEP's entering into any contract or agreement for the issuance and sale of any these shares. Thereafter, in accordance with the competitive bidding requirements of Rule 50 and with the terms of the public invitation, AEP will notify prospective bidders, by telephone with a follow-up written telegraphic confirmation, of the date and time for each presentation and opening of proposals. For each issuance and sale, all prospective bidders will receive this telephone notification not less than 48 hours prior to the time designated for the presentation of proposals. AEP will also designate in each such notice the number of shares to be issued and sold, subject to AEP's right to designate a different number upon at least 24 hours' notice prior to the time of bidding.

It is stated that if market conditions are not propitious for the sale of the common stock on a competitive bidding basis, AEP proposes, subject to further authorization by the Commission, to negotiate with one or more prospective purchasers the terms of the sale of shares of common stock (which purchasers would agree promptly to offer to the public), in which case the proposed offering terms and proceeds to AEP would be determined by such negotiation and submitted to the Commission for approval.

AEP intends to use the net proceeds of the sale of common stock to pay off at or before maturity, and to retire, short-term debt of AEP (represented by commercial paper or notes payable to banks, or both) and for other corporate purposes. At June 30, 1982, AEP had short-term debt of approximately $124,000,000 outstanding, and it is estimated that not more than $150,000,000 of short-term debt will be outstanding as of the date of the first sale by AEP of shares of its common stock pursuant to the proposed financing program.

The declaration and any amendments thereto are available for public inspection through the Commission's Office of Public Reference. Interested persons wishing to comment or request a hearing should submit their views in writing by September 7, 1982, to the Secretary, Securities and Exchange Commission, Washington, DC. 20549, and serve a copy on the declarant at the address specified above. Proof of service (by affidavit or, in case of an attorney at law, by certificate) should be filed with the request. Any request for a hearing shall identify specifically the issues of fact or law that are disputed. A person who so requests will be notified of any hearing, if ordered, and will receive a copy of any notice or order issued in this matter. After said date, the declaration, as filed or as it may be amended, may be permitted to become effective.

For the Commission, by the Division of Corporate Regulation, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22855 Filed 8-18-82; 8:45 am]
BILLING CODE 8010-01-M

[8] In the Matter of Gresham, S.C., Route #1, Docket No. A78-1 (May 11, 1978).

[Release No. 12586 (811-1697)]

Asset Investors Fund, Inc.; Filing of Application Pursuant to Section 8(f) of the Act and Rule 8f-1 Thereunder for an Order Declaring That Applicant Has Ceased To Be an Investment Company

Notice is hereby given that Asset Investors Fund, Inc. ("Applicant"), 67 Wall Street New York, New York 10005, registered under the Investment Company Act of 1940 ("Act") as a closed-end, diversified, management investment company, filed an application on June 16, 1982, for an order of the Commission, pursuant to Section 8(f) of the Act and Rule 8f-1 thereunder, declaring that Applicant has ceased to be an investment company as defined by the Act. All interested persons are referred to the application on file with the Commission for a statement of the representations contained therein, a summary of which is set forth below.

Applicant states that it registered under the Act in May 1968, and that it filed a registration statement, pursuant to Section 8(b) of the Act, with the Commission on July 29, 1968. Applicant states further that it filed a registration statement on Form S-4 with the Commission on July 29, 1968. Applicant represents that as of June 30, 1979, it had net assets of $6,074,410.00, or a net asset value of $11.91 per share. Applicant states that, pursuant to a plan for liquidation and dissolution, it has distributed approximately 95% of its assets and has established a reserve fund to provide for the payment of all its debts, liabilities and obligations.

Applicant states that as of March 31, 1982, its assets consisted of $226,136.00 invested in short-term interest bearing securities, $25,317.00 in cash, $3,884.00 in prepared insurance, and $129.00 in other receivables, for a total of $225,466.00 in

retained assets. Applicant represents that these assets have been retained to meet expenses incurred in the winding up of its affairs and that such expenses consist primarily of legal fees, accounting fees, transfer agent fees, and printing costs. Applicant represents further that any assets remaining after expenses have been paid will be distributed to Applicant's remaining 279 shareholders as a final liquidating distribution.

Section 8(f) of the Act provides, in pertinent part, that when the Commission upon application, finds that a registered investment company has ceased to be an investment company, it shall so declare by order, and that, upon the effectiveness of such order, the registration of such company will cease to be in effect. Rule 8f–1 under the Act prescribes Form N–8F as the form for application for an order, pursuant to Section 8(f) of the Act, where, as here pertinent, a registered investment company has distributed substantially all of its assets to its shareholders and has effected, or is in the process of effecting, a winding up of its affairs.

Notice is further given that any interested person may, not later than September 2, 1982, at 5:30 p.m., submit to the Commission in writing a request for a hearing on the application accompanied by a statement as to the nature of his interest, the reason for such request, and the issues, if any, of fact or law proposed to be controverted, or he may request that he be notified if the Commission shall order a hearing thereon. Any such communication should be addressed: Secretary, Securities and Exchange Commission, Washington, D.C. 20549. A copy of such request shall be served personally or by mail upon Applicant at the address stated above. Proof of such service (by affidavit or, in the case of an attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0–5 of the Rules and Regulations promulgated under the Act, an order disposing of the application will be issued as of course following said date unless the Commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearing is ordered, will receive any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof.

For the Commission, by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22966 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

[Release No. 12590 (812–5109)]

The Bank of New York; Application for an Order Pursuant to Section 6(c) of the Act Granting an Exemption

Notice is hereby given that the Bank of New York ("Applicant"), 90 Washington Street, New York, New York 10015, filed an application on February 8, 1982, requesting an order of the Commission, pursuant to 6(c) of the Investment Company Act of 1940 ("Act"), exempting Applicant, any subcustodian of Applicant and any investment company registered under the Act (other than an investment company registered under Section 7(d) of the Act) ("Company") from the provisions of Section 17(f) of the Act and Rule 17f–4 thereunder to the extent necessary to permit Applicant, as custodian of the securities and other assets of such investment company or as the subcustodian of such securities and assets as to which any other entity is acting as custodian and such other entity for which Applicant so acts, to deposit, or to cause or permit the deposit of, such securities and assets in certain foreign banks and foreign securities depositories in accordance with the arrangements described below. All interested persons are referred to the application on file with the Commission for a statement of the representations made therein, which are summarized below.

Applicant represents that it is a New York corporation authorized to engage in the banking business. Applicant states that it provides the whole range of commercial banking and trust services. Applicant further states that it is a "bank" as defined in the Act which meets the qualifications of Section 26(a)(1) of the Act for the trustees of unit investment trusts. Accordingly, Applicant represents that it and its branches overseas, to the extent such branches are permitted to act as custodian of securities under the laws of the jurisdictions in which they are located, may act as custodians for registered investment companies under Section 17(f)(1) of the Act.

Applicant represents that it has developed a system for establishing and maintaining custody accounts abroad for customers owning securites traded primarily in markets outside of the United States. Applicant states that a number of investment companies have adopted investment policies authorizing investment of assets in the securities of foreign issuers. Applicant wishes to extend to such companies an opportunity to use this system so as to permit their securities to be held abroad. Applicant plans to arrange for the custody of the securites entrusted to its care through its foreign branches or through foreign banks or securities depositories which have entered into agreements with Applicant or Applicant's foreign bank agent to maintain physical custody of the securities. Such services may be provided by Applicant directly to the Company or by Applicant as a subcustodian to an entity which acts as the custodian for the assets of the Company. Prior to the holding by Applicant or Applicant's foreign bank agents of securities in any foreign location, the Company would determine the country or countries in which its assets may be located and would instruct Applicant as to such determination. Applicant will accept no responsibility for any such determination. Applicant states, that it would be the responsibility of the Company and its investment advisor to review the applicable foreign law to determine whether or not such laws would offer the Company and its investors adequate protection of their banks and securities depositories located in that country.

Upon the determination by the Company of the foreign location, Applicant will select in its sole discretion and with the exercise of reasonable care Applicant's foreign branch or the foreign bank to have custody of the securities to be held in that particular country. The foreign bank may be a foreign bank that is an affiliate or subsidiary of Applicant or such other foreign bank as Applicant may designate. It is anticipated that Applicant will, whenever possible, select as the subcustodian its own foreign branch. In order to facilitate the clearance and settlement of transactions, Applicant or the foreign bank acting as the subcustodian of the securities may deposit the securities in any foreign securities depository in which it is a participant. The entity entrusted with the physical custody of the securities (whether it be Applicant's foreign branch, a foreign bank or securities depository) will be subject to the instructions of Applicant, or in the event that a foreign bank has deposited the securities in a securities depository to the instructions of that foreign bank,

and not to those of the Company, and will act solely as agent of Applicant or of such foreign bank, as the case may be.

Section 17(f) of the Act provides, as here relevant, that every registered management investment company shall place and maintain its securities and similar investments in the custody of a bank having a certain minimum amount of aggregate capital, surplus and undivided profits as set forth in Section 26(a)(1) of the Act for trustees of unit investment trusts. The term "bank" is defined by Section 2(a)(5) of the Act to include: (1) A banking institution organized under the laws of the United States, (2) a member bank of the Federal Reserve System, and (3) any other banking institution or trust company doing business under the laws of any State or of the United States, a substantial portion of whose business consists of receiving deposits or exercising fiduciary powers similar to those permitted to national banks under the authority of the Comptroller of the Currency and which is supervised and examined by State or Federal authorities having supervision over banks. The application states that the foreign banks and securities depositories which Applicant intends to use in the proposed arrangement do not appear to fall within this definition. Consequently, Section 17(f) would prohibit registered management investment companies from depositing their securities in such foreign banks and foreign securities depositories unless the Commission issued an exemptive order to permit it. Additionally, Rule 17f–4 under the Act specifies five conditions that must be satisfied in order for a custodian to deposit investment company portfolio securities with a registered clearing agency which acts as a securities depository. Applicant, however, cannot rely on Rule 17f–4 as authority for depositing such securities with foreign securities depositories because those depositories are not clearing agencies registered with the Commission under Section 17A of the Securities Exchange Act of 1934 as required by the rule. Accordingly, the application has been filed, pursuant to Section 6(c) of the Act, for an order exempting any registered investment company (other than those registered under Section 7(d) of the Act) to whom Applicant provides custodial services abroad, any custodian for which Applicant acts as subcustodian and any subcustodian of Applicant from the provisions of section 17(f) of the Act and Rule 17f–4 thereunder so that Applicant may offer its custodial services abroad to such registered investment companies.

Section 6(c) of the Act provides, in pertinent part, that the Commission, by order upon application, amy conditionally or unconditionally exempt any person secrity or transaction, or any class or classes of persons, securities or transactions, from any provision of the Act or any rule or regulation thereunder, if and to the extent that such exemption is necessary or appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act.

Applciant represents that the approval of its application is both necessary and appropriate in the public interest. Applicant submits that its present proposal would allow a Company to arrange through a single servicing agent, ("Applicant") for the custody and movement of securities held abroad wherever they might be lcoated. By centralizing the administration of the custodial services and arranging for the clearance and settelment of securities transactions through Applicant's foreign branches and foreign agents, the Applicant's plan would result in operational efficiencies and reduced costs to the Company. In the absence of such a custodial service, a Company, in the interest of operational efficiencies and cost, would need to locate a custodian or subcustodian for each local market in which it effects securities transactions and provide for some means by which the activities of various agents could be coordinated and the reporting of transactions made uniform. According to the application, it would prove both difficiult and costly to arrange for such necessary serivces. Furthermore, Applicant does not beleive that the services to be offered could be made available by others in respect of the various foreign national securities markets in the abence of an exemptive order.

Applicant represents that the exemptions sought in its application are consistent with the protection of investors because Applicants plan affords to a Company the same degree of contractual responsibility that a Company would have if its securities were continuously retained in the direct custody of Applicant. The standard of care applicant intends for such a deposit is that Applicant will use resasonable care with respect to the safekeeping of the securities, including the selection of foreign banks which have custody of secrities, but that Applicant need not maintain any insurance for the benefit of a Company. Applicant will warrant to each Company that the established procedures to be followed by each foreign branch of Applicant and by each foreign bank (including securities depositories holding securities on behalf f such foreign branches or banks) holding such Company's securities, in the opinion of Applicant after due inquiry by it, afford protection for such Company's securities at least equal to that afforded by Applicant's established procedures with respect to similar securities held by Applicant (inclduing its securities depositories) in New York. Also, irrespective of the entity having actual physical possession of part or all of a Company's securities, Applicant would agree to be held to the same legal standard of reasonable care with respect to the safekeeping of such securities as may at any time be held by a foreign branch of Applicant or by a foreign bank r securities depository for the account of Applicant (directly or indirectly through a foreign bank) as would be applicable if Applicant were itself holding such securities in New York, i.e., the standard of reasonable care referred to above.

According to the application, the custody agreement between Applicant and the Company, or the subcustodial agreement between Applicant and the entity which acts as the custodian for the assets of the Company, would be subject to the approval of the Company and would contain provisions deemed necessary by the Company to comply with the requirements of Section 17(f) of the Act, including any provisions required under the conditions of the order being sought by the application, and any other provisions deemed appropriate or necessary by the parties thereto and not inconsistent with the provisions of the Act. The custody agreement would be required to be approved by the board of directors of the Company, and reviewed at least annually, as required by Rule 17f–4(d)(5). In any event, the custody agreement would include provisions to the following effect:

1. Where securities are deposited by Applicant with a foreign bank or securities depository, Applciant shall identify on its books as belonging to the investment company the securities shown on Applicant's account on the books of the foreign bank or securities depository.

2. Where securities are deposited by a foreign bank with a securities depository, Applicant shall cause the foreign bank to identify on tis books as belonging to Applicant, as agent, the securities shown on the foreign bank's

account on the books of the securities depository.

3. All securities of the investment company maintained abroad through Applicant will be subject only to the instructions of Applicant or its agents.

4. Applicant will deposit securities in an account with a foreign bank which includes only assets held by Applicant for its customers.

5. Applciant will supply periodically, as mutually agreed with the Company, statements in respect of the securities, which would include identifications of the foreign entities having custody of the securities and dexriptions thereof. In addition, Applicant will send the company advices or notifiications of any tansfers of securities to or from the investment company's account with Applicant indicating the then location of the securities.

6. Applicant will authorize the holding of securities by a foreign bank or securities depository only: (a) To the extent that the securities are not subject to any right, charge, security interest, lien or claim of any kind in favor of the foreign entity except for their safe custody or administration and (b) to the extent that beneficial ownership of such securities is freely transferable without the payment of money or value other than for safe custody or administration; provided, however, that the foregoing shall not apply to the extent that any of the above-mentioned rights, charges, etc. result from any arrangements made by the Company with any such foreign bank or securities depository.

7. Applicant intends that the standard forms of custody agreements will provide that Applicant, in the performance of its duties thereunder, including the selection of foreign banks which may have custody of securities, shall exercise reasonable care, but that Applicant will not be required to maintain any insurance for the benefit of the company whose securities may be so held.

8. Applicant also intends that such standard forms of custody agreements will designate the law of New York as governing law and will provide that Applicant will idemnify and hold the company whose securities are held pursuant thereto harmless from and against any loss which shall occur as the result of the failure of a foreign bank or securities depository holding such securities to exercise reasonable care with respect to the safekeeping of such securities to the same extent that Applicant would be required to indemnify and hold such Company harmless if Applicant itself were holding such securities in New York. It is intended that such agreements would provide that Applicant will not have liability for loss except by reason of Applicant's negligence, fraud or willful misconduct or by reason of the negligence, fraud or willful misconduct of the foreign bank or securities depository holding such securities. While these provisions of such agreements may be modified as a result of negotiations between Applicant and such Company, Applicant would not modify such provisions to provide for a lesser degree of responsibility in respect of the safekeeping of securities held.

9. Access shall be afforded to the independent public accountants of the Comany to such of the records of Applicant and, subject to restrictions under applicable laws, of any foreign bank or securities depository in respect of securities of the Company as shall be required by such accountants in connection with their examination of the books and records pertaining to the affairs of the Company. As the Company may reasonably request from time to time, Applicant will furnish its auditor's reports on Applicant's system of internal accounting controls as they relate to the service, and Applicant will use its best efforts to obtain and furnish similar reports of each foreign bank and foreign securities depository holding securities of such Company.

Notice is further given that any interested person may, not later than September 6, 1982, at 5:30 p.m., submit to the Commission in writing a request for a hearing on the application accompanied by a statement as to the nature of his/her interest, the reason for such request, and the issues, if any, of fact or law proposed to controverted, or he/she may request that he/she be noftified if the Commission shall order a hearing thereon. Any such communication should be addressed: Secretary, Securities and Exchange Commission, Washington, D.C. 20549. A copy of such request shall be served personally or by mail upon Applicant at the address stated above. Proof of such service (by affidavit or, in the case of an attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0–5 of the Rules and Regulations promulgated under the Act, an order disposing of the application will be issued as of course following said date unless the commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearing is ordered, will receive any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof.

For the Commission, by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22664 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

[Release No. 12602 (812–5129)]

Biotech Capital Corp. et al.; Filing of Application for an Order

Notice is hereby given that Biotech Capital Corporation ("Biotech") 11 Hanover Square New York, New York 10005, a business development company regulated under the Investment Company Act of 1940 ("Act"). Questech Capital Corporation, a licensed small business investment company registered under the Act as a closed-end, non-diversified, management company, and a wholly-owned subsidiary of Biotech; John H. Abeles, M.D., a director of Biotech and Questech; and John C Thomas and Jeremy L. Wiesen, members of the investment advisory committee of Biotech (Messrs. Abeles, Thomas and Wiesen are hereinafter sometimes referred to collectively as "Individual Applicants," and Biotech, Questech and the Individual Applicants are hereinafter referred to collectively as "Applicants"), filed an application on March 4, 1982, and an amendment thereto on July 20, 1982, requesting an order of the Commission pursuant to Sections 17(d), and 57(a) of the Act, and rule 17d–1 thereunder, permitting the joint investment by Questech and the Individual Applicants in Financial News Network Inc., ("FNN"), a development stage company organized under the laws of the State of California. All interested persons are referred to the application on file with the Commission for a statement of the representations contained therein, which are summarized below.

Applicants state that Biotech was organized under Delaware law on December 19, 1979 under the name Questech Capital Corporation, changing its name to Biotech Capital Corporation on September 10, 1980. It is further stated that Biotech is engaged in a business which involves participating in the growth of new and emerging companies in high technology areas particularly those offering scientific or biotechnological products or services ("venture capital activities") and providing analytical securities information through computer time-sharing principally to customers engage primarily in analyzing, trading and investing in securities.

Applicants state further that Biotech conducts its venture capital activities both directly, and indirectly through Questech, which received its license from the Small Business Administration in June, 1981 to operate as a small business investment company. Questech, it is stated, is authorized to provide capital to small business concerns (as defined in the Small Business Investment Act of 1958) either through long-term loans or through equity investments.

Applicants state that FNN has, since November, 1981, been engaged in the production and distribution, via communications satellite, of financial and business news programming on a commercial basis to television broadcast stations and cable systems throughout the United States. In November, 1981, it is stated, FNN became a wholly-owned subsidiary of Financial News Broadcasting Company ("FNBC") (formerly named "Three-Ring Productions, Inc."), a corporation engaged directly and through another subsidiary, Solaris International Pictures, Inc. ("Solaris"), in the production of television programs. Prior to November, 1981, Applicants state, FNN constituted a division of FNBC.

Applicants state that from October, 1981 to January, 1982, Biotech and Questech rendered extensive managerial assistance to FNN with respect to financial planning and budget development, organizational planning and controls, and marketing. During this period, it is stated, Questech from time to time made interim demand loans to FNN, amounting to a total of $500,000. Applicants state that these loans were made in anticipation of the private placement by FNN of Long-term debt securities in the form of 14% Convertible Notes due December, 1986 ("Notes"). The offering of Notes, it is stated, was initiated by FNN with the assistance of Biotech and Questech in November, 1981, and upon its completion in February, 1982, had resulted in the issuance of Notes in an aggregate principal amount of $2,000,000. Applicants state that in January, 1982, Questech exchanged the instruments evidencing its interim demand loans for $500,000 principal amount of Notes. It is further stated that during January and February, 1982, Messrs. Abeles, Thomas and Wiesen purchased Notes in the principal amounts of $25,000, $12,500 and $25,000, respectively. Thus, Applicants state, Questech holds 25% of the aggregate principal amount of Notes outstanding, while the Individual Applicants together hold 3.125% of the aggregate principal amount of Notes outstanding. It is also stated that the Notes issued are being held in escrow, and amounts paid by Individual Applicants in consideration for the issuance of Notes to them have been deposited by FNN in a segregated account pending action by the Commission on the application.

It is further stated that interest on the Notes is payable semi-annually beginning June 30, 1982, that the Notes are guaranteed by FNBC and Solaris, and are redeemable by FNN at any time after January 1, 1983 at 110% of the principal amount plus accrued interest. Applicants also state that under the agreement dated January 8, 1982, setting forth the terms of the Notes ("Note Agreement"), FNN is required, among other things, to maintain minimum levels of shareholders' equity; is prohibited from paying dividends; and is restricted as to future long-term borrowing. Applicants represent that FNBC and Solaris have, as guarantors of the Notes, agreed to convenants similar to those to which FNN is subject under the Note Agreement. It is also stated that the Notes may be converted at anytime, at the option of the holders, into shares of common stock of FNN at a price of $1.25 per share, subject to adjustment under certain conditions, including antidilution adjustments.

Applicants state that in connection with the Note offering, and other than in the cases of Questech's acquisition of Notes, Biotech, Dr. Abeles and Mr. Weisen are entitled to receive from FNN $21,600, $26,700 and $50,000, respectively, in brokerage commissions. These commissions, Applicants represent, were equal, respectively, to 10% of the principal amount of each Note placed.

Applicants further state that pursuant to the terms of the guaranty by FNBC and Solaris of the Notes, FNBC was required, as long as any of the Notes are outstanding, to use its best efforts to elect to the board of directors of FNN persons designated by Biotech who would constitute not less than 40% of the board of directors. In addition to and in connection therewith, it is stated, Merrill Lynch, Pierce, Fenner & Smith Incorporated ("Merrill Lynch"), the purchaser of a Note in the principal amount of $500,000, received from Biotech the right to designate one of the directors of FNN which Biotech was entitled to designate under the aforesaid guaranty arrangement. Applicants state that as the result of the exercise by Biotech of its rignts under the guaranty, Earl W. Brian, M.D., principal stockholder and chairman of the board and president of Biotech and Questech, and Mr. Wiesen, were elected to the FNN board of directors in January, 1982. Merrill Lynch, Applicants state, has not as yet named its designee to the board of directors of FNN. Applicants further state that the rights of Biotech with respect to the membership of the board of directors of FNN are presently governed by the provisions of a trust agreement creating a voting trust into which approximately 90% of the shares of FNN comon stock owned by FNBC were deposited. It is represented that under the trust agreement, the voting trustee is required to vote the trust shares in the election of directors of FNN in favor of an equal number of designees of FNN's current chairman of the board of directors and of Biotech (subject to the right given to Merrill Lynch to designate a director), plus one additional person designated by the voting trustee. Applicants also state that Biotech and Questech are authorized by the terms of the Note Agreement to represent holders of the Notes as a class relative to certain rights given to Noteholders.

Applicants state, in addition, that pursuant to a letter agreement dated December 31, 1981,as modified in May, 1982, between Biotech and FNN and FNBC, FNN instituted an executive committee of its board of directors and elected to serve thereon its president and chairman of the board, its executive vice president and Dr. Brian. It is further stated that this agreement prohibits the removal of any of said persons from, or the addition of any other persons to, the executive committee during the time in which any of the Notes are outstanding. Applicants further state that Biotech holds, according to the terms of the letter agreement, an option, exercisable for a period of one year commencing January 15, 1983, to purchase from FNBC a total of 250,000 shares of FNN common stock at a price of $1.25 per share, subject to adjustment under certain circumstances.

Section 2(a)(3) of the Act, in pertinent part, defines an affiliated person of another person as any person directly or indirectly owing 5 percent or more of the outstanding voting securities of such other person; any person 5 percent or more of whose outstanding voting securities are directly or indirectly owned by such other person; any person directly or indirectly controlling or controlled by such other person; any officer, director, partner, copartner, or employee of such other person; and, if such other person is an investment company, any member of an advisory board thereof.

As a director of Biotech and Questech, Dr. Abeles would be both an affiliated person of Questech, and an affiliated person of an affiliated person of Questech. As members of the investment advisory committee of Biotech, Messrs. Thomas and Wiesen would be affiliated persons of Biotech—an affiliated person of Questech by reason of its ownership of 95 percent or more of the voting securities of Questech—and would therefore be affiliated persons of an affiliated person of Questech.

Section 17(d) of the Act and Rule 17d–1 thereunder, taken together, provide in part, that it is unlawful for an affiliated person of a registered investment company, or an affiliated person of such person, acting as principal, to effect any transaction in which such investment company is a joint participant, without the permission of the Commission. As indicated further hereinbelow, by purchasing their Notes at a time proximate to the date at which Questech purchased its Note, the Individual Applicants may be deemed to have effectuated a transaction in which Questech was a joint participant, as defined in Rule 17d–1(c).

Section 57(a) of the Act states, in pertinent part, that "It shall be unlawful for any person who is related to a business development company in a manner described in subsection (b) of this section, acting as principal * * * knowingly to effect any transaction in which such business development company * * * is a joint or a joint and several participant with such person in contravention of such rules and regulations as the Commission may prescribe for the purpose of limiting or preventing participation by such business development company or controlled company on a basis less advantageous than that of such person, * * *."

Section 57(b) of the Act provides, in pertinent part, that the provisions of Section 57(a) shall apply to "Any director, officer, employee, or member of an advisory board of a business development company or any person (other than the business development company itself) who is, within the meaning of Section 2(a)(3)(C) of this title, an affiliated person of any such person specified in this paragraph.

Dr. Abeles, as a director, and Messrs. Thomas and Wiesen as members of the investment advisory committee, of Biotech, fall within the terms of Section 57(b) of the Act, and therefore are subject to the prohibitions of Section 57(a) of the Act to the extent that Biotech is a joint or a joint and several participant with the Individual Applicants in the transactions described hereinabove pertaining to the Notes.

Section 57(i) of the Act makes applicable to business development companies Rule 17d–1 under the Act. The contemporaneous investment by Questech and the Individual Applicants in the Notes may constitute a joint enterprise or arrangement within the meaning of Rule 17d–1(c) on the part of the Individual Applicants with Biotech. In addition, the activities of Biotech in rendering managerial assistance to FNN may establish the basis for determining that the Individual Applicants have embarked upon a joint enterprise with Biotech relative to FNN.

For purposes of determining whether an application for an order of exemption from the provisions of Section 17(d) or Section 57(a)(4) of the Act and Rule 17d–1(a) thereunder, should be granted, paragraph (b) of Rule 17d–1 provides, in part, that in passing upon applications for orders granting such permission, the Commission will consider (i) whether the participation of the investment company in such transaction on the basis proposed is consistent with the provisions, policies and purposes of the Act, and (ii) the extent to which such participation is on a basis different from or less advantageous than that of other participants.

Applicants submit that the criteria set forth in Rule 17d–1(b) under the Act are satisfied by the proposed purchases of Notes by the Individual Applicants and Questech and that, accordingly, (a) the participation of Biotech with Questech and the Individual Applicants in said transactions would be consistent with the provisions, policies and purposes of the Act and (b) the participation of Biotech and Questech would not be on a basis less advantageous than that of the Individual Applicants.

In support of the request for exemption, Applicants state that under the Note Agreement all holders of Notes have the same rights and obligations, with the exception of those ministerial responsibilities with Biotech and Questech have as representatives of holders of the Notes. Applicants submit, moreover, that the basis of participation by Biotech and Questech in the Note offering may, viewed in its totality, be considered more advantageous to Biotech and Questech than the basis upon which the Individual Applicants would participate. It may be inferred that the basis for this assertion lies in the rights which Biotech holds with regard to representation on the board of directors of FNN, as well as upon the executive committee thereof, and with respect to the right accorded Biotech to designate the interim chief financial officer of FNN and his successor.

In further support of their request for exemptions Applicants have undertaken that, if the application is granted, the Individual Applicants (a) will not participate in any deliberations involving the management of Biotech or Questech insofar as such management pertains to the Note owned by Questech; (b) will notify the staff of the Commission not fewer than 20 days prior to any disposition (other than a disposition resulting from a conversion) of any of their Notes; and (c) will consult in advance with Questech as to any such disposition of Notes.

Notice is hereby given that any interested person may, not later than September 6, 1982, at 5:30 p.m., submit to the Commission in writing a request for a hearing on the application accompanied by a statement as to the nature of his/her interest, the reasons for such request, and the issues, if any, of fact or law proposed to be controverted, or he/she may request that he/she be notified if the Commission shall order a hearing thereon. Any such communication should be addressed: Secretary, Securities and Exchange Commission, Washington, D.C. 20549. A copy of such request shall be served personally or by mail on Applicants at the address stated above. Proof of such service (by affidavit or, in the case of an attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0–5 of the Rules and Regulations promulgated under the Act, an order disposing of the application herein will be issued as of course following said date unless the Commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearng is ordered, will receive any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof.

For the Commission, by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22656 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

[Release No. 12584 (812-5210)]

Federal Life Insurance Company (Mutual), et al.; Application for an Order for Approval of the Terms of Certain Offers of Exchange

Notice is hereby given that Federal Life Insurance Company ("Federal Life"), a mutual life insurance company, Federal Life Variable Annuity Account A ("Variable Account A"), a separate account of Federal Life, Federal Life Variable Annuity Account C ("Separate Account"), a separate account of Federal Life established on November 10, 1981 and registered as a unit investment trust under the Investment Company Act of 1940 ("Act"), and FED Mutual Financial Services, Inc. ("FED Mutual"), 3750 West Deerfield Road, Riverwoods, Illinois 20015, a registered broker-dealer and the principal underwriter for Variable Account A and the Separate Account (herinafter collectively referred to as "Applicants"), filed and application on June 10, 1982, and amendments thereto on August 5, 1982 and August 9, 1982, for an Order pursuant to Section 6(c) of the Act, exempting Applicants from the provisions of Sections 2(a)(32), 2(a)(35), 22(c), 26(a), 27(a)(3), 27(c)(1), 27(c)(2) and 27(d) of the Act and Rule 22c-1 thereunder and pursuant to Section 11 of the act for approval of the terms of certain offers of exchange. All interested persons are referred to the application on file with the Commission for a statement of the representations contained therein which are summarized below.

The Separate Account was established by Federal Life to fund certain group variable annuity contracts ("contracts") which are the subject of a Form S-6 registration statement under the Securities Act of 1933. The Separate Account presently consists of two series ("account divisions"), each of which will invest solely in the shares of one of two portfolios—the Prime Portfolio or the Federal Portfolio—of Federal Life Money Market Fund, Inc. ("Fund"), the underlying investment medium of the Separate Account. The Fund is being registered under the Act as an open-end, diversified, management investment company.

Applicants describe the contracts as group deferred variable annuity contracts designed to provide annuity benefits to persons participating in various types of annuity plans or arrangements, with the following relevant provisions. Each premium payment under a contract would be subject to deductions for any applicable state or local government premium tax. No deduction for sales and administrative expenses would be imposed upon purchase payments when received by Federal Life. Rather, Applicants assert that Federal Life would seek to recoup such expenses through the imposition of a contingent deferred sales load on certain specified surrenders, and from the other charges described below.

The certificte holder under a contract (herinafter referred to as a "Participant"), would be permitted to allocate all or a portion of net purchase payments made between either or both of the account divisions. During the accumulation phase of the contract, a participant could at any time transfer all or part of his interest (at relative net asset value) in an account division to the other account division, subject to several conditions detailed in the application. During the annuity payout period, the participant would be permitted to transfer (at relative net asset value without the imposition of any charges) the entire contract value allocated to one account division to the other account division or to the fixed accumulation account.

Under the contract, an annual administration fee in the fixed amount of $25 would be assessed against the value of each participant's certificate, at the beginning of every certificate year. No assessment of such fee, or part of such fee, is made in the event of a partial or complete surrender. In addition, a percentage charge would be assessed against each participant's account division value, at the maximum rate of .95% annually. The percentage charge covers the following four specified risks which Federal Life would be assuming in connection with the issuance of the contracts: (a) The risk that the death of a participant will occur prior to age 65 at a time when the account division values under the contract are less than the gross purchase payments made to the Separate Account, adjusted for any withdrawals therefrom, in which case the death benefit payable by Federal Life will be the gross purchase payments so adjusted; (b) The risk that the life expectancy of a participant who has annuitized will be greater than that assumed in the annuity purchase rates guaranteed under the contract; (c) The risk that the annual expense of administering the contract will exceed the flat administration fee of $25 per participant; and (d) The risk that the contingent deferred sales load imposed on certain surrenders under the contract will be insufficient to compensate Federal Life for the costs of selling the contract.

Section 6(c)

Section 6(c) of the act authorizes the Commission to exempt any person, security or transaction, from the provisions of the Act and rules promulgated thereunder, if and to the extent, that such exemption is consistent with the protection of investors and the purposes fairly intended by the policy provisions of the Act. Applicants request exemption pursuant to Section 6(c) from certain provisions of the Act as summarized below.

Sections 27(c)(2) and 26(a)

Section 27(c)(2), in relevant part, prohibits the issuer of a periodic payment plan certificate and any depositor or underwriter for such issuer from selling such certificate unless the proceeds of all payments (other than any sales load) are deposited with a qualified bank acting as trustee or custodian, and held under an agreement containing, in substance, the provisions required by Section 26(a)(2) and 26(a)(3).

Section 26(a) requires that such agreements must provide, *inter alia*, that the bank (i) shall have possession of all property of the unit investment trust and segregate and hold the same in trust subject only to the charges and collections specifically allowed under clauses (A), (B), and (C) of such Section until distribution to the security holders of the trust; (ii) shall not resign until the trust has been liquidated or a successor has been appointed; (iii) may collect from the income and, if necessary, from the corpus of the trust such fees for services provided for in the agreement; (iv) shall not allow as an expense any payment to the depositor or principal underwriter except a fee, not exceeding such reasonable amount as the Commission may prescribe, for performing bookkeeping and other administrative services of a character normally performed by the bank itself.

Applicants propose that they be granted exemptions from Sections 27(c)(2) and 26(a) to allow: (a) The Separate Account to act as the custodian of its own assets; (b) The Separate Account to accept "book shares" issued by the Fund in open account in lieu of actual share certificates;

(c) Federal Life to deduct the .95% annual asset charge from the Separate Account; (d) Federal Life to deduct a flat annual administration fee of $25 per participant to reimburse it for bookkeeping and other administrative services; (e) Federal Life, to the extent

necessary, to recoup the expenses of distributing the contracts from the contingent deferred sales load on early surrenders; and (f) Federal Life to deduct premium taxes, where applicable, from purchase payments prior to allocating such purchase payments to the Separate Account.

With respect to paragraphs (a) and (b) above, the Applicants represent that the assets of each of the two account divisions of the Separate Account will be protected by safeguards and conditions described in the application. With respect to paragraph (c) above, Applicants assert that the Mortality, Administrative Expense Risk and Distribution expense Risk Charge is reasonable in relation to the risks assumed by Federal Life under the contracts, is consistent with the protection of investors insofar as it is designed to be competitive while not exposing Federal Life to undue risk of loss, and falls within the range of similar charges imposed under competitive variable annuity products.

With respect to paragraph (d) above, the Applicants assert that, to the best of their knowledge and belief, the flat annual administration fee of $25 per participant is the actual cost of providing those services, that they do not expect to profit from such annual administrative fee, and that such administrative fee is reasonable in relation to the services performed and the costs incurred in providing the administrative services under the contract.

With regard to paragraph (e) above, Applicants assert that any contingent deferred sales load imposed on the contracts will not under any circumstances exceed nine percent (9%) of the purchase payment(s) to which its relates. Applicants further assert that such charge is both reasonable and not unfairly discriminatory.

With respect to paragraph (f) above, Applicants assert that the premium taxes in question are imposed by state and/or local government taxing authorities and Federal Life may not vary the amount or nature of the taxes imposed (*i.e.*, the deduction represents the actual expense incurred).

Sections 2(32), 2(a)(35), 22(c), 27(a)(3), 27(c)(1), 27(d) and Rules 22c–1

Section 2(a)(32) of the Act defines a redeemable security as any security under the terms of which the holder is entitled to receive approximately his proportionate share of the issuer's current net assets, or the cash equivalent thereof. Section 27(c)(1) of the Act, in pertinent part, prohibits any registered investment company issuing periodic payment plan certificates, or for any depositor or underwriter of such company, to sell such certificate unless it is a redeemable security.

Section 2(a)(35) of the Act defines "sales load" as the difference between the price of a security to the public and that portion of the proceeds from its sale which is received and invested, less any portion of such difference deducted for trustee's or custodian's fees, insurance premiums, issue taxes, or administrative expenses or fees which are not properly chargeable to sales or promotional activities.

Section 22(c) of the Act and Rule 22c–1 thereunder prohibit a registered investment company issuing redeemable securities, such as the contracts, from selling, redeeming or repurchasing any such security except at a price based on the current net asset value of such security.

Section 27(a)(3) of the Act prohibits any registered investment company issuing periodic payment plan certificates, or any depositor or underwriter of such company, from selling any such certificate if the deduction for sales charges on any first payment proportionately exceeds the amount deducted on any other such payment, or the deduction for sales charges on any subsequent payment proportionately exceeds the amount of the deduction on any other subsequent payment. Section 27(d) of the Act, in pertinent part, requires that the holder who surrenders his or her periodic payment plan certificate within eighteen months of issuance receive his or her account value plus an amount equal to the excess paid for sales expenses which exceed 15% of the purchase payments made by the certificate holder.

Applicants assert that these provisions, to varying degrees, might be inconsistent with the proposed sales charges of the contracts, and therefore request an order exempting them from these provisions to the extent necessary to permit such sales and deductions as described above.

Request for Approval of Certain Offers of Exchange Pursuant to Section 11 of the Act

Section 11(a) of the Act provides that it shall be unlawful for any registered, open-end company, or any principal underwriter for such a company, to make, or cause to be made, an offer to the holder of a security of such company or of any other open-end investment company, to exchange his security for a security in the same or another such companyon any basis other than the relative net asset value of the respective securities to be exchanged, unless the terms of the offer have first been submitted to and approved by the Commission. Section 11(c) provides that, irrespective of the basis of exchange, the provisions of subsection (a) shall be applicable to any type of offer to exchange the securities of registered unit investment trusts for the securities of any other investment company.

As set forth above, Applicants propose that contract owners be permitted to transfer all or part of their investment in one account division of the Separate Account to another account division subject to certain limitations on the frequency and amount of transfers. Applicants request approval pursuant to Sections 11(a) and 11(c) of the Act to the extent requested to permit the transfers described in the contracts, where permitted under applicable law and by the retirement plan under which a given contract is issued.

Notice is further given that any interested person may, not later than August 30, 1982, at 5:30 p.m., submit to the Commission in writing a request for a hearing on the application accompanied by a statement as to the nature of his interest, the reasons for such request, and the issues, if any, of fact or law proposed to be controverted, or he may request that he be notified if the Commission shall order a hearing thereon. Any such communication should be addressed: Secretary, Securities and Exchange Commission, Washington, D.C. 20549. A copy of such request shall be served personally or by mail upon Applicant at the address stated above. Proof of such service (by affidavit or, in the case of any attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0–5 of the Rules and Regulations promulgated under the Act, an order disposing of the application herein will be issued as of course following said date unless the Commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearing is ordered, will receive any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof.

For the Commission, by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22867 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 12580, (812-5211)]

Federal Life Money Market Fund, Inc.; Filing of Application for an Order of Exemption

Notice is hereby given that Federal Life Money Market Fund, Inc. ("Applicant"), 3750 West Deerfield Road, Riverwoods, Illinois 60015, an open-end diversified, management investment company, filed an application on June 10, 1982, for an order pursuant to Section 6(c) of the Investment Company Act of 1940 ("Act"), exempting Applicant from the provisions of Rules 2a-4 and 22c-1 of the Act to the extent necessary to permit Applicant to compute its price per share for the purposes of sales and redemptions of its shares to the nearest cent on a share value of one dollar. All interested persons are referred to the application on file with the Commission for a statement of the representations contained therein, which are summarized below.

Applicant states that it is a corporation organized under the laws of the State of Maryland. Applicant states that it is a "money market" fund that seeks to obtain its objectives through the management of two Portfolios, the Federal Portfolio and the Prime Portfolio. Applicant states that these portfolio will invest in high quality money market instruments maturing in one year or less from the time of purchase, and having a dollar-weighted average maturity of less than 120 days. Applicant's Federal Portfolio will invest exclusively in direct obligations of the U.S. government, securities issued or guaranteed by the U.S. government and flexible rate master notes, which conform to the conditions set forth in Investment Company Release No. 12206, (up to $100,000 in the aggregate) of U.S. banks having total assets in excess of $1 billion. Applicant's Prime Portfolio will invest in securities eligible for purchase by the Federal Portfolio as well as negotiable certificates of deposit, commercial paper rated A-1 by Standard & Poor's Corporation ("S&P's") or other comparable rating service, and short-term corporation obligation rated Aa or better by Moody's Investor Service or AA by S&P's.

Applicant submits that by meeting the conditions set forth below and by valuing its shares to the nearest one cent on a share value of one dollar, it can maintain a constant value for its shareholders along with full liquidity and a satisfactory yield.

Rule 22c-1 adopted pursuant to Section 22(c) of the Act provides, in part, that no registered investment company or principal underwriter thereof issuing any redeemble security shall sell, redeem or repurchase any such security except at a price based on the current net asset value of such security which is next computed after receipt of a tender of such security for redemption or of an order to purchase or to sell such security. Rule 2a-4 adopted under the Act provides, as here pertinent, that the "current net asset value" of a redeemable security issued by a registered investment company used in computing its price for the purposes of disribution, redemption and repurchase shall be determined with reference to: (1) Current market value for portfolio securities with respect to which maket quotations are readily available and (2) for other securities and assets fair value as determined in good faith by the investment company's board of directors. In Release No. IC-9786, the Commission issued an interpretation of Rule 2a-4 expressing the view that it is inconsistent with the provisions of Rule 2a-4 for certain money market funds to "round off" calculations of their net asset value per share to the nearest one cent on a share value of $1.00, because such a calculation might have the effect of masking the impact of changing values of portfolio securities and, therefore, might not "reflect" the fund's portfolio valuation as required by Rule 2a-4.

Section 6(c) of the Act provides, in part, that upon application the Commission may conditionally or unconditionally exempt any person, security or transaction, or any class of classes or persons, securities, or transactions, from any provisions or provisions of the Act or of the rules thereunder, if and to the extent that such exemption is necessary and appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act.

Applicant submits that the issuance of the requested order is consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act. Applicant states that valuing its portfolio securities by use of the penny rounding method of valuation will give shareholders the convenience of being able to determine the value of their holdings simply by knowing the number of shares they own, and enable the funds to be competitive with the increasing number of "money market" funds that attempt to maintain at $1.00 net asset value per share. Applicant further submits that it believes that its shareholders and potential shareholders are not generally concerned with the minor differences which might occur between yeild acheived through "market" pricing and yield computed by using the "penny rounding" valuation method.

Applicant agrees that the following conditions may be imposed in any order granting the exemptive relief requested:

a. In supervising Applicant's operations and delegating special responsibilities involving portfolio management to Applicant's investment adviser, the Board of Directors of Applicant undertakes—as a particular responsibility within the overall duty of care owed to the Applicant's share holders—to assure, to the extent reasonably practicable, taking into account current market conditions, and the Applicant's investment objectives, that Applicant's net asset value per share, as computed for the purposes of sales, redemptions and repurchases of its shares, rounded to the nearest one cent, will not deviate from $1.00.

b. The Applicant will maintain a dollar-weighted average portfolio maturity appropriate to its objective of maintaining a stable net asset value per share. Applicant will not purchase any instrument with a remaining maturity at the date of acquisition of greater than one year, nor will it maintain a dollar-weighted average portfolio maturity in excess of 120 days.

c. The Applicant will limit its portfolio investments, including repurchase agreements, if any, to those U.S. dollar-denominated instruments which the Board of Directors of the Applicant determines present minimal credit risks, and which are of high quality as determined by any major rating service or, in the case of any instrument that is not rated, of comparable quality as determined by the Board.

Notice is further given that any interested person may, not later than August 31, 1982, at 5:30 p.m., submit to the Commission in writing a request for a hearing on the application accompanied by a statement as to the nature of his/her interest, the reasons for such request, and the issues, if any, off act or law proposed to controverted, or he/she may request that he/she be notified if the Commission shall order a hearing thereon. Any such communication should be addressed: Secretary, Securities and Exchange Commission, Washington, D.C. 20549. A

copy of such request shall be served personally or by mail upon Applicant at the address stated above. Proof of such service (by affidavit or, in the case of an attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0–5 of the Rules and Regulations promulgated under the Act, an order disposing of the application herein will be issued as of course following said date uness the Commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearing is ordered, will receive any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof.

For the Commission, by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22666 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

[Release No. 18943; File No. SR–MSTC–82–13]

Filing and Immediate Effectiveness of Proposed Rule Change by the Midwest Securities Trust Co.

August 9, 1982.

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934 (the "Act"), 15 U.S.C. 78s(b)(1), notice is hereby given that on June 24, 1982, the Midwest Securities Trust Company ("MSTC") filed with the Securities and Exchange Commission the proposed rule change as described herein. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

The proposed rule change amends MSTC procedures regarding bi-monthly confirmation of participant positions ("MSTC Audit"). The proposed rule change requires participants to: (1) Acknowledge receipt of their audit package within seven business days of receipt; and (2) respond to the MSTC Audit within four weeks after receipt of the MSTC Audit by confirming the positions and activity reported in the MSTC Audit or submitting an "audit exception communique," listing any discrepancies, along with the necessary information to research those discrepancies. Participants unable to respond to the MSTC Audit within the four week deadline may request a one week extension. Participants that fail to respond to the MSTC Audit by the applicable deadline may be subject to disciplinary action pursuant to MSTC Rule 14.

The foregoing change has become effective, pursuant to Section 19(b)(3)(A) of the Act and subparagraph (e) of Securities Exchange Act Rule 19b–4. At any time within 60 days of filing of such proposed rule change, the Commission may summarily abrogate such rule change if it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposes of the Act.

Interested persons are invited to submit written data, views and arguments concerning the submission on or before September 9, 1982. Persons desiring to make written comments should file six copies thereof with the Secretary of the Commission, Securities and Exchange Commission, 450 Fifth Street NW., Washington, D.C. 20549. Reference should be made to File No. SR–MSTC–82–13.

Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change which are on file with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those which may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for inspection and copying at the Commission's Public Reference Room, 450 Fifth Street, N.W., Washington, D.C. Copies of the filing and of any subsequent amendments also will be available for inspection and copying at the principal office of the above-mentioned self-regulatory organization.

For the Commission, by the Division of Market Regulation pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22670 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

Cincinnati Stock Exchange; Application for Unlisted Trading Privileges in Certain Securities

August 11, 1982.

The above named national securities exchange has filed an application with the Securities and Exchange Commission pursuant to Section 12(f)(1)(B) of the Securities Exchange Act of 1934 and Rule 12f–1 thereunder, for unlisted trading privileges in the common stock of: The Continental Group, Inc. (New Holding Company) Common Stock, $1 Par Value (File No. 7–6296).

This security is listed and registered on one or more other national securities exchange and is reported on the consolidated transaction reporting system.

Interested persons are invited to submit on or before September 1, 1982 written data, views and arguments concerning the above-referenced application. Persons desiring to make written comments should file three copies thereof with the Secretary of the Securities and Exchange Commission, Washington, D.C. 20549. Following this opportunity for hearing, the Commission will approve the application if it finds, based upon all the information available to it, that the extension of unlisted trading privileges pursuant to such application is consistent with the maintenance of fair and orderly markets and the protection of investors.

For the Commission, by the Division of Market Regulation, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22660 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

[Release No. 18946; File No. SR–NSCC–82–49]

Filing and Immediate Effectiveness of Proposed Rule Change by the National Securities Clearing Corp.

August 9, 1982.

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934 (the "Act"), 15 U.S.C. 78s(b)(1), notice is hereby given that on July 29, 1982, the National Securities Clearing Corporation ("NSCC") filed with the Securities and Exchange Commission the proposed rule change as described herein. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

NSCC has published the processing time schedules for both listed and over-the-counter activity and securities processing at its New York clearing center.

In its filing, NSCC stated that the proposed rule change is consistent with the Securities Exchange Act of 1934 and the rules and regulation thereunder because publication of the time schedules will assist NSCC clearing members in the prompt and accurate clearance and settlement of securities transactions.

The foregoing change has become effective, pursuant to Section 19(b)(3)(A) of the Act and subparagraph (e) of Securities Exchange Act Rule 19b–4. At

any time within 60 days of the filing of such proposed rule change, the Commission may summarily abrogate such rule change if it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposes of the Act.

Interested persons are invited to submit written data, views and arguments concerning the submission by September 9, 1982. Persons desiring to make written comments should file six copies thereof with the Secretary of the Commission, Securities and Exchange Commission, 500 North Capitol Street, Washington, D.C. 20549. Reference should be made to File No. SR–NSCC–82–9.

Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change which are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those which may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for inspection and copying at the Commission's Public Reference Room, 1100 L Street NW., Washington, D.C. Copies of the filing and of any subsequent amendments also will be available for inspection and copying at the principal office of the above-mentioned self-regulatory organization.

For the Commission, by the Division of Market Regulation pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22871 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

[Release No. 12599 (812–5014)]

Fireman's Fund American Life Insurance Company of New York, Amfire, Inc. and Fireman's Fund of New York Separate Account A; Filing of Application for Order of Commission Granting Exemptions and Approving the Terms of Certain Offers of Exchange

Fireman's Fund American Life Insurance Company of New York ("FFAL") 110 William Street, New York, NY 10038, Amfire, Inc. ("Amfire"), and Fireman's Fund of New York Separate Account A ("Accont A") (together, "Applicants") filed an application on November 13, 1981, and amendments thereto on April 7, 1982, July 6, 1982, and July 30, 1982 for an order of the Commission exempting Applicants, pursuant to Section 6(c) of the Investment Company Act of 1940 ("Act"), to the extent requested from the provisions of Sections 2(a)(32), 2(a)(35), 22(c), 26(a), 27(c)(1), 27(c)(2) and 27(d) of the Act and Rule 22c–1 thereunder and granting, pursuant to Section 11 of the Act approval of the terms of certain offers of exchange. Account A, a separate account of FFAL, was established as a facility through which to set aside and invest assets attributable to variable annuity contracts issued by FFAL ("Conracts") and is registered under the Act as a unit investment trust. FFAL is the sponsor and depositor of Account A; Amfire is the principal underwriter of the Contracts. All interested persons are referred to the application on file with the Commission for a statement for the facts and representations contained therein, which are summarized below.

The Contracts are single-premium and flexible-premium individual deferred variable annuity contracts for use in connection with retirement plans which qualify for special Federal income tax treatment and retirement plans which do not so qualify. Purchase payments, less any applicable premium taxes, will be allocated to one of three sub-accounts of Account A in accordance with the direction of the contract-owner. Each sub-account will have subdivisions for purchase payments, two for allocations under single-premium and flexible-premium qualified contracts; two for single-premium and flexible-premium non-qualified contracts. Each sub-account is to be invested in a portfolio of the American Express Variable Annuity Fund, Inc., the shares of which will be sold to Account A at net asset value and will be issued under an open account arrangement without the use of stock certificates. The Contracts provide that a contractowner may reallocate amounts held in the sub-accounts, subject to a minimum allocation of $300 to any one sub-account, at any time prior to the annuity start date. FFAL reserves the right to impose a charge of up to $7.00 upon each reallocation in the future to the extent necessary to reimburse the company for administrative costs incurred in processing the reallocations.

Other charges under the Contracts will be (1) an annual maintenance fee as compensation for administrative services, deducted at the end of each contract year and upon surrender (without proration thereof) of $35 for flexible-premium contracts and $30 for single-premium contracts; (2) a daily charge against the assets of each subdivision of the sub-accounts, which is designed to compensate FFAL for its assumption of certain mortality and expense risks under the Contracts, of 1.0% on an annual basis for single-premium contracts (.85% allocable to mortality risks, .15%, to expense risks) and 1.4% on an annual basis for flexible-premium contracts (.85% for mortality risks and .55% for expense risks); and (3) a contingent deferred sales charge on all withdrawals during the initial contract year and any excess in each of the later contract years over 10% of the sum of purchase payments previously made under the Contract. The contingent deferred sales charge is as follows:

	Contingent deferred sales charge as percentage of amount withdrawn	
	Single-premium	Flexible-premium
Years prior to date of withdrawal that purchase payment was made:		
0	6	6
1	5	6
2	4	6
3	3	6
4	2	6
5	1	6
6	0	6
7 or more	0	0

All withdrawals will be handled on a first-in, first-out basis. The maximum amount to which the charge will be applied will not exceed the total amount of purchase payments under the Contract. Premium taxes will deducted when and to the extent actually incurred.

Exemptions Requested

Applicants request exemptions from Sections 2(a)(32), 2(a)(35), 22(c), 26(a), 27(c)(1), 27(c)(2) and 27(d) of the Act and Rule 22c–1 thereunder in order to impose the contingent deferred sales charge.

Applicants request exemptions from Sections 2(a)(32), 22(c), 27(c)(1) and 27(d) of the Act and Rule 22c–1 thereunder in order to impose the annual maintenance fee for administrative services in full upon surrender of the Contract on a date other than the contract anniversary date, without proration thereof.

Applicants request exemptions from Sections 26(a)(2)(C) and 27(d)(2) of the Act to the extent necessary to permit the payment of the annual maintenance fee for administrative services, premium taxes, the fee, if any, for transfers between sub-accounts, and mortality and exchange risk charges.

In connection with the relief requested from these sections, Applicants assert that the annual maintenance fee is not calculated to include a profit element but is intended only to reimburse the company for certain administrative costs. Applicants also assert, in respect to any fee which may, in the future, be charged upon transfers between sub-accounts, that it will be imposed only to the extent necessary to reimburse FFAL for administrative costs incurred in connection with processing such transfers. Furthermore, Applicants submits that the payment of mortality and expenses charges out of the assets of Account A is appropriate in the public interest and consistent with the protection of investors and purposes fairly intended by the policy of the Act. They state that the mortality and expense risk charges are imposed in order to compensate Applicants for undertaking certain traditional insurance risks and that such charges are consistent with industry practice and reasonable in light of the purposes intended.

Applicants request exemptions from Sections 26(a) and 27(c)(2) of the Act to the extent necessary to permit FFAL to hold the assets of Account A for safekeeping rather than to enter into a custodial or safekeeping agreement with a bank and to permit shares of the American Express Variable Annuity Fund, Inc., to be held under an open account arrangement without the use of stock certificates. Applicants also request an exemption from the requirement of Section 26(a)(2)(D) of the Act that a trustee or custodian have physical possession of the assets and that the assets of Account A be segregated and held in trust.

Approval Requested

Pursuant to Section 11(c) of the Act, Applicants request approval of the terms of the proposed transfers between the sub-accounts of Account A.

Section 6(c)

Section 6(c) authorizes the Commission to exempt any person, security or transaction or any class or classes of persons, securities or transactions, from the provisions of the Act and rules promulgated thereunder if and to the extent that such exemption is necessary or appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act. Applicants contend that the requested exemptions are necessary and appropriate in the public interest and consistent with the protection of investors and purposes fairly intended by the policy and provisions of the Act.

Notice is further given that any interested person may, not later than September 7, 1982, at 5:30 p.m., submit to the Commission in writing a request for a hearing on the matter accompanied by a statement as to the nature of his interest, the reason for such request, and the issues, if any, of fact or law proposed to be controverted, or he may request that he be notified if the Commission shall order a hearing thereon. Any such communication should be addressed: Secretary, Securities and Exchange Commission, Washington, D.C., 20549. A copy of such request shall be served personally or by mail upon Applicants at the address stated above. Proof of such service (by affidavit or, in the case of an attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0–5 of the Rules and Regulations promulgated under the Act, an order disposing of the application will be issued, as of course, following September 7, 1982 unless the Commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearing is ordered, will receive any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof.

For the Commission, by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22658 Filed 8–18–82; 8:45 am]
BILLING CODE 8010–01–M

[Release No. 12598; (812–5015)]

Fireman's Fund American Life Insurance Co., Amfire, Inc. and Fireman's Fund Variable Account A; Filing of Application For Order of Commission; Approving the Terms of Certain Offers of Exchange

August 12, 1982

Fireman's Fund American Life Insurance Company ("FFAL"), Amfire, Inc. ("Amfire"), and Fireman's Fund Variable Account A ("Account A") (together, "Applicants"), 1600 Los Gamos Road, San Rafael, CA 94911, filed an application on November 13, 1981, and amendments thereto on April 8, 1982, July 6, 1982, and July 30, 1982 for an order of the Commission exempting Applicants, pursuant to Section 6(c) of the Investment Company Act of 1940 ("Act"), to the extent requested from the provisions of Sections 2(a)(32), 2(a)(35), 22(c), 22(e), 26(a), 27(c)(1), 27(c)(2) and 27(d) of the Act and Rule 22c–1 thereunder and granting, pursuant to Section 11 of the Act, approval of the terms of certain offers of exchange. Account A, a separate account of FFAL, was established as a facility through which to set aside and invest assets attributable to variable annuity contracts issued by FFAL ("Contracts") and is registered under the Act as a unit investment trust. FFAL is the sponsor and depositor of Account A; Amfire is the principal underwriter of the Contracts. All interested persons are referred to the application on file with the Commission for a statement of the facts and representations contained therein, which are summarized below.

The Contracts are single-premium and flexible-premium individual deferred variable annuity contracts for use in connection with retirement plans which qualify for special Federal income tax treatment and retirement plans which do not so qualify. Purchase payments less any applicable premium taxes, will be allocated to one of the three sub-accounts of Account A. Each sub-account consists of four sub-divisions, two for allocations under single-premium and flexible-premium qualified contracts and two for allocations under single-premium and flexible-premium non-qualified contracts. Each sub-account is to be invested in a portfolio of the American Express Variable Annuity Fund, Inc., the shares of which will be sold to Account A at net asset value and will be issued under an open account arrangement without the use of stock certificates. The Contracts provide that a contractowner may reallocate amounts held in a sub-account, subject to a minimum allocation of $300 to any one sub-account, at any time prior to the annuity start date. FFAL reserves the right to impose a charge of up to $7.00 upon each reallocation in the future to the extent necessary to reimburse the company for administrative costs incurred in processing the reallocations.

Other charges under the Contracts will be (1) as compensation for administrative services, an annual maintenance fee of $30 for single-premium contracts and $35 for flexible-premium contracts, deducted at the end of each contract year and upon surrender (without proration thereof); (2) a daily charge against the assets of each subdivision of the sub-accounts, which is designed to compensate FFAL for its assumption of certain mortality and

expense risks under the Contracts, of 1.0% on annual basis for single-premium contracts (.85% for mortality risks, .15% for expense risks) and 1.4% on an annual basis for flexible-premium contracts (.85% for mortality risks, .55% for expense risks); and (3) a contingent deferred sales charge on all withdrawals during the initial contract year and any excess in each of the later contract years over 10% of the sum of purchase payments previously made under the Contract. The contingent deferred sales charge is as follows:

	Contingent deferred sales charge as percentage of amount withdrawn	
	Single-premium	Flexible-premium
Years prior to date of withdrawal that purchase payment was made:		
0	6	6
1	5	6
2	4	6
3	3	6
4	2	6
5	1	6
6	0	6
7 or more	0	0

All withdrawals will be handled on a first-in, first-out basis. The maximum amount to which the charge will be applied will not exceed the total amount of purchase payments under the Contract.

Premium taxes will be deducted when and to the extent actually incurred.

Exemptions Requested

Applicants request exemptions from Sections 2(a)(32), 2(a)(35), 22(c), 26(a)(2)(C), 27(c)(1), 27(c)(2) and 27(d) of the Act and Rule 22c–1 thereunder in order to impose the contingent deferred sales charge.

Applicants request exemptions from Sections 2(a)(32), 22(c), 27(c)(1) and 27(d) of the Act and Rule 22c–1 thereunder in order to impose the annual maintenance fee for administrative services in full upon surrender of the Contract on a date other than the contract anniversary date, without proration thereof.

Applicants request exemptions from Sections 26(a)(2)(C) and 27(c)(2) of the Act to the extent necessary to permit the payment of the annual maintenance fee for administrative services, premium taxes, the fee if any, for transfers between sub-accounts and mortality and expense risk charges.

In connection with the request for relief under these sections to permit payment of the annual maintenance fee, Applicants assert that the fee is not calculated to include a profit element but is intended only to reimburse the company for certain administrative costs. Applicants further assert thay any fee which may, in the future, be charged upon transfers between sub-accounts will be imposed only to the extent necessary to reimburse FFAL for administrative costs incurred in connection with processing such transfers. Applicants also submit that the payment of mortality and expense charges out of Account A's assets is appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy of the Act. They state that the charges are imposed to compensate the Applicants for the undertaking of traditional insurance risks relating to annuity purchase rate guarantees and expense guarantees. Applicants also state that the charges are consistent with industry practice and reasonable in light of the purposes intended.

Applicants request exemptions from Sections 26(a) and 27(c)(2) of the Act to the extent necessary to permit FFAL to hold the assets of Account A for safekeeping rather than to enter into a custodial or safekeeping agreement with a bank and to permit shares of the American Express Variable Annuity Fund, Inc., to be held under an open account arrangement without the use of stock certificates. Applicants also request an exemption from the requirement of Section 26(a)(2)(D) of the Act that a trustee or custodian have physical possession of the assets and that the assets of Account A be held segregated and in trust.

Applicants also request exemptions from the provisions of Sections 22(e), 27(c)(1) and 27(d) of the Act to the extent necessary to permit compliance with certain provisions of the Education Code of the State of Texas. If the requested exemptions are granted, Applicants state that they will make appropriate reference in each prospectus used in the Texas Optional Retirement Program ("ORP") market disclosing the resrictions on redemption thereof in the form attached to the application and will require each ORP participant to sign a statement acknowledging awareness of the restrictions in the form attached to the application. Applicants represent that they will also insure that the substance of the above disclosures is included in any sales literature used in the ORP market and will instruct the salespeople involved in soliciting in this market specifically to bring this restriction to the attention of potential participants.

Approval Requested

Pursuant to Section 11(c) of the Act, Applicants request approval of the terms of the proposed transfers between the sub-accounts of Account A.

Section 6(c)

Section 6(c) authorizes the Commission to exempt any person, security or transaction or any class or classes of persons, securities or transactions, from the provisions of the Act and rules promulgated thereunder if and to the extent that such exemption is necessary or appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act. Applicants contend that the requested exemptions are necessary and appropriate in the public interest and consistent with the protection of investors and purposes fairly intended by the policy and provisions of the Act.

Notice is further given that any interested person may, not later than September 7, 1982, at 5:30 p.m., submit to the Commission in writing a request for a hearing on the matter accompanied by a statement as to the nature of his interest, the reason for such request, and the issues, if any, of fact or law proposed to be controverted, or he may request that he be notified if the Commission shall order a hearing thereon. Any such communication should be addressed: Secretary, Securities and Exchange Commission, Washington, D.C., 20549. A copy of such request shall be served personally or by mail upon Applicants at the address stated above. Proof of such service (by affidavit or, in the case of an attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0–5 of the Rules and Regulations promulgated under the Act, an order disposing of the application will be issued, as of course, following September 7, 1982 unless the Commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearing is ordered, will receive any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponenments thereof.

For the Commission, by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22859 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 12581; (812-5181)]

General Government Securities Money Market Fund, Inc.; Filing of Application for an Order Pursuant to Section 6(c) of the Act Exempting Applicant From Section 2(a)(41) of the Act and Rules 2a-4 and 22c-1 Thereunder

August 9, 1982.

Notice is hereby given that General Government Securities Money Market Fund, Inc. ("Applicant"), 600 Madison Avenue, New York, NY 10022, an open-end, diversified, management investment company registered under the Investment Company Act of 1940 ("Act"), filed an application on April 29, 1982, and an amendment thereto on July 8, 1982, requesting an order of the Commission, pursuant to Section 6(c) of the Act, exempting Applicant from the provisions of Section 2(a)(41) of the Act and Rules 2a-4 and 22c-1 thereunder, to the extent necessary to permit Applicant to value its assets using the amortized cost method of valuation. All interested persons are referred to the application on file with the Commission for a statement of the representations contained therein, which are summarized below.

Applicant states that its investment objective is to attain high income return to the extent consistent with safety and liquidity. Applicant further states that it will seek to achieve that objective by investing in a variety of short-term securities issued or guaranteed as to principal and interest by the United States Government (whether or not subject to repurchase agreements). All investments by Applicant will consist of United States dollar-denominated obligations maturing within one year from the date of acquisition, and the average maturity of all its investments (on a dollar-weighted basis) will be 120 days or less.

As here pertinent, Section 2(a)(41) of the Act defines "value" to mean (1) with respect to securities for which market quotations are readily available, the market value of such securities; and (2) with respect to other securities and assets, fair value as determined in good faith by the board of directors.

Rule 22c-1 provides, in part, that no registered investment company, or principal underwriter therefore, issuing any redeemable security shall sell, redeem, or repurchase any such security except at a price based on the current net asset value of such security which is next computed after receipt of a tender of such security for redemption or of an order to purchase or sell such security.

Rule 2a-4 provides, as here relevant, that the "current net asset value" of a redeemable security issued by a registered investment company used in computing its price for the purposes of distribution, redemption and repurchase shall be an amount which reflects calculations made substantially in accordance with the provisions of that rule with estimates used where necessary or appropriate. Rule 2a-4 further provides that portfolio securities with respect to which market quotations are readily available shall be valued at current market value, and that other securities and assets shall be valued at fair value as determined in good faith by the board of directors. The Commission has expressed the view that, among other things, it is inconsistent with the provisions of Rule 2a-4 for a "money market" fund to value its portfolio instruments with over 60-day maturities on an amortized cost basis and that such valuation should be made with reference to market factors (Investment Company Act Release No. 9786, May 31, 1977).

Section 6(c) of the Act provides, in pertinent part, that upon application the Commission may conditionally or unconditionally exempt any person, security, or transaction, or any class or classes of persons, securities, or transactions, from any provision or provisions of the Act or of any rule or regulation thereunder, if and to the extent that such exemption is necessary or appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act.

In support of the relief requested, Applicant indicates that it has been the experience of its investment adviser in advising other funds, that in order to attract investors the Applicant should posses the attributes of (i) stability of principal, i.e., a stable net asset value, and (ii) a steady flow of investment income.

Applicant believes that its investment policy of investing only in instruments having a remaining maturity of one year or less with an average portfolio maturity of 120 days or less, when combined with a stable price of $1.00 per share, will provide both stability of principal and a steady flow of investment income. Applicant states that experience with respect to securities within Applicant's invstment policy indicates that with respect to instruments maturing in 120 days or less there is normally a negligible discrepancy between market value and the amortized cost value of such instruments.

Applicant represents that its board of directors determined in good faith that, in light of the characteristics of the Applicant as described above, absent unusual or extraordinary circumstances, the amortized cost method of valuing portfolio securities is appropriate and preferable for Applicant and reflects the fair value of such securities.

On the basis of the foregoing, Applicant believes that the valuation of its portfolio securities on the amortized cost basis will benefit its shareholders by enabling Applicant to maintain a stable price per share while providing shareholders with a flow of investment income less subject to fluctuation than under procedures whereby its dividend would be adjusted by all realized and unrealized gains and losses.

Applicant has agreed that each of the following may be made a condition to the granting of the exemptive relief requested:

1. In supervising Applicant's operations and delegating responsibility for portfolio management to its investment adviser, Applicant's board of directors undertakes—as a particular responsibility within the overall duty of care owed to Applicant's shareholders—to establish procedures reasonably designed, taking into account current market conditions and Applicant's investment objectives, to stabilize Applicant's net asset value per share, as computed for the purpose of distribution, redemption and repurchase, at $1.00 per share.

2. Included within the procedures to be adopted by the board of directors will be the following:

(a) Review by the board of directors, as it deems appropriate and at such intervals as are reasonable in light of current market conditions, to determine the extent of deviation, if any, of the net asset value per share as determined by using available market quotations from Applicant's $1.00 amortized cost price per share, and maintenance of records of such review. To fulfill this condition, the Applicant intends to use the actual quotations or estimates of market value reflecting current market conditions chosen by its board of directors in the exercise of its discretion to be appropriate indicators of value which may include, *inter alia*, (1) quotations or estimates of market value for individual portfolio instruments, or (2) values obtained from yield data published by

reputable sources relating to the types of securities that Applicant is permitted to purchase.

(b) The board of directors will promptly consider what action, if any, should be taken in the event such deviation from Applicant's $1.00 amortized cost price per share exceeds one-half of one percent.

(c) Where the board of directors believes the extent of any deviation from Applicant's $1.00 amortized cost price per share may result in material dilution or other unfair results to investors or existing shareholders, it shall take such action as it deems appropriate to minimize to the extent reasonably practicable such dilution or other unfair results, which may include: selling portfolio instruments prior to maturity to realize capital gains or losses or to shorten Applicant's average portfolio maturity; withholding dividends; or utilizing a net asset value per share as determined by using available market quotations.

3. Applicant will maintain a dollar-weighted average portfolio maturity appropriate to its objective of maintaining a stable net asset value per share; provided, however, that the Applicant will not (a) purchase any instrument with a remaining maturity of greater than one year, or (b) maintain a dollar-weighted average portfolio maturity which exceeds 120 days. In fulfilling this condition, if the disposition of a portfolio instrument results in a dollar-weighted average portfolio maturity in excess of 120 days, Applicant will invest its available cash in such a manner as to reduce the dollar-weighted average portfolio maturity to 120 days or less as soon as is reasonably practicable.

4. Applicant will record, maintain, and preserve permanently in an easily accessible place a written copy of the procedures (and any modifications thereto) described in condition 1 above, and Applicant will record, maintain and preserve for period of not less than six years (the first two years in an easily accessible place) a written record of its board of directors' considerations and actions taken in connection with the discharge of its responsibilities, as set forth above, to be included in the minutes of the board of directors' meetings. The documents preserved pursuant to this condition shall be subject to inspection by the Commission in accordance with Section 31(b) of the Act, as if such documents were records required to be maintained pursuant to rules adopted under Section 31(a) of the Act.

5. Applicant will limit its portfolio investments to those United States dollar denominated instruments which the board of directors determines present minimal credit risks and which are of "high quality" as determined by any major rating agency or, in the case of any instrument that is not rated, of comparable quality as determined by its board of directors.

6. Applicant will include in each quarterly report, as an attachment to Form N–1Q, a statement as to whether any action pursuant to condition 2(c) above was taken during the preceding fiscal quarter and, if any such action was taken, will describe the nature and circumstances of such action.

Applicant submits that the granting of the requested exemptions is appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act.

Notice is further given that any interested person may, not later than September 3, 1982, at 5:30 p.m., submit to the Commission in writing a request for a hearing on the application accompanied by a statement as to the nature of his interest, the reasons for such request, and the issues, if any, of fact or law proposed to be controverted, or he may request that he be notified if the Commission shall order a hearing thereon. Any such communication should be addressed: Secretary, Securities and Exchange Commission, Washington, D.C. 20549. A copy of such request shall be served personally or by mail upon Applicant at the address stated above. Proof of such service (by affidavit or, in the case of an attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0–5 of the Rules and Regulations promulgated under the Act, an order disposing of the application herein will be issued as of course following said date unless the Commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearing is ordered, will receive any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof.

For the Commission, by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22875 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

[Release No. 12575; (812–5192)]

Government Money Instruments Trust, Filing of Application for an Order Exempting Applicant From the Provisions of Section 2(a)(41) of the Act and Rules 2a–4 and 22c–1 Thereunder

August 3, 1982.

Notice is hereby given that Government Money Instruments Trust ("Applicant"), 421 Seventh Avenue, Pittsburgh, Pennsylvania 15219, an open-end, diversified, management investment company, registered under the Investment Company Act of 1940 ("Act") filed an application on May 24, 1982, and an amendment thereto on July 19, 1982 requesting an order of the Commission, pursuant to Section 6(c) of the Act, exempting Applicant from the provisions of Section 2(a)(41) of the Act and Rules 2a–4 and 22c–1 thereunder to the extent necessary to permit Applicant's assets to be valued at amortized cost. All interested persons are referred to the application on file with the Commission for a statement of the representations contained therein, which are summarized below.

Applicant states that it is a "money market" fund organized as a Massachusetts business trust and that Money Instruments Research Corp., a wholly-owned subsidiary of Federal Investors, Inc., acts as investment adviser to Applicant. Applicant further states that it is designed as an investment vehicle for investors with temporary cash balances or cash reserves seeking stability of principal and current income consistent with stability of principal and that it may invest in United States government obligations, and instruments of banks and savings and loan associations that are members of the Federal Deposit Insurance Corporation or the Federal Savings and Loan Insurance Corporation. The application states that the investments in commercial paper are limited to those rated A–1 by Standard & Poor's Corporation, Prime 1 by Moody's Investors Service or F–1 by Fitch Investors Service. Applicant asserts that its portfolio is limited to money market instruments maturing in one year or less and that a dollar-weighted average portfolio which does not exceed 120 days will be maintained.

As here pertinent, Section 2(a)(41) of the Act defines value to mean: (1) with respect to securities for which market quotations are readily available, the market value of such securities, and (2) with respect to other securities and assets, fair value as determined in good faith by an investment company's board

of directors. Rule 22c–1 adopted under the Act provides, in part, that no registered investment company or principal underwriter thereof issuing any redeemable security shall sell, redeem or repurchase any such security except at a price based on the current net asset value of such security which is next computed after receipt of a tender of such security for redemption or of an order to purchase or to sell such security. Rule 2a–4 adopted under the Act provides, as here relevant, that the "current net asset value" of a redeemable security issued by a registered investment company used in computing its price for the purposes of distribution and redemption shall be an amount which reflects calculations made substantially in accordance with the provision of that rule, with estimates used where necessary or appropriate. Rule 2a–4 further states that portfolio securities with respect to which market quotations are readily available shall be valued at fair value as determined in good faith by the board of directors. Prior to the filing of the application, the Commission expressed its view that, among other things: (1) Rule 2a–4 under the Act requires that portfolio instruments of "money market" funds be valued with reference to market factors, and (2) it would be inconsistent, generally, with the provisions of Rule 2a–4 for a "money market" fund to value its portfolio instruments on an amortized cost basis (Investment Company Act Release No. 9786, May 31, 1977). In view of the foregoing, Applicant requests an exemption from Section 2(a)(41) of the Act and Rules 2a–4 and 22c–1 thereunder to the extent necessary to permit Applicant to use the amortized cost method to value its assets.

Applicant states that its Board of Trustees (the "Board") have properly determined in good faith under the provisions of the Act to value the portfolio of Applicant by use of the amortized cost method and that this method is in the best interest of its shareholders. Applicant further submits that its Board will continuously monitor valuation indicated by methods other than amortized cost so that any necessary changes in the valuation method may be made to assure that the valuation method being used is a fair approximation of fair value in view of all pertinent factors.

Section 6(c) of the Act provides, in part, that the Commission may, upon application, conditionally or unconditionally exempt any person, security or transaction, or any class or classes of persons, securities or transactions, from any provision or provisions of the Act or of any rule or regulation thereunder, if and to the extent that such exemption is necessary or appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act. Applicant submits that the exemptions it requests is appropriate in the public interest and consistent with the policy and provisions of the Act for the reasons set forth above.

Applicant consents to the imposition of the following conditions to any order granting it the requested relief:

1. In supervising Applicant's operations and delegating special responsibilities involving portfolio management to Applicant's investment adviser, the Board undertakes—as a particular responsibility within the overall duty of care owed to its shareholders—to establish procedures reasonably designed, taking into account current market conditions and Applicant's investment objectives, to stabilize Applicant's net asset value per share, as computed for the purposes of distribution, redemption and repurchase, at $1.00 per share.

2. Included within the procedures to be adopted by the Board shall be the following:

(a) Review by the Board, as it deems appropriate and at such intervals as are reasonable in light of current market conditions, to determine the extent of deviation, if any, of the net asset value per share as determined by using available market quotations from Applicant's $1.00 amortized cost price per share, and the maintenance of records of such review.[1]

(b) In the event such deviation from the $1.00 amortized cost price per share exceeds ½ of 1 percent, a requirement that the Board will promptly consider what action, if any, should be initiated.

(c) Where the Board believes the extent of any deviation from the $1.00 amortized cost price per share may result in material dilution or other unfair results to investors or existing shareholders, it shall take such action as it deems appropriate to eliminate or to reduce to the extent reasonably practicable such dilution or unfair results, which may include: redeeming shares in kind; selling portfolio instruments prior to maturity to realize capital gains or losses, shortening the average maturity of portfolio instruments; withholding dividends; or utilizing a net asset value per share as determined by using available market quotations.

3. Applicant will maintain a dollar-weighted average portfolio maturity appropriate to its objective of maintaining a stable net asset value per share, provided, however, that Applicant will not (a) purchase any instrument with a remaining maturity of greater than one year or (b) maintain a dollar-weighted average portfolio maturity which exceeds 120 days.[2]

4. Applicant will record, maintain, and preserve permanently in an easily accessible place a written copy of the procedures (and any modifications thereto) described in condition 1 above, and will record, maintain and preserve for a period of not less than six years (the first two years in an easily accessible place) written record of the Board's considerations and actions taken in connection with the discharge of its responsiblities, as set forth above to be included in the minutes of the Board's meetings. The documents preserved pursuant to this condition shall be subject to inspection by the Commission in accordance with Section 31(b) of the Act, as if such documents were records required to be maintained pursuant to rules adopted under Section 31(a) of the Act.

5. Applicant will limit its portfolio investments, including repurchase agreements, to those United States dollar-denominated instruments which its Board determines present minimal credit risks, and which are "high quality" as determined by any major rating service or, in the case of any instrument that is not rated, of comparable quality as determined by the Board.

6. Applicant will include in each of its quarterly reports, as an attachment to Form N–1Q, a statement as to whether any action pursuant to paragraph 2(c) above was taken during the preceding fiscal quarter and, if any such action was taken, will describe the nature and circumstances of such action.

Notice is further given that any interested person may, not later than August 30, 1982, at 5:30 p.m. submit to the Commission in writing a request for

[1] To fulfill this condition, Applicant intends to use actual quotations or estimates of market value reflecting current market conditions chosen by its Board in the exercise of its discretion to be appropriate indicators of value which may include, *inter alia*, (1) quotations or estimates of market value for individual portfolio instruments, or (2) values obtained from yield data relating to classes of money market instruments published by reputable sources.

[2] To fulfill this condition, Applicant agrees that if the disposition of a portfolio security results in a dollar-weighted average portfolio maturity in excess of 120 days, Applicant will invest available cash in such a manner as to reduce the dollar-weighted average portfolio maturity to 120 days or less as soon as reasonably practicable.

a hearing on the application accompanied by a statement as to the nature of his/her interest, the reason for such request, and the issues, if any, of fact or law proposed to be controverted, or he/she may request that he/she be notified if the Commission shall order a hearing thereon. Any such communication should be addressed: Secretary, Securities and Exchange Commission, Washington, D.C. 20549. A copy of such request shall be served personally or by mail upon Applicant at the address stated above. Proof of such service (by affidavit or, in the case of an attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0–5 of the Rules and Regulations promulgated under the Act, an order disposing of the application will be issued as of course following said date unless the Commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearing is ordered, will receive any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof.

For the Commission, by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

Shirley E. Hollis,

Assistant Secretary.

[FR Doc. 82–22689 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

[Release No. 12582; (812–5224)]

Lehman Tax-Free Reserves; Inc., Filing of Application for Order Exempting Applicant From the Provisions of Section 2(a)(41) of the Act and Rules 2a–4 and 22c–1 Thereunder

August 9, 1982.

Notice is hereby given that Lehman Tax-Free Reserves, Inc. ("Applicant"), 55 Water Street, New York, New York 10041, a no-load, open-end, diversified, management investment company registered under the Investment Company Act of 1940 ("Act"), filed an application on June 24, 1982, requesting an order of the Commission, pursuant to Section 6(c) of the Act, exempting Applicant from the provisions of Section 2(a)(41) of the Act and Rules 2a–4 and 22c–1 thereunder to the extent necessary to permit Applicant to compute the net asset value per share of its one current investment portfolio, Lehman Tax-Free Money Market Fund ("Fund"), using the amortized cost method of valuing portfolio securities. All interested persons are referred to the application on file with the Commission for a statement of the representations contained therein, which are summarized below.

Applicant represents that the Fund's investment objective is to provide investors with as high a level of current income exempt from federal income tax as is consistent with preservation of capital and liquidity. Applicant represents further that to attain its objective, the Fund invests primarily in high quality tax-exempt securities ("Municipal Obligations") which have remaining maturities not exceeding one year. Municipal Obligations, which are issued by or on behalf of states, cities, municipalities and other public authorities, include: (1) Municipal bonds rated at the date of purchase "Aaa" or "Aa" by Moody's Investors Service, Inc. ("Moody's") or "AAA" or "AA" by Standard and Poor's Corporation ("S&P"); (2) municipal notes rated at the date of purchase "MIG–1" or "MIG–2" by Moody's"; (3) municipal commercial paper rated at the date of purchase "P–1" by Moody's or "A–1" by S&P; and (4) unrated municipal obligations that, in the opinion of the Fund's investment manager, are of comparable investment quality with the foregoing.

Applicant states that the Fund may purchase Municipal Obligations on a when-issued basis and that the Fund will comply with the requirements set forth in Investment Company Act Release No. 10666, dated April 18, 1979, relating to when-issued securities. The Fund is also permitted to enter into stand-by commitments with respect to Municipal Obligations held in its portfolio, subject to certain conditions. Applicant states further that the Fund may invest in certain taxable high quality money market instruments which have remaining maturities not exceeding one year on a temporary basis or for defensive purposes.

Applicant states that the Fund will declare as a dividend substantially all of its net investment income at the close of each business day to shareholders of record at 12:00 Noon on that day. Applicant states further that Lehman Management Co., Inc., a wholly-owned subsidiary of Lehman Brothers Kuhn Loeb Incorporated, will act as investment manager to the Fund.

Section 2(a)(41) of the Act defines "value" to mean "(1) with respect to securities for which market quotations are readily available, the market value of such securities; and (2) with respect to other securities and assets, fair value as determined in good faith by the board of directors * * *." Rule 2A–4 under the Act provides, in pertinent part, that the "current net asset value" of a redeemable security issued by a registered investment company used in computing its price for the purposes of distribution and redemption means an amount which reflects calculations made substantially in accordance with the following, with estimates used where necessary or appropriate: (1) Portfolio securities with respect to which market quotations are readily available shall be valued at current market value, and other securities shall be valued at fair value as determined in good faith by the board of directors. Rule 22c–1 under the Act, provides, in pertinent part, that no registered investment company issuing any redeemable security shall sell, redeem, or repurchase any such security except at a price based on the current net asset value of such security which is next computed after receipt of a tender of such security for redemption or of an order to purchase or sell such security.

In Investment Company Act Release No. 9786, dated May 31, 1977, the Commission stated that it would prospectively consider the use by a "money market" fund of the amortized cost method for valuing its portfolio securities (except those having maturities of 60 days or less) to be inconsistent with Rule 2a–4.

Section 6(c) provides that the Commission may, by order upon application, conditionally or unconditionally exempt any person from any provision or provisions of the Act or of any rule or regulation thereunder, if and to the extent that such exemption is necessary or appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act.

In support of the relief requested, Applicant asserts that many of the investors the Fund will seek to attract require an investment company with a stable net asset value and a steady flow of investment income. Applicant believes that the valuation of the securities in the Fund's portfolio on an amortized cost basis will benefit its shareholders by enabling the Fund to maintain a constant net asset value of $1.00 per share while providing shareholders with the opportunity to receive a relatively stable flow of investment income. Applicant believes that because the Fund invests only in high quality securities with a remaining maturity of one year or less and maintains a dollar-weighted average portfolio maturity of 120 days or less,

there will normally be a negligible discrepancy between market value and the amortized cost value of the Fund's portfolio securities. Accordingly, Applicant's Board of Directors has determined that the amortized cost method of valuing the Fund's portfolio securities will reflect the fair value of such securities, absent unusual or extraordinary circumstances, and is appropriate and in the best interests of its shareholders.

Applicant agrees that the following conditions may be imposed in any order of the Commission granting the exemptive relief requested:

1. Applicant's Board of Directors in supervising the Fund's operations and in delegating special responsibilities involving portfolio management to the Fund's investment manager, undertakes—as a particular responsibility within the overall duty of care owed to its shareholders—to establish procedures reasonably designed, taking into account current market conditions and the Fund's investment objective, to stabilize the Fund's net asset value per share, as computed for the purpose of distribution, redemption and repurchase, at $1.00 per share.

2. Included within the procedures to be adopted by Applicant's Board of Directors shall be the following:

(a) Review by the Board of Directors as it deems appropriate and at such intervals as are reasonable in light of current market conditions, to determine the extent of deviation, if any, of the net asset value per share as determined by using available market quotations from the Fund's $1.00 amortized cost price per share, and maintenance of records of such review. To fulfill this condition, Applicant intends to use actual quotations or estimates of market value reflecting current market conditions chosen by its Board of Directors in the exercise of its discretion to be appropriate indicators of value which may include, *inter alia*, (1) quotations or estimates of market value for individual portfolio instruments, or (2) values obtained from yield data relating to classes of money market instruments published by reputable sources or from independent pricing services.

(b) In the event such deviation from the Fund's $1.00 amortized cost price per share exceeds one-half of one percent, a requirement that the Board of Directors will promptly consider what action, if any, should be initiated.

(c) Where the Board of Directors believes the extent of any deviation from the Fund's $1.00 amortized cost price per share may result in material dilution or other unfair results to investors or existing shareholders, it shall take such action as it deems appropriate to eliminate or reduce to the extent reasonably practicable such dilution or unfair results which may include: selling portfolio instruments prior to maturity to realize capital gains or losses or to shorten the Fund's average portfolio maturity; withholding dividends; or utilizing a net asset value per share as determined by using available market quotations.

3. The Fund will maintain a dollar-weighted average portfolio maturity appropriate to its objective of maintaining a stable net asset value per share; provided, however, that the Fund will not (a) purchase any instrument with a remaining maturity of greater than one year, or (b) maintain a dollar-weighted average portfolio maturity that exceeds 120 days. In fulfilling this condition, if the disposition of a portfolio instrument results in a dollar-weighted average portfolio maturity in excess of 120 days, the Fund will invest its available cash in such a manner as to reduce the dollar-weighted average portfolio maturity to 120 days or less as soon as reasonably practicable.

4. Applicant will record, maintain and preserve permanently in an easily accessible place a written copy of the procedures (and any modifications thereto) described in condition (1) above; and Applicant will record, maintain and preserve for a period of not less than six years (the first two years in an easily accessible place) a written record of the Board of Directors' considerations and actions taken in connection with the discharge of its responsibilities, as set forth above, to be included in the minutes of the Board of Directors' meetings. The documents preserved pursuant to this condition shall be subject to inspection by the Commission in accordance with Section 31(b) of the Act, as if such documents were records required to be maintained pursuant to rules adopted under Section 31(a) of the Act.

5. The Fund will limit its portfolio investments, including repurchase agreements, to those U.S. dollar-denominated instruments which the Board of Directors determines present minimal credit risks, and which are of "high quality" as determined by any major rating service or, in the case of any instrument that is not rated, of comparable quality as determined by the Board of Directors.

6. Applicant will include in each quarterly report, as an attachment to Form N–1Q, a statement as to whether any action pursuant to condition 2(c) above was taken during the preceding fiscal quarter and, if any such action was taken, Applicant will describe the nature and circumstances of such action.

Notice is further given that any interested person may, not later than August 30, 1982, at 5:30 p.m., submit to the Commission in writing a request for a hearing on the application accompanied by a statement as to the nature of his interest, the reason for such request, and the issues, if any, of fact or law proposed to be controverted, or he may request that he be notified if the Commission shall order a hearing thereon. Any such communication should be addressed: Secretary, Securities and Exchange Commission, Washington, D.C. 20549. A copy of such request shall be served personally or by mail upon Applicant at the address stated above. Proof of such service (by affidavit or, in the case of an attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0–5 of the Rules and Regulations promulgated under the Act, an order disposing of the application will be issued as of course following said date unless the Commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearing is ordered, will receive any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof.

For the Commission, by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22669 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

[Release No. 18947; SR–MCC–82–7]

Self-Regulatory Organizations; Midwest Clearing Corporation ("MCC"); Order Approving Proposed Rule Change

August 9, 1982.

Midwest Clearing Corporation ("MCC") submitted a proposed rule change on June 4, 1982 pursuant to Rule 19b–4 under the Securities Exchange Act of 1934 which modifies MCC's rules for covering losses in the event of a participant's default. Under present rules, if a participant defaults and the amount of the loss exceeds that participant's contribution to the Participants Fund, MCC must cover such losses from the Contingency Reserve Fund and, if necessary, from the Participants Fund. The proposed rule change allows MCC's Board of Directors

to determine whether such losses will be recovered from its undivided profits and retained earnings, as well as from the Contingency Reserve Fund or the Participants Fund.

Notice of the proposed rule change together with the terms of substance of the proposed rule change was given by publication of a Commission Release (Securities Exchange Act Release No. 18865, July 2, 1982) and by publication in the Federal Register (47 FR 30342, July 13, 1982). No comment letters were received by the Commission.

The Commission finds that the proposed rule change is consistent with the requirements of the Act and the rule and regulations thereunder applicable to registered clearing agencies, and in particular, the requirements of Section 17A of the Act.

It is therefore ordered, pursuant to Section 19(b)(2) of the Act, that the proposed rule change be, and it hereby is, approved.

For the Commission, by the Division of Market Regulation, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22673 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 18948; SR-MSTC-82-10]

Midwest Securities Trust Company ("MSTC"); Order Approving Proposed Rule Change

August 9, 1982.

Midwest Securities Trust Company ("MSTC") submitted a proposed rule change on June 4, 1982 pursuant to Rule 19b-4 under the Securities Exchange Act of 1934 which modifies MSTC's rules for covering losses in the event of a participant's default. Under present rules, if a participant defaults and the amount of the loss exceeds that participant's contribution to the Participants Fund, MSTC must cover such losses from the Contingency Reserve Fund and, if necessary, from the Participants Fund. The proposed rule change allows MSTC's Board of Directors to determine whether such losses will be recovered from its undivided profits and retained earnings, as well as from the Contingency Reserve Fund or the Participants Fund.

Notice of the proposed rule change together with the terms of substance of the proposed rule change was given by publication of a Commission Release (Securities Exchange Act Release No. 18864, June 4, 1982) and by publication in the Federal Register (47 FR 30343, July 13, 1982). No comment letters were received by the Commission.

The Commission finds that the proposed rule change is consistent with the requirements of the Act and the rule and regulations thereunder applicable to registered clearing agencies, and in particular, the requirements of Section 17A of the Act.

It is therefore ordered, pursuant to Section 19(b)(2) of the Act, that the proposed rule change be, and it hereby is, approved.

For the Commission, by the Division of Market Regulation, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22672 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

Midwest Stock Exchange, Inc.; Applications for Unlisted Trading Privileges and of Opportunity for Hearing

August 5, 1982.

The above named national securities exchange has filed applications with the Securities and Exchange Commission pursuant to Section 12(f)(1)(B) of the Secutities Exchange Act of 1934 and Rule 12f-1 thereunder, for unlisted trading privileges in the following stocks:

New Jersey Resources Corporation, Common Stock, $5 Par Value (File No. 7-6285)

Connecticut Energy Corporation, Common Stock, $13⅓ Par Value (File No. 7-6286)

Rollins Environmental Services, Inc., Common Stock, $1 Par Value (File No. 7-6287)

CSX Corporation, $7 Cumulative Convertible Preferred Stock, Series A, $100 Par Value (File No. 7-6288)

Crystal Oil Company, Common Stock, $1 Par Value (File No. 7-6289)

Ozark Airlines Inc., Common Stock, $.50 Par Value (File No. 7-6290)

Commercial Metals Co., Common Stock, $5 Par Value (File No. 7-6291)

Flowers Industries, Inc., Common Stock, $.62½ Par Value (File No. 7-6292)

These securities are listed and registered on one or more other national securities exchange and are reported in the consolidated transaction reporting system.

Interested persons are invited to submit on or before August 26, 1982 written data, views and arguments concerning the above-referenced applications. Persons desiring to make written comments should file three copies thereof with the Secretary of the Securities and Exchange Commission, Washington, D.C. 20549. Following this opportunity for hearing, the Commission will approve the applications if it finds, based upon all the information available to it, that the extensions of unlisted trading privileges pursuant to such applications are consistent with the maintenance of fair and orderly markets and the protection of investors.

For the Commission, by the Division of Market Regulation, pursuant to delegated authority.

Shirley E. Hollis,

Assistant Secretary.

[FR Doc. 82-22688 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 22602; (70-6757)]

Monongahela Power Co., et al.; Proposal to Issue Secured Pollution Control Notes

In the matter of Monongahela Power Company, 1310 Fairmont Avenue, Fairmont, West Virginia 26554; The Potomac Edison Company, Downsville Pike, Hagerstown, Maryland 21740; and West Penn Power Company, 800 Cabin Hill Drive, Greensburg, Pennsylvania 15601.

Monongahela Power Company ("Monongahela"), the Potomac Edison Company ("Potomac"), and West Penn Power Company ("West Penn") (or individually, "Company" or collectively Companies"), public utility subsidiaries of Allegheny Power System, Inc., a registered holding company, have filed an application-declaration with this Commission pursuant to Sections 6 and 7 of the Public Utility Holding Company Act of 1935 ("Act") and Rule 50 thereunder.

In order to meet various state and federal air quality standards the Companies are required to install certain improvements to the particulate emission control and fly ash handling systems and associated equipment and facilities ("Facilities") now under construction at the Fort Martin Power Station ("Fort Martin") in Monongahela County, West Virginia ("County"). The Companies propose to effect tax exempt financing of the Facilities through the issuance by the Companies of secured pollution control notes to support the issuance of pollution control revenue bonds by the County Commission of Monongahela County, West Virginia ("County Commission").

Fort Martin (consisting of 552,000 kw Unit 1 and 555,000 kw Unit 2 steam electric generating units) is owned jointly by the Companies and Duquesne Light Company ("Duquesne") as tenants-in-common as follows:

[In percent]

	Monongahela	Potomac	West Penn	Duquesne
Unit 1	25	25	0	50
Unit 2	20	30	50	0

Duquesne, an unaffiliated electric utility, may choose separately to finance its interest in the Facilities in a manner similar to that proposed by the Companies or otherwise. The Facilities, scheduled for completion during the third quarter of 1982, are expected to cost in excess of $60 million. As of June 30, 1982 the Companies and Duquesne expect to have spent approximately $29 million in connection with the Facilities.

The County Commission proposes to sell separate issues of its tax exempt pollution control revenue bonds for each of the Companies ("Bonds") in an aggregate principal amount up to $60 million in one or more series with maturities and other terms to be determined. The Companies have been informed that the County Commission has legal authority to issue tax exempt revenue bonds and that the annual interest rate on conventional fixed-rate tax exempt bonds has been approximately 2% lower than the interest rate on taxable obligations of comparable quality. It is expected that the total amount of Bonds to be issued by the County Commission at this time will not exceed $9 million in respect to Monongahela, $9 million in respect of Potomac and $10 million in respect of West Penn. The Bonds in respect of each Company will be issued in either coupon or registered form under separate trust indentures and shall be sold in one or more series, at such times, in such principal amounts, at such interest rates, with such maturities, for such prices, and with such other terms as shall be approved by that Company.

Monongahela, Potomac and West Penn propose to issue $9 million, $9 million and $10 million, respectively, non-negotiable, secured pollution control notes ("Note or Notes"). Each Company proposes to deliver concurrently with the issuance of each series of Bonds its notes corresponding to such series of Bonds in respect of principal amount, interest rates and redemption provisions and having installments of principal corresponding to any mandatory sinking fund payments and stated maturities of such Bonds. Payments on the Notes will be made to the trustee under that Company's indenture and applied by the trustee to pay the maturing principal and redemption prices of and interest and other costs on the Bonds with respect to the Company as the same become due. Each Company also proposes to pay any trustees' fees or other expenses incurred by the County Commission. The obligations of each Company to pay for its interest in the Facilities is several and not joint, and the Notes delivered by each Company are the obligations solely of that Company. Each Company's Notes will be secured by a second lien on that Company's portion of the Facilities pursuant to a Deed of Trust and Security Agreement to be delivered by each Company to the trustee. The lien will be subject only to the lien of the indenture securing such Company's first mortgage bonds. The Notes will not constitute unsecured debt within the meaning of the provisions of the charters of Monongahela, Potomac and West Penn.

It is intended, to the extent feasible, to accomplish by the proposed transactions a permanent long-term financing of the Facilities. Market conditions prevailing at the time of the offering may warrant the issuance of the Bonds with floating interest rates during all or a portion of the stated life of the Bonds based on a specified index as well as provisions permitting the Bondholders to require the repurchase of the Bonds at stated intervals. The Companies will file an appropriate amendment to this Application-Declaration setting forth such provisions if it is proposed to include such special terms in the Notes and Bonds.

If the interest rates prevailing at the time of the financing are such that it is deemed undesirable to issue the Notes and Bonds on a floating rate basis, it may be advantageous to complete the proposed financing in two phases. In that event, the first phase would be the issuance of Bonds and Notes with maturities of three years or less. The second phase would be the refunding of those short-term Bonds and Notes at or prior to their maturity with long-term Bonds and Notes having a maturity not to exceed forty years. This two-phase procedure will afford the advantage of immediate tax-free financing with the flexibility to take advantage of a lower interest rate, if and when it can be obtained, with substantial savings. Authorization is therefore requested, in the event it should be necessary or desirabale, to issue (a) short-term Notes and, at or prior to their maturity, (b) long-term Notes to refund the short-term Notes.

The Companies will cause the Facilities to be completed and the Companies will have complete control of the operation of the Facilities and will be responsible for the maintenance thereof. To the extent that funds derived from the sale of the Bonds proposed herein or from any additional pollution control bonds which may be sold in the future or which may be sold by Duquesne are insufficient to pay the total cost of the Facilities, the Companies and Duquesne will be required to fund the completion of the Facilities from other sources.

It is expected that the County Commission will engage underwriters at a subsequent date to provide financial advice and underwrite or act as agents for the sale of the Bonds. Fees, commissions and expenses of the underwriters and legal counsel will be included in the total cost of the Facilities. The proceeds to be received by Monongahela, Potomac and West Penn from the sale of the Bonds will be added to each Company's general funds to reimburse their respective treasuries for expenditures made or to be made in connection with the Facilities.

The Companies request an exception from the competitive bidding requirements of Rule 50 pursuant to paragraph (a)(5) as to the issuance of Notes on the basis that competitive bidding would be inapproporiate and unnecessary in the public interest.

The application-declaration and any amendments thereto are available for public inspection through the Commission's Office of Public Reference. Interested persons wishing to comment or request a hearing should submit their views in writing by September 7, 1982, to the Secretary, Securities and Exchange Commission, Washington, D.C. 20549, and serve a copy on the applicants-declarants at the addresses specified above. Proof of service (by affidavit or, in the case of an attorney at law, by certificate) should be filed with the request. Any request for a hearing shall identify specifically the issues of fact or law that are disputed. A person who so requests will be notified of any hearing, if ordered, and will receive a copy of any notice or order issued in this matter. After said date, the application-declaration, as filed or as it may be amended, may be granted and permitted to become effective.

For the Commission, by the Division of Corporate Regulation, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22652 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 12595 (811-1926)]

The Mony Fund, Inc.; Filing of Application for an Order Pursuant to Section 8(f) of the Act Declaring That Applicant Has Ceased To Be an Investment Company

August 12, 1982.

Notice is hereby given that the Mony Fund, Inc. ("Applicant"), 1740 Broadway, New York, NY 10019, registered under the Investment Company Act of 1940 ("Act") as an open-end, diversified, management investment company, filed an application on July 6, 1982, for an order of the Commission, pursuant to Section 8(f) of the Act, declaring that Applicant has ceased to be an investment company as defined by the Act. All interested persons are referred to the application on file with the Commission for a statement of the representations contained therein, which are summarized below.

The application states, among other things, that Applicant, a New York corporation, registered under the Act on August 20, 1969. The application further states that Applicant filed a registration statement (File No. 2-34350) under the Securities Act of 1933 registering 1,000,000 shares of common stock in connection with a proposed public offering of shares; that such registration statement was declared effective by the Commission on July 17, 1970; and that the public offering commenced on that date.

The application states that on March 3, 1981, Applicant's board of directors voted to authorize the officers of Applicant to proceed to negotiate with Massachusetts Financial Services Company ("MFS") to effectuate a merger of Applicant into Massachusetts Financial Development Fund, Inc. ("MFD"). The board of directors approved an Agreement and Plan of Reorganization dated April 24, 1981, by and between Applicant and MFD (the "Reorganization Agreement"), and recommended that the Reorganization Agreement and the transactions contemplated thereby be submitted for shareholder approval. Shareholder approval was given at a Special Meeting of Shareholders held on December 17, 1981, with more than two-thirds of the shares entitled to vote being cast in favor of the adoption of the Reorganization Agreement and related transactions.

The application further states that, pursuant to the Reorganization Agreement, all of the assets of Applicant were transferred to MFD, in exchange for 986,091,757 shares of MFD capital stock, which were distributed on a pro rata basis to shareholders of Applicant, as of December 29, 1982. On June 29, 1982, Applicant forwarded to MFD $5,098.10 representing the balance of Applicant's remaining funds which arose as the result of tax refunds received on and after May 13, 1982. Additional MFD shares purchased with that amount will be credited to Applicant's former shareholders on a pro rata basis. The application states that Applicant has no assets and no shareholders, is not party to any litigation or administrative proceedings, and within the last eighteen months, has not transferred any of its assets to a separate trust, the beneficiaries of which were or are security-holders of Applicant.

The application states that the New York Department of State filed Applicant's Certificate of Dissolution on April 26, 1982, and that, pursuant to the New York Business Corporation Law, Applicant will have a legal existence after the date of dissolution only for the purpose of winding-up its affairs and of prosecuting and defending lawsuits. The application finally states that Applicant is not now engaged, and does not propose to engage, in any business activities other than those necessary for the winding-up of its affairs, and that it is therefore no longer an investment company as defined in the Act.

Section 8(f) of the Act provides, in pertinent part, that whenever the Commission, upon application, finds that a registered investment company has ceased to be an investment company it shall so declare by order, and that, upon the effectiveness of such order, the registration of such company under the Act shall cease to be in effect.

Notice is further given that any interested person may, not later than September 6, 1982, at 5:30 p.m., submit to the Commission in writing a request for a hearing on the application accompanied by a statement as to the nature of his interest, the reasons for such request, and the issues, if any, of fact or law proposed to be controverted, or he may request that he be notified if the Commission shall order a hearing thereon. Any such communication should be addressed: Secretary, Securities and Exchange Commission, Washington, D.C. 20549. A copy of such request shall be served personally or by mail upon Applicant at the address stated above. Proof of such service (by affidavit or, in the case of an attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0-5 of the Rules and Regulations promulgated under the Act, an order disposing of the application herein will be issued as of course following said date unless the Commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearing is ordered, will receive any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof.

For the Commission, by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22654 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 22597 (70-6711)]

New England System; Proposal To Create a New Subsidiary To Render Energy Management Services to Non-Affiliates

August 6, 1982.

The New England Electric Electric System ("NEES"), 25 Research Drive, Westborough, Massachusetts 01581, a registered holding company, has filed an application-declaration, and amendments thereto, with this Commission pursuant to Sections 6(a), 7, 9(a), 10, 12 and 13 of the Public Utility Holding Company Act of 1935 ("Act") and rules promulgated thereunder, including Rules 45, 87, 90 and 91.

As part of its long-term plan to reduce system load growth, NEES proposes to organize, acquire the capital stock of, and provide initial financing for a new wholly-owned subsidiary, NEESEnergy, Inc. ("NEESEnergy"). The new subsidiary will offer energy management services on the open, competitive market to non-affiliates, primarily the operators of large institutional, commercial, residential or industrial buildings. By negotiated contractual agreement, NEESEnergy will perform a variety of conservation and load management measures, including the installation of meters and controls on equipment, the modification or replacement of inefficient equipment, and the monitoring of energy consumption. A percentage of the dollar value of any energy savings resulting from these measures will be paid by the customer to NEESEnergy.

The initial financing for NEESEnergy will be provided in part by the purchase by NEES of 100 shares of NEESEnergy's

common stock for a total purchase price of $100,000. NEES will provide additional financing by making capital contributions not to exceed $1,900,000. It is estimated that this total capitalization of $2,000,000 will be adequate at least for the first year of operations.

NEES has proposed that the new subsidiary conduct its operations with a full-time permanent staff supplemented on a temporary basis, from time to time, by employees of other NEES operating subsidiaries with particularly appropriate expertise. NEESEnergy will be charged for all expenses connected with these temporary assignments on a full-cost reimbursement basis, using a work order system as prescribed in the Uniform System of Accounts for Mutual and Subsidiary Service Companies. Personnel transfers will be controlled by contractual agreement between NEESEnergy and the operating subsidiaries of NEES. The New England Power Service Company will also provide at cost management, financial, accounting, payroll, legal, and other services. All profits or losses will accrue to NEESEnergy and, indirectly, to NEES, and no obligations or unreimbursed costs are to be incurred by any other associate company.

NEES asserts that the provision of energy management services is best marketed through a separate corporate entity to ensure segregation of management functions, legal liabilities, personnel, and of revenues, costs and accounts attributable solely to the provision of this new service.

The application-declaration and any amendments thereto are available for public inspection through the Commission's Office of Public Reference. Interested persons wishing to comment or request a hearing should submit their views in writing by September 2, 1982, to the Secretary, Securities and Exchange Commission, Washington, D.C. 20549, and serve a copy on the applicant-declarant at the address specified above. Proof of service (by affidavit or, in the case of an attorney at law, by certificate) should be filed with the request. Any request for a hearing shall identify specifically the issues of fact or law that are disputed. A person who so requests will be notified of any hearing, if ordered, and will receive a copy of any notice or order issued in this matter. After said date the application-declaration, as amended or as it may be further amended, may be granted and permitted to become effective.

For the Commission, by the Division of Corporate Regulation, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22683 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 22596; (70-6709)]

New England Electric System; Proposal To Acquire Electric Company Through the Issuance and Exchange of Common Stock

August 5, 1982.

The New England Electric System ("NEES") 25 Research Drive, Westborough, Massachusetts 01581, a registered holding company, has filed an application-declaration and amendments thereto with this Commission, pursuant to Sections 6(a), 7, 9(a) and 10 of the Public Utility Holding Company Act of 1935 ("Act") and rules promulgated thereunder including Rule 50(a)(4).

NEES has requested the authority to acquire the Manchester Electric Company ("Manchester"), a non-affiliated, publicly-owned, retail electric company serving approximately 2,200 customers in the community of Manchester, Massachusetts. The acquisition would be accomplished through an exchange of 2.5 common shares of NEES for each share of Manchester stock. NEES and Manchester have formally agreed on terms and conditions of an exchange offer, subject to Commission approval, and have filed this agreement with the Commission. The offer will be made during an initial 30 day period which may be extended up to six months. NEES will be under no obligation to acquire any share of Manchester stock unless at least 80% of the outstanding stock is deposited for exchange by Manchester stockholders. Fractional shares will be eliminated by the payment or receipt of cash in an amount equal to one half of the market value of one share of NEES.

NEES intends to mail a prospectus to each Manchester stockholder at least 20 days prior to the effective date of the exchange offer. The offer will be made by letter and will be consummated as soon as practicable following the termination of the initial 30 day period of the exchange offer, or, if such offer is entended, as soon as practicable after the required percentage of Manchester stock has been deposited for exchange. In the latter case, consummation may precede the termination of the extended period of the offer and in such case NEES will continue during the remainder of such period to accept Manchester stock in exchange for NEES shares.

NEES has no plan for further transactions affecting Manchester. However, if less than 100% of Manchester stock is deposited for exchange, NEES will file with this Commission a plan for the elimination of all minority interests in Manchester stock by the merger of Manchester with a new corporation, all the stock of which will be owned by NEES.

The exchange will require NEES to issue up to 20,680 of its authorized but unissued common shares (including not in excess of 100 shares which may be issued against rights to one half common share and cash). At December 31, 1981, NEES has 30,000,000 common shares authorized, par value $1 per share, and 22,757,228 common shares outstanding.

In connection with the proposed transaction, NEES has filed a detailed description of Manchester's operations. By most standards, it is small. Manchester's net income for 1981 was $45,783. A staff of ten employees is responsible for steadily increasing maintenance, accounting and regulatory functions. The distribution system of Manchester, installed in the early 1900's, consists mainly of underground conductor. All power and energy are furnished at wholesale by New England Power Company ("NEP"), an operating subsidiary of NEES. Manchester is entirely surrounded by communities served by Massachusetts Electric Company ("Mass Electric"), a retail subsidiary of NEES, which also purchases all of its energy requirements from NEP under the same rate schedule as NEP supplies power and energy to Manchester.

NEES asserts that its acquisition of Manchester would result in the provision of more reliable electric service to the community of Manchester. The new subsidiary would be provided, at cost, a broad range of accounting, financing, engineering, legal and other services by the New England Power Service Company in the same manner as other subsidiaries of the NEES System. Computer and other high technology support not currently available to Manchester would also be provided.

NEES also states, in light of Manchester's size, its proximity to the service territory of Mass Electric, and the fact that NEP supplies at wholesale all of Manchester's power and energy requirements that it is in the long-term best interest of the NEES System, its customers and investors, that Manchester's electric system be integrated with, and operated as part of,

the NEES System. It is represented that such integration and operation will serve the public interest by tending toward the further economical and efficient development of the NEES integrated public utility system.

The application-declaration and amendments thereto are available for public inspection through the Commission's Office of Public Reference. Interested persons wishing to comment or request a hearing should submit their views in writing by September 1, 1982, to the Secretary, Securities and Exchange Commission, Washington, D.C. 20549, and serve a copy on the applicant-declarant at the address specified above. Proof of service (by affidavit or, in the case of an attorney at law, by certificate) should be filed with the request. Any request for a hearing shall identify specifically the issues of fact or law that are disputed. A person who so requests will be notified of any hearing, if ordered, and will receive a copy of any notice or order issued in this matter. After said date the applicant-declaration, as amended or as it may be further amended, may be granted and permitted to become effective.

For the Commission, by the Division of Corporate Regulation, pursuant to delegated authority.

Shirley E. Hollis

Assistant Secretary.

[FR Doc. 82-22884 Filed 8-18-82; 8:45 am]

BILLING COSE 8010-01-M

[Release No. 22600; (70-6762)]

Northeast Utilities, Western Massachusetts Electric Co. and The Connecticut Light and Power Co.; Proposed Issuance and Sale of Notes to Banks Pursuant to Credit Agreement

August 10, 1982.

Northeast Utilities ("NU"), a registered holding company, and two of its subsidiary companies, The Connecticut Light and Power Company ("CL&P"), Selden Street, Berlin, Connecticut 06037, and Western Massachusetts Electric Company ("WMECO"), 174 Brush Hill Avenue, West Springfield, Massachusetts 01089, have filed a declaration with this Commission pursuant to Sections 6(a) and 7 of the Public Utility Holding Company Act of 1935 ("Act").

By order dated August 20, 1981 (HCAR No. 22170), CL&P and WMECO were authorized, pursuant to a credit agreement with a group of banks, to issue and sell their notes up to a respective aggregate of $140,000,000 and $45,000,000 outstanding at any one time. CL&P and WMECO now propose, under a revised credit agreement, to issue and sell notes to a group of nine banks up to an aggregate of $200,000,000 outstanding at any one time. CL&P and WMECO may borrow, on a first-come, first-served basis, up the maximum amount committed for both applicants, up to $200,000,000 for CL&P and up to $100,000,000 for WMECO. It is stated that the revised credit agreement is more favorable in that it commits the lenders to loan higher amounts, at lower rates, with a lower commitment fee, for a longer time and with greater flexibility in terms of selecting between revolving and term borrowings.

Borrowings under the revised agreement will be on a revolving basis through July 10, 1990, unless a borrower elects to convert all or any portion of the amount which it may borrow to a term loan or loans on or before July 10, 1988, in which case such term loan(s) would mature on July 10, 1990, and would amortize in four equal semiannual installments commencing January 10, 1989. Borrowings, whether revolving or term, may be repaid in whole or in part without penalty, and any amounts not converted to term notes may be reborrowed until July 10, 1990. Any borrowings outstanding shall bear interest at the following rates: through July 10, 1987, at a rate equal to the base rate, and from July 11, 1987, until maturity, at a rate equal to 102% of the base rate. The base rate is the higher of (i) Continental Illinois National Bank and Trust Company of Chicago's floating prime rate or (ii) ½ of 1 percent per annum above the latest three week moving average of secondary market offering rates in the United States for three month certificates of deposit as published weekly by the Federal Reserve Bank of New York. CLP and WMECO will pay a commitment fee of ⅜ of 1 percent per annum on the average unused portion of the commitment from the date of the revised agreement (expected to be September 15, 1982) to its termination date.

The lending banks have requested NU to execute and deliver an undertaking in support of the revised agreement which is substantially the same as the undertaking given by NU in support of the present agreement.

The funds to be derived by CL&P and WMECO from the issuance and sale of revolving notes or term notes under the revised agreement will be applied, together with other funds available to these companies, to provide working capital and to finance their respective construction expenditures in 1982 and 1983, which are estimlated to be $684,473,000 and $134,742,000, respectively (including allowance for funds used during construction but excluding nuclear fuel).

The declaration and any amendments thereto are available for public inspection through the Commission's Office of Public Reference. Interested persons wishing to comment or request a hearing should submit their views in writing by September 8, 1982, to the Secretary, Securities and Exchange Commission, Washington, D.C. 20549, and serve a copy on the declarants at the addresses specified above. Proof of service (by affidavit or, in case of an attorney at law, by certificate) should be filed with the request. Any request for a hearing shall identify specifically the issues of fact or law that are disputed. A person who so requests will be notified of any hearing, if ordered, and will receive a copy of any notice or order issued in this matter. After said date, the declaration, as filed or as it may be amended, may be permitted to become effective.

For the Commission, by the Division of Corporate Regulation, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22662 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

Pacific Stock Exchange, Inc.; Applications for Unlisted Trading Privileges and of Opportunity for Hearing

August 5, 1982.

The above named national securities exchange has filed applications with the Securities and Exchange Commission pursuant to Section 12(f)(1)(B) of the Securities Exchange Act of 1934 and Rule 12f-1 thereunder, for unlisted trading privileges in the following stocks:

E-Systems, Inc., Common Stock, $1 Par Value (File No. 7-6282).

Raychem Corporation, Common Stock, No Par Value (File No. 7-6283).

Murphy Oil Corporation, Common Stock, $1 Par Value (File No. 7-6284).

These securites are listed and registered on one or more other national securities exchange and are reported in the consolidated transaction reporting system.

Interested persons are invited to submit on or before August 26, 1982 written data, views and arguments concerning the above-referenced applications. Persons desiring to make written comments should file three copies thereof with the Secretary of the

Securities and Exchange Commission, Washington, D.C. 20549. Following this opportunity for hearing, the Commission will approve the applications if it finds, based upon all the information available to it, that the extensions of unlisted trading privileges pursuant to such applications are consistent with the maintenance of fair and orderly markets and the protection of investors.

For the Commission, by the Division of Market Regulation pursuant to delegated authority.

Shirley E. Bollis,

Assistant Secretary.

[FR Doc. 82-22687 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[File No. 22-11746]

PepsiCo, Inc.; Application and Opportunity for Hearing

August 9, 1982.

Notice is hereby given that PepsiCo, Inc. (the "Applicant") has filed an application pursuant to clause (ii) of Section 310(b)(1) of the Trust Indenture Act of 1939 (the "Act") for a finding by the Securities and Exchange Commission (the "Commission") that the proposed succession of J. Henry Schroder Bank & Trust Company ("Schroder") to the trusteeship under two indentures of the Applicant, which are qualified under the Act and the existing successor trusteeship of Schroder under an indenture of the Applicant, which is qualified under the Act, and Schroder's trusteeship under an indenture not required to be so qualified are not so likely to involve a material conflict of interest as to make it necessary in the public interest or for the protection of investors to disqualify Schroder from acting as trustee under any of such indentures.

Section 310(b) of the Act provides in part that if a trustee under an indenture qualified under the Act has of shall acquire any conflicting interest, it shall, within 90 days after ascertaining that it has such conflicting interest either eliminat such conflicting interest or resign. Subsection (1) of such Section provides, in effect, that with certain exceptions, a trustee under a qualified indenture shall be deemed to have a conflicting interest if such trustee is trustee under another indenture under which any other securities of the same issuer are outstanding. However, under clause (ii) of Subsection (1), there shall be excluded from the operation of this provision another indenture under which other securities of the issuer are outstanding if the issuer shall have sustained the burden of proving, on application to the Commission and after opportunity for hearing, that the trusteeship under such qualified indenture and such other indenture is not so likely to involve a material conflict of interest as to make it necessary in the public interest or for the protection of investors to disqualify such trustee from acting as trustee under either of such indentures.

The Applicant alleges that:

1. The Applicant had outstanding as of June 12, 1982, $559,000 of 6½% Convertible Subordinated Debentures due 1994 (the "Rheingold Debentures"), which were originally issued by Rheingold Corp. ("Rheingold"), a New York corporation which has been merged into the Applicant. The Rheingold Debentures were issued under an Indenture, dated as of August 1, 1969 (the "Original Rheingold Indenture"), between Rheingold and Manufacturers Hanover Trust Company ("MHTC") as trustee, which indenture was amended by a Supplemental Indenture, dated as of December 7, 1973 (the "First Supplemental Rheingold Indenture"), between Rheingold and MHTC, and a Supplemental Indenture, dated as of December 27, 1975 (the "Second Supplemental Rheingold Indenture"), among United Beverages, Inc. (successor to Rheingold), the Applicant and MHTC. (The Original Rheingold Indenture, as amended by the First Supplemental Rheingold Indenture and Second Supplemental Rheingold Indenture is hereinafter referred to as the "Rheingold Indenture".) Pursuant to the Second Supplemental Rheingold Indenture, the Applicant assumed the obligations of Rheingold under the Rheingold Indenture. At the time of issuance, the Rheingold Debentures were registered under the Securities Act of 1933, as amended (the "Securities Act") (Registration No. 2-33723) and the Original Rheingold Indenture was qualified under the Act. By an Instrument of Resignation, Appointment and Acceptance, dated as of September 11, 1981, MHTC resigned as trustee under the Rheingold Indenture and Schroder accepted its appointment as successor trustee.

2. The New York City Industrial Development Agency, a corporate governmental agency constituting a body corporate and politic of the State of New York (the "Agency") had outstanding as of June 12, 1982, $700,000 of its Industrial Development Revenue Bonds (1981 PepsiCo, Inc. Project) (the "Bonds") issued under an Indenture of Mortgate and Trust, dated as of November 1, 1981 (the "Bond Indenture"). Schroder is the indenture trustee under the Bond Indenture. The Bonds were not required to be and were not registered under the Securities Act and the Bond Indenture was not required to be and was not qualified under the Act.

The Bonds were issued in connection with the acquisition of a warehouse facility (the "Project") to be used by a division of the Applicant. The Agency acquired the Project through the issuance of the Bonds and is leasing the Project to the Applicant pursuant to a Lease Agreement, dated as of November 1, 1981 (the "Lease"), between the Agency and the Applicant. Pursuant to the terms of the Lease, the Applicant has agreed to pay such rentals for the Project as are sufficient to meet the payments of principal of, premiums, if any, and interest on the Bonds when such payments shall become due and payable, together with other amounts relating to the Bonds, the Project, the Lease and the Indenture.

The Agency has pledged, assigned and transferred to Schroder, as trustee under the Bond Indenture, its rights under the Lease (other than its rights to the reimbursement of transactional expenses and to indemnification against claims) and has mortgaged the Project, all as security for the Bonds. The Applicant has also guarantee the payment of the Bonds pursuant to a Company Guarantee Agreement, dated as of November 1, 1981 (the "Guarantee"), between the Applicant and Schroder.

3. The Applicant is not the issuer of the Bonds. However, the Applicant's obligations under the Guarantee may be deemed to be securities issued under the Bond Indenture. Accordingly, the Bond Indenture may, for purposes of Section 310(b) of the Act, be "another indenture under which any other securities * * * of an obligor [*i.e.*, the Applicant] * * * are outstanding" with the result that there could be a conflicting interest if the same institution were to serve as trustee under an indenture qualifed under the Act and the Bond Indenture.

4. By Order, dated April 6, 1982, the Commission granted the Applicant's request for a finding under Section 310(b)(1)(ii) of the Act that the successor trusteeship of Schroder under the Rheingold Indenture and the trusteeship of Schroder under the Bond Indenture were not so likely to involve a material conflict of interest as to make it necessary in the public interest or for the protection of investors to disqualify Schroder from acting as trustee under the Bond Indenture.

5. The Applicant had outstanding as of June 12, 1982, $3,475,000 of 6½% Subordinated Debentures due October

15, 1988 (the "Wilson Debentures"), originally issued by Wilson Sporting Goods Co. ("Wilson"), a Delaware corporation which has been merged into the Applicant. The Wilson Debentures were issued under an Indenture, dated as of October 15, 1968 (the "Original Wilson Indenture"), between Wilson and First National City Bank ("Citibank"), as trustee, which indenture was amended, at the time of the merger of Wilson into the Applicant, by a First Supplemental Indenture, dated December 22, 1972 (the "Wilson Supplemental Indenture"), between the Applicant and Citibank. (The Original Wilson Indenture, as amended by the Wilson Supplemental Indenture, is hereinafter referred to as the "Wilson Indenture"). Pursuant to the Wilson Supplemental Indenture, the Applicant assumed the obligations of Wilson under the Wilson Indenture. At the time of issuance, the Wilson Debentures were registered under the Securities Act (Registration No. 2–30132) and the original Wilson Indenture was qualified under the Act.

6. The Applicant had outstanding at June 12, 1982, $1,506,000 of 4¾% Convertible Subordinated Debentures due 1996 (the "PepsiCo Debentures" and together with the Rheingold Debentures and the Wilson Debentures, the "Debentures"), issued and outstanding under an Indenture, dated as of August 1, 1971 (the "PepsiCo Indenture" and, together with the Rheingold Indenture and the Wilson Indenture, the "Debenture Indentures"), between the Applicant and Citibank, as trustee. At the time of issuance, the PepsiCo Debentures were registered under the Securities Act (Registration No. 2–40886) and the PepsiCo Indenture was qualified under the Act.

7. By order, dated November 21, 1973, the Commission granted the Applicant's request for a finding under Section 310(b)(1)(ii) of the Act that the trusteeships of Citibank under the Wilson Indenture and the PepsiCo Indenture were not so likely to involve a material conflict of interest as to make it necessary in the public interest or for the protection of investors to disqualify Citibank from acting as trustee under either of such indentures.

8. Citibank has informed the Applicant of its intention to resign as trustee under the Wilson Indenture and the PepsiCo Indenture. The Applicant wishes to appoint Schroder to be successor trustee under each of such indentures.

9. The Applicant's obligations with respect to the Debentures are, by the terms thereof and of the indentures under which they were issued, subordinate to the rights to payment of "Superior Indebtedness" (as defined in Section 14–2 of the Rheingold Indenture) or "Senior Indebtedness" (as defined in Section 1.01 of the PepsiCo Indenture and the Wilson Indenture), in each case including the Guarantee.

10. The Debentures are unsecured direct obligations of the Applicant, ranking *pari passu inter se*, while the Bonds are secured by the Agency's mortgage of the Project and the Applicant's obligations under the Guarantee.

11. The Applicant is not in default under any of the Debentures Indentures. Neither the Applicant nor the Agency is in default under the Bond Indenture or the Lease.

12. Other than as specified in paragraphs 9 and 10 hereof, the only material differences among the Debentures Indentures and the Bond Indenture, and among the rights of the holders of ther securities issued thereunder, relate to dates of issue, aggregate principal amounts, interest rates, maturity and payment dates, redemption features (prices, dates and procedures), sinking fund provisions, procedures and approvals for action by Debenture and Bondholders, grace periods relating to events of default, and certain convenants and provisions relating to merger and consolidation of the Applicant, the conduct of the Applicant's business and financial affairs and the operation and maintenance of Applicant's property, including the Project. In addition, there are differences between the Debenture Indentures and the Bond Indenture related to the fact that the Applicant is not the primary obligor under the Bond Indenture. Certain provisions required by the Act are not contained in the Bond Indenture.

13. In the opinion of the Applicant, the provisions of the aforementioned indentures are not so likely to involve a material conflict of interest as to make it necessary in the public interest or for the protection of investors to disqualify Schroder from acting as trustee under any of such indentures.

The Applicant has waived notice of hearing, any right to a hearing on the issues raised by its application, and all rights to specify procedures under the Rules of Practice of the Commission with respect to its application.

For a more detailed account of the matters of fact and law asserted, all persons are referred to said application, which is a public document on file in the offices of the Commission at the Public Reference Room, 450 5th Street, N.W., Washington, D.C. 20549.

Notice is further given that any interested person may, not later than September 3, 1982, submit to the Commission his views of any substantial facts bearing on this application or the desirability of a hearing thereon. Any such communication or request should be addressed: Secretary, Securities and Exchange Commission, 450 5th Street, N.W., Washington, D.C. 20549, and should state briefly the nature of the interest of the person submitting such information or requesting the hearing, the reasons for such requests, and the issues of fact and law raised by the application which he desires to controvert. Persons who request the hearing or advice as to whether the hearing is ordered will receive all notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof. At any time after such date, an order granting the application may be issued upon request or upon the Commission's own motion.

For the Commission, by the Division of Corporation Finance, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22668 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

Philadelphia Stock Exchange, Inc.; Applications for Unlisted Trading Privileges and of Opportunity for Hearing

August 6, 1982.

The above named national securities exchange has filed applications with the Securities and Exchange Commission pursuant to Section 12(f)(1)(B) of the Securities Exchange Act of 1934 and Rule 12f–1 thereunder, for unlisted trading privileges in the following stocks:

Anacomp, Inc., Common Stock, $1 Par Value (File No. 7–6293)
Community Psychiatric Centers, Common Stock, $1 Par Value (File No. 7–6294)
Petrolane Incorporated, Common Stock, $1 Par Value (File No. 7–6295)

These securities are listed and registered on one or more other national securities exchange and are reported in the consolidated transaction reporting system.

Interested persons are invited to submit on or before August 27, 1982 written data, views and arguments concerning the above-referenced applications. Persons desiring to make written comments should file three copies thereof with the Secretary of the

Securities and Exchange Commission, Washington, D.C. 20549. Following this opportunity for hearing, the Commission will approve the applications if it finds, based upon all the information available to it, that the extensions of unlisted trading privileges pursuant to such applications are consistent with the maintenance of fair and orderly markets and the protection of investors.

For the Commission, by the Division of Market Regulation, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22682 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 34-18941; File No. SR-MSTC-82-14]

Self-Regulatory Organizations; Proposed Rule Change By Midwest Securities Trust Co. Relating to New Line and Terminal Rental Charges for MST Communications System

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934, 15 U.S.C. 78s(b)(1), notice is hereby given that on July 6, 1982 the Midwest Securities Trust Company filed with the Securities and Exchange Commission the proposed rule change as described in Items I, II, and III below, which Items have been prepared by the self-regulatory organization. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization's Statement of the Terms of Substance of the Proposed Rule Change

The line and terminal charges for MST Communication System terminal are contained in MST System Administrative Bulletin dated July 1, 1982.

II. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, the self-regulatory organization included statements concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. The self-regulatory organization has prepared summaries, set forth in Sections (A), (B), and (C) below, of the most significant aspects of such statements.

(A) Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

MSTC has been notified of an increase by AT&T for line charges for all MST Communication System terminals and terminal rental charges for the Dataspeed 40/4 terminal. As a result MSTC has reflected the revised AT&T charges beginning with the April 1982 billing statement.

Charges for the Dataspeed 4540 and IBM terminals are unaffected by the AT&T increases and the MSTC fee will remain the same.

The new charges for the MST Communication System terminal and line charges are consistent with Section 17A of the Act. The resulting cost from the AT&T increase must be offset by increased fees. The new line fee will be allocated among all participants using the service and the increased rental fee among participants using the Dataspeed 40/4 terminal.

(B) Self-Regulatory Organization's Statement on Burden on Competition

The Midwest Securities Trust Company does not believe that any burdens will be placed on competition as a result of the proposed rule change.

(C) Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received from Members, Participants or Others

Comments have neither been solicited nor received.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

The foregoing rule change has become effective pursuant to Section 19(b)(3) of the Securities Exchange Act of 1934 and subparagraph (e) of Securities Exchange Act Rule 19b-4. At any time within 60 days of the filing of such proposed rule change, the Commission may summarily abrogate such rule change if it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposes of the Securities Exchange Act of 1934.

IV. Solicitation of Comments

Interested persons are invited to submit writen data, views and arguements concerning the foregoing. Persons making written submissions should file six copies thereof with the Secretary, Securities and Exchange Commission, 450 Fifth Street NW., Washington, D.C. 20549. Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for inspection and copying in the Commission's Public Reference Section, 450 Fifth Street NW., Washington, D.C. Copies of such filing will also be available for inspection and copying at the principal office of the above-mentioned self-regulatory organization. All submissions should refer to the file number in the caption above and should be submitted on or before September 9, 1982.

For the Commission, by the Division of Market Regulation, pursuant to delegated authority.

Dated: August 9, 1982.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22678 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 34-18949); File No. SR-MSTC-82-16]

Self-Regulatory Organizations; Proposed Rule Change by Midwest Securities Trust Co. Relating to Adustments to MSTC's Volume Discount for Interactivity Movements and Dividend/Interest Credit Program

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934, 15 U.S.C. 78s(b)(1), notice is hereby given that on July 26, 1982, the Midwest Securities Trust Company filed with the Securities and Exchange Commission the proposed rule change as described in Items I, II, and III below, which Items have been prepared by the self-regulatory organization. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization's Statement of the Terms of Substance of the Proposed Rule Change

The revised volume discount for interactivity movement services and fee schedule for MSTC's dividend/interest

credit program are contained in MST Administrative Bulletins

II. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, the self-regulatory organization included statements concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. The self-regulatory organization has prepared summaries, set forth in sections (A), (B), and (C) below, of the most significant aspects of such statements.

(A) Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

The purpose of the rule change is to amend the Volume Discount for Interactivity Movements previously announced in 19b–4 filing No. SR–MSTC–82–11. The volume discount was established to return excess revenues earned by MSTC to those participants which utilized MDTC for settlement of trades and thereby generated post settlement activity, thus generating additional income to MSTC.

As a result of the industry-wide decrease in volume and current projections for volume throughout 1982, MSTC has determined that the calculation of the volume discount for interactivity movements should be a variable percentage that will be calculated for each billing period. This will give participants eligible for the discount the benefit of such discount if volume levels are sufficient to generate excess revenues.

MSTC has also revised the fees for Automatic Entry of Dividend and Bond Interest Items from .50/entry to 1.00/entry.

This revision has been determined to be appropriate due to increased expenses being incurred by MSTC to provide this service.

The proposed rule change is consistent with the requirements of the Securities Exchange Act of 1934, and the rules and regulations thereunder applicable to MSTC in that it provides for the equitable allocation of fees and other charges among MSTC's participants.

(B) Self-Regulatory Organization's Statement on Burden on Competition

The Midwest Securities Trust Company does not believe that any burdens will be placed on competition as a result of the proposed rule change.

(C) Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received From Members, Participants or Others

Comments have neither been solicited nor received.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

The foregoing rule change has become effective pursuant to Section 19(b)(3) of the Securities Exchange Act of 1934 and subparagraph (e) of Securities Exchange Act Rule 19b–4. At any time within 60 days of the filing of such proposed rule change, the Commission may summarily abrogate such rule change if it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposes of the Securities Exchange Act of 1934.

IV. Solicitation of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing. Persons making written submissions should file six copies thereof with the Secretary, Securities and Exchange Commission, 450 Fifth Street, NW., Washington, D.C. 20549. Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for inspection and copying in the Commission's Public Reference Section, 450 Fifth Street, NW., Washington, D.C. Copies of such filing will also be available for inspection and copying at the principal office of the above-mentioned self-regulatory organization. All submissions should refer to the file number in the caption above and should be submitted on or before September 9, 1982.

For the Commission, by the Division of Market Regulation, pursuant to delegated authority.

Dated: August 9, 1982.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22681 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

[Release No. 34–18950; File No. SR–MCC–82–12]

Self-Regulatory Organizations; Proposed Rule Change by Midwest Clearing Corp. Relating to Adjustments to MCC's Volume Credit for Settling Trade Activity, Automatic Stock Loan Program and Dividend/Interest Credit Program

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934, 15 U.S.C. 78s(b)(1), notice is hereby given that on July 26, 1982, the Midwest Clearing Corporation filed with the Securities and Exchange Commission, the proposed rule change as described in Items I, II, and III below, which Items have been prepared by the self-regulatory organization. The Commission is publishing this notice to solicit comments on the proposed rule change from interested.

I. Self-Regulatory Organization's Statement of the Terms of Substance of the Proposed Rule Change

The new settling trade volume credit and the new fees for MCC's automated stock loan program and dividend/interest credit program are contained in MST System Administrative Bulletins.

II. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, the self-regulatory organization included statements concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. The self-regulatory organization has prepared summaries, set forth in sections (A), (B), and (C) below, of the most significant aspects of such statements.

(A) Self-Regulatory Organaization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

The purpose of the rule change is to amend the Settling Trade Volume Credit previously announced in 19b–4 filing SR–MCC–82–8. The volume credit was established to return excess revenues earned by MCC to those participants which utilized MCC for the settlement of trades and thereby generated post settlement activity, thus generating additional income to MCC.

As a result of the industry-wide decrease in volume and current projections for volume throughout 1982,

MCC has determined that the calculation of settling trade volume credits should be a variable percentage that will be calculated for each billing period. This will give participants eligible for settling trade volume credits, the benefit of such credits only if volume levels are sufficient to generate excess revenues.

MCC has also revised the following fees: Automatic Entry of Dividend and Bond Interest Items—from .50/entry to 1.00; MCC Automatic Securities Loan Program will be billed on an annualized basis at 5.28% as compared to the previous 4.28%.

The serevisions have been determined to be appropriate due to either increased expenses being incurred by MCC to provide these services and/or the fees are being increased in relation to the benefits derived by a participant's utilization of the services, as in the case of the Automatic Stock Loan Program.

The proposed rule change is consistent with the requirements of the Securities Exchange Act of 1934, and the rules and regulations thereunder applicable to MCC in that it provides for the equitable allocation of fees and other charges among MCC's participants.

(B) Self-Regulatory Organization's Statement on Burden on Competition

The Midwest Clearing Corporation does not believe that any burdens will be placed on competition as a result of the proposed rule change.

(C) Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received From Members, Participants or Others

Comments have neither been solicited nor received.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

The foregoing rule change has become effective pursuant to Section 19(b)(3) of the Securities Exchange Act of 1934 and subparagraph (e) of Securities Exchange Act Rule 19b–4. At any time within 60 days of the filing of such proposed rule change, the Commission may summarily abrogate such rule change if it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposes of the Securities Exchange Act of 1934.

IV. Solicition of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing. Persons making written submissions should file six copies thereof with the Secretary, Securities and Exchange Commision, 450 Fifth Street, N.W., Washington, D.C. 20549.

Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for inspection and copying in the Commission's Public Reference Section, 450 Fifth Street, N.W., Washington, D.C. Copies of such filing will also be available for inspection and copying at the principal office of the above-mentioned self-regulatory organization. All submissions should refer to the file number in the caption above and should be submitted on or before September 9, 1982.

For the Commission by the Division of Market Regulation, pursuant to delegated authority.

Dated: August 9, 1982.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22677 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

[Release No. 34–18942; File No. SR–MCC–82–10]

Self-Regulatory Organizations; Proposed Rule Change by Midwest Clearing Corp. Relating to New Line and Terminal Rental Charges for MST Communications System

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934, 15 U.S.C. 78s(b)(1), notice is hereby given that on July 6, 1982, the Midwest Clearing Corporation filed with the Securities and Exchange Commission the proposed rule change as described in Items I, II, and III below, which Items have been prepared by the self-regulatory organization. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization's Statement of the Terms of Substance of the Proposed Rule Change

The line and terminal rental charges for MST Communications System terminal are contained in MST System Administrative Bulletin dated July 1, 1982.

II. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, the self-regulatory organization included statements concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. The self-regulatory organization has prepared summaries, set forth in Sections (A), (B), and (C) below, of the most significant aspects of such statements.

(A) Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

MCC has been notified of an increase by AT&T for line charges for all MST Communication System terminals and terminal rental charges for the Dataspeed 40/4 terminal. As a result, MCC has reflected the revised AT&T charges beginning with the April 1982 billing statement.

Charges for the Dataspeed 4540 and IBM terminals are unaffected by the AT&T increases and the MCC fee will remain the same.

The new charges for the MST Communication System terminal and line charges are consistent with Section 17A of the Act. The resulting cost from the AT&T increase must be offset by increased fees. The new line fee will be allocated among all participants using the service and the increased rental fee among participants using the Dataspeed 40/4 terminal.

(B) Self-Regulatory Organization's Statement on Burden on Competition

The Midwest Clearing Corporation does not believe that any burdens will be placed on competition as a result of the proposed rule change.

(C) Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received From Members, Participants or Others

Comments have neither been solicited nor received.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

The foregoing rule change has become effective pursuant to Section 19(b)(3) of the Securities Exchange Act of 1934 and subparagraph (e) of Securities Exchange Act Rule 19b–4. At any time within 60 days of the filing of such proposed rule

change, the Commission may summarily abrogate such rule change if it appears to the Commission that such action is necessary or appropriate in the public interest, for the protection of investors, or otherwise in furtherance of the purposed of the Securities Exchange Act of 1934.

IV. Solicitation of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing. Persons making written submissions should file six copies thereof with the Secretary, Securities and Exchange Commission, 450 Fifth Street, NW., Washington, D.C. 20549. Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for inspection and copying in the Commission's Public Reference Section, 450 Fifth Street, NW., Washington, D.C. Copies of such filing will also be available for inspection and copying at the principal office of the above-mentioned self-regulatory organization. All submissions should refer to the file number in the caption above and should be submitted on or before September 9, 1982.

For the Commission, by the Division of Market Regulation, pursuant to delegated authority.

Dated: August 9, 1982.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22679 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 34-18934; Amendment No. 3 to File No. SR-PHLX-1981-4]

Self-Regulatory Organizations; Proposed Rule Change by Philadelphia Stock Exchange, Inc.; Relating to a Proposal To Establish an Exchange Market in Standardized Options on Foreign Currencies

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934, 15 U.S.C. 78s(b)(1), notice is hereby given that on July 30, 1982, the Philadelphia Stock Exchange filed with the Securities and Exchange Commission the proposed rule changes as described in Items I, II, and III below, which Items have been prepared by the self-regulatory organization. The Commission is publishing this notice to solicit comments on the proposed rule changes from interested persons.

Item I. Self-Regulatory Organization's Statement of the Terms of Substance of the Proposed Rule Change

The Philadelphia Stock Exchange, Inc. ("PHLX") has proposed to amend File No. SR-PHLX-81-4, which pertains to the establishment of an exchange market in standardized options on foreign currencies. The terms of substance of the proposed rule change are summarized below.

Rule 101.—This Rule would be amended to provide that the Exchange will be open for the entrance of members at 8:00 a.m. (EST) and that foreign currency option transactions normally will be effected between 8:30 a.m. (EST) and 2:30 p.m. (EST) each business day.

Rule 722.—This Rule would be amended to allow the Philadelphia Stock Exchange, rather than the Options Clearing Corporation, to approve the financial institutions that will be allowed to issue the letters of credit that may be utilized as cover by the writers of foreign currency options.

Rule 1000.—The definition of the term "covered" in Rule 1000 is proposed to be amended to make this definition consistent with the proposed changes in Rule 722.

Rule 1012(b).—Paragraph (b) of this Rule would be modified to provide that a closing rotation for each expiring series of foreign currency options will commence at 1:30 p.m. (EST) on the business day prior to expiration.

Rule 1039.—This Rule is proposed to be amended to provide that, when a disagreement regarding an uncompared foreign currency option transaction cannot be resolved by 8:30 a.m. (EST) on the first business day following the trade, the parties involved must close out that transaction prior to 2:00 p.m. (EST) of that day.

Rule 1047.—The Commentary to this rule is proposed to be amended to provide that opening rotations in each class of foreign currency options will be held promptly after 8.30 a.m. (EST) on each business day and to provide that closing rotations will be commenced at 1:30 p.m. (EST) on the last trading day of each series of expiring foreign currency options. The Commentary to this Rule also would be amended to provide that if current quotations for any underlying foreign currency are, for any reason, unavailable within a reasonable time after 8:30 a.m., the opening of foreign currency options trading will be delayed unless a determination is made that the interests of a fair and orderly market are best served by opening trading.

Item II

(A) Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

The proposed amendments to Rules 101, 1012, 1039 and 1047 are designed to reflect PHLX's anticipation that foreign currency options normally will be traded from 8:30 a.m. (EST) to 2:30 p.m. (EST) each business day, rather than from 9:00 a.m. (EST) to 3:00 p.m. (EST), as originally contemplated. PHLX believes these proposed trading hours will allow it to utilize more fully the price information available from the New York City interbank foreign exchange market and from the foreign currency futures markets. The change in Rule 722 is proposed because the Options Clearing Corporation ("OCC") initially will not have mechanisms pursuant to which short foreign currency option positions carried by its clearing members will be deemed "covered" for OCC margin purposes.

(B) Self-Regulatory Organization's Statement on Burden on Competition

PHLX does not believe that the proposed rule change will impose any burden on competition.

(C) Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received from Members, Participants, or Others

Formal comments on the proposed rule changes have not been solicited or received.

Item III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

Within 35 days of the date of publication of this notice in the **Federal Register** or within such longer period; (i) As the Commission may designate up to 90 days of such date if it finds such longer period to be appropriate and publishes its reasons for so finding or (ii) as to which the above-mentioned self-regulatory organization consents, the Commission will:

(A) by order approve such proposed rule change, or

(B) institute proceeding to determine whether the proposed rule change should be disapproved.

Item IV. Solicitation of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing. Persons making written submissions

should file six copies thereof with the Secretary, Securities and Exchange Commission, 450 Fifth Street NW., Washington, D.C. 20549. Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552 will be available for inspection and copying in the Commission's Public Reference Section, 450 Fifth Street NW., Washington, D.C. Copies of such filing will also be available for inspection and copying at the principal office of the above-mentioned self-regulatory organization. All submissions should refer to the file number in the caption above and should be submitted on or before September 9, 1982.

For the Commission, by the Division of Market Regulation pursuant to delegated authority.

Dated: August 4, 1982.

Shirley E. Hollis,

Assistant Secretary.

[FR Doc. 82-22686 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 34-18944; File No. SR-OCC-82-15]

Self-Regulatory Organizations; Proposed Rule Change By Options Clearing Corp. Relating to Elimination of Options Certificates

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934, 15 U.S.C. 78s(b)(1), notice is hereby given that on July 6, 1982, The Options Clearing Corporation ("OCC") filed with the Securities and Exchange Commission the proposed rule change as described in Items I, II, and III below, which Items have been prepared by OCC. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization's Statement of the Terms of the Proposed Rule Change

The proposed rule change would eliminate the option certificate, a non-negotiable instrument currently issued by OCC at the request of a Clearing Member in respect of an option contract included in a long position in the account of a customer of such Clearing Member.

II. Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, OCC included statements concerning the purpose of, and basis for, the proposed rule change. The text of these statements may be examined at the places specified below. OCC has prepared summaries, set forth in Sections (A), (B), and (C) below, of the most significant aspects of such statements.

(A) Purpose of, and Statutory Basis for, the Proposed Rule Change

OCC's Rules presently provide for the issuance by OCC, on request of a Clearing Member, of a certificate in respect of any stock option contract included in a long position in a customer's account. The option certificate is not the option itself; it is a non-negotiable instrument that confers no legal rights on the holder, but instead merely serves to document a Clearing Member's and customer's position as the holder of one or more options of a specified type (put or call) and series. The Rules require and the certificate states that a certificated option may be exercised or liquidated only upon surrender of the certificate. Until the certificate is surrendered, any attempt at a closing writing transaction is treated as an opening transaction on which margin is required.

The options certificate was created in order to avoid precluding from the listed options market certain institutional investors who may have been required under state law to obtain options certificates in order to participate in the listed options market. It has become apparent, however, that such concerns were unwarranted. OCC contacted those member firms with a history of requesting certificates and was informed in every case that no institutional business would be lost if certificates were eliminated. In addition, a survey of exchange marketing personnel, the staff of the National Association of Insurance Commissioners, and several attorneys involved with institutional investors revealed no awareness of any individual or widespread state or local requirements that might create problems for institutional investors should OCC discontinue issuing certificates.

The proposed rule change will have several benefits for OCC and its Clearing Members. All Clearing Members with whom the proposal was discussed concurred that eliminating the certificate would greatly serve the industry. Certificates impose costly administrative burdens on OCC and its Clearing Members that are quite out of proportion to the volume of activity (in 1981, less than .1% of the contracts issued by OCC were certificated), especially in light of the fact that most requests for certificates apparently come from individual customers who want them merely because they are available and reasonably priced (OCC charges $2.00 per certificate) rather than due to business or legal considerations.

The proposed rule change is in accordance with Section 17A of the Securities Exchange Act of 1934, (the "1934 Act"), as amended, in that it will remove an impediment to and perfect the mechanism of a national system for the prompt and accurate clearance and settlement of securities transactions. It would also further the goals of Section 17A(e) of the 1934 Act, which requires the Commission to use its authority to end the physical movement of securities certificates among brokers and dealers.

(B) Self-Regulatory Organization's Statement on Burden on Competition

OCC does not believe that the proposed rule change would impose any burden on competition.

(C) Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received from Members, Participants, or Others

Informal comments were received as discussed in Item 3 above, and were uniformly in favor of the proposed rule change. Written comments were not and are not intended to be solicited and none were received.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

On or before September 23, 1982, or within such longer period: (i) As the Commission may designate up to 90 days of such date if it finds such longer period to be appropriate and publishes its reasons for so finding or (ii) as to which the self-regulatory organization consents, the Commission will:

(A) By order approve such proposed rule change, or

(B) institute proceedings to determine whether the proposed rule change should be disapproved.

IV. Solicitation of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing. Persons making written submissions should file six copies thereof with the Secretary, Securities and Exchange Commission, 450 Fifth Street NW., Washington, D.C. 20549. Copies of the

submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for inspection and copying in the Commission's Public Reference Section, 450 Fifth Street NW., Washington, D.C. Copies of such filing will also be available for inspection and copying at the principal office of the above-mentioned self-regulatory organization. All submissions should refer to the file number in the caption above and should be submitted on or before September 9, 1982.

For the Commission by the Division of Market Regulation, pursuant to delegated authority.

Dated: August 9, 1982.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22680 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 34-18935; File No. SR-OCC-82-13]

Self-Regulatory Organizations; Proposed Rule Change by The Options Clearing Corp.; Relating to a Revised Disclosure System in connection with the Trading of Standardized Options.

Pursuant to Section 19(b)(1) of the Securities Exchange Act of 1934, 15 U.S.C. 78s(b)(1), notice is hereby given that on June 17, 1982, the Options Clearing Corporation filed with the Securities and Exchange Commission the proposed rule change as described in Items I, II, and III below, which Items have been prepared by the self-regulatory organization. The Commission is publishing this notice to solicit comments on the proposed rule change from interested persons.

I. Self-Regulatory Organization's Statement of the Terms of Substance of the Proposed Rule Change

The proposed rule change consists of an amendment to the Participant Exchange Agreement among The Options Clearing Corporation (OCC) and the four national securities exchanges that provide a market for options for the purpose of conforming to a revised options disclosure program that is in the process of being implemented by the Commission. The amendment creates a new committee, consisting of representatives of each of the exchanges and OCC, for the purpose of coordinating the preparation of disclosure documents and related matters. The Chairman of the Board of OCC is designated as the chairman of the committee, and each party has one vote on matters coming before the committee. The amendment contains procedures for determining the contents of options disclosure documents and amendments thereto. It provides that OCC shall pay the costs incurred in the preparation and distribution of disclosure documents, but may recover those costs by imposing a charge upon brokers for copies of these documents. The amendment extends to these disclosure documents the same indemnification provisions that have previously applied with respect to the OCC registration statement and prospectus under the Securities Act of 1933.

II. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change

In its filing with the Commission, the self-regulatory organization included statements concerning the purpose of and basis for the proposed rule change and discussed any comments it received on the proposed rule change. The text of these statements may be examined at the places specified in Item IV below. The self-regulatory organization has prepared summaries, set forth in sections (A), (B), and (C) below, of the most significant aspects of such statements.

A. Self-Regulatory Organization's Statement of the Purpose of, and Statutory Basis for, the Proposed Rule Change.

The purpose of the proposed amendment to the Participant Exchange Agreement is to provide a mechanism for OCC and the four exchanges to conform to the revised disclosure program that is anticipated to be put into place by the Commission prior to the end of October 1982, when the existing OCC registration statement must be amended. Since this revised disclosure program is expected to require the preparation by the exchanges and OCC of new simplified disclosure documents, the proposed amendment provides for the creation of a committee (Listed Options Disclosure Committee) consisting of representatives of each of the exchanges and OCC that will be responsible for the preparation of such documents. The amendment covers such matters as the coordination of the activities of each of the parties in preparing the disclosure documents and amendments thereto and in otherwise meeting the requirements of the new disclosure program, the payment of costs associated with the preparation and distribution of the disclosure documents and indemnification among the parties in respect of information included in or omitted from the disclosure documents.

B. Self-Regulatory Organization's Statement on Burden on Competition.

The proposed rule change will not present any burden on competition.

C. Self-Regulatory Organization's Statement on Comments on the Proposed Rule Change Received from Members, Participants or Others.

Formal comments on the proposed rule changes have neither been solicited nor received.

III. Date of Effectiveness of the Proposed Rule Change and Timing for Commission Action

Within 35 days of the date of publication of this notice in the **Federal Register** or within such longer period (i) as the Commission may designate up to 90 days of such date if it finds such longer period to be appropriate and publishes its reasons for so finding or (ii) as to which the self-regulatory organization consents, the Commission will:

(A) by order approve such proposed rule change, or

(B) institute proceedings to determine whether the proposed rule change should be disapproved.

IV. Solicitation of Comments

Interested persons are invited to submit written data, views and arguments concerning the foregoing. Persons making written submissions should file six copies thereof with the Secretary, Securities and Exchange Commission, 450 Fifth Street NW., Washington, D.C. 20549. Copies of the submission, all subsequent amendments, all written statements with respect to the proposed rule change that are filed with the Commission, and all written communications relating to the proposed rule change between the Commission and any person, other than those that may be withheld from the public in accordance with the provisions of 5 U.S.C. 552, will be available for inspection and copying in the Commission's Public Reference Section. Copies of such filing will also be available for inspection and copying at the principal office of the above-mentioned self-regulatory organization. All submissions should refer to the file

number in the caption above and should be submitted on or before September 9, 1982.

For the Commission by the Division of Market Regulation, pursuant to delegated authority.

Dated: August 4, 1982.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22685 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 12585 (812-5251)]

Steinroe Government Reserves, Inc.; Filing of Application for an Order of the Commission Pursuant to Section 6(c) of the Act Granting Exemptions From the Provisions of Rules 2a-4 and 22cL-1 Under the Act

August 10, 1982.

Notice is hereby given that Steinroe Government Reserves, Inc. ("Applicant"), 150 South Wacker Drive, Chicago, Illinois 60606, registered under the Investment Company Act of 1940 ("Act") as an open-end, diversified, management investment company, filed an application on July 23, 1982, and an amendment thereto on August 2, 1982, requesting an order of the Commission pursuant to Section 6(c) of the Act, exempting Applicant from the provisions of Rules 2a-4 and 22c-1 under the Act to the extent necessary to permit Applicant to compute its price per share for the purposes of sales, redemptions and repurchases to the nearest one cent on a share value of one dollar. In all other respects, portfolio securities held by Applicant will be valued in accordance with the views set forth in Investment Company Act Release No. 9786 (May 31, 1977) ("IC-9786"). All interested persons are referred to the application on file with the Commission for a statement of the representations contained therein, which are summarized below.

Applicant states that it is a "money market" fund whose investment objective is to attempt to maximize income while seeking safety of capital and maintenance of liquidity by investing in securities issued or guaranteed as to principal and interest by the United States Government ("Government Securities") and repurchase agreements for Government Securities. Applicant states that it will enter into repurchase agreements only where (i) the underlying securities are Government Securities and (ii) the seller agrees to provide underlying Government Securities the value of which, including accrued interest, will at all time be equal to or exceed the value of the repurchase agreement. Applicant represents that it will not enter into repurchase agreements maturing in more than seven days if as a result thereof more than 10% of its total assets (taken at market value at the time of the investment) would be invested in illiquid securities including such repurchase agreements.

Applicant states that it is its intention, as a general policy, to hold securities to maturity. However, Applicant also states that it may attempt, from time to time, to increase its yield by trading to take advantage of variations in the markets for Government Securities and, in addition, redemptions of its shares could necessitate the sale of portfolio securities.

Applicant represents that its board of directors has adopted a policy, subject to securing the exemption requested, whereby it will attempt to maintain a net asset value of one dollar per share by rounding its net asset value per share to the nearest one cent. This method of valuation is commonly called "penny rounding." Under this policy, should Applicant incur or anticipate any unusual expense, loss, depreciation, gain or appreciation that would affect its net asset value per share or income for a particular period, the board of directors of Applicant, in an effort to maintain a stable net asset value per share, might temporarily reduce or suspend the payment of dividends (if the net asset value per share should decline) or might supplement such dividends with other distributions (if the net asset value should rise).

Applicant states that it will value securities with a maturity of more than 60 days at the most recent bid price or yield equivalent at the time of valuation and it will value those securities with a maturity of 60 days or less from the date of valuation at amortized cost. According to Applicant, under this method of valuation, a security with a maturity of 60 days or less will initially be valued at cost on the date of purchase (or, in the case of such a security that had originally been purchased with more than 60 days remaining to maturity, the value on the 61st day prior to maturity). Thereafter, Applicant will amortize any discount or premium on a straightline basis to maturity. Other assets and securities will be valued at a fair value determined in good faith by the board of directors, which in the case of repurchase agreements may include the use of a matrix prepared by the adviser based on quotations for comparable securities.

Rule 22c-1 under the Act provides, in pertinent part, that no registered investment company issuing any redeemable security shall sell, redeem, or repurchase any such security except at a price based on the current net asset value of such security which is next computed after receipt of a tender of such security for redemption or of an order to purchase or sell such security. Rule 2a-4 adopted under the Act provides, as here relevant, that the "current net asset value" of a redeemable security issued by a registered investment company used in computing its price for the purposes of distribution and redemption and repurchase shall be determined with reference to (1) current market value for portfolio securities with respect to which market quotations are readily available and (2) for other securities and assets fair value as determined in good faith by the board of directors of the registered company. In IC-9786 the Commission issued an interpretation of Rule 2a-4 expressing its view that it was inconsistent with Rule 2a-4 for money market funds using a "floating" net asset value to "round off" calculations of their net asset value per share to the nearest one cent on a share value of one dollar.

Section 6(c) of the Act provides, in pertinent part, that the Commission, by order, upon application, may conditionally or unconditionally exempt any person or transaction from any provision of the Act, if and to the extent that such exemption is necessary or appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act.

Applicant submits that the maintenance of its net asset value per share at one dollar would be consistent with the standards for exemptions set forth in Section 6(c) of the Act. Applicant represents that its management believes that a stable one dollar net asset value would benefit Applicant and its shareholders because, among other things, shareholders would have the convenience of being able to determine the value of their holdings simply by knowing the number of shares they own. Consequently, their maintenance of investment records would be simplified.

In the opinion of Applicant's management, most prospective shareholders, including both financial institutions and individuals, strongly favor investing in money market funds with a stable $1.00 net asset value per share, and therefore the maintenance of a constant net asset value is essential to Applicant's viability as a money market fund.

Applicant further agrees that the following conditions may be imposed in any order granting the exemptions it has requested:

1. The Applicant's board of directors, in supervising Applicant's operations and delegating special responsibilities involving portfolio management to Applicant's investment adviser, undertakes—as a particular responsibility within its overall duty of care owed to Applicant's shareholders—to assure, to the extent reasonably practicable, taking into account current market conditions affecting Applicant's investment objective, that Applicant's price per share as computed for the purposes of distribution, redemption and repurchase, rounded to the nearest one cent, will not deviate from one dollar.

2. Applicant will seek to maintain a dollar-weighted average portfolio maturity appropriate to its objective of maintaining a stable price per share. Applicant will not purchase a portfolio security unless it matures in one year or less from the date of purchase, or is subject to a repurchase agreement so maturing; nor will be maintain a dollar-weighted average portfolio maturity in excess of 120 days.

3. Applicant's purchase of portfolio instruments, including repurchase agreements, will be limited to those instruments which are denominated in United States dollars and which the directors of Applicant determine present minimal credit risks, and which are of high quality as determined by any major rating service or, in the case of any instrument that is not rated, of comparable quality as determined by the board of directors.

Notice is further given that any interested person may, not later than September 2, 1982, at 5:30 p.m., submit to the Commission in writing a request for a hearing on the application accompanied by a statement as to the nature of his interest, the reason for such request, and the issues if any, of fact or law proposed to be controverted, or he may request that he be notified if the Commission shall order a hearing thereon. Any such communication should be addressed: Secretary, Securities and Exchange Commission, Washington, D.C. 20549. A copy of such request shall be served personally or by mail upon Applicant at the address stated above. Proof of such service (by affidavit or, in the case of an attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0–5 of the Rules and Regulations promulgated under the Act, an order disposing of the application will be issued as of course following said date unless the Commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearing is ordered, will receive any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof.

For the Commission by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22661 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 22598; (70-6761)]

System Fuels, Inc., et al.; Proposal To Finance Nuclear Fuel

August 10, 1982.

In the matter of Systems Fuels, Inc., Noro Plaza, 666 Poydras, New Orleans, Louisiana 70130; Arkansas Power & Light Company, First National Building, Little Rock, Arkansas 72203; Louisiana Power & Light Company, 142 Deloronde Street, New Orleans, Louisiana 70161; Middle South Energy, Inc., P.O. Box 61000, New Orleans, Louisiana 70174; Mississippi Power & Light Company, Electric Building, Jackson, Mississippi 39205; and New Orleans Public Service Inc., 317 Baronne Street, New Orleans, Louisiana 70112.

Systems Fuels, Inc. ("SFI"), a fuel procurement subsidiary of Arkansas Power & Light Company, ("AP&L"), Louisiana Power & Light Company ("LP&L"), Mississippi Power & Light Company ("MP&L") and New Orleans Public Service, Inc. ("NOPSI") (collectively "Parent Companies"), public utility subsidiaries of Middle South Utilities, Inc. ("MSU"), a registered holding company, and Middle South Energy ("MSE"), a non-utility subsidiary of MSU, have filed an application-declaration pursuant to Sections 6(a), 7, 12(b) and 12(f) of the Public Utility Holding Company Act of 1935 ("Act") and Rules 45 and 50 thereunder.

SFI proposes to enter into a letter of credit and revolving loan agreement ("Credit Agreement") with Crocker National Bank ("Crocker"), in order to further consolidate its financing of its nuclear fuel inventory, to lower the costs of such financing and to meet its commitment to endeavor to obtain funds for its corporate purposes from external sources under advantageous arrangements in lieu of making borrowing from the Parent Companies. Pursuant to the Credit Agreement up to an aggregate of $75,000,000 will be available to SFI from (i) Commercial Paper Notes ("Note(s)") to be issued by SFI and (ii) unreimbursed Letter of Credit Payments (hereinafter defined) or revolving credit loans ("Borrowings") to be obtained by SFI from Crocker.

The term of the Credit Agreement will be through September 30, 1985 ("Credit Agreement Termination Date"); however, the Credit Agreement Termination Date may be extended for two-year periods as set forth in the Credit Agreement. Authorization is requested for additional extensions of Credit Agreement without seeking further Commission authorization prior to entering such extensions.

Under the Credit Agreement, SFI will issue its Notes in amounts not to exceed $75,000,000 at any one time outstanding supported by irrevocable letters of credit issued by Crocker printed on each Note ("Letter(s) of Credit"). The Notes will be in the form of unsecured promissory notes with varying maturities not to exceed 270 days, the actual maturities to be determined by market conditions, effective cost of money to SFI and anticipated cash requirements at the time of issuance. In accordance with the established custom and practices in the market, the Notes will not be payable prior to maturity. Each Note will be payable at the office of the Depositary, as issuing and paying agent under a depositary agreement ("Depositary Agreement"). Each Note will be payable at maturity with funds provided by Crocker pursuant to the Letter of Credit printed thereon.

SFI will be obligated to repay all Borrowings in full on the Credit Agreement Termination Date. All Borrowings will bear interest at a rate per annum equal to one hundred ten percent (110%) of the rate per annum which Crocker announces publicly from time to time at its San Francisco or Los Angeles, California, Executive Offices as its prime rate for unsecured commercial borrowings, said rate to change on and as of the date of any changes in this prime rate.

SFI will be permitted to prepay Borrowings at any time without penalty or premium. Proceeds from the sale of nuclear fuel financed under the Credit Agreement to purchasers other than MSE, AP&L and LP&L must be used as a mandatory prepayment of Borrowings outstanding. Such funds will be initially deposited in an account maintained by the Depository, ("Cash Collateral Account").

SFI proposes to issue, reissue and sell the Notes in denominations of not less than $100,000 nor more than $25,000,000 directly to A. G. Becker Incorporated, or

a successor or successors thereto, to be chosen by SFI, as a dealer in commercial paper ("Dealer"). The Notes will be sold to the Dealer at a discount or at an interest rate which will not be in excess of the discount rate or interest rate per annum prevailing at the date of issuance for commercial paper of comparable quality of that particular maturity sold to commercial paper dealers. Under the terms of a proposed Dealer Agreement with A. G. Becker Incorporated ("Dealer Agreement"), SFI will pay the Dealer a fee of ⅛% per annum on the average daily principal amount of Notes outstanding. It is anticipated that the Notes will be held by the buyers to maturity. However, the Dealer may, if desired by a buyer, repurchase the Notes for resale to others.

The Depositary will maintain an account ("Commercial Paper Account") into which proceeds received from the sale of the Notes will be deposited. Such proceeds will be transferred from the Commercial Paper Account as directed by SFI, provided that certain conditions are met. Crocker, for its benefit and for the benefit of the holders of the Notes, will be granted a security interest in the Commercial Paper Account. Funds in the Commercial Paper Account may be (1) used to finance the acquisition of nuclear material and services, (2) used to pay Notes, Borrowings and other obligations related to the transaction and (3) temporarily invested as permitted in the Credit Agreement.

As consideration to Crocker for issuing its Letters of Credit, SFI will pay Crocker a quarterly Letter of Credit fee of ¼% per annum computed on the principal amount outstanding of Notes (determined on a daily basis) during each quarter issued by SFI. As further consideration to Crocker for issuing its Letters of Credit and for incurring its obligation to incur Borrowings, SFI will pay Crocker, for each day that Crocker shall be obligated to extend credit under the Credit Agreement, a quarterly facility fee computed at a rate per annum of ½% of the difference between (i) its commitment to back commercial paper and make loans of $75,000,000 (or a lesser amount as reduced by SFI) ("Commitment") (determined on a daily basis) and (ii) the total principal amount of outstanding Borrowings during each quarter.

The aggregate amount of SFI's Notes and Borrowings at any time outstanding may not exceed the Commitment. SFI may, from time to time, reduce the Commitment by $1,000,000 or a multiple thereof. Upon written notice, SFI may terminate the Credit Agreement. Crocker may accelerate the Credit Agreement Termination Date upon the occurrence of certain events specified in the Credit Agreement.

Pursuant to the terms of the Credit Agreement and as security for the performance by SFI of its obligations to Crocker thereunder, SFI will enter into a security agreement with Crocker ("Security Agreement") whereby it will grant to Crocker a security interest in (a) SFI's nuclear fuel inventory financed under the Credit Agreement, together with the proceeds thereof, (b) SFI's accounts receivable for such nuclear fuel under the purchase contract with its Parent Companies and MSE and (c) certain other rights and instruments incident to SFI's nuclear fuel inventory financed under the Credit Agreement. Pursuant to the Security Agreement, SFI will enter into a statement of assignment of accounts receivable in furtherance of the grant of the security interest in the accounts receivable.

As an inducement to Crocker to enter into the Credit Agreement with SFI, the Parent Companies propose to enter into letter agreements an which each will, among other things, covenant and agree for the benefit of Crocker that (in accordance with its percentage ownership on the date of the Credit Agreement of the common stock of SFI) they will take any and all action necessary to keep SFI in a sound financial condition and to place SFI in a position to discharge, and to cause SFI to dischare, its obligations under the Credit Agreement, the Security Agreement and the Depositary Agreement.

Based upon current estimates, SFI anticipates maximum requirements for the above referenced program during 1982 of $135,000,000 including approximately $57,000,000 for the acquisition of additional nuclear materials and services offset by $27,000,000 from sales to the Parent Companies. SFI expects to have a maximum nuclear fuel inventory at any time of $135,000,000 in 1982, $175,000,000 in 1983, $218,000,000 in 1984, and $200,000,000 in 1985.

Pursuant to Commission authorization dated October 31, 1978 (HCAR No. 20753), SFI is financing up to $60,000,000 of its nuclear fuel inventory under a participation agreement, dated as of October 31, 1978, as amended, between SFI and Aetna, whereby SFI may issue its commercial paper notes and Aetna, under a Bond of Indemnity, undertakes to pay any note in the event that SFI does not pay any such note when presented. The maximum principal amount of the commercial paper notes outstanding at any one time under this arrangement may not exceed $60,000,000, less the amount, if any, of such notes paid by Aetna for which Aetna shall not have been reimbursed.

SFI requests that the Commission exempt the issuance and sale, from time to time, of commercial paper proposed herein from the requirements of Rule 50 insofar as it is not necessary or appropriate in the public interest or for the protection of investors or consumers because the commercial paper which SFI proposes to issue and sell will have a maturity not in excess of 270 days, current rates for commercial paper of the quality of the Notes are published daily in financial publications, and it is not practical to invite bids for commercial paper.

The application-declaration and any amendments thereto are available for public inspection through the Commission's Office of Public Reference. Interested persons wishing to comment or request a hearing should submit their views in writing by September 3, 1982, to the Secretary, Securities and Exchange Commission, Washington, D.C. 20549, and serve a copy on the applicants-declarants at the addresses specified above. Proof of service (by affidavit or, in the case of an attorney at law, by certificate) should be filed with the request. Any request for a hearing shall identify specifically the issues of fact or law that are disputed. A person who so requests will be notified of any hearing, if ordered, and will receive a copy of any notice or order issued in this matter. After said date, the application-declaration, as filed or as it may be amended, may be granted and permitted to become effective.

For the Commission, by the Division of Corporate Regulation, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22663 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[File No. 500-1]

Trading in the Securities of Frontier Resources Corp.; Order of Suspension of Trading

August 5, 1982.

It appearing to the Securities and Exchange Commission ("Commission") that there are questions concerning recent unusual market activity in the securities of Frontier Resources Corporation ("Frontier") and because of an apparent lack of adequate and accurate public information about the

company, including, but not limited to disclosures by Frontier concerning its interest in and description of its principal asset, a 1,920 acre oil and gas lease, purportedly located in the Yates Field, Crockett County, Texas, the Commission is of the opinion that the public interest and the protection of investors require a summary suspension of trading in the securities of Frontier.

Therefore, it is ordered, pursuant to Section 12(k) of the Securities Exchange Act of 1934, trading in such securities on a national securities exchange or otherwise is suspended, for the period from 10:45 a.m. on August 5, 1982 through midnight (EST) on August 14, 1982.

By the Commission.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22674 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[Release No. 12596; (812-5195)]

United Cash Management, Inc.; Filing of Appliction for Exemption From Section 2(a)(41) of the Act and Rules 2a-4 and 22c-1 Thereunder

August 12, 182.

Notice is hereby given that United Cash Management, Inc. ("Applicant"), 2400 Pershing Road, P.O. Box 1343, Kansas City, Missouri 64141, an open-end, diversified management investment company, filed an application on May 27, 1982, requesting an order of the Commission, pursuant to Section 6(c) of the Investment Company Act of 1940 ("Act"), exempting Applicant from the provisions of Section 2(a)(41) of the Act and Rules 2a-4 and 22c-1 thereunder to the extent necessary to permit Applicant to compute its net asset value per share using the amortized cost method of valuing portfolio securities. All interested persons are referred to the application on file with the Commission for a statement of the representations contained therein, which are summarized below.

Applicant states that it was organzied as a Maryland corporation in February, 1979, and that its investment adviser and principal underwriter is Waddell & Reed, Inc. Applicant also states that its investment objective is to achieve maximum current income to the extent consistent with stability of principal. Applicant states that it will seek this objective by investing in a portfolio of "money-market" instruments meeting specified quality standards.

Applicant states that it is presently operating under an exemptive order (originally issued in Investment Company Act Release No. 10783, July 17, 1979, and later amended) under which it is permitted, subject to certain conditions, to compute its price per share to the nearest one cent on a share value of $1.00. Applicant also states that it believes that it would be in a better position to meet the needs and expectations of present and potential investors and to offer them relative stability of principal and a steady flow of predictable income at currently competitive rates if it were able to price its portfolio at amortized cost. Applicant also states that if the requested order is issued, it will not at the same time use the penny-rounding method of pricing, as permitted under its present exemptive order, and the amortized cost method of valuation, as requested in this application.

Applicant submits that granting its requested exemptive order is appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act.

As here pertinent, Section 2(a)(41) of the Act defines value to mean: (1) With respect to securities for which market quotations are readily available, the market value of such securities, and (2) with respect to other securities and assets, fair value as determined in good faith by the board of directors. Rule 22c-1 adopted under the Act provides, in part, that no registered investment company or principal underwriter therefor issuing any redeemable security shall sell, redeem or repurchase any such security except at a price based on the current net asset value of such security which is next computed after receipt of a tender of such security for redemption or of an order to purchase or sell such security. Rule 2a-4 adopted under the Act provides, as here relevant, that the "current net asset value" of a redeemable security issued by a registered investment company used in computing its price for the purposes of distribution, redemption and repurchase shall be an amount which reflects calculations made substantially in accordance with the provisions of that rule, with estimates used where necessary or appropriate. Rule 2a-4 further states that portfolio securities with respect to which market quotations are readily available shall be valued at current market value, and other securities and assets shall be valued at fair value as determined in good faith by an investment company's board of directors. Prior to the filing of the application, the Commission expressed its view that, among other things, (1) Rule 2a-4 under the Act requires that portfolio instruments of "money market" funds be valued with reference to market factors, and (2) it would be inconsistent, generally, with the provisions of Rule 2a-4 for a "money market" fund to value its portfolio instruments on an amortized cost basis (Investment Company Act Release No. 9786, May 31, 1977).

Section 6(c) of the Act provides, in pertinent part, that the Commission, by order upon application, may conditionally or unconditionally exempt any person, security or transaction, or any class or classes of persons, securities or transactions, from any provision or provisions of the Act or of any rule or regulation thereunder, if and to the extent that such exemption is necessary or appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act.

Applicant has agreed that the following conditions may be imposed in any order of the Commission granting the exemptive relief requested:

1. The Board of Directors of Applicant shall have determined, in good faith based on a full consideration of all material factors, that, absent unusual circumstances, the valuation method applied for will fairly reflect the value of each shareholder's interest in Applicant and that Applicant will continue to use such method only so long as the Board of Directors believes that it fairly reflects the value of each shareholder's interest.

2. In supervising the operations of Applicant and delegating special responsibilities involving portfolio management to Applicant's investment adviser, Applicant's Board of Directors undertakes—as a particular responsibility within its overall duty of care owed to shareholders of Applicant—to establish procedures reasonably designed, taking into account current market conditions and Applicant's investment objective, to stabilize its net asset value per share, as computed for the purpose of distribution, redemption and repurchase, at $1.00 per share.

3. Included within the procedures to be adopted by the Board of Directors of Applicant shall be the following:

(a) Review by the Board of Directors, as it deems appropriate and at such intervals as are reasonable in light of current market conditions, to determine the extent of deviation, if any, of the net asset value per share as determined by using available market quotations from Applicant's amortized cost price per

share, and maintenance of records of such review.[1]

(b) In the event such deviation from Applicant's amortized cost price per share exceeds ½ of 1 percent, a requirement that the Board of Directors will promptly consider what action, if any, should be initiated.

(c) Where the Board of Directors believes that the extent of any deviation from Applicant's amortized cost price per share may result in material dilution or other unfair results to investors or existing shareholders, it shall take such action as it deems appropriate to eliminate or to reduce to the extent reasonably practicable such dilution or unfair results, which action may include: redeeming shares in kind; selling portfolio instruments prior to maturity to realize capital gains or losses, or to shorten the average portfolio maturity of Applicant; withholding dividends; or utilizing a net asset value per share as determined by using available market quotations.

4. Applicant will maintain a dollar-weighted average portfolio maturity appropriate to its objective of maintaining a stable net asset value per share; provided, however, that it will not (a) purchase any instrument with a remaining maturity of greater than one year, or (b) maintain a dollar-weighted average portfolio maturity [2] which exceeds 120 days.[3]

5. Applicant will record, maintain and preserve permanently in an easily accessible place a written copy of the procedures (and any modifications thereto) described in condition 2 above, and Applicant will record, maintain and preserve for a period of not less than six years (the first two years in an easily accessible place) a written record of the Board of Directors' considerations and actions taken in connection with the discharge of its responsibilities, as set forth above, to be included in the minutes of the meetings of the Board of Directors. The documents preserved pursuant to this condition shall be subject to inspection by the Commission in accordance with Section 31(b) of the Act as though such documents were records required to be maintained pursuant to rules adopted under Section 31(a) of the Act.

6. Applicant will limit its portfolio investments, including repurchase agreements, to those U.S. dollar-denominated instruments which its Board of Directors determines present minimal credit risks, and which are of "high quality" as determined by any major rating service, or, in the case of any instrument that is not rated, of comparable quality as determined by the Board of Directors.

7. Applicant will include in each quarterly report, as an attachment to Form N–1Q, a statement as to whether any action pursuant to condition 3(c) was taken during the preceding fiscal quarter, and, if any action was taken, will describe the nature and circumstances of such action.

Notice is further given that any interested person may, not later than September 7, 1982, at 5:30 p.m., submit to the Commission in writing a request for a hearing on the application accompanied by a statement as to the nature of such person's interest, the reason for such request, and the issues, if any, of fact or law proposed to be controverted, or such person may request that he or she be notified if the Commission shall order a hearing thereon. Any such communication should be addressed: Secretary, Securities and Exchange Commission, Washington, D.C. 20549. A copy of such request shall be served personally or by mail upon Applicant at the address stated above. Proof of such service (by affidavit or, in the case of an attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0–5 of the Rules and Regulations promulgated under the Act, an order disposing of the application will be issued as of course following said date unless the Commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearing is ordered, will receive any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof.

For the Commission, by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22853 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

[1] To fulfill this condition, Applicant states that it intends to use actual quotations or estimates of market value reflecting current market conditions chosen by the Board of Directors in the exercise of its discretion to be appropriate indicators of value, which may include, among others, (i) quotations or estimates of market value for individual portfolio instruments, or (ii) values obtained from yield data relating to classes of money market instruments published by reputable sources.

[2] In determining dollar-weighted average portfolio maturity and the maturity of any instrument, Applicant will use the definition of "maturity of an instrument" contained in proposed rule 2a–7 contained in Release No. IC–12206 (January 29, 1982), or, on the effectiveness of a final rule, the definition contained in such final rule. Applicant will also treat instruments called for redemption in one year or less as maturing within one year. However, to the extent and so long as Applicant's fundamental policies have a more stringent definition of maturity, Applicant will adhere to such definition.

[3] In fulfilling this condition, if the disposition of a portfolio instrument results in a dollar-weighted average portfolio maturity in excess of 120 days, Applicant will invest its available cash in such a manner as to reduce the dollar-weighted average portfolio maturity to 120 days or less as soon as reasonably practicable.

[Release No. 12597; (812–5196)]

United Investors Money Market Fund, Inc.; Filing of Application Pursuant to Section 6(c) of the Act for Exemption From Section 2(a)(41) of the Act and Rules 2a–4 and 22c–1 Thereunder

August 12, 1982.

Notice is hereby given that United Investors Money Market Fund, Inc. ("Applicant"), 2400 Pershing Road, P.O. Box 1343, Kansas City, Missouri 64141, an open-end, diversified management investment company, filed an application on May 27, 1982, requesting an order of the Commission, pursuant to Section 6(c) of the Investment Company Act of 1940 ("Act"), exempting Applicant from the provisions of Section 2(a)(41) of the Act and Rules 2a–4 and 22c–1 thereunder to the extent necessary to permit Applicant to compute its net asset value per share using the amortized cost method of valuing portfolio securities. All interested persons are referred to the application on file with the Commission for a statement of the representations contained therein, which are summarized below.

Applicant states that it was organized as a Maryland corporation in November, 1981, and that it has filed a registration statement under the Act and under the Securities Act of 1933. Applicant also states that its proposed investment adviser is Waddell & Reed, Inc. Applicant represents that its investment objective is to achieve maximum current income to the extent consistent with stability of prinicipal. Applicant states that it will seek this objective by investing in a portfolio of "money-market" instruments meeting specified quality standards.

Applicant states that its shares will be issued and redeemed only in connection with investments in and payments under certain variable annuity contracts the depositor of which is United Investors Life Insurance Company. Applicant further states that in order to be in a position to meet the needs and expectations of potential investors in such contracts and to offer them relative stability of principal and a steady flow

of predictable income at currently competitive rates, it must be able to price its portfolio at amortized cost.

Applicant submits that granting its requested exemptive order is appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act.

As here pertinent, Section 2(a)(41) of the Act defines value to mean: (1) With respect to securities for which market quotations are readily available, the market value of such securities, and (2) with respect to other securities and assets, fair value as determined in good faith by the board of directors. Rule 22c–1 adopted under the Act provides, in part, that no registered investment company or principal underwriter therefor issuing any redeemable security shall sell, redeem or repurchase any such security except at a price based on the current net asset value of such security which is next computed after receipt of a tender of such security for redemption or of an order to purchase or sell such security. Rule 2a–4 adopted under the Act provides, as here relevant, that the "current net asset value" of a redeemable security issued by a registered investment company used in computing its price for the purposes of distribution, redemption and repurchase shall be an amount which reflects calculations made substantially in accordance with the provisions of that rule, with estimates used where necessary or appropriate. Rule 2a–4 further states that portfolio securities with respect to which market quotations are readily available shall be valued at current market value, and other securities and assets shall be valued at fair value as determined in good faith by an investment company's board of directors. Prior to the filing of the application, the Commission expressed its view that, among other things, (1) Rule 2a–4 under the Act requires that portfolio instruments of "money market" funds be valued with reference to market factors, and (2) it would be inconsistent, generally, with the provisions of Rule 2a–4 for a "money market" fund to value its portfolio instruments on an amortized cost basis (Investment Company Act Release No. 9786, May 31, 1977).

Section 6(c) of the Act provides, in pertinent part, that the Commission, by order upon application, may conditionally or unconditionally exempt any person, security or transaction, or any class or classes of persons, securities or transactions, from any provision or provisions of the Act or of any rule or regulation thereunder, if and to the extent that such exemption is necessary or appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act.

Applicant has agreed that the following conditions may be imposed in any order of the Commission granting the exemptive relief requested:

1. The Board of Directors of Applicant shall have determined, in good faith based on a full consideration of all material factors, that, absent unusual circumstances, the valuation method applied for will fairly reflect the value of each shareholder's interest in Applicant and that Applicant will continue to use such method only so long as the Board of Directors believes that it fairly reflects the value of each shareholder's interest.

2. In supervising the operations of Applicant and delegating special responsibilities involving portfolio management to Applicant's investment adviser, Applicant's Board of directors undertakes—as a particular responsibility within its overall duty of care owed to shareholders of Applicant—to establish procedures reasonably designed, taking into account current market conditions and Applicant's investment objective, to stabilize its net asset value per share, as computed for the purpose of distribution, redemption and repurchase, at $1.00 per share.

3. Included within the procedures to be adopted by the Board of Directors of Applicant shall be the following:

(a) Review by the Board of Directors, as it deems appropriate and at such intervals as are reasonable in light of current market conditions, to determine the extent of deviation, if any, of the net asset value per share as determined by using available market quotations from Applicant's amortized cost price per share, and maintenance of records of such review.[1]

(b) In the event such deviation from Applicant's amortized cost price per share exceeds ½ of 1 percent, a requirement that the Board of Directors will promptly consider what action, if any, should be initiated.

(c) Where the Board of Directors believes that the extent of any deviation from Applicant's amortized cost price per share may result in material dilution or other unfair results to investors or existing shareholders, it shall take such action as it deems appropriate to eliminate or to reduce to the extent reasonably practicable such dilution or unfair results, which action may include: redeeming shares in kind; selling portfolio instruments prior to maturity to realize capital gains or losses, or to shorten the average portfolio maturity of Applicant; withholding dividends; or utilizing a net asset value per share as determined by using available market quotations.

4. Applicant will maintain a dollar-weighted average portfolio maturity appropriate to its objective of maintaining a stable net asset value per share; provided, however, that it will not (a) purchase any instrument with a remaining maturity of greater than one year, or (b) maintain a dollar-weighted average portfolio maturity [2] which exceeds 120 days.[3]

5. Applicant will record, maintain and preserve permanently in an easily accessible place a written copy of the procedures (and any modifications thereto) described in condition 2 above, and Applicant will record, maintain and preserve for a period of not less than six years (the first two years in an easily accessible place) a written record of the Board of Directors' considerations and actions taken in connection with the discharge of its responsibilities, as set forth above, to be included in the minutes of the meetings of the Board of Directors. The documents preserved pursuant to this condition shall be subject to inspection by the Commission in accordance with Section 31(b) of the Act as though such documents were

[1] To fulfill this condition, Applicant states that it intends to use actual quotations or estimates of market value reflecting current market conditions chosen by the Board of Directors in the exercise of its discretion to be appropriate indicators of value, which may include, among others, (i) quotations or estimates of market value for individuals portfolio instruments, or (ii) values obtained from yield data relating to classes of money market instruments published by reputable sources.

[2] In determining dollar-weighted average portfolio maturity and the maturity of any instrument, Applicant will use the definition of "maturity of an instrument" contained in proposed rule 2a-7 contained in Release No. IC–12206 (January 29, 1982), or, on the effectiveness of a final rule, the definition contained in such final rule. Applicant will also treat instruments called for redemption in one year or less as maturing within one year. However, to the extent and so long as Applicant's fundamental policies have a more stringent definition of maturity, Applicant will adhere to such definition.

[3] In fulfilling this condition, if the disposition of a portfolio instrument results in a dollar-weighted average portfolio maturity in excess of 120 days, Applicant will invest its available cash in such a manner as to reduce the dollar-weighted average portfolio maturity to 120 days or less as soon as reasonably practicable.

records required to be maintained pursuant to rules adopted under Section 31(a) of the Act.

6. Applicant will limit its portfolio investments, including repurchase agreements, to those U.S. dollar-denominated instruments which its Board of Directors determines present minimal credit risks, and which are of "high quality" as determined by any major rating service, or, in the case of any instrument that is not rated, of comparable quality as determined by the Board of Directors.

7. Applicant will include in each quarterly report, as an attachment to Form N–1Q, a statement as to whether any action pursuant to condition 3(c) was taken during the preceding fiscal quarter, and, if any action was taken, will describe the nature and circumstances of such action.

Notice is further given that any interested person may, not later than September 7, 1982, at 5:30 p.m., submit to the Commission in writing a request for a hearing on the application accompanied by a statement as to the nature of such person's interest, the reason for such request, and the issues, if any, of fact or law proposed to be controverted, or such person may request that he or she be notified if the Commission shall order a hearing thereon. Any such communication should be addressed: Secretary, Securities and Exchange Commission, Washington, D.C. 20549. A copy of such request shall be served personally or by mail upon Applicant at the address stated above. Proof of such service (by affidavit or, in the case of an attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0–5 of the Rules and Regulations promulgated under the Act, an order disposing of the application will be issued as of course following said date unless the Commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearing is ordered, will receive any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof.

For the Commission, by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22657 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

[Release No. 12589; (812–5157)]

The Wall Street Fund, Inc. and Wall Street Management Corp.; Filing of an Application for an Order Pursuant to Section 6(c) of the Act Exempting Applicants From the Provisions of Section 2(a)(19) of the Act

August 10, 1982.

Notice is hereby given that The Wall Street Fund, Inc. ("Fund"), an open-end, diversified, management investment company fund registered under the Investment Company Act of 1940 ("Act"), a Wall Street Management Corporation ("WSMC"), One Wall Street, New York, New York 10005, an investment adviser registered under the Investment A Advisers Act of 1940 ("Advisers Act") (together "Applicants"), filed an application on April 5, 1982 and an amendment thereto on May 28, 1982 requesting an order of the Commission pursuant to Section 6(c) of the Act declaring that John C. Schreiner, a director of the Fund, shall not be deemed an "interested person", as defined in Section 2(a)(19) of the Act, of the Applicants by reason of his position as a director of Inter-Regional Financial Group, Inc. ("IFG"). All interested persons are referred to the application on file with the Commission for a statement of the representations contained therein, which are summarized below.

Applicants state that Mr. Schreiner has been a director of the Fund since 1973, and benefically owns 500 shares (0.05%) of the Fund. Applicants state that WSMC acts as investment adviser to, and principal underwriter for, the Fund. Mr. Schreiner is neither a director nor officer of WSMC.

Applicants state that Mr. Schreiner became a director of IFG in September, 1981 and currently owns 1,000 shares of IFG common stock. Applicant states that IFG has approximately 5,000,000 shares of common stock outstanding, which are traded on the New York Stock Exchange. IFG, a Delaware corporation, is a holding company offering diversified financial services through its wholly-owned operating subsidiaries, including, but not limited to, Dain Bosworth Incorporated and Rauscher Pierce Refsnes, Inc., both registered broker-dealers under the Securities Exchange Act of 1934 ("Exchange Act"), and Investment Advisers, Inc., a registered investment adviser under the Advisers Act. Applicant states that no business relationship currently exists, nor has existed in the past, between IFG or its subsidiaries and the Fund or between IFG or its subsidiaries and WSMC.

Sections 2(a)(19)(A)(v) and (B)(v) define an "interested person" of an investment company and of an adviser of an investment company to include any broker or dealer registered under the Exchange Act or any affiliated person of such broker or dealer. Section 2(a)(3) of the Act includes in the definition of an "affiliated person" of another person any person directly or indirectly controlling, controlled by, or under common control with such other person, and any director of such other person.

Applicants state that because of Mr. Schreiner's position as a director of IFG, he may be deemed to be an "affiliated person" of IFG's subsidiaries, Dain Bosworth Incorporated and Rauscher Pierce Refsnes, Inc., and thus, an "interested person", as defined in Section 2(a)(19) of the Act, of the Applicants.

Section 10(a) of the Act prohibits a registered investment company from having a board of directors more than 60% of whom are interested persons of such investment company. Applicants seek an exemptive order to permit Mr. Schreiner to serve as a disinterested director of the Fund and to avoid a possible future violation of Section 10(a) of the Act. Applicants state that, in addition to Mr. Schreiner, the Fund currently has two directors who may be deemed to be interested persons of the Applicants, and three directors who are not interested persons of the Applicants.

Applicants state that IFG is merely a holding company that conducts business activities solely through its wholly-owned subsidiaries, each of which has its own board of directors. Applicants state that Mr. Schreiner is not a director or officer of, or consultant to, Dain Bosworth Incorporated or Rauscher Pierce Refsnes, Inc., or any other subsidiary of IFG and is a member of the holding company board only, being one of four outside directors on IFG's board of eleven directors. Applicants believe that Mr. Schreiner is not, by virtue of his directorship of IFG, in control of, or directly or indirectly controlled by, Dain Bosworth Incorporated or Rauscher Pierce Refsnes, Inc.

Applicants state that IFG has not, and is not now, engaged in any financial or business activities with the Applicants. Applicants state that no business dealings are currently being transacted, or have in the past been transacted, between subsidiaries of IFG and the Applicants. The Applicants undertake that should the requested exemption be granted, as long as Mr. Schreiner is a director of the Fund, Applicants will not effect business transactions with IFG or

any subsidiary of IFG. Applicants state that their portfolio transactions and other operations will not be adversely affected by such an undertaking.

Applicants believe that Mr. Schreiner is not, by virtue of his outside directorship of IFG, an "affiliated person" under 2(a)(3) of the Act of either of the broker-dealer subsidiares of IFG and therefore should not be deemed an "interested person" of the Fund or WSMC under Section 2(a)(19) of the Act.

For the reasons set forth above, Applicants submit that the exemption from Section 2(a)(19) of the Act is appropriate in the public interest and consistent with the protection of investors and the purposes fairly intended by the policy and provisions of the Act. Therefore, Applicants request an order pursuant to Section 6(c) of the Act declaring that Mr. Schreiner shall not be deemed an interested person of the Applicants, within the meaning of Section 2(a)(19) of the Act by reason of his being a director of IFG.

Notice is further given that any interested person may, not later than September 6, 1982, at 5:30 p.m., submit to the Commission in writing a request for a hearing on the application accompanied by a statement as to the nature of his interest, the reason for such request, and the issues, if any, of fact or law proposed to be converted, or he may request that he be notified if the Commission shall order a hearing thereon. Any such communication should be addresed: Secretary, Securities and Exchange Commission, Washington, D.C. 20549. A copy of such request shall be served personally or by mail upon Applicant at the address stated above. Proof of such service (by affidavit or, in the case of an attorney-at-law, by certificate) shall be filed contemporaneously with the request. As provided by Rule 0–5 of the Rules and Regulations promulgated under the Act, an order disposing of the application will be issued as of course following said date unless the Commission thereafter orders a hearing upon request or upon the Commission's own motion. Persons who request a hearing, or advice as to whether a hearing is ordered, will recieve any notices and orders issued in this matter, including the date of the hearing (if ordered) and any postponements thereof.

For the Commission, by the Division of Investment Management, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22676 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

[Release No. 22599; (70–6754)]

Wheeling Electric Co.; Proposed Refinancing of Promissory Notes

August 10, 1982.

Wheeling Electric Company ("Wheeling"), P.O. Box 751; Wheeling, West Virginia 43215, an electric utility subsidiary of American Electric Power Company, Inc., a registered holding company, has filed with this Commission a declaration and an amendment thereto pursuant to Sections 6(a) and 7 of the Public Utility Holding Company Act of 1935 ("Act") and Rules 42 and 50 promulgated thereunder.

Wheeling intends to retire $22,000,000 aggregate principal amount of unsecured promissory notes, issued to Bankers Trust Company, due November 1, 1987. Each note bears interest at a fluctuating rate equal to the prime rate until October 31, 1983. Thereafter, the rate is scheduled to rise incrementally to 106% of prime. The notes are prepayable prior to maturity without payment of a premium or penalty.

Wheeling has requested the authority to refinance these notes at any time until December 31, 1983, by issuing up to $22,000,000 aggregate principal amount of unsecured promissory notes at a fixed rate of interest, in no event greater than the prime rate on the date of issuance. The notes will be issued pursuant to a proposed Term Loan Agreement ("Agreement") for terms of not less than two nor more than ten years. No compensating balances or commitment fees will be required. However, the proposed Agreement provides that in the event a note is paid prior to maturity Wheeling will be required to pay a fee to the lending bank calculated to reimburse the bank for interest lost, if any, as a result of the prepayment. All proceeds from these borrowings will be applied to retire the notes issued to Bankers Trust Company.

It is stated that long-term debt financing of the kind herein proposed is the most practical and cost-effective for Wheeling in light of its size, capital needs, financial strength and the relative difficulty of more conventional alternatives such as mortgage bond financing. Wheeling presently has no effective mortgage indenture nor is it encumbered with any other type of long-term debt.

The declaration and any amendments thereto are available for public inspection through the Commission's Office of Public Reference. Interested persons wishing to comment or request a hearing should submit their views in writing by September 7, 1982, to the Secretary, Securities and Exchange Commission, Washington, D.C. 20549, and serve a copy on the declarant at the address specified above. Proof of service (by affidavit or, in the case of an attorney at law, by certificate) should be filed with the request. Any request for a hearing shall identify specifically the issues of fact or law that are disputed. A person who so requests will be notified of any hearing, if ordered, and will receive a copy of any notice or order issued in this matter. After said date, the declaration, as amended or as it may be further amended, may be permitted to become effective.

For the Commission, by the Division of Corporate Regulation, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82–22782 Filed 8–18–82; 8:45 am]

BILLING CODE 8010–01–M

[Release No. 18921; File Nos. SR–NSCC–80'35 and SR–NSCC–82–13]

National Securities Clearing Corp. and Order Granting Withdrawal of Proposed Rule Change by National Securities Clearing Corp.

Correction

In FR Doc 82–20830, published on page 33351, on Monday, August 2, 1982, in the second column, the second paragraph should read as painted below:

"The proposed rule change replaces NSCC's proposed rule changes previously filed with Commission on July 13, 1981, and January 29, 1982, as Amendement Nos. One and Two, respectively, of File No. SR–NSCC–80–35. On August 24, 1981, notice of Amendment No. One, together with the terms of substance of that proposed rule change, was given by publication in Securities Exchange Act Release No. 18056, 46 FR 46860 (September 24, 1981). Because File No. SR–NSCC–82–13 was to be filed presently by NSCC, Amendment No. Two was not published by the Commission. Since File No. SR–NSCC–82–13 replaces the Amendments to File No. SR–NSCC–80–35, NSCC has requested that the Commission consent to the withdrawal of the Amendments. Accordingly, the Commission has considered NSCC's request for consent to the withdrawal of Amendment Nos. One and Two of File No. SR–NSCC–80–5, and it is therefore ordered, pursuant to Section 19(b) of the Act, that those Amendments to File No. SR–NSCC–80–35 referenced above be, and hereby are, withdrawn."

BILLING CODE 1505–01–M

Cincinnati Stock Exchange; Applications for Unlisted Trading Privileges and of Opportunity for Hearing

August 13, 1982.

The above named national securities exchange has filed applications with the Securities and Exchange Commission pursuant to Section 12(f)(1)(B) of the Securities Exchange Act of 1934 and Rule 12f-1 thereunder, for unlisted trading privileges in the following stocks:

Limited, Inc.
Common Stock, $.50 Par Value (File No. 7-6297)
Norfolk-Southern Corp.
Common Stock, $1 Par Value (File No. 7-6298)

These securities are listed and registered on one or more other national securities exchange and are reported in the consolidated transaction reporting system.

Interested persons are invited to submit on or before September 3, 1982 written data, views and arguments concerning the above-referenced applications. Persons desiring to make written comments should file three copies thereof with the Secretary of the Securities and Exchange Commission, Washington, D.C. 20549. Following this opportunity for hearing, the Commission will approve the applications if it finds, based upon all the information available to it, that the extensions of unlisted trading privileges pursuant to such applications are consistent with the maintenance of fair and orderly markets and the protection of investors.

For the Commission, by the Division of Market Regulation, pursuant to delegated authority.

George A. Fitzsimmons,

Secretary.

[FR Doc. 82-22651 Filed 8-18-82; 8:45 am]

BILLING CODE 8010-01-M

SMALL BUSINESS ADMINISTRATION

[Declaration of Disaster Loan Area No. 2056]

Iowa; Declaration of Disaster Loan Area

Wapello County and the contiguous counties of Mahaska, Monroe, Appanoose, Davis, Van Buren, Jefferson and Keokuk in the State of Iowa constitute a disaster area as a result of damage caused by heavy rains and flooding which occurred on July 15-17, 1982. Eligible persons, firms and organizations may file applications for loans for physical damage until the close of business on October 4, 1982, and for economic injury until the close of business on May 4, 1983, at the address listed below: U.S. Small Business Administration, 210 Walnut Street, Des Moines, Iowa 50309, or other locally announced locations.

Interest rates for applicants filing for assistance under this declaration are as follows:

	Percent
Homeowners with credit available elsewhere	14⅜
Homeowners without credit available elsewhere	7⅜
Businesses with credit available elsewhere	16½
Businesses without credit available elsewhere	8
Businesses (EIDL) without credit available elsewhere	8
Other (non-profit) organizations including charitable and religious organizations)	11⅜

It should be noted that assistance for agriculture enterprises is the primary responsibility of the Farmers Home Administration as specified in Pub. L. 96-302.

Information on recent statutory changes (Pub. L. 97-35, approved August 13, 1981) is available at the above-mentioned office.

(Catalog of Federal Domestic Assistance Programs Nos. 59002 and 59008)

Dated: August 4, 1982.

James C. Sanders,

Administrator.

[FR Doc. 82-22716 Filed 8-18-82; 8:45 am]

BILLING CODE 8025-01-M

[SBLC No. 04/B-0024]

Gulf American S.B.L., Inc.; Issuance of Small Business Lending Company Participation Agreement

On May 10, 1982, a notice was published in the **Federal Register** (47 FR 20060) stating that an application had been filed with the Small Business Administration pursuant to Section 120.4(b) of the regulations governing Small Business Lending Companies (13 CFR 120.4(b)1981)) by Gulf American S.B.L., Inc., P.O. Box 2026, 659 Jenks Avenue, Panama City, Florida 32401, to participate with the SBA as a Small Business Lending Company (SBLC).

Interested parties were given until the close of business May 25, 1982, to submit their comments on the Applicant and/or its management. Ten communications were received and all were favorable.

Notice is hereby given that after review of the application and all other pertinent information, SBA issued Small Business Lending Company Participation Agreement No. SBLC 03/B-0024 to Gulf American, S.B.L., Inc. to operate as an SBLC on this date.

(Catalog of Federal Domestic Programs No. 59,012, Small Business Loans)

Dated: August 6, 1982.

Charles R. Hertzberg,

Deputy Associate Administrator for Financial Assistance.

[FR Doc. 82-22717 Filed 8-18-82; 8:45 am]

BILLING CODE 8025-01-M

DEPARTMENT OF TRANSPORTATION

Coast Guard

[CGD 82-083]

Environmental Impact Statement for a Proposed Bridge Across the Columbia River, Mile 343, Near Richland, Washington (Benton/Franklin Counties)

AGENCY: Coast Guard, DOT.

ACTION: Withdrawal of notice of intent to prepare an environmental impact statement.

SUMMARY: Notice is hereby given that the Coast Guard has terminated work on an Environmental Impact Statement (EIS) for construction of a toll bridge across the Columbia River near Richland, Washington. A notice of intent to prepare an EIS was published in the **Federal Register** on March 12, 1981 (46 FR 16397). Since that time, the Coast Guard has been informed that the State of Washington has indefinitely postponed all work related to the project, including environmental review. At such time as activities related to the proposed project are resumed, a new notice of intent will be published.

FOR FURTHER INFORMATION CONTACT: Mr. Wayne Lee, Thirteenth Coast Guard District, Aids to Navigation Branch, 915 Second Avenue, Seattle, WA 98174, telephone (206) 442-5864, FTS 399-5864.

Dated: August 12, 1982.

H. H. Kothe,

Captain, Coast Guard, Acting Chief, Office of Navigation.

[FR Doc. 82-22624 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-14-M

National Highway Traffic Safety Administration

[Docket No. IP82-16; Notice 1]

General Motors Corp.; Receipt of Petition for Determination of Inconsequentiality

General Motors Corp. of Warren, Michigan ("GM" herein), has petitioned to be exempted from the notification and remedy requirements of the National Traffic and Motor Vehicle

Safety Act (15 U.S.C. 1381 *et seq.*) for a noncompliance with 49 CFR 571.110, Motor Vehicle Safety Standard No. 110, *Tire Selection and Rims for Passenger Cars*, on the basis that it is inconsequential as it relates to motor vehicle safety.

This notice of receipt of a petition for a determination of inconsequentiality is published in accordance with Section 157 of the National Traffic and Motor Vehicle Safety Act (15 U.S.C. 1410) and does not represent any agency decision or other exercise of judgment concerning the merits of the petition.

Approximately 208 1982 model Chevrolet Impala passenger cars equipped with bucket seats carry tire inflation placards (required by Standard No. 110) with an incorrect seating capacity and vehicle capacity weight. The placards indicate that the front seating capacity is three persons when the correct capacity is two, that the occupant capacity is six when actually it is five, and that the total vehicle capacity weight is 1100 pounds when it is 950 pounds.

GM argues that the incorrect seating capacity noncompliance is inconsequential because it is obvious to anyone comparing the tire placard to the actual front seating accommodations that the placard must be in error. Further, even if the vehicle were loaded with an additional 150 pounds, its tire load limits would not be exceeded, because "they are identical to Impala series vehicles equipped with bench seats and six-passenger capacity."

Interested persons are invited to submit written data, views, and arguments on the petition of General Motors Corp. described above. Comments should refer to the docket number and be submitted to: Docket Section, National Highway Traffic Safety Administration, Room 5108, 400 Seventh Street, SW., Washington, D.C. 20590. It is requested but not required that five copies be submitted.

All comments received before the close of business on the comment closing date indicated below will be considered. The application and supporting materials, and all comments received after the closing date will also be filed and will be considered to the extent possible. When the petition is granted or denied, notice will be published in the **Federal Register** pursuant to the authority indicated below.

The engineer and attorney primarily responsible for this notice are Art Neill and Taylor Vinson respectively.

Comment closing date: September 20, 1982.

(Sec. 102, Pub. L. 93-492, 88 Stat. 1470 (15 U.S.C. 1417); delegations of authority at 49 CFR 1.50 and 49 CFR 501.8)

Issued on August 11, 1982.

Courtney M. Price,

Associate Administrator for Rulemaking.

[FR Doc. 82-22303 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-59-M

Research and Special Programs Administration

[Docket No. 82-4W; Notice 2]

Transportation of Natural and Other Gas By Pipeline; Grant of Waiver

The Tennessee Gas Pipeline Company petitioned the Materials Transportation Bureau (MTB) for a waiver from compliance with the requirements of 49 CFR 192.553(d), to permit the maximum allowable operating pressure (MAOP) of two transmission line segments shown on drawing TO-T10-300-1-57 to be increased to 1170 psig from the current 1088 psig. These line segments are located in Wayne County, Pennsylvania, between mainline valves 322 and 323 on the Company's 300-1 transmission line.

The two line segments were hydrostatically tested to at least 1470 psig for 8 hours, without leakage after population increases caused the segments to be reclassified from Class 1 to Class 2 locations. This pressure test qualified all but the two Class 2 segments for a higher MAOP of 1170 psig. The MAOP of the Class 2 segments was not increased, however, because of § 192.553(d), which restricts a new MAOP to the level allowed "for a new * * * pipeline constructed of the same materials in the same location." Inasmuch as additional segments of the line have since been reclassified as Class 2, and § 192.611(a) permits these to operate at 1170 psig because of their prior testing, the petitioner sought a waiver of § 192.553(d) for the original two Class 2 segments so that the entire line could be operated at 1170 psig.

In response to this petition, MTB issued a notice of a petition for waiver inviting interested persons to comment (47 FR 27443, June 24, 1982). In this notice, MTB stated that it was considering granting the requested waiver because the two Class 2 segments are not materially different with respect to design, construction, and leak and maintenance history from similar Class 2 segments in the same line section that now have an MAOP of 1170 psig, the distinguishing factor merely being the timing of the 1470 psig qualifying pressure test. Had it been performed before the two segments involved changed from Class 1 to Class 2, the segments could have been qualified for the higher 1170 MAOP without restriction by § 192.553(d).

Two comments were received in response to the invitation to comment, and both supported the granting of the waiver. The commenters indicated that, under the conditions faced by the petitioner, there would not be any reduction in public safety and a waiver is the most logical course of action.

In consideration of the foregoing, MTB, by this order, finds that compliance with § 192.553(d) is unnecessary for the reasons set forth in Notice 1, and that the requested waiver would not be inconsistent with pipeline safety. Accordingly, effective immediately, Tennessee Gas Pipeline Company is granted a waiver from compliance with § 192.553(d) regarding the two Class 2 segments described above for the purpose of uprating to 1170 psig.

(49 U.S.C. 1672; 49 CFR 1.53, Appendix A of Part 1, and Appendix A of Part 106)

Issued in Washington, D.C., on August 16, 1982.

Richard L. Beam,

Associate Director for Pipeline Safety Regulation, Materials Transportation Bureau.

[FR Doc. 82-22699 Filed 8-18-82; 8:45 am]

BILLING CODE 4910-60-M

Office of the Secretary

Reports, Forms and Recordkeeping Requirements; Submittals to OMB, July 21-Aug. 10, 1982

AGENCY: Office of the Secretary, DOT.

ACTION: Notice.

SUMMARY: This notice lists those forms, reports, and recordkeeping requirements, transmitted by the Department of Transportation, between July 21 and Aug. 10, 1982, to the Office of Management and Budget (OMB) for its approval. This notice is published in accordance with the requirements of the Paperwork Reduction Act of 1980 (44 U.S.C. Chapter 35).

FOR FURTHER INFORMATION CONTACT:

John Windsor, John Chandler, or Annette Wilson, Information Requirements Division, M-34, Office of the Secretary of Transportation, 400 7th Street, S.W., Washington, D.C. 20590, (202) 426-1887; or Donald Arbuckle or Wayne Leiss, Office of Management and Budget, New Executive Office Building, Room 3228, Washington, D.C. 20503, (202) 395-7340.

SUPPLEMENTARY INFORMATION:.

Background

Section 3507 of Title 44 of the United States Code, as adopted by the Paperwork Reduction Act of 1980, requires that agencies prepare a notice for publication in the **Federal Register**, listing those information collection requests submitted to the Office of Management and Budget (OMB) for approval under that Act. OMB reviews and approves agency submittals in accordance with criteria set forth in that Act. In carrying out its responsibilities, OMB also considers public comments on the proposed forms, reporting and recordkeeping requirements.

On Mondays and Thursdays, as needed, the Department of Transportation will publish in the **Federal Register** a list of those forms, reporting and recordkeeping requirements that it has submitted to OMB for review and approval under the Paperwork Reduction Act. The list will include new items imposing paperwork burdens on the public as well as revisions, renewals and reinstatements of already existing requirements. OMB approval of an information collection requirement must be renewed at least once every three years. The published list also will include the following information for each item submitted to OMB:

(1) A DOT control number.

(2) An OMB approval number if the submittal involves the renewal, reinstatement or revision of a previously approved item.

(3) The name of the DOT Operating Administration or Secretarial Office involved.

(4) The title of the information collection request.

(5) The form numbers used, if any.

(6) The frequency of required responses.

(7) The persons required to respond.

(8) A brief statement of the need for and uses to be made of the information collection.

Information Availability and Comments

Copies of the DOT information collection request submitted to OMB may be obtained from the DOT officials listed in the "For Further Information Contact" paragraph set forth above.

Comments on the request should be forwarded, as quickly as possible, directly to the OMB officials listed in the "For Further Information Contact" paragraph set forth above. If you anticipate submitting substantive comments, but find that more than 5 days from the date of publication is needed to prepare them, please notify the OMB officials of your intent immediately.

Items Submitted for Review by OMB

The following information collection requests were submitted to OMB between July 21 and Aug. 10, 1982:

- DOT No: 2026
  OMB No: None
  By: Federal Railroad Administration
  Title: Designation of Qualified Persons
  Forms: None
  Frequency: On occasion
  Respondents: Railroads
  Need/Use: To prevent the unsafe movement of defective equipment authorized by personnel unqualified to make such determinations, the Federal Railroad Administration requires railroad designation of persons qualified to perform such inspections and authorizations.
- DOT No: 2035
  OMB No: 2115–0003
  By: United States Coast Guard
  Title: Report of Marine Accident Injury or Death (Casualty Reporting Requirements, CGD 82–069)
  Forms: CG–2692 and CG–2692A
  Frequency: On occasion
  Respondents: Businesses or other. Owners, agents or persons in charge of vessels and outer-continental shelf facilities.
  Need/Use: This NPRM amends 46 CFR concerning Marine Casualty Reporting Requirements by eliminating the cost of salvage, cleaning, gas freeing and drydocking from the total monetary damage. Because these cost elements vary widely throughout the industry, they tend to distort the $25,000 reporting threshold. This revision will provide for more uniform reporting and will also result in an estimated 5% reduction in reports received.
- DOT No: 2049
  OMB No: 2130–0006
  By: Federal Railroad Administration
  Title: Signal Systems Annual Report
  Forms: FRA F 6180.47
  Frequency: Annually
  Respondents: Railroads
  Need/Use: This information is essential to the Federal Railroad Administration to determine whether unauthorized discontinuance or material modifications of signal systems have been made.
- DOT No.: 2050
  OMB No.: 2130–0007
  By: Federal Railroad Administration
  Title: False Proceed Signal Report
  Forms: FRA F 6180.14
  Frequency: Monthly or when necessary
  Respondents: Railroads
  Need/Use: This information is essential to the Federal Railroad Administration to determine the need for signal inspections and the need for revision of the rules.
- DOT No.: 2051
  OMB No.: 2137–0017
  By: Research and Special Programs Administration
  Title: Cargo Tank Certification Record Requirements, Extension
  Forms: None
  Frequency: Nonrecurring
  Respondents: Manufacturers of cargo tanks and motor carriers
  Need/Use: Used by cargo tank manufacturers, owners and FHWA personnel to verify that cargo tanks have been manufactured and tested in accordance with the regulations so as to maintain the level of safety set forth in the regulations.
- DOT No.: 2052
  OMB No.: 2137–0020
  By: Research and Special Programs Administration
  Title: Certification and Data Report Cargo Tank Record Requirements, Extension
  Forms: None
  Frequency: Nonrecurring
  Respondents: Motor Carrier Operators
  Need/Use: To verify that cargo tanks were manufactured and tested in accordance with the specification to which it was stated that they were manufactured.
- DOT No.: 2053
  OMB No.: 2137–0018
  By: Research and Special Programs Administration
  Title: Cargo Tank Inspection Record Requirements, Extension
  Forms: None
  Frequency: Biennially
  Respondents: Motor Carrier Operators
  Need/Use: To verify compliance with the regulations and to assure integrity of cargo tanks so that their continued use will not lower the level of safety set forth in the regulations.
- DOT No.: 2054
  OMB No.: 2137–0021
  By: Research and Special Programs Administration
  Title: MC 330 and MC331 Cargo Tank Record Requirements, Extension
  Forms: None
  Frequency: On occasion
  Respondents: Motor Carrier Operators
  Need/Use: To verify that MC 330 and MC331 tanks were retested and inspected in accordance with the hazardous materials regulations so as to verify that they are in a safe condition for transporting hazardous materials.
- DOT No.: 2055
  OMB No.: 2137–0019

By: Research and Special Programs Administration
Title: MC 330 and MC 331 In Service Cargo Tank Record Requirements, Extension
Forms: None
Frequency: When placed in or withdrawn from service
Respondents: Motor carrier operators
Need/Use: To verify location of MC 330 and MC 331 cargo tanks so that FHWA field inspectors can verify that required tests have been performed. Extra precaution needed due to increase chance of tank failure caused by stress corrosion due to type of materials transported.

• DOT No.: 2056
OMB No.: 2130–0005
By: Federal Railroad Administration
Title: Hours of Service Monthly Reports of Excess Service
Forms: FRA F 6180.3
Frequency: On occasion
Respondents: Railroads
Need/Use: The Hours of Service Act, as amended, requires carriers to maintain records of employees' hours of service and to make monthly reports of excess service to the Federal Railroad Administration. The information maintained and reported by the railroads serves as a basis for monitoring compliance.

Issued in Washington, D.C. on August 13, 1982.

Karen S. Lee,

Deputy Assistant Secretary for Administration.

[FR Doc. 82-22573 Filed 8-18-82; 8:45 am]
BILLING CODE 4910-62-M

DEPARTMENT OF THE TREASURY

Public Information Collection Requirements Submitted To OMB for Review

During the period August 6 through August 12, 1982, the Department of the Treasury submitted the following public information collection requirements to OMB, for review and clearance under the Paperwork Reduction Act of 1980, Pub. L. 96–511. Copies of these submissions may be obtained from the Treasury Department Clearance Officer, by calling (202) 634–2179. Comments regarding these information collections should be addressed to the Treasury Reports Management Officer, Information Resources Management Division, Room 309, 1625 I St. N.W., Washington, D.C. 20220; *and* to the OMB reviewer listed at the end of each entry.

• *Date Submitted:* August 9, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0003
Form Number: SS–4 and SS–4PR
Type of Submission: Revision
Title: Application for Employer Identification Number
Purpose: Taxpayers required to have an employer identification number for use on any return, statement, or other document must prepare and file Form SS–4 or Form SS–4PR (Puerto Rico only) to obtain a number. The information is used by IRS and SSA in tax administration and by the Bureau of the Census for business statistics.
OMB Reviewer: Michael Abrahams (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 10, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0074
Form Number: 1040 and related schedules A,B,C,D,E,F,G,R/RP&SE
Type of Submission: Revision
Title: Income Tax Return and related schedules reporting business, farm, and other income and expenses, Social Security tax, etc.
Purpose: IRC sections 6011 and 6012 require individuals to file income tax returns annually. Form 1040 and related schedules are used to report income subject to tax and compute the tax liability. The data is used to verify that items on the forms are correct and for general statistical use.
OMB Reviewer: Michael Abrahams (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Alcohol, Tobacco and Firearms
OMB Number: 1512–0006
Form Number: ATF F 3310.4
Type of Submission: Extension
Title: Report of Multiple Sale or Other Disposition of Pistols and Revolvers
Purpose: Form provides investigative leads on those persons who are primarily purchasing weapons (handguns) for resale as unlicensed dealers. Information supplied is used to determine if a violation of the law exists and also trace weapons recovered from a crime scene or high crime area.
OMB Reviewer: Suzann Evinger (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Bureau of the Public Debt
OMB Number: 1535–0019
Form Number: PD–4733
Type of Submission: Extension
Title: Applications for Bonds and Notes (at STB)
Purpose: Information is needed to issue definitive Treasury Securities and to establish and maintain accounts of registered securities. Specific data collected is used to record Treasury's liability to owner(s) of definitive Treasury Securities: issue and deliver definitive securities in bearer or registered form, maintain system of registered securities accounts, pay interest, and report such payments to IRS.
OMB Reviewer: Suzann Evinger (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Bureau of the Public Debt
OMB Number: 1535–0017
Form Number: PD–4883
Type of Submission: Extension
Title: Application for U.S. Savings Bonds, Series HH
Purpose: Purchase application for series HH bonds. Serves as an issue record for the issuing agent.
OMB Reviewer: Suzann Evinger (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Bureau of the Public Debt
OMB Number: 1535–0016
Form Number: PD 1022–1
Type of Submission: Extension
Title: Claims Application (Bearer/Individual)
Purpose: Application for relief for lost, stolen and destroyed U.S. Government and Agency Securities. (Bearer/Individual)
OMB Reviewer: Suzann Evinger (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Bureau of the Public Debt
OMB Number: 1535–0015
Form Number: PD 1022
Type of Submission: Extension

Title: Claims Application (Bearer/Organization)
Purpose: Application for relief for lost, stolen and destroyed U.S. Government and Agency Securities. (Bearer/Organization)
OMB Reviewer: Suzann Evinger (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Bureau of the Public Debt
OMB Number: 1535–0014
Form Number: PD–1025
Type of Submission: Extension
Title: Claims Application (Registered)
Purpose: Application for relief of lost, stolen and destroyed U.S. Government and Agency (Registered) securities.
OMB Reviewer: Suzann Evinger (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Bureau of the Public Debt
OMB Number: 1535–0013
Form Number: PD–1048
Type of Submission: Extension
Title: Application for relief on account of loss, theft, destruction, mutilation or non-receipt of United States Savings and Retirement Securities.
Purpose: Needed to grant relief for a lost, stolen or destroyed security used to obtain authority to issue a substitute security or a Treasury check in lieu thereof.
OMB Reviewer: Suzann Evinger (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0092
Form Number: 1041 and related schedules D, J and K–1
Type of Submission: Revision
Title: U.S. Fiduciary Income Tax Return and Schs. on Capital Gains and Losses, Trust Allocation of Accum. Dist., Beneficiary Share of Inc., etc.
Purpose: IRC section 6012 requires that an annual income tax return be filed for estates and trusts. Section 6041 requires a return be filed reporting payments to recipients. Data used to determine that the estates, trusts, and beneficiaries filed the proper returns and paid the correct tax.
OMB Reviewer: Michael Abrahams (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0123
Form Number: 1120 Sch. D and Sch. PH
Type of Submission: Revision
Title: U.S. Corp. Income Tax return, Capital Gains and Losses, Computation of U.S. Personal Holding Company Tax
Purpose: Form 1120 is used by corporations to report their income subject to tax and compute their correct income tax liability. Schedule D (Form 1120) is used by corporations to report gains or (losses) from sales or exchanges of capital assets and figure the alternative tax. Schedule PH is used by a personal holding company to compute its tax. This information is used to determine the taxpayer's correct tax liability and for general statistics use.
OMB Reviewer: Michael Abrahams (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0193
Form Number: 4972
Type of Submission: Revision
Title: Special 10-Year Averaging Method
Purpose: IRC section 402(e) allows taxpayers to compute a separate tax on the ordinary income portion of a lump-sum distribution from a qualified plan. Form 4972 is used to correctly figure the separate tax. The data is used to verify correctness of separate tax.
OMB Reviewer: Michael Abrahams (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0171
Form Number: 4469
Type of Submission: Revision
Title: Computation of Excess Hospital Insurance Benefits Tax Credit
Purpose: The maximum hospital insurance benefits tax that may be imposed on an employee is set by law. Form 4469 is used by railroad employee representatives to figure their refund of excess hospital insurance benefits tax. The information collected is used to verify that the taxpayer is entitled to the credit.
OMB Reviewer: Michael Abrahams (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0162
Form Number: 4136
Type of Submission: Revision
Title: Computation of Credit for Federal Tax on Gasoline, Special Fuels, and Lubricating Oil
Purpose: IRC section 39 requires information in order to claim a credit for Federal excise tax on certain gasoline, special fuels, and lubricating oil used. This form is used to figure the amount of credit. Data is used to verify validity of claim.
OMB Reviewer: Michael Abrahams (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0069
Form Number: 2440
Type of Submission: Extension
Title: Disability Income Exclusion
Purpose: IRC section 105 requires information for figuring the disability income exclusion. Form 2440 is used by disabled retirees under age 65 to compute the amount of disability income to be excluded from gross income. The data is sued to help verify that the exclusion is properly figured.
OMB Reviewer: Michael Abrahams (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0058
Form Number: 1028
Type of Submission: Extension
Title: Application for Recognition of Exemption Under Section 521 of the Internal Revenue Code
Purpose: Farmers' cooperative file Form 1028 to apply for exemption

from Federal Income Tax as being organizations described in IRC section 521. The information provides the basis for determining whether the organization is exempt.
OMB Reviewer: Michael Arbrahams, (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 12, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0351
Form Number: 3975, 2333, 2333E, 2333EA, 2333R, 2333S & 2333X
Type of Submission: Revision
Title: Tax Practicitoner Mailing File (TPMF) Order Fulfillment Program
Purpose: Maintain mailing list which provides the Service with a vehicle to furnish practitioners information necessary for the preparation of Federal Tax Returns and structures the ordering, fee collection and shipping of bulk supplies of tax forms.
OMB Reviewer: Michael Abrahams (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Comptroller of the Currency
OMB Number: 1557–0015
Form Number: CC–7028–36
Type of Submission: Extension
Title: Notice of Change of Control of Bank
Purpose: Federal Law, 12 U.S.C. 1817(j), requires that an individual or group of individuals acting together, or a company, that proposes to acquire control of a national bank must submit prior notice of that intent to OCC. The notice provides information about the acquisition of control and about the individual(s) or company involved.
OMB Reviewer: Michael Abrahams, (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0231
Form Number: 6478
Type of Submission: Revision
Title: Credit for Alcohol Used as Fuel
Purpose: This form is used to compute the credit allowed under IRC section 44E for alcohol used as fuel. The information is needed to determine that the amount of credit claimed is correct.
OMB Reviewer: Micahel Abrahams, (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 11, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0211
Form Number: 5544
Type of Submission: Revision
Title: Multiple Recipient Special 10-Year Averaging Method
Purpose: IRC section 402(e) allows a recipient of a share of lump-sum distribution to compute a separate tax on the ordinary income portion. Form is used to correctly compute the separate tax. The information is used to determine whether the distribution has been reported properly and the separate tax computed correctly.
OMB Reviewer: Michael Abrahams, (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 12, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0184
Form Number: 4797
Type of Submission: Revision
Title: Supplemental Schedule of Gains and Losses
Purpose: Form 4797 is used by taxpayers to report sales, exchanges or involuntary conversions of assets, other than capital assets, and involuntary coversions of capital assets held more than one year. It is also used to compute ordinary income from recapture.
OMB Reviewer: Michael Abrahams (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 12, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0214
Form Number: 5695
Type of Submission: Extension
Title: Residential Energy Credit
Purpose: Used by individual taxpayers to claim a credit against their tax for qualified energy saving property. IRC section 44C allows the credit for qualified energy conservation expenditures, plus qualified renewable energy source expenditures. The information collected is used to determine the validity of the claimed credit.
OMB Reviewer: Michael Abrahams, (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 12, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0224
Form Number: 6248
Type of Submission: Revision
Title: Annual Information Return of Windfall Profit Tax
Purpose: Form 6248 is an annual information return that informs the IRS of each producer's windfall profit tax liability for the calendar year. It is used by the IRS to verify if a producer paid the correct windfall profit tax liability for the calendar year.
OMB Reviewer: Michael Abrahams, (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 12, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0173
Form Number: 4563
Type of Submission: Revision
Title: Exclusion of Income from Sources in United States Possessions
Purpose: Used by a citizen of the United States whose income is from sources within a possession of the United States to the extent specified in IRC section 931 to claim the benefit of that section. This information is used by the Service to determine if an individual is eligible to exclude possession source income.
OMB Reviewer: Michael Abrahams (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 12, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0172
Form Number: 4562
Type of Submission: Revision
Title: Depreciation and Amortization
Purpose: Form 4562 is used to report the depreciation and amortization deducations, and the election to expense certain depreciable business assets. The data is used to verify that the proper deduction has been taken.
OMB Reviewer: Michael Abrahams (202) 395–6880, Office of Management

and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 12, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0068
Form Number: 2441
Type of Submission: Extension
Title: Credit for Child and Dependent Care Expenses
Purpose: IRC section 44A allows a tax credit for certain child and dependent care expenses, to be claimed on Form 1040. The information on Form 2441 is used to help verify that the credit is properly figured.
OMB Reviewer: Michael Abrahams (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

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• *Date Submitted:* August 12, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0059
Form Number: 4137
Type of Submission: Revision
Title: Computation of Social Security Tax on Unreported Tip Income.
Purpose: IRC section 3102 requires an employee who received tips subject to FICA tax, but failed to report them to his/her employer, to compute tax due on such tips. The data is used to help verify that the FICA tax on tip income is correctly computed.
OMB Reviewer: Michael Abrahams (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

* * * * *

• *Date Submitted:* August 12, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0486
Form Number: 6742
Type of Submission: Reinstatement
Title: VITA Test (Spanish)
Purpose: As part of the training program for Spanish speaking volunteers, all volunteers are requested to take a test at the end of the VITA course to insure that students have been adequately trained. It is a pass/fail system. Volunteers who achieve the minimum score may assist low income, elderly, handicapped, and non-English speaking individuals. Those who fail may take a retest.
OMB Reviewer: Michael Abrahams, (202) 395–6880, Office of Management and Budget, Room 3208 New Executive Office Building, Washington, D.C. 20503

* * * * *

• *Date Submitted:* August 12, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0202
Form Number: 5310 and 6088
Type of Submission: Revision
Title: Application for Determination Upon Term; Notice of Merger, Consol. or Trans. of Plan Assets and Liabilities. Notice of Intent to Term; Distributable Benefits from Employee Benefit Plans
Purpose: Employers who have qualified deferred compensation plans can take an income tax deduction for contributions to their plans. They are required to notify IRS of any plan mergers, consolidations or transfer of plan assets or liabilities to another plan. Form 5310 is used to make the required notifications and the request for a determination letter. IRS uses the data on Forms 5310 and 6088 to determine whether a plan still qualifies and whether there is any discrimination in benefits.
OMB Reviewer: Michael Abrahams, (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

* * * * *

• *Date Submitted:* August 12, 1982
Submitting Bureau: Internal Revenue Service
OMB Number: 1545–0150
Form Number: 2848 and 2848–D
Type of Submission: Revision
Title: Power of Attorney and Declaration of Representative; Tax Information Authorization and Declaration of Representative
Purpose: Form 2848 is used to authorize someone to act for respondent in tax matters. It grants all powers that the taxpayer has except signing the return and cashing refund checks. Form 2848–D allows a person to inspect or receive confidential tax information. Data used to identify representatives/appointees and to ensure that confidential information is not divulged to unauthorized persons.
OMB Reviewer: Michael Abrahams, (202) 395–6880, Office of Management and Budget, Room 3208, New Executive Office Building, Washington, D.C. 20503

Dated: August 13, 1982.

Floyd Sandlin,

Chief, Information Resources Management Division.

[FR Doc. 82–22741 Filed 8–18–82; 8:45 am]

BILLING CODE 4810–25–M

Internal Revenue Service

Art Print Advisory Panel; Closed Meeting

AGENCY: Internal Revenue Service, Treasury.

ACTION: Notice of closed meeting of Art Print Advisory Panel.

SUMMARY: A closed meeting of the Art Print Advisory Panel will be held in Washington, D.C.

DATE: The meeting will be held September 22, 1982.

FOR FURTHER INFORMATION CONTACT: Karen Carolan, CC:C:E:V, 1111 Constitution Avenue, NW., Room 5545, Washington DC, 20224, Telephone No. (202) 566–4196 (not a toll free number)..

SUPPLEMENTARY INFORMATION: Notice is hereby given pursuant to section 10(a)(2) of the Federal Advisory Committee Act, 5 U.S.C. app. (1976), that a closed meeting of the Art Print Advisory Panel will be held on September 22, 1982 beginning at 9:30 a.m. in Room 3411, Internal Revenue Building, 1111 Constitution Avenue, NW., Washington, DC 20224.

The agenda will consist of the review and evaluation of the acceptability of fair market value appraisals and allocations of value of the assets in art print publishing ventures involved in federal income tax returns. This will involve the discussion of material in individual tax returns made confidential by the provisions of section 6103 of Title 26 of the United States Code.

A determination as required by section 10(d) of the Federal Advisory Committee Act has been made that these meetings are concerned with matters listed in section 552b(c) (3), (4), (6), and (7) of Title 5 of the United States Code, and that the meetings will not be open to the public.

This document does not meet the criteria for significant regulations set forth in paragraph 8 of the Treasury Directive appearing in the **Federal Register** for Wednesday, November 8, 1978 (43 FR 52122).

Roscoe L. Egger, Jr.,

Commissioner.

[FR Doc. 82–22697 Filed 8–18–82; 8:45 am]

BILLING CODE 4830–01–M

Sunshine Act Meetings

Federal Register
Vol. 47, No. 161
Thursday, August 19, 1982

This section of the FEDERAL REGISTER contains notices of meetings published under the "Government in the Sunshine Act" (Pub. L. 94-409) 5 U.S.C. 552b(e)(3).

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1

COMMODITY FUTURES TRADING COMMISSION

TIME AND DATE: 2 p.m., Tuesday, August 24, 1982.

PLACE: 2033 K Street, N.W., Washington, D.C., eighth floor conference room.

STATUS: Closed.

MATTERS TO BE CONSIDERED: Judicial Session.

CONTACT PERSON FOR MORE INFORMATION: Jane Stuckey, 254-6314.

[S-1193-82 Filed 8-17-82; 11:44 am]

BILLING CODE 6351-01-M

2

COMMODITY FUTURES TRADING COMMISSION

TIME AND DATE: 11 a.m., Friday, September 3, 1982.

PLACE: 2033 K Street, N.W., Washington, D.C., Eighth floor conference room.

STATUS: Closed.

MATTERS TO BE CONSIDERED: Surveillance Briefing.

CONTACT PERSON FOR MORE INFORMATION: Jane Stuckey, 254-6314.

[S-1197-82 Filed 8-17-82; 1:41 pm]

BILLING CODE 6351-01-M

3

COMMODITY FUTURES TRADING COMMISSION

TIME AND DATE: 10 a.m., Tuesday, August 24, 1982.

PLACE: 2033 K Street, N.W., Washington, D.C., Fifth floor hearing room.

STATUS: Closed.

MATTERS TO BE CONSIDERED: Rule Enforcement Review.

CONTACT PERSON FOR MORE INFORMATION: Jane Stuckey, 254-6314.

[S-1198-82 Filed 8-17-82; 1:41 pm]

BILLING CODE 6351-01-M

4

FEDERAL DEPOSIT INSURANCE CORPORATION

Changes in Subject Matter of Agency Meeting

Pursuant to the provisions of subsection (e)(2) of the "Government in the Sunshine Act" (5 U.S.C. 552b(e)(2)), notice is hereby given that at its closed meeting held at 2:30 p.m. on Monday, August 16, 1982, the Corporation's Board of Directors determined, on motion of Chairman William M. Issac, seconded by Director Irvine H. Sprague (Appointive), concurred in by Director C. T. Conover (Comptroller of the Currency), that Corporation business required the addition to agenda for consideration at the meeting, on less than seven days' notice to the public, of the following matters:

Application of The Liberty Bank for Savings, Middletown, Connecticut, for consent to merge, under its charter and title, with Willimantic Savings and Loan Association, Willimantic, Connecticut, and to establish the two offices of Willimantic Savings and Loan Association as branches of the resultant bank.

Application of United American Bank in Hamilton County, Chattanooga, Tennessee, for consent to merge, under its charter and title, with City Bank and Trust, East Ridge, Tennessee, and to establish the three offices of City Bank and Trust as branches of the resultant bank.

The Board further determined, by the same majority vote, that no earlier notice of the changes in the subject matter of the meeting was practicable; that the public interest did not require consideration of the matters in a meeting open to public observation; and that the matters could be considered in a closed meeting by authority of subsections (c)(6), (c)(8), and (c)(9)(ii) of the "Government in the Sunshine Act" (5 U.S.C. 552b (c)(6), (c)(8), and (c)(9)(A)(ii)).

Dated: August 16, 1982.

Federal Deposit Insurance Corporation.

Hoyle L. Robinson,

Executive Secretary.

[S-1194-82 Filed 8-17-82; 12:41 pm]

BILLING CODE 6714-01-M

5

FEDERAL DEPOSIT INSURANCE CORPORATION

Changes in Subject Matter of Agency Meeting

Pursuant to the provisions of subsection (e)(2) of the "Government in the Sunshine Act" (5 U.S.C. 552b(e)(2)), notice is hereby given that at its open meeting held at 2:00 p.m. on Monday, August 16, 1982, the Corporation's Board of Directors determined, on motion of Chairman William M. Isaac, seconded by Director Irvine H. Sprague (Appointive), concurred in by Director, C. T. Conover (Comptroller of the Currency), that Corporation business required the addition to the agenda for consideration at the meeting, on less than seven days' notice to the public, of the following matters:

Recommendations regarding the liquidation of a bank's assets acquired by the Corporation in its capacity as receiver, liquidator, or liquidating agent of those assets:

Case No. 45,338—Farmers Bank of the State of Delaware, Dover, Delaware.

Case No. 45,349-L—Guaranty Bond State Bank, Redwater, Texas.

Case No. 45,350-L—Bowie County State Bank, Hooks, Texas.

A proposed personal service contract.

By the same majority vote, the Board further determined that no earlier notice of these changes in the subject matter of the meeting was practicable.

Dated: August 16, 1982.

Federal Deposit Insurance Corporation.

Hoyle L. Robinson

Executive Secretary.

[S-1195-82 Filed 8-17-82; 12:41 pm]

BILLING CODE 6714-01-M

6

FEDERAL ELECTION COMMISSION

DATE AND TIME: August 24, 1982 at 10 a.m.

PLACE: 1325 K Street, N.W., Washington, D.C.

STATUS: This meeting will be closed to the public.

MATTERS TO BE CONSIDERED: Compliance. Litigation. Audits. Personnel.

* * * * *

DATE AND TIME: August 26, 1982 at 10 a.m.

PLACE: 1325 K Street, N.W., Washington, D.C. (fifth floor).

STATUS: This meeting will be open to the public.

MATTERS TO BE CONSIDERED:

Setting of dates for future meetings
Correction and approval of minutes
Advisory opinions:
Draft AO 1982–44 (continued): Anthony S. Harrington, Democratic National Committee; and Mark Braden, Republican National Committee
Draft AO 1982–48: Michael T. Miller, Chairman, Utah State Democratic Committee
Routine Administrative matters

PERSON TO CONTACT FOR INFORMATION: Mr. Fred Eiland, Public Information Officer; Telephone 202–523–4065.

Marjorie W. Emmons

Secretary of the Commission.

[S–1199–82 Filed 8–17–82; 3:36 pm]

BILLING CODE 6715–01–M

7

LEGAL SERVICES CORPORATION

Joint Meeting of the Special Committee on Grant and Contract Procedures and the Operations and Regulations Subcommittee on Regional and State Activities

TIME AND DATE:

1:00–6:00 p.m., Saturday, August 28, 1982
10:00 a.m.–2:00 p.m., Sunday, August 29, 1982

PLACE: Holiday Inn Downtown, 200 East Amite Street, Jackson, Mississippi 39201.

STATUS OF MEETING: Open.

MATTERS TO BE CONSIDERED:

August 28, 1982
1. Training, Education and Legal Support Efforts of National Support Centers
2. Review of Contract Provisions

August 29, 1982
Allocation of Funds and Minimum Access

CONTACT PERSON FOR MORE INFORMATION: Anne Tracy, Office of the President (202) 272–4040.

Dated: August 16, 1982.

Gerald M. Caplan,

Acting President.

[S–1190–82 Filed 8–16–82; 4:48 pm]

BILLING CODE 6820–35–M

8

LEGAL SERVICES CORPORATION

Appropriations and Audit Committee

TIME AND DATE: 9:00 a.m.–5:00 p.m., Friday, August 27, 1982.

PLACE: Legal Services Corporation, 733 15th Street, NW., Eighth floor conference room 2, Washington, D.C.

STATUS OF MEETING: Open.

MATTERS TO BE CONSIDERED:

1. Adoption of Agenda.
2. Approval of Minutes.
3. Fund Balance Analysis and Policy Recommendations.
4. Single Auditor Issue.
5. 1983 Budget Allocation Issues.
6. Third Quarter Budget Review Report.
7. 1984 Budget Mark.

CONTACT PERSON FOR MORE INFORMATION: Anne Tracy, Office of the President (202) 272–4040.

Dated: August 16, 1982.

Gerald M. Caplan,

Acting President.

[S–1190–82 Filed 8–16–82; 4:44 pm]

BILLING CODE 6820–35–M

9

NATIONAL TRANSPORTATION SAFETY BOARD

[NM–82–21]

TIME AND DATE: 9 a.m., Thursday, August 26, 1982.

PLACE: Board Room, 800 Independence Ave., S.W., Washington, D.C. 20594.

STATUS: The first item will be open to the public. The last three items will be closed under Exemption 10 of the Government in the Sunshine Act.

MATTERS TO BE CONSIDERED:

1. *Railroad Accident Report:* Head-on Collision of Amtrak trains Extra 769 East and No. 195, Bristol, Pennsylvania, March 29, 1982, and proposed recommendation letters.
2. *Order:* Administrator v. Moore, Dkt. SE–4776; disposition of the Administrator's petition for reconsideration.
3. *Opinion and Order:* Administrator v. Southeast Air, Inc., Dkt. SE–5300; Administrator v. Cunningham, Dkt. SE–5301; Administrator v. Owren, Dkt. SE–5303; disposition of the appeals of the Administrator and Cunningham and Southeast Air.
4. *Opinion and Order:* Administrator v. Cassis, Dkt. SE–5314, disposition of Administrator's appeal.

[S–1196–82 Filed 8–17–82; 1:14 pm]

BILLING CODE 4910–58–M

10

SECURITIES AND EXCHANGE COMMISSION

Notice is hereby given, pursuant to the provisions of the Government in the Sunshine Act, Pub. L. 94–409, that the Securities and Exchange Commission will hold the following meetings during the week of August 16, 1982, in Room 6059, 450 5th Street, N.W., Washington, D.C.

Closed meetings will be held on Tuesday, August 17, 1982, at 10:00 a.m. and on Thursday, August 19, 1982, following the 10:00 a.m. open meeting.

The Commissioners, their legal assistants, the Secretary of the Commission, and recording secretaries will attend the closed meetings. Certain staff members who are responsible for the calendared matters may be present.

The General Counsel of the Commission, or his designee, has certified that, in his opinion, the items to be considered at the closed meetings may be considered pursuant to one or more of the exemptions set forth in 5 U.S.C. 552b(c)(4)(8)(9)(A) and (10) and 17 CFR 200.402(a)(4)(8)(9)(i) and (10).

Chairman Shad and Commissioners Evans and Thomas voted to consider the items listed for the closed meeting in closed session.

The subject matter of the closed meeting scheduled for Tuesday, August 17, 1982, at 10:00 a.m., will be:

Institution of administrative proceedings of an enforcement nature.
Access to investigative files by Federal, State, or Self-Regulatory authorities.
Institution of injunctive actions.
Settlement of administrative proceedings of an enforcement nature.
Formal order of investigation.
Opinions.

The subject matter of the closed meeting scheduled for Thursday, August 19, 1982, following the 10:00 a.m. open meeting, will be:

Institution of administrative proceedings of an enforcement nature.
Institution of injunctive actions and access to investigative files by Federal, State, or Self-Regulatory authorities.
Formal order of investigation.
Institution of injunctive actions.
Application for re-entry into employment in the securities industry.

The subject matter of the open meeting scheduled for Thursday, August 19, 1982, at 10:00, will be:

1. Consideration of a recommendation that the Commission extend the comment period for a proposed rule which would require the use of 8½ x 11 inch paper for all documents filed with the Commission. For further information, please contact Douglas Scheidt at (202) 272–2461.

2. Consideration of whether to: (a) withdraw the proposed amendment to Rule 10b–10 and proposed Rule 15c2–12 under the Securities Exchange Act of 1934 which would have required disclosure of mark-ups in "riskless" principal transactions in debt securities, and (b) propose amendments to Rule 10b–10 to require various confirmation disclosures relating to yield and call in debt securities and to codify exemptions to the rule granted on a case-by-case basis, permitting the use of monthly account statements in connection with certain "account management plans." For further information, please contact Susan J. Walters at (202) 272–7494.

3. Consideration of whether to propose for public comment an amendment to Rule 17a–2 under the Securities Exchange Act of 1934

and to rescind related Form X–17A–1 to eliminate the requirement that participants in an offering that is stabilized file with the Commission reports of transactions in those securities. The proposed amendment would require instead that information concerning stabilization transactions be retained by the syndicate manager. For further information, please contact Kenneth B. Orenbach at (202) 272–7391.

4. Consideration of a request by Terry Thompson & Co., a SECO broker-dealer, that it be exempted from the requirement of filing Part II of Form X–17A–5, the "FOCUS Report," (17 CFR 240.617) pursuant to subparagraph (1)(3) of Rule 17a–5 of the Securities Exchange Act of 1934 (17 CFR 240.17a–5). For further information, please contact John C. Bryce at (202) 272–2909.

At times changes in Commission priorities require alterations in the scheduling of meeting items. For further information and to ascertain what, if any, matters have been added, deleted or postponed, please contact: Bob Zutz at (202) 272–2091.

August 9, 1982.

[S–1192–82 Filed 8–16–82; 4:56 pm]

BILLING CODE 8010–01–M

11

SECURITIES AND EXCHANGE COMMISSION

"FEDERAL REGISTER" CITATION OF PREVIOUS ANNOUNCEMENT: To be published.

STATUS: Closed/open meetings.

PLACE: Room 6059, 450 5th Street NW., Washington, D.C.

DATE PREVIOUSLY ANNOUNCED: Monday, August 9, 1982.

CHANGES IN THE MEETING: Rescheduling/additional/deletion items.

The following item scheduled for Thursday, August 19, 1982, following the 10:00 a.m. open meeting has been rescheduled for Tuesday, August 17, 1982, at 10:00 a.m.

Institution of injunctive action and access to investigative files by Federal, State, or Self-Regulatory authorities.

The following additional item will be considered at a closed meeting scheduled for Thursday, August 19, 1982, following the 10:00 a.m. open meeting.

Settlement of administrative proceeding of an enforcement nature.

The following item will not be considered at a closed meeting scheduled for Thursday, August 19, 1982, following the 10:00 a.m. open meeting.

Application for re-entry into employment in the securities industry.

The following additional item will be considered at an open meeting scheduled for Thursday, August 19, 1982, at 10:00 a.m.

Consideration of whether to issue an interpretative release on accounting for the extinguishment of debt. For further information, please contact M. Elizabeth Rader at (202) 272–7343.

The following item was considered at a closed meeting on Thursday, August 12, 1982, at 10:00 a.m.

Regulatory matter bearing enforcement implications and formal order of investigation.

The following item was considered at a closed meeting on Thursday, August 12, 1982, at 1:50 p.m.

Formal order of investigation.

Chairman Shad and Commissioners Evans and Longstreth determined by vote that Commission business required consideration of these matters and that no earlier notice thereof was possible.

At times changes in Commission priorities require alterations in the scheduling of meeting items. For further information and to ascertain what, if any, matters have been added, deleted or postponed, please contact: Bob Zutz at (202) 272–2091.

August 12, 1982.

[S–1191–82– Filed 8–16–82; 4:56 pm]

BILLING CODE 8010–01–M

federal register

Thursday
August 19, 1982

Part II

Department of Energy

Office of Conservation and Renewable Energy

Loans for Wind Energy Systems and Small Hydroelectric Power Projects

DEPARTMENT OF ENERGY

Office of Conservation and Renewable Energy

10 CFR Part 794

[Docket No. CAS-RM-81-406]

Loans for Wind Energy Systems and Small Hydroelectric Power Projects

AGENCY: Office of Conservation and Renewable Energy, DOE.

ACTION: Final rule.

SUMMARY: The Department of Energy (DOE), in accordance with a statutory mandate, today issues final program rules for making and administering direct loans for the development of wind energy systems and small hydroelectric power projects. These rules are being issued only because they are required by law. No funds are currently available for these programs and the Department has not recommended that the Congress appropriate funds for either of these loan programs.

EFFECTIVE DATE: September 20, 1982.

FOR FURTHER INFORMATION CONTACT:

Peter Goldman, Office of Conservation and Renewable Energy, Wind Energy Technology Division, 1000 Independence Avenue, S.W., Room 5F-081, Washington, D.C. 20585, (205) 252-1995

Carol A. Cowgill/Mary Ann Masterson, Office of General Counsel, GC-44, 1000 Independence Avenue, S.W., Room 6F-078, Washington, D.C. 20585, (202) 252-6902

SUPPLEMENTARY INFORMATION:

I. Background.
II. Public Comments and DOE Responses.
III. Review Under Executive Order 12291.
IV. Review Under the Regulatory Flexibility Act.
V. Review Under the National Environmental Policy Act.
VI. Index Terms.

I. Background.

The rules being issued today were published in a notice of proposed rulemaking which appeared in the February 16, 1982 **Federal Register** (47 FR 6776). The public hearing on the proposed rules scheduled for March 9, 1982, was cancelled because there were no requests to speak. During the public comment period, the Department of Energy received four written comments.

The rules DOE adopts today establish procedures for soliciting and processing applications for direct loans to support the development of wind energy systems and small hydroelectric power projects. These rules are required to be established by section 6 of the Wind Energy Systems Act of 1980 (Pub. L. 96-345) (Wind Act), and Title IV of the Public Utility Regulatory Policies Act of 1978 (Pub. L. 95-617) (PURPA).

DOE wishes to emphasize that it does not believe the Federal government should make direct loans to promote purchase and installation of commercial wind energy systems, and development of small hydroelectric power projects. Market conditions and tax credits will provide sufficient incentives for private investment in such projects and, as a result, direct Federal loans would be an unnecessary and wasteful expenditure of taxpayer dollars. Accordingly, DOE has not recommended to the Congress that money be appropriated for these loan programs.

II. Public Comments and DOE Responses.

In response to the notice of proposed rulemaking, DOE received written comments from an individual; a non-profit law firm; the Director of the Bureau of Land Management, U.S. Department of the Interior (BLM); and the Director of the Environmental Project Review, U.S. Department of the Interior (EPR).

Of the two comments received from the private sector, one expressed opposition to and the other expressed support for the Department's policy determination to request no appropriated funds for implementation of the wind energy system and small hydroelectric power project loan programs. This policy remains unchanged. DOE continues to be of the opinion that direct Federal loans for wind systems and small hydroelectric energy projects would be an unnecessary and wasteful expenditure of taxpayer dollars.

EPR recommended that the Application Evaluation Panel and the Application Approving Official be allowed to consider the extraordinary characteristics of proposed sites in selecting loan applications. Comparative evaluation of the proposed sites would be an essential element of the evaluation of technical project feasibility required under § 794.5(b)(2). In addition, DOE would be authorized to specify special site conditions in the solicitation of loan applications [see § 794.3(b)(6)].

EPR indicated it was unclear whether an application could cover more than one site. Although a consolidated application could propose projects at more than one site, DOE would issue a separate loan agreement for each selected project. Since a project would have to satisfy the eligibility requirements of § 794.103 (wind energy systems) or § 794.203 (small hydroelectric power projects), it is unlikely that a single project would be located at sites which are not geographically integrated or at last in close proximity.

EPR recommended that proposed § 794.107 and 10 CFR § 417.26 [46 FR 35468 (July 8, 1981)] be amended to specify that recipients of loans and financial assistance for wind energy systems be required to monitor and report on the impact of the project on fish and wildlife, with special emphasis on birds. Rather than amend the two sections cited by EPR, a new section § 794.22 has been added to Subpart A which provides that borrowers under both loan programs must comply with the section on generally applicable requirements contained in the DOE Financial Assistance Rules, 10 CFR 600.12. These requirements include, among several others, the Fish and Wildlife Coordination Act, 16 U.S.C. 661 *et seq.*

EPR asked whether the definition of "existing dam" in proposed § 794.201, which is taken from section 408 of PURPA, includes Federal as well as non-Federal dams. Although the statutory definition does not exclude federally owned dams, it should be noted that, as indicated in § 794.203, Federal agencies are not eligible to receive loans under the small hydroelectric power project program.

BLM observed that some wind systems and hydroelectric energy projects eligible for DOE loans may be located on public lands administered by BLM. In such cases, the project sponsor would be required to secure a BLM right-of-way grant to occupy and use public land under Title V of the Federal Land Policy and Management Act of 1976 (43 U.S.C. 1761-1771 and 43 CFR Part 2800). BLM expressed concern that the proposed rule might be interpreted so that applicants would not be required to indicate in their applications that such a right-of-way grant would be necessary, and that DOE might issue a loan agreement before the borrower obtained the necessary BLM authorization to use the Federal site. The Department disagrees that such an interpretation is possible. Read together, §§ 794.4(b)(17), 794.8(f), 794.104(g), and 794.204 make it clear that a loan agreement will not be issued if the applicant does not provide DOE with documentary evidence that the applicant has or will acquire, in a timely fashion, the right to occupy and use the project site on a long-term basis.

Finally, BLM advised that a right-of-way grant could not be considered an asset subject to liquidation in the event a borrower under one of the DOE loan programs were to default. If these loan programs are ever implemented, DOE would administer the default and collateral liquidation provision of § 794.15 in a manner which is consistent with the statutory and regulatory requirements governing the issuance and transfer of BLM right-of-way grants.

III. Review Under Executive Order 12291.

Today's rule was reviewed under Executive Order 12291 (February 17, 1981). DOE has concluded that it is not a "major rule" because, even if implemented, it will not result in: (1) An annual effect on the economy of $100 million or more; (2) a major increase in costs or prices for consumers, individual industries, Federal, State, or local government agencies, or geographic regions; or (3) significant adverse effects on competition, employment, investment, productivity, innovation, or on the ability of United States-based enterprises to compete with foreign-based enterprises in domestic or export markets. Accordingly, the final rule was transmitted to OMB under section 3(c)(3) of the Executive Order. OMB has concluded its review in accordance with section 3(e)(2)(C) of the Executive Order.

IV. Review Under the Regulatory Flexibility Act.

The Regulatory Flexibility Act (Pub. L. 96-354, 5 U.S.C. 601 *et seq.)* requires that a final regulatory flexibility analysis be prepared with respect to a final rule unless the agency certifies that the rule will not, if promulgated, have a significant economic impact on a substantial number of small entities. In the preamble to the notice of proposed rulemaking, DOE invited small entities and other interested persons to comment on the potential economic impact the proposed rule would have on small entities, if implemented. In response to this invitation, no comments were received that indicated the proposed rule would have any economic impact on small entities. DOE has recommended to the Congress that no money be appropriated for these loan programs. In light of the above, DOE certifies pursuant to section 605 of the Regulatory Flexibility Act, Pub. L. 96-354, that this rule will not have a significant impact on a substantial number of small entities.

V. Review Under the National Environmental Policy Act.

DOE has concluded that promulgation of these regulations does not require preparation of an environmental assessment or of an environmental impact statement under the National Environmental Policy Act (NEPA) of 1969 (42 U.S.C. 4321 *et seq.* (1970)), the Council on Environmental Quality regulations (40 CFR Part 1500-1506), and the DOE guidelines (45 FR 20694, March 28, 1980). These rules are procedural in nature and their issuance will not result in a predictable significant environmental impact. In conjunction with the Comprehensive Program Management Plan which is required by the Wind Act, work on a programmatic environmental assessment was begun. In the event that loans are ever awarded under Subpart B, DOE would complete any appropriate NEPA site specific documentation that may be required. Section 794.4(b)(18) of the rule requires that each loan applicant submit an environmental report which includes any information that may be required under NEPA.

VI. Index Terms.

List of Subjects in 18 CFR Part 794

Renewable energy, Loan program/energy, Wind energy systems, Hydroelectric power projects, small.

In consideration of the foregoing, Title 10 of the Code of Federal Regulations is amended by establishing a new Part 794 as follows.

Issued in Washington, D.C. August 4, 1982.

Joseph J. Tribble,

Assistant Secretary, Conservation and Renewable Energy.

PART 794—LOANS FOR DEVELOPMENT OF WIND ENERGY SYSTEMS AND SMALL HYDROELECTRIC POWER PROJECTS

Subpart A—General Provisions

Sec.

794.1 Purpose and scope.
794.2 Definitions.
794.3 Solicitation of applications.
794.4 Applications.
794.5 Evaluation of applications.
794.6 Selection of applications.
794.7 Policy considerations.
794.8 Required findings and determinations.
794.9 Pre-closing requirements.
794.10 Unsolicited applications.
794.11 Discussion with unsuccessful applicants.
794.12 Non-written representations.
794.13 Loan agreement terms and conditions.
794.14 Access to records and project site.
794.15 Default, demand, payment and collateral liquidation.
794.16 Nondiscrimination in federally assisted programs.
794.17 Deviations.
794.18 Compliance with other statutes.
794.19 Project costs.
794.20 Cost overruns.
794.21 Dispute resolution procedures.
794.22 Generally applicable requirements.

Subpart B—Wind Energy Systems

794.100 Proposed scope.
794.101 Definitions.
794.102 Funding limitations.
794.103 Eligibility requirements.
794.104 Application requirements.
794.105 Allowable project costs.
794.106 Evaluation criteria.
794.107 Monitoring and reporting requirements.
794.108 Visitation.

Subpart C—Small Hydroelectric Power Projects

794.200 Purpose and scope.
794.201 Definitions.
794.202 Funding limitations.
794.203 Eligibility requirements.
794.204 Application requirements.
794.205 Allowable Project costs.
794.206 Findings and determinations.
794.207 Project monitoring and audit.

Authority.—Wind Energy Systems Act of 1980, Pub. L. 96-345, 94 Stat. 1139 (42 U.S.C. 9201); Public Utility Regulatory Policies Act of 1978, Pub. L. 95-617, 92 Stat. 3117 (16 U.S.C. 2601); Energy Security Act, Pub. L. 96-294, 94 Stat. 611 (42 U.S.C. 8701); Department of Energy Organization Act, Pub. L. 95-91, 91 Stat. 565 (42 U.S.C. 7101).

Subpart A—General Provisions

§ 794.1 Purpose and Scope.

The purpose of this Part is to establish policies, requirements, and procedures for the receipt, evaluation, and approval of loan applications and for the administration of loans for the development of small hydroelectric power projects and wind energy systems. This subpart sets forth general requirements and procedures applicable to loans for both types of energy projects (wind or hydroelectric power).

§ 794.2 Definitions.

For the purposes of this Part:

"Applicant" means any person who submits an application for a loan under this Part.

"Application Approving Official" means the Secretary or person designated by the Secretary who is authorized to approve an application for a loan under this Part.

"Application Evaluation Panel" means a panel of Federal employees appointed by an Application Approving Official to evaluate loan applications and make approval or disapproval recommendations regarding such applications.

"Borrower" means any person who enters into a loan agreement under this Part.

"Closing" means the delivery by a borrower and acceptance by DOE of the executed debt instruments and any required security instruments, together with all necessary supporting documentation; and the disbursement by DOE of all or a portion of the loan proceeds.

"Competition cycle" means the period of time announced in the Federal Register during which applications will be received for evaluation.

"Contracting Officer" means the Department of Energy official warranted and authorized to contractually obligate the Department of Energy and execute written agreements that are binding on the Department.

"Cost overrun" means any cost that exceeds the estimated total cost of the project as established by the Application Approving Official.

"Default" means the failure by the borrower to make payment of principal or interest in accordance with the terms and conditions of a loan issued under this Part, or the failure of the borrower to meet any other term or condition of the loan agreement.

"Loan agreement" means a written agreement and all collateral documents related to such agreement between the Department of Energy as lender and a borrower which sets forth the terms and conditions under which the Department will provide funds to a borrower.

"Secretary" means the Secretary of Energy or the Secretary's designee.

§ 794.3 Solicitation of applications.

(a) Competition. Loan applications shall be solicited and evaluated on a competitive basis. Separate Solicitation Announcements shall be used to request loan applications for Subpart B projects and Subpart C projects.

(b) Solicitation announcement. From time to time, as funds are available, DOE may issue a Solicitation Announcement requesting loan applications for Subpart B or Subpart C projects which shall as a minimum, be noticed and summarized in the Federal Register and the Commerce Business Daily. A Solicitation Announcement shall include the following information:

(1) The place and time for application submission;

(2) The information requirements for applications;

(3) A technical definition or identification of the projects eligible under the Solicitation Announcement;

(4) Identification of the issuing office;

(5) Identification of statutory authority and relevant regulations;

(6) Any special requirements not contained in the regulations;

(7) Identification of the time period during which written questions regarding the preparation of applications may be submitted;

(8) Application receipt deadline and location to which applications must be delivered;

(9) Date of presubmission conference, if any, open to all interested parties.

§ 794.4 Applications.

(a) An applicant is expected to provide information in the application which is similar to that required by a private financial institution which might consider a similar project for debt financing. The application must contain the most current data available, and be adequate for proper evaluation of the project.

(b) The Solicitation Announcement shall set forth the application information requirements which may include, but not be limited to, the following:

(1) A full description of the scope, nature, extent, and location of the proposed project;

(2) The extent to which the applicant expects to apply for, or has already applied for, or is receiving any other Federal or other government financial assistance for the project;

(3) A copy of a detailed feasibility study relating to the facility that contains evidence of the facility's technical and economic feasibility and environmental acceptability;

(4) A description of prior construction, operating and other relevant experience of the applicant with the technology to be utilized in the project;

(5) Projections and analysis demonstrating the likelihood that the amount of the loan requested, together with equity and any other financing, will be sufficient to complete the facility and its startup period, and provide sufficient working capital;

(6) Detailed schedules for the project including major activity and cost milestones;

(7) Copies of proposed or actual project-related contracts together with a description of the contractor's experience and financial strength;

(8) An analysis of the market for the energy to be produced including relevant economics justifying the analysis and proposed marketing contracts or letters of intent, if any;

(9) A description of the applicant's management concept and plan of operation to be employed in carrying out the project;

(10) Information covering the management experience of each officer or key person in the applicant's organization who will be associated with the facility and a description of salaries (and other financial remuneration including profit sharing and stock options) to be paid to officers and key employees that are, or will be, directly associated with the facility;

(11) A description of the general management experience of the applicant in organizing and undertaking projects of this nature;

(12) A description of the proposed source(s) of funds for repayment of the loan;

(13) Pro forma cash flow statements for at least the first five years of project operation including income statements and balance sheets. All such statements shall include assumptions made in their preparation;

(14) Proposed risk allocation among project participants and financial statements supporting the project participants' ability to contribute the necessary equity to the project;

(15) Financial statements for the past three (3) years of the applicant and parties relevant to the applicant's financial backing, together with a description of the business and financial interests of principal organizations such as parent and/or subsidiary corporations or partners of the applicant;

(16) Certification of the financial statement by a certified public accountant or equivalent certification acceptable to the Secretary;

(17) A copy of the applicant's deed or lease agreement to the property on which the facility is to be constructed or installed, supported by title opinion or other acceptable evidence of the applicant's rights to the property. In the event that the applicant does not have title to or a leasehold interest in the property, a detailed discussion of the applicant's efforts to obtain rights to the property including discussion of the current status of such efforts, a detailed discussion or outline of the necessary steps to obtain such rights, and a schedule for completion of all such steps;

(18) An environmental report containing a detailed analysis of the potential environmental, health, safety and socio-economic (EHSS) impacts of the project and any necessary or proposed mitigation measures and other relevant data that may be available to the applicant to enable the Department to assess the probable EHSS impacts, and to provide the Department with any information that may be required under the National Environmental Policy Act;

(19) A list of all permit applications filed or to be filed, and permit approvals issued or to be issued by Federal, state, and local government agencies for all required permits and authorizations to undertake the project. If these approvals have not been obtained, or applications not filed, the estimated date of such filings and approvals should be provided. Explain any past, present or anticipated problems in obtaining any approvals;

(20) A description of the applicant's organization and, where applicable, a copy of the partnership agreement or corporate charter, articles of incorporation, bylaws, and appropriate authorizing resolutions or their equivalent;

(21) The amount of the loan requested, proposed repayment schedule, servicing procedures, security or collateral, and other terms and conditions of the loan;

(22) A copy of any existing or proposed lending commitment or agreement for any loan;

(23) A listing of assets associated with the project and any other asset which will serve as collateral for the loan, including appropriate data as to the value and useful life of any physical assets and a description of any other associated security and its value;

(c) Receipt and handling of application. (1) Applications for loans shall be filed at the address specified in the Solicitation Announcement.

(2) An application received at the location of filing after 4:30 p.m. on the last day of the competition cycle will not be considered unless:

(i) It is received before the selection of applications by the Application Approving Official under that competition cycle; and

(ii) It was sent by registered or certified mail not later than the fifth calendar day prior to the date specified for receipt of the application.

(d) An applicant shall not be permitted to modify applications after the close of the competition cycle, except as provided in paragraph (e) of this section, in § 794.5(d) or in § 794.6(b).

(e) When information submitted by the applicant under this rule or in response to a request for additional information made by the Secretary is significantly changed as a result of new circumstances which make the originally submitted information inaccurate or incomplete, the applicant shall promptly notify DOE in writing.

(f) Information submitted by loan applicants shall be subject to disclosure and withholding in accordance with DOE's rules implementing the Freedom of Information Act (5 U.S.C. 552) at Part 1004 of this Title.

§ 794.5 Evaluation of applications.

(a) The Application Evaluation Panel or other appropriate DOE officials designated by the Application Approving Official shall determine the eligibility of applicants and projects, and shall evaluate and rank applications in accordance with the applicable program requirements.

(b) The Panel shall conduct a preliminary review and screening of all applications to determine which applications should be considered in comparative evaluations. The Panel shall review the applications to determine whether each application:

(1) Complies with statutory requirements for project eligibility;

(2) Complies with the eligibility requirements of this Part and any set forth in the Solicitation Announcement; and

(3) Is signed by an authorized official of the applicant organization.

Any application which does not comply with the requirements of this paragraph shall be returned to the applicant.

(c) Those applications meeting the requirements of paragraph (b) of this section shall be comparatively evaluated and ranked by the Panel. The Panel shall consider the following evaluation criteria in comparatively ranking application:

(1) Ability of the applicant to comply with the requirements of the Solicitation Announcement and this Part;

(2) Technical project feasibility and likelihood of success;

(3) Market potential and economic feasibility;

(4) Financial. (i) Credibility of cost estimates;

(ii) Adequacy of capitalization, cash flow, working capital, and other measures of financial capability;

(iii) Financial condition of applicant and other principals to the project;

(5) Financing structure. (i) Financial commitment of applicant and other principals to the projects;

(ii) Debt financing plan;

(iii) Other factors which are relevant to a full description of the financing structure of the proposed project;

(6) The degree of risk to DOE during both the interim and permanent financing stages of the project, including the length of time over which the proposed borrower will repay the loan (with regard to the anticipated cash flow and useful life of the project);

(7) Management plan. (i) Corporate and personnel experience;

(ii) Management organization and interrelationship; and

(iii) Key personnel and associated responsibilities;

(8) Environmental, health, safety and socioeconomic impacts of the proposed project; and

(9) Such additional evaluation criteria as may be set forth in the Solicitation Announcement.

(d) The Panel may, in the course of evaluating the application, request additional information of the applicant that may be necessary to complete its evaluation.

(e) The Panel shall submit a written report to the Application Approving Official on its evaluation of the applications together with its findings and recommendations concerning final selections.

§ 794.6 Selection of applications.

(a) The Application Approving Official may, in his or her discretion, select any number of the competing applications, subject only to the requirement that appropriations be available for the total amount of the loans selected for approval.

(b) If, prior to making a decision, the Application Approving Official determines that additional project information is required, a written request for the information shall be sent to the applicant.

(c) The Application Approving Official shall consider the report of the Panel, such other information as the Application Approving Official determines to be relevant and the policy considerations specified in § 794.7 and applicable subparts of this Part in selecting applications for loan agreements.

(d) When the Application Approving Official determines that competitive negotiations are appropriate, DOE shall negotiate with all or a subset of competing applicants for the purpose of clearly defining the comparative merits of the competing applications prior to final selection. The Panel report to the Application Approving Official, shall be revised to reflect the results of such negotiations.

(e) Upon the completion of the procedures contained in this section, the Application Approving Official may authorize the Contracting Officer to issue a loan agreement for the project proposed by a selected applicant. The loan agreement shall identify the terms and conditions of the loan, including those which must be satisfied prior to closing, and any additional requirements to be placed upon the applicant as a condition of the loan.

§ 794.7 Policy considerations.

The following policy considerations and other policy considerations set forth

in relevant subparts of this Part, may be utilized by the Application Approving Official in the selection of applications from among those applications recommended by the Application Evaluation Panel:

(a) The degree to which the borrower is investing equity funds into the project which were not provided through the issuance of debt, and the extent to which responsible financial parties affiliated with or constituting the legal entity of the borrower are liable for repayment of the debt;

(b) The length of time over which the proposed borrower will repay the debt, with regard to the anticipated cash flow of the project and the degree of risk to the Government;

(c) Competition factors associated with the concentration and control of energy production that may result from the issuance of a loan in connection with a particular energy project; and

(d) The extent of other Federal financial assistance the project is receiving or is eligible to receive.

§ 794.8 Required findings and determinations.

A loan may be made only after DOE makes the following findings and determinations:

(a) The amount of the loan, when combined with other funds available to the applicant, shall be sufficient to carry out the project, including adequate contingency funds and working capital;

(b) There is a reasonable assurance of repayment of principal and interest of the loan by the borrower;

(c) The project assets or other acceptable forms of collateral or surety, as determined by the Secretary to be necessary, are pledged by the borrower as security for the repayment of the loan and a valid first and superior lien or other acceptable lien position will exist on such assets, collateral, or surety for the benefit of DOE;

(d) The terms, conditions, maturity, security, and repayment provisions with respect to the loan are reasonable and sufficient to protect the interest of the United States;

(e) The disbursement schedule for advancing loan proceeds to the borrower is satisfactory;

(f) The applicant is capable of constructing and competently operating the project for which the loan is made; and

(g) The findings and determinations required under Subparts B or C of this rule, as appropriate, have been made.

§ 794.9 Pre-closing requirements.

(a) If, within a reasonable period of time, the Contracting Officer determines that the borrower has failed to meet the terms and conditions established as prerequisites to loan closing the Contracting Officer shall so advise the Application Approving Official in writing. A copy of such determination shall be sent to the borrower. The Application Approving Official shall determine whether to continue negotiations, authorize modification or termination of the loan agreement, or take other appropriate action.

(b) If the Contracting Officer determines that the borrower has met the terms and conditions established as prerequisites to closing of the loan, the Application Approving Official shall authorize the loan closing. The date, time and place for closing shall be fixed by mutual agreement. Nothing in the section shall restrict the authority of the Contracting Officer from requiring additional documentation from the borrower.

§ 794.10 Unsolicited applications.

Because DOE will evaluate applications on a competitive basis, unsolicited applications for loans under this part will not be considered and will be returned to the applicants.

§ 794.11 Discussion with unsuccessful applicants.

Upon written request by an applicant whose application did not result in a loan, representatives of the Application Approving Official may explain to an unsuccessful applicant why the application was disapproved.

§ 794.12 Non-written representations.

No representation shall be binding on the Department unless it is reduced to writing and signed by a Contracting Officer. No instrument or modification thereof shall be considered approved by the Department unless it is signed by a Contracting Officer.

§ 794.13 Loan agreement terms and conditions.

A loan agreement issued by DOE under this Part shall contain or meet the following requirements and conditions;

(a) The following requirements concerning patents, technology, inventions, and other proprietary rights:

(1) A requirement that any inventions conceived or first actually reduced to practice in the course of or under the project, any patents or patent applications thereon, except for those in which title vests in the United States Government, as well as all technology and other proprietary rights developed under the project shall be the property of the borrower (or its participants or its contractors) and shall be collateral for the loan. The provisions of this paragraph shall apply to and be binding on the borrower's contractors and participants, and the borrower shall obtain the written agreement of such parties to these provisions.

(2) A requirement that the borrower agree to grant nonexclusive licenses in all patents, technology and other proprietary rights owned or controlled by the borrower which are necessary for completion and operation of the project or which have been utilized in the project: (i) In the event of default, royalty free to the entities selected to complete and operate the project only for the purpose of completing and operating the project; and (ii) regardless of whether there is a default, on equitable terms, including due consideration to the amount of the United States Government default payment, to the United States Government and its designees for the purpose of constructing and operating similar projects. The provisions of this paragraph shall apply to and be binding on the borrower's participants, and the borrower shall obtain the written agreement of such parties to these provisions.

(3) A requirement that the borrower agree to secure a license in any patents, technology or other proprietary rights of third parties which are bought or licensed for the project on behalf of the project, and inuring to the benefit of successor owners and/or operators of the project under terms and conditions no less favorable than applicable to the project.

(4) A requirement that the term "participants" shall mean the owners of the borrower, the members of a consortium or other legal entity comprising the borrower, and others with a financial or equity interest in the borrower. The term "contractor" shall mean the party being awarded a contract, regardless of tier.

(b) A requirement that no change of project ownership or financial arrangement occur without the prior written consent of DOE;

(c) A requirement that the project be built and operated at a site approved by DOE;

(d) A requirement that the borrower not obtain credit from any creditor without the written consent of the Contracting Officer, unless such creditor agrees to subordinate, in a manner acceptable to the Contracting Officer, its rights to receive payment in the event that such creditor would, without such subordination, receive by contract or otherwise a lien on the assets securing the loan issued by DOE;

(e) A requirement that the loan agreement contain provisions that comply with § 794.15 regarding default and demand;

(f) A requirement that the borrower keep and make available adequate records and documents concerning the construction and operation of the project in order that DOE may determine the technical and financial conditions of the project and its compliance with the requirements of the loan agreement;

(g) A requirement for the borrower to prepare and deliver to DOE annual audited financial statements prepared according to generally accepted accounting principles;

(h) A requirement that duly authorized representatives of the Secretary shall have access to the project site at reasonable times during construction and operation of the project;

(i) A requirement that the borrower agree to protect and preserve at all times the project assets and other collateral serving as security for the loan;

(j) A requirement that performance of contractors engaged in the construction of the project for which the loan is made be fully bonded or that other acceptable arrangements are made that assure adequate performance by contractors;

(k) A requirement that the borrower execute all documents necessary to perfect and maintain liens on collateral pledged as security for the loan;

(l) A requirement that the project operate in full compliance with all applicable laws and regulations;

(m) A requirement that the invalidity of any clause, part, or provision of the loan agreement shall not affect the validity of the remaining portions of the loan agreement;

(n) A requirement that the loan agreement shall provide an option on the part of the borrower to prepay the loan at any time without prepayment penalties;

(o) A requirement that the borrower shall furnish DOE, in writing, the name(s) of the individual(s) authorized to act on behalf of the borrower and shall notify DOE, in writing, of any change in its representatives;

(p) A requirement that the borrower keep the assets of the project insured in an acceptable amount from risk of loss, and acceptable provisions for control over any insurance proceeds paid in the event of such a loss to assure that such proceeds are appropriately utilized for the repair, reconstruction or replacement of the project assets or to repay the principal and interest on the loan;

(q) A requirement that the borrower shall be in default if the borrower at any time prior to the completion of the project abandons or ceases work on the project for more than 30 days;

(r) A requirement that the borrower shall not permit any judgment, lien, or other encumbrance to be placed against any asset of the project, excluding those liens obtained pursuant to the loan agreement or with the prior written consent of DOE;

(s) When appropriate, a requirement for control over project revenue which ensures that profits above a predetermined level are made available to the project for the future requirements of the project or for prepayment of the loan; and

(t) Such other terms and conditions as determined by DOE to be reasonable and necessary for the protection of the interests of the United States.

§ 794.14 Access to records and project site.

Employees and authorized representatives of DOE shall have access at reasonable times and under reasonable circumstances to the project site. Auditors selected by DOE or the Comptroller General of the United States shall have access to, and the right to examine, all relevant documents and records of the borrower. The borrower shall assure availability of information to permit DOE to determine technical progress, soundness of financial condition, management stability, compliance with environmental protection requirements, the requirements of this Part and other matters pertinent to the loan.

§ 794.15 Default, demand, payment and collateral liquidation.

(a) In the event that the borrower defaults in the making of required payments of principal or interest on the loan, and such default is not cured within the grace period provided in the loan agreement, or in the event that the borrower fails to comply with any term or condition of the loan agreement, or other contractual obligation relating to the transaction, the borrower shall be in default and DOE shall have the right to accelerate the indebtedness and demand full payment of all amounts outstanding, both principal and interest, under the loan.

(b) The borrower shall have a period of not more than 30 days from the date of demand to make payment in full. Unless the Secretary issues a written waiver of default, the Secretary's failure to make demand at any time shall not constitute a waiver of any rights or remedies available to the Secretary.

(c) Should the borrower fail to pay after demand, as provided in paragraph (b) of this section, the Secretary shall undertake collection in accordance with the terms of the loan agreement and applicable law.

(d) The loan agreement shall specify the rights of DOE with respect to the liquidation of assets securing the loan and other actions that may be taken by DOE in the event of default.

§ 794.16 Nondiscrimination in federally assisted programs.

Applicants who apply for loans under this Part shall be required to comply with the Department's rules on Nondiscrimination in Federally Assisted Programs, 10 CFR Part 1040 (45 FR 40514 (June 13, 1980)).

§ 794.17 Deviations.

To the extent that such requirements are not specified by statute, the Secretary may authorize a deviation for an individual applicant or borrower from the requirements of this Part upon a finding that such deviation is essential to program objectives and is in the best interests of the United States.

§ 794.18 Compliance with other statutes.

Nothing in this Part shall be construed to modify requirements imposed on the borrower by Federal, State, regional and local government agencies in connection with permits, licenses, or other authorizations required to construct and operate the project.

§ 794.19 Project costs.

(a) Project costs shall be recorded in accordance with generally accepted accounting principles which are consistently applied.

(b) Those reasonable and customary costs that have been incurred, are expected to be incurred, and which are directly related to the project shall be used to estimate total project costs.

(c) DOE may audit any or all cost elements included in the estimated project costs, and reserves the right to exclude or reduce the amount of any cost which is determined to be unnecessary or excessive. The borrower will make available records and other data necessary to permit DOE to carry out such an audit. In carrying out this responsibility, DOE may utilize employees of other Federal agencies or may direct the borrower to submit to a review performed by an independent public accountant or other competent authority.

§ 794.20 Cost overruns.

(a) A cost overrun is any cost which exceeds the estimated total cost of the project established by DOE prior to or at

the time of execution of a loan agreement.

(b) When an overrun is anticipated, DOE must be notified promptly and provided with the reasons for the overrun.

(c) At the discretion of DOE and subject to the availability of loan funds, a loan agreement may be amended to increase the amount of the loan in the event that either the estimated cost to complete the project or the actual project cost incurred exceeds the originally estimated project cost.

(d) The borrower must submit all of the following information before DOE may determine whether to increase the loan to cover cost overruns:

(1) A revised expected completion date, if applicable, and a revised cost estimate for the project;

(2) A plan indicating how the borrower's share of the cost overrun will be funded;

(3) A description of the additional collateral, if any, to be pledged for the increased loan; and

(4) Updated information on the project economics indicating that a reasonable assurance of repayment of the loan (including the requested increase) still exists.

(e) Subject to the requirements of paragraph (d) of this section, DOE may agree to increase the loan for the project if DOE finds that:

(1) The continuation of the project is worthwhile to meet the program's objectives and is in the public interest; or

(2) The probable net costs to the Government in increasing the loan will be less than that which would result from a default.

(f) In no event may the loan be increased to an amount that exceeds the maximum amount or percentage share of costs set forth in the applicable subpart of this Part.

§ 794.21 Dispute resolution procedures.

(a) At the written request of a borrower, the Contracting Officer shall decide any dispute authorized for review under paragraph (d) of this section, and any dispute concerning a loan agreement with the borrower under this Part. The decision of the Contracting Officer may be appealed to the Financial Assistance Appeals Board (the Board) in accordance with Part 1024 of this Title. The Contracting Officer's authority under this subsection shall not extend to any DOE action taken under Part 1040 of this Title.

(b) Within 30 days after receiving a dispute resolution request under paragraph (a) of this section, the Contracting Officer shall mail (by certified mail) to the requesting party a brief written decision containing the following information:

(1) A summary of the requesting party's complaint;

(2) The Department's response or demand; and

(3) The factual, legal, and policy reasons for the Department's final decision.

(c) Each written decision issued by the Contracting Officer under paragraph (b) of this section shall include the following paragraph or similar language approved by the Office of General Counsel:

This is the final decision of the Contracting Officer. This shall be the final decision of the Department of Energy unless, within 60 days from the date you receive this letter, you deliver or mail (by certified mail) a written notice of appeal to the Financial Assistance Appeals Board at the address indicated below. Copies of your notice must be mailed (by first class mail) to the Director, Procurement and Assistance Management Directorate, and to the Office of General Counsel, GC-44, Department of Energy, 1000 Independence Avenue, S.W., Washington, D.C. 20585. Your notice of appeal should refer to this decision, note that you intend an appeal and briefly state why you think this decision is wrong. You will be notified of further proceedings related to your appeal.

A copy of DOE Procedures for Financial Assistance Appeals is enclosed for your reference.

(d) Except as otherwise provided in paragraph (a) of this section, the Contracting Officer may decide any post-loan agreement disputes including, but not limited to, the following:

(1) A determination that the borrower has failed to satisfy the terms and conditions of the loan agreement prerequisite to loan closing;

(2) A determination that the borrower is in default;

(3) Collateral liquidation;

(4) Determination and collection of deficiencies; and

(5) A determination that the borrower has failed to comply with any requirement of this Part or with the terms and conditions of the loan.

(e) Review on appeal. The Board may review any final decision the Contracting Officer is authorized to make under this section, except that the Board shall have no jurisdiction to review DOE denials of requests for deviations or modifications under § 794.17 of this Part. In reviewing such decisions, the Board shall be bound by all applicable laws and regulations, including the requirements of this Part, and by the terms and conditions of any applicable loan agreement.

§ 794.22 Generally applicable requirements.

A borrower shall comply, as specified in 10 CFR 600.12, with all generally applicable requirements identified in 10 CFR Part 600, Appendix A, to which, by the terms of such requirements, the borrower is subject.

Subpart B—Wind Energy Systems

§ 794.100 Proposed scope.

This subpart sets forth the special procedures and requirements for awarding and administering direct loans for the purchase and installation of wind energy systems. This subpart also prescribes requirements for recording and reporting operation and maintenance data.

§ 794.101 Definitions.

For purposes of this subpart—

"Act" means the Wind Energy Systems Act of 1980, Pub. L. 96-345.

"Conventional energy source" means energy produced from oil, gas, coal, or nuclear fuels.

"Feasibility study" means a study to determine the technical and economic feasibility and institutional and environmental acceptability of undertaking a project to purchase and install a wind energy system at a specific site.

"Large wind energy system" means a system consisting of at least one large wind machine.

"Large wind machine" means a wind machine which is designed to produce a peak generating capacity of more than 100 kilowatts.

"Normal operation" means the unattended operation of the wind energy system after installation and debugging and putting energy from the system on line.

"Operating and maintenance costs" means those costs incurred after commencement of normal operation associated with operating and with maintaining a wind energy system so that it continues to perform satisfactorily over its design lifetime.

"Peak generating capacity" means the maximum power output a wind system is capable of producing in normal operation.

"Public and private entity" means any individual, corporation, partnership, firm, association, agricultural cooperative, public or investor owned utility, public or private institution or group, and state or local government agency, or any other non-Federal domestic entity.

"Small wind energy system" means a system consisting of one or more small wind machines.

"Small wind machine" means a wind machine which is designed to produce a peak generating capacity of 100 kilowatts or less.

"State" means the fifty States, the District of Columbia, the Commonwealth of Puerto Rico, the Commonwealth of the Northern Mariana Islands, and the territories and possessions of the United States, including the Trust Territory of the Pacific Islands.

"Wind machine" means a system of components which converts the kinetic energy of the wind into electricity or mechanical power and which comprises all necessary components including energy storage, power conditioning, control systems, and transmission systems, where appropriate, to provide electricity or mechanical power for residential, agricultural, commercial, industrial, utility or governmental use.

§ 794.102 Funding limitations.

(a) Except as otherwise provided by statute enacted subsequent to the effective date of this subpart, a loan for a maximum of 75 percent of the total allowable purchase and installation costs of a wind energy system may be made, provided—

(1) The loan is consistent with the requirement in section 6 of the Act that DOE make a minimum of four loans for projects involving a total combined capacity of not more than 320 megawatts; and

(2) The amount of the loan does not exceed 50 percent of the total fiscal year appropriation for the DOE wind energy program.

(b) DOE shall not issue a solicitation for or enter into any loan agreement under this subpart after September 30, 1988 or after the Secretary determines that wind energy systems have become economically competitive with conventional energy sources, whichever occurs first.

§ 794.103 Eligibility requirements.

Any public or private entity is eligible to receive a loan under this subpart for the purchase and installation of a wind energy system in a State, provided—

(a) The proposed small wind energy system would provide an aggregate peak generating capacity of at least one megawatt; or

(b) The proposed large wind energy system includes a minimum of five large wind machines and would not exceed an aggregate peak generating capacity of 80 megawatts; and

(c) The purchase and installation of the proposed wind energy system are not supported by a grant or cooperative agreement under Part 417 of this Title.

§ 794.104 Application requirements.

An application for a loan under this subpart shall contain—

(a) A project description as prescribed in § 794.4 of subpart A of this Part;

(b) A feasibility study as described in § 417.23(a) of Part 417 of this Title;

(c) The number and type of proposed wind machines, including existing and proposed meteorological equipment;

(d) The names, addresses, and qualifications and experience of the manufacturers, designers, and installers of the principal components of the proposed wind energy systems, including meteorological equipment;

(e) The number, length, voltage, interconnection, age, condition and location of any transmission lines to be constructed or modified as part of the project, including any new facilities required to put energy from the wind system on line;

(f) Topographical maps, diagrams, site plan, and photographs showing the location of the proposed project;

(g) A title report or other documentary evidence that the applicant will have access to and be authorized to use the proposed site for at least 30 years following the end of the project period.

§ 794.105 Allowable project costs.

(a) Allowable project costs under this subpart shall include all reasonable and necessary expenses of purchasing and installing a wind energy system. Such costs shall include expenses incurred for site preparation and for purchase, delivery, storage, assembly, installation, and start-up testing of all essential system components, and for the monitoring and reporting required under § 794.104 of this subpart.

(b) Allowable transmission system costs may not exceed 10 percent of total allowable wind energy systems costs. If the applicant demonstrates that the existing transmission system is inadequate to transport electricity from a wind energy system to an electric power grid, the costs of such transmission system may be allowed up to a maximum of 25 percent of total allowable system costs.

§ 794.106 Evaluation criteria.

(a) Applications for loans for large and small wind energy systems under this subpart shall be evaluated on the basis of the criteria set forth in § 794.5 of Subpart A of this Part and § 417.25(a) of Part 417 of this Title.

(b) Loan applications for projects proposing wind energy systems with an aggregate peak generating capacity of not more than 30 megawatts shall be evaluated competitively against each other. Applications proposing projects designed to generate 30 megawatts or more of power shall be competitively evaluated against each other.

§ 794.107 Monitoring and reporting requirements.

The borrower shall comply with the monitoring and reporting requirements set forth in § 417.26 of Part 417 of this Title.

§ 794.108 Visitation.

The borrower shall comply with the visitation requirement set forth in § 417.27 of Part 417 of this Title.

Subpart C—Small Hydroelectric Power Projects

§ 794.200 Purpose and scope.

This subpart sets forth the special procedures and requirements for awarding and administering loans for the construction of small hydroelectric power projects at existing dams.

§ 794.201 Definitions.

For purposes of this subpart,

"Electric cooperative" means any cooperative association eligible to receive loans under section 4 of the Rural Electrification Act of 1936 (7 U.S.C. 904).

"Existing dam" means any dam, the construction of which was completed on or before April 20, 1977, and which does not require any construction or enlargement of impoundment structures (other than repairs or reconstruction) in connection with the installation of any small hydroelectric power project.

"Industrial development agency" means any agency which is permitted to issue obligations the interest on which is excludable from gross income under section 103 of the Internal Revenue Code of 1954.

"Municipality" means a city, county, irrigation district, drainage district, or other political subdivision or agency of a State competent under the laws thereof to carry on the business of developing, transmitting, utilizing, or distributing power.

"Nonprofit organization" means any organization described in section 501(c)(3) or 501(c)(4) of the Internal Revenue Code of 1954 and exempt from tax under section 501(a) of such Code (but only with respect to a trade or business carried on by such organization which is not an unrelated trade or business, determined by

applying section 513(a) to such organization).

"Person" means an individual, corporation, joint-stock company, partnership, association, business trust, organized group of persons, whether incorporated or not, or a receiver or receivers, trustee or trustees of any of the foregoing.

"Small hydroelectric power project" means any hydroelectric power project which is located at the site of any existing dam, which uses the water power potential of such dam, and which has not more than 30,000 kilowatts of installed capacity.

"State" means a State, the District of Columbia, and Puerto Rico.

§ 794.202 Funding limitations.

(a) Loans made pursuant to this subpart shall be for a maximum of 75% of the project costs of small hydroelectric power projects.

(b) Each such loan shall be for such term as the Secretary deems appropriate, but not in excess of 30 years.

§ 794.203 Eligibility requirements.

Any municipality, electric cooperative, industrial development agency, nonprofit organization, or other person is eligible to receive a loan under this subpart.

§ 794.204 Application requirements.

In addition to the application requirements set forth in § 794 of Subpart A of this Part, an application for a loan under this subpart shall contain—

(a) A description of the proposed dam and penstock condition or natural water feature, and a description of the condition of any in-place equipment, including fish ladders;

(b) Evidence of the date of construction of the dam; its electric power output when last used, and its type of construction;

(c) A description of recreational or other uses placed on water to be used by the project;

(d) A complete description of the applicant's renovation plan and schedule, and a description of the type and rating of any turbine-generator to be placed in the project;

(e) A description of the dam's head, water flow, and expected kwh production (including assumptions used in its computation), and a description of existing transmission lines and distance to the proposed buyer of the project's electric output; and

(f) An estimate of the cost of constructing any fish ladders.

§ 794.205 Allowable project costs.

Allowable project costs under this subpart shall include the cost of acquisition or construction of all facilities and services and the cost of acquisition of all land and interests in land used in the design and construction and operation of a small hydroelectric power project.

§ 794.206 Findings and determinations.

(a) In selecting applicants for loans under this subpart, preference shall be given to applicants who do not have available alternative financing in an amount which is deemed appropriate by DOE to complete the project and whose project will provide useful information as to the technical and economic feasibility of the generation of electricity by the project and the use of energy produced by the project.

(b) In addition to the requirements set forth in § 794.8 of Subpart A of this Part, a loan may be made under this subpart only after DOE finds—

(1) That the project will be constructed in connection with an exisiting dam or that it will utilize a natural water feature;

(2) That all licenses and other required Federal, State, regional and local government agency approvals necessary for development of the project have been issued. However, the Secretary may enter into a commitment to issue a loan to an applicant who has not met this requirement. The commitment period shall not exceed 3 years unless the Secretary in consultation with the Federal Energy Regulatory Commission, extends the commitment period for good cause shown by the applicant. Despite the existence of any such commitment, no loan shall be approved by the Secretary before the applicant has fully complied with the requirement of this paragraph;

(3) That the project will have no significant adverse environmental effects, including adverse effects on fish and wildlife, on recreational or any other use of the water to be used by the project, or on stream flow; and

(4) That the estimated total cost of the project includes the cost of constructing fish ladders when required by a government agency.

§ 794.207 Project monitoring and audit.

The borrower shall keep such records concerning the project as are required by generally accepted accounting principles, and such other records as DOE deems necessary. Representatives of DOE may have access, for the purpose of audit and examination, to any pertinent records or other documents of the borrower during the regular business days, and may require that copies of such documents be provided to DOE by the borrower.

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Part III

Federal Emergency Management Agency

Review and Approval of State and Local Radiological Emergency Plans and Preparedness; Proposed Rule

FEDERAL EMERGENCY MANAGEMENT AGENCY

[Docket No. FEMA THD-3501]

44 CFR Part 350

Review and Approval of State and Local Radiological Emergency Plans and Preparedness

AGENCY: Federal Emergency Management Agency (FEMA).

ACTION: Proposed rule.

SUMMARY: This rule establishes procedures for review and approval by Federal Emergency Management Agency (FEMA) of State and local emergency plans and preparedness for coping with the offsite effects of radiological emergencies which may occur at nuclear power facilities. The rule does not cover other Nuclear Regulatory Commission (NRC) licensed facilities. The rule sets out criteria which will be used by FEMA in reviewing, assessing and evaluating plans and preparedness. It specifies how and where a State may submit plans. It describes certain of the processes by which FEMA makes findings and determinations as to the adequacy of State and local plans and the capability of State and local governments to effectively implement these plans and preparedness measures for specific sites. Such findings and determinations and, where appropriate, plan approvals, are to be submitted to the Governors of the affected States and to the NRC for its use in licensing proceedings. This rule was promulgated in proposed form on June 24, 1980, (45 FR 42321) for public comment and interim use. This proposed rule reflects comments received. Because of the long time since the initial proposed rule, it is being published again for comments.

DATE: Comments are due October 18, 1982. It is intended after careful consideration has been given to the comments and appropriate adjustments made, to publish the regulation, which is procedural, in final form.

ADDRESS: Send comments to Rules Docket Clerk, Federal Emergency Management Agency, Room 835, 500 C Street, SW., Washington, D.C. 20472.

FOR FURTHER INFORMATION CONTACT: Marshall E. Sanders, Chief, Program Development Branch, Technological Hazards Division, Federal Emergency Management Agency, 500 C Street, SW., Washington, D.C. 20472 (Telephone 202/287-0179).

SUPPLEMENTARY INFORMATION:

Presidential Assignments

On December 7, 1979, the President, in response to the recommendations of the President's Commission on the Accident at Three Mile Island (known as the Kemeny Commission), announced, in part, a series of decisions and took a number of actions in the area of emergency planning and preparedness. Among other assignments, the President directed FEMA to:

(1) Take the lead in offsite emergency planning and response;

(2) Develop and issue an updated series of interagency assignments which delineate respective agency capabilities and responsibilities and clearly define procedures for coordination and direction for both emergency planning and response.

(3) Address the need for improved advance preparation for emergencies and public education programs in the context of State emergency response plans.

In compliance with the directive to take the lead in offsite emergency planning and to issue interagency assignments, FEMA published on March 11, 1982, interagency assignments in 44 CFR 351 (45 FR 10758). These assignments replace assignments set out in a Notice published in the **Federal Register** on December 24, 1975, (40 FR 59494). These interagency assignments provide for Federal interagency assistance to State and local governments in their radiological emergency planning and preparedness activities. Federal agency responsibilities for responding to a radiological accident are outlined in the National Radiological Emergency Preparedness/Response Plan for Commercial Nuclear Power Plant Accidents (Master Plan) (45 FR 84910).

Basis for FEMA Assignment

The Director, FEMA, pursuant to Reorganization Plan No. 3 of 1978 and Executive Order 12148 of July 20, 1979, establishes policies for, and coordinates civil emergency planning, management, mitigation and assistance functions of Executive agencies. The Director, FEMA, represents the President in working with State and local governments and the private sector to stimulate vigorous participation in civil emergency preparedness, mitigation, response and recovery programs.

The term "civil emergency" is defined in 2-203 of Executive Order 12148 to include any accidental, natural, man-caused, or wartime emergency or threat thereof, which causes or may cause substantial injury or harm to the population or substantial damage to or loss of property. This definition clearly encompasses an accident at a nuclear power facility.

Under Section 201 of the Disaster Relief Act of 1974 (42 U.S.C. 5131), the Director is to establish a program of disaster preparedness which includes, among other matters, preparation of disaster preparedness plans for warning, emergency operations, training and exercises, and coordination of Federal, State and local programs. Further, the Director is to provide technical assistance and grants to States in developing comprehensive plans and practical programs for preparation against disasters. The technical assistance and grant program provided under this authority may be used by States for planning and preparedness activities related to commercial nuclear power plant accidents.

Some of FEMAs predecessor agencies as well as NRC, have been involved in planning for radiological emergencies at nuclear power facilities for some years. These activities were voluntary, as neither Federal law nor regulations required States or local governments to have peacetime nuclear emergency plans, nor required States with plans to test those plans.

The Atomic Energy Commission (AEC), later NRC, implemented a non-statutory program of planning and assistance to the States which included: The formation of a Federal Interagency Central Coordinating Committee (FICCC) (now the Federal Radiological Preparedness Coordinating Committee (FRPCC) under the chairmanship of FEMA); the preparation and issuance of the *Guide and Checklist for Development and Evaluation of State and Local Government Radiological Emergency Response Plans in Support of Fixed Nuclear Facilities*, reissued as NRC NUREG-75/111; and the formation of subcommittees on training and exercises and emergency instrumentation. The Office of Emergency Preparedness (OEP), later the Federal Preparedness Agency (FPA), and now FEMA, issued descriptions of agency assignments. In January 1973, the OEP issued a statement that the AEC, as lead agency, would provide planning assistance to State and local governments for the preparation of radiological emergency response plans.

On December 24, 1975, the FPA issued a revised and updated Federal Register Notice (40 FR 59494). Lead agency responsibility for "reviewing and concurring in State radiological emergency response plans," was assigned to the NRC and the planning assistance was expanded to include

transportation of radioactive materials. NRC also issued guidance in a *Handbook for Federal Assistance to State and Local Governments in Radiological Emergency Response Planning*—NUREG–0093, June 1, 1976—revised January 1979, applicable to other Federal agencies. The number of involved agencies that agreed to the assignments increased from five to seven. These included the Environmental Protection Agency (EPA); the Department of Health, Education and Welfare, now the Department of Health and Human Services; the Defense Civil Preparedness Agency and the Federal Disaster Assistance Administration whose functions have now been transferred to FEMA; the Department of Transportation; the Energy Research and Development Administration, now Department of Energy; and the Nuclear Regulatory Commission.

This interagency process, with NRC as lead agency, continued for the next few years. The NRC established a program of voluntary concurrence and concurred in several State plans. The accident at the Three Mile Island nuclear power facility which occurred on March 28, 1979, caused a major rethinking of emergency planning and preparedness by NRC and by other agencies. The accident led to the Kemeny Commission Report and the Presidential actions.

To implement the President's assignment, NRC and FEMA signed a Memorandum of Understanding (MOU) on January 4, 1980, describing each agency's responsibilities in preparing for emergencies at nuclear facilities and activities (45 FR 5847). This MOU was revised and updated on November 1, 1980, (45 FR 82713).

The terms of the MOU apply to emergency preparedness for all commercial nuclear power plants, certain nuclear fuel cycle facilities, and nuclear materials licensees whose operations have a potential for significant accidental offsite releases of radiation. However, the parties intended that the initial program emphasis be placed on emergency preparedness at commercial nuclear power plants, the focus of this proposed rule.

FEMA's responsibilities under the MOU are to:

(1) Take the lead in offsite emergency planning and review and assess state and local emergency plans for adequacy.

(2) Complete, by June 1980, the review of State and local emergency plans in those States with operating reactors. (A report was submitted to the President June 30, 1980.)

(3) Complete, as soon as possible, the review of State and local emergency plans in those States with plants scheduled for operation in the near future.

(4) Make findings and determination as to whether State and local emergency plans are adequate and capable of implementation (e.g. adequacy and maintenance of procedures, training, resources, staffing levels and qualifications and equipment adequacy).

(5) Assume responsibility for emergency preparedness training of State and local officials.

(6) Develop and issue an updated series of [Federal] interagency assignments which would delineate respective agency capabilities and responsibilities and define procedures for coordination and direction for emergency planning and response.

The NRC responsibilities under the MOU are to:

(1) Assess licensee emergency plans for adequacy.

(2) Verify that license emergency plans are adequately implemented (e.g., adequacy and maintenance of procedures, training, resources, staffing levels and qualifications, and equipment adequacy).

(3) Review the FEMA findings and determinations on the adequacy and capability of implementation of State and local plans.

(4) Make decisions on the overall state of emergency preparedness (i.e., integration of emergency preparedness onsite, as determined by the NRC, and offsite, as determined by FEMA and reviewed by NRC) and issuance of operating licenses or [orders for] shut down of operating reactors.

Thus, the lead for review of the adequacy of offsite emergency plans and their capability of implementation has been assigned to FEMA and there is no longer an NRC voluntary concurrence program for State emergency plans. The previous NRC "concurrences" do not satisfy all the requirements for FEMA approval of State and local plans under this regulation.

FEMA review, findings, and determinations will be based upon guidance jointly issued by FEMA and NRC entitled *Criteria for Preparation and Evaluation of Radiological Emergency Response Plans and Preparedness in Support of Nuclear Power Plants* (NUREG–0654/FEMA–REP–1, Rev. 1, November, 1980). This guidance and acceptance criteria provides a basis for NRC licensees and State and local governments to develop radiological emergency plans and improve emergency preparedness associated with nuclear power facilities. The document combines the guidance to State and local governments with the guidance to the licensees of NRC and supersedes previous guidance and criteria published by FEMA and NRC. It is also intended for use by Federal officials in reviewing and assessing the adequacy of State, local and nuclear power facility operator emergency plans and preparedness. NUREG–0654/FEMA–REP–1, Rev. 1, contains a series of planning standards (which are part of this rule) and a listing of specific criteria for preparation and evaluation of the planning and preparedness activities of State and local governments as well as of the licensees of NRC.

This rule is intended to be consistent with the NRC emergency planning rule (10 CFR parts 50 and 70, 45 FR 55402).

The NRC will base its findings on a review of FEMA findings and determinations as to whether State and local plans are adequate and capable of being implemented. The regulation described in this part addresses FEMA's review function. NRC retains overall responsibility for making decisions under its enabling legislation in determing whether licenses should be issued or operations suspended. NRC expects to evaluate deficiencies, if any, indentified by FEMA to ascertain whether those deficiencies are significant and, if they are significant, determine whether compensatory measures have been or will be taken by the licensee.

This regulation describes a procedure by which FEMA reviews and assesses State and local emergency plans and preparedness to deal with a radiological emergency, and "approves" such plans. Further, FEMA may use the data obtained in its approval process to support its finds in NRC licensing proceedings and any related court actions; and during any related discovery proceedings.

Insofar as FEMA is concerned, there is no legal requirement that a State or local government submit its plan to FEMA for review, and FEMA's failure to approve such plan is not accompanied by any sanction or refusal to accord a benefit. Insofar as the procedure may have economic, environmental or legal consequences or impact, these result from NRC action on its rule and from the role which FEMA plays because of the MOU in the NRC licensing process. NRC has, in connection with its rule, adopted a "Finding of No Significant Impact" and has made an environmental assessment. The NRC assessment addresses the subject of cost, and it is clear from the cost data related to offsite planning and preparedness that this FEMA rule is not

a significant regulation requiring a regulatory analysis under Executive Order 12291. Further, this rulemaking proceeding was initiated prior to January 1, 1981, and thus is not subject to the requirements of the Regulatory Flexibility Act for regulatory flexibility analysis.

An environmental assessment has been prepared on which FEMA has determined that this rule will not have a significant impact on the quality of the human environment.

Comments and FEMA's Response

Thirty-five comments were received on the proposed rule. They were mainly from State and local government sources, nuclear power utilities and Federal agencies. Some issues were raised by the commenters. They also made a number of recommendations for changing the language of the rule. Following is a summary of the significant comments and FEMA's responses.

(1) *Comment:* The definition section is inadequate.

Response: The terms, emergency planning zone, plume exposure pathway, ingestion exposure pathway, complete exercise and local goovernment, have been added to § 350.2.

(2) *Comment:* There is insufficient emphasis on the role and responsibilities of local government.

Response: FEMA believes that the language of the rule is adequate in this regard since it provides that local government plans must be part of State plans as a condition to FEMA proceeding with its review and approval process. For added emphasis, local government is defined in § 350.2 as including cities, municipalities and towns within the plume exposure pathway emergency planning zone; and § 350.7(a) calls attention to further guidance on local government planning in Part II.E., NUREG–0654/FEMA–REP–1, Rev.1.

(3) *Comment:* Submission of State and affected local governments plans is restricted to the Governor or his disignee.

Response: In its formal review and approval process under this rule, FEMA must deal with the plans and preparedness of all government entities affected by a nuclear power plant. FEMA looks to the involved State to put these plans into a coordinated package and to submit them to FEMA for formal review and approval, if the State desires to participate in the process outlined in the rule. Notwithstanding this channeling of plans, FEMA recognizes that State or local government plans will be submitted to NRC as part of its licensing process, requests finding and determinations on the adequacy of these State and local plans, FEMA will comply with such requests. Section 350.3 of the final rule has been modified to reflect this commitment.

(4) *Comment:* Criteria or standards against which FEMA will review and approve plans are open ended.

Response: The language of the rule limit the criteria for review and approval of plans to NUREG–0654/FEMA–REP–1, Rev. 1.

(5) *Comment:* States should be permitted to submit plans on a piecemeal basis, (e.g., State plan for plume exposure and ingestion exposure pathway, local government plans) to FEMA for formal review and approval.

Response: The language in § 350.7 allows appropriate flexibility where multiple facilities are involved. Beyond that, for FEMA to do an adequate job in reviewing and approving plans related to a specific nuclear power plant site, a complete package containing the plans of all the impacted offsite government entities should be submitted when formal consideration under the rule is sought.

(6) *Comment:* A time period should be specified for Regional Director's review and for the Associate Director's disapproval of plans.

Response: The review and evaluation process at the Regional level involves give-and-take between the State and the FEMA Regional office with the objective of producing an adequate State plan. Placing a time limit on this process is not considered appropriate. The 30 day period for determinations by the Associate Director will apply to both a disapproval as well as an approval. Section 350.12 (c) has been modified to reflect this.

(7) *Comment:* The timing of the public meeting and complete exercise is not specific.

Response: The language of this rule on this point has not been changed since flexibility is desirable. As written, the rule permits the exercise to follow the public meeting or vice versa. The language also permits, at the discretion of the Regional Director, either or both the public meeting and exercise to occur before submission of the State plan for formal review and approval.

(8) *Comment:* Approval of plans should be done by the Regional Director instead of the Associate Director.

Response: The rule retains approval authority with the Associate Director, primarily to provide another objective level of review and to permit the Regional Director and staff to concentrate on their main function of assisting State and local governments in improving radiological emegency preparedness capabilities.

(9) *Comment:* It appears that the requirement that a State include in its application for FEMA formal review and approval of its plan a statement that the plan is adequate to protect its citizens living within the vicinity of the affected nuclear power plant, forces States to make factual and legal judgments which the rule reserves to Federal agencies.

Response: While the argument that this requirement appears to force States to make factual and legal judgments is persuasive, no change has been made to § 350.7(d) because:

(a) This requirement calls for an expression of opinion by the State that the plan is designed to fulfill one of its primary responsibilities, i.e., the protection of public health and safety; and

(b) It provides assurance to Federal reviewers that the State has applied its best effort to producing an adequate plan.

Pending adoption of the final rule, FEMA intends to use the process described herein in "approval" of any plan which might be submitted to it before the rule becomes final. The one exception to this is the language on exercises in § 350.9(c) which is included at this time *solely for public comment.* The provisions of § 350.9(c) will continue to be used in the interim.

FEMA has determined that this proposed rule does not have significant impact upon the quality of the human environment. On this basis, an environmental impact statement is not required.

List of Subjects in 44 CFR Part 350

Nuclear power plants and reactors, Radiation protection.

It is proposed to amend Subchapter E of Chapter I, Title 44 Code of Federal Regulations by adding a new Part 350 as follows:

PART 350—REVIEW AND APPROVAL OF STATE RADIOLOGICAL EMERGENCY PLANS AND PREPAREDNESS

Sec.

350.1 Purpose.
350.2 Definitions.
350.3 Background.
350.4 Exclusions.
350.5 Criteria for review and approval of State and local radiological emergency plans and preparedness.
350.6 Assistance in development of State and local Plans.
350.7 Application by State for review and approval.
350.8 Initial FEMA action on State plan.

Sec.
350.9 Exercises.
350.10 Public meeting in advance of FEMA approval.
350.11 Action by FEMA Regional Director.
350.12 FEMA Headquarters review and approval.
350.13 Withdrawal of approval.
350.14 Amendment to State plans.
350.15 Appeals procedures.

Authority.—42 U.S.C. 5131, 5201, 50 U.S.C. App. 2253(g), Sec. 109, PL 96–295, Reorganization Plan No. 3 of 1978 (3 CFR 1973 Comp. 329), Executive Order 12127 (44 FR 19367), Executive Order 12148 (44 FR 43239).

§ 350.1 Purpose.

The purpose of the regulation in this part is to establish procedures for review and approval by the Federal Emergency Management Agency (FEMA) of State and local emergency plans and preparedness for the offsite effects of a radiological emergency which may occur at a nuclear power facility. Review and approval of these plans and preparedness involves preparation of findings and determinations of the adequacy of the plans and the capabilities of State and local governments to effectively implement the plans.

§ 350.2 Definitions.

As used in this part, the following terms are defined:

Director means, the Director, FEMA;

Regional Director means a Regional Director of FEMA;

Associate Director means the Associate Director, State and Local Programs and Support Directorate, FEMA;

FEMA means the Federal Emergency Management Agency;

NRC means the Nuclear Regulatory Commission;

EPZ means Emergency Planning Zone.

Emergency Planning Zone (EPZ) is a generic area around a nuclear facility used to assist in offsite emergency planning and the development of a significant response base. EPZs of about 10 and 50 miles are delineated for the plume and ingestion exposure pathways respectively.

Plume Exposure Pathway refers to whole body external exposure to gamma radiation from the plume and from deposited materials and inhalation exposure from the passing radioactive plume. The duration of primary exposures could range in length from hours to days.

Ingestion Exposure Pathway refers to exposure primarily from ingestion of water or foods such as milk and fresh vegetables that have been contaminated with radiation. The duration of primary exposure could range from hours to months.

Complete Exercise means an event that tests the integrated capability of State and local governments and the nuclear power plant licensee to adequately assess and respond to an accident at a commerical nuclear power plant. The complete exercise shall include: (a) A major portion of the planning standards described in § 350.5; (b) mobilization of State, local and licensee personnel and other resources in sufficient numbers to verify the capability to respond to the accident scenario. The exercise shall be considered complete without State participation only, if under the provisions of § 350.9(d)(e), State participation is not required.

Local Government refers to counties, parishes, cities, towns and municipalities within the plume exposure pathway EPZ when any of these entities has specific roles in emergency planning and preparedness in the EPZ.

Site refers to the location at which there is one or more nuclear power plants. A nuclear power plant is synonymous with a nuclear power facility.

§350.3 Background.

(a) On December 7, 1979, the President directed the Director of FEMA to take the lead in State and local emergency planning and preparedness activities with respect to nuclear power facilities. This included a review of the existing emergency plans both in States with operating reactors, and those with plants scheduled for operation in the near future.

(b) This assignment was given to FEMA because of its responsibilities under Executive Order 12148 to establish Federal policies for and coordinate civil emergency planning, management and assistance functions, and to represent the President in working with State and local governments and the private sector to stimulate vigorous participation in civil emergency preparedness programs. Under Section 201 of the Disaster Relief Act of 1974 [42 U.S.C. 5131], and other statutory functions, the Director of FEMA, is charged with the responsibility to develop and implement plans and programs of disaster preparedness.

(c) Section 109 (a) of the NRC Appropriation Authorization (Pub. L. 96–295—June 30, 1980), requires the NRC to consult with the Director, FEMA in making a determination that there exists a State or local emergency plan for responding to accidents at the facility concerned, and complies with the Commission's guidelines. Section 109(b) of this Public Law requires NRC to establish, by rule, standards for State radiological emergency response plans in consultation with FEMA; and that the Commission will issue a license to operate a nuclear power plant only if it determines, in consultation with FEMA, that a State or local radiological emergency response plan which complies with the Commission's standards exists.

(d) To carry out these responsibilities, FEMA is engaged in a cooperative effort with State and local governments and other Federal agencies in the development of State and local plans and preparedness to cope with the offsite effects resulting from radiological emergencies at nuclear power facilities.

(e) FEMA has entered into a memorandum of understanding [MOU] with the NRC to which it will furnish assessments, findings and determinations as to whether State and local emergency plans and preparedness are adequate and continue to be capable of implementation (e.g., adequacy and maintenance of procedures, training, resources, staffing levels and qualification and equipment adequacy). These findings and determinations will be used by NRC under its own rules in connection with its licensing and regulatory requirements and FEMA will support its findings in the NRC licensing process and related court proceedings.

(f) Notwithstanding the procedures set forth in these rules for requesting and reaching a FEMA administrative approval of State and local plans, findings and determinations on the current status of emergency preparedness around particular sites may be requested by the NRC and provided by FEMA for use as needed in the NRC licensing process. These findings and determinations may be based upon plans currently available to FEMA or furnished to FEMA by the NRC through the NRC/FEMA Steering Committee.

Note.—An environmental assessment has been prepared on which FEMA has determined that this rule will not have a significant impact on the quality of the human environment.

§350.4 Exclusions.

The regulation in this part does not apply to, nor will FEMA apply any criteria with respect to, any evaluation, assessment or determination regarding the NRC licensee's emergency plans or preparedness, nor shall FEMA make any similar determination with respect to integration of offsite and NRC licensee emergency preparedness except as these assessments and determinations affect

the emergency preparedness of State and local governments. The regulation in this part applies only to State and local planning and preparedness with respect to emergencies at nuclear power facilities and does not apply to other facilities which may be licensed by NRC.

§350.5 Criteria for review and approval of State and local radiological emergency plans and preparedness.

(a) The following joint NRC–FEMA planning documents, §50.47 of NRC's Emergency Planning Rule (10 CFR Parts 50 and 70, 45 FR 55409) and *Criteria for Preparation and Evaluation of Radiological Emergency Response Plans and Preparedness in Support of Nuclear Power Plants* (NUREG–0654/FEMA–REP–1, Rev. 1, November 1980), which apply insofar as FEMA is concerned to State and local governments, are to be used in reviewing, evaluating, and approving State and local radiological emergency plans and preparedness and in making any findings and determinations with respect to the adequacy of the plans and the capabilities of State and local governments to implement them.

(1) Primary responsibilities for emergency response by the nuclear facility licensee, and by State and local organizations within the Emergency Planning Zones have been assigned, the emergency responsibilities of the various supporting organizations have been specifically established, and each principal response organization has staff to respond and to augment its initial response on a continuous basis.

(2) On-shift facility licensee responsibilities for emergency response are unambiguously defined, adequate staffing to provide initial facility accident response in key functional areas is maintained at all times, timely augmentation of response capabilities is available, and the interfaces among various onsite response activities and offsite support and response activities are specified. (This standard applies only to NRC licensees but is included here for completeness).

(3) Arrangements for requesting and effectively using assistance resources have been made, arrangements to accommodate State and local staff at the licensee's near-site Emergency Operations Facility have been made, and other organizations capable of augmenting the planned response have been identified.

(4) A standard emergency classification and action level scheme, the bases of which include facility system and effluent parameters, is in use by the nuclear facility licensee, and State and local response plans call for reliance on information provided by facility licensees for determinations of minimum initial offsite response measures.

(5) Procedures have been established for notification, by the licensee, of State and local response organizations and for notification of emergency personnel by all response organizations; the content of initial and followup messages to response organizations and the public has been established; and means to provide early notification and clear instruction to the populace within the plume exposure pathway Emergency Planning Zone have been established.

(6) Provisions exist for prompt communications among principal response organizations to emergency personnel and to the public.

(7) Information is made available to the public on a periodic basis on how they will be notified and what their initial actions should be in an emergency (e.g. listening to a local broadcast station and remaining indoors), the principal points of contact with the news media for dissemination of information during an emergency (including the physical location or locations) are established in advance, and procedures for coordinate dissemination of information to the public are established.

(8) Adequate emergency facilities and equipment to support the emergency response are provided and maintained.

(9) Adequate methods, systems and equipment for assessing and monitoring actual or potential offsite consequences of a radiolgical emergency condition are in use.

(10) A range of protective actions has been developed for the plume exposure pathway EPZ for emergency workers and the public. Guidelines for the choice of protective actions during an emergency, consistent with Federal guidance, are developed and in place, and protective actions for the ingestion exposure pathway EPZ appropriate to the locale have been developed.

(11) Means for controlling radiological exposures, in an emergency, are established for workers. The means for controlling radiological exposures shall include exposure guidelines consistent with EPA Emergency Worker and Lifesaving Activity Protective Action Guides.

(12) Arrangements are made for medical services for contaminated injured individuals.

(13) General plans for recovery and reentry are developed.

(14) Periodic exercises are (will be) conducted to evaluate major portions of emergency response capabilities, periodic drills are (will be) conducted to develop and maintain key skills, and deficiencies identified as a result of exercises or drills are (will be) corrected.

(15) Radiological emergency response training is provided to those who may be called upon to assist in an emergency.

(16) Responsibilities for plan development and review and for distribution of emergency plans are established, and planners are properly trained.

(b) In order for State or local plans and preparedness to be approved, such plans and preparedness must be determined to adequately protect the public health and safety by providing reasonable assurance that appropriate protective measures can and will be taken offsite in the event of a radiological emergency.

§ 350.6 Assistance in development of State and local plans.

(a) An integrated approach to the development of offsite radiological emergency plans by States, localities and the licensees of NRC with the assistance of the Federal Government is the approach most likely to provide the best protection to the public. Hence, Federal agencies, including FEMA Regional staff, will be made available upon request to assist States and localities in the development of plans.

(b) There now exists in each of the ten Standard Federal Regions, a Regional Assistance Committee (RAC) (formerly the Regional Advisory Committee) chaired by a FEMA Regional official and having members from Nuclear Regulatory Commission, Department of Health and Human Services, Department of Energy, Department of Transportation, Environmental Protection Agency, and the United States Department of Agriculture and Department of Commerce. The RACs will assist State and local government officials in the development of their radiological emergency response plans, and will review plans and observe exercises to evaluate the adequacy of these plans and related preparedness. This assistance does not include the actual writing of State and local government plans by RAC members.

(c) In accomplishing the foregoing, the RACs will use the criteria in NUREG–0654/FEMA–REP–1, Rev. 1, and will render such technical assistance as may be required, appropriate to their agency mission and expertise. In observing and evaluating exercises, the RACs will identify, soon after an exercise, deficiencies in the planning and

preparedness effort including deficiencies in resources, training of staff, equipment, staffing levels, and deficiencies in the qualifications of personnel.

§ 350.7 Application by State for review and approval.

(a) A State which seeks formal review and approval by FEMA of the State's radiological emergency plan shall submit an application for such review and approval to the FEMA Regional Director of the region in which the State is located. The application, in the form of a letter from the Governor or from such other State official as the Governor may designate, shall contain one copy of the completed State plan, including coverage of response in the ingestion exposure pathway EPZ. The application will also include plans of all local governments for all jurisdictions wholly or partially within the plume exposure pathway EPZ for the applicable nuclear power facility. The application shall specify the site or sites for which plan approval is sought. For guidance on the local government plans that should be included with an application refer to Part I.E. NUREG–0654–FEMA–REP–1, Rev. 1, entitled Contiguous—Jurisdiction Governmental Emergency Planning. (See (e) below.) Only a State may request formal review of State or local radiological emergency plans.

(b) Generally, the plume exposure pathway EPZ for nuclear power facilities shall consist of an area about 10 miles (16 Km) in radius and the ingestion pathway EPZ shall consist of an area about 50 miles (80 Km) in radius. The exact size and configuration of the EPZs surrounding a particular nuclear power facility shall be determined by State and local governments in consultation with FEMA and NRC taking into account such local conditions as demography, topography, land characteristics, access routes, and local jurisdiction boundaries. The size of the EPZs may be determined by NRC in consultation with FEMA on a case-by-case basis for gas cooled reactors and for reactors with an authorized power level less than 250 Mw thermal. The plans for the ingestion pathway shall focus on such actions as are appropriate to protect the public from ingesting contaminated food and water.

(c) A State may submit separately its plans for the EPZ's and the local government plans related to individual nuclear power facilities. The purpose of separate submissions is to allow approval of a State plan, and of the plans necessary for specific nuclear power facilities in a multiple-facility State, while not approving or acting on the plans necessary for other nuclear power facilities within the State. If separate submissions are made, appropriate adjustments in the State plan may be necessary. In any event, FEMA approval of State plans and appropriate local government plans shall be site specific.

(d) The application shall contain a statement that the State plan, together with the appropriate local plans, is, in the opinion of the State adequate to protect public health and safety of its citizens living within the emergency planning zones for the nuclear power facilities included in the submission by providing reasonable assurance that appropriate protective measures can and will be taken by State and local governments within the emergency planning zone in the event of a radiological emergency for the site in question.

(e) FEMA and the States will make suitable arrangements in the case of overlapping or adjacent jurisdictions to permit an orderly assessment and approval of interstate or interregional plans.

§ 350.8 Initial FEMA action on State plan.

(a) The Regional Director shall acknowledge in writing within ten days the receipt of the State application.

(b) FEMA shall publish in the **Federal Register** within 30 days after receipt of the application, notice that an application from a State has been received and that copies are available at the Regional Office for review and copying in accordance with 44 CFR 5.26, Subpart C of Part 5 and Appendix A to Part 5 of this chapter.

(c) The Regional Director shall furnish copies of the plan to members of the RAC for their analysis and evaluation.

(d) The Regional Director shall make a detailed review of the State plan, including those of local governments, and assess the capability of the State and local governments to effectively implement the plan (e.g., adequacy and maintenance of procedures, training, resources, staffing levels and qualification, and equipment adequacy). Evaluation and comments of the RAC members will be used as part of the review process.

(e) In connecting with the review, the Regional Director may make suggestions to States concerning perceived gaps or deficiencies in the plans, and the State may amend the plan at any time prior to forwarding to the Associate Director of FEMA.

(f) Two conditions for FEMA approval of State plans (including local government plans) are the requirements for a complete exercise (see § 350.9), and for public participation (see § 350.10). The activities occur during Regional review and prior to the fowarding of the plan to the Associate Director.

§ 350.9 Exercises.

(a) Before a Regional Director can forward a State plan to the Associate Director for approval, the State, together with all appropriate local governments, must conduct a complete exercise of that State plan, involving participation of appropriate local government entities, the State and the appropriate licensee of NRC. To the extent achievable, this exercise shall include participation by appropriate Federal agencies. This exercise shall be observed and evaluated by FEMA and by representatives of other agencies with membership on the RACs, and by NRC with respect to licensee response. Following the exercise, a critique involving all parties will be conducted. If the exercise discloses any deficiencies in the State and local plans, or the ability of the State and local governments to implement the plans, the FEMA representatives shall make them known promptly in writing to appropriate State officials and, to the extent necessary, the State shall amend the plan to incorporate recommend changes or improvements or take other appropriate measures, such as remedial exercises, to demonstrate to the Regional Director that identified deficiencies have been corrected.

(b) The Regional Director of FEMA shall be the FEMA official responsible for certifying to the Associate Director that a complete exercise of the State plan has been conducted, and that those changes and corrective measures taken in accordance with § 350.9(a) above have been made.

(c) For continued FEMA approval, each State and appropriate local governments shall conduct an exercise jointly with a nuclear power facility at least annually. However, States with more than one site shall schedule exercises such that each individual site is exercised in conjunction with the State and appropriate local government plans not less than once every five years for sites with the plume exposure pathway EPZ partially or wholly within the State and not less than once every three years for sites with the ingestion exposure pathway EPZ partially or wholly within the State. The State shall choose, on a rotational basis, the site(s) at which the required annual exercise(s) is to be conducted, and priority shall be given to new facilities seeking an operating license from NRC, and which

have not had an exercise involving the State plan at the facility site. State and local governments and the licensees will coordinate the scheduling of exercises with the Regional Director. For continued FEMA approval of State and relevant local government plans, exercises shall be conducted as follows:[1]

(1) Each State which has a commercial nuclear power site within its boundaries or is within the 10-mile plume exposure pathway emergency planning zone of such site shall conduct a complete exercise jointly with a nuclear power plant licensee and appropriate local governments at least every 2 years.

(2) Each State with more than three sites within its boundaries shall conduct complete exercixes as frequently as necessary in order to exercise with each site at least once every 7 years.

(3) Each local government which has a site within its boundaries or is within the 10-mile emergency planning zone shall participate in a complete exercise jointly with the licensee and test direction and control functions within the State plan at least every 2 years.

(4) States within the 50-mile emergency planning zone of a site shall exercise their plans and preparedness related to ingestion exposure pathway measures at least once every 7 years and in conjunction with a plume exposure pathway exercise for the site.

(5) Remedial exercises may be required to correct deficiencies observed in the scheduled exercises. FEMA will consult with NRC, as appropriate, in determining the level and frequency of such remedial exercises and drills.][2]

(d) After FEMA approval of a State and local plan has been granted, failure to exercise the State and local plans at the frequency and with participation described in this section shall be grounds for withdrawing FEMA approval. (See § 350.13.)

§ 350.10 Public meeting in advance of FEMA approval.

During the FEMA Regional Office review of a State plan, and prior to the submission by the Regional Director of the plan to the Associate Director, the FEMA Regional Director shall assure the conduct of at least one public meeting in the vicinity of the nuclear power facility. The purpose of such a meeting, which may be conducted by the State or by the Regional Director, shall be to acquaint the members of the public in the vicinity of each facility with the content of the State and related local plans, to answer any questions about FEMA review and to receive suggestions from the public concerning improvements or changes that may be necessary and to describe to the public the way in which the plan is expected to function in the event of an actual emergency. The Regional Director should assure that representatives from appropriate State government agencies, local and county agencies and the affected utility appear at such meetings to make presentations and to answer questions from the public. These meetings shall be noticed in the local newspaper having the largest circulation in the area, or such other media as the Regional Director may select, on at least two occasions, one of which is at least two weeks before the meeting takes place and the other is within a few days of the meeting date. Local radio and television stations should be notified of the scheduled meeting at least one week in advance. Representatives from NRC and other appropriate Federal agencies should also be invited to participate in these meetings. If, in the judgment of the FEMA Regional Director, the public meeting or meetings reveal gaps or deficiences in the State plan, the Regional Director shall inform the State of the fact together with recommendations for improvement. No FEMA approval of State and local plans shall be made until a meeting described in this paragraph shall have been held at or near the nuclear power facility site for which the State is seeking approval.

§ 350.11 Action by FEMA Regional Director.

(a) Upon completion of his/her review, including conduct of the exercise required by § 350.9 and after the public meeting required by § 350.10, the Regional Director shall prepare an evaluation of the State plan, including plans for local governments. Such evaluation shall be specific with respect to the plans applicable to each nuclear facility so that findings and determinations can be made by the Associate Director on a site specific basis.

(b) The Regional Director shall evaluate the adequacy of State and local plans and preparedness on the basis of the critieria set forth in § 350.5, and shall report the evaluation with respect to each of the planning standards mentioned therein as such apply to State and local plans and preparedness.

(c) The Reginal Director shall forward the State plan together with his or her evaluation and other relevant record material to the Associate Director. Relevant record material will include the results of the exercise critique (i.e., deficiencies noted and corrections made), and a summary of the deficiencies identified during the public meeting, recommendations made to the State for improvements in its plans and preparedness and actions taken by the State.

§ 350.12 FEMA Headquarters review and approval.

(a) Upon receipt from a Regional Director of a State plan, the Associate Director shall conduct such review of the State plan as he or she shall deem necessary. The Associate Director shall arrange for copies of the plan, together with the Regional Dirctor's evaluation, to be made available to the members of the Federal Radiological Preparedness Coordinating Committee (FRPCC) and to other offices of FEMA with appropriate guidance relative to any assistance that may be needed in the FEMA review and approval process.

(b) If, within 30 days after receipt of the State plan and the Regional Director's evaluation, the Associate Director determines that the State plans and preparedness:

(1) Are adequate to protect the health and safety of the public living in the vicinity of the nuclear power facility by providing reasonable assurance that appropriate protective measures can and will be taken offsite in the event of a radiological emergency; and

(2) Are capable of being implemented (see § 350.3(e); the Associate Director shall approve in writing the State plan. The Associate Director shall communicate this FEMA approval to the Governor of the State(s) in question and the NRC and immediately shall publish in the **Federal Register** a notice to this effect.

(c) If, within 30 days after receipt of the State plan, the Associate Director is not satisfied with the adequacy of the plan or preparedness with respect to a particular site, he or she shall communicate that decision to the Governor(s) of the State(s) and to the NRC, together with a statement in writing explaining the reasons for the decision and requesting appropriate plan or preparedness revision. Such statement shall be transmitted to the Governor(s) through the appropriate Regional Director(s).

(d) The approval shall be of the State plan together with the local plans for each nuclear power facility (including out-of-State facilities) for which approval has been requested. FEMA

[1] Language in this paragraph is proposed for public comment as a substitute for § 350.9(e) as published on June 24, 1980, (45 FR 42321) which remains operative as § 350.9(c) of the revised rule.

[2] A remedial exercise will test deficiences of a complete exercise that are considered significant enough to impact on the public health and safety.

may withhold approval of plans applicable to a specific nuclear power facility in a multi-facility State, but nevertheless approve the State plan and associated local plans applicable to other facilities in a State. Approval may be withheld for a specific site until plans for all jurisdictions within the emergency planning zones of that site have been reviewed and found adequate.

(e) Within 30 days after the date of notification of approval for a particular nuclear power facility or within 30 days of any statement of inadequacy or withdrawal of approval of a State Plan, any interested person may appeal the decision of the Associate Director to the Director; however, such appeal must be made solely upon the ground that the Associate Director's decision, based on the available record, was unsupported by substantial evidence. See § 350.15 for appeals procedures.

§ 350.13 Withdrawal of approval.

(a) If, at any time after granting approval of a State Plan, the Associate Director determines, on his or her own initiative, motion or on the basis of information another person supplied, that the State or local plan is no longer adequate to protect public health and safety by providing reasonable assurance that appropriate protective measures can be taken, or is no longer capable of being implemented, he or she shall immediately advise the Governor of the affected State, through the appropriate Regional Diector, and NRC of that initial determination in writing. FEMA shall spell out in detail the reasons for its initial determination, and shall describe the deficiencies in the plan or the preparedness of the State. If, after four months from the date of such an initial determination the State in question has not either (1) corrected the deficiencies noted or (2) submitted an acceptable plan for correcting those deficiencies, the Associate Director shall withdraw approval and shall immediately inform NRC and the Governor of the affected State, of the determination to withdraw approval and shall publish in the **Federal Register** and the local newspaper having the largest daily circulation in the affected State notice of its withdrawal of approval. Such action by the Associate Director is subject to the appeal procedures specified in §§ 350.12(e) and 350.15.

(b) In the event that the State in question shall submit a plan for correcting the deficiencies, the Associate Director shall negotiate a schedule and timetable under which the State shall correct the deficiencies. If, on the agreed upon date, the deficiencies have been corrected, the Associate Director shall withdraw the initial determination and the approval previously granted shall remain valid.

He shall inform the Governor(s), and the NRC and notify the public as stated in paragraph (a) of this section. If, however, on the agreed upon date, the deficiencies are not corrected, FEMA shall withdraw its approval and shall communicate its decision to the Governor of the State whose plan is in question, to the NRC, and to the appropriate Federal agencies and notify the public as above.

§ 350.14 Amendments to State plans.

(a) The State may amend a plan submitted to FEMA for review and approval under § 350.11 at any time during the review process or may amend a plan at any time after FEMA approval has been granted under § 350.12. A State must amend its plan in order to extend the coverage of the plan to any new nuclear power facility which becomes operational after a FEMA approval or in case of any other significant change. The State plan shall remain in effect as approved while any significant change is under review.

(b) A significant change is one which involves the evaluation and assessment of planning standard or which involves a matter which, if presented with the plan, would need to have been considered by the Associate Director in making a decision that State or local plans and preparedness are: (1) Adequate to protect the health and safety of the public living in the vicinity of the nuclear power facility by providing reasonable assurance that appropriate protective measures can be taken offsite in the event of a radiological emergency; and (2) capable of being implemented.

(c) A significant change will be processed in the same manner as if it were an initial plan submission. However, the Regional Director may determine that certain procedures, such as holding a public meeting or a complete exercise would be unnecessary.

(d) Changes, such as a change in a telephone number, that are not significant as defined in paragraphs (b) and (c) of this section but are necessary to maintaining currency of the plan, should be forwarded to the Regional Director.

§ 350.15 Appeal procedures.

(a) Any interested person may appeal a decision made under §§ 350.12 and 350.13 of this part, by submitting to the Director, FEMA, a written notice of appeal, within 30 days after the appearance in the **Federal Register** of the notice of decision relating to the matter being appealed. The appeal must be addressed to the Director, Federal Emergency Management Agency, 500 C Street, S.W., Washington, D.C. 20472. The appeal letter shall state specific reasons for the appeal and include an offer to provide documentation supporting appellate arguments.

(b) Upon receipt of an appeal, the Director or the Director's designee shall review the file, as a submitted to the Associate Director, State and Local Programs and Support, by the Regional Director of the FEMA Region concerned based solely on the information contained in the file and the appeal letter, with supporting documentation, the Director or the Director's designee shall decide whether or not the Associate Director's initial decision was supported by substantial evidence in the file.

(c) The decision of the Director or the Director's designee shall be published in the **Federal Register** as the final agency decision on the matter and shall not be reviewable within FEMA, except upon a showing that it was procured by fraud or misrepresentation. In addition to publication in the **Federal Register**, copies of the decision shall be forwarded to the appellant, the governor(s) of the State(s) affected and to the NRC and affected licensee of the involved power facility.

Dated: August 11, 1982.

Lee M. Thomas,

Associate Director, State and Local Programs and Support Directorate, Federal Emergency Management Agency.

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Part IV

Department of the Interior

Office of Surface Mining Reclamation and Enforcement

Surface Mining and Reclamation Operations Under the Federal Program for the State of Georgia

DEPARTMENT OF THE INTERIOR

Office of Surface Mining Reclamation and Enforcement

30 CFR Part 910

Surface Mining and Reclamation Operations Under the Federal Program for the State of Georgia

AGENCY: Office of Surface Mining Reclamation and Enforcement, Interior.

ACTION: Final rule.

SUMMARY: The Office of Surface Mining Reclamation and Enforcement (OSM) of the Department of the Interior promulgates a revised Federal program for regulation of coal exploration and surface coal mining and reclamation operations on non-Federal and non-Indian lands in Georgia. This includes surface effects of underground coal mining. This rulemaking is necessary in order to cross-reference the permanent program rules.

DATE: Effective on September 20, 1982.

ADDRESSES: Documents comprising the administrative record are available for public review and copying during regular business hours at the addresses indicated below. Copies of the proposed and final rule notices may be obtained at the same locations.

OSM Alabama State Office, 228 W. Valley Ave., Homewood, Alabama 35209.

Administrative Record Room, Room 5315L, Office of Surface Mining, Department of Interior, 110 L St., N.W., Washington, D.C. 20240.

FOR FURTHER INFORMATION CONTACT: James M. Kress, Office of Surface Mining, Branch of Regulatory Programs, Room 222, 1951 Constitution Avenue, NW, Washington, D.C. 20240; telephone (202) 343–5866; or John T. Davis, State Director, Alabama State Office, OSM, 228 W. Valley Ave., Homewood, Alabama 35209; telephone (205) 254–0890.

SUPPLEMENTARY INFORMATION: This document contains the revisions to the Georgia Federal program to adopt cross-referencing of the Secretary of Interior's permanent program rules in 30 CFR Chapter VII. This final rule is a complete revision of the Federal program promulgated on March 10, 1982, 47 FR 10372. However, as explained below no substantive revisions of the Federal program are made by the adoption of cross-referencing.

Availability of Copies

Copies of the program are available for inspection and may be obtained at the OSM office listed above in "**ADDRESSES.**"

Background on Federal Programs

Under Section 504(a) of the Surface Mining Control and Reclamation Act of 1977 (the Act), Pub. L. 95–87, 30 U.S.C. 1201 *et seq.*, the Secretary of the Interior (the Secretary) is required to promulgate a Federal program within 34 months after passage of the Act if a State fails to submit a program to assume responsibility for regulating surface mining activities, fails to resubmit a program within 60 days of disapproval, or fails at any time to implement, enforce or maintain an approved State program. The time for submitting State programs was extended by seven months to March 3, 1980 as the result of litigation, *In re: Permanent Surface Mining Regulation Litigation*, 13 ERC 1447 (July 25, 1979). The date for submission of State programs passed on January 3, 1981.

The regulations of the Secretary require the implementation of a Federal program for a State where the Director of OSM (the Director) "reasonably expects coal exploration or surface coal mining and reclamation operations to exist on non-Federal and non-Indian lands * * * at any time before June 1985 * * *." 30 CFR 736.11(a)(1).

Once a decision is made that a Federal program is necessary for a State, the Secretary must make several determinations before promulgating a program. Section 504(a) of the Act requires that in implementing a Federal program the Secretary take into consideration the nature of the State's terrain, climate, biological, chemical, and other relevant physical conditions. This requirement is also found in the regulations, 30 CFR 736.22(a)(1). The Act (Section 505(b)) and the regulations (Section 736.23(b)) also provide that if a State has more stringent land use and environmental laws or regulations, they shall not be construed to be inconsistent with the Act or the Secretary's regulations. The Secretary believes that the requirements of Section 505(b) can best be met by identifying State laws and regulations which impose equivalent or more stringent environmental controls and incorporating the requirements of those laws in the Federal program. If the State's laws or regulations establish more stringent standards regulating surface mining control and reclamation than those found in the Act or the Secretary's regulations or if the State regulates or protects an aspect of the environment affected by surface mining operations which neither the Act nor the Secretary's regulations protect, OSM then must specifically preserve those State standards in the Federal program.

In promulgating a program for a State, Section 504(g) of the Act also specifies that any State statutes or regulations which regulate surface mining and reclamation operations subject to the Act will be superseded and preempted by the Federal program to the extent that they interfere with the achievement of the purposes and requirements of the Act and the Federal program. This provision is reinforced by Section 505(a) of the Act which states that only those State laws and regulations which are inconsistent with the Act and its implementing regulations shall be superseded by the Federal program. Thus, State statutes and rules regulating the same activities as those covered by the Federal law and regulations and which interfere with achievement of the purposes of the Act must be identified in the Federal program and be preempted by OSM.

Finally, a Federal program, according to Section 504(h) of the Act, must include a process for coordinating the review and issuance of surface mining permits with other Federal or State permits applicable to the proposed operation. The Federal statutes with which the surface mining permitting process must be coordinated are set out in 30 CFR 736.22(c). State statutes for which a permit is required must be identified in the process of promulgating a Federal program, and the Federal program must provide for coordination with the review and issuance procedures required by those statutes.

Federal programs are based on the Secretary's permanent program regulations: 30 CFR Subchapters A, F, G, J, K, L, and M. The permanent program regulations establish procedures and performance standards under the Act and form the benchmark for State programs. In order for a State to have a program approved by the Secretary, Section 503(a)(7) requires that the State's rules and regulations be consistent with the Secretary's regulations.

The parts of the permanent program regulations that must be included in a Federal program are listed at 30 CFR 736.22(b). They include general requirements and definitions (Parts 700 and 701), the exemption for coal extraction incident to government-financed highway or other construction (Part 707), the designation of lands unsuitable for surface mining (Parts 760, 761 and 765), permits and permit applications (Subchapter G), reclamation bonding (Subchapter J), performance standards (Subchapter K),

inspection and enforcement (Parts 842, 843 and 845), and blaster training and certification (Subchapter M). In addition, the provision in the permanent regulations on protection of employees (Subchapter P) and restrictions on financial interests (Part 706) are applicable to Federal employees who perform functions or duties under the Act.

The rules for the permanent program are found in 30 CFR Parts 700–707 and 730–865. Part 705 was published October 20, 1977 (42 FR 56064). Parts 795 and 865 (originally Part 830) were published December 13, 1977 (42 FR 62639). The other permanent program regulations were published at 44 FR 15323–15393 (March 13, 1979). Subchapter M was published on December 12, 1980 (45 FR 82098), but is currently suspended. Corrections were published at 44 FR 15485 (March 14, 1979); 44 FR 53507–53509) (September 14, 1979); 44 FR 66195 (November 19, 1979); 45 FR 26001 (April 16, 1980); 45 FR 37818 (June 5, 1980); and 45 FR 47424 (July 15, 1980). Amendments to the rules have been published at 44 FR 60969 (October 22, 1979) as corrected at 44 FR 75143 (December 19, 1979); at 44 FR 77440–77447 (December 31, 1979); 45 FR 2626–2629 (January 11, 1980); 45 FR 25998–26001 (April 16, 1980); 45 FR 33926–33927 (May 20, 1980); 45 FR 39446–39447 (June 10, 1980); 45 FR 52306–52324 (August 6, 1980); 45 FR 52375 (August 7, 1980); 45 FR 58780–58786 (September 4, 1980); and 45 FR 76932 (November 20, 1980); 46 FR 37232 (July 17, 1981); 46 FR 41702 (August 17, 1981); 46 FR 47720 (September 29, 1981); 46 FR 53376 (October 28, 1981); 46 FR 52287 (December 7, 1981); and 47 FR 18552 (April 29, 1982).

Representatives of industry, two State and several environmental groups challenged the permanent regulatory program in the U.S. District Court for the District of Columbia. These suits were consolidated and heard in a single lawsuit entitled *In re: Permanent Surface Mining Regulation Litigation* (Civil Acton No. 79–1144). In response to the arguments raised in the challenges, the Secretary voluntarily suspended several permanent program regulations. These suspensions were announced in the Federal Register on November 27, 1979 (44 FR 67942); December 31, 1979 (44 FR 77447–77454); January 30, 1980 (45 FR 6913); and August 4, 1980 (45 FR 51547–51550). In two opinions the Court remanded certain other regulations which had been challenged in the lawsuit. These opinions were issued on February 26, 1980, and May 16, 1980. Many of the issues decided by the District Court have been appealed to the Court of Appeals for the District of Columbia Circuit. *In re: Permanent Surface Mining Regulation Litigation*, Nos. 80–1810, 80–1811, 80–1812, 80–1813, and 80–1823. The consolidated appeals are pending before the appellate court.

Georgia Federal Program

On May 16, 1980, an advance notice of intent to promulgate Federal programs for States with known coal reserves which had not submitted regulatory programs to the Secretary was published, 45 FR 32328. The State of Georgia not only has known coal reserves but active mining is being conducted. The notice stated that Georgia had notified the Secretary that it would not submit a program.

On September 15, 1980, a proposed Federal program for Georgia was published seeking public comments, 45 FR 61120. The comments were considered and a final rule published on March 10, 1982, to implement a Federal program. 47 FR 10372. The program is being administered through the OSM Alabama State Office near Birmingham. Since promulgation of the program, two operations have continued, two other operators have indicated an intention to submit permit applications in the future and another has submitted a permit application.

The March 10, 1982, final rule Federal Register notice indicated that the effective date of the program was to be April 19, 1982. However, the Supplementary Information section contained a statement supporting immediate effect upon publication. OSM intended to make the program effective upon publication, but because no notice has been published to correct the error the effective date will be as indicated, April 9, 1982. Operators who did not submit permit applications within two months after that date will have to cease operation by December 9, 1982.

On April 21, 1982, the Georgia Federal program was proposed to be revised. 47 FR 17240. Under 30 CFR 8736.11(b), a Federal program may be revised "if necessary to further the purposes of the act and the regulation adopted under the act." Revision was proposed in order to cross-reference the permanent program rules, as explained below.

A public hearing was set but because no one indicated an intention to appear at the hearing it was cancelled. 47 FR 25981 (June 16, 1981). This final rule notice revises the Georgia Federal program. However, the substance of the program remains unchanged. Rather than the full text of the rules appearing under Part 910, a cross-reference to the permanent program rule part now appears. For persons wishing to apply for permits, no change in requirements would occur with promulgation of the revised program cross-referencing the permanent program rules. For the person who has submitted a permit application, no further information would be required as a result of cross-referencing. For persons conducting operations, no change is not involved in the program revision. Operations under a program are conducted under the interim program standards, 30 CFR Subchapter B, until a permit is issued. Thus, such operations are unaffected by the permanent program cross-referencing.

Explanation of Cross-Referencing

In the general notice of intent to promulgate Federal programs of May 16, 1980 (45 FR 32228), OSM stated that each Federal program would be specific to the particular State and would implement the permanent program procedures and environmental protection provisions of the Act (45 FR at 32229). However, except for changes to incorporate more stringent State environmental protection standards and to list other State laws requiring permits for which coordination is required, OSM believes that few changes are needed in the permanent program regulations for any particular State for which a Federal program must be promulgated.

After a proposed full text Federal program was proposed, it was realized that such a program was unnecessary. By adopting cross-referencing to the permanent program rules, duplication with them would be eliminated and substantial publishing costs would be saved. However, mining was occurring in Georgia. The most expeditious means of regulating it was to publish the full text program to become effective and then revise it to adopt cross-referencing, rather than to repropose a cross-referencing program.

Cross-referencing involves a reference to the permanent program regulations which must comprise a Federal program. Those various parts of the regulations in 30 CFR Chapter VII are listed above and are identified in 30 CFR 736.22. Thus, rather than repeating the full text of the permanent program rule, a reference to it appears and the statement that regulations in that part shall apply to the person who engages in the particular surface coal mining activity. For example, for a person who is applying for a permit to conduct surface coal mining operations, under the permanent program regulations 30 CFR Part 771 sets the general requirements. For the Georgia Federal program, 30 CFR 910.771, the counterpart to it indicating the Part 910, and pertinent part of the

permanent program regulations, 771, contains the statement that "Part 771 of this chapter * * * shall apply to any person who makes application for a permit to conduct surface coal mining operations." Thus, the regulations in 30 CFR Pt. 771 are adopted without a lengthy full text recitation of each section of that part. Reference must be made to the full text rule cited in the cross-referencing in order to obtain the precise detailed requirements.

A further advantage is gained from cross-referencing. In January 1981, the Secretary directed that the Department review all existing regulations in order to eliminate those which are burdensome, excessive and unnecessary. Review of the permanent program regulations was initiated and may result in a large scale revision of them. *See* semi-annual Calendar of Federal Regulations Notice of rule review and revision, 47 FR 1709 (January 13, 1982); and Draft Environmental Statement, OSM–EIS–1: Supplement, entitled "Proposed Revision to Permanent Program Regulations" (June 1982), the availability of which was announced in 47 FR 26405 (June 18, 1982).

With the large scale revision of the regulations which a full text Federal program would duplicate, each revision in the permanent program rule would necessitate a separate revision in each Federal program. For example, three permanent program rules have been revised in final since the Georgia program became effective. Rules dealing with the width of the remaining terrace for backfilling and grading, for excess spoil disposal on existing benches and issuance of cessation orders to unpermitted or wildcat operations were published on April 19, 1982, 47 FR 18552, 18553 and 18555. If cross-referencing were not available, a separate rulemaking would have to be initiated for these rules in order to give Georgia operators the same flexibility. Apart from the constant rulemaking process revision of Federal programs would entail, confusion would result over which particular rule for a Federal program is in effect at any one time. Cross referencing eliminates the dual rulemaking process and simplifies the question of which rule is in effect. Whenever a permanent program rule is revised the corresponding rule in the Federal program would automatically be revised without a separate rulemaking. As the large scale revision of the permanent program rules reaches its conclusion, the Georgia Federal program would be correspondingly revised.

No separate notice has appeared in the permanent program rules now proposed to be revised apprising the public of the potential direct effect on cross-referencing Federal programs. However, a notice announcing the close of the comment on the permanent program rules, which appeared on July 13, 1982, 47 FR 30267, also invited comment on those rules as they affect the Georgia Federal program.

As mentioned in the proposed revision notice, changes in or additions to the permanent program regulations in order to give effect to Section 505 of the Act are found in a separate paragraph of the section of the cross-referencing Federal program. This allows State statutes identified as establishing more stringent environmental protection standards to not be construed as inconsistent with the permanent program requirements and also allows for the setting of deadlines and other details not specifically provided for in the permanent program regulations.

The language used for cross-referencing is being changed from the proposed rulemaking notice in order to make uniform all Federal programs which cross-reference the permanent program rules. About 12 Federal programs will be promulgated. *See* proposed cross-referencing programs for the States of Michigan, Oregon and Washington, 47 FR 26779, 26786 and 26794 (June 21, 1982). The Georgia revision was the first to propose cross-referencing. The language for each cross-referencing section has now been refined. In order to achieve consistency in implementation and enforcement through a number of OSM offices which will be involved the same language should be used in each such program. No change in substance results from this change in language.

Promulgation of this cross-referencing program does not result in any modification of the substance of OSM's permanent program rules.

Several provisions of the permanent program regulations are already applicable to a particular State's Federal program and need not be cross-referenced here because they were fully promulgated for application to all regulatory programs. Those provisions are 30 CFR Chapter VII, Subchapter P—Protection of Employees; Part 706—Restrictions on Financial Interests of Federal Employees; and Part 769—Petition Process for Designation of Federal Lands Unsuitable for Surface Coal Mining. However, 30 CFR Part 764—Designating Lands Unsuitable for Surface Coal Mining is included in the Georgia program by a cross-reference under § 910.764 to provide a petition process on non-Federal and non-Indian lands in the State.

With regard to the bonding regulations (Subchapter J), only Part 800 is cross-referenced because OSM has proposed to revise Subchapter J to include just one part, Part 800. 46 FR 45082 (September 9, 1981).

Content and Organization of the Program

The content and organization of the Georgia Federal program generally follows the permanent program regulations. But, as discussed above, instead of the full text appearing, each section of the program only includes a reference to the pertinent permanent program regulation. The proposed rulemaking notice had inconsistent and more stringent State laws set out in a § 910.3 entitled "Supersession by more stringent laws and regulations." Also, the proposed notice had separate sections for "Scope," § 910.1, and "Applicability," § 910.2. These three sections have been combined into one, § 910.700, but the contents remains the same. The separate definition of the term "public road" which adopted the definition under Georgia law, Ga. code Ann. Section 95A–104, is being deleted so that the definition in 30 CFR 701.5 would apply. There is no need for a separate definition in the program.

Disposition of Comment

Only one written comment on the proposed revision was received. The public hearing was cancelled. The commenter pointed out two errors which appeared in the proposed rulemaking notice. With respect to the designation of lands as unsuitable for surface coal mining, the proposed rule in 30 CFR 910.761 stated that the Secretary may prohibit or limit surface coal mining on lands pursuant to 30 CFR Part 761 beginning one year after the effective date of the Federal program. Part 761 of the permanent program regulations implements Section 522(e) of the Act. There is no provision for such a delay. Section 504(a) of the Act provides that only Section 522 (a), (c) and (d) are delayed for a year, not Section 522(e). The phrase allowing for the delay has been deleted from the final rule.

The comment also pointed out that blanks were left for the effective date of the program in 30 CFR 910.762 and 910.764. Since the program, as explained above, became effective on April 9, 1982, that date is inserted in the two sections in this final rule notice.

OMB Review

The recordkeeping and reporting requirements of the program are the same as those of the permanent program regulations which have been approved by the Office of the Management and Budget under 44 U.S.C. 3507. Although this rule contains information and recordkeeping requirements, OSM anticipates less than ten respondents. Under the Paperwork Reduction Act, clearance of information collection forms are required only when ten or more respondents are expected. If in the future the number of respondents appears to be increasing, the proper forms, if they differ from those already approved, will be submitted to the Office of Management and Budget, with accompanying notices in Federal Register in accordance with the requirements of 44 U.S.C. Chapter 35.

Other Information

OSM has examined these proposed rules according to the criteria of Executive Order 12291 (46 FR 13193, February 19, 1981) and determined that they do not constitute a major rulemaking. There would be no major economic impact through adoption of this rule because it would affect only a small number of mining operations.

OSM has examined these proposed rules pursuant to the Regulatory Flexibility Act, 5 U.S.C. 601 *et seq.*, and determined that they will not have a significant impact on a substantial number of small entities. Separate determinations of effect are prepared for all revisions of the permanent program rules and consider the effects on small entities in the State of Georgia.

Section 702(d) of the Act provides that promulgation of a Federal program shall not constitute a major Federal action under the National Environmental Policy Act, 42 U.S.C. 4332. This provision has been interpreted to include revisions to Federal programs. Thus, no Environmental Assessment is required for this rulemaking.

Subjects Affected by Rulemaking

List of Subjects in 30 CFR Part 910

Coal mining, Intergovernmental relations, Surface mining, Underground mining, Reporting requirements.

Drafting Information

These regulations were drafted by D. E. Jones, Office of the Solicitor, and James M. Kress, Branch of Regulatory Programs, Office of Surface Mining.

Accordingly, 30 CFR Part 910 is revised as set forth herein.

Dated: August 4, 1982.

Daniel N. Miller, Jr.,

Assistant Secretary, Energy and Minerals.

PART 910—GEORGIA

Sec.

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910.842 Federal inspections.
910.843 Federal enforcement.
910.845 Civil penalties.

Authority: Pub. L. 95-87, The Surface Mining Control and Reclamation Act of 1977, 30 U.S.C. 1201 *et seq.*

910.700 General.

(a) This Part contains all rules that are applicable to surface coal mining operations in Georgia which have been adopted under the Surface Mining Control and Reclamation Act of 1977.

(b) The rules in this part cross-reference pertinent parts of the permanent program regulations in this chapter. The full text of a rule is in the permanent program rule cited under the relevant section of the Georgia Federal program.

(c) The rules in this part apply to all surface coal mining operations in Georgia conducted on non-Federal and non-Indian lands. The rules in Subchapter D of this chapter apply to operations on Federal lands in Georgia.

(d) The information collection requirements contained in this part do not require approval by the Office of Management and Budget under 44 U.S.C. 3507 because there are fewer than ten respondents annually.

(e) The following provisions of Georgia laws provide, where applicable, for more stringent environmental control and regulation of surface coal mining operations than do the provisions of the Act and the regulations in this chapter. Therefore, pursuant to Section 505(b) of the Act, they shall not be construed to be inconsistent with the Act:

(1) Georgia Code Ann. Section 56-412 pertaining to limitation of risks for insurance companies.

(2) Georgia Code Ann. Section 414-1306 pertaining to the limitation on loan amounts made by banks.

(3) Georgia Safe Dams Act of 1978 and the Rules for Dam Safety, Chapter 391-3-8 of the Rules of the Department of Natural Resources, Environmental Protection Division.

(4) Chapter 391-34 of the rules of the Department of Natural Resources, Enviromental Protection Division, pertaining to solid waste management.

(5) Georgia Seed Laws and Rules and Regulations containing the Noxious Weed List.

(f) The following are Georgia laws that interfere with the achievement of the purposes and requirements of the act

and are, in accordance with Section 504(g) of the Act, preempted and superseded:

(1) The Georgia Surface Mining Act of 1968, Georgia Code Ann. Section 43–1401 *et seq.*, but not to the extent that it regulates surface coal mining operations which affect two acres or less or are otherwise not regulated by the Surface Mining Control and Reclamation Act.

(2) Rules for Land Reclamation, Georgia Department of Natural Resources, Environmental Protection Division, Chapter 391–3–3(1976), but not to the extent that such regulations apply to surface coal mining operations which affect two areas or less or are otherwise not regulated by the Surface Mining Control and Reclamation Act.

§ 910.701 General.

Sections 700.5, 700.11, 700.12, 700.13, 700.14, 700.15 and Part 701 of this chapter shall apply to surface coal mining operations in Georgia.

§ 910.707 Exemption for coal extraction incident to government-financed highway or other construction.

Part 707 of this chapter, Exemption for Coal Extraction Incidental to Government-Financed Highway or Other Construction, shall apply to surface coal mining and reclamation operations.

§ 910.761 Areas designated unsuitable for surface coal mining by Act of Congress.

Part 761 of this chapter, Areas Designated by Act of Congress, shall apply to surface coal mining and reclamation operations.

§ 910.762 Criteria for designating areas as unsuitable for surface coal mining operations.

Part 762 of this chapter, Criteria for Designating Areas Unsuitable for Surface Coal Mining Operations, shall apply to surface coal mine operations beginning on April 9, 1983.

§ 910.764 Process for designating areas unsuitable for surface coal mining operations.

Part 764 of this chapter, State Processes for Designating Areas Unsuitable for Surface Coal Mining Operations, pertaining to petitioning, initial processing, hearing requirements, decisions, data base and inventory systems, public information, and regulatory responsibilities shall apply to surface coal mine operations beginning on April 9, 1983.

§ 910.770 General requirements for permits and exploration procedures.

(a) Part 770 of this chapter, General Requirements for Permit Systems Under State Programs, shall apply to surface coal mining and exploration operations.

(b) Issuance of permits shall also be coordinated with permits issued pursuant to the Georgia Water Quality Control Act, Section 17–501, the Georgia Solid Waste Management Act, Section 43–1681, the Georgia Air Quality Act of 1973, the Georgia Safe Dams Act of 1973, the Georgia Hazardous Waste Management Act of 1979, the Georgia Groundwater Use Act, and the rules of the Georgia Fire Safety Commission on blasters' permits.

(c) The Secretary shall incorporate in the permit applicable requirements of the Georgia Wildflower Preservation Act of 1973, Section 43–1801 *et seq.*, the Georgia Endangered Wildlife Act of 1973, Section 43–2101 *et seq.*, the Georgia Heritage Trust Act of 1975, Section 43–2301 *et seq.*, and the Georgia Cave Protection Act of 1977, Section 43–2501 *et seq.*

§ 910.771 General requirements for permits and permit applications.

(a) Part 771 of this chapter, General Requirements for Permits and Permit Applications, shall apply to any person who makes application for a permit to conduct surface coal mining operations.

(b) A person who wishes to conduct new surface coal mining and reclamation operations or who wishes a revision of his permit shall file a complete application at least 12 months prior to the date upon which permit issuance or revision is desired, and shall pay to the Secretary a permit fee in accordance with § 736.25 of this chapter.

§ 910.776 General requirements for coal exploration.

(a) Part 776 of this chapter, General Requirements for Coal Exploration, shall apply to any person who conducts or seeks to conduct coal exploration operations.

(b) The Office shall make every effort to act on an exploration application within 60 days of receipt or such longer time as may be reasonable under the circumstances. If additional time is needed, OSM shall notify the applicant that the application is being reviewed, but more time is necessary to complete such review, setting forth the reasons and the additional time that is needed.

§ 910.778 Surface mining permit application—minimum requirements for legal, financial, compliance and related information.

Part 778 of this chapter, Surface Mining Permit Applications—Minimum Requirements for Legal, Financial, Compliance, and Related Information, shall apply to any person who makes application for a permit to conduct surface coal mining and reclamation operations.

§ 910.779 Surface mining permit applications—minimum requirements for information on environmental resources.

Part 779 of this chapter, Surface Mining Permit Applications—Minimum Requirements for Information on Environmental Resources, shall apply to any person who makes application to conduct surface coal mining and reclamation operations.

§ 910.780 Surface mining permit applications—minimum requirements for reclamation and operation plan.

(a) Part 780 of this chapter, Surface Mining Permit Applications—Minimum Requirement for Reclamation and Operation Plan, shall apply to any person who makes application to conduct surface coal mining and reclamation operations.

(b) The application for a permit shall also demonstrate compliance with the air quality control standards in Chapter 391–3–1 of the Rules and Regulations for Air Quality Control of the Georgia Department of Natural Resources.

§ 910.782 Underground mining permit applications—minimum requirements for legal, financial, compliance, and related information.

Part 782 of this chapter, Underground Mining Permit Applications—Minimum Requirements for Legal, Financial, Compliance, and Related Information, shall apply to any person who makes application for a permit to conduct underground mining operations.

§ 910.783 Underground mining permit applications—minimum requirements for information on environmental resources.

Part 783 of this chapter, Underground Mining Permit Applications—Minimum Requirements for Information on Environmental Resources, shall apply to any person who submits an application to conduct underground mining operations.

§ 910.784 Underground mining permit applications—minimum requirements for reclamation and operation plan.

(a) Part 784 of this chapter, Underground Mining Permit Applications—Minimum Requirements for Reclamation and Operation Plan, shall apply to any person who makes application to conduct underground mining.

(b) The applicant for a permit to conduct underground mining operations shall demonstrate compliance with Chapter 391–3–1 of the Rules and Regulations of the Georgia Department of Natural Resources.

§ 910.785 Requirements for permits for special categories of mining.

Part 785 of this chapter, Requirements for Permits for Special Categories of Mining, shall apply to each person who makes application for a permit to conduct certain categories of surface coal mining and reclamation operations.

§ 910.786 Review, public participation, and approval or disapproval of permit applications and permit terms and conditions.

(a) Part 786 of this chapter, Review, Public Participation, and Approval or disapproval of Permit Applications and Permit Terms and Conditions, shall apply to the review of applications made by any person for surface coal mining and reclamation operations.

(b) The applicant for a permit shall place an advertisement in a local newspaper of general circulation concerning the permit after the application is determined complete. Written comments on the application shall be submitted within 30 days of receipt of the application. An informal conference shall be provided within 30 days of a request.

§ 910.787 Administrative and judicial review of decisions on permit applications.

Decisions on permit applications shall be subject to administrative and judicial review in accordance with Part 787 of this chapter and Sections 520, 525 and 526 of the Act.

§ 910.788 Permit reviews, revisions, and renewals, and transfer, sale, and assignment of rights granted under permits.

(a) Part 788 of this chapter, Permit Reviews, Revisions, and Renewals, and Transfer, Sale, and Assignment of Rights Granted Under Permits, shall apply to review, revision, and renewal of permits for surface coal mine operations, and to transfer, sale, and assignment of rights granted under permits.

(b) A person whose interests are or may be affected by permit issuance may file written comments within 30 days of the placement of any advertisement announcing an application for permit transfer, assignment or sale.

§ 910.795 Small operator assistance.

Part 795 of this chapter, Small Operator Assistance, shall apply to any person making application for assistance under the small operator assistance program.

§ 910.800 General requirements for bonding of surface coal mining and reclamation operations.

Part 800 of this Chapter, General Requirements for Bonding of Surface Coal Mining and Reclamation Operations Under Regulatory Programs, shall apply to all surface coal mining and reclamation operations.

§ 910.815 Performance standards—coal exploration.

Part 815 of this chapter, Permanent Program Performance Standards—Coal Exploration, shall apply to any person conducting coal exploration operations.

§ 910.816 Performance standards—surface mining activities.

(a) Part 816 of this chapter, Permanent Program Performance Standards—Surface Mining Activities, shall apply to any person who conducts surface coal mining and reclamation operations.

(b) No person shall conduct surface coal mining operations except in compliance with the Georgia Safe Dams Act and Rules for Safety of the Department of Natural Resources, Environmental Protection Division, as provided in § 816.49(a) of this chapter, the Solid Waste Management Rules of the Georgia Department of Natural Resources Environmental Protection Division, Chapter 391–3–4, as provided in § 816.89(b) of this chapter, and the Georgia Seed Laws and Regulation 4, as provided in § 816.112(d) of this chapter.

§ 910.817 Performance standards—underground mining activities.

(a) Part 817 of this chapter, Permanent Program Performance Standards—Underground Mining Activities, shall apply to any person who conducts underground mining operations.

(b) No person shall conduct underground coal mining operations except in compliance with the Georgia Safe Dams Act and Rules for Safety of the Department of Natural Resources, Environmental Protection Division, as provided in § 817.49(a) of this chapter, the Georgia Solid Waste Mangement Rules of the Department of Natural Resources, Environmental Protection Division, Chapt. 391–3–4, as provided in § 817.89(b) of this chapter, and the Georgia Seed Laws and Regulation 4 as provided in § 817.112(d) of this chapter.

§ 910.818 Special performance standards—concurrent surface and underground mining.

Part 818 of this chapter, Special Permanent Program Performance Standards—Concurrent Surface and Underground Mining, shall apply to any person who conducts combined surface and underground mining operations.

§ 910.819 Special performance standards—auger mining.

Part 819 of this chapter, Special Permanent Program Performance Standards—Auger Mining, shall apply to any person who conducts surface coal mining operations which include auger mining.

§ 910.823 Special performance standards—operations on prime farmland.

Part 823 of this chapter, Special Permanent Program Performance Standards—Operations on Prime Farmland, shall apply to any person who conducts surface coal mining and reclamation operations on prime farmlands.

§ 910.824 Special performance standards—mountaintop removal.

Part 824 of this chapter, Special Permanent Program Performance Standards—Mountaintop Removal, shall apply to any person who conducts surface coal mining operations constituting mountaintop removal mining.

§ 910.826 Special performance standards—operations on steep slopes.

Part 826 of this chapter, Special Permanent Program Performance Standards—Operations on Steep Slopes, shall apply to any person who conducts surface coal mining and reclamation operations on steep slopes.

§ 910.827 Special performance standards—coal processing plants and support facilities not located at or near the minesite or not within the permit area for a mine.

Part 827 of this chapter, Special Permanent Program Performance Standards—Coal Processing Plants and Support Facilities Not Located at or Near the Minesite or Not Within the Permit Area for a Mine, shall apply to any person who conducts surface coal mining and reclamation operations which includes the operation of coal processing plants and support facilities not located at or near the minesite or not within the permit area for a mine.

§ 910.828 Special performance standards—in situ processing.

Part 828 of this chapter, Special Permanent Program Performance Standards—In Situ Processing, shall apply to any person who conducts in situ processing activities.

§ 910.842 Federal inspections.

(a) Part 842 of this chapter, Federal Inspections, shall apply to all exploration and surface coal mining and reclamation operations.

(b) The Office will furnish a copy of any inspection report or enforcement action taken to the Georgia Department of Natural Resources upon request.

§ 910.843 Federal enforcement.

(a) Part 843 of this chapter, Federal Enforcement, shall apply when enforcement action is required for violations on surface coal mining and reclamation operations.

(b) The Office will furnish a copy of each enforcement action and order to show cause issued pursuant to this section to the Georgia Department of Natural Resources upon request.

§ 910.845 Civil penalties.

Part 845 of this chapter, Civil Penalties, shall apply when civil penalties are assessed for violations on surface coal mining and reclamation operations.

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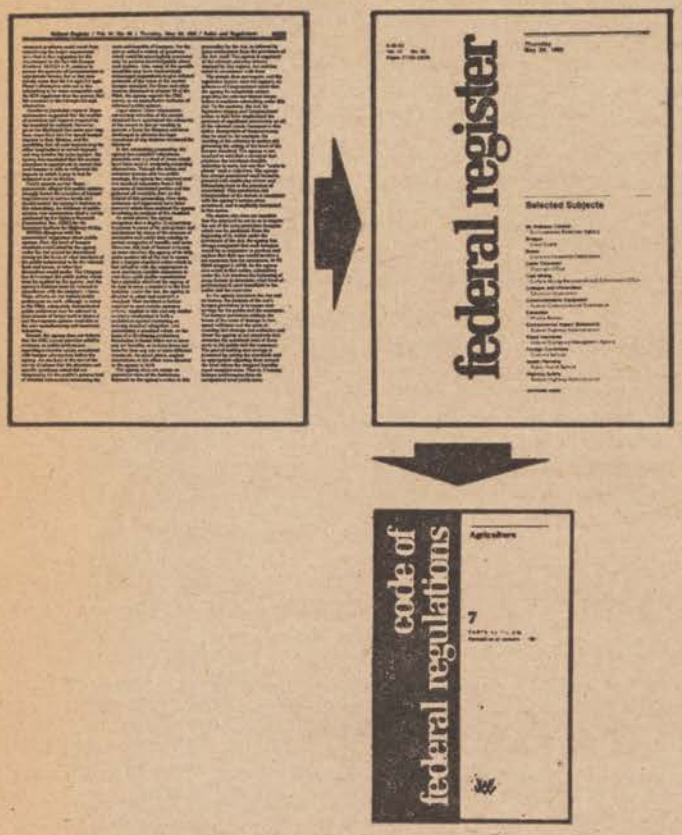

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